SokoCPA

by Kagiko & Associates

CA11 Financial Accounting

CPA Foundation · Paper No. 1

THE COMPLETE STUDY BOOK

All 41 lessons in full — exposition, worked examples, KASNEB past-paper questions with SokoCPA worked solutions, and module mock papers with model answers.

First edition · October 2026

How to use this book

This book is the complete written text of the SokoCPA CA11 course. It is written to be studied on its own: every lesson is given in full, with its worked examples, its key terms, and — woven in at the lesson where they belong — the KASNEB past-paper questions that test that lesson, each with a complete SokoCPA worked solution.

What is in each lesson

- **The exposition** — the full lesson text, including every table, ledger account and worked illustration used in the course.
- **Slide deck at a glance** — the lesson's slides in summary form, for rapid revision.
- **KASNEB past-paper worked examples** — real past-paper questions (*KASNEB authored*, reproduced for study) with SokoCPA worked solutions. The marking points listed after each solution are SokoCPA's analysis of what earns marks — they are **not** official KASNEB marking schemes.
- **Check your understanding** — a pointer to the lesson's practice questions in the SokoCPA app, where your study progress is recorded.

How the course fits together

The 12 modules follow the 12 topic areas of the KASNEB CA11 syllabus (Financial Accounting, Foundation level). Each module ends with a summary and a full mock paper with model answers, and the book closes with a full-course final mock paper and an index of every past-paper question used, so you can find any question at the lesson that teaches it.

The examination, in brief

From the April 2026 sitting, KASNEB CPA papers consist of **five compulsory structured questions of 20 marks each, answered in three hours**. CPA papers are written papers — there are no multiple-choice questions — and examiners instruct candidates to show all workings. Examinations are held three times a year, in **April, August and December**, and paper credits are retained without limit. That is why this book trains the written, worked answer throughout: read the exposition, study the worked example, then write your own answer to the practice questions before checking the solution.

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CA11 syllabus map

The twelve modules of this book map one-to-one onto the twelve topic areas of CA11 Financial Accounting (CPA Foundation, Paper No. 1).

Module	Topic area	Coverage
Module 1	Introduction to Accounting	3 lessons
Module 2	Recording Transactions	4 lessons
Module 3	Accounting for Assets and Liabilities	6 lessons
Module 4	Correction of Errors and Suspense Accounts	2 lessons
Module 5	Financial Statements of a Sole Trader	3 lessons
Module 6	Financial Statements of a Partnership	4 lessons
Module 7	Financial Statements of a Company	4 lessons
Module 8	Financial Statements of a Manufacturing Entity	3 lessons
Module 9	Accounts from Incomplete Records	3 lessons
Module 10	Financial Statements of a Not-for-Profit Organisation	3 lessons
Module 11	Analysing Financial Statements	4 lessons
Module 12	Introduction to Public Sector Accounting	2 lessons

Contents

How to use this book 2

CA11 syllabus map 3

Module 1: Introduction to Accounting 6

1.1 Nature and Purpose of Accounting 7

1.2 Accounting Equation and Double Entry 16

1.3 Regulatory Framework, Ethics and Concepts 24

Module 1 Mock Paper — with model answers 46

Module 2: Recording Transactions 56

2.1 Source Documents 57

2.2 Books of Original Entry 63

2.3 Ledgers and Trial Balance 71

2.4 Computerised Accounting Systems 84

Module 2 Mock Paper — with model answers 95

Module 3: Accounting for Assets and Liabilities 104

3.1 PPE Recognition and Measurement 105

3.2 Depreciation and Revaluation 116

3.3 Intangible Assets 123

3.4 Inventory and Receivables 128

3.5 Cash, Bank and Reconciliations 134

3.6 Liabilities: Payables, Loans and Accruals 153

Module 3 Mock Paper — with model answers 160

Module 4: Correction of Errors and Suspense Accounts 169

4.1 Types of Errors 170

4.2 Suspense Accounts and Corrections 179

Module 4 Mock Paper — with model answers 206

Module 5: Financial Statements of a Sole Trader 215

5.1 Income Statement of a Sole Trader 216

5.2 Statement of Financial Position 223

5.3 Adjustments and Worked Examples 233

Module 5 Mock Paper — with model answers 247

Module 6: Financial Statements of a Partnership 257

6.1 Partnership Fundamentals 258

6.2 The Appropriation Account 264

6.3 Current vs Fixed Capital 280

6.4 Admission, Retirement and Ratio Changes 286
Module 6 Mock Paper — with model answers 313

Module 7: Financial Statements of a Company 323

7.1 Share Capital and Share Issues 324
7.2 Reserves and Income Tax 339
7.3 The Company Income Statement 349
7.4 The Company Statement of Financial Position 361
Module 7 Mock Paper — with model answers 379

Module 8: Financial Statements of a Manufacturing Entity 389

8.1 Manufacturing Costs and Their Classification 390
8.2 The Manufacturing Account 397
8.3 Manufacturing Income Statement and Statement of Financial Position 418
Module 8 Mock Paper — with model answers 437

Module 9: Accounts from Incomplete Records 447

9.1 Single Entry and the Capital Comparison Method 448
9.2 The Statement of Affairs 460
9.3 Techniques for Completing Incomplete Records 472
Module 9 Mock Paper — with model answers 486

Module 10: Financial Statements of a Not-for-Profit Organisation 496

10.1 Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account 497
10.2 Lesson 2: The Income and Expenditure Account 514
10.3 Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation 529
Module 10 Mock Paper — with model answers 542

Module 11: Analysing Financial Statements 552

11.1 Lesson 1: The Statement of Cash Flows (IAS 7) 553
11.2 Lesson 2: Profitability and Liquidity Ratios 584
11.3 Lesson 3: Efficiency and Investor Ratios 594
11.4 Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations 601
Module 11 Mock Paper — with model answers 610

Module 12: Introduction to Public Sector Accounting 618

12.1 Lesson 1: Public Sector Features and Structure 619
12.2 Lesson 2: Regulatory Oversight and Accounting Techniques in the Public Sector 626
Module 12 Mock Paper — with model answers 636

Full-Course Final Mock Paper — with model answers 644

Index of KASNEB past-paper questions 660

MODULE 1 OF 12

Introduction to Accounting

Nature and Purpose of Accounting · Accounting Equation and Double Entry · Regulatory Framework, Ethics and Concepts

MODULE 1 · INTRODUCTION TO ACCOUNTING — LESSON 1

Nature and Purpose of Accounting

Learning objectives

By the end of this lesson you should be able to:

1. Define accounting as a science, an art, and an information system.
2. Explain the objectives of accounting: systematic recording, ascertainment of results, ascertainment of financial position, decision-useful information, and assessment of solvency.
3. Identify the seven major users of accounting information (GESCLIP) and describe the information need of each.
4. Distinguish between quantitative, qualitative, and financial information.
5. Classify the branches of accounting (financial, cost, management, tax, auditing) and state the purpose of each.

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1. What is accounting?

Accounting is often called **the language of business**. It has evolved over the centuries as information needs have changed and become more complex. The study text presents three complementary definitions; KASNEB examiners love asking candidates to distinguish them.

View	Definition (know these in summary form)
Accounting as a science	The process of *identifying, measuring, and communicating economic information* to permit informed judgments and decisions by users. Emphasis: **identify → measure → communicate**.
Accounting as an art	*The art of recording (journalizing), classifying (posting to the ledger), summarizing* in a significant manner and in terms of money, transactions and events of a financial character, *and interpreting the results* to interested users. Emphasis: **record → classify → summarize → interpret**.
Accounting as an information system	A service activity that provides *quantitative, primarily financial, information about economic entities* that is intended to be useful in making economic decisions.

Put together: accounting is a service activity all about **recording, classifying and summarizing** accountable events in order to **communicate quantitative, qualitative and financial economic information** to different users for relevant decisions.

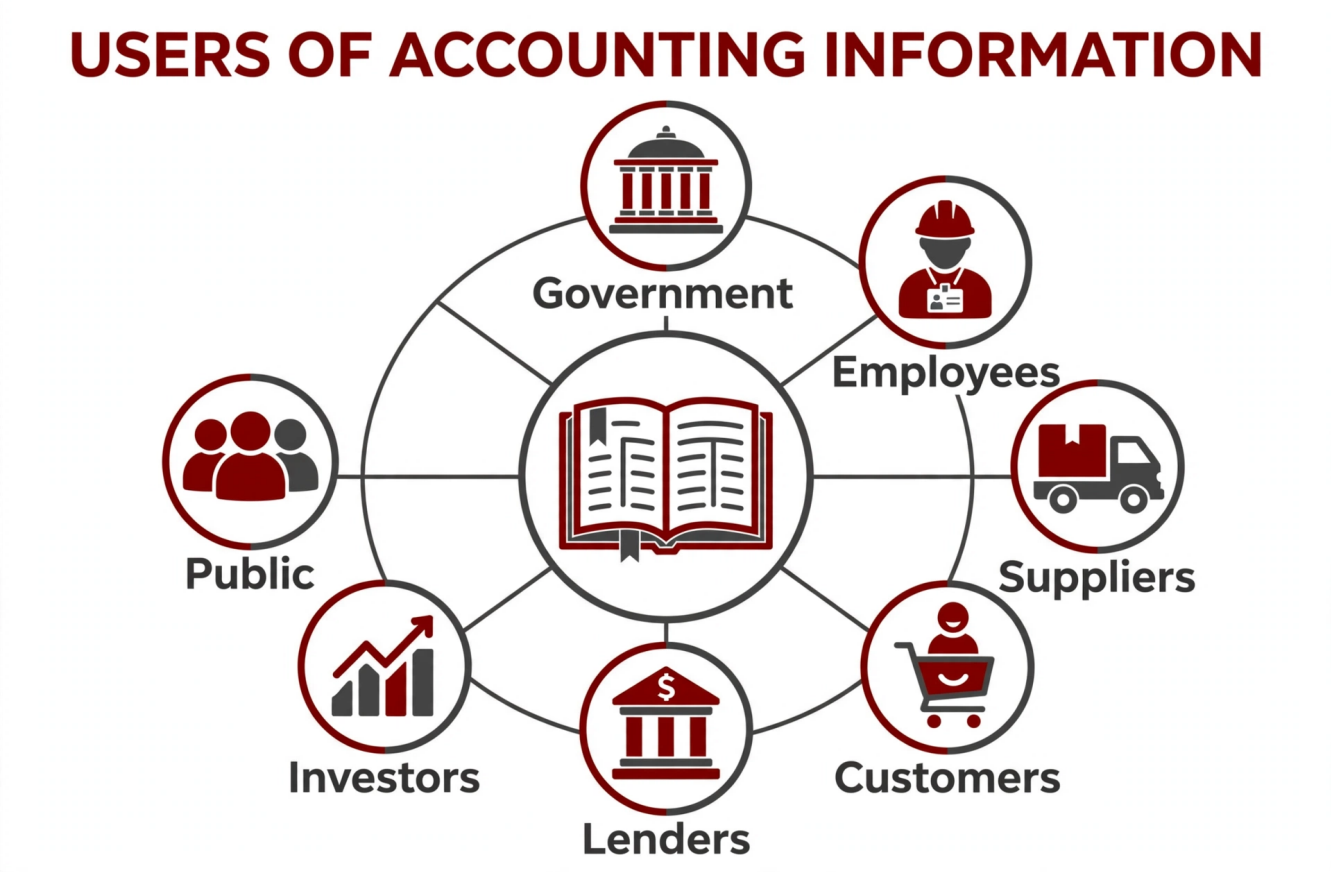
Three types of accounting information: - **Quantitative information** – expressed in numbers, quantities or units (e.g. 2,000 units of stock). - **Qualitative information** – expressed in words (e.g. "the company has strong governance"). - **Financial information** – expressed in terms of money (e.g. profit of Sh. 4,200,000).

2. Objectives of accounting

1. **Systematic recording of transactions (bookkeeping).** Every financial transaction is recorded in a systematic, chronological manner. These records are later classified and summarized into financial statements.
2. **Ascertainment of results.** The profit and loss account (statement of profit or loss) shows whether revenue exceeded expenses (profit) or expenses exceeded revenue (loss) for the period. Management investigates the causes of poor results and takes remedial steps.
3. **Ascertainment of financial position.** The statement of financial position (balance sheet) shows what the business *owns* (assets) and what it *owes* (liabilities) at a point in time — the financial health of the business.

4. **Providing information for rational decision-making.** Accounting communicates monetary results to stakeholders through financial reports.
5. **Ascertaining solvency and liquidity.** The statement of financial position reveals the concern's ability to meet liabilities in the short run (liquidity) and the long run (solvency) as they fall due.

3. Users of accounting information – GESCLIP



KASNEB expects you to list the seven user groups (memorise the acronym **GESCLIP**) and, importantly, to explain *why each needs the information*. The table below is exam gold.

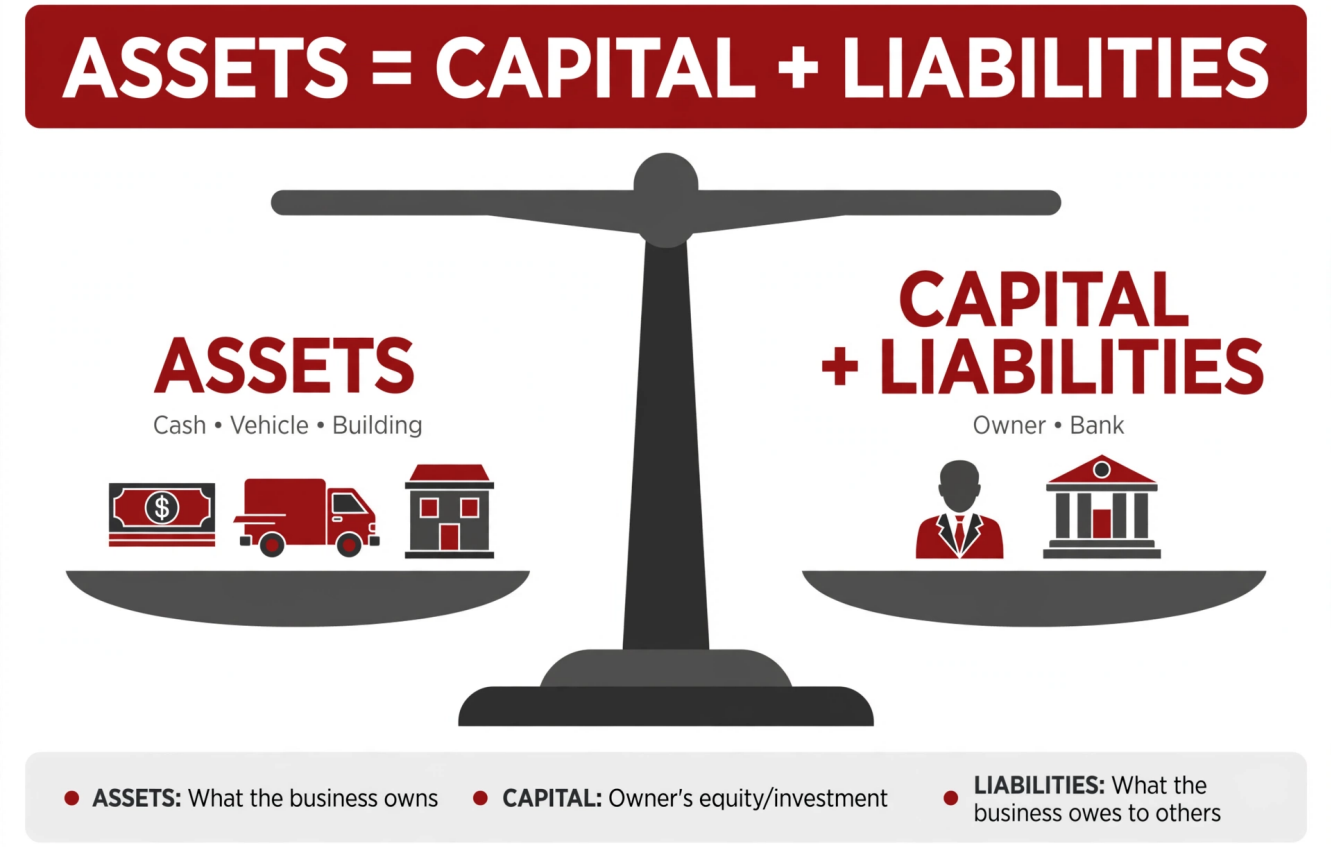
User	Why they need accounting information
G – Government	To assess tax payable (KRA for income tax, VAT, PAYE); to set licence/permit fees; to assess share capital legality; to manage economic problems such as inflation.
E – Employees	To judge whether the business can provide the benefits due to them — job security, bonuses, pension schemes — and to understand the firm's operations.
S – Suppliers and trade creditors	To decide whether to extend credit: can the business pay its accounts on time? (e.g. Coca-Cola deciding whether to supply a supermarket on credit.)
C – Customers / clients	To assess the continuity of the business, especially in long-term engagements (e.g. students checking a college's financial stability before enrolling), and to judge whether prices charged are reasonable.
L – Lenders (banks, lending institutions)	To determine the client's ability to repay loans and the interest due when obligations mature. Lenders supply *money*; suppliers supply *goods* — know the difference.
I – Investors and businessmen	To decide whether to buy, sell or hold shares; which operations or product lines to continue or discontinue; they need financial performance, position and cash flows.

User	Why they need accounting information
P – Public	To assess the state of the economy, track favourite businesses, plan retirement and household budgets, and monitor receipts and disbursements.

Exam trap: A question may ask for the difference between suppliers and lenders. Answer: *suppliers provide goods on credit; lenders provide money (loans).* Both assess ability to pay, but the interest differs.

4. Branches of accounting

Branch	Purpose
Financial accounting	Records, classifies and summarizes transactions to produce general-purpose financial statements for external users. Governed by IAS/IFRS.
Cost accounting	Ascertains the cost of products, jobs and services; helps management control costs and set prices.
Management accounting	Provides internal decision-making information: budgets, forecasts, variance analysis.
Tax accounting	Computes taxable income and tax payable in accordance with tax law (e.g. Kenyan Income Tax Act, VAT Act).
Auditing	Independent examination of financial statements to give an opinion on whether they present a true and fair view.
Forensic accounting	Investigation of fraud and financial disputes.



5. The accounting process – a worked Kenyan example

Trace a simple transaction through the process:

Transaction: Wanjiku starts a mama mboga wholesale business in Nairobi on 1 January 2026 with Sh. 500,000 cash contributed by herself.

- **Identifying:** The Sh. 500,000 contribution is an accountable event (financial character) — it is recognized.
- **Measuring:** It is measured in money terms: Sh. 500,000.
- **Recording (journalizing):** Dr Cash Sh. 500,000; Cr Capital Sh. 500,000.
- **Classifying (posting):** The entries are posted to the Cash account and the Capital account in the ledger.
- **Summarizing:** The balances appear in the statement of financial position at 31 January 2026.

```
Dr                        Cash account                          Cr
2026                                                          Sh.
Jan 1  Capital                    500,000

Dr                       Capital account                        Cr
2026                                                          Sh.
                                                  Jan 1  Cash      500,000
```

Check the fundamental rule: total debits (Sh. 500,000) = total credits (Sh. 500,000). ✓

6. Worked example – accountable events at a Nairobi SME

Savannah Caterers Ltd runs corporate events. Which of these are accountable events?

Activity	Accountable?	Why
Signs a Sh. 2,000,000 contract to cater a wedding	No	No financial character yet — it is an executory promise, not yet a transaction
Receives Sh. 800,000 deposit from the client	**Yes**	Cash received; a liability (unearned income) is created
Buys food supplies for Sh. 300,000 cash	**Yes**	Resources exchanged; expense/asset recorded
Hires a new chef on a monthly salary	No	Hiring itself is not financial; paying the salary later *is*
Owner takes Sh. 50,000 from the till for school fees	**Yes**	Drawings — reduces cash and capital

The pattern: an event is accountable when it has **financial character** — it changes assets, liabilities or equity in a measurable way. Examiners love "which of these is an accountable event?" lists; apply the test: *is money or a measurable obligation involved right now?*

7. The accountant's process in action

Take the deposit above: **identify** (Sh. 800,000 cash received in advance), **measure** (Sh. 800,000), **record** (Dr Cash 800,000 / Cr Unearned income 800,000), **classify** (post to cash book and income ledger), **summarize** (it flows into the trial balance), **communicate** (the statement of financial position shows a current liability of Sh. 800,000, warning lenders the cash is already committed). One transaction, all six steps — quote this chain when asked to "trace a transaction through the accounting process."

8. Common exam traps

1. **"Accounting is a science vs an art"** – do not merge the definitions. Science = identify, measure, communicate. Art = record, classify, summarize, interpret. Information system = service activity providing quantitative (mainly financial) information.
2. **Users list** – the acronym is GESCLIP (7 users). A 10-mark question ("Describe the users of accounting information") wants a sentence or two *per user*, not just the list.
3. **Solvency vs liquidity** – solvency is the long-run ability to meet obligations; liquidity is the short-run ability. Both are read from the statement of financial position.
4. **Record vs classify** – recording = journalizing (in the journal); classifying = posting (to the ledger). Swapping these terms loses marks.
5. **Financial information vs accounting information** – financial information is a *subset* expressed in money terms.

Key terms (flashcards)

- **Accounting** – The language of business: identifying, measuring, recording, classifying, summarizing and communicating financial information to users for decision-making.
- **Bookkeeping** – The systematic recording of financial transactions (the record-keeping part of accounting).
- **Accountable event** – A business activity with financial character that is recognized, measured and recorded.
- **Quantitative information** – Information expressed in numbers, quantities or units.
- **Qualitative information** – Information expressed in words rather than numbers.
- **Financial information** – Information expressed in terms of money.
- **GESCLIP** – Government, Employees, Suppliers, Customers, Lenders, Investors, Public: the seven users of accounting information.
- **Solvency** – The ability of a business to meet its long-term obligations as they fall due.
- **Liquidity** – The ability of a business to meet its short-term obligations as they fall due.
- **Journalizing** – Recording transactions in the journal (book of original entry).
- **Posting** – Classifying journal entries into the ledger accounts.

Module summary (Lessons 1–3)

Accounting identifies, measures, records, classifies, summarizes and communicates financial information so that the seven user groups (GESCLIP) can make rational decisions. The foundation of the whole system is the accounting equation — **Assets = Capital + Liabilities** (Lesson 2) — applied through double entry. In Kenya the profession is regulated by ICPAK under the Accountants Act 2008, aligned to IFAC/IESBA, with IAS/IFRS issued by the IASB setting the measurement rules; accountants work within the five fundamental ethical principles and the body of accounting concepts and principles, producing information that is relevant, faithfully represented and comparable (Lesson 3).

Exam day tips

- For "define accounting" questions, quote one definition precisely, then add the composite one-liner.
- Any "users" question → write GESCLIP first, then expand each with its *need*.
- Objectives questions are 5–10 marks: give all five objectives with a one-line explanation each.
- Watch the currency: use **Sh.** in all workings, and show the units column where the book does.

Slide deck at a glance

What is accounting?

- **Science**: identify → measure → communicate economic information
- **Art**: record (journalize) → classify (post) → summarize → interpret
- **Information system**: service providing quantitative info for decisions
- In one line: record, classify, summarize, communicate to users
- All info is quantitative, qualitative or financial in character

Three types of accounting information

- **Quantitative** – in numbers/units, e.g. 2,000 units of stock
- **Qualitative** – in words, e.g. strong governance
- **Financial** – in money terms, e.g. profit of Sh. 4,200,000
- Exam trap: financial info is a *subset* of accounting info

Objectives of accounting

- **Systematic recording** – bookkeeping in chronological order
- **Ascertain results** – profit or loss for the period
- **Ascertain financial position** – what the business owns and owes
- **Decision-useful information** – communicate monetary results to users
- **Solvency & liquidity** – ability to meet long-run and short-run dues

Users of accounting information (1/2)

- **G – Government**: assess tax (KRA), licences, economic policy
- **E – Employees**: job security, bonuses, pension schemes
- **S – Suppliers**: can the business pay accounts on time?
- **C – Customers**: continuity, e.g. before a long engagement

Users of accounting information (2/2)

- **L – Lenders**: ability to repay loans and interest
- **I – Investors**: buy/hold/sell decisions, performance & cash flows
- **P – Public**: economy tracking, retirement planning
- Exam trap: suppliers give *goods* on credit; lenders give *money*

Branches of accounting

- **Financial accounting** → general-purpose statements for external users
- **Cost accounting** → product/job costs; pricing and cost control
- **Management accounting** → budgets, forecasts, variance analysis
- **Tax accounting** → taxable income per tax law (Kenyan Income Tax Act)
- **Auditing** → opinion: true and fair view; **Forensic** → fraud investigation

The accounting process in action

- Identify → measure → record → classify → summarize → communicate
- Example: Wanjiku starts mama mboga business with Sh. 500,000
- Record: Dr Cash 500,000 / Cr Capital 500,000
- Classify: post to Cash and Capital ledger accounts
- Total debits must equal total credits — always

Which events are accountable?

- Accountable event = financial character, measurable in money
- Sh. 800,000 deposit received → **yes** (creates liability)

- Sh. 2,000,000 signed contract → **no** (promise, not yet transaction)
- Owner takes Sh. 50,000 for school fees → **yes** (drawings)
- Hiring a chef → no; paying the salary → **yes**

Key takeaways / exam tips

- Science = identify/measure/communicate; art = record/classify/summarize
- Record (journal) ≠ classify (ledger) — never swap the terms
- GESCLIP: write the acronym, then expand each user's *need*
- Solvency = long run; liquidity = short run — both from SOFP
- Use **Sh.** in workings and head every amount column

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-08-Q5 · August 2022 · 20 marks KASNEB authored

Users of accounting information; double entry; IPSASB objectives

(a) Outline the information required by each of the following users of accounting information: (i) Owners. (2 marks) (ii) Customers. (2 marks) (iii) Suppliers. (2 marks) (iv) Lenders. (2 marks) (v) Management. (2 marks)
(b) Discuss TWO benefits of using the double entry system of bookkeeping to an organisation. (4 marks)
(c) Explain THREE objectives of the International Public Sector Accounting Standards Board (IPSASB). (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Information required by users

(i) Owners (shareholders): profitability and returns on their investment (profit, EPS, dividends), the value and growth of their stake, and the risks facing the business — to decide whether to hold, buy more or sell shares and to judge stewardship by directors. **(ii) Customers:** assurance that the business is stable and will continue to supply goods/services, honour warranties and provide after-sales support — especially where they depend on the firm for essential or long-term supplies. **(iii) Suppliers:** whether the business can pay its debts as they fall due — liquidity, payment history and creditworthiness — to decide credit terms and whether to continue supplying. **(iv) Lenders:** the borrower's ability to service and repay loans — profitability, cash flows, gearing and the security available — to decide whether to lend, how much, and on what terms. **(v) Management:** detailed, timely information on costs, profitability by product/department, budgets versus actuals and cash position — for planning, controlling operations and decision-making.

(b) Benefits of the double entry system

1. **Accuracy and error detection:** because every transaction is recorded with equal debits and credits, a trial balance can be extracted to check arithmetical accuracy and help locate errors; fraud is also harder to conceal.
2. **Complete financial picture:** the system records all aspects of every transaction (personal, real and nominal accounts), enabling preparation of a full statement of profit or loss and statement of financial position showing profit, assets, liabilities and capital at any time.

(c) Objectives of the IPSASB

1. **Develop high-quality public sector accounting standards (IPSAS)** that improve the quality, consistency and comparability of financial reporting by governments and public sector entities worldwide.
2. **Promote convergence and adoption:** encourage governments to adopt accrual-based IPSAS and converge national standards with them, facilitating benchmarking and reducing diversity in practice.
3. **Improve accountability and transparency in public finance:** through better reporting, strengthen public financial management, support decision-making by legislatures and citizens, and serve the public interest (including guidance such as Recommended Practice Guidelines).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Owners: returns/profitability, value of stake, stewardship (2) **(2)**
- (a)(ii) Customers: business continuity and ability to supply/support (2) **(2)**
- (a)(iii) Suppliers: liquidity/creditworthiness for credit decisions (2) **(2)**
- (a)(iv) Lenders: debt service capacity, cash flows, gearing, security (2) **(2)**
- (a)(v) Management: detailed cost/performance/cash information for planning and control (2) **(2)**
- (b) Any two benefits discussed, 2 marks each (arithmetical accuracy/trial balance and fraud deterrence; complete records enabling full financial statements) **(4)**
- (c) Any three IPSASB objectives explained, 2 marks each (develop IPSAS; promote adoption/convergence; accountability and transparency in public financial management) **(6)**

KASNEB-2021-12-PILOT-Q1 · December 2021 Pilot Paper · 20 marks KASNEB authored

Qualities of financial information; users of financial information

Accountants prepare and maintain financial records for firms and other institutions and extract financial statements as guided by various International Accounting Standards and other statutory regulations.
Required: (a) Explain any four fundamental qualities of financial information. (8 marks) (b) Identify and explain any six users of financial information, indicating clearly the area of interest for each. (12 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Four fundamental qualities of financial information

1. **Relevance:** information is relevant when it makes a difference to the economic decisions of users. It helps users evaluate past, present and future events (predictive and confirmatory value) and is affected by materiality — information whose omission or misstatement could influence decisions is material and therefore relevant. 2. **Faithful representation (reliability):** information must represent faithfully the transactions and events it purports to represent. It should be complete, neutral and free from material error, reflect the substance of transactions rather than merely their legal form, and be prudent where there is uncertainty. 3. **Understandability:** information should be classified, characterised and presented clearly so that users with a reasonable knowledge of business and accounting can comprehend its meaning; complex matters should be explained, not omitted. 4. **Comparability:** users must be able to identify similarities in and differences between two sets of economic phenomena — comparing the same

entity over different periods and different entities in the same period. It requires consistency of accounting policies and disclosure of the policies applied and of any changes.

(b) Six users of financial information and their interest

1. **Owners / shareholders (investors):** providers of risk capital; they need information on profitability, financial position and dividend prospects to judge the return on and safety of their investment and to decide whether to buy, hold or sell. 2. **Lenders and banks:** they need information on liquidity, solvency and cash flows to assess whether the entity can pay interest and repay principal as they fall due and whether security offered is adequate. 3. **Management:** they use financial information internally for planning, controlling and decision-making, e.g. budgeting, pricing, cost control and evaluating departmental performance. 4. **Employees:** they are interested in the entity's profitability and stability because these affect remuneration, job security, promotion prospects and retirement benefits. 5. **Government and its agencies (including the Kenya Revenue Authority):** they need information to assess taxes payable, enforce regulation and statutory compliance, compile national statistics and formulate economic policy. 6. **Suppliers and other trade creditors:** they need information on the entity's liquidity and payment record to decide whether amounts owed will be paid when due and on what credit terms to supply. (Customers and the general public are other users, interested in the entity's continuity and its social and environmental impact.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Four fundamental qualities explained: relevance, faithful representation, understandability, comparability (2 each) **(8)**
- (b) Six users identified with the area of interest of each explained (2 each) **(12)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 5 · Medium 3 · Hard 2), serials CA11-M01-Q001 – CA11-M01-Q024. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 1 · INTRODUCTION TO ACCOUNTING — LESSON 2

Accounting Equation and Double Entry

Learning objectives

By the end of this lesson you should be able to:

1. State the accounting equation and explain what each element (assets, liabilities, capital/equity) means.
2. Apply the equation to transactions and prove that it always balances.
3. State the double-entry (duality) rules: which accounts increase with debits and which with credits.
4. Prepare simple T-accounts from transactions and balance them.
5. Prepare a simple balance sheet in horizontal and vertical formats, computing missing capital by difference.
6. Give examples of transactions affecting (a) assets and equity, and (b) liabilities and equity.

---

1. The accounting equation

The accounting equation — also called the **basic accounting equation** — is the foundation of the entire double-entry system:

Assets = Capital + Liabilities

It shows two facts about a company: **what it owns** (assets) and **how those assets were financed** — by creditors (liabilities) or by the owner/investors (capital/equity). All company assets stem from either debt or equity financing. In a bankruptcy, creditors are paid before owners, which is why liabilities appear before equity in the equation.

The equation **can never be out of balance**. If assets increase, then either liabilities or equity must increase by the same amount; if assets decrease, liabilities or equity must decrease (or another asset must increase).

2. The elements

Assets

A resource owned or controlled by the company, used for future benefits. Examples: cash, accounts receivable (debtors), prepaid expenses, vehicles, buildings, goodwill, copyrights, patents.

Liabilities

Amounts owed to other persons or organizations — creditors' claims on company assets. Examples: accounts payable (creditors), bank loans, lines of credit, unearned income.

Equity (Capital)

The owners' claim: the remainder of assets once all liabilities are paid. Owner contributions **increase** equity; drawings (withdrawals) **decrease** it; **revenues increase** equity and **expenses decrease** equity. Examples: owner's capital, drawings, common stock, paid-in capital, revenues, expenses.

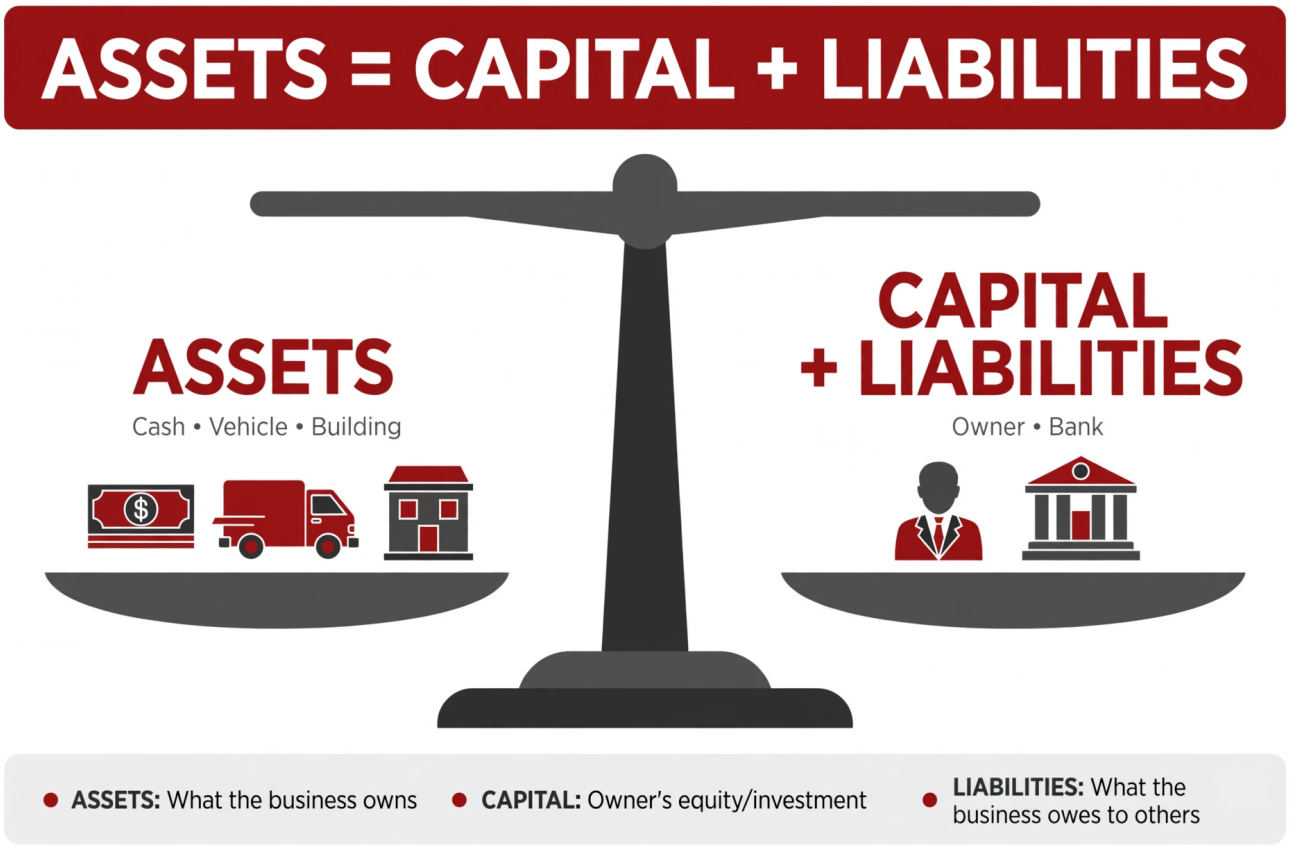
3. The duality principle and debit/credit rules

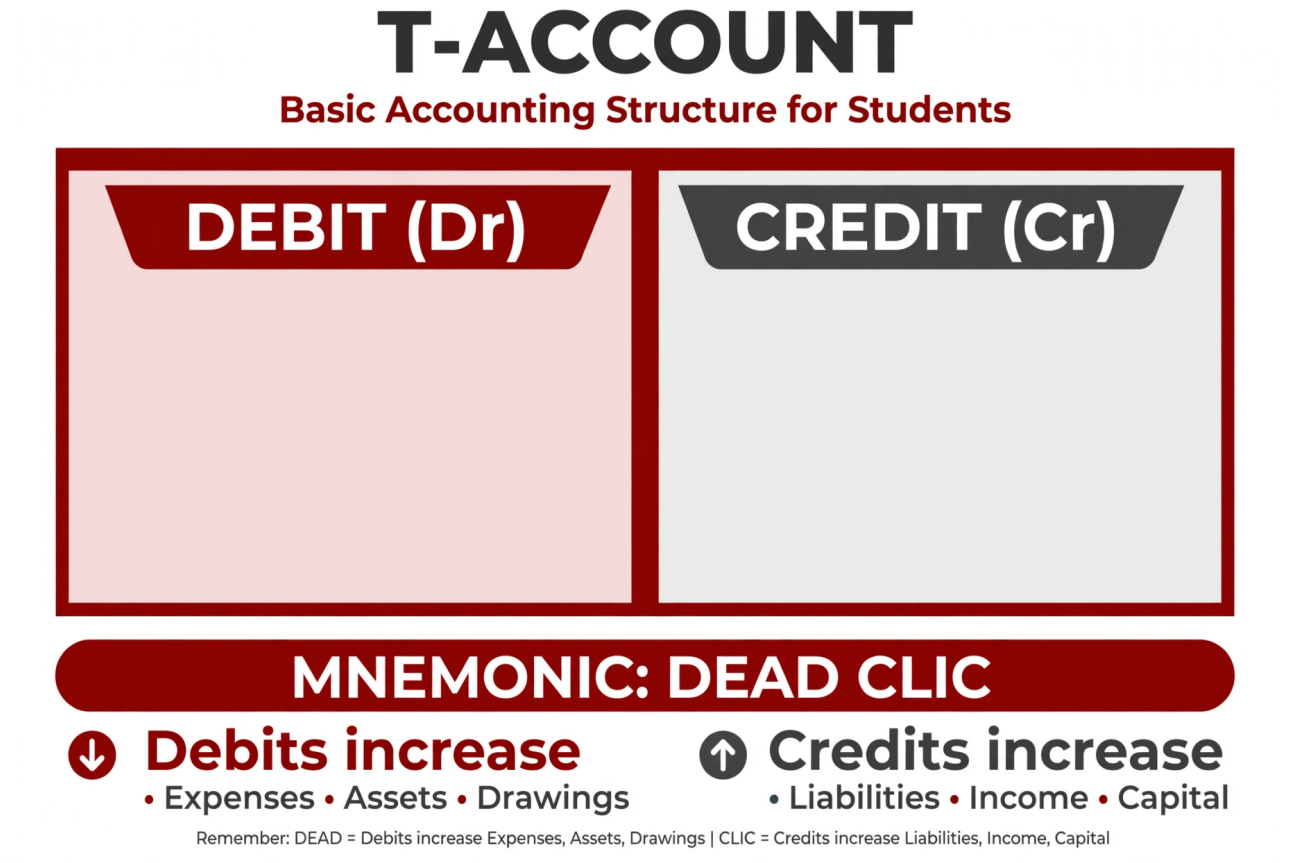
The **duality principle** states that every transaction has two aspects — a **debit** and a **credit** — of equal amount. For each debit there is a corresponding credit. This is the basis of double entry.

Memorize this table (KASNEB tests it directly):

Account type	Increase by	Decrease by	Normal balance
Assets	**Debit**	Credit	Debit
Expenses	**Debit**	Credit	Debit
Drawings	**Debit**	Credit	Debit
Liabilities	Credit	**Debit**	Credit
Capital / Equity	Credit	**Debit**	Credit
Income / Revenue	Credit	**Debit**	Credit

Mnemonic: **DEAD CLIC** — **D**ebits increase **E**xpenses, **A**ssets, **D**rawings; **C**redits increase **L**iabilities, **I**ncome, **C**apital.





4. Worked example 1 – transactions through the equation

Otieno starts a car-wash business in Kisumu. Track the equation (Sh.):

Transaction	Assets	=	Liabilities	+	Capital
1. Otieno contributes Sh. 600,000 cash	Cash 600,000		–		Capital 600,000
2. Buys pressure-washing equipment for Sh. 180,000 cash	Cash 420,000; Equipment 180,000 (total 600,000)		–		Capital 600,000
3. Buys a van on credit for Sh. 450,000	Cash 420,000; Equipment 180,000; Van 450,000 (total 1,050,000)		Creditor 450,000		Capital 600,000
4. Pays creditor Sh. 100,000 cash	Total assets 950,000		Creditor 350,000		Capital 600,000

Check: 950,000 = 350,000 + 600,000 ✓ — the equation balances after every transaction.

5. Worked example 2 – T-accounts (Mr Bookstore, Kenyan adaptation)

Njeri runs a bookshop in Nakuru. January 2026 transactions (Sh.):

1. Cash introduced as capital 500,000
2. Bought shop fittings for cash 50,000
3. Bought books on credit from Text Suppliers Ltd 200,000
4. Cash sales 85,000
5. Credit sales to schools 150,000
6. Paid Text Suppliers Ltd 120,000 cash
7. Banked Sh. 100,000 cash (to enable bank transfers)
8. Paid salaries 56,000 by bank transfer

Post to T-accounts:

```
Dr                          Cash account                              Cr
2026                                      Sh.      2026                              Sh.
Jan 1  Capital                 500,000    Jan 2  Shop fittings          50,000
Jan 4  Sales                    85,000    Jan 6  Text Suppliers Ltd    120,000
                                          Jan 7  Bank                    100,000
                                          Jan 31 Balance c/d             315,000
                              585,000                                     585,000
Feb 1  Balance b/d             315,000

Dr                         Capital account                            Cr
2026                                      Sh.      2026                              Sh.
Jan 31 Balance c/d             500,000    Jan 1  Cash                   500,000
                                               Feb 1  Balance b/d        500,000

Dr                       Shop fittings account                        Cr
2026                                      Sh.      2026                              Sh.
Jan 2  Cash                     50,000    Jan 31 Balance c/d            50,000
Feb 1  Balance b/d              50,000

Dr                  Text Suppliers Ltd (creditor)                     Cr
2026                                      Sh.      2026                              Sh.
Jan 6  Cash                    120,000    Jan 3  Purchases                200,000
Jan 31 Balance c/d              80,000
                                      200,000                                   200,000
```

```
                                    Feb 1  Balance b/d              80,000

Dr                      Purchases account                          Cr
2026                                    Sh.      2026                          Sh.
Jan 3  Text Suppliers Ltd    200,000    Jan 31 Balance c/d          200,000
Feb 1  Balance b/d           200,000

Dr                        Sales account                            Cr
2026                                    Sh.      2026                          Sh.
Jan 31 Balance c/d            235,000    Jan 4  Cash                    85,000
                                         Jan 5  Schools debtors        150,000
                                                      235,000
                                         Feb 1  Balance b/d          235,000

Dr                     Schools debtors account                     Cr
2026                                    Sh.      2026                          Sh.
Jan 5  Sales                  150,000    Jan 31 Balance c/d          150,000
Feb 1  Balance b/d            150,000

Dr                       Salaries account                          Cr
2026                                    Sh.      2026                          Sh.
Jan 8  Bank                    56,000    Jan 31 Balance c/d           56,000
Feb 1  Balance b/d             56,000

Dr                         Bank account                            Cr
2026                                    Sh.      2026                          Sh.
Jan 7  Cash                   100,000    Jan 8  Salaries               56,000
                                           Jan 31 Balance c/d           44,000
                                      100,000                                100,000
Feb 1  Balance b/d             44,000
```

Trial-balance check: total debits = Cash 315,000 + Shop fittings 50,000 + Purchases 200,000 + Schools debtors 150,000 + Salaries 56,000 + Bank 44,000 = **815,000**; total credits = Capital 500,000 + Creditor 80,000 + Sales 235,000 = **815,000** ✓. Every worked example must balance — and this one does.

Exam lesson: money cannot come from nowhere; the bank transfer had to be preceded by banking cash first. Always check that every credit has a matching debit.

6. Finding capital by difference – Kamau illustration (book)

Kamau's business, balances at 31 December 2014 (Sh. '000): Building 22,000; Furniture 11,000; Motor vehicle 11,600; Stocks 17,000; Debtors 11,200; Cash at bank 3,000; Cash in hand 800; Creditors 5,000; Loan 10,000.

Capital = Assets − Liabilities = (22,000+11,000+11,600+17,000+11,200+3,000+800) − (5,000+10,000) = 76,600 − 15,000 = **Sh. 61,600 ('000)**.

The balance sheet then presents: non-current assets first (in order of permanence: land and buildings → plant and machinery → fixtures → motor vehicles), then current assets (in order of liquidity: stocks → debtors → cash at bank → cash in hand), then capital, non-current liabilities (loan), and current liabilities (overdraft before creditors — overdraft is payable on demand). Both sides total Sh. 76,600 ('000). ✓

Horizontal format places assets on the left and capital + liabilities on the right; **vertical format** lists assets first, then capital and liabilities below. KASNEB accepts both — pick one and be consistent.

7. Transactions affecting liabilities and equity (book examples)

- **ABC Ltd incurs Sh. 500 utility expense, unpaid:** Assets unchanged 10,000; Liabilities 5,000 → 5,500 (accrued liability); Equity 5,000 → 4,500 (expense reduces equity). 10,000 = 5,500 + 4,500 ✓.
- **ABC Ltd pays Sh. 500 dividend in cash:** Assets 10,000 → 9,500; Equity 5,000 → 4,500. 9,500 = 5,000 + 4,500 ✓.

8. Common exam traps

1. **Capital is a credit balance.** Students often debit capital when the owner contributes. The business is a separate entity — the owner's contribution is a *liability of the business to the owner* (business entity concept), hence credit.
2. **Expenses reduce equity; they are debited.** Do not credit an expense account when the expense increases.
3. **The accounting equation uses the *net* effect.** An asset-for-asset swap (buy equipment for cash) leaves total assets unchanged — the equation still balances.
4. **Balance sheet ordering** — non-current assets by permanence, current assets by liquidity, overdraft before creditors. Order marks are easy marks.
5. **"Balance c/d" vs "Balance b/d"** – c/d (carried down) closes the period; b/d (brought down) re-opens it on the opposite side.

Key terms (flashcards)

- **Accounting equation** – Assets = Capital + Liabilities; the foundation of double entry; always balances.
- **Assets** – Resources owned or controlled by the entity, expected to yield future economic benefits.
- **Liabilities** – Present obligations (amounts owed) arising from past events.
- **Capital / Equity** – The residual interest in assets after deducting liabilities; the owner's claim.
- **Duality principle** – Every transaction has equal debit and credit aspects; basis of double-entry bookkeeping.
- **Debit (Dr.)** – The left side of a T-account; increases assets, expenses and drawings.
- **Credit (Cr.)** – The right side of a T-account; increases liabilities, capital and income.
- **T-account** – The simplest account structure, shaped like the letter T, with debits left and credits right.
- **Balance c/d / b/d** – Carried down (closing balance) / brought down (opening balance of the next period).
- **Drawings** – Cash or goods withdrawn by the owner for personal use; reduces capital (debit).
- **DEAD CLIC** – Mnemonic: Debits increase Expenses, Assets, Drawings; Credits increase Liabilities, Income, Capital.

Module summary

The accounting equation (**Assets = Capital + Liabilities**) never goes out of balance: every transaction changes two elements equally. The duality principle gives the debit/credit rules (DEAD CLIC — debits increase expenses, assets and drawings; credits increase liabilities, income and capital), applied through T-accounts where every debit has an equal credit. A balance sheet presents the equation's elements in order of permanence and liquidity, and capital can always be found by difference (Assets − Liabilities).

Exam day tips

- Always write the equation first in equation questions, then show the before/after — markers award method marks.

- In T-accounts, date every line, keep the Sh. column headed, and cross-cast: total both sides before inserting balance c/d.
- For "determine capital" questions, list assets and liabilities separately, then subtract — never guess.
- Both balance sheet formats are acceptable; the vertical format is safer under time pressure.

Slide deck at a glance

The accounting equation

- **Assets = Capital + Liabilities** — foundation of double entry
- Assets = what the business owns; financed by debt or equity
- Creditors are paid before owners in bankruptcy
- The equation **can never be out of balance**
- Asset-for-asset swaps keep total assets unchanged

The three elements

- **Assets** – resources owned/controlled; future benefits (cash, debtors, vans)
- **Liabilities** – amounts owed; creditors' claims (loans, creditors)
- **Capital/Equity** – owner's residual claim after liabilities
- Revenues **increase** equity; expenses **decrease** it
- Drawings **decrease** capital

Duality and the DEAD CLIC rules

- Every transaction has equal **debit** and **credit** aspects
- **DEAD CLIC**: debits increase Expenses, Assets, Drawings
- **CLIC**: credits increase Liabilities, Income, Capital
- E.g. cash sale: Dr Cash / Cr Sales
- E.g. credit purchase: Dr Purchases / Cr Creditor

Worked example: through the equation

- Otieno's Kisumu car wash: capital Sh. 600,000 cash in
- Buys Sh. 180,000 equipment cash: asset swap, total unchanged
- Buys Sh. 450,000 van on credit: liabilities rise
- Pays creditor Sh. 100,000: both assets and liabilities fall
- Check: 950,000 = 350,000 + 600,000 ✓ after *every* step

T-accounts: rules that win marks

- T-account: debits left, credits right — date every line
- Head the Sh. column; cross-cast both sides before balancing
- Balance c/d closes the period; balance b/d opens the next
- Every debit has an equal credit — money comes from somewhere
- Njeri's bookshop example balances at Sh. 815,000 each side ✓

Balance sheet and capital by difference

- Order non-current assets by **permanence**, current by **liquidity**
- Overdraft is listed *before* creditors (payable on demand)
- **Capital = Assets − Liabilities** — always computable by difference
- Kamau: assets 76,600 − liabilities 15,000 = **Sh. 61,600** capital
- Horizontal and vertical formats both accepted

Transactions hitting liabilities and equity

- Unpaid expense: liabilities rise, equity falls — assets unchanged
- Dividend paid in cash: assets and equity fall equally
- Both keep the equation balanced ✓
- These are the classic equation-impact exam questions
- Write the equation first, show before/after — method marks

Key takeaways / exam tips

- Capital is a **credit** balance — it is owed *to the owner* (separate entity)
- Expenses are debited, never credited, when they increase
- Balance c/d closes; balance b/d re-opens on the *opposite* side
- Balance sheet ordering: permanence then liquidity — easy marks
- Always cross-cast T-accounts: totals first, then balance c/d

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M01-Q004 – CA11-M01-Q028. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 1 · INTRODUCTION TO ACCOUNTING — LESSON 3

Regulatory Framework, Ethics and Concepts

Learning objectives

By the end of this lesson you should be able to:

1. Describe the roles of ICPAK, IFAC (and its boards), and the IASB in the regulation of accounting in Kenya.
2. Explain the importance and limitations of accounting standards (comparability, transparency, relevance).
3. State and apply the five fundamental ethical principles of a professional accountant.
4. Explain the major accounting concepts and principles: going concern, accruals, business entity, money measurement, duality, realization, matching, prudence, substance over form, materiality, consistency/ comparability, understandability, timeliness, relevance, faithful representation, neutrality, completeness.
5. Describe the qualitative characteristics of useful financial information and the relevance–reliability trade-off.
6. Apply concepts to exam scenarios (e.g. prudence → inventory at lower of cost and NRV).

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1. The regulatory framework

ICPAK – Institute of Certified Public Accountants of Kenya

- Established **1978**; member of PAFA and **IFAC**.
- Vision: *"A world class professional accountancy institute"*.
- Mission: *"To develop and promote internationally recognised accountancy profession that upholds public interest through effective regulation, research and innovation"*.
- Core values: **Credibility, Professionalism, Accountability**.
- Mandate drawn from the **Accountants Act No. 15 of 2008**: promotes professional competence and standards among members; promotes research and publication; promotes international recognition; advises the examinations board and the Minister on financial accountability; performs functions under the Act.

IFAC – International Federation of Accountants

- Founded **7 October 1977 in Munich, Germany** at the 11th World Congress of Accountants.
- Comprises 179 member and associate bodies in 130 countries, representing over 2.5 million accountants.
- Key boards (know the acronyms and functions):
- **IPSASB** – sets International Public Sector Accounting Standards.
- **IAASB** – sets International Standards on Auditing and assurance.
- **IAESB** – develops International Education Standards.
- **IESBA** – develops the international Code of Ethics for Professional Accountants.
- **PIOB** – oversees IFAC's standard-setting (auditing, assurance, ethics, independence).
- IFAC supports the IASB in setting accounting standards.

IASB – International Accounting Standards Board

- Independent private-sector body that develops and approves **IFRS**; operates under the oversight of the **IFRS Foundation**; formed in **2001** to replace the International Accounting Standards Committee (IASC); currently **14 members**.
- Complete responsibility for technical matters: developing its agenda, preparing and issuing IFRSs and exposure drafts, approving Interpretations from the IFRS Interpretations Committee.

Exam favourite: "Distinguish the roles of ICPAK, IFAC and IASB." Answer: ICPAK regulates the Kenyan profession; IFAC is the global umbrella (ethics, audit, education standards); IASB writes the accounting standards (IFRS/IAS) themselves.

2. Accounting standards – importance and limitations

Standards bring uniformity to financial reporting and consistency to published data. A standard must provide a generally understood measure and significantly reduce manipulation of reported numbers.

Importance: 1. **Comparability** – "apples to apples": the financial standing of one entity can be measured against another because numbers were reached the same way. 2. **Transparency** – standards push entities toward openness and limit clever accounting designed to hide items. 3. **Relevance** – entities provide the information observers are most interested in, presented fairly. 4. **Audience confidence** – investors, regulators, taxpayers and reporters can trust and act on financial statements.

Limitations: 1. Alternative treatments may each have merit — choosing between them is difficult. 2. Trend toward **rigidity** and away from flexibility. 3. Standards **cannot override statute** — they operate within prevailing law.

Adoption of IFRS – benefits and challenges

Section 2 covers why standards matter. A related exam angle is what happens when an entity (or country) **adopts** IFRS for the first time:

Benefits of adopting IFRS: 1. **International comparability** – investors can compare a Kenyan company with companies worldwide on a like-for-like basis. 2. **Access to capital** – foreign investors and lenders trust IFRS reports, lowering the cost of raising finance. 3. **One set of books** – multinational groups prepare a single set of accounts instead of reconciling several national GAAPs. 4. **Transparency and quality** – detailed recognition, measurement and disclosure rules reduce manipulation.

Challenges faced when adopting IFRSs (the May 2017 list — any four): 1. **Complexity and cost** – conversion projects, new systems, valuations and staff retraining are expensive, especially for smaller entities. 2. **Shortage of expertise** – too few accountants and valuers experienced in complex areas (fair value, financial instruments, impairment). 3. **Frequent amendments** – IFRSs change often; entities must continually update policies, systems and training. 4. **Fair value volatility** – fair value measurement can make profits and asset values swing with market conditions, which users may find confusing. 5. **Conflict with local law and tax rules** – IFRS treatments (e.g. deferred tax, revaluations) may not align with the Companies Act or tax legislation, forcing dual records. 6. **Interpretation and translation issues** – principles-based standards require judgement; different entities may interpret the same standard differently, reducing comparability in practice.

Exam trap: "Importance of standards" (§2) and "challenges of adopting IFRS" are **different questions**. The first is about having standards at all; the second is about the pain of switching to IFRS — answer the one asked.

3. Professional ethics – the five fundamental principles

From the IESBA Code of Ethics (the book lists these verbatim — learn them word-perfect):

1. **Integrity** – be straightforward and honest in all professional and business relationships.
2. **Objectivity** – do not allow bias, conflict of interest or undue influence to override professional or business judgments.

3. **Professional competence and due care** – maintain professional knowledge and skill at the level required so clients/employers receive competent service based on current developments; act diligently per technical and professional standards.
4. **Confidentiality** – respect confidentiality of information acquired through professional/business relationships; do not disclose to third parties without proper authority unless there is a legal or professional right/duty to disclose; do not use it for personal advantage.
5. **Professional behaviour** – comply with relevant laws and regulations; avoid any action that discredits the profession.

4. Accounting concepts and principles

These are broad conventions providing the basic framework for financial reporting; standard-setters (e.g. the IASB Framework) embed them. When two concepts conflict (e.g. relevance vs reliability), accountants must judge what best serves users.

Underpinning assumptions

- **Going concern** – financial statements assume the entity will continue operating in the foreseeable future, realising assets and settling obligations normally. If invalid, statements are prepared on a **break-up basis** (assets at realisable value). Warning signs: deteriorating liquidity, high gearing, persistent losses, overtrading, covenant breaches, major litigation, loss of a major customer.
- **Accruals concept** – income and expenses are recognised in the periods to which they relate, not when cash moves. (Exception: the cash flow statement.) Accrued income/expense recognised when earned/incurred; prepaid income/expense deferred.
- **Business entity concept** – the business is separate from its owners: personal expenses never appear in the business's income statement; owner's cash put in is drawings-equivalent in reverse. This is *why capital appears on the credit side* of the balance sheet — it is the business's "liability" to the owner.

Measurement and recognition concepts

- **Money measurement** – only transactions measurable in monetary terms are recorded. Employees' skills are not assets; salaries are. Internally generated goodwill is **not** recognised (IAS 38) because its cost cannot be measured reliably — but *purchased* goodwill (IFRS 3) is, at the excess of consideration over identifiable net assets.
- **Duality (dual aspect)** – every transaction has debit and credit aspects (see Lesson 2). Basis of double entry.
- **Realization (revenue recognition)** – revenue is recognised when *earned*: for goods, when risks and rewards of ownership transfer to the buyer (normally on delivery); for services, by stage of completion. Motors PLC example: 20% deposits received in advance are **not** revenue until the cars are delivered.
- **Matching principle** – expenses are charged to the period in which the related revenue is earned. Examples: cost of goods sold matched to the sale; IAS 12 deferred tax matching tax expense to accounting profit; IAS 20 grants recognised as income over the periods the related costs are incurred.

Prudence and faithful representation

- **Prudence** – exercise caution so assets/income are not overstated and liabilities/expenses not understated: inventory at **lower of cost and NRV**; but prudence does **not** mean deliberately understating assets or overstating liabilities — that would create bias.
- **Faithful representation** – statements must faithfully represent the transactions they purport to present.

- **Substance over form** – record economic substance, not mere legal form. Classic: a finance lease — the lessee recognises the leased machine as an asset though legally owned by the lessor (IAS 17). Or the "sale and buy-back" that is really a loan secured on inventory: recognise a liability, not a sale. (Note: the book points out IASB/FASB have not made this a *separate* framework principle because it is so bound up with faithful representation.)
- **Neutrality** – information must not be deliberately or systematically biased (e.g. choosing profit-boosting policies to earn a bonus; window-dressing liquidity ratios).
- **Completeness** – information must be complete in all material respects; partial disclosure misleads.

Comparability, consistency, understandability, materiality, timeliness, relevance

- **Comparability/consistency** – same policies period to period (a FIFO retailer stays on FIFO); changes in policy (or imposed by new standards) must be disclosed; also comparable *across* entities in the same industry.
- **Understandability** – present so that a user with reasonable business/accounting knowledge, willing to study diligently, can understand.
- **Materiality** – information is material if its omission/misstatement could influence users' decisions (IASB Framework). Relative to size *and* nature: a Sh. 1,000 default is immaterial to a Sh. 10 million company; a Sh. 2 million default is material; curtailing a major segment is material by nature.
- **Timeliness** – information must reach users in time to be decision-useful; IAS 10 requires reporting material post-balance-sheet events up to authorisation date. But timeliness can **conflict with reliability** — faster reporting may be less accurate; balance is required.
- **Relevance** – information with **predictive value** (helps forecast, e.g. rising EPS) and/or **confirmatory value** (confirms past predictions). Only *material* information is relevant.

4A. Financial assets and financial liabilities

Examiners ask for these definitions **with examples** — a definition without an example earns only part of the marks. The definitions come from IAS 32 and are used throughout IFRS 9.

Financial asset

A **financial asset** is any asset that is:

1. **Cash** (cash in hand and demand deposits at the bank);
2. An **equity instrument of another entity** (e.g. shares you hold in another company);
3. A **contractual right to receive cash or another financial asset** from another entity — e.g. trade receivables, bills receivable, loans advanced to others, accrued income, a deposit held with a sacco;
4. A **contractual right to exchange** financial assets or liabilities with another entity under conditions that are **potentially favourable** (e.g. a favourable forward contract).

Model phrasing (3 marks): *"A financial asset is an asset that gives the holder a contractual right to receive cash or another financial asset from another entity, for example trade receivables, bills receivable, loans advanced and investments in shares of other companies."*

Financial liability

A **financial liability** is any liability that is a **contractual obligation**:

1. To **deliver cash or another financial asset** to another entity — e.g. trade payables, bills payable, bank overdrafts and loans, debentures, accrued expenses, dividends payable; or

2. To **exchange** financial assets or liabilities with another entity under conditions that are **potentially unfavourable**.

Model phrasing (3 marks): *"A financial liability is a contractual obligation to deliver cash or another financial asset to another entity, for example trade payables, bank loans, debentures and accrued expenses."*

Memory hook: a financial asset is a right to **receive**; a financial liability is an obligation to **pay**. If there is no contract to receive or pay cash (or another financial asset), it is not a financial instrument at all.

Worked example – classify the items (KASNEB style)

Classify each as financial asset (FA), financial liability (FL) or neither (N):

Item	Answer	Why
Cash at bank	FA	Cash is expressly a financial asset
Trade receivables	FA	Contractual right to receive cash from customers
Inventory of finished goods	**N**	A physical asset — it will be *sold*, but there is no contract yet to receive cash
Investment in shares of another company	FA	Equity instrument of another entity
Prepaid rent	**N**	A right to receive *services* (occupation), not cash
Trade payables	FL	Contractual obligation to pay cash to suppliers
10% debentures issued	FL	Contractual obligation to pay interest and principal
Motor vehicle owned	**N**	A physical (non-financial) asset
Accrued wages owing	FL	Obligation to deliver cash to employees

The traps are **inventory, prepayments and physical assets** — they are assets, but they are **not** financial assets because the benefit arrives as goods or services, not as cash under a contract.

Categories of financial assets

Under **IFRS 9**, financial assets are measured in three categories:

1. **Amortised cost** – the asset is **held to collect** the contractual cash flows (principal and interest). Measured at amortised cost; interest in profit or loss. *Examples: trade receivables, loans advanced, held-to-maturity style debt investments.*
2. **Fair value through other comprehensive income (FVOCI)** – the asset is held **both to collect cash flows and to sell**. Measured at fair value; fair value gains/losses go to **other comprehensive income** (for debt instruments, recycled to profit or loss on disposal). *Examples: a portfolio of government treasury bonds the entity may sell if liquidity is needed.*
3. **Fair value through profit or loss (FVTPL)** – everything else: assets **held for trading**, or that do not qualify for the two categories above. Measured at fair value; **all gains and losses go to profit or loss**. *Examples: shares bought for short-term resale, derivatives.*

Exam note (the September 2015 Pilot asked this): the 2015 paper predates IFRS 9 (effective 2018), when **IAS 39** used four labels — *financial assets at fair value through profit or loss (held for trading), loans and receivables, held-to-maturity investments, and available-for-sale financial assets*. If a question simply asks for "two categories of financial assets", any two of the IFRS 9 categories above, each with an example, is the full-marks modern answer.

Key terms (add to flashcards): - **Financial asset** – Cash, an equity instrument of another entity, or a contractual right to receive cash/another financial asset. - **Financial liability** – A contractual obligation to deliver cash or another financial asset. - **Amortised cost** – Measurement basis for financial assets held to collect contractual cash flows. - **FVOCI / FVTPL** – Fair value through other comprehensive income / through profit or loss — the other two IFRS 9 categories.

5. Qualities of useful accounting information (exam list)

The book's five: **relevance** (predictive + feedback value), **timeliness** (record in the right period; report promptly), **reliability** (verifiable — a paper trail for every entry — and neutral, GAAP-only), **consistency** (same treatment every time; limit big changes like inventory-method switches, and make them at year-start), **comparability** (period-to-period comparison is meaningful only if consistency holds).

6. Concept application – mini scenarios (KASNEB style)

1. *A Nairobi wholesaler values closing stock at expected selling price.* Violates **prudence** — stock must be at lower of cost and NRV; profit is only recognised on actual sale.
2. *A director uses the company van for family trips and records the fuel as a business expense.* Violates the **business entity concept** — personal expenses are drawings, not business expenses.
3. *A company changes depreciation method each year to smooth profits.* Violates **consistency/comparability**; changes need justification and disclosure.
4. *A lawsuit that could bankrupt the company is not disclosed.* Destroys **reliability/faithful representation** (and completeness).
5. *Rent received in advance for next year is credited to this year's income.* Violates **accruals** — it is prepaid income, a current liability.

7. Common exam traps

1. **Relevance vs reliability conflict** — the classic: timely but less accurate vs accurate but late. State the trade-off explicitly.
2. **Prudence ≠ deliberate understatement.** Prudence eliminates bias; creating secret reserves is bias in the other direction.
3. **Money measurement** – the examiner's example is almost always *employee skills* or *internally generated goodwill*.
4. **Realization** – "earned" ≠ "cash received". A credit sale is revenue on the sale date.
5. **Matching vs accruals** – accruals = recognise in the right period; matching = a refinement linking each expense to its related revenue (IAS 12 deferred tax is the book's go-to example).

Key terms (flashcards)

- **ICPAK** – Institute of Certified Public Accountants of Kenya (est. 1978); regulates the Kenyan profession under the Accountants Act 2008.
- **IFAC** – International Federation of Accountants (founded 7 Oct 1977, Munich); global umbrella body; boards: IPSASB, IAASB, IAESB, IESBA, PIOB.
- **IASB** – International Accounting Standards Board (formed 2001, 14 members); issues IFRS under the IFRS Foundation.

- **IFRS / IAS** – International Financial Reporting Standards (IASB) / International Accounting Standards (older IASC standards still in force).
- **Integrity / Objectivity / Professional competence and due care / Confidentiality / Professional behaviour** – the five fundamental ethical principles.
- **Going concern** – assumption the entity will continue in the foreseeable future; otherwise break-up basis.
- **Accruals concept** – recognise income/expenses in the period to which they relate, not on cash movement.
- **Prudence** – caution: do not overstate assets/income or understate liabilities/expenses; never deliberate bias.
- **Substance over form** – account for economic reality rather than legal form.
- **Materiality** – omission/misstatement that could influence users' economic decisions.
- **Realization principle** – recognise revenue when earned (risks and rewards transferred).
- **Matching principle** – charge expenses to the period whose revenue they helped earn.
- **Money measurement** – record only what can be measured reliably in money terms.
- **Timeliness** – information must be available to users in time for decisions (cf. IAS 10).

Module summary

Kenya's accounting profession is regulated by ICPAK under the Accountants Act, aligned to IFAC and the IESBA Code's five fundamental principles (integrity, objectivity, professional competence and due care, confidentiality, professional behaviour). IASB-issued IFRS/IAS set the measurement rules, resting on the accounting concepts and principles (going concern, accruals, consistency, prudence, materiality, substance over form and others). Together they ensure financial information is relevant, faithfully represented and comparable — the qualities that make it useful to the GESCLIP users.

Exam day tips

- Ethics questions want the **five principles by name** with a one-line meaning each — 10 easy marks if memorised verbatim.
- Regulatory-body questions: dates and acronyms score — ICPAK 1978, IFAC 1977 Munich, IASB 2001, 14 members, Accountants Act 2008.
- For "explain with an example" concept questions, use the book's examples: EPS rise (relevance), lawsuit non-disclosure (reliability), inventory at lower of cost and NRV (prudence), leased machine (substance over form), leather-jacket retailer staying on FIFO (consistency).
- Always state the relevance–reliability (timeliness) trade-off when asked about qualities of information.

Slide deck at a glance

The regulatory framework

- **ICPAK** (est. 1978) – regulates Kenyan profession; Accountants Act 2008
- **IFAC** (1977, Munich) – global umbrella; boards IPSASB, IAASB, IESBA…
- **IASB** (2001, 14 members) – issues IFRS under IFRS Foundation
- Exam favourite: ICPAK regulates Kenya; IFAC = global; IASB = standards
- Core values: Credibility, Professionalism, Accountability

Accounting standards: importance

- **Comparability** – 'apples to apples' across entities
- **Transparency** – limits clever accounting that hides items
- **Relevance** – information observers actually care about

- **Audience confidence** – investors and regulators can trust the numbers
- Limitations: rigid; alternative treatments; cannot override statute

Five fundamental ethical principles

- **Integrity** – straightforward and honest
- **Objectivity** – no bias, conflicts or undue influence
- **Professional competence and due care** – current, competent service
- **Confidentiality** – no disclosure without authority
- **Professional behaviour** – obey laws; do not discredit the profession

Core concepts (1/2)

- **Going concern** – entity will continue; else break-up basis
- **Accruals** – recognise in the period it relates to, not cash date
- **Business entity** – business separate from owner (why capital is a credit)
- **Money measurement** – only what is measurable in money (no employee skills)
- **Duality** – every transaction has debit and credit aspects

Core concepts (2/2)

- **Realization** – revenue when earned, not when cash received
- **Matching** – expenses charged against the revenue they earned
- **Prudence** – caution: never overstate assets/income; but no secret reserves
- **Substance over form** – economic reality beats legal form (finance lease)
- **Materiality** – would omission influence a user's decision?

Qualities of useful information

- **Consistency/comparability** – same policies period to period
- **Timeliness** – available when decisions are made (IAS 10)
- **Relevance** – predictive value (EPS trend) + confirmatory value
- **Reliability/faithful representation** – verifiable, neutral, complete
- Relevance vs reliability trade-off — state it explicitly

Concept scenarios: spot the violation

- Stock at selling price → violates **prudence** (use lower of cost and NRV)
- Director's private fuel as business expense → violates **business entity**
- Changing depreciation yearly to smooth profit → violates **consistency**
- Undisclosed bankruptcy-threatening lawsuit → destroys **reliability**
- Rent received in advance credited to income → violates **accruals**

Key takeaways / exam tips

- Ethics: memorise the five principles word-perfect — 10 easy marks
- Regulators: ICPAK 1978, IFAC 1977 Munich, IASB 2001, Accountants Act 2008
- Prudence ≠ deliberate understatement — bias either way is wrong
- Realization: 'earned' ≠ 'cash received' — credit sale = revenue on sale date
- Use the book's examples: FIFO retailer, leased machine, lawsuit

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2024-04-Q1 · April 2024 · 20 marks KASNEB authored

Accounting concepts, financial assets, errors, public sector accounting

(a) Explain the following accounting principles: (i) Economic entity principle. (2 marks) (ii) Matching principle. (2 marks)
(b) Citing relevant examples, describe the following terms: (i) Financial assets. (3 marks) (ii) Financial liabilities. (3 marks)
(c) Explain the following types of accounting errors: (i) Complete reversal of entry. (2 marks) (ii) Transposition error. (2 marks) (iii) Error of commission. (2 marks)
(d) Highlight FOUR benefits of public sector accounting. (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Accounting principles

(i) Economic entity principle: The business is treated as an entity separate and distinct from its owner(s). Only transactions that affect the business are recorded in its books; the owner's personal transactions are excluded, and amounts the owner takes from the business are treated as drawings, not business expenses. *Example:* if the proprietor of a shop pays family school fees from the shop till, the payment is recorded as drawings, not as a business expense.

(ii) Matching principle: Expenses are recognised in the same accounting period as the revenue they helped to generate, regardless of when cash is paid or received. Costs are therefore matched against related income through accruals and prepayments. *Example:* December electricity consumed but unpaid at year end is accrued as an expense of the year in which the related sales were earned.

(b) Financial assets and financial liabilities

(i) Financial assets: A financial asset is any asset that is cash, an equity instrument of another entity, or a contractual right to receive cash or another financial asset from another entity (or to exchange financial instruments on potentially favourable terms). *Examples:* trade receivables, bank and cash balances, loans advanced to employees, treasury bills and shares held in another company.

(ii) Financial liabilities: A financial liability is a contractual obligation to deliver cash or another financial asset to another entity, or to exchange financial instruments on potentially unfavourable terms. *Examples:* trade payables, bank loans and overdrafts, debentures in issue, accrued expenses and bills of exchange payable.

(c) Types of accounting errors

(i) Complete reversal of entry: The correct accounts are used but the debit and credit entries are completely reversed — the account that should have been debited is credited and vice versa. *Example:* cash received from a debtor posted as Dr Debtor / Cr Cash instead of Dr Cash / Cr Debtor. The trial balance still agrees, but each affected balance is wrong by twice the amount.

(ii) Transposition error: Two digits in an amount are interchanged when recording or posting, e.g. Sh.54,000 written as Sh.45,000. The difference between the correct and recorded amount is always divisible by 9.

(iii) Error of commission: The correct amount is posted to the wrong person's account of the same class, e.g. a payment to J. Kamau posted to the account of D. Kamau. The trial balance still agrees because the entry is on the correct side and for the correct amount, only in the wrong personal account.

(d) FOUR benefits of public sector accounting

1. **Accountability and stewardship:** it shows how public funds entrusted to government entities have been raised and applied, enabling oversight by Parliament and the public.
2. **Transparency:** standardised reporting of revenue, expenditure, assets and liabilities makes government operations open to scrutiny and reduces misuse of funds.
3. **Budgetary control:** comparing actual revenue and expenditure with approved budgets helps control spending within authorised limits (appropriations).
4. **Informed decision-making and planning:** reliable financial information supports resource allocation, policy formulation and evaluation of service delivery.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Economic entity: business treated as separate from owner; personal items excluded/drawings (2) **(2)**
- (a)(ii) Matching: expenses matched to the revenue/period they relate to, via accruals/prepayments (2) **(2)**
- (b)(i) Financial assets defined (contractual right to receive cash/equity instrument/cash) with a valid example (3) **(3)**
- (b)(ii) Financial liabilities defined (contractual obligation to deliver cash) with a valid example (3) **(3)**
- (c)(i) Complete reversal of entry explained (correct accounts, sides swapped) (2) **(2)**
- (c)(ii) Transposition error explained (digits interchanged; difference divisible by 9) (2) **(2)**
- (c)(iii) Error of commission explained (right amount/side, wrong personal account) (2) **(2)**
- (d) Any four benefits of public sector accounting, 1 mark each (accountability, transparency, budgetary control, decision-making, legal compliance, efficient resource use) **(4)**

KASNEB-2023-12-Q1 · December 2023 · 20 marks KASNEB authored

Qualitative characteristics, public sector oversight, reserves vs provisions, share issues

(a) With reference to the Conceptual Framework for Financial Reporting:
(i) Describe the TWO fundamental qualitative characteristics of financial information. (4 marks)
(ii) Identify any TWO enhancing qualitative characteristics of financial information. (2 marks)
(b) Highlight TWO functions of each of the following public sector institutions:
(i) The Office of the Auditor General. (2 marks)
(ii) The Public Accounts Committee. (2 marks)
(c) Distinguish between "reserves" and "provisions". (4 marks)
(d) Distinguish between "rights issue" and "bonus issue". (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Qualitative characteristics

(i) Fundamental qualitative characteristics: - Relevance: financial information is relevant if it is capable of making a difference to users' decisions. It has predictive value (helps users predict future outcomes), confirmatory value (confirms or changes earlier evaluations), or both. Materiality is an entity-specific aspect of relevance. **- Faithful representation:** information must faithfully represent the economic phenomena it purports to represent. To be faithfully representative it must be complete (all necessary information included), neutral

(free from bias) and free from error (no errors or omissions in the description or process — though this does not mean perfectly accurate in all respects).

(ii) Enhancing qualitative characteristics (any two): comparability (users can identify similarities and differences between items/entities and across periods); verifiability (independent observers can reach consensus that a depiction is faithfully represented); timeliness (information available in time to influence decisions); understandability (classified, characterised and presented clearly and concisely for reasonably knowledgeable users).

(b) Public sector institutions

(i) Office of the Auditor General: (1) audits the accounts of national and county governments, state corporations and other public entities and reports whether public money has been applied lawfully and effectively; (2) confirms whether public money has been used in the manner intended and reports audit findings to Parliament (and county assemblies), thereby promoting accountability. **(ii) Public Accounts Committee:** (1) examines the audited accounts of government ministries, departments and agencies on behalf of Parliament, summoning accounting officers to explain audit queries; (2) recommends corrective action and follows up implementation, strengthening legislative oversight of public expenditure.

(c) Reserves vs provisions

- **Reserves** are appropriations of retained profits set aside for specific or general purposes (e.g. general reserve, capital redemption reserve). They form part of equity/owners' funds, are created only out of profits, may generally be distributed or used as the company wishes (subject to law), and are shown within equity in the statement of financial position.
- **Provisions** are liabilities of uncertain timing or amount (IAS 37) arising from a present obligation from a past event where an outflow is probable and reliably measurable (e.g. provision for doubtful debts... more precisely an allowance; warranty provisions, restructuring provisions). They are charges against profits (not appropriations), are recognised whether or not the business makes a profit, and are shown as liabilities (or deducted from the related asset).

(d) Rights issue vs bonus issue

- **Rights issue:** existing shareholders are offered the right to buy new shares, usually in proportion to their holdings and at a price below the current market price. It raises NEW cash for the company, increases share capital and cash; shareholders may take up, sell or let lapse their rights; if not taken up, a shareholder's proportional holding is diluted.
- **Bonus issue (scrip/capitalisation issue):** free shares are issued to existing shareholders in proportion to their holdings, paid for by capitalising reserves (share premium, retained earnings). It raises NO new cash; reserves fall and share capital rises by the same amount; shareholders' proportional holdings are unchanged and total equity is unchanged.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Relevance explained: predictive and/or confirmatory value, materiality (2) **(2)**
- (a)(i) Faithful representation explained: complete, neutral, free from error (2) **(2)**
- (a)(ii) Any two enhancing characteristics named: comparability, verifiability, timeliness, understandability (1 each) **(2)**

- (b)(i) Two functions of the Office of the Auditor General (audits public accounts; reports to Parliament on lawful/effective use of funds) (1 each) **(2)**
- (b)(ii) Two functions of the Public Accounts Committee (examines audited accounts/accounting officers; recommends corrective action/oversight) (1 each) **(2)**
- (c) Distinction: reserves = appropriations of profit within equity vs provisions = present obligations/charges recognised as liabilities (4 points of contrast) **(4)**
- (d) Rights issue: offer to existing shareholders at a discount, raises new cash, possible dilution (3) **(3)**
- (d) Bonus issue: capitalisation of reserves, no cash raised, proportions and total equity unchanged (3) **(3)**

KASNEB-2022-12-Q5 · December 2022 · 20 marks KASNEB authored

Concepts; unrealised profit; public sector funds; objectives of financial statements

(a) Explain the following accounting concepts: (i) Materiality concept. (2 marks) (ii) Matching concept. (2 marks)
(b) In the context of manufacturing accounts: (i) Explain the term "unrealised profit". (2 marks) (ii) Describe the treatment of unrealised profits in the books of a manufacturing firm. (2 marks)
(c) Explain the following types of funds in public sector accounting: (i) Revolving funds. (2 marks) (ii) Fiduciary funds. (2 marks)
(d) Analyse FOUR objectives of financial statements. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Accounting concepts

(i) Materiality concept: an item is material if omitting, misstating or obscuring it could reasonably be expected to influence the decisions of users of the financial statements. Insignificant items need not be strictly accounted for under the rules (they may be aggregated or expensed immediately, e.g. small tools), while material items must be separately disclosed and correctly treated. Materiality depends on size and nature, judged in the entity's circumstances. **(ii) Matching concept:** expenses are recognised in the same period as the revenue they were incurred to generate, regardless of when cash changes hands. This requires accruals and prepayments so that profit for a period reflects the costs consumed in earning that period's income (e.g. charging depreciation on plant against the output it produced).

(b) Unrealised profit in manufacturing accounts

(i) When finished goods are transferred from the factory to the warehouse at a transfer price above factory cost (cost plus a mark-up), the mark-up on goods still unsold at the year end is profit recorded in the books but not yet realised through sale to outside customers — unrealised profit. **(ii) Treatment:** a provision for unrealised profit is created on the closing inventory of finished goods: the manufacturing account is credited with the total manufacturing profit, but the provision (mark-up element in closing stock) is charged against profit (debited to the statement of profit or loss) and deducted from closing inventory in the statement of financial position, so inventory is shown at factory cost. The provision is released next period against the opening inventory element as the goods are sold.

(c) Public sector funds

(i) Revolving funds: funds established to finance continuing cycles of operations — receipts from the activity (e.g. sales by a government printing department or hospital cost-sharing collections) are retained and reused to

finance further expenditure of the same activity without fresh appropriation each cycle. They operate continuously, replenishing themselves from their own income, subject to regulatory ceilings and audits. **(ii) Fiduciary funds:** funds in which the government holds assets in trust or as agent for individuals, organisations or other governments (e.g. pension contributions, deposits, trust funds). The resources are not the government's own and cannot be used to finance government programmes; they are administered and accounted for separately for the benefit of the specified beneficiaries.

(d) Objectives of financial statements

1. **Provide information about financial performance:** report income, expenses and profit/loss so users can assess profitability, trends and how effectively management used resources during the period.
2. **Provide information about financial position:** show assets, liabilities and equity at the reporting date so users can assess solvency, liquidity and the entity's capital structure and financial adaptability.
3. **Provide information about cash flows:** show how cash was generated and used, helping users assess the entity's ability to generate future cash, meet obligations and pay dividends.
4. **Stewardship and accountability:** enable owners and other stakeholders to evaluate how faithfully management safeguarded and applied resources entrusted to them, and to hold management accountable.
5. **Support economic decisions:** supply relevant, faithfully represented information on which investors, lenders and creditors base decisions to buy, sell, lend or settle terms.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Materiality: information whose omission/misstatement could influence users' decisions; size and nature judged in context (2) **(2)**
- (a)(ii) Matching: expenses matched to the period's related revenue via accruals/prepayments (2) **(2)**
- (b)(i) Unrealised profit: mark-up on unsold finished goods transferred above factory cost (2) **(2)**
- (b)(ii) Treatment: provision for unrealised profit charged to P&L and deducted from closing inventory (shown at cost); released as goods are sold (2) **(2)**
- (c)(i) Revolving funds: self-replenishing funds financing continuing operations from own receipts (2) **(2)**
- (c)(ii) Fiduciary funds: assets held in trust/agency for others, not government's own resources (2) **(2)**
- (d) Any four objectives analysed, 2 marks each (performance, financial position, cash flows, stewardship, decision support, compliance) **(8)**

KASNEB-2021-12-Q5 · December 2021 · 20 marks KASNEB authored

Errors not affecting TB; NPO revenue sources; qualities of useful information

(a) Highlight four types of errors that might not affect the trial balance. (4 marks)
(b) Discuss four sources of revenue for not-for-profit entities. (8 marks)
(c) Evaluate four qualities of useful financial information. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Errors that do not affect the trial balance (any four)

1. **Error of complete omission:** a transaction is entirely left out of the books, so both the debit and credit are missing and the trial balance still agrees. 2. **Error of commission:** the correct amount is posted to the wrong account of the same class, e.g. a receipt from one customer posted to another customer's account.

3. **Error of principle:** a transaction is recorded in the wrong class of account, e.g. a motor vehicle purchase debited to the motor expenses account, offending accounting principle. 4. **Complete reversal of entries:** the correct accounts are used but the debit is credited and the credit debited. 5. **Compensating errors:** two or more unrelated errors cancel each other out in total. 6. **Error of original entry:** the wrong amount is entered in the book of prime entry and posted consistently to both accounts.

(b) Sources of revenue for not-for-profit entities (any four)

1. **Members' subscriptions and entrance fees:** the regular, predictable core income of clubs and societies, charged periodically to members; entrance fees may be treated as income or capitalised depending on policy. 2. **Donations and gifts:** voluntary contributions from members, well-wishers and the public; they may be general (income) or earmarked for a specific purpose, in which case they are credited to a special fund. 3. **Grants:** funding from government, county governments or donor agencies, often conditional on a stated project or service. 4. **Fundraising activities:** harambees, charity dinners, raffles, bazaars, sponsored walks and similar events arranged to raise funds. 5. **Trading and income-generating activities:** surpluses from a bar, canteen, hall hire, printing or farming activities run by the entity. 6. **Investment income:** interest on deposits, dividends and rent from assets held by the entity, together with legacies and bequests.

(c) Qualities of useful financial information (evaluate any four)

1. **Relevance:** information must be capable of making a difference to users' decisions, having predictive or confirmatory value. It is fundamental: irrelevant information, however accurate, is useless — but relevance alone is not enough if the information cannot be trusted. 2. **Faithful representation:** information must completely, neutrally and freely represent the economic phenomena it purports to represent, in substance rather than merely legal form. Together with relevance it is a fundamental quality; without it, relevant information can mislead. 3. **Comparability:** users must be able to compare an entity's position over time and with other entities; consistency of policies and disclosure of changes make trends and relative performance visible, though comparability must not override relevance. 4. **Timeliness:** information loses value as it ages; providing it soon enough means it can still influence decisions, balancing against the cost and risk of preparing it hastily. 5. **Verifiability:** independent observers should be able to reach consensus that information is faithfully represented, which builds confidence in reported results. 6. **Understandability:** information should be classified and presented clearly for users with a reasonable knowledge of business, accepting that some complexity is unavoidable.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Four errors that do not affect the trial balance, correctly identified and described (1 each) **(4)**
- (b) Four sources of NPO revenue discussed (2 each) **(8)**
- (c) Four qualities of useful financial information evaluated (2 each) **(8)**

KASNEB-2020-11-Q5 · November 2020 · 20 marks KASNEB authored

Concepts; reliability characteristics; computerised systems challenges; NPO income sources

(a) Explain the following accounting concepts: (i) Matching concept. (2 marks) (ii) Realisation concept. (2 marks) (b) One of the qualities of accounting information is reliability. Highlight four characteristics that accounting information could have in order for it to be reliable. (4 marks) (c) Outline six challenges that might be faced by an organisation that is switching from a manual accounting system to a computerised accounting system. (6 marks) (d) Discuss three sources of income for non-profit-making organisations. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Accounting concepts

(i) Matching concept: Revenue and the costs incurred in earning that revenue must be recognised in the same accounting period, so that profit is the excess of the period's revenue over the expenses matched against it — regardless of when cash is received or paid. It is the basis of accruals and prepayments: e.g. rent paid in advance is excluded from the current year's expense, and unpaid wages for work done are accrued. **(ii) Realisation concept:** Revenue is recognised (realised) only when it is earned — normally when goods are delivered or services rendered and the amount can be measured reliably — not merely when cash is received or an order is placed. Profits are therefore not anticipated; e.g. a deposit received for goods not yet delivered is deferred income, not revenue.

(b) Characteristics that make accounting information reliable

1. **Faithful representation** — the information represents the substance of transactions and events as they actually occurred, not merely their legal form.
2. **Completeness** — all material transactions and events within the bounds of materiality and cost are recorded and disclosed; nothing material is omitted.
3. **Neutrality (freedom from bias)** — the information is free from deliberate bias intended to influence users toward a predetermined result.
4. **Verifiability / free from material error** — the figures can be checked against source evidence and different knowledgeable observers would reach consensus that they are faithfully represented; prudence in making estimates also supports reliability.

(c) Challenges in switching from a manual to a computerised accounting system

1. **Cost** — purchase of hardware and software, licensing and implementation fees may be heavy, especially for small organisations.
2. **Training and resistance to change** — staff must be retrained; some may resist the new system or fear redundancy, lowering morale and productivity during transition.
3. **Data migration** — transferring and validating existing balances and records from the manual system is time-consuming and error-prone; opening balances may not agree.
4. **System failure and data security risks** — power failures, hardware breakdowns, viruses, hacking and data loss require backups, controls and disaster-recovery arrangements that manual systems did not need.
5. **Parallel running burden** — running both systems during the changeover doubles the workload and can cause confusion and inconsistent outputs.

6. **Choosing suitable software** — selecting a package that fits the organisation's needs (and local tax requirements) is difficult; a wrong choice locks the organisation into an unsuitable system, and dependence on vendors/consultants for support increases.

(d) Sources of income for non-profit-making organisations

1. **Members' subscriptions** — the main recurring source: members pay periodic (usually annual) subscriptions to belong to the club or society. Subscriptions received are adjusted for arrears and amounts paid in advance to arrive at the income of the period.
2. **Donations and fundraising** — gifts from members, well-wishers and sponsors, and proceeds of fundraising activities (harambees, charity walks, dinners). General donations are income of the period; donations for a specific capital purpose are credited to a special fund.
3. **Trading and investment activities** — surpluses from a bar/canteen or other trading sections, competition and entrance fees, hire of the organisation's facilities, and investment income such as dividends and interest on deposits, all of which supplement subscriptions to finance the organisation's objectives.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Matching concept correctly explained (revenue and related costs in the same period; basis of accruals/prepayments) **(2)**
- (a)(ii) Realisation concept correctly explained (revenue recognised when earned, not when cash is received; profits not anticipated) **(2)**
- (b) Any four reliability characteristics (faithful representation; completeness; neutrality; verifiability/free from material error; prudence) **(4)**
- (c) Any six changeover challenges, one mark each (cost; training/resistance; data migration; breakdown/security risks; parallel running; software selection/vendor dependence) **(6)**
- (d) Subscriptions discussed as an income source (with arrears/advance adjustment) **(2)**
- (d) Donations and fundraising discussed (general donations to income; specific-purpose donations to a fund) **(2)**
- (d) Trading/investment income discussed (bar/canteen surpluses, fees, facility hire, dividends/interest) **(2)**

KASNEB-2019-11-Q1 · November 2019 · 20 marks KASNEB authored

Ratio limitations; overhead apportionment; ethics; errors affecting TB

(a) Outline four limitations of ratio analysis. (4 marks) (b) Highlight four principles for apportioning overheads in manufacturing accounts. (4 marks) (c) Explain three guiding principles of ethics for professional accountants. (6 marks) (d) Describe three types of errors that result in the disagreement of trial balances. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Limitations of ratio analysis

1. **Based on historical, possibly outdated data** — ratios are computed from past financial statements, so they may not reflect current conditions or future performance.

2. **No universal standards for comparison** — acceptable levels differ between industries and firms, so a ratio is meaningless without a suitable benchmark; inter-firm comparisons are distorted by different accounting policies (e.g. depreciation and inventory valuation methods).
3. **Ignores qualitative factors and inflation** — ratios capture only quantified financial data; management quality, staff morale and market conditions are excluded, and price-level changes distort comparisons over time.
4. **Window dressing and single-period snapshot** — statements can be manipulated near the year end (e.g. delaying payments to improve liquidity ratios), and ratios based on one date may be unrepresentative of the year as a whole.

(b) Principles for apportioning overheads in manufacturing accounts

1. **Benefit received / service rendered** — overheads are shared in proportion to the benefit each cost centre receives (e.g. canteen and maintenance costs by number of employees).
2. **Floor area occupied** — rent, rates, lighting and building insurance are apportioned according to the floor space occupied by each department.
3. **Technical estimates / usage measures** — power and machine running costs by machine hours, horsepower or units consumed; depreciation by value of machinery in each department.
4. **Ability/equity and survey basis** — where no direct measure exists, apportionment follows a fair and equitable basis determined by a technical survey (e.g. time spent by supervisors, number of workers for welfare costs), applied consistently from period to period.

(c) Guiding principles of ethics for professional accountants

1. **Integrity** — the accountant must be straightforward and honest in all professional and business relationships, and must not be associated with information that is materially false or misleading.
2. **Objectivity** — the accountant must not allow bias, conflict of interest or undue influence of others to override professional or business judgement; threats such as self-interest and familiarity must be identified and addressed.
3. **Professional competence and due care** — the accountant must attain and maintain professional knowledge and skill through continuing development, and act diligently in accordance with applicable technical and professional standards. (Also: **confidentiality** — information acquired professionally must not be disclosed or used for personal advantage without authority, except where there is a legal or professional duty to disclose; and **professional behaviour** — compliance with laws and avoidance of conduct that discredits the profession.)

(d) Errors that result in the disagreement of the trial balance

1. **Partial omission** — only one side of a transaction is recorded (e.g. the cash book shows a payment but the personal account is never posted), so one side of the trial balance is short by the amount.
2. **Posting to the wrong side / single-sided wrong amount** — an amount is debited instead of credited (or posted at a different figure on one side, e.g. transposition in one posting only), making the two sides differ by the amount or twice the amount.
3. **Casting (addition) errors** — a book of prime entry or ledger account is overcast or undercast, so the balance extracted to the trial balance is wrong by the casting difference while the other side is unaffected.

(Also: extracting a wrong balance to the trial balance, or omitting a balance from the trial balance altogether.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four limitations of ratio analysis (historical data; no universal benchmarks/differing policies; ignores qualitative factors and inflation; window dressing/snapshot) **(4)**
- (b) Any four apportionment principles/bases (benefit received; floor area; technical estimates/usage; equitable survey basis, consistently applied) **(4)**
- (c) Integrity explained (honesty; not associated with misleading information) **(2)**
- (c) Objectivity explained (no bias, conflict of interest or undue influence) **(2)**
- (c) Professional competence and due care explained (maintain knowledge/skill; diligence to standards) — or confidentiality/professional behaviour **(2)**
- (d) Partial omission described **(2)**
- (d) Wrong-side or one-sided wrong-amount posting described **(2)**
- (d) Casting errors in books/accounts described (or wrong balance extraction/omission from the trial balance) **(2)**

KASNEB-2018-11-Q1 · November 2018 · 20 marks KASNEB authored

Elements of financial statements; manufacturing terms; cash flow methods

(a) Explain five elements of financial statements as per the Conceptual Framework. (10 marks)
(b) In the context of manufacturing accounts, explain the following terms: (i) Direct cost. (2 marks) (ii) Overheads. (2 marks)
(c) Distinguish between the "direct" and "indirect" methods of presenting cash flows from operating activities. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) Five elements of financial statements (Conceptual Framework)

1. **Asset** — a present economic resource controlled by the entity as a result of past events; an economic resource is a right that has the potential to produce economic benefits. Examples: plant and machinery, inventories, trade receivables, cash.
2. **Liability** — a present obligation of the entity to transfer an economic resource as a result of past events, which the entity has no practical ability to avoid. Examples: trade payables, bank loans, debentures, tax payable.
3. **Equity** — the residual interest in the assets of the entity after deducting all its liabilities (equity = assets − liabilities). It comprises share capital, share premium, reserves and retained earnings.
4. **Income** — increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims. It includes revenue from ordinary activities and other gains.
5. **Expenses** — decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to holders of equity claims. They include cost of sales, wages, rent and depreciation.

(b) Manufacturing terms

(i) Direct cost — a cost that can be traced directly, wholly and economically to a specific product or cost unit. It comprises direct materials, direct labour and direct expenses (e.g. royalties per unit), and together these form the prime cost. **(ii) Overheads** — costs that cannot be traced directly to a specific product but are incurred for the production process or the business as a whole, and are absorbed by products on some equitable basis. Factory overheads include indirect wages, factory rent, power and depreciation of plant; administrative and selling overheads are charged below the factory cost in the income statement.

(c) Direct vs indirect method of presenting operating cash flows

1. **Starting point:** The direct method lists the major classes of **gross cash receipts and gross cash payments** from operating activities (cash received from customers, cash paid to suppliers, cash paid to employees, etc.). The indirect method starts with **profit before tax** and adjusts it to arrive at operating cash flow.
2. **Adjustments:** The direct method does not adjust profit; amounts are extracted from cash records (or derived from income statement and balance sheet movements). The indirect method adjusts profit for **non-cash items** (depreciation, provisions, profits/losses on disposals), **non-operating items**, and **changes in working capital** (inventories, receivables, payables).
3. **Information and use:** The direct method shows the actual cash flows and is regarded as more informative for assessing future cash flows, but it requires more detailed records. The indirect method is simpler to prepare from published financial statements and highlights the difference between profit and cash generated, which is why most entities use it. Both methods give the **same** net cash flow from operating activities, and interest and tax paid are disclosed separately under each.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Five elements correctly explained (asset, liability, equity, income, expenses), 2 marks each **(10)**
- (b)(i) Direct cost: traceable to a cost unit; direct materials + direct labour + direct expenses = prime cost (2) **(2)**
- (b)(ii) Overheads: indirect costs not traceable to a unit, absorbed on an equitable basis, with examples (2) **(2)**
- (c) Three valid distinctions (starting point; treatment of non-cash/working capital adjustments; information content/preparation), 2 marks each **(6)**

KASNEB-2016-05-Q5 · May 2016 · 20 marks KASNEB authored

IPSASB objectives; qualities of useful information; depreciation; errors not affecting TB

(a) Explain two objectives of the International Public Sector Accounting Standards Board (IPSASB). (4 marks)
(b) Analyse three qualities of useful accounting information under the Conceptual Framework. (6 marks)
(c) Distinguish between "depreciation" and "how depreciation ensures funds for replacement purposes" [as printed: "State how depreciation ensures funds for replacement"]. (4 marks)
(d) Identify three errors in bookkeeping that do not affect the agreement of the trial balance. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) Two objectives of the IPSASB (4 marks)

1. **To develop and issue high-quality accounting standards (IPSASs) for the public sector** — a single set of accrual-based (and cash-basis) standards that governments and public sector entities worldwide use to prepare general purpose financial statements, so that public money is reported on a consistent, rigorous basis.
2. **To promote adoption, convergence and improved quality of public sector reporting** — encouraging governments to adopt IPSASs, harmonising national requirements with them and publishing guidance/ studies, thereby strengthening accountability, transparency and decision-making in the management of public resources.

(b) Three qualities of useful accounting information (6 marks)

1. **Relevance:** information is relevant if it can make a difference to users' decisions — it has predictive value (helps forecast future outcomes), confirmatory value (confirms or changes earlier evaluations), or both, and is material to the entity. Financial statements therefore emphasise results, financial position and cash flows that users can act on.
2. **Faithful representation:** information must completely, neutrally and freely from error depict the economic phenomena it purports to represent — substance over legal form, no bias toward a predetermined result, and estimates clearly described where measurement is uncertain.
3. **Comparability (enhancing):** users must be able to compare an entity's statements over time and with other entities; this requires consistent accounting policies, disclosure of policy changes and their effects, and presentation that highlights similarities and differences. (Verifiability, timeliness and understandability are equally acceptable enhancing qualities if analysed.)

(c) Depreciation vs how depreciation "ensures" funds for replacement (4 marks)

Depreciation is the systematic allocation of the depreciable amount (cost less residual value) of a non-current asset over its useful life. It is an application of the matching concept — charging the cost of using the asset against the revenue it helps to earn each period. It is a book entry involving no movement of cash, and it is not a valuation exercise. **How it is said to ensure funds for replacement:** by charging depreciation against profits each year, the profits available for distribution (dividends/drawings) are reduced, so cash equal to the depreciation charge is retained inside the business instead of being paid out. Over the asset's life these retained amounts accumulate and, provided the business remains profitable and keeps the retained funds liquid (or invests them, e.g. in a sinking/replacement fund), the cash is available to buy the replacement asset. Strictly, depreciation itself creates no fund — it merely retains profit; the funds exist only if profits are actually earned and retained.

(d) Three errors that do not affect the agreement of the trial balance (6 marks)

1. **Error of omission (complete omission):** a transaction is left out of the books entirely — both the debit and the credit are missing, so the trial balance still agrees. E.g. a credit purchase of Sh.50,000 never recorded anywhere.

2. **Error of commission:** the correct amount is posted to the wrong person's account of the same class — e.g. a receipt from J. Kamau posted to J. Kamau's namesake account (wrong debtor). Totals are unaffected, so the trial balance agrees.
3. **Error of principle:** a transaction is posted to the wrong class of account, breaching accounting principle — e.g. the purchase of a motor vehicle debited to motor expenses, or repairs debited to the asset account. Both sides of the trial balance carry equal totals, so it still agrees. (Also acceptable: error of original entry — wrong amount recorded in the book of prime entry and posted consistently; complete reversal of entries — debit and credit interchanged; compensating errors — two equal and opposite errors cancelling out.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Objective 1 explained: developing/issuing high-quality IPSASs for public sector financial reporting worldwide **(2)**
- (a) Objective 2 explained: promoting adoption/convergence and improving accountability, transparency and quality of public sector reporting **(2)**
- (b) Quality 1 analysed (relevance — predictive/confirmatory value and materiality, or faithful representation) with application to users' decisions **(2)**
- (b) Quality 2 analysed (faithful representation — complete, neutral, free from error; or an enhancing quality) **(2)**
- (b) Quality 3 analysed (comparability, verifiability, timeliness or understandability) **(2)**
- (c) Depreciation correctly distinguished: allocation of depreciable amount over useful life; matching; non-cash book entry, not a valuation **(2)**
- (c) Replacement-funds explanation: depreciation reduces distributable profit so cash is retained and accumulates for replacement (with the caveat that it creates no fund by itself) **(2)**
- (d) Error 1 identified and explained (complete omission / commission / principle / original entry / reversal / compensating) **(2)**
- (d) Error 2 identified and explained, with a valid example **(2)**
- (d) Error 3 identified and explained, with a valid example **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M01-Q010 – CA11-M01-Q031. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Nature and Purpose of Accounting
- Accounting Equation and Double Entry
- Regulatory Framework, Ethics and Concepts

It brought together **10 KASNEB past-paper worked examples** and **30 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 1 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

The accounting equation, double entry and T-accounts

W. Baraka started a grocery wholesale business, Baraka Fresh Supplies, in Eldoret on 1 March 2026. The following transactions took place during March 2026:

1. Baraka introduced Sh. 750,000 cash into the business as capital.
2. Bought shop equipment for Sh. 90,000 cash.
3. Bought goods on credit from Rift Farm Produce Ltd for Sh. 240,000.
4. Cash sales amounted to Sh. 130,000.
5. Sold goods on credit to several hotels for Sh. 175,000.
6. Paid Rift Farm Produce Ltd Sh. 150,000 cash.
7. Banked Sh. 200,000 of the cash held.
8. Paid rent of Sh. 45,000 by bank transfer.

Required:
(a) Prepare the following ledger accounts for March 2026, balancing each account at 31 March 2026: Cash, Bank, Capital, Equipment, Purchases, Rift Farm Produce Ltd, Sales, Hotels (debtors) and Rent. (14 marks)
(b) Extract a trial balance as at 31 March 2026 and state, in one sentence, what its agreement proves. (6 marks)

Model answer (SokoCPA)

(a) Ledger accounts

Dr		Cash account				Cr
2026		Sh.		2026		
Sh.						
Mar 1	Capital	750,000		Mar 2	Equipment	90,000
Mar 4	Sales	130,000		Mar 6	Rift Farm Produce Ltd	150,000
				Mar 7	Bank	200,000
				Mar 31	Balance c/d	440,000
		880,000				880,000
Apr 1	Balance b/d	440,000				

Dr		Bank account				Cr
2026		Sh.		2026		
Sh.						
Mar 7	Cash	200,000		Mar 8	Rent	45,000
				Mar 31	Balance c/d	155,000
		200,000				200,000
Apr 1	Balance b/d	155,000				

Dr		Capital account				Cr
2026		Sh.		2026		
Sh.						
Mar 31	Balance c/d	750,000		Mar 1	Cash	750,000
		750,000				750,000
				Apr 1	Balance b/d	750,000

Dr		Equipment account				Cr

```
2026                                    Sh.      2026                    Sh.
Mar 2   Cash                          90,000    Mar 31  Balance c/d          90,000
Apr 1   Balance b/d                   90,000

Dr                      Purchases account                          Cr
2026                                    Sh.      2026                    Sh.
Mar 3   Rift Farm Produce Ltd        240,000    Mar 31  Balance c/d         240,000
Apr 1   Balance b/d                   240,000

Dr                  Rift Farm Produce Ltd account                  Cr
2026                                    Sh.      2026                    Sh.
Mar 6   Cash                         150,000    Mar 3   Purchases           240,000
Mar 31  Balance c/d                   90,000
                                      240,000                              240,000
                                               Apr 1   Balance b/d          90,000

Dr                        Sales account                            Cr
2026                                    Sh.      2026                    Sh.
Mar 31  Balance c/d                   305,000    Mar 4   Cash                130,000
                                               Mar 5   Hotels (debtors)    175,000
                                      305,000                              305,000
                                               Apr 1   Balance b/d         305,000

Dr                   Hotels (debtors) account                        Cr
2026                                    Sh.      2026                    Sh.
Mar 5   Sales                         175,000    Mar 31  Balance c/d         175,000
Apr 1   Balance b/d                   175,000

Dr                          Rent account                             Cr
2026                                    Sh.      2026                    Sh.
Mar 8   Bank                          45,000    Mar 31  Balance c/d          45,000
Apr 1   Balance b/d                   45,000
```

(b) Trial balance as at 31 March 2026

Account	Dr (Sh.)	Cr (Sh.)
Cash	440,000	
Bank	155,000	
Equipment	90,000	
Purchases	240,000	
Hotels (debtors)	175,000	
Rent	45,000	
Capital		750,000
Rift Farm Produce Ltd		90,000
Sales		305,000

Account	Dr (Sh.)	Cr (Sh.)
Totals	**1,145,000**	**1,145,000** ✓

The agreement of the trial balance proves only the arithmetical accuracy of the double entry (total debits equal total credits); it is not conclusive proof that the books are error-free.

Equation check: balance-sheet assets = cash 440,000 + bank 155,000 + equipment 90,000 + debtors 175,000 = 860,000. Financed by: capital 750,000 + creditor 90,000 + profit for the month (sales 305,000 − purchases 240,000 − rent 45,000 = 20,000) = 860,000 ✓ — the equation balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Cash account: both receipts (capital 750,000; sales 130,000) debited and all three payments (90,000; 150,000; 200,000) credited **(3)**
- Cash account correctly balanced: balance c/d and b/d Sh. 440,000 debit **(1)**
- Bank account: cash banked 200,000 debited, rent 45,000 credited, balance c/d Sh. 155,000 **(2)**
- Capital account credited 750,000 and Equipment account debited 90,000, each balanced **(2)**
- Purchases debited 240,000 and Rift Farm Produce Ltd credited 240,000, payment 150,000 debited, balance c/d Sh. 90,000 credit **(2)**
- Sales account credited 130,000 (cash) and 175,000 (credit), total Sh. 305,000 credit balance **(2)**
- Hotels (debtors) debited 175,000 and Rent debited 45,000 (paid via bank), each balanced **(2)**
- Trial balance: all nine balances listed on the correct sides **(3)**
- Trial balance totals agree at Sh. 1,145,000 on each side **(2)**
- States that agreement proves arithmetical accuracy of double entry only, not absence of errors **(1)**

Question 2 (20 marks)

Nature of accounting, accountable events and users of accounting information

(a) Accounting has been defined as a science, as an art and as an information system. Explain each of the three definitions, bringing out the key stages emphasised by each. (6 marks)

(b) Tembo Events Ltd is an events management business in Mombasa. During April 2026 the following took place:

(i) Signed a 12-month lease agreement for an office; no payment has yet been made.
(ii) Received a deposit of Sh. 600,000 from a client for a wedding to be catered for in June 2026.
(iii) The owner withdrew Sh. 40,000 cash from the business till for personal use.
(iv) Interviewed and shortlisted a candidate for the post of accountant.
(v) Bought chairs on credit from Bamburi Furniture Ltd for Sh. 320,000.

For each event, state whether it is an accountable event, give a reason, and where it is accountable show the double entry. (7 marks)

(c) Using the acronym GESCLIP, explain the information needs of any THREE users of accounting information, relating each to Tembo Events Ltd. (7 marks)

Model answer (SokoCPA)

(a) Three definitions of accounting

- **As a science:** accounting is the process of *identifying, measuring and communicating* economic information to permit informed judgments and decisions by users of the information. Key stages: **identify → measure → communicate**.
- **As an art:** accounting is the art of *recording (journalising), classifying (posting to the ledger), summarising* in a significant manner and in terms of money, transactions and events which are of a financial character, *and interpreting* the results thereof. Key stages: **record → classify → summarise → interpret**.
- **As an information system:** accounting is a service activity whose function is to provide *quantitative information, primarily financial in nature, about economic entities*, intended to be useful in making economic decisions.

(b) Accountable events

Event	Accountable?	Reason / entry
(i) Lease signed, nothing paid	**No**	A mere executory promise; no financial character yet — nothing has changed hands, so no assets, liabilities or equity have changed.
(ii) Deposit of Sh. 600,000 received	**Yes**	Cash (asset) increases and an obligation (unearned income) is created. Dr Cash 600,000 / Cr Unearned income (deposit) 600,000. It is NOT yet income — the wedding has not taken place.
(iii) Owner withdraws Sh. 40,000	**Yes**	Drawings: cash and capital both fall. Dr Drawings 40,000 / Cr Cash 40,000.
(iv) Interviewing a candidate	**No**	No financial character; the accountant's skill cannot be measured in money and no obligation has arisen. (Paying salary later would be accountable.)
(v) Chairs bought on credit Sh. 320,000	**Yes**	An asset is acquired and a liability created. Dr Furniture and equipment 320,000 / Cr Bamburi Furniture Ltd (creditor) 320,000.

(c) GESCLIP users (any three, applied)

GESCLIP = **G**overnment, **E**mployees, **S**uppliers, **C**ustomers, **L**enders, **I**nvestors, **P**ublic.

- **Government (KRA):** needs Tembo's accounts to assess tax payable — income tax on profits, VAT on catering services and PAYE on staff salaries — and for licence/permit purposes.
- **Suppliers (e.g. Bamburi Furniture Ltd):** before selling chairs on credit they need Tembo's accounts to judge whether the business can pay on time.
- **Customers/clients:** a client paying a Sh. 600,000 deposit months before a wedding needs assurance of the firm's continuity — that it will still exist and honour the booking.
- **Lenders:** a bank asked for a loan to buy a marquee needs the accounts to assess Tembo's ability to repay the loan and interest when due.
- **Employees:** waiters and chefs need the accounts to judge job security and whether bonuses/pension benefits due to them can be paid.
- **Investors:** a potential shareholder deciding whether to buy into Tembo needs performance, position and cash-flow information to make a buy/hold decision.
- **Public:** the Mombasa community uses published information to assess the local economy and the firm's contribution to it.

(Any three, explained and applied, earn full marks.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Science definition given with identify → measure → communicate emphasised **(2)**
- Art definition given with record → classify → summarise → interpret emphasised **(2)**
- Information-system definition given (service activity providing quantitative, primarily financial, information for decisions) **(2)**
- Event (i): correctly NOT accountable — executory promise, no financial character yet **(1)**
- Event (ii): accountable — Dr Cash 600,000 / Cr Unearned income 600,000, and notes it is a liability, not income **(2)**
- Event (iii): accountable — Dr Drawings 40,000 / Cr Cash 40,000 **(1)**
- Event (iv): correctly NOT accountable — no measurable financial effect **(1)**
- Event (v): accountable — Dr Furniture 320,000 / Cr Creditor 320,000 **(2)**
- GESCLIP expanded correctly (Government, Employees, Suppliers, Customers, Lenders, Investors, Public) **(1)**
- Three users' needs explained and applied to Tembo Events (e.g. KRA tax assessment; supplier credit decision; lender repayment assessment) **(6)**

Question 3 (20 marks)

Professional ethics and application of accounting concepts

(a) State and briefly explain the FIVE fundamental principles of professional ethics that a professional accountant must comply with under the IESBA Code of Ethics adopted in Kenya. (10 marks)

(b) For each of the following situations, identify the accounting concept or principle that has been breached and briefly explain the correct treatment:

(i) A Nairobi wholesaler values its closing inventory at expected selling price because "the goods will certainly be sold above cost next month."
(ii) Rent of Sh. 300,000 received in advance for the next financial year is credited in full to this year's rent income.
(iii) The managing director's family holiday, paid for by the company, is recorded as a business travel expense.
(iv) A company recognises its internally developed brand at a valuation of Sh. 8,000,000 as an asset in the statement of financial position.
(v) A company changes its depreciation method every year, choosing whichever method shows the highest profit. (10 marks)

Model answer (SokoCPA)

(a) The five fundamental ethical principles

1. **Integrity** – the accountant must be straightforward and honest in all professional and business relationships.
2. **Objectivity** – the accountant must not allow bias, conflict of interest or the undue influence of others to override professional or business judgments.
3. **Professional competence and due care** – the accountant must maintain professional knowledge and skill at the level required to ensure clients or employers receive competent professional service based on current developments, and must act diligently in accordance with applicable technical and professional standards.
4. **Confidentiality** – the accountant must respect the confidentiality of information acquired through professional and business relationships, must not disclose it to third parties without proper and specific authority (unless there is a legal or professional right or duty to disclose), and must not use it for personal advantage.

5. **Professional behaviour** – the accountant must comply with relevant laws and regulations and avoid any action that discredits the profession.

(b) Concepts breached

(i) **Prudence.** Inventory must be measured at the **lower of cost and net realisable value** (IAS 2). Valuing at selling price anticipates profit before sale, overstating assets and income. Correct treatment: carry at cost (unless NRV is lower, when NRV is used).

(ii) **Accruals concept.** Income must be recognised in the period to which it relates, not when cash is received. Rent received for next year is **prepaid (unearned) income — a current liability**; only the portion earned this year is income.

(iii) **Business entity concept.** The business is separate from its owners/managers. Personal expenditure is not a business expense; it should be treated as **drawings** (or a receivable from the director), not travel expenses.

(iv) **Money measurement / recognition (IAS 38).** Internally generated brands are **never recognised** as assets: their cost cannot be distinguished from the cost of developing the business as a whole, nor measured reliably. The Sh. 8,000,000 must be removed; such expenditure is expensed as incurred.

(v) **Consistency and comparability.** Accounting policies must be applied consistently from period to period so results are comparable; a change is permitted only if it gives more reliable/relevant information and must be disclosed. Switching methods annually to maximise profit also offends neutrality/faithful representation.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Integrity named and correctly explained **(2)**
- Objectivity named and correctly explained **(2)**
- Professional competence and due care named and correctly explained **(2)**
- Confidentiality named and correctly explained (including no unauthorised disclosure/personal use) **(2)**
- Professional behaviour named and correctly explained **(2)**
- (i) Prudence identified; correct treatment = lower of cost and NRV **(2)**
- (ii) Accruals identified; advance rent is prepaid income (current liability), only earned part is income **(2)**
- (iii) Business entity identified; holiday is drawings/director's receivable, not a business expense **(2)**
- (iv) Money measurement/IAS 38 identified; internally generated brands are never recognised — expense as incurred **(2)**
- (v) Consistency/comparability identified; annual method-switching to boost profit is not permitted (changes need justification and disclosure) **(2)**

Question 4 (20 marks)

Statement of financial position and capital by difference; qualitative characteristics

M. Nyambura operates a hardware business in Thika. The following balances were extracted from her books as at 31 December 2025:

	Sh. '000
Premises	18,500
Furniture and fittings	6,400

	Sh. '000
Motor van	5,200
Inventory	9,800
Trade debtors	6,300
Cash at bank	2,150
Cash in hand	350
Trade creditors	4,100
Bank loan (repayable 2028)	8,000
Accrued expenses	600

Required: (a) Compute Nyambura's capital as at 31 December 2025 using the accounting equation. (6 marks) (b) Prepare a statement of financial position as at 31 December 2025 in vertical format, classifying the items correctly. (8 marks) (c) Financial information is useful only if it is relevant and faithfully represented. Explain these two fundamental qualitative characteristics, and describe the trade-off that can arise between relevance (timeliness) and reliability. (6 marks)

Model answer (SokoCPA)

(a) Capital by difference (Sh. '000)

Total assets = 18,500 + 6,400 + 5,200 + 9,800 + 6,300 + 2,150 + 350 = **48,700** Total liabilities = 4,100 + 8,000 + 600 = **12,700** Capital = Assets − Liabilities = 48,700 − 12,700 = **Sh. 36,000 ('000)** = Sh. 36,000,000 ✓

(b) Statement of financial position as at 31 December 2025

	Sh. '000	Sh. '000
Non-current assets		
Premises		18,500
Furniture and fittings		6,400
Motor van		5,200
		30,100
Current assets		
Inventory	9,800	
Trade debtors	6,300	
Cash at bank	2,150	
Cash in hand	350	
		18,600
Total assets		**48,700**
Capital		36,000

	Sh. '000	Sh. '000
Non-current liabilities		
Bank loan (2028)		8,000
Current liabilities		
Trade creditors	4,100	
Accrued expenses	600	
		4,700
Total capital and liabilities		**48,700** ✓

(Non-current assets in order of permanence; current assets in order of liquidity.)

(c) Qualitative characteristics

Relevance: information is relevant if it is capable of making a difference to users' decisions — it has *predictive value* (helps users forecast future outcomes, e.g. a rising trend in profits) and/or *confirmatory value* (confirms or corrects earlier evaluations). Only material information can be relevant.

Faithful representation: information must faithfully represent the transactions and events it purports to represent — it must be *complete* (all material information given), *neutral* (free from deliberate bias, e.g. not choosing policies to inflate profit) and *free from material error*.

The trade-off: users need information quickly (timeliness supports relevance), but information produced in a hurry may be less accurate and less reliable; waiting for complete accuracy may make information arrive too late to influence decisions. Accountants must balance the two — e.g. reporting promptly with careful estimates and disclosing post-reporting-date events — so that information is as relevant as possible without sacrificing faithful representation.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Assets listed and correctly totalled at Sh. 48,700 ('000) **(2)**
- Liabilities listed and correctly totalled at Sh. 12,700 ('000) **(2)**
- Capital computed by difference = Sh. 36,000 ('000) **(2)**
- Non-current assets section correct and totalled at 30,100 (order of permanence) **(2)**
- Current assets section correct and totalled at 18,600 (order of liquidity: inventory, debtors, bank, cash) **(2)**
- Capital 36,000 and non-current liability (loan) 8,000 correctly presented **(2)**
- Current liabilities (creditors 4,100 + accrued expenses 600 = 4,700) correct; statement balances at 48,700 **(2)**
- Relevance explained with predictive and/or confirmatory value **(2)**
- Faithful representation explained (complete, neutral, free from material error) **(2)**
- Trade-off explained: timely reporting vs accuracy/reliability, with the need for balance **(2)**

Question 5 (20 marks)

Objectives of accounting, regulatory framework and accounting standards

(a) Explain the FIVE objectives of accounting, illustrating each with the document or statement in which its result appears. (10 marks)

(b) Distinguish between the roles of the Institute of Certified Public Accountants of Kenya (ICPAK), the International Federation of Accountants (IFAC) and the International Accounting Standards Board (IASB) in the regulation and standard-setting of accounting. (6 marks)

(c) Explain TWO reasons why accounting standards are important, and state ONE limitation of accounting standards. (4 marks)

Model answer (SokoCPA)

(a) The five objectives of accounting

1. **Systematic recording of transactions (bookkeeping).** Every financial transaction is recorded systematically and chronologically in the books of original entry and ledgers, so that a permanent, traceable record exists.
2. **Ascertainment of results.** The statement of profit or loss shows whether the business made a profit (revenue exceeding expenses) or a loss for the period, enabling management to investigate causes and take remedial action.
3. **Ascertainment of financial position.** The statement of financial position shows what the business owns (assets) and owes (liabilities) at a point in time — its financial health.
4. **Providing information for rational decision-making.** Financial reports communicate monetary results to stakeholders (GESCLIP) so they can make sound economic decisions.
5. **Ascertaining solvency and liquidity.** The statement of financial position reveals the ability to meet obligations in the short run (liquidity) and in the long run (solvency) as they fall due.

(b) ICPAK vs IFAC vs IASB

- **ICPAK** (established 1978; operates under the Accountants Act No. 15 of 2008) regulates the accountancy profession **in Kenya**: it promotes professional competence and standards among members, promotes research and publication, promotes international recognition of Kenyan qualifications and advises the examinations board and the Minister on financial accountability.
- **IFAC** (founded 7 October 1977 in Munich) is the **global umbrella body** for the profession, comprising member bodies in over 130 countries. Through its boards (IESBA – ethics, IAASB – auditing, IPSASB – public sector, IAESB – education) it sets international standards on ethics, auditing, education and public-sector accounting; ICPAK is a member.
- **IASB** (formed 2001 under the IFRS Foundation, replacing the IASC) is the independent body that **writes the financial reporting standards themselves** — it develops and issues IFRS and approves Interpretations of the IFRS Interpretations Committee.

In short: ICPAK regulates the Kenyan profession; IFAC coordinates the profession globally; the IASB issues the accounting standards (IFRS/IAS) that Kenya applies.

(c) Importance and limitation of accounting standards

Importance (any two): - **Comparability** – the financial standing of one entity can be measured against another because the numbers were reached the same way ("apples to apples"). - **Transparency** – standards push entities toward openness and limit manipulation/"clever accounting" designed to hide items. - **Relevance and audience confidence** – users (investors, regulators, taxpayers) receive the information they need presented fairly, and can trust and act on it.

Limitation (any one): alternative treatments may each have merit, making the choice between them difficult; standards create a trend toward rigidity and away from flexibility; and standards cannot override statute law — they operate within prevailing law.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Objective 1 (systematic recording) correctly explained **(2)**
- Objective 2 (ascertainment of results — profit or loss) correctly explained **(2)**
- Objective 3 (ascertainment of financial position) correctly explained **(2)**
- Objective 4 (information for rational decision-making) correctly explained **(2)**
- Objective 5 (solvency and liquidity) correctly explained, distinguishing short run from long run **(2)**
- ICPAK role correctly stated (Kenyan regulator under the Accountants Act 2008) **(2)**
- IFAC role correctly stated (global umbrella; ethics/audit/education/public-sector boards) **(2)**
- IASB role correctly stated (issues IFRS under the IFRS Foundation) **(2)**
- Two valid importance points explained (comparability / transparency / relevance / confidence) **(2)**
- One valid limitation stated (alternative treatments / rigidity / cannot override statute) **(2)**

MODULE 2 OF 12

Recording Transactions

Source Documents · Books of Original Entry · Ledgers and Trial Balance · Computerised Accounting Systems

MODULE 2 · RECORDING TRANSACTIONS — LESSON 1

Source Documents

Learning objectives

By the end of this lesson you should be able to:

1. Define a source document and explain its role as input to the accounting system.
2. Identify and describe the 11 source documents in the study text: quotations, purchase orders, statements of account, remittance advices, receipts, petty cash vouchers, sales invoices, purchase invoices, credit notes, debit notes, and bank statements.
3. State the contents of each document and who raises/Issues it.
4. Distinguish between a credit note and a debit note (who issues which, and what it does to the accounts).
5. Explain the control purpose of source documents in the audit trail.

---

1. What is a source document?

The details of financial transactions are described on documents received by, or produced within, an accounting system. These **source documents provide the input into the system** — every journal entry must be traceable back to one. They also act as **control devices and authorizations** (e.g. a purchase order authorizes a purchase; a remittance advice helps match payments to invoices). Without source documents there is no audit trail.

2. The eleven source documents

1. Quotations

A seller's statement to a potential customer of the cost of goods or services **before** purchase. It commits the seller to a price, so it is used where costs are stable and estimable. Contents: price (with breakdown — labour, materials, VAT), time schedule for delivery/completion, period of validity (e.g. 30 days), and how modifications will affect the price.

2. Purchase orders (PO)

A commercial document issued by the **buyer to the seller**, stating types, quantities and agreed prices. Sending a PO is a **legal offer**; the seller's acceptance forms a **contract**. Purposes: clear communication of intentions; protection for the seller against non-payment; management of incoming/pending orders; a standard, economical purchasing procedure; a basis for financial assistance from lenders. Many POs are now transmitted electronically.

3. Statement of account

A record of transactions on a customer's account over a period: opening balance, purchases, payments, adjustments, closing balance — plus minimum payment due where there is a line of credit. Issued by banks (monthly cheque-account statements showing deposits, cleared cheques, debits/credits, interest) and by vendors to customers (usually monthly). Helps the holder manage resources and verify that every line item matches their own records.

4. Remittance advice

A letter sent by the **customer to the supplier** stating that an invoice has been paid — often accompanying the cheque. Not mandatory, but a courtesy that helps the accounts-receivable department **match invoices with payments**; it should specify the invoice number(s) paid. Where cheques are used, invoices are often designed so the customer returns a tear-off remittance slip. The employee opening incoming mail compares cash received with the remittance

advice; if none is returned, the business prepares one. (Modern equivalent: bank transfer forms with the invoice/client number encoded, or scanned remittance data.)

5. Receipts

Raised by the **firm and issued to customers/debtors** on payment (cash, cheque or other means). Shows: firm name and address, date, amount received, receipt number.

6. Petty cash vouchers

A small form documenting each disbursement from the petty cash fund (also called a petty cash receipt; pre-numbered forms are bought from office suppliers). Shows: date, amount, recipient, reason, general ledger account to be charged, initials of the disburser; supporting receipts attached. The completed vouchers document the replenishment cheque.

7. Sales invoice

Raised by the **firm (seller)** to communicate sums due for goods sold. Contents: names and addresses of both firms, invoice date, invoice number, amount due (net of trade discount), description of goods, terms of sale (e.g. acceptable lag between sale and payment).

8. Purchase invoice

Raised by the **creditor (seller)** and sent to the firm on a credit purchase. Contents: names/addresses of creditor and firm, invoice date, invoice number, amount due, description of goods, terms of sale.

9. Credit notes

Raised by the **firm and issued to the debtor** when the debtor returns goods (or is granted an allowance). Contents: names/addresses, amount of credit, credit note number, reason (e.g. wrong type of goods sent). Purpose: to inform the customer that their account has been **credited** — the amount due is reduced or cancelled. *Rule of thumb: all credit notes relate to goods returned by customers.*

10. Debit notes

Raised by the **creditor and issued to the firm** when the firm returns goods to the creditor. Contents: names/addresses, amount of debit, debit note number, reason. Purpose: to inform the firm that the amount due to the creditor has been **reduced or cancelled**.

11. Bank statements

A summary of transactions on a bank account over a period. Historically paper (monthly/quarterly/annual; monthly since 1960s computerisation); now increasingly electronic (PDF e-statements, online viewing, direct download into accounting software). May include cheque images, fee/interest notices and promotional material.

3. The document flow – a Kenyan example

Savannah Traders Ltd (Nairobi) buys 100 bags of maize flour on credit from Unga Suppliers Ltd:

1. Savannah sends a **purchase order** (legal offer) → Unga accepts (contract formed).
2. Unga delivers with a **purchase invoice** (to Savannah) = Unga's **sales invoice**.
3. Savannah returns 5 torn bags → Unga issues a **credit note** to Savannah (Savannah's debtor... actually creditor relationship: Unga is Savannah's creditor).
4. Savannah pays by cheque and sends a **remittance advice** quoting the invoice number.
5. Unga issues a **receipt**.

6. Month-end: Unga sends Savannah a **statement of account**; Savannah reconciles it to its own records before paying the balance.

Exam trap: Credit note vs debit note — always answer from the perspective given: the **seller issues the credit note** (credits the customer's account); the **creditor issues the debit note** when the buyer returns goods. If the question says "we returned goods to our supplier," the document *we receive* is a **debit note**; the one *we issue* to our own customers is a **credit note**.

4. Worked example – documents for a credit sale chain (Sh.)

Jenga Hardware (Nairobi) sells 200 bags of cement on credit to SiteBuild Ltd at Sh. 750 each = Sh. 150,000:

1. Jenga Hardware's salesperson issues a **quotation**: Sh. 750/bag, valid 30 days, delivery within 7 days.
2. SiteBuild issues a **purchase order** (PO 447) for 200 bags — a legal offer; Jenga's acceptance forms the contract.
3. Jenga delivers with a **delivery note**; SiteBuild signs and returns a copy.
4. Jenga issues a **sales invoice** (INV 2210) for Sh. 150,000 → posted to the sales journal.
5. SiteBuild pays by cheque a month later and emails a **remittance advice** quoting INV 2210.
6. Jenga issues a **receipt** (R 8891) on receiving the cheque → posted to the cash book.
7. Month-end: Jenga sends SiteBuild a **statement of account**; SiteBuild reconciles it before paying the next batch.

If 10 bags arrive damaged, SiteBuild returns them: Jenga issues a **credit note** for Sh. 7,500, crediting SiteBuild's account (Dr Sales returns 7,500 / Cr SiteBuild 7,500). From SiteBuild's side, the goods were bought on credit, so the document *it receives from Jenga* is the credit note — but if SiteBuild returns goods to *its* supplier, the supplier issues SiteBuild a **debit note**.

5. Control and the audit trail

- Every figure in the journals must be traceable to a source document (purchase invoice → purchases journal; copy sales invoice → sales journal; cheque counterfoil → cash book).
- Pre-numbering (receipts, petty cash vouchers, invoices, credit/debit notes) exposes missing documents.
- Authorization: POs and vouchers show who approved the spend.
- Remittance advices and statements of account let both sides reconcile — differences are investigated, not ignored.

6. Common exam traps

1. **Who raises what:** receipt (firm, on receiving money) vs remittance advice (customer, on paying); sales invoice (firm, selling) vs purchase invoice (creditor, selling to us).
2. **Credit note ≠ debit note:** credit note is issued by the *firm to its debtor*; debit note by the *creditor to the firm*.
3. **Statement of account is not an invoice** — it summarises the account; it does not create a new liability.
4. A purchase order is a **legal offer**, not yet a contract until accepted.

Key terms (flashcards)

- **Source document** – A document (received or produced) describing a financial transaction; the input to the accounting system and the start of the audit trail.

- **Quotation** – Seller's pre-purchase statement of price, schedule and validity; commits the seller to the price.
- **Purchase order** – Buyer's legal offer to a seller (types, quantities, prices); acceptance forms a contract.
- **Statement of account** – Periodic record of an account: opening balance, transactions, adjustments, closing balance.
- **Remittance advice** – Customer's notice to a supplier that an invoice has been paid, quoting invoice numbers.
- **Receipt** – Firm's acknowledgement of money received: firm name/address, date, amount, receipt number.
- **Petty cash voucher** – Form documenting a petty cash disbursement: date, amount, recipient, reason, GL account, initials.
- **Sales invoice** – Firm's bill to a customer for goods sold on credit.
- **Purchase invoice** – Creditor's bill to the firm for a credit purchase.
- **Credit note** – Issued by the firm to a debtor for goods returned; credits (reduces) the debtor's account.
- **Debit note** – Issued by the creditor to the firm for goods returned; debits (reduces) the creditor's account... (careful: it informs the firm the amount due to the creditor is reduced — the creditor debits the firm's account in *its* books).
- **Bank statement** – Bank's periodic summary of account transactions; basis for bank reconciliation.
- **Audit trail** – The chain of documents and entries linking a transaction from source document to financial statements.

Module summary

Source documents are the input to the accounting system and the start of the audit trail: quotations, purchase orders, statements of account, remittance advices, receipts, petty cash vouchers, sales and purchase invoices, credit and debit notes, and bank statements. Know who issues each one and which book of original entry it feeds. Pre-numbering, authorisation and reconciliation of these documents provide the control that keeps the whole recording system honest.

Exam day tips

- "List and explain source documents" (11 marks) → give all eleven with *who issues it* and *one key content/purpose line* each.
- Always tie each document to the book of original entry it feeds (invoices → day books; receipts/cheques → cash book).
- For scenario questions, track the document from both sides' perspectives (buyer vs seller).

Slide deck at a glance

What is a source document?

- Every journal entry must trace back to one
- They are **control devices and authorizations**
- PO authorizes a purchase; remittance advice matches payments
- Start of the **audit trail**: source document → journals → statements
- No source documents = no audit trail

The eleven documents (1/3)

- **Quotation** – seller's pre-purchase price, schedule, validity
- **Purchase order** – buyer's legal offer; acceptance = contract
- **Statement of account** – periodic record; not a new liability
- **Remittance advice** – customer tells supplier an invoice is paid

- **Receipt** – firm acknowledges money received (name, date, amount, no.)

The eleven documents (2/3)

- **Petty cash voucher** – documents each petty disbursement
- **Sales invoice** – firm bills customer for credit sale
- **Purchase invoice** – creditor bills the firm for credit purchase
- **Credit note** – firm → debtor: returned goods, account credited
- **Debit note** – creditor → firm: returned goods, amount due reduced

The eleven documents (3/3)

- **Bank statement** – bank's periodic summary; basis for reconciliation
- Always state **who issues** each document — examiners test it
- Receipt = firm on receiving money; remittance = customer on paying
- Sales invoice = we sell; purchase invoice = supplier bills us
- Pre-numbering exposes missing documents

Document flow: a credit purchase

- Savannah Traders buys maize flour on credit from Unga
- PO (legal offer) → acceptance forms the contract
- Delivery with invoice → returns trigger a **credit note**
- Cheque paid + remittance advice quoting invoice number
- Month-end statement of account → reconcile before paying

Document flow: a credit sale

- Jenga Hardware sells 200 bags of cement, Sh. 150,000 credit
- Quotation → PO 447 → delivery note → sales invoice INV 2210
- Cheque + remittance advice → receipt R 8891
- Damaged bags returned: Jenga issues **credit note** Sh. 7,500
- Entry: Dr Sales returns 7,500 / Cr SiteBuild 7,500

Control and the audit trail

- Every journal figure must trace to a source document
- Purchase invoice → purchases journal; copy sales invoice → sales journal
- Cheque counterfoil → cash book
- Authorization: POs and vouchers show who approved spend
- Reconcile statements and remittance advices — investigate differences

Key takeaways / exam tips

- Credit note: **seller** issues (credits customer's account)
- Debit note: **creditor** issues when buyer returns goods
- PO is a legal *offer* — not a contract until accepted
- Statement of account summarizes; it does not create liability
- 11-mark question: all eleven + who issues each + one purpose line

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M02-Q010 – CA11-M02-Q029. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 2 · RECORDING TRANSACTIONS — LESSON 2

Books of Original Entry

Learning objectives

By the end of this lesson you should be able to:

1. Explain why books of original entry (journals) exist and why special journals are used.
2. Record transactions in the sales, purchases, returns inwards, returns outwards journals, the cash book (two- and three-column), the petty cash book and the general journal.
3. Post day-book totals and individual entries to the correct ledger accounts with correct double entries.
4. Account for trade discount, cash discount (allowed/received), drawings, and contra entries.
5. Prepare a petty cash book on the imprest system and compute the reimbursement.

---

1. Why journals? Why special journals?

A **book of original entry** (journal) is the first place transactions are formally recorded, in chronological (date) order — a "financial diary". **Specialized journals** group like transactions: all credit sales in the sales journal, all credit purchases in the purchases journal. Why?

- Groups and records transactions of a like nature in one place.
- Saves time: **totals** are posted to the general ledger periodically (usually monthly) instead of posting every transaction.
- Division of labour and stronger **internal control**: different people can keep different journals.

The seven books of original entry in the study text:

Book	Records	Source
Sales journal (sales day book)	Credit sales	Copy sales invoices
Purchases journal (purchases day book)	Credit purchases	Purchase invoices
Returns inwards journal (sales returns)	Goods returned by debtors; allowances	Credit notes issued
Returns outwards journal (purchases returns)	Goods returned to creditors	Debit notes received
Cash book	Cash and bank receipts/payments	Receipts, cheque counterfoils, pay-in slips
Petty cash book	Small cash payments	Petty cash vouchers
General journal (journal proper)	Everything else: non-current asset credit deals, bad debts, corrections, adjusting/closing entries	Correspondence, memos

2. Sales and purchases journals

Sales journal — date, customer name, invoice number, amount. At period end, total it: - Post **each invoice** to the **debit** of the customer's account in the **sales ledger**. - Post the **total** to the **credit** of the Sales account in the general ledger. - Double entry: Dr Debtors (each); Cr Sales (total).

Purchases journal — same columns from purchase invoices received: - Post **each invoice** to the **credit** of the supplier's account in the **purchases ledger**. - Post the **total** to the **debit** of the Purchases account. - Double entry: Dr Purchases (total); Cr Creditors (each).

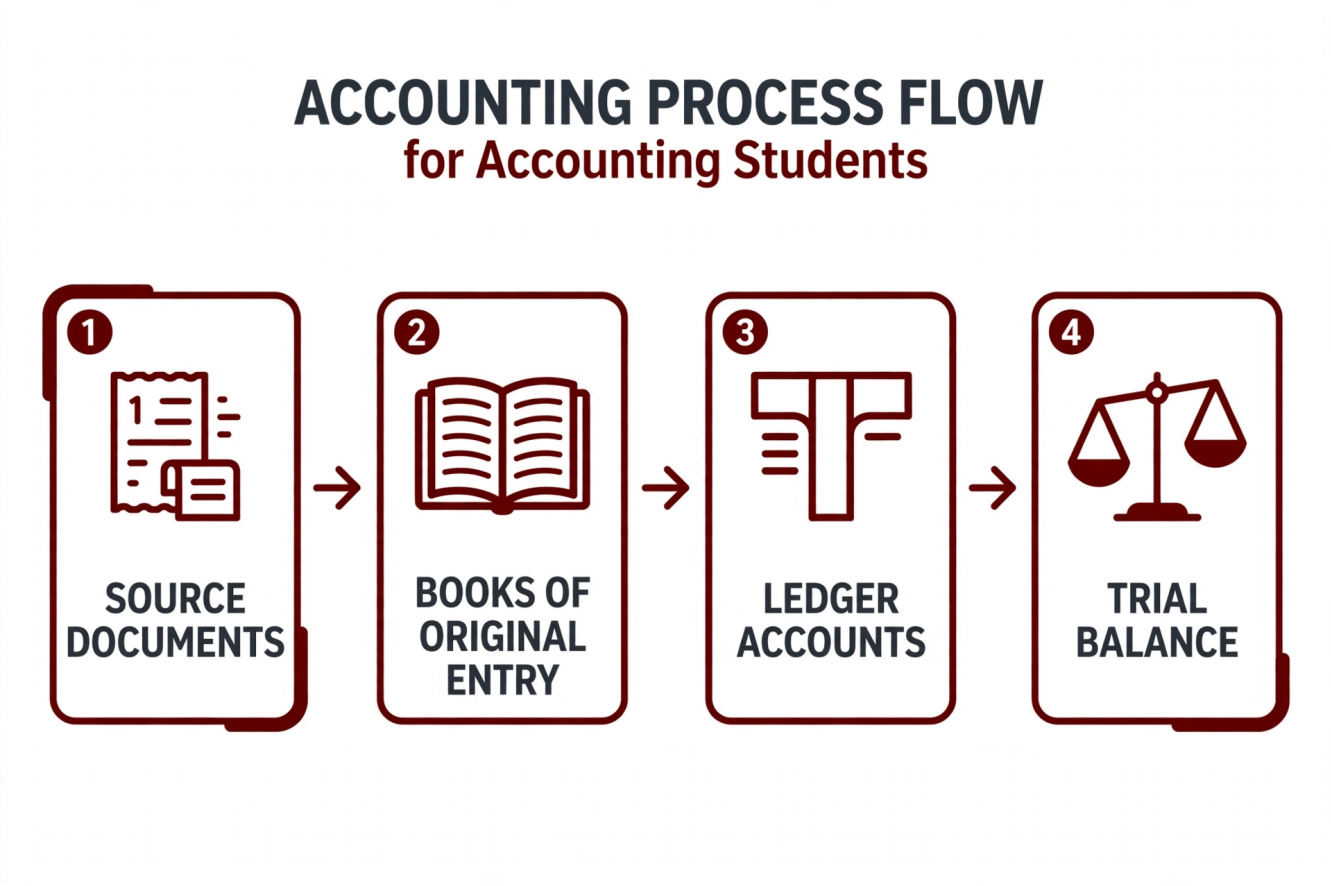
Returns inwards: each credit note → **credit** debtor's account (sales ledger); total → **debit** Returns inwards account. (Dr Returns inwards; Cr Debtors.) **Returns outwards:** each debit note → **debit** creditor's account (purchases ledger); total → **credit** Returns outwards account. (Dr Creditors; Cr Returns outwards.)

Worked example (from the book, July 2011)

Sales journal	Sh.	Purchases journal	Sh.
E. Ken (3 Jul) 510; E. Rose 246; F. Tom 356; A. Ben 307; H. Kim 250; J. Tony 185; E. Rose 188; F. Paul 310; E. Dan 420	**2,772**	K. Amos 380; M. Ochieng 500; N. Oluoch 106; R. Kyule 200; J. Wanja 180; D. Mwangi 410; C. Kange 66; J. Tony 550; K. Musiu 900	**3,292**
Returns inwards: E. Rose 18 + 27; F. Tom 22; E. Ken 30	**97**	Returns outwards: M. Ochieng 30; N. Oluoch 16; J. Wanja 13; C. Kange 11	**70**

Postings: Dr each debtor 2,772 / Cr Sales 2,772; Dr Purchases 3,292 / Cr each creditor 3,292; Dr Returns inwards 97 / Cr debtors 97; Dr creditors 70 / Cr Returns outwards 70. ✓

Trade discount: deducted *before* recording. The book's Moongo example: bought goods Sh. 30,000 less 20% trade discount → record **Sh. 24,000** in the purchases journal; sold Sh. 15,000 less 10% → record **Sh. 13,500**. Trade discount never appears as a ledger account.



3. The cash book

Records **all** cash and bank movements. Left (debit) = receipts; right (credit) = payments. Each side has **cash** and **bank** columns (two-column cash book); adding **discount allowed** (debit side) and **discount received** (credit side) columns makes it three-column.

Contra entries — cash deposited into bank, or cash withdrawn from bank for office use — appear on **both sides** of the cash book (e.g. Dr Bank / Cr Cash, and the mirror). Mark them "C" (contra); they are *not* posted to the ledger (the double entry is complete within the cash book).

Discounts: - **Discount allowed** (to debtors, for prompt payment): Dr Discount allowed; Cr Debtor. The discount columns are *memorandum* — totals are posted: discount allowed total → Dr Discount allowed account; discount received total → Cr Discount received account. - **Discount received** (from creditors): Dr Creditor; Cr Discount received. - Book example: B Ltd owes A Ltd Sh. 1,000,000, pays within the month for 5% discount: Dr Creditor A Ltd 1,000,000 / Cr Bank 950,000, Cr Discount received 50,000. In A Ltd's books: Dr Bank 950,000, Dr Discount allowed 50,000 / Cr Debtor B Ltd 1,000,000.

Drawings: - Cash/bank withdrawn: Dr Drawings; Cr Cash/Bank. - Goods taken for own use: Dr Drawings; Cr **Purchases** (at cost). - Personal expenses paid by the business: Dr Drawings; Cr Expense account (per the book). - Business asset taken over (e.g. vehicle): Dr Drawings; Cr the asset account.

4. Petty cash book and the imprest system

Records small cash payments under analysis columns (postage, stationery, travelling, cleaning, motor expenses, ledger). The **imprest system**: the cashier starts each period with an agreed **float**; spends it; is then **reimbursed exactly what was spent**, restoring the float.

Mmboga Ltd illustration (May 2010): float Sh. 300,000; payments analysed — Cleaning 77,000; Motor expenses 97,000; Postage 41,000; Stationery 26,000; Travelling 45,000; total **286,000**. Balance c/d = 300,000 − 286,000 = **14,000**; reimbursement = **286,000**, restoring the Sh. 300,000 float for June.

Nochad Hotels (book revision): float Sh. 25,000; balance b/d 1,200; bank top-up 23,800 (1,200 + 23,800 = 25,000 ✓); payments: Airtime 2,000 (Telephone), creditor Otieno 8,000 (Ledger), cooking gas 8,000 (Cooking), bus fare 3,000 (Travelling) = 21,000; balance c/d **4,000**; total 25,000 ✓.

Key controls: sequentially pre-numbered vouchers signed by requester and custodian; receipts attached; vouchers + remaining cash must always equal the float; **cash over/short** account for differences (debit = shortage/expense, credit = overage/revenue). The petty cash account itself is only debited/credited when the float is established or changed — not on replenishment.

5. The general journal (journal proper)

For transactions fitting **no** special journal: credit purchase/sale of **non-current assets**, bad debts written off, correction of errors, opening entries, transfers between accounts. Format: date, account(s) debited + amount, account(s) credited + amount, **narration** (description), folio/document reference. Example:

```
2014
Oct 3   Dr Motor vehicles (Onze Motors)      Sh. 200,000
            Cr Onze Motors                                    Sh. 200,000
        (Being purchase of van on credit from Onze Motors)
```

6. Common exam traps

1. **Cash sales/purchases never go in the day books** — only *credit* transactions. Cash sales → cash book debit side; cash purchases → cash book credit side.
2. **Returns inwards = debit** Returns inwards, **credit** debtors; **returns outwards = debit** creditors, **credit** Returns outwards. Reversing these is the classic error.
3. **Trade discount** is deducted before recording and never appears in the ledger; **cash discount** does (discount allowed/received accounts).
4. **Contra entries** are not posted to the ledger — the double entry is inside the cash book.
5. **Imprest reimbursement** = total payments for the period (float − balance c/d), not the float itself.
6. **Non-current assets bought on credit** go to the **general journal**, never the purchases journal (which is for goods for resale).

Key terms (flashcards)

- **Book of original entry (journal)** – First chronological record of transactions; the "financial diary".
- **Specialized journal** – Journal for one transaction type (sales, purchases, returns, cash) enabling summary postings.
- **Sales journal** – Records credit sales; individual debits to debtors, total credited to Sales.
- **Purchases journal** – Records credit purchases; individual credits to creditors, total debited to Purchases.
- **Returns inwards journal** – Records goods returned by customers (from credit notes issued).
- **Returns outwards journal** – Records goods returned to suppliers (from debit notes received).
- **Cash book** – Records all cash and bank receipts (debit) and payments (credit); a book of original entry *and* a ledger account.
- **Contra entry** – Cash ↔ bank transfer recorded on both sides of the cash book; not posted to the ledger.
- **Trade discount** – Deduction from list price; net amount recorded; no ledger account.
- **Cash discount** – Deduction for prompt payment; recorded via discount allowed (Dr) / discount received (Cr).
- **Discount allowed** – Granted to debtors; expense (debit).
- **Discount received** – Granted by creditors; income (credit).
- **Drawings** – Owner's withdrawals (cash, goods at cost, personal expenses, assets); debit Drawings.
- **Petty cash book** – Records small cash payments under analysis columns.
- **Imprest system** – Fixed float; reimbursement equals amount spent, restoring the float.
- **General journal (journal proper)** – Records non-routine transactions with narrations (asset credit deals, corrections, bad debts).

Module summary

Transactions are first recorded in the books of original entry — the day books (sales, purchases, returns inwards/outwards journals), the cash book (with its cash, bank and discount columns) and the petty cash book (imprest system) — before being posted to the ledgers. Each book has a fixed debit/credit logic: credit sales are debited to debtors, discounts allowed are debited, cash received is debited. Mastering which column each item enters is the foundation for everything in Module 3.

Exam day tips

- Day-book questions: rule the columns, total them, then state the **four postings** (two individual-side, two totals) with Dr/Cr — that is where the marks are.
- Petty cash: always prove receipts = payments + balance c/d before computing the reimbursement.
- In three-column cash book questions, balance the cash and bank columns; carry only the *totals* of the discount columns to the ledger.

Slide deck at a glance

Why journals? Why special journals?

- First formal record — a 'financial diary' in date order
- Special journals group like transactions together
- Totals posted monthly to the ledger — saves time
- Enables division of labour and stronger internal control
- Seven books: sales, purchases, returns ×2, cash, petty cash, general

Day books: the four postings

- **Sales journal**: Dr each debtor / Cr Sales (total)
- **Purchases journal**: Dr Purchases (total) / Cr each creditor
- **Returns inwards**: Dr Returns inwards (total) / Cr each debtor
- **Returns outwards**: Dr each creditor / Cr Returns outwards (total)
- Only **credit** transactions — cash sales never enter day books

Trade discount vs cash discount

- **Trade discount** deducted before recording; never in the ledger
- Moongo example: Sh. 30,000 less 20% → record **Sh. 24,000**
- Sold Sh. 15,000 less 10% → record **Sh. 13,500**
- Trade discount has **no ledger account**
- Cash discount does — discount allowed / received

The cash book (2- and 3-column)

- Debit side = receipts (cash + bank columns); credit side = payments
- Third column adds **discount allowed** (Dr) / **discount received** (Cr)
- **Contra entries** (cash ↔ bank) marked 'C' — not posted to ledger
- Discount totals posted: allowed → Dr account; received → Cr account
- Sh. 1,000,000 at 5% discount: Dr Creditor / Cr Bank 950,000, Cr disc. rec. 50,000

Drawings entries

- Goods taken: Dr Drawings / Cr **Purchases** (at cost)
- Cash/bank withdrawn: Dr Drawings / Cr Cash/Bank
- Personal expenses paid: Dr Drawings / Cr Expense account
- Asset taken over: Dr Drawings / Cr the asset account
- Non-current asset bought on credit → **general journal**, not purchases journal

Petty cash and the imprest system

- Fixed **float**; reimbursed exactly what was spent
- Mmboga: float 300,000 − spent 286,000 → reimburse **286,000**
- Analyse columns: postage, stationery, travelling, motor, cleaning
- Reimbursement = payments for the period, not the float

- Over/short: shortage = expense (Dr), overage = revenue (Cr)

The general journal

- For what fits no special journal: narrations required
- Credit deals in **non-current assets**, bad debts, corrections, opening entries
- Narration explains the entry in one line
- Shows folio/document reference for the audit trail
- Example: Dr Motor vehicles / Cr Onze Motors Sh. 200,000

Key takeaways / exam tips

- Returns inwards = Dr; returns outwards = Cr — reversing loses marks
- Trade discount: net recorded, no account; cash discount: in ledger
- Contra entries are *not* posted — double entry completes in cash book
- Imprest reimbursement = float − balance c/d
- Day-book question: state the four postings with Dr/Cr — that's the marks

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2018-05-Q2 · May 2018 · 20 marks KASNEB authored

General journal and sales ledger control accounts

(a) The general journal is a book of original entry used to record transactions which cannot be entered in any other book of prime entry.

Required:
Explain SIX uses of the general journal. (6 marks)

(b) The following information was extracted from the books of Pie Ltd. for the month of April 2018:

Sh."000
Sales ledger control account balance (1 May 2017) 1,633 (Dr)
Sales day book total for the year 38,246
Receipts from customers 22,586
Returns inwards 384
Discount allowed 139
Interest on overdue accounts 62
Bills receivable received 783
Dishonoured bills receivable 15
Debtors' cheques dishonoured 31
Bad debts written off 288
Refunds to debtors 95
Set off against purchase ledger accounts 129
Balances in the sales ledger as at 30 April 2018 16
Cash sales 2,903

Additional information:
1. Legal costs of Sh.23,000 debited to individual customers' accounts had not been entered in the control account.

2. A bill of exchange for Sh.25,000 due from a customer had been omitted from the control account.
3. Bank charges of Sh.8,000 debited by the bank in error had been included in the control account as receipts from customers.
4. One of the customers, Sheila, was declared bankrupt owing Sh.420,000. A cheque of 40 cents to the shilling was received in respect of the debt. Legal proceedings have been instituted against the debtor for the balance.
5. Cash discount amounts of Sh.14,000 had been recorded in individual customers' accounts but not in the control account.

Required:
(i) A revised sales ledger control account for the year ended 30 April 2018. (8 marks)
(ii) A revised total of the schedule of receivables as at 30 April 2018. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) SIX USES OF THE GENERAL JOURNAL 1. Opening entries — to open a new set of books or a new accounting period by recording the opening assets, liabilities and capital (Dr assets, Cr liabilities and capital). 2. Correction of errors — to correct errors that cannot be corrected through the subsidiary books, e.g. errors of principle, complete reversal of entries, and one-sided postings (with the suspense account where the trial balance is affected). 3. Closing entries — to transfer balances of nominal (income and expense) accounts to the income statement and to close off the accounts at the end of the period. 4. Adjusting entries — accruals and prepayments, provisions for depreciation, allowances for doubtful debts, and other year-end adjustments that do not pass through the cash book or day books. 5. Irregular/non-routine transactions — purchase or sale of non-current assets on credit, writing off bad debts, dishonoured bills, and other transactions for which no other book of prime entry exists. 6. Transfer entries — transfers between accounts, e.g. setting off a balance in the sales ledger against a balance in the purchases ledger (contra), or reclassifying an amount from one account to another.

(b)(i) PIE LTD — SALES LEDGER CONTROL ACCOUNT FOR THE YEAR ENDED 30 APRIL 2018 (Sh."000)

Debit side: Balance b/d 1,633 Credit sales (sales day book) 38,246 Interest on overdue accounts 62 Dishonoured bills receivable 15 Dishonoured cheques 31 Refunds to customers 95 Legal costs debited to customers (note 1) 23 Bank error reversed (note 3) 8 Total debits 40,113 Credit side: Receipts from customers 22,586 Returns inwards 384 Discount allowed 139 Bills receivable received 783 Bad debts written off 288 Contra set-off with purchases ledger 129 Bill of exchange omitted (note 2) 25 Sheila: dividend received on bankruptcy (note 4) 168 Sheila: balance written off as bad debt (note 4) 252 Discount allowed not previously recorded (note 5) 14 Balance c/d 15,345 Total credits 40,113

Workings: control account before the additional information: debits 1,633 + 38,246 + 62 + 15 + 31 + 95 = 40,082; credits 22,586 + 384 + 139 + 783 + 288 + 129 = 24,309; balance = 15,773. Cash sales of 2,903 are correctly EXCLUDED — they are not credit sales and never enter the sales ledger. Note 4: Sheila owed 420; the 40-cents-in-the-shilling dividend = 420 × 0.40 = 168 received; the irrecoverable balance 420 − 168 = 252 is written off as a bad debt (the debt is extinguished in bankruptcy). Note 3: the bank's error was wrongly treated as a receipt from customers, reducing the control balance; reversing it debits the control account with 8.

(b)(ii) REVISED TOTAL OF THE SCHEDULE OF RECEIVABLES AS AT 30 APRIL 2018 (Sh."000)

Total of the list of balances as originally extracted (W1) 15,765 Less: Sheila — dividend received recorded in her account (168) Less: Sheila — balance written off in her account (252) Revised total of debit balances in the

sales ledger 15,345 Less: credit balances in the sales ledger (16) Net total agreeing with the revised sales ledger control account 15,345

W1. The original schedule total is obtained by reconciling the unadjusted control balance (15,773) for the items that were in one record but not the other: legal costs 23 (in the individual accounts, not the control) +23; bill of exchange 25 (credited in the customer's account, omitted from the control) −25; bank charges 8 (in the control as receipts, not in the individual accounts) +8; discounts 14 (in the individual accounts, not the control) −14 → 15,773 + 23 − 25 + 8 − 14 = 15,765. The individual accounts already contained the legal costs and the discounts, so the only post-listing changes to the schedule are Sheila's receipt and write-off (420 in total), bringing the schedule to 15,345 — agreeing with the revised control account, which proves the arithmetical accuracy of the sales ledger.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any six uses of the general journal correctly explained (opening entries; closing entries; correction of errors; adjusting entries such as accruals/prepayments/depreciation; non-routine transactions such as credit purchase of assets and bad debts written off; transfers/contra entries) — 1 mark each **(6)**
- (b)(i) Control account main body: opening balance 1,633, credit sales 38,246, receipts 22,586, returns inwards 384, discounts allowed 139, bills receivable 783, bad debts 288, set-off 129 — correctly sided **(3)**
- (b)(i) Dishonoured items debited (bills receivable 15, cheques 31), interest on overdue accounts 62 and refunds 95 debited; cash sales 2,903 correctly excluded **(2)**
- (b)(i) Adjustments: legal costs +23 Dr; omitted bill of exchange 25 Cr; bank error 8 Dr (reversal of fictitious receipts); discounts 14 Cr **(2)**
- (b)(i) Sheila: dividend 168 (420 × 40%) credited and balance 252 written off; revised control balance Sh. 15,345,000 Dr and account totals agree (40,113) **(1)**
- (b)(ii) Original schedule total derived as 15,765 by reconciling the unadjusted control balance for items in one record only (legal costs +23, bill −25, bank error +8, discounts −14) **(3)**
- (b)(ii) Schedule adjusted for Sheila's receipt and write-off (420) to a revised total of Sh.15,345,000, agreeing with the revised control account (credit balances in the ledger of 16 identified in arriving at gross/net totals) **(3)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M02-Q001 – CA11-M02-Q032. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 2 · RECORDING TRANSACTIONS — LESSON 3

Ledgers and Trial Balance

Learning objectives

By the end of this lesson you should be able to:

1. Explain the double-entry rules for assets, liabilities, capital, expenses and revenues.
2. Post transactions to T-accounts and balance them (balance c/d and b/d).
3. Distinguish personal, real and nominal accounts; and the sales, purchases and general ledgers.
4. Extract a trial balance and explain its purpose.
5. Explain why a trial balance may agree yet still contain errors (errors not disclosed), with examples.

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1. Double-entry rules recap

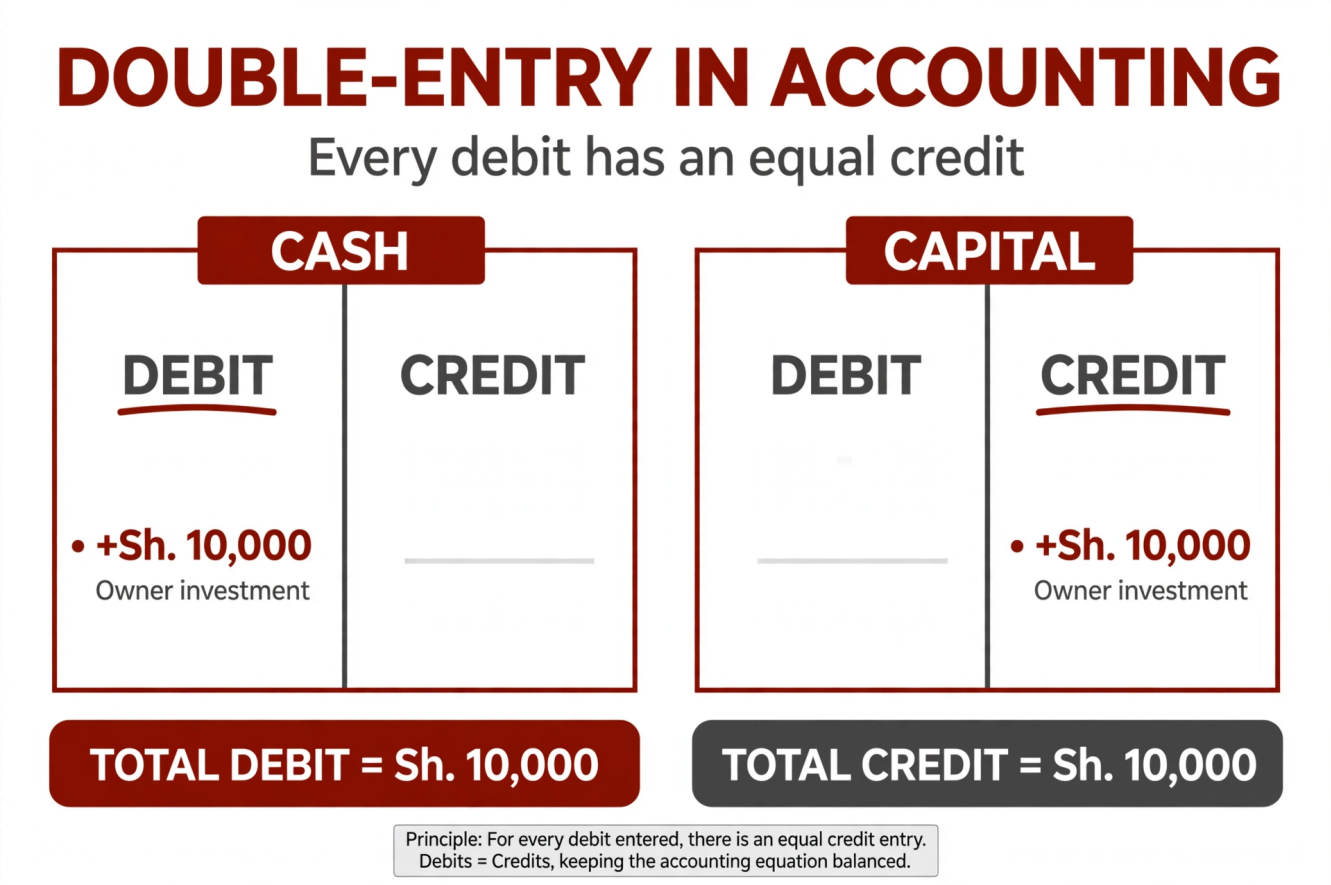
Every transaction changes **at least two** nominal ledger accounts — one debit, one credit — keeping **Assets = Liabilities + Capital** true. The system was first codified by the Franciscan friar **Luca Pacioli** in the 15th century.

- **Assets:** increase = debit; decrease = credit.
- **Liabilities/Capital:** increase = credit; decrease = debit.
- **Expenses:** increase = debit (like assets — both involve expenditure paid for).
- **Revenues:** increase = credit (money received is first debited to cash/bank).

Before writing any entry: (i) identify the accounts affected; (ii) decide debit vs credit for each.

Worked example – trader's first transactions (from the book)

1. **Starts business with Sh. 500,000 cash (1 Jan 2014):** Dr Cash 500,000 / Cr Capital 500,000 (asset ↑, capital ↑).
2. **Buys furniture Sh. 50,000 cash (2 Jan):** Dr Furniture 50,000 / Cr Cash 50,000 (asset swap).
3. **Buys motor vehicle on credit from Tamim Motors Sh. 200,000 (3 Jan):** Dr Motor vehicle 200,000 / Cr Tamim Motors 200,000 (asset ↑, liability ↑).
4. **Pays Tamim Motors Sh. 200,000 cash (20 Jan):** Dr Tamim Motors 200,000 / Cr Cash 200,000 (liability ↓, asset ↓).
5. **Pays stationery Sh. 10,000 cash (2 Feb):** Dr Stationery (expense) 10,000 / Cr Cash 10,000.
6. **Receives rent Sh. 15,000 cash (10 Feb):** Dr Cash 15,000 / Cr Rent received (income) 15,000.
7. **Pays salaries Sh. 56,000 by cheque (28 Feb):** Dr Salaries 56,000 / Cr Bank 56,000.



2. The ledger

The **ledger** is the classified record of transactions — the principal (indeed, the only essential) book of account. Items are grouped into **accounts** (usually T-form). Accounts fall into:

- **Personal accounts** – persons/organizations the trader deals with, including the trader's own capital and drawings accounts.
- **Impersonal accounts:**
- **Real accounts** – property/things: cash, stock, furniture, motor vehicles, investments.
- **Nominal accounts** – revenues, gains and losses used in computing profit/loss: salaries, rent, discounts, bad debts, commissions.

Posting the **opening entry**: debit sides of assets "To Balance b/d", credit sides of liabilities/capital "By Balance b/d".

Sub-division of the ledger

- **Sales ledger** – individual debtor (customer) accounts.
- **Purchases ledger** – individual creditor (supplier) accounts.
- **General ledger** – everything else (assets, liabilities, capital, income, expenses).

The **sales ledger** helps track profits/losses, reveals sales trends, aids tax returns and audits. The **purchases ledger** records creditors' accounts; its balance is normally a **credit** balance (unless credit notes/overpayments exceed it).

Postings from the book's July 2011 illustration: each credit sale debited to the customer's sales-ledger account (Omondi 1,870 + 550; Achieng 1,660; Charles 120; Mwangi 2,890; Aketch 660; Sarah 280; Cate 780 = 8,810) and the sales-journal total 8,810 credited to Sales in the general ledger. Purchases: each supplier credited (K. Amos 380; M.

Ochieng 500; N. Oluoch 106; R. Kyule 200; J. Wanja 180; D. Mwangi 410; C. Kange 66; J. Tony 550; K. Musiu 900 = 3,292) and 3,292 debited to Purchases. ✓

3. The trial balance

Because every debit has a matching credit, the **total of all debit balances must equal the total of all credit balances**. The **trial balance** lists every open general-ledger account with debit and credit columns to verify this. Agreement is **good but not conclusive** proof of accuracy — many errors leave it agreeing.

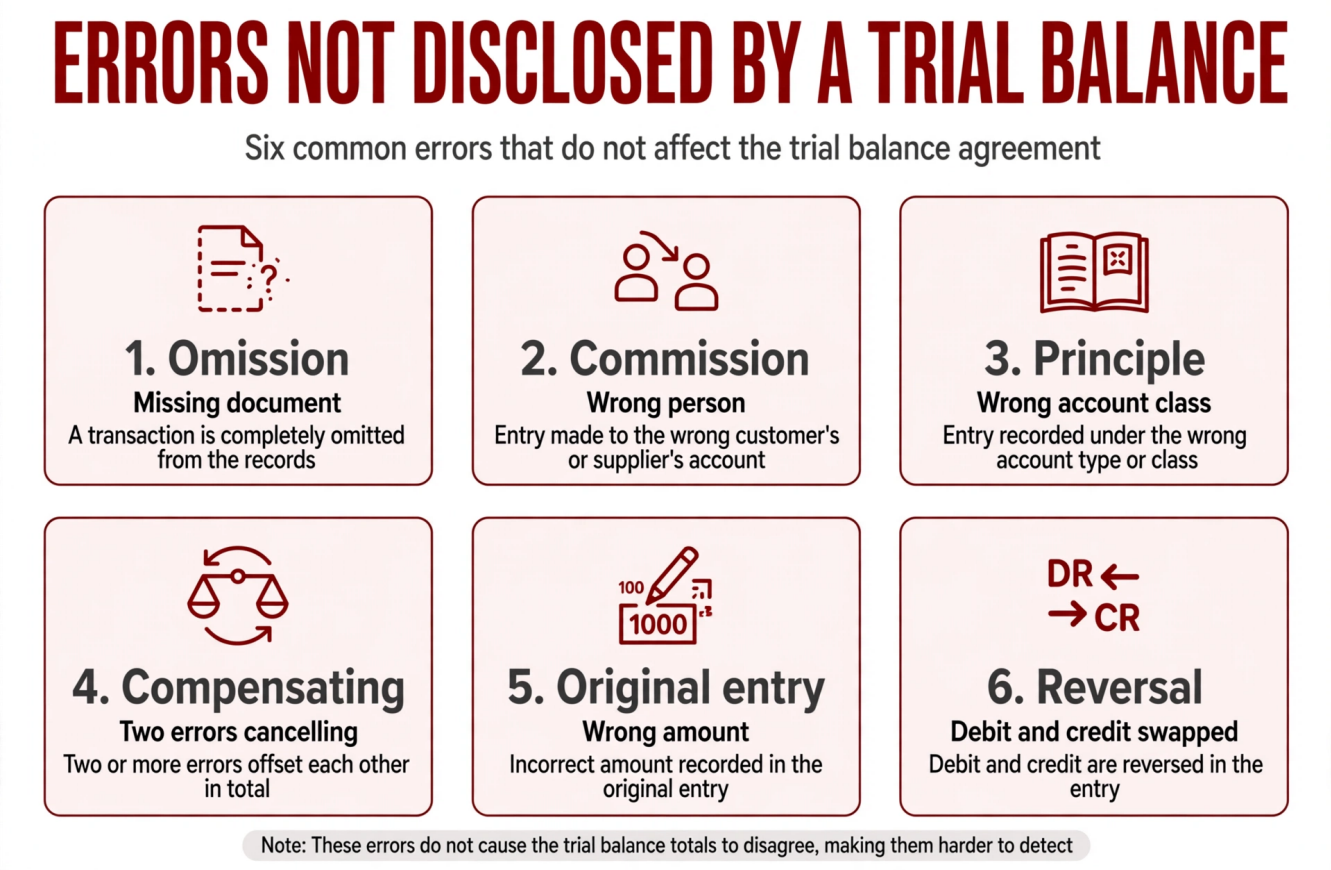
Worked example – S. Grace, March 2003 (from the book, Sh. '000)

Ledger balances extracted: Capital 1,500 (Cr); Purchases 421 (Dr); Cash in hand 363 (Dr); Bank 311 (Dr); Rent expense 28 (Dr); Sales 132 (Cr); Fixtures 120 (Dr); Debtor J. Sarah 40 (Dr); Debtor P. Lutz 29 (Dr); Motor vehicle 395 (Dr); Motor expenses 15 (Dr); Returns inwards 14 (Dr); Creditor R. Robert 120 (Cr); Stationery 15 (Dr); Returns outwards 17 (Cr); Building repairs 18 (Dr).

Trial balance as at 31 March 2003	Dr (Sh. '000)	Cr (Sh. '000)
Capital		1,500
Purchases	421	
Cash in hand	363	
Bank	311	
Rent expense	28	
Sales		132
Fixtures	120	
Debtor – J. Sarah	40	
Debtor – P. Lutz	29	
Motor vehicle	395	
Motor expenses	15	
Returns inwards	14	
Creditor – R. Robert		120
Stationery	15	
Returns outwards		17
Building repairs	18	
Totals	**1,769**	**1,769** ✓

Note the logic of each column: **debit balances** — assets, expenses, drawings, returns inwards, purchases; **credit balances** — capital, liabilities, income, returns outwards, sales. Returns inwards is a debit (it reduces sales); returns outwards is a credit (it reduces purchases).

4. Errors NOT disclosed by a trial balance



KASNEB examines this heavily (the book's revision Question 1 asks for four, with examples):

1. **Error of omission** – a transaction completely omitted (e.g. a Sh. 150,000 credit purchase never entered in the purchases day book). No debit, no credit — TB still agrees.
2. **Error of commission** – correct amount, wrong personal account (e.g. payment to Daniel Olunya debited to Alois Olunya's account). Right side, wrong account — TB agrees.
3. **Error of principle** – wrong *class* of account (e.g. stationery Sh. 125,000 debited to Purchases; warehouse repairs Sh. 500,000 debited to Office premises). Debit/credit correct in total — TB agrees.
4. **Compensating errors** – two errors cancelling out (e.g. salaries recorded as 320,000 instead of 230,000 — over-debit 90,000 — plus another 90,000 under-debit elsewhere).
5. **Error of original entry** – wrong amount in the book of original entry, then posted as recorded (both sides equally wrong).
6. **Reversal of entries** – debit and credit swapped (e.g. discount received posted to discounts *allowed*). Equal amounts — TB agrees.
7. **Complete reversal / duplication** – an entry posted twice (double debit, double credit).

When the TB **fails to agree**, the difference is parked in a **suspense account** while errors are investigated (book: Sh. 442,000 debit difference in Benard Masita's books). Journal corrections then clear the suspense account.

5. Worked example – suspense account and correction (Sh.)

A trial balance fails to agree: the debit side is short by **Sh. 442,000**, so a suspense account is opened with a **debit balance of 442,000** to force agreement. Investigation finds seven errors:

1. Sh. 30,000 cash received from Mwende was credited to **Mwangi's** account → error of commission. Correction: Dr Mwangi 30,000 / Cr Mwende 30,000. (Double entry was complete — no suspense.)
2. Stationery Sh. 125,000 was debited to **Purchases** → error of principle. Correction: Dr Stationery 125,000 / Cr Purchases 125,000. (No suspense.)
3. Sales of Sh. 160,000 were entered in the sales journal as Sh. 16,000 → error of original entry, one side short. Correction: Dr Suspense 144,000 / Cr Sales 144,000.
4. Discount received Sh. 42,000 was debited to **discounts allowed** → reversal of entries. Correction: Dr Suspense 84,000 / Cr Discounts allowed 42,000 / Cr Discounts received 42,000.
5. Rent paid Sh. 90,000 was under-recorded by Sh. 81,000 on the debit side only → one-sided. Correction: Dr Rent 81,000 / Cr Suspense 81,000.
6. A payment of Sh. 133,000 to a creditor was credited in the cash book but never debited to the creditor's account → one-sided. Correction: Dr Creditor 133,000 / Cr Suspense 133,000.
7. A cheque for Sh. 456,000 received from a debtor was debited to cash but never credited to the debtor's account → one-sided. Correction: Dr Cash 456,000 / Cr Suspense 456,000.

Dr	Suspense account		Cr
	Sh.		Sh.
Balance b/d	442,000	Rent (5)	81,000
Sales (3)	144,000	Creditor (6)	133,000
Discounts (4)	84,000	Cash (7)	456,000
	670,000		670,000

The suspense account clears to **nil** — proof every one-sided error has been found. If it did not clear, an error would remain undiscovered: say so and show the outstanding balance.

Exam method: (1) Park the difference in suspense. (2) For each error, decide: one side only (suspense involved) or both sides equally (no suspense)? (3) Journal each correction. (4) Prove suspense clears to zero.

6. Common exam traps

1. **Returns inwards is a DEBIT balance; returns outwards is a CREDIT balance.** The single most-tested TB placement.
2. **Discount allowed (Dr) vs discount received (Cr)** — same logic as returns.
3. **Drawings is a debit balance** (it reduces capital but sits on the debit side).
4. **Bank overdraft is a credit balance** (a liability), even though it lives in the cash book.
5. A TB that agrees proves **arithmetical accuracy of double entry only** — never call it "proof the accounts are correct".
6. **Provision for depreciation** and **provision for doubtful debts** are **credit** balances (contra-assets).

Key terms (flashcards)

- **Double entry** – System where every transaction is recorded as equal debits and credits in at least two accounts (codified by Luca Pacioli, 15th century).

- **Ledger** – The classified record of transactions; the principal book of account.
- **Personal account** – Account of a person/organization dealt with (debtors, creditors, capital, drawings).
- **Real account** – Records property/things (cash, stock, furniture, vehicles).
- **Nominal account** – Records revenues, gains and losses (salaries, rent, discounts, bad debts).
- **Sales ledger** – Ledger of individual debtor accounts.
- **Purchases ledger** – Ledger of individual creditor accounts (normally credit balance).
- **General ledger** – Ledger for all non-personal accounts plus totals.
- **Trial balance** – List of all ledger balances proving total debits = total credits; not conclusive proof of accuracy.
- **Suspense account** – Temporary account holding a TB difference pending investigation.
- **Error of omission / commission / principle** – Omitted entirely / right amount wrong personal account / wrong class of account.
- **Compensating errors** – Two or more errors cancelling each other.
- **Balance c/d** – Balancing figure carried down to close an account for the period.
- **Balance b/d** – Opening balance brought down for the new period (opposite side).

Module summary

The ledger classifies journal entries into personal, real and nominal accounts (sales, purchases and general ledgers). The trial balance lists every balance to prove total debits equal total credits — it confirms arithmetical accuracy of double entry but misses six error types (omission, commission, principle, compensating, original entry, reversal). When it fails to agree, the difference is parked in a suspense account and cleared through journal corrections.

Exam day tips

- In TB questions, sort accounts mentally first: assets/expenses/drawings/returns inwards → debit; capital/liabilities/income/returns outwards → credit.
- "Four errors not disclosed by a TB" = 8–10 marks: name each, define it, and give the book's example.
- Always show both TB columns totalled and ticked (✓) — presentation marks.

Slide deck at a glance

Double-entry rules recap

- Assets ↑ = Dr, ↓ = Cr; liabilities/capital ↑ = Cr, ↓ = Dr
- Expenses ↑ = Dr (like assets); revenues ↑ = Cr
- First codified by **Luca Pacioli** (15th century)
- Before any entry: identify accounts, then decide Dr/Cr
- Every transaction keeps Assets = Liabilities + Capital true

The ledger and account types

- The **ledger** is the classified record — the principal book of account
- **Personal**: debtors, creditors, capital, drawings
- **Real**: property/things — cash, stock, furniture, vehicles
- **Nominal**: revenues, gains, losses — salaries, rent, discounts
- **Sales ledger** (debtors), **purchases ledger** (creditors), **general ledger** (rest)

The trial balance

- Total debits must equal total credits — the TB verifies this

- Agreement is good but **not conclusive** proof of accuracy
- S. Grace TB (Sh. '000): Dr 1,769 = Cr 1,769 ✓
- Debit balances: assets, expenses, drawings, returns inwards, purchases
- Credit balances: capital, liabilities, income, returns outwards, sales

Errors not disclosed (1/2)

- **Omission** – transaction never entered (e.g. Sh. 150,000 purchase)
- **Commission** – wrong personal account (paid Daniel, debited Alois)
- **Principle** – wrong class (repairs debited to Office premises)
- **Compensating** – two errors cancelling (e.g. ±90,000)

Errors not disclosed (2/2)

- **Original entry** – wrong amount posted equally on both sides
- **Reversal** – Dr/Cr swapped, e.g. discount received in discount allowed
- **Duplication** – entry posted twice (double Dr, double Cr)
- TB proves **arithmetical accuracy of double entry only**
- 'Four errors' = 8–10 marks: name, define, give the book's example

Suspense account and corrections

- Difference parked in **suspense account** while investigated
- One-sided errors touch suspense; complete entries do not
- Benard Masita: Sh. 442,000 debit difference parked in suspense
- Each error: journal correction with/without suspense
- Suspense must clear to **nil** — proof every error was found

Suspense worked example

- Error 3: sales 160,000 entered as 16,000 → Dr Suspense 144,000
- Error 4: discount received in discount allowed → Dr Suspense 84,000
- Error 7: debtor receipt not credited → Cr Suspense 456,000
- Suspense T-account: Dr 670,000 = Cr 670,000 → nil ✓
- Method: park, journal, prove it clears

Key takeaways / exam tips

- Returns inwards = **debit**; returns outwards = **credit** — most tested placement
- Drawings = debit; bank overdraft = **credit** balance
- Discount allowed = Dr; discount received = Cr
- Sort accounts mentally first: assets/expenses → Dr; capital/liabilities/income → Cr
- Show both columns totalled and ticked — presentation marks

KASNEB past-paper worked examples

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KASNEB-2022-12-Q1 · December 2022 · 20 marks KASNEB authored

Control accounts (Jiwe Traders); correction of errors (Ujenzi Enterprises)

(a) Balances extracted from the books of Jiwe Traders for the month of November 2022 (Sh.): Debit balances (1 November 2022): sales ledger 5,698,000; purchases ledger 36,750. Credit balances (1 November 2022): sales ledger 141,750; purchases ledger 2,288,300. Payments to suppliers 4,057,200; Interest charged by creditors on overdue accounts 241,500; Receipts from credit customers 6,223,000; Bad debts written off 130,200;

Customers' dishonoured cheques 91,350; Interest charged to customers on overdue accounts 336,350; Debt collection expenses charged to debtors 37,800; Credit notes received from suppliers 93,450; Discounts received 498,750; Discounts allowed 733,950; Purchases (including cash purchases of Sh.532,000) 4,669,000; Cash sales 2,163,000; Credit sales 7,238,700; Credit notes issued to customers 262,500; Contra settlement 129,150. Balances as at 30 November 2022: purchases ledger (debit) 50,400; sales ledger (credit) 177,450.

Required: (i) Sales ledger control account for the month ended 30 November 2022. (6 marks) (ii) Purchases ledger control account for the month ended 30 November 2022. (5 marks)

(b) The trial balance of Ujenzi Enterprises failed to agree on 30 June 2022; the difference was transferred to a suspense account. Errors revealed: (1) The purchases day book had been undercast by Sh.1,200,000. (2) Purchases on credit from Demario Ltd. for Sh.600,000 had been posted to their account as Sh.6,000,000. (3) A purchase of a machine worth Sh.8,400,000 had been posted to the repairs of machinery account. (4) A customer returned goods worth Sh.1,200,000; the transaction had been entered in the sales returns day book and posted to the debit of the customer's account. (5) Sh.7,200,000 owed by Jeru Ltd., a customer, had been omitted when drawing up the schedule of debtors. (6) A cash discount of Sh.240,000 had been correctly entered in the cash book but had not been posted to the customer's account.

Required: (i) Journal entries to correct the errors (narrations not required). (6 marks) (ii) Suspense account duly balanced (including the opening balance). (3 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) Sales ledger control account — November 2022 (Sh.)

Dr		Cr	
Balance b/d	5,698,000	Balance b/d (credit balances)	141,750
Credit sales	7,238,700	Bank (receipts)	6,223,000
Dishonoured cheques	91,350	Discounts allowed	733,950
Interest charged to customers	336,350	Bad debts written off	130,200
Debt collection expenses	37,800	Credit notes issued	262,500
Balance c/d (credit balances)	177,450	Contra settlement	129,150
		Balance c/d (debit balances)	5,959,100
	13,579,650		13,579,650

(a)(ii) Purchases ledger control account — November 2022 (Sh.)

Dr		Cr	
Balance b/d (debit balances)	36,750	Balance b/d	2,288,300
Bank (payments to suppliers)	4,057,200	Credit purchases (4,669,000	
Discounts received	498,750	− cash purchases 532,000)	4,137,000
Credit notes received	93,450	Interest charged by creditors	241,500
Contra settlement	129,150	Balance c/d (debit balances)	50,400
Balance c/d (credit balances)	1,901,900		
	6,717,200		6,717,200

Closing balances proved: sales ledger debit balances Sh.5,959,100; purchases ledger credit balances Sh. 1,901,900. Cash sales and cash purchases are excluded.

(b)(i) Journal entries — Ujenzi Enterprises (Sh.)

```
1. Dr Purchases account                              1,200,000
      Cr Suspense account                                          1,200,000
   (Purchases day book undercast — purchases understated.)
2. Dr Demario Ltd. account                           5,400,000
      Cr Suspense account                                          5,400,000
   (Credit purchase of 600,000 was credited to the supplier's account as
    6,000,000; the excess credit of 5,400,000 is now reversed.)
3. Dr Machinery account                              8,400,000
      Cr Repairs of machinery account                              8,400,000
   (Machine wrongly charged to repairs now capitalised — no suspense effect.)
4. Dr Suspense account                               2,400,000
      Cr Customer's account                                        2,400,000
   (Goods returned by a customer were debited instead of credited to his
    account; twice the amount corrects the error.)
5. Dr Jeru Ltd. (accounts receivable)                7,200,000
      Cr Suspense account                                          7,200,000
   (Debtor's balance omitted from the schedule of debtors now included.)
6. Dr Suspense account                                 240,000
      Cr Customer's account                                          240,000
   (Cash discount entered in the cash book but not posted (credited) to
    the customer's account.)
```

(b)(ii) Suspense account (Sh.)

```
Dr                                                                  Cr
Balance b/d                        11,160,000   Purchases day book undercast
1,200,000
Customer — goods returned           2,400,000   Demario Ltd. (excess credit)
5,400,000
Customer — discount not posted        240,000   Jeru Ltd. — omitted debtor
7,200,000
                                   13,800,000
13,800,000
```

The corrections credit the suspense account with 1,200,000 + 5,400,000 + 7,200,000 = 13,800,000 and debit it with 2,400,000 + 240,000 = 2,640,000; the account therefore opened with a **debit balance of Sh.11,160,000** and is fully cleared by the corrections.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Sales ledger control: closing debit balance 5,959,100; dishonoured cheques, interest and debt collection expenses debited; credit balances b/d 141,750 and c/d 177,450 correctly placed **(6)**
- (a)(ii) Purchases ledger control: credit purchases 4,137,000 (cash purchases excluded); interest charged by creditors 241,500 credited; closing credit balance 1,901,900 **(5)**
- (b)(i) Journals 1–3: purchases undercast 1,200,000 via suspense; Demario overposting 5,400,000 via suspense; machine capitalised 8,400,000 (no suspense) **(3)**
- (b)(i) Journals 4–6: goods returned 2,400,000 via suspense (double); Jeru debtor 7,200,000 via suspense; discount not posted 240,000 via suspense **(3)**

- (b)(ii) Suspense account balanced: credits from corrections 13,800,000, debits 2,640,000, opening debit balance 11,160,000 **(3)**

KASNEB-2021-08-Q1 · August 2021 · 20 marks KASNEB authored

Types of errors; functions of the IASB; purchases ledger control account (Dada Traders)

(a) Explain the following types of accounting errors: (i) Compensating errors. (2 marks) (ii) Complete reversal of entry. (2 marks) (iii) Error of commission. (2 marks)
(b) Discuss three functions of the International Accounting Standards Board (IASB). (6 marks)
(c) The following information was extracted from the books of Dada Traders for the month of May 2021: Balances on purchases ledger as at 1 May 2021: Debit balance Sh.980,000; Credit balance Sh.2,990,000. Transactions during the month of May 2021 (Sh."000"): Purchases on credit 39,245; Purchases returns 895; Cheques paid to trade payables 23,370; Cash paid to trade payables 6,515; Discounts received from trade creditors 1,155; Credit sales offset against credit purchases 1,780; Credit purchase of a motor vehicle posted in the purchases ledger 2,990. Balance as at 31 May 2021 (Debit) Sh.885,000.
Required: Purchases ledger control account for the month ended 31 May 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Types of accounting errors

(i) **Compensating errors:** two or more separate and unrelated errors that cancel each other out in their effect on the trial balance — for example an understatement of one debit by Sh.500 and an understatement of a credit by Sh.500 — so the trial balance still agrees even though errors exist. (ii) **Complete reversal of entry:** a transaction is recorded with the correct accounts and the correct amount, but the account that should be debited is credited and vice versa, e.g. a payment to a creditor debited to the bank account and credited to the creditor's account. The trial balance still agrees. (iii) **Error of commission:** the correct amount is posted to the wrong person's account of the same class, e.g. a sale to J. Church posted to the account of J. Chane; the trial balance is unaffected.

(b) Functions of the IASB (any three)

1. **Developing and issuing International Financial Reporting Standards (IFRSs):** the IASB has sole responsibility for setting IFRS Accounting Standards, following a due process of research, discussion papers and exposure drafts. 2. **Approving interpretations:** it approves interpretations of the Standards developed by the IFRS Interpretations Committee, which clarify how Standards apply to specific transactions. 3. **Promoting convergence and adoption:** it works with national standard-setters and regulators worldwide to promote the rigorous application of IFRSs and the convergence of national standards with IFRSs, so that financial reporting is comparable across borders. 4. It also works to improve existing Standards through amendments and its post-implementation reviews, and supports implementation through educational material.

(c) Purchases ledger control account for May 2021 (Sh."000")

The credit purchase of a motor vehicle (2,990) is not a trade purchase and is excluded from the purchases ledger control account: credit purchases = 39,245 − 2,990 = 36,255.

```
Dr side:
  Balance b/d (debit balances)                          980
  Purchases returns                                     895
  Bank – cheques paid to trade payables              23,370
  Cash paid to trade payables                         6,515
  Discounts received                                  1,155
  Contra – credit sales offset against purchases      1,780
  Balance c/d (credit balances)                       5,435
                                                     40,130
Cr side:
  Balance b/d (credit balances)                       2,990
  Purchases on credit (39,245 – 2,990 vehicle)       36,255
  Balance c/d (debit balances)                          885
                                                     40,130
```

The credit balance carried down as at 31 May 2021 is **Sh.5,435,000**.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Compensating errors explained **(2)**
- (a)(ii) Complete reversal of entry explained **(2)**
- (a)(iii) Error of commission explained **(2)**
- (b) Three functions of the IASB discussed (2 each) **(6)**
- (c) Opening balances entered: debit 980, credit 2,990 **(1)**
- (c) Credit purchases adjusted to 36,255 by excluding the motor vehicle purchase of 2,990 **(2)**
- (c) Payments, returns, discounts received and contra correctly posted (23,370; 6,515; 895; 1,155; 1,780) **(2)**
- (c) Closing debit balance 885 brought in **(1)**
- (c) Closing credit balance Sh.5,435,000 derived as the balancing figure **(2)**

KASNEB-2015-09-PILOT-Q5 · September 2015 Pilot Paper · 20 marks KASNEB authored

Financial asset categories (IAS 39 era); sales and purchases ledger control accounts (Ally Ltd)

(a) Explain two categories of financial assets. (4 marks)
(b) Ally Ltd. has provided the following financial information for the month ended 31 August 2015 (Sh."million"): Receivables debit balance as at 1 August 2015 1,200; Payables credit balance as at 1 August 2015 800; Credit purchases 2,840; Allowance for irrecoverable debts (30 June 2009) 60; Credit sales 3,630; Returns inwards 100; Discounts received 9; Returns outwards 40; Interest charged to credit customers on overdue accounts 20; Discounts allowed 6; Receipt from credit customers 2,904; Payment to creditors 2,207; Irrecoverable debts written off 12; Customers cheques dishonoured 50; Payables ledger credits transferred to receivables 240.
Additional information: 1. An amount of Sh.200,000 previously written off was received in the month of August 2015. 2. Claims by Ally Ltd. for price reduction in the month of August due to defective goods was approved by suppliers amounting to Sh.150,000. 3. An invoice issued of Sh.480,000 was omitted from the relevant day book.
Required: (i) Sales ledger control account. (8 marks) (ii) Purchases ledger control account. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Two categories of financial assets

Era note: this pilot paper (September 2015) was set while IAS 39 "Financial Instruments: Recognition and Measurement" was in force; the categories below are the IAS 39 categories the paper expects. (IFRS 9 replaced IAS 39 for periods beginning on or after 1 January 2018 and instead classifies financial assets - by business model and cash-flow characteristics - as amortised cost, fair value through other comprehensive income, or fair value through profit or loss.) **1. Financial assets at fair value through profit or loss (FVTPL):** This category covers assets **held for trading** (acquired principally to sell in the near term, such as shares or bonds held by a dealer) and assets **designated** at fair value through profit or loss on initial recognition under the fair value option. They are measured at **fair value**, with all gains and losses - realised and unrealised - recognised **in profit or loss** for the period, and transaction costs are expensed as incurred. **2. Loans and receivables:** These are **non-derivative financial assets with fixed or determinable payments that are not quoted in an active market** - for example trade receivables, loans advanced and bank deposits. They are measured at **amortised cost** using the effective interest method, less any impairment allowance, with interest income recognised in profit or loss over the life of the asset. *(The other two IAS 39 categories, for completeness: held-to-maturity investments - debt instruments the entity has the positive intention and ability to hold to maturity, measured at amortised cost; and available-for-sale financial assets - the residual category, measured at fair value with gains and losses recognised in other comprehensive income until disposal or impairment.)*

(b)(i) Sales ledger control account for the month ended 31 August 2015 (Sh. million)

Dr	Sh.m	Cr	Sh.m
Balance b/d	1,200	Receipt from credit customers	2,904
Credit sales	3,630	Returns inwards	100
Invoice issued omitted from the day book (Sh. 480,000)	0.48	Discounts allowed	6
Interest charged on overdue accounts	20	Irrecoverable debts written off	12
Customers cheques dishonoured	50	Payables ledger credits transferred to receivables (contra)	240
		Balance c/d	1,638.48
	4,900.48		**4,900.48**

Closing balance: Sh.1,638.48 million (debit).

(b)(ii) Purchases ledger control account for the month ended 31 August 2015 (Sh. million)

Dr	Sh.m	Cr	Sh.m
Payment to creditors	2,207	Balance b/d	800
Discounts received	9	Credit purchases	2,840
Returns outwards	40		
Claims for price reduction approved by suppliers (Sh.150,000)	0.15		

Dr	Sh.m	Cr	Sh.m
Receivables ledger debits transferred (contra)	240		
Balance c/d	1,143.85		
	3,640		**3,640**

Closing balance: Sh.1,143.85 million (credit). *Excluded items:* the Sh.200,000 (0.2 million) received in August 2015 for a debt previously written off is a recovery credited to profit or loss (bad debts recovered); it does not pass through either control account (additional information 1). The allowance for irrecoverable debts of 60 is a valuation allowance set against receivables in the statement of financial position, not a control account item. The contra transfer of 240 appears in both control accounts.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) First category correctly explained with its measurement basis (e.g. financial assets at fair value through profit or loss, or loans and receivables at amortised cost) (2) **(2)**
- (a) Second category correctly explained with its measurement basis (2) **(2)**
- (b)(i) Balance b/d 1,200 and credit sales 3,630 debited (1) **(1)**
- (b)(i) Omitted invoice issued of Sh.480,000 (0.48 million) debited (1) **(1)**
- (b)(i) Interest charged on overdue accounts 20 debited (1) **(1)**
- (b)(i) Customers cheques dishonoured 50 debited (1) **(1)**
- (b)(i) Receipts 2,904 and returns inwards 100 credited (1) **(1)**
- (b)(i) Discounts allowed 6 and irrecoverable debts written off 12 credited (1) **(1)**
- (b)(i) Contra transfer 240 credited (1) **(1)**
- (b)(i) Closing debit balance Sh.1,638.48 million (1) **(1)**
- (b)(ii) Balance b/d 800 and credit purchases 2,840 credited (1) **(1)**
- (b)(ii) Payment to creditors 2,207 debited (1) **(1)**
- (b)(ii) Discounts received 9 debited (1) **(1)**
- (b)(ii) Returns outwards 40 debited (1) **(1)**
- (b)(ii) Supplier-approved price-reduction claims Sh.150,000 (0.15 million) debited (1) **(1)**
- (b)(ii) Contra transfer 240 debited (1) **(1)**
- (b)(ii) Bad-debt recovery of Sh.200,000 and the allowance for irrecoverable debts correctly excluded from the control accounts (1) **(1)**
- (b)(ii) Closing credit balance Sh.1,143.85 million (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 5 · Medium 3 · Hard 2), serials CA11-M02-Q012 – CA11-M02-Q037. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 2 · RECORDING TRANSACTIONS — LESSON 4

Computerised Accounting Systems

Learning objectives

By the end of this lesson you should be able to:

1. Explain the role of computers in accounting and the objects of introducing them (labour saving, time saving, accuracy, fraud minimization, morale).
2. Explain the need for computerised accounting (volume, instant reporting, paper reduction, flexible reporting, queries, online facility, security, scalability).
3. Describe the special features and requirements (accounting framework, operating procedure/database design) of a computerised system.
4. Evaluate the benefits/advantages and disadvantages of computerised accounting.
5. Discuss the challenges: user training, system dependency, hardware, system failure, backups, voucher management, security.

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1. Role of computers in accounting

Manual accounting maintains journals, cash books, special-purpose books and ledgers by hand, then prepares summaries and financial statements manually. Technology progressed from billing machines (computing discounts, net totals, posting to accounts) to machines linked to a **computer** that stores and processes data with greater speed and accuracy — making **real-time** maintenance of accounting data possible and convenient.

2. Objects of introducing computers

1. **Labour saving** – annual savings in labour cost, or more work handled by existing staff.
2. **Time saving** – jobs completed within specified times (payrolls, statements of account); time saved is redeployed.
3. **Accuracy** – statements free of errors/mistakes; errors and frauds located easily.
4. **Minimization of frauds** – reduces chances of fraud by employees in books and cash handling.
5. **Effect on personnel** – relieves manual drudgery and fatigue; improves morale.

3. Need for computerised accounting

- **Numerous transactions** – large volumes handled with speed and accuracy.
- **Instant reporting** – quick, quality reports because of speed and accuracy.
- **Reduction in paperwork** – manual systems need vast storage for books, vouchers and documents; computerisation dispenses with them beyond a certain volume.
- **Flexible reporting** – reports of any balance, for any duration within the accounting period, generated on demand.
- **Accounting queries** – e.g. overdue customers' accounts answered via **SQL** on the database — difficult and expensive manually.
- **Online facility** – store and process data online; retrieve information and view financial reports instantly.
- **Accuracy** – reliable, undistorted information for decision-making (manual reports by many hands are prone to distortion).
- **Security** – data kept confidential, more secure than manual books.

- **Scalability** – copes with business growth; only additional data operators needed for extra vouchers.

4. Special features

1. Quick preparation of accounts; statements available on time. 2. Control over accounting work and records. 3. Minimum errors and mistakes. 4. Uniform statements and records. 5. Easy access and reference. 6. Flexibility in maintaining accounts. 7. Less clerical work — neat and accurate. 8. Adapts to current and future needs. 9. Real-time comprehensive MIS reports; instant access to critical information.

5. Requirements of a computerised system

1. **Accounting framework** – sound accounting principles, coding and grouping structure (the application environment). In practice this is the **chart of accounts**: every supplier, customer, bank and nominal code must be defined before the first transaction is posted, because reports can only ever be as good as the coding behind them.
2. **Operating procedure** – a well-conceived operating procedure blended with a suitable operating environment. Computer accounting is **database-oriented**: transaction data stored in a well-organized database; the user works through an interface and extracts reports by transforming stored data into information. The operating procedure documents *who* may post *what*, *when* month-end close happens, and *how* backups and reconciliations are performed — without it, even the best software produces unreliable accounts.

5A. Choosing the software – factors to consider when sourcing accounting software

Section 5 gives the requirements of the *system*; a favourite exam companion is how an organisation should choose **which package to buy**. When sourcing accounting software, consider:

1. **Cost** – not just the purchase price or licence, but implementation, training, annual support and upgrade fees, weighed against the budget. (The cheapest package is often the most expensive mistake.)
2. **Fit with the organisation's needs** – the package must handle the entity's actual work: transaction volumes, required modules (general ledger, payables, receivables, payroll, inventory), multi-branch and multi-currency needs, and Kenyan statutory outputs (VAT returns, KRA **eTIMS** e-invoicing, PAYE/NSSF/SHIF payroll deductions).
3. **Ease of use and training** – a user-friendly interface matched to staff skill levels; how much training staff need (and whether the vendor provides it) determines whether the system is actually adopted — recall challenge 1 in §8.
4. **Vendor reputation and support** – a stable, reputable supplier with local after-sales support, a help desk, and a user base in Kenya; a package abandoned by its vendor becomes unusable when law or tax rates change.
5. **Compatibility** – it must run on the organisation's existing hardware and operating systems and integrate with other systems in use (e.g. bank feeds, M-Pesa, the existing payroll) without costly replacement.
6. **Security and controls** – passwords, graded user-access levels, audit trails and backup/recovery facilities (the software version of the "security" need in §3 and voucher management in §8).
7. **Scalability and flexibility** – it should cope with growth in transaction volume and users, and be customisable (chart of accounts, report formats) as the business changes — §3's scalability need applied at purchase time.
8. **Reliability and performance** – speed, stability and a proven record; frequent crashes at month-end are disqualifying (system failure, §8).

Worked example – applying the factors (KASNEB style): *A Nakuru wholesaler must choose between Package X (cheap, no payroll module, offshore vendor, support by email only) and Package Y (costlier, includes payroll with Kenyan statutory deductions, local vendor with next-day support, M-Pesa integration).* Applying the factors: X fails on **fit** (no payroll), **vendor support** and **compatibility** (no M-Pesa integration); Y wins despite higher **cost**, because total cost includes the manual payroll workaround X would force. Model closing line: *"The organisation should select the package that best fits its needs and statutory obligations at a total cost it can sustain, from a vendor able to support and update it — not simply the cheapest licence."*

Exam trap: the question says *sourcing* (choosing/buying), not *using*. Answers that list the benefits of computerisation (§6) instead of selection factors score zero — anchor every point to the **decision**: cost, fit, ease of use, vendor, compatibility, security, scalability, reliability.

Key term (add to flashcards): - Sourcing factors (software) – Cost, fit with needs, ease of use/training, vendor reputation and support, compatibility, security/controls, scalability, reliability.

6. Benefits/advantages

1. **Better quality work** – uniform, neat, accurate, legible.
2. **Lower operating costs** – labour- and time-saving; economies on volume.
3. **Improved efficiency** – speed and accuracy in records.
4. **Better control** – management gets greater control and more information.
5. **Greater accuracy** – prevents clerical errors and omissions.
6. **Relieves monotony** – tiresome repetitive jobs automated.
7. **Standardization** – of routines and procedures.
8. **Minimizes mathematical errors** – virtually eliminated unless data is entered wrongly at source.

7. Disadvantages

1. **Reduction of manpower** – fewer employees; unemployment.
2. **High cost** – installation and maintenance; uneconomical for small firms or under-utilized systems.
3. **Requires special skills** – scarce, costly operators.
4. **Other problems** – frequent repairs, power failure, viruses; and the complacency risk — people assume the computer is always right, so problems go unchecked.

8. Challenges/problems

1. **User training** – operators must learn computer basics, the OS (Windows/DOS) and the accounting software.
2. **System dependency** – total dependence; hardware failure or power cuts halt verification of accounts.
3. **Hardware requirements** – full computer + printer + software; beyond small organizations' means.
4. **System failure** – hard-disk crash can lose everything — catastrophic at financial year-end.
5. **Backups and prints** – regular backups (restorable) and printouts as manual records are essential.
6. **Voucher management** – software makes altering data easy; a voucher posted to the wrong head is hard to trace back — disciplined voucher management is vital.
7. **Security** – passwords, locks and access controls against unauthorized handling of hardware/software.

9. Computerised accounting in the Kenyan context

A Nairobi SME today typically runs an off-the-shelf package (QuickBooks, Sage, Tally) or an ERP module (SAP Business One, Microsoft Dynamics) rather than a bespoke system. The book's principles map directly onto what these packages do:

- **Chart of accounts = the accounting framework.** Setting up the coding structure (e.g. 1000–1999 assets, 2000–2999 liabilities) is literally requirement 1 above; a bad chart of accounts produces bad reports forever.
- **Source documents become data-entry screens.** A sales invoice screen posts automatically to the sales journal, debtor's account, VAT control and inventory — the "books of original entry" and "ledgers" of Lessons 1–3, updated simultaneously.
- **Bank feeds and M-Pesa integration** automate the cash book: mobile-money settlements import daily, and the accountant's job shifts from keying to **matching and reconciling** (Lesson 5 of Module 3 territory).
- **KRA e-invoicing (eTIMS)** makes the sales journal a compliance document: invoices must be transmitted to KRA in real time, so the system's accuracy and uptime are legal requirements, not just conveniences.
- **User rights** implement the control lessons: the cashier who raises invoices cannot also approve credit notes; the book's "authorization" and "voucher management" points become permission matrices.

Implementation pitfalls (exam "discuss" material): (1) migrating dirty opening balances — garbage in, garbage out; (2) parallel running costs — staff keep manual books alongside the system for months; (3) under-training — the commonest cause of failure, linking back to challenge 1; (4) no documented operating procedure — the system drifts from the accounting framework until reports are meaningless.

10. Manual vs computerised — the comparison examiners ask for

Feature	Manual system	Computerised system
Speed	Slow; month-end takes days	Real-time; reports on demand
Accuracy	Prone to casting/posting errors	Accurate if input is correct
Volume	Limited by staff numbers	Scales with data operators
Reporting	Fixed formats, prepared by hand	Flexible; any period, any balance
Audit trail	Physical vouchers and books	Electronic logs; easier to alter, so voucher management is critical
Cost	Cheap to start, expensive to scale	High setup cost, cheap per transaction
Fraud risk	Alterations visible (ink, erasures)	Alterations invisible — needs passwords and access controls
Failure mode	Fire/flood damages books	Crash/virus/power loss — needs backups

Notice the pattern: every computerised advantage has a matching control weakness — that symmetry is what "evaluate" questions reward.

Mini case: A Nakuru wholesaler with 400 sales invoices a day moves from manual books to QuickBooks. Month-end close falls from 12 days to 2 (time saving, instant reporting); two ledger clerks are redeployed to credit control (labour saving); but within a year a cashier discovers she can edit posted invoices, and unreconciled M-Pesa settlements accumulate (voucher management and security failures). The directors learn the book's lesson: the software did not remove the need for controls — it moved them from ink and signatures to passwords, user rights and daily reconciliations.

11. Common exam traps

1. Questions ask for **advantages AND disadvantages** — give both sides; one-sided answers lose half the marks.
2. **Objects** (why introduce: labour/time saving, accuracy, fraud, morale) vs **need** (why necessary now: volume, reporting, queries, security, scalability) — the book treats them separately; do not merge.
3. **Requirements** = accounting framework + operating procedure (database-oriented application) — a favourite 4-mark question.
4. Link features to Kenyan reality: M-Pesa/Till-number volumes, KRA e-invoicing — volume and real-time reporting are why SMEs computerise.

Key terms (flashcards)

- **Computerised accounting** – Accounting performed on a database-oriented computer system storing and processing transaction data in real time.
- **Real-time processing** – Data maintained and reported as transactions occur.
- **MIS reports** – Management Information System reports generated from accounting data.
- **SQL** – Structured Query Language; used to answer accounting queries (e.g. overdue accounts) from the database.
- **Accounting framework** – The principles, coding and grouping structure underlying the system.
- **Operating procedure** – The designed procedures + environment for operating the system.
- **Imprest/Float** – (petty cash) fixed advance restored after spending — manual-system concept carried into software as petty-cash modules.
- **Backup** – Restorable copy of data guarding against system failure.
- **Voucher management** – Disciplined control of source vouchers because software alteration is easy.

Module summary

Computerised accounting stores transaction data in a database and processes it in real time, delivering the book's objects (labour and time saving, accuracy, fraud minimisation, morale) and meeting the need created by volume, instant and flexible reporting, queries, online access, security and scalability. A sound system needs an accounting framework (chart of accounts) and an operating procedure; its benefits (quality, cost, efficiency, control) must always be weighed against its disadvantages (cost, skills, complacency) and challenges (training, dependency, failure, backups, voucher management, security).

Exam day tips

- Structure "discuss computerised accounting" answers: role → objects → need → features → requirements → benefits → disadvantages → challenges.
- 10-mark "advantages" questions want ~8 points with a half-line explanation each — memorise the book's eight.
- Always mention backups and voucher management under challenges — examiners reward them.

Slide deck at a glance

Role of computers in accounting

- From billing machines to **real-time** database systems
- Stores and processes data with speed and accuracy

- Manual: journals, cash books, ledgers kept by hand
- Source documents become **data-entry screens**
- One invoice screen posts to sales, debtors, VAT and inventory at once

Objects of introducing computers

- **Labour saving** – more work with existing staff
- **Time saving** – payrolls and statements completed on schedule
- **Accuracy** – errors and frauds located easily
- **Minimization of frauds** – less employee fraud in books/cash
- **Morale** – relieves manual drudgery and fatigue

Need for computerised accounting (1/2)

- **Volume** – large transaction loads handled fast
- **Instant reporting** – quality reports on demand
- **Reduction in paperwork** – no vast storage of books/vouchers
- **Flexible reporting** – any balance, any duration
- **Queries** – e.g. overdue accounts via **SQL** — hard manually

Need for computerised accounting (2/2)

- **Online facility** – retrieve reports instantly
- **Security** – data more secure than manual books
- **Scalability** – growth needs only extra data operators
- Kenya: **KRA eTIMS** makes the sales journal a compliance document
- M-Pesa/Till volumes make real-time reporting a necessity

Requirements of a system

- Requirement 1: **accounting framework** = chart of accounts
- Every code defined before the first transaction posts
- Bad chart of accounts → bad reports forever
- Requirement 2: **operating procedure** — who posts what, when close happens
- Database-oriented: interface transforms stored data into reports

Advantages and disadvantages

- Better quality work; lower operating costs; improved efficiency
- Better control; greater accuracy; relieves monotony
- Standardization of routines; minimizes mathematical errors
- Disadvantage: high setup cost, cheap per transaction
- Disadvantages: manpower cuts, special skills, power/virus/crash risk

Challenges

- **User training** – commonest cause of implementation failure
- **System dependency** – power/hardware failure halts verification
- **Backups** – regular, restorable copies are essential
- **Voucher management** – software edits are invisible; discipline vital
- **Security** – passwords and access controls against misuse

Mini case: the control lesson

- Nakuru wholesaler: 400 invoices/day moves to QuickBooks
- Month-end falls from 12 days to 2; clerks redeployed
- Then: cashier edits posted invoices; M-Pesa settlements unreconciled

- Lesson: controls moved from ink to **passwords and user rights**
- Every advantage has a matching control weakness — examiners reward this

Key takeaways / exam tips

- Objects (why introduce) ≠ need (why necessary now) — don't merge
- Requirements = framework + operating procedure — favourite 4-mark question
- Give **both** sides for advantages/disadvantages
- Link to Kenya: M-Pesa volumes, KRA e-invoicing
- Always name backups and voucher management under challenges

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2019-11-Q5 · November 2019 · 20 marks KASNEB authored

Accounting software sourcing factors; public sector features; sales ledger control account (Joy Jibu)

(a) Highlight five factors to be considered when sourcing an accounting software. (5 marks) (b) Highlight five features of a public sector entity. (5 marks) (c) The following information was extracted from the books of Joy Jibu, a trader, as at 28 February 2019: Balances as at 1 March 2018: Sales ledger control account Sh.36,000,000 (Debit); Total of individual trade receivables Sh.35,510,000. Transactions during the year ended 28 February 2019 (either recorded in the sales ledger or the sales ledger control account) (Sh."000"): Sales on credit 96,000; Sales returns 10,000; Bad debts written off 4,000; Interest charged on overdue accounts 1,000; Bad debts previously written off recovered 500; Receipts from credit customers 82,000; Discounts allowed 500; Dishonoured cheques 10,000; Sales ledger balances set off against balances in purchases ledger 12,000; Balance of individual accounts as at 28 February 2019 Sh.26,090,000. Required: Sales ledger control account for the year ended 28 February 2019. (10 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Factors to consider when sourcing accounting software

1. **Cost** — the purchase price or subscription, implementation and training costs, and ongoing maintenance/upgrade fees, weighed against the organisation's budget.
2. **Suitability and functionality** — whether the package handles the organisation's transaction volumes and required features (e.g. inventory, payroll, multi-currency, and Kenyan tax requirements such as VAT and e-invoicing/eTIMS integration).
3. **Ease of use and vendor support** — a user-friendly interface, availability of training, documentation, and reliable after-sales support and updates from the vendor.
4. **Security and data integrity** — access controls and passwords, audit trails, and backup/recovery facilities to protect financial data.
5. **Compatibility, scalability and reliability** — integration with existing hardware and other systems, ability to grow with the business (more users/transactions), and the vendor's reputation and track record.

(b) Features of a public sector entity

1. **Public ownership and control** — owned by the government on behalf of citizens, and controlled through legislation, ministries and parliamentary oversight rather than private shareholders.

2. **Service (non-profit) motive** — established to provide public goods and services and promote welfare, not to maximise profit; performance is judged by service delivery and value for money.
3. **Funded mainly from public money** — financed through taxation, exchequer issues and appropriations approved by Parliament, supplemented by Appropriations-in-Aid and donor funding.
4. **Accountability to the public** — accounts are audited by the Auditor-General and examined by parliamentary committees (e.g. the Public Accounts Committee); budgets follow the Public Finance Management framework.
5. **No tradeable ownership interest** — there are no shares and no owners with a residual claim; net assets belong to the public, and the entity is usually a separate legal or reporting entity created by statute (e.g. state corporations, county governments, ministries).

(c) Joy Jibu — Sales ledger control account for the year ended 28 February 2019 (Sh."000")

Dr	Sh."000"	Cr	Sh."000"
Balance b/d	36,000	Sales returns	10,000
Sales on credit	96,000	Bad debts written off	4,000
Interest charged on overdue accounts	1,000	Receipts from credit customers	82,000
Dishonoured cheques	10,000	Discounts allowed	500
		Set-off against purchases ledger balances	12,000
		Balance c/d	**34,500**
	143,000		**143,000**
Balance b/d	34,500		

Notes: (i) Bad debts recovered (500) are received in cash for debts previously written off and do not pass through the sales ledger control account. (ii) The control account balance of Sh.34,500,000 does not agree with the total of the individual receivables balances at 28 February 2019 (Sh.26,090,000) — just as the opening figures disagreed (36,000,000 against 35,510,000) — indicating errors within the sales ledger that require investigation; the control account itself is prepared from the books as recorded.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any five sourcing factors (cost; functionality/suitability incl. local tax compliance; ease of use and vendor support; security/backup; compatibility/scalability/vendor reliability), one mark each **(5)**
- (b) Any five public sector entity features (public ownership/control; service motive; public funding/appropriations; public accountability and audit; no tradeable ownership interest/statutory creation), one mark each **(5)**
- Control account debit side: balance b/d 36,000; credit sales 96,000; interest on overdue accounts 1,000; dishonoured cheques 10,000 **(4)**
- Control account credit side: sales returns 10,000; bad debts 4,000; receipts 82,000; discounts allowed 500; set-offs 12,000 **(4)**
- Balance c/d correctly struck at 34,500 (Sh.34,500,000) and account totalled at 143,000; bad debts recovered correctly excluded **(2)**

KASNEB-2016-11-Q5 · November 2016 · 20 marks KASNEB authored

Capital vs current accounts; IPSAS accrual principles; manufacturing cost elements; computerised systems advantages

(a) Distinguish between "capital accounts" and "current accounts" in partnership accounting. (4 marks)
(b) Summarise four principles of accrual accounting under the International Public Sector Accounting Standards (IPSAS). (4 marks)
(c) Highlight four elements of manufacturing costs. (4 marks)
(d) Highlight four advantages of a computerised accounting system. (8 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) Capital accounts vs current accounts (4 marks)

1. **Nature:** the capital account records each partner's long-term, relatively permanent contribution to the firm (capital introduced and, in a fixed-capital system, capital withdrawals/additions only). The current account records the partner's day-to-day, fluctuating dealings with the firm.
2. **Contents:** the capital account changes only when capital is introduced or permanently withdrawn. The current account is credited with interest on capital, partners' salaries and the share of profits, and debited with drawings, interest on drawings and the share of losses.
3. **Balance behaviour:** capital account balances are fixed/stable and normally credit. Current account balances fluctuate each period and may become debit (overdrawn) if a partner's drawings exceed his earnings.
4. **Interest:** interest on capital is calculated on the capital account balance; the current account balance is what determines how much a partner may still draw.

(b) Four principles of accrual accounting under IPSAS (4 marks)

1. **Recognition when earned/incurred:** revenue is recognised when the entity earns it / obtains control of the resource (including non-exchange revenue such as taxes when the taxable event occurs), and expenses when incurred, regardless of when cash moves.
2. **Full balance-sheet recognition:** assets are recognised when the entity controls future economic benefits or service potential, and liabilities when a present obligation arises — not merely when paid for.
3. **Matching and period allocation:** costs are allocated to the periods they benefit through depreciation of assets, provisions and accruals/prepayments, so each period bears its full economic cost.
4. **Substance and faithful representation:** transactions are accounted for according to their economic substance (e.g. inventories, receivables and payables are fully recorded), producing a complete picture of the entity's financial position, supported by going-concern and consistency assumptions.

(c) Four elements of manufacturing costs (4 marks)

1. **Direct materials** — raw materials that form part of, and are traceable to, the finished product (including carriage inwards on them).
2. **Direct labour** — wages of operatives directly engaged in making the product.
3. **Direct expenses** — costs specifically incurred for a product or job, e.g. royalties per unit, hire of special equipment, special design/drawing costs. (Direct materials + direct labour + direct expenses = prime cost.)

4. **Factory (production) overheads** — all other factory costs that cannot be traced to units: indirect materials, indirect labour, factory rent, power, depreciation of plant and factory supervision. (Also acceptable as separate elements: indirect materials and indirect labour listed individually.)

(d) Four advantages of a computerised accounting system (8 marks)

1. **Speed and volume:** transactions are processed and posted to all affected ledgers instantly, so very large volumes are handled in a fraction of the time a manual system takes, and reports are available on demand.
2. **Accuracy:** automatic calculations, casting and double-entry checks eliminate arithmetical errors, miscasts and transposition errors common in manual books; the trial balance is far more likely to agree.
3. **Timely, better information for decisions:** real-time balances, aged receivables/payables analyses, budgets vs actuals and cash flow reports help management control debtors, inventory and costs promptly.
4. **Storage, security and audit trail:** huge records are stored compactly, backed up and protected by passwords/access levels; every entry is traceable to its user and source document, strengthening internal control and audit. (Also acceptable: automatic document production — invoices, statements, payslips; integration of modules such as inventory, payroll and ledgers; reduced staffing cost on routine work.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Distinction 1 developed (permanent capital contribution vs fluctuating day-to-day dealings) **(2)**
- (a) Distinction 2 developed (contents — appropriations/drawings through current account; balances may go debit; interest computed on capital) **(2)**
- (b) Four accrual principles under IPSAS correctly summarised (revenue when earned incl. non-exchange, expense when incurred, asset/liability recognition on control/obligation, matching/depreciation, substance over form) — 1 each **(4)**
- (c) Four elements of manufacturing cost correctly highlighted (direct materials, direct labour, direct expenses, factory/production overheads) — 1 each **(4)**
- (d) Advantage 1 developed (speed/volume of processing) — 2; Advantage 2 developed (accuracy/automatic checks) — 2 **(4)**
- (d) Advantage 3 developed (timely management information/control reports) — 2; Advantage 4 developed (storage, security, backup and audit trail) — 2 **(4)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M02-Q017 – CA11-M02-Q045. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Source Documents
- Books of Original Entry

- Ledgers and Trial Balance
- Computerised Accounting Systems

It brought together **6 KASNEB past-paper worked examples** and **40 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 2 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Books of original entry: sales, purchases and returns journals

Kijani Distributors Ltd, a Nairobi wholesaler, had the following credit transactions during June 2026:

Credit sales: 2 June — Baraka Stores Sh. 84,000; 5 June — Tumaini Retail Sh. 126,000; 9 June — Baraka Stores Sh. 58,000; 14 June — Zuri Mini-Mart Sh. 92,000; 21 June — Tumaini Retail Sh. 47,000.

Credit purchases: 3 June — Unga Bora Ltd, goods listed at Sh. 262,500 less 20% trade discount; 8 June — Mwanzo Packaging Ltd Sh. 66,000; 17 June — Unga Bora Ltd Sh. 145,000.

Returns: 18 June — Tumaini Retail returned damaged goods invoiced at Sh. 12,000; 20 June — Kijani returned faulty packaging materials to Mwanzo Packaging Ltd, Sh. 9,000.

Required:
(a) Prepare the sales journal, purchases journal, returns inwards journal and returns outwards journal for June 2026, showing the total of each. (12 marks)
(b) State how the total of each journal is posted to the general ledger, and how the individual entries are posted. (4 marks)
(c) For each of the two returns, name the source document raised, state who issues it, and state the double entry for the total. (4 marks)

Model answer (SokoCPA)

(a) Journals

Sales journal — June 2026

Date	Customer	Sh.
2 Jun	Baraka Stores	84,000
5 Jun	Tumaini Retail	126,000
9 Jun	Baraka Stores	58,000
14 Jun	Zuri Mini-Mart	92,000
21 Jun	Tumaini Retail	47,000
	Total	**407,000**

Purchases journal — June 2026

Date	Supplier	Sh.
3 Jun	Unga Bora Ltd (262,500 × 80%)	210,000
8 Jun	Mwanzo Packaging Ltd	66,000
17 Jun	Unga Bora Ltd	145,000
	Total	**421,000**

Trade discount is deducted before recording and never appears in the ledger: 262,500 − 20% = Sh. 210,000.

Returns inwards journal

Date	Customer	Sh.
18 Jun	Tumaini Retail	12,000
	Total	**12,000**

Returns outwards journal

Date	Supplier	Sh.
20 Jun	Mwanzo Packaging Ltd	9,000
	Total	**9,000**

(b) Postings

- **Sales journal:** each invoice is debited to the individual customer's account in the **sales ledger**; the total (Sh. 407,000) is **credited** to the Sales account in the general ledger.
- **Purchases journal:** each invoice is credited to the individual supplier's account in the **purchases ledger**; the total (Sh. 421,000) is **debited** to the Purchases account in the general ledger.
- **Returns inwards:** each item is credited to the customer's sales-ledger account; the total is **debited** to Returns inwards.
- **Returns outwards:** each item is debited to the supplier's purchases-ledger account; the total is **credited** to Returns outwards.

(c) Source documents for the returns

- **Tumaini Retail's return (returns inwards):** a **credit note**, issued by **Kijani Distributors (the seller)** to Tumaini Retail, crediting (reducing) the customer's account. Double entry for the total: Dr Returns inwards 12,000 / Cr Tumaini Retail 12,000.
- **Return to Mwanzo Packaging (returns outwards):** a **debit note**, issued by **Mwanzo Packaging Ltd (the creditor)** to Kijani, reducing the amount Kijani owes. Double entry for the total: Dr Mwanzo Packaging Ltd 9,000 / Cr Returns outwards 9,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Sales journal: all five credit sales listed with correct dates/customers **(2)**
- Sales journal total correctly cast at Sh. 407,000 **(1)**
- Purchases journal: Unga Bora 3 June recorded at Sh. 210,000 (trade discount deducted before recording) **(2)**
- Purchases journal: other two invoices correct; total Sh. 421,000 **(2)**
- Returns inwards journal: Tumaini Retail 12,000, total 12,000 **(2)**
- Returns outwards journal: Mwanzo Packaging 9,000, total 9,000 **(2)**
- Presentation: journals ruled with date/detail/amount columns **(1)**
- Postings: individual amounts to sales-ledger (Dr) and purchases-ledger (Cr) accounts stated **(2)**
- Postings: totals — Cr Sales 407,000; Dr Purchases 421,000; Dr Returns inwards; Cr Returns outwards stated **(2)**

- Credit note identified, issued by the seller (Kijani), with entry Dr Returns inwards 12,000 / Cr Tumaini Retail 12,000 **(2)**
- Debit note identified, issued by the creditor (Mwanzo Packaging), with entry Dr Mwanzo Packaging 9,000 / Cr Returns outwards 9,000 **(2)**

Question 2 (20 marks)

Three-column cash book: discounts and contra entries

Mwangi Hardware, a trader in Nakuru, had the following balances on 1 May 2026: Cash in hand Sh. 38,500; Cash at bank Sh. 214,000. Transactions during May 2026 were:

May 2 — Cash sales Sh. 96,000.
May 3 — Paid Otis Ltd, a creditor, Sh. 78,400 by cheque in full settlement of an account of Sh. 80,000.
May 5 — Received a cheque of Sh. 57,000 from Kamau, a debtor, in full settlement of an account of Sh. 60,000.
May 7 — Banked cash Sh. 70,000.
May 9 — Paid rent by cheque Sh. 45,000.
May 12 — Withdrew Sh. 20,000 from the bank for office cash.
May 15 — Cash purchases Sh. 33,500.
May 18 — Received cash Sh. 24,200 from Achieng, a debtor, in full settlement of an account of Sh. 25,000.
May 20 — Paid wages in cash Sh. 28,000.
May 22 — The owner withdrew cash Sh. 15,000 for personal use.
May 25 — Bank charges of Sh. 1,250 were debited by the bank.
May 27 — Paid Njoroge Ltd, a creditor, Sh. 41,500 by cheque.

Required:
(a) Write up a three-column cash book for May 2026, balancing the cash and bank columns at 31 May 2026. (14 marks)
(b) Show how the discount columns are dealt with in the ledger, identify the contra entries and explain why they are not posted to the ledger. (6 marks)

Model answer (SokoCPA)

(a) Three-column cash book — May 2026

Debit side (receipts)

Date	Details	Disc. allowed (Sh.)	Cash (Sh.)	Bank (Sh.)
May 1	Balance b/d		38,500	214,000
May 2	Sales		96,000	
May 5	Kamau	3,000		57,000
May 7	Bank (C)			70,000
May 12	Cash (C)		20,000	
May 18	Achieng	800	24,200	
	Totals	**3,800**	**178,700**	**341,000**

Credit side (payments)

Date	Details	Disc. received (Sh.)	Cash (Sh.)	Bank (Sh.)
May 3	Otis Ltd	1,600		78,400
May 9	Rent			45,000
May 12	Bank (C)		20,000	
May 15	Purchases		33,500	
May 20	Wages		28,000	
May 22	Drawings		15,000	
May 25	Bank charges			1,250
May 27	Njoroge Ltd			41,500
May 7	Cash (C)		70,000	
May 31	Balance c/d		32,200	154,850
	Totals	**1,600**	**178,700**	**341,000**

Balances brought down on 1 June 2026: Cash Sh. 32,200 (Dr); Bank Sh. 154,850 (Dr).

(Discount allowed column total Sh. 3,800 on the debit side; discount received column total Sh. 1,600 on the credit side. The discount columns are memorandum only and are not balanced.)

Workings: Otis Ltd: 80,000 − 78,400 = discount received 1,600. Kamau: 60,000 − 57,000 = discount allowed 3,000. Achieng: 25,000 − 24,200 = discount allowed 800. Total discount allowed = 3,000 + 800 = 3,800. Cash column: Dr 38,500 + 96,000 + 20,000 + 24,200 = 178,700; Cr 70,000 + 33,500 + 28,000 + 15,000 = 146,500; balance c/d = 32,200 ✓. Bank column: Dr 214,000 + 57,000 + 70,000 = 341,000; Cr 78,400 + 45,000 + 20,000 + 1,250 + 41,500 = 186,150; balance c/d = 154,850 ✓.

(b) Discounts and contras in the ledger

- The **total of the discount allowed column (Sh. 3,800)** is posted to the **debit of the Discount allowed account** (an expense) in the general ledger; individual debtors were already credited in full in their personal accounts.
- The **total of the discount received column (Sh. 1,600)** is posted to the **credit of the Discount received account** (income); individual creditors were already debited in full.
- **Contra entries** are the two cash ↔ bank transfers: May 7 (Dr Bank 70,000 / Cr Cash 70,000, banking cash) and May 12 (Dr Cash 20,000 / Cr Bank 20,000, withdrawing cash for office use), marked "C". They are **not posted to the ledger** because the double entry is completed within the cash book itself — cash and bank are both accounts in the same book.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Opening balances entered correctly (cash 38,500; bank 214,000, debit side) **(1)**
- May 3 Otis Ltd: cheque 78,400 credited in bank column with discount received 1,600 **(2)**
- May 5 Kamau: cheque 57,000 debited in bank column with discount allowed 3,000 **(2)**
- May 18 Achieng: cash 24,200 debited with discount allowed 800 **(2)**
- Contra entries both recorded on both sides and marked C (70,000 banking; 20,000 withdrawal) **(2)**

- Other entries correctly placed: sales 96,000 Dr cash; purchases 33,500 Cr cash; wages 28,000 Cr cash; drawings 15,000 Cr cash; rent 45,000 Cr bank; bank charges 1,250 Cr bank; Njoroge 41,500 Cr bank **(2)**
- Cash column balanced: totals 178,700, balance c/d Sh. 32,200 debit brought down **(2)**
- Bank column balanced: totals 341,000, balance c/d Sh. 154,850 debit brought down **(1)**
- Discount totals: allowed 3,800 posted to Dr Discount allowed; received 1,600 posted to Cr Discount received **(3)**
- Contra explanation: double entry completed within the cash book, hence no ledger posting **(3)**

Question 3 (20 marks)

Extraction of a trial balance; errors not disclosed by a trial balance

The following balances were extracted from the books of A. Wafula, a trader in Kakamega, as at 31 December 2025:

Capital Sh. 950,000; Drawings Sh. 60,000; Purchases Sh. 498,200; Sales Sh. 1,180,000; Returns inwards Sh. 18,000; Returns outwards Sh. 11,000; Inventory (1 January 2025) Sh. 140,000; Wages Sh. 96,000; Rent Sh. 72,000; Buildings Sh. 700,000; Fixtures and fittings Sh. 320,000; Motor vehicle Sh. 480,000; Provision for depreciation Sh. 96,000; Trade debtors Sh. 210,000; Trade creditors Sh. 158,000; Bank overdraft Sh. 25,000; Cash in hand Sh. 14,500; Discount allowed Sh. 6,500; Discount received Sh. 4,200; Stationery Sh. 9,000; Bank loan Sh. 200,000.

Required:
(a) Prepare a trial balance as at 31 December 2025. (12 marks)
(b) The trial balance agrees. Explain why this does not prove that Wafula's books are free from error, and describe FOUR types of error that would not be disclosed by the trial balance, giving one example of each. (8 marks)

Model answer (SokoCPA)

(a) Trial balance as at 31 December 2025

Account	Dr (Sh.)	Cr (Sh.)
Capital		950,000
Drawings	60,000	
Purchases	498,200	
Sales		1,180,000
Returns inwards	18,000	
Returns outwards		11,000
Inventory (1 Jan 2025)	140,000	
Wages	96,000	
Rent	72,000	
Buildings	700,000	
Fixtures and fittings	320,000	
Motor vehicle	480,000	
Provision for depreciation		96,000
Trade debtors	210,000	

Account	Dr (Sh.)	Cr (Sh.)
Trade creditors		158,000
Bank overdraft		25,000
Cash in hand	14,500	
Discount allowed	6,500	
Discount received		4,200
Stationery	9,000	
Bank loan		200,000
Totals	**2,624,200**	**2,624,200** ✓

Placement logic: debit balances — assets, expenses, drawings, purchases and returns inwards; credit balances — capital, liabilities, income, sales, returns outwards and provisions (provision for depreciation is a credit/contra-asset balance; the bank overdraft is a liability, hence credit).

(b) Why agreement is not proof of accuracy

The trial balance proves only that total debits equal total credits — the arithmetical accuracy of double entry. Errors that keep both sides equal (or affect both sides by the same amount) leave it agreeing. Four types not disclosed (any four):

1. **Error of omission** – a transaction is completely left out, so neither debit nor credit is recorded. *Example:* a credit purchase of Sh. 40,000 is never entered in the purchases journal.
2. **Error of commission** – the correct amount is posted to the wrong personal account of the same class. *Example:* a sale to D. Otieno is posted to the account of D. Otis.
3. **Error of principle** – a transaction is entered in the wrong class of account. *Example:* the cost of a new delivery van is debited to motor expenses instead of the motor vehicle account.
4. **Compensating errors** – two independent errors cancel each other out. *Example:* the salaries account is over-debited by Sh. 5,000 while the sales account is over-credited by Sh. 5,000.
5. **Error of original entry** – the wrong amount is recorded in the book of original entry and posted as recorded on both sides. *Example:* a purchase of Sh. 96,000 is entered as Sh. 69,000 in both the purchases account and the supplier's account.
6. **Complete reversal of entries** – the correct accounts and amount are used but debit and credit are swapped. *Example:* cash received from a debtor is debited to the debtor and credited to cash.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- All asset/expense balances placed on the debit side (drawings, purchases, returns inwards, opening inventory, wages, rent, buildings, fixtures, motor vehicle, debtors, cash, discount allowed, stationery) **(5)**
- All capital/liability/income balances placed on the credit side (capital, sales, returns outwards, provision for depreciation, creditors, overdraft, discount received, loan) **(4)**
- Both columns total Sh. 2,624,200 and agree **(2)**
- Correct treatment of the two trap items: provision for depreciation as a credit balance and bank overdraft as a credit balance **(1)**
- Explains that agreement proves only arithmetical accuracy of double entry, not correctness **(2)**

- Four error types not disclosed correctly named (omission, commission, principle, compensating, original entry, reversal) **(4)**
- A valid example given for each of the four types named **(2)**

Question 4 (20 marks)

Petty cash book on the imprest system; the general journal

(a) Safari Stores, a trader in Nyeri, operates a petty cash book on the imprest system with a monthly float of Sh. 40,000. On 1 June 2026 the petty cashier had a balance of Sh. 3,600 in hand. During June 2026 the following payments were made from petty cash: Postage Sh. 4,800; Stationery Sh. 6,250; Travelling Sh. 9,400; Cleaning Sh. 3,150; Motor expenses Sh. 7,600; Payment to a creditor (ledger account) Sh. 2,300.

Required: Prepare the analysed petty cash book for June 2026, showing the amount reimbursed to the petty cashier on 1 July 2026. (10 marks)

(b) Show the journal entries (narratives are required) to record the following transactions in the general journal of Safari Stores:

(i) Bought a delivery van on credit from AutoWorld Ltd for Sh. 1,850,000.
(ii) Wrote off as a bad debt Sh. 27,500 owed by M. Kilonzo, a debtor who has been declared bankrupt. (10 marks)

Model answer (SokoCPA)

(a) Petty cash book — June 2026 (imprest Sh. 40,000)

Receipts					Payments				
Date	Details	Sh.	Date		Details	Total	Postage	Stationery	Travelling	Cleaning	Motor
Jun 1	Balance b/d	3,600	Jun		Postage	4,800	4,800				
Jun 1	Bank (top-up)	36,400			Stationery	6,250		6,250			
					Travelling	9,400			9,400		
					Cleaning	3,150				3,150	
					Motor expenses	7,600					7,600
					Creditor (ledger)	2,300					
			Jun 30		Balance c/d	6,500					
		40,000				40,000	4,800	6,250	9,400	3,150	7,600
Jul 1	Balance b/d	6,500									
Jul 1	Bank (reimbursement)	33,500									

Workings: total payments = 4,800 + 6,250 + 9,400 + 3,150 + 7,600 + 2,300 = **Sh. 33,500**. Balance c/d = 40,000 − 33,500 = **Sh. 6,500**. Top-up on 1 June = 40,000 − 3,600 = **Sh. 36,400**. Reimbursement on 1 July = amount spent = **Sh. 33,500**, restoring the float to Sh. 40,000. ✓ (Receipts 40,000 = payments 33,500 + balance c/d 6,500.)

(b) General journal

2026			
Jun	Dr Motor vehicles account	Sh. 1,850,000	
	Cr AutoWorld Ltd account		Sh. 1,850,000

```
        (Being delivery van purchased on credit from AutoWorld Ltd,
         recorded in the general journal as a non-current asset credit purchase)

Jun     Dr Bad debts account                              Sh. 27,500
            Cr M. Kilonzo account                                        Sh. 27,500
        (Being debt of Sh. 27,500 owed by M. Kilonzo written off as a bad debt,
         the debtor having been declared bankrupt)
```

Both transactions belong in the general journal: a non-current asset bought on credit is never entered in the purchases journal (which records goods for resale only), and a bad-debt write-off fits no special journal.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Receipts side correct: balance b/d 3,600 and bank top-up 36,400 restoring the float to 40,000 **(2)**
- All six payments entered in the total column (total payments Sh. 33,500) **(2)**
- Analysis columns correctly completed and cross-cast to 33,500 (postage 4,800; stationery 6,250; travelling 9,400; cleaning 3,150; motor 7,600; ledger 2,300) **(3)**
- Balance c/d correctly computed at Sh. 6,500 and book balanced at 40,000 **(2)**
- Reimbursement on 1 July correctly stated as Sh. 33,500 (amount spent) **(1)**
- Journal (i): Dr Motor vehicles 1,850,000 / Cr AutoWorld Ltd 1,850,000 **(3)**
- Journal (i): acceptable narrative; recognition that asset credit purchases go through the general journal (not purchases journal) **(2)**
- Journal (ii): Dr Bad debts 27,500 / Cr M. Kilonzo 27,500 **(3)**
- Journal (ii): acceptable narrative (write-off on bankruptcy) **(2)**

Question 5 (20 marks)

Source documents and computerised accounting systems

Bahari Wholesalers Ltd sells goods on credit from its Mombasa depot.

(a) For each of the following, state the source document involved, who issues it, and the book of original entry (if any) in which it is first recorded:

(i) Bahari buys goods on credit from a supplier.
(ii) A customer returns damaged goods to Bahari.
(iii) A member of staff claims Sh. 1,800 spent on a taxi fare to deliver urgent documents.
(iv) Bahari pays a supplier by cheque and encloses a note listing the invoices being paid.
(v) At the month end Bahari sends each credit customer a summary of the month's transactions and the balance due. (10 marks)

(b) Bahari Wholesalers is considering computerising its accounting system.
(i) Explain the TWO requirements of a computerised accounting system. (4 marks)
(ii) Explain THREE benefits and THREE challenges of computerising the system. (6 marks)

Model answer (SokoCPA)

(a) Source documents

Transaction	Document	Issued by	Book of original entry
(i) Credit purchase			Purchases journal

Transaction	Document	Issued by	Book of original entry
	Purchase invoice	The supplier (creditor), sent to Bahari	
(ii) Customer returns goods	**Credit note**	Bahari (the seller), issued to the customer/debtor	Returns inwards journal
(iii) Taxi fare claim	**Petty cash voucher**	The claimant/staff member (completed and signed by the disburser)	Petty cash book
(iv) Cheque payment with list of invoices	**Remittance advice**	Bahari (the customer paying), sent to the supplier	None — the payment itself is recorded from the cheque counterfoil in the cash book; the advice only helps the supplier match payment to invoices
(v) Monthly summary to customers	**Statement of account**	Bahari (the seller), issued to each credit customer	None — it summarises the customer's account for reconciliation; it does not create a new entry

(b) Computerised accounting

(i) Requirements 1. **An accounting framework** — sound accounting principles with a coding and grouping structure (in practice the chart of accounts): every customer, supplier, bank and nominal code must be defined before posting begins, because reports can only be as good as the coding behind them. 2. **An operating procedure** — a well-conceived procedure blended with a suitable operating environment: the system is database-oriented, so the procedure documents who may post what, when month-end close happens, and how backups and reconciliations are performed.

(ii) Benefits (any three): better quality work (uniform, neat, accurate); lower operating costs (labour- and time-saving); improved efficiency and speed with real-time/instant reporting; greater accuracy — clerical and mathematical errors virtually eliminated; better management control and flexible reporting (any balance, any period, on demand); scalability with growing transaction volumes.

(ii) Challenges (any three): user training — operators must learn the software; system dependency — hardware failure or power cuts halt the work; system failure — a disk crash can destroy records, catastrophic at year-end; backups and printed records must be maintained; voucher management — software makes alteration easy, so discipline is critical; security — passwords and access controls are needed against unauthorised access; high installation and maintenance cost.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (i) Purchase invoice — issued by the supplier — purchases journal **(2)**
- (ii) Credit note — issued by Bahari (seller) to the customer — returns inwards journal **(2)**
- (iii) Petty cash voucher — completed by claimant/disbursed by petty cashier — petty cash book **(2)**
- (iv) Remittance advice — issued by Bahari (the payer) to the supplier — no book of entry (payment recorded in cash book) **(2)**
- (v) Statement of account — issued by Bahari to credit customers — no book of entry (reconciliation summary) **(2)**
- Requirement 1 (accounting framework/chart of accounts) explained **(2)**
- Requirement 2 (operating procedure, database-oriented system) explained **(2)**
- Three valid benefits explained (quality, cost, efficiency, accuracy, control, scalability) **(3)**
- Three valid challenges explained (training, dependency, failure, backups, voucher management, security, cost) **(3)**

MODULE 3 OF 12

Accounting for Assets and Liabilities

PPE Recognition and Measurement · Depreciation and Revaluation · Intangible Assets · Inventory and Receivables · Cash, Bank and Reconciliations · Liabilities: Payables, Loans and Accruals

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 1

PPE Recognition and Measurement

Learning objectives

By the end of this lesson you should be able to:

1. State the objective of IAS 16 and define property, plant and equipment.
2. Apply the two recognition criteria for PPE.
3. Measure PPE at initial recognition, identifying the components of cost.
4. Distinguish capital expenditure from revenue expenditure.
5. Account for deferred payment (cash price equivalent) on acquisition.
6. Compute carrying amounts under the cost model.

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1. IAS 16 – objective and definition

Objective: to prescribe the accounting treatment for property, plant and equipment so users can discern information about an entity's investment in PPE and changes in that investment. The principal issues: **recognition**, **carrying amounts**, and **depreciation charges and impairment losses**.

Definition: PPE are **tangible items** that: - (a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; **and** - (b) are expected to be used during **more than one period**.

Examples: land and buildings, plant and machinery, motor vehicles, fixtures and fittings, office equipment.

2. Recognition criteria

An item of PPE is recognised as an asset **if and only if**: 1. it is **probable that future economic benefits** associated with the item will flow to the entity; **and** 2. the **cost** of the item can be **measured reliably**.

Both must be met. A machine bought for Sh. 5,000,000 with an invoice price clearly meets both; a "free" gifted asset with no determinable value fails criterion 2.

3. Measurement at recognition – the components of cost

PPE is initially measured at **cost**. Where payment is deferred beyond normal credit terms, cost is the **cash price equivalent** at recognition date; the difference is recognised as **interest** over the credit period (unless capitalised under IAS 23).

Cost comprises: - (a) **Purchase price**, including import duties and non-refundable purchase taxes, **after deducting trade discounts and rebates**; - (b) **Costs directly attributable** to bringing the asset to the location and condition necessary for it to operate as intended by management (delivery, installation, testing, professional fees); - (c) The **initial estimate of dismantling/removal costs and site restoration**, where the entity incurs the obligation on acquisition or through use (other than to produce inventories).

What cost does NOT include: administration and general overheads, start-up costs, training costs, abnormal wastage, and — critically — **repairs and maintenance** (revenue expenditure, expensed to profit or loss).

Worked example – cost of a machine (Kenyan)

Rift Valley Millers Ltd buys a milling machine from Germany:

Item	Sh.	Included?
Invoice price	8,000,000	✓
Less: trade discount 5%	(400,000)	✓ (deduct)
Import duty (non-refundable)	1,200,000	✓
VAT (refundable – input VAT claimable from KRA)	1,368,000	✗ (refundable taxes excluded)
Freight and insurance to Nakuru	650,000	✓
Installation and testing	420,000	✓
Staff training on the machine	180,000	✗ (expense)
First-year maintenance contract	240,000	✗ (expense)
Estimated dismantling cost (present value)	300,000	✓

Capitalised cost = 8,000,000 − 400,000 + 1,200,000 + 650,000 + 420,000 + 300,000 = **Sh. 10,170,000**.

Entry: Dr Machinery 10,170,000 / Cr Cash/Payables 10,170,000 (with the dismantling provision: Dr Machinery 300,000 / Cr Provision for dismantling 300,000).

Deferred payment example

A lorry's cash price is Sh. 4,000,000; the dealer offers 24-month terms totalling Sh. 4,600,000. Recognise the asset at **Sh. 4,000,000** (cash price equivalent); the Sh. 600,000 difference is **interest expense** recognised over the 24 months, not part of cost.

4. Capital vs revenue expenditure – the exam favourite

Capital expenditure	Revenue expenditure
Buys or improves a non-current asset; recognised in the **statement of financial position**	Maintains/operates the asset; recognised in **profit or loss**
Increases capacity, efficiency or useful life	Restores original condition
E.g. buying a van; installing a new engine that extends life; dismantling provision	E.g. repairs, repainting (the book's warehouse repaint Sh. 500,000 wrongly debited to Office premises — correct: Dr Repairs expense); servicing; fuel

Exam trap: the book's Bakari Brothers case — warehouse exterior repaired and repainted at Sh. 500,000 was **erroneously debited to Office premises** (capitalised). Correct treatment: Dr Repairs and maintenance (P&L) 500,000 / Cr Office premises 500,000, plus reversal of the excess depreciation (2% × 500,000 = Sh. 10,000): Dr Provision for depreciation 10,000 / Cr P&L 10,000.

5. Measurement after recognition – the two models

The entity chooses **one policy per class** of PPE:

- **Cost model:** carried at **cost less accumulated depreciation and accumulated impairment losses**.
- **Revaluation model:** carried at **fair value at revaluation date** less subsequent depreciation and impairment. Revaluations with sufficient regularity so carrying amount does not differ materially from fair value. (Full mechanics in Lesson 2.)

Derecognition: carrying amount is derecognised **on disposal** or when **no future economic benefits** are expected from use or disposal. Gains/losses go to profit or loss.

Impairment: IAS 36 applies — if carrying amount exceeds recoverable amount, recognise an impairment loss. (Tested lightly at Foundation level; know the reference.)

6. Worked example – full cost build-up (Nairobi bakery)

Zawadi Bakeries Ltd installs a commercial oven line:

Item	Sh.	Capitalise?
Invoice price	6,500,000	Yes
Trade discount (10%)	(650,000)	Deduct
Import duty (non-refundable)	975,000	Yes
VAT (refundable)	1,092,000	No — recoverable
Freight from Mombasa	480,000	Yes
Foundation works to house the oven	620,000	Yes — directly attributable
Test batches wasted in commissioning	150,000	Yes — testing to intended use
Staff training on the oven	200,000	No
Opening ceremony catering	90,000	No — not attributable
Dismantling estimate (lease requires reinstatement)	400,000	Yes — IAS 16 expressly includes it

Capitalised cost = 6,500,000 − 650,000 + 975,000 + 480,000 + 620,000 + 150,000 + 400,000 = **Sh. 8,475,000**. Entry: Dr Plant and equipment 8,475,000 / Cr Cash/Payables 8,475,000 (with the dismantling element matched by Dr Plant / Cr Provision for dismantling 400,000).

Second scenario — replacement parts. Two years later Zawadi replaces the oven's conveyor belt for Sh. 350,000 and services the burners for Sh. 80,000. The belt is a **separate component** with its own useful life → capitalise the belt (Dr Plant 350,000), derecognising the old belt's carrying amount; the servicing is **day-to-day maintenance** → expense (Dr Repairs 80,000). This capital/revenue split is the single most examined IAS 16 skill.

6. Subsequent expenditure and derecognition

Day-to-day servicing (labour, consumables, minor parts) is always expensed. **Replacement of a part** is capitalised when the recognition criteria are met — and the replaced part's carrying amount is **derecognised** (removed). Example: a delivery van's engine (a separate component, carrying amount Sh. 400,000) is replaced for Sh. 650,000: Dr Plant 650,000 / Cr Cash 650,000; Dr P&L (loss on derecognition) 400,000 / Cr Plant 400,000. If the old part's carrying amount is unknown, use the replacement cost as an indication of what it was.

Derecognition also applies on disposal or when no future benefits are expected: remove cost and accumulated depreciation, recognise any gain/loss (proceeds − carrying amount) in profit or loss. **Compensation from third parties** (e.g. insurance payouts for damaged PPE) is recognised in profit or loss when receivable — never netted against the asset.

7. Common exam traps

1. **Refundable VAT is excluded** from cost (it is recoverable from KRA); non-refundable duties/taxes are included.
2. **Trade discounts are deducted** before capitalising — never capitalise the gross price.
3. **Training and maintenance are expenses**, however "necessary" they feel.
4. Both recognition criteria must be met — **probable benefits AND reliably measurable cost**.
5. Deferred payment: asset at **cash price equivalent**; the extra is interest.
6. Capital vs revenue: ask "does it create/improve a non-current asset?" — if no, expense it.

Key terms (flashcards)

- **IAS 16** – Property, Plant and Equipment: recognition, measurement, depreciation, derecognition.
- **PPE** – Tangible items held for use in production/supply, rental or administration, for more than one period.
- **Recognition criteria** – Probable future economic benefits + reliably measurable cost.
- **Cost (PPE)** – Purchase price (net of discounts, plus non-refundable taxes) + directly attributable costs + dismantling/restoration estimate.
- **Cash price equivalent** – Cost of PPE when payment is deferred; excess over it is interest.
- **Directly attributable costs** – Delivery, installation, testing, professional fees to bring the asset to working condition.
- **Capital expenditure** – Spending that acquires/improves non-current assets; capitalised.
- **Revenue expenditure** – Spending on running/repairing assets; expensed to profit or loss.
- **Carrying amount** – Cost (or revalued amount) less accumulated depreciation and impairment.
- **Derecognition** – Removing an asset on disposal or when no future benefits are expected.
- **IAS 36** – Impairment of Assets: write down when carrying amount exceeds recoverable amount.

Module summary

IAS 16 recognises PPE when future benefits are probable and cost is reliably measurable. Cost includes purchase price less discounts, non-refundable taxes, directly attributable costs and dismantling estimates — with deferred payment recognised at the cash price equivalent. Capital expenditure creates or improves assets; revenue expenditure maintains them. After recognition, choose the cost model or the revaluation model (applied to whole classes); derecognise replaced parts and disposals with gains/losses in profit or loss.

Exam day tips

- "Calculate the cost to be capitalised" questions: build the table (invoice − discount + duties + freight + installation + dismantling; exclude VAT-refundable, training, maintenance).
- State both recognition criteria before applying them — method marks.
- In error-correction questions, first classify: capital-or-revenue? Then journalise the correction.

Slide deck at a glance

IAS 16: objective and definition

- Objective: prescribe treatment so users see investment in PPE
- Issues: **recognition**, carrying amounts, depreciation, impairment

- **PPE** = tangible items held for use in production/supply/rental/admin
- Held for use during **more than one period**
- Examples: land, buildings, plant, vehicles, fixtures

Recognition criteria

- 1. **Probable** future economic benefits will flow to the entity
- 1. Cost can be **measured reliably**
- **Both** must be met — a free gift with no value fails criterion 2
- Exam favourite: state both before applying

Components of cost

- **Cost** = purchase price + non-refundable taxes/duties − trade discounts
- **Directly attributable** costs: delivery, installation, testing, fees
- **Dismantling/restoration** estimate where obligation exists
- Excluded: refundable VAT (recoverable from KRA), training, maintenance
- Admin overheads, start-up costs, abnormal wastage excluded

Worked example: cost build-up

- Rift Valley Millers: machine build-up → capitalised **Sh. 10,170,000**
- Import duty included; refundable VAT 1,368,000 excluded
- Training 180,000 and maintenance 240,000 expensed
- Dismantling 300,000 capitalised with matching provision
- Deferred payment: lorry at cash price 4,000,000; Sh. 600,000 = interest

Capital vs revenue expenditure

- **Capital** → buys/improves non-current asset; in SOFP
- **Revenue** → maintains/operates asset; in profit or loss
- Capital: new engine extending life; revenue: repainting warehouse
- Bakari Brothers trap: Sh. 500,000 repaint debited to premises — wrong
- Correct: Dr Repairs 500,000 / Cr Premises; reverse excess depreciation

After recognition: the two models

- **Cost model**: cost − accumulated depreciation − impairment
- **Revaluation model**: fair value − subsequent depreciation (one policy per class)
- **Derecognition**: on disposal or when no future benefits expected
- Gain/loss = proceeds − carrying amount → profit or loss
- Impairment (IAS 36): write down when carrying > recoverable amount

Subsequent expenditure and derecognition

- Day-to-day servicing: **always expensed**
- Replacement part meeting criteria → **capitalise**, derecognise old part
- Zawadi Bakeries oven: belt 350,000 capitalised, service 80,000 expensed
- Oven cost capitalised: **Sh. 8,475,000**
- Insurance compensation for damaged PPE → profit or loss, never netted

Key takeaways / exam tips

- Refundable VAT excluded; non-refundable duties included
- Trade discounts deducted before capitalising — never gross price
- Training and maintenance are expenses, however 'necessary'

- Both recognition criteria: probable benefits **and** measurable cost
- Deferred payment: asset at **cash price equivalent**; rest is interest

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2017-11-Q1 · November 2017 · 20 marks KASNEB authored

Accounting policies and standards, IFRS Foundation and PPE movement schedules

(a) Distinguish between "accounting policies" and "accounting standards". (4 marks)

(b) Highlight three objectives of the International Financial Reporting Standards (IFRS) Foundation. (6 marks)

(c) Jirani Mwema Ltd. provided the following information about its non-current assets for the year ended 30 September 2017:

Movement schedule of non-current assets (Sh."000):
Plant and machinery: At cost or valuation – at 1 October 2016: 48,000; additions during the year: 12,000; disposals during the year: 20,000; at 30 September 2017: 40,000.
Furniture and fittings: At cost – 1 October 2016: 8,000; additions: 4,000; disposals: 2,000; at 30 September 2017: 10,000.
Motor vehicles: At cost – 1 October 2016: 12,000; additions: –; disposals: –; at 30 September 2017: 12,000.
Land and buildings at valuation – 1 October 2016: 30,000; at 30 September 2017: 30,000.
Depreciation: Plant and machinery – 1 October 2016: 15,000; charge for the year: 5,000; on disposals: 8,000; at 30 September 2017: 12,000. Furniture and fittings – 1 October 2016: 2,000; charge: 1,000; on disposals: 1,000; at 30 September 2017: 2,000. Motor vehicles – 1 October 2016: 6,000; charge: 3,000; at 30 September 2017: 9,000. Land and buildings: nil throughout.

Additional information:
1. During the year, the company sold some plant and machinery for Sh.9,500,000 and furniture and fittings for Sh.500,000.
2. A motor vehicle which cost Sh.4,000,000 was traded-in (part exchanged) for a new vehicle costing Sh. 10,000,000. The trade-in allowance was Sh.3,000,000. The book value of this motor vehicle was Sh.2,500,000. The balance of the cost of the new vehicle was paid by cheque.

Required: A movement schedule for non-current assets for the year ended 30 September 2017. (10 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) ACCOUNTING POLICIES vs ACCOUNTING STANDARDS Accounting standards are the authoritative rules issued by a standard-setting body (the IASB, under the IFRS Foundation) that prescribe how transactions and other events must be recognised, measured, presented and disclosed in financial statements — for example IAS 16 on property, plant and equipment. They are mandatory for entities that claim compliance with IFRSs and are the same for all reporting entities. Accounting policies are the specific principles, bases, conventions, rules and practices that an individual entity selects and applies in preparing its financial statements. Where a standard permits a choice (e.g. cost model or revaluation model under IAS 16; FIFO or weighted average under IAS 2), management chooses the policy that is most appropriate to its circumstances, applies it consistently, and discloses it in the notes. In short: standards are the externally imposed framework of rules; policies are the entity's own selections made within that framework where choice exists.

(b) THREE OBJECTIVES OF THE IFRS FOUNDATION 1. To develop, in the public interest, a single set of high-quality, understandable, enforceable and globally accepted financial reporting standards (IFRSs) that require high-quality, transparent and comparable information in financial statements and other financial reporting, to help participants in the world's capital markets and other users make economic decisions. 2. To promote the use and rigorous application of those standards — encouraging national standard-setters and regulators around the world to adopt IFRSs and converge their national requirements with them. 3. To promote and facilitate adoption by taking account of the financial reporting needs of emerging economies and small and medium-sized entities (hence the IFRS for SMEs Standard), and to bring about convergence of national accounting standards and IFRSs to high-quality solutions.

(c) JIRANI MWEMA LTD — MOVEMENT SCHEDULE OF NON-CURRENT ASSETS FOR THE YEAR ENDED 30 SEPTEMBER 2017 (Sh."000)

COST OR VALUATION: | | Plant & machinery | Furniture & fittings | Motor vehicles | Land & buildings | Total | | At 1 October 2016 | 48,000 | 8,000 | 12,000 | 30,000 | 98,000 | | Additions | 12,000 | 4,000 | 10,000 (W1) | – | 26,000 | | Disposals | (20,000) | (2,000) | (4,000) (W1) | – | (26,000) | | At 30 September 2017 | 40,000 | 10,000 | 18,000 | 30,000 | 98,000 |

ACCUMULATED DEPRECIATION: | | Plant & machinery | Furniture & fittings | Motor vehicles | Land & buildings | Total | | At 1 October 2016 | 15,000 | 2,000 | 6,000 | – | 23,000 | | Charge for the year | 5,000 | 1,000 | 3,000 | – | 9,000 | | On disposals | (8,000) | (1,000) | (1,500) (W1) | – | (10,500) | | At 30 September 2017 | 12,000 | 2,000 | 7,500 | – | 21,500 |

NET BOOK VALUE: | At 30 September 2017 | 28,000 | 8,000 | 10,500 | 30,000 | 76,500 | | At 1 October 2016 | 33,000 | 6,000 | 6,000 | 30,000 | 75,000 |

W1. Motor vehicle trade-in (additional information 2): the vehicle traded in cost 4,000 with a book value of 2,500, so accumulated depreciation on it was 4,000 − 2,500 = 1,500. It is shown as a disposal at cost 4,000 with depreciation eliminated of 1,500; the new vehicle is an addition at its full cost of 10,000 (the trade-in allowance of 3,000 is part of the consideration, the balance of 7,000 being paid by cheque). The printed table in the question showed no movements for motor vehicles; the schedule above incorporates the trade-in, which the additional information requires.

RESULTS ON DISPOSALS (for the income statement): Plant and machinery: proceeds 9,500 − NBV (20,000 − 8,000 = 12,000) = LOSS 2,500 Furniture and fittings: proceeds 500 − NBV (2,000 − 1,000 = 1,000) = LOSS 500 Motor vehicle trade-in: allowance 3,000 − book value 2,500 = PROFIT 500 Net loss on disposals charged to profit or loss: Sh.2,500,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Standards defined as authoritative, mandatory rules issued by the IASB/standard-setter governing recognition, measurement, presentation and disclosure **(2)**
- (a) Policies defined as the entity's own selected principles/bases/practices where a standard permits choice, applied consistently and disclosed; distinction (external rules vs entity choice) made explicit **(2)**
- (b) Objective 1: develop a single set of high-quality, globally accepted standards producing transparent, comparable information for economic decisions **(2)**
- (b) Objective 2: promote the use and rigorous application of IFRSs and convergence of national standards with IFRSs **(2)**
- (b) Objective 3: take account of the needs of emerging economies and SMEs (IFRS for SMEs) in promoting adoption **(2)**

- (c) Cost/valuation section correct for plant and machinery (40,000), furniture and fittings (10,000) and land and buildings (30,000) **(3)**
- (c) Motor vehicle trade-in incorporated: additions 10,000, disposals at cost 4,000, closing cost 18,000 **(2)**
- (c) Depreciation section correct, including depreciation eliminated on the traded-in vehicle (1,500) and closing balances (P&M 12,000; F&F 2,000; MV 7,500) **(3)**
- (c) Net book values correctly derived (28,000; 8,000; 10,500; 30,000; total 76,500) and disposal results computed (losses 2,500 and 500; profit on trade-in 500) **(2)**

KASNEB-2015-09-PILOT-Q3 · September 2015 Pilot Paper · 20 marks KASNEB authored

Fundamental qualitative characteristics; errors not detected by a trial balance; IAS 16 property, plant and equipment movement schedule (Kazantan Ltd)

(a) Explain the two fundamental qualitative characteristics of good financial information. (4 marks)
(b) Enumerate four errors that are not detected by a trial balance. (4 marks)
(c) The following balances of non-current assets were extracted from the financial records of Kazantan Ltd. as at 1 June 2014: Land - cost Sh.6,243,000, accumulated depreciation nil; Buildings - cost Sh.6,580,500, accumulated depreciation Sh.657,000; Furniture and fixtures - cost Sh.2,025,000, accumulated depreciation Sh. 675,000; Plant and equipment - cost Sh.15,120,000, accumulated depreciation Sh.10,039,000; Motor vehicles - cost Sh.7,930,000, accumulated depreciation Sh.3,307,500.
The following information relates to the year ended 31 May 2015: 1. An item of plant was disposed off during the year ended 31 May 2015 for Sh.1,070,000. The item had cost Sh.3,140,000 and had accumulated depreciation of Sh.2,200,000. 2. Land and buildings were professionally revalued on 1 June 2014 at Sh.7 million and Sh.6.5 million respectively. 3. A delivery van purchased in March 2013 for Sh.2 million was stolen during the year. The insurer accepted to compensate the company by paying 70% of the original cost. 4. During the period furniture and fixtures acquired amounted to Sh.3 million while a vehicle that had cost Sh.1.2 million and on which depreciation of Sh.400,000 had been charged was traded in for a new vehicle costing Sh.3 million and the company was required to pay Sh.2.4 million in cash settlement of the trade in balance. 5. The depreciation policy of Kazantan Ltd. was as follows: Land - not depreciated; Buildings - straight line 2.5% per annum; Furniture and fixtures - straight line 10% per annum; Plant and equipment - reducing balance 12.5% per annum; Motor vehicles - reducing balance 20% per annum. A full years depreciation is provided in the year of acquisition and none in the year of disposal.
Required: Property, plant and equipment movement schedule for the year ended 31 May 2015. (12 marks) (Total: 20 marks)

SokoCPA worked solution

(a) The two fundamental qualitative characteristics

Relevance: Financial information is relevant if it is capable of making a difference to the decisions made by users. Information makes a difference if it has **predictive value** (it can be used as an input to processes that predict future outcomes) and/or **confirmatory value** (it provides feedback about earlier evaluations, confirming or changing them). Relevance is affected by **materiality**: information is material if omitting or misstating it could influence users' decisions. **Faithful representation:** Financial information must faithfully represent the transactions and other events it purports to represent. A faithful representation is **complete** (all necessary information is included), **neutral** (free from bias) and **free from error** (no errors or omissions in the description or the process used). It also requires reporting the **substance** of a transaction rather than merely its legal form.

(Comparability, verifiability, timeliness and understandability are enhancing characteristics that support these two.)

(b) Four errors not detected by the trial balance

1. **Error of complete omission** - a transaction is omitted entirely from the books (neither debit nor credit recorded), e.g. a credit sale never entered in any book.
2. **Error of commission** - the correct amount is posted to the wrong account of the same class, e.g. a payment to J. Kamau posted to the account of J. Kamau**i**, another supplier; the totals still agree.
3. **Error of principle** - a transaction is recorded in the wrong class of account, e.g. the purchase of a motor vehicle debited to motor vehicle expenses instead of the motor vehicles asset account.
4. **Compensating errors** - two or more independent errors cancel each other out, e.g. the sales account under-added by Sh.10,000 and the rent account over-debited by Sh.10,000. *(Also acceptable: error of original entry - the same wrong amount entered on both sides; complete reversal of entries - correct accounts but debit and credit interchanged.)*

(c) Kazantan Ltd - Workings (Sh.)

W1 - Revaluation (1 June 2014): Land: 7,000,000 - 6,243,000 = surplus **757,000**. Buildings: net book value was 6,580,500 - 657,000 = 5,923,500; surplus to 6,500,000 = **576,500**; the accumulated depreciation of 657,000 is eliminated against the asset account (gross carrying amount restated to the revalued amount 6,500,000, a reduction of 80,500). Total revaluation surplus **1,333,500**, credited to the revaluation reserve. **W2 - Stolen delivery van:** Bought March 2013 for 2,000,000. Under the policy (full year in the year of acquisition, 20% reducing balance): year to 31 May 2013 charge 400,000, carrying value 1,600,000; year to 31 May 2014 charge 320,000. Accumulated depreciation at the theft = **720,000**; carrying value derecognised = 1,280,000. Insurance compensation is 70% x 2,000,000 = 1,400,000, giving a **gain of 120,000** in profit or loss. No depreciation is charged in the year of disposal. **W3 - Trade-in:** Part-exchange allowance = new vehicle 3,000,000 - cash payable 2,400,000 = **600,000**. Carrying value of the vehicle traded in = 1,200,000 - 400,000 = 800,000, so a **loss on disposal of 200,000** arises. The new vehicle is capitalised at 3,000,000. **W4 - Depreciation charges for the year:** Buildings 2.5% x 6,500,000 (revalued amount) = 162,500. Furniture and fixtures 10% x (2,025,000 + 3,000,000) = 502,500 (full year on additions). Plant and equipment 12.5% x [(15,120,000 - 3,140,000) - (10,039,000 - 2,200,000)] = 12.5% x 4,141,000 = 517,625 (no charge in the year of disposal). Motor vehicles 20% x [(7,930,000 - 2,000,000 - 1,200,000 + 3,000,000) - (3,307,500 - 720,000 - 400,000)] = 20% x 5,542,500 = 1,108,500 (full year on the new vehicle). Total charge **2,291,125**. **W5 - Plant disposal:** Proceeds 1,070,000 - carrying value (3,140,000 - 2,200,000) 940,000 = **profit on disposal 130,000**.

Property, plant and equipment movement schedule for the year ended 31 May 2015 (Sh.)

	Land	Buildings	Furniture & fixtures	Plant & equipment	Motor vehicles	Total
Cost/valuation at 1 Jun 2014	6,243,000	6,580,500	2,025,000	15,120,000	7,930,000	37,898,500
Revaluation adjustment	757,000	(80,500)	-	-	-	676,500
Additions	-	-	3,000,000	-	3,000,000	6,000,000

	Land	Buildings	Furniture & fixtures	Plant & equipment	Motor vehicles	Total
Disposals	-	-	-	(3,140,000)	(3,200,000)	(6,340,000)
Cost/valuation at 31 May 2015	**7,000,000**	**6,500,000**	**5,025,000**	**11,980,000**	**7,730,000**	**38,235,000**
Accum. depreciation at 1 Jun 2014	-	657,000	675,000	10,039,000	3,307,500	14,678,500
Eliminated on revaluation	-	(657,000)	-	-	-	(657,000)
Charge for the year (W4)	-	162,500	502,500	517,625	1,108,500	2,291,125
On disposals	-	-	-	(2,200,000)	(1,120,000)	(3,320,000)
Accum. depreciation at 31 May 2015	**-**	**162,500**	**1,177,500**	**8,356,625**	**3,296,000**	**12,992,625**
Net book value at 31 May 2015	**7,000,000**	**6,337,500**	**3,847,500**	**3,623,375**	**4,434,000**	**25,242,375**
Net book value at 1 Jun 2014	6,243,000	5,923,500	1,350,000	5,081,000	4,622,500	23,220,000

Movement check: 23,220,000 + revaluation surplus 1,333,500 + additions 6,000,000 - carrying amounts disposed of (940,000 + 1,280,000 + 800,000) 3,020,000 - depreciation charge 2,291,125 = **25,242,375**, agreeing with the schedule. Results on disposals taken to profit or loss: profit on plant 130,000 (W5); gain on the stolen van 120,000 (W2); loss on the traded-in vehicle 200,000 (W3).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Relevance explained, including predictive and confirmatory value and materiality (2) **(2)**
- (a) Faithful representation explained, including completeness, neutrality, freedom from error and substance over form (2) **(2)**
- (b) Any four errors not detected by the trial balance enumerated/explained, e.g. complete omission, commission, principle, compensating, original entry, complete reversal (1 each) (4) **(4)**
- (c) Land revalued to 7,000,000 with surplus 757,000 (1) **(1)**
- (c) Buildings revalued to 6,500,000, accumulated depreciation 657,000 eliminated (surplus 576,500); depreciation charge 2.5% x 6,500,000 = 162,500 (2) **(2)**
- (c) Furniture and fixtures: additions 3,000,000, charge 502,500, closing accumulated depreciation 1,177,500, net book value 3,847,500 (2) **(2)**
- (c) Plant and equipment: disposal removed (cost 3,140,000, depreciation 2,200,000), charge 517,625 at 12.5% reducing balance, closing net book value 3,623,375 (2) **(2)**
- (c) Stolen van: accumulated depreciation derived as 720,000, carrying value 1,280,000 derecognised, insurance recovery 1,400,000 and gain 120,000 (2) **(2)**
- (c) Trade-in: allowance 600,000, loss 200,000, new vehicle capitalised at 3,000,000; motor vehicle charge 1,108,500 and closing net book value 4,434,000 (2) **(2)**
- (c) Schedule totals: cost/valuation 38,235,000, accumulated depreciation 12,992,625, net book value 25,242,375 (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M03-Q002 – CA11-M03-Q030. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 2

Depreciation and Revaluation

Learning objectives

By the end of this lesson you should be able to:

1. Define depreciation and identify its causes.
2. Compute depreciation under the straight-line, reducing-balance, sum-of-digits, revaluation, machine-hour and depletion methods.
3. Record depreciation using the provision-for-depreciation account and prepare balance sheet extracts.
4. Account for disposals (sale, write-off, scrapping) through the disposal account and compute profit/loss on disposal.
5. Apply the revaluation model: revaluation surplus, reversals, and depreciation after revaluation.
6. Prepare a PPE movement schedule.

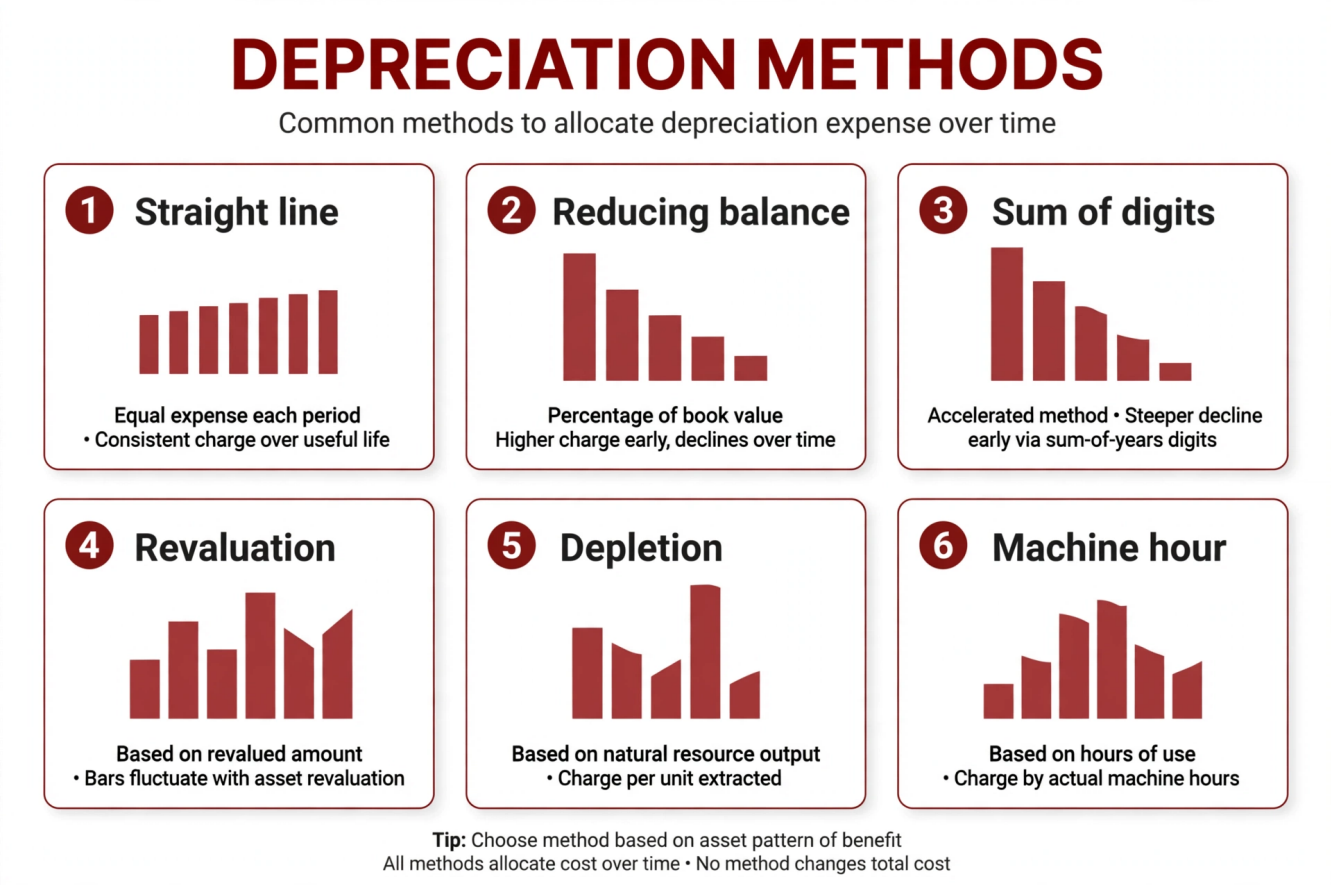
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1. Meaning and causes of depreciation

Depreciation is the **systematic allocation of the depreciable amount** of an asset over its **useful life** (IAS 16). It is not a valuation exercise — it spreads cost. **Depreciable amount = cost (or revalued amount) less residual value. Residual value** = estimated disposal proceeds (net of disposal costs) if the asset were already at end-of-life age and condition.

Without depreciation, true profit cannot be ascertained. Causes: **wear and tear** from use; **effluxion of time**; **obsolescence** (new inventions, demand changes); accidents; fall in market prices. Land (and old paintings) aside, all fixed assets depreciate. Note: the term is reserved for **fixed (non-current) assets**.

Basic factors: cost, estimated scrap (residual) value, estimated useful life, and the pattern of benefit consumption (which drives method choice). Time-apportion: an asset bought 1 April with 31 December year-end gets **9 months'** depreciation in year 1.



2. Depreciation methods

(a) Straight line (fixed instalment): (Cost − residual value) ÷ useful life. Equal charge yearly; suits uniform service. *Companies often assume scrap value = 5% of cost (95% written off).* Book example: Sh. 20,000 asset, 10% → Sh. 2,000 p.a.

(b) Reducing (diminishing) balance: fixed % × **opening** net book value. Heavy early, light later — matches rising repair costs so total (depreciation + repairs) stays roughly constant, and mirrors the sharp first-year fall in resale value. Book: Sh. 20,000 at 10%: Y1 2,000 → NBV 18,000; Y2 1,800; Y3 1,620. For the same life the rate is roughly **3×** the straight-line rate. Recognised by income tax authorities.

(c) Sum of digits: depreciation = (remaining life ÷ sum of years' digits) × cost. Book: Sh. 50,000, 10 years, sum = 55: Y1 = 10/55 × 50,000 = **Sh. 9,091**; Y2 = 9/55 × 50,000 = **Sh. 8,182**.

(d) Annuity method: allows for interest lost on capital tied up — interest debited to the asset, credited to interest; depreciation from annuity tables. (Both (a) and (b) ignore interest.)

(e) Revaluation method: for small items (loose tools, livestock): depreciation = opening value + purchases − closing valuation. Book: 1,600 + 2,000 − 2,400 = **Sh. 1,200**.

(f) Depletion (units of production): for mines/quarries: rate per tonne = cost ÷ estimated total output. Book: 200,000 ÷ 500,000 tonnes = Sh. 0.40/tonne; 30,000 tonnes → **Sh. 12,000**.

(g) Machine-hour rate: like depletion but in hours: Sh. 45,000 ÷ 30,000 hours = Sh. 1.50/hour; 2,500 hours → **Sh. 3,750**.

(Also in the book: depreciation fund, insurance policy, and repairs provision methods — know their names and one-line ideas; computations focus on (a)–(c), (e)–(g).)

3. Accounting treatment – the provision account

Each asset class gets a **provision for depreciation** account:

- Dr **Profit or loss** / Cr **Provision for depreciation** — with the period's charge.

The asset account stays at **cost**; the provision accumulates on the credit side. Balance sheet shows cost less accumulated depreciation = **net book value (NBV)**.

Worked example (book illustration, Sh.)

Plant: 1 Jan 1999 Sh. 8,000; 1 Jul 2000 two at Sh. 5,000 each; 1 Oct 2000 Sh. 6,000; 1 Apr 2002 Sh. 2,000. Straight line 10%, pro-rata.

Year	Charge	Accumulated
1999: 8,000×10%	800	800
2000: 8,000×10% (800) + 10,000×10%×6/12 (500) + 6,000×10%×3/12 (150)	1,450	2,250
2001: 24,000×10%	2,400	4,650
2002: 24,000×10% (2,400) + 2,000×10%×9/12 (150)	2,550	7,200

Balance sheet extracts: 1999: cost 8,000 − 800 = **7,200**; 2000: 24,000 − 2,250 = **21,750**; 2001: 24,000 − 4,650 = **19,350**; 2002: 26,000 − 7,200 = **18,800**. ✓

4. Disposals

Three ways: **sale**, **write-off** (damage/accident/theft), **scrapping** (no longer used). The **disposal account** collects cost, accumulated depreciation and proceeds; its balance = profit (credit) or loss (debit) on disposal → profit or loss.

On sale: 1. Dr Disposal / Cr Asset — with **cost**. 2. Dr Provision for depreciation / Cr Disposal — with **accumulated depreciation to date** (including part-year charge to disposal date!). 3. Dr Cash/Bank / Cr Disposal — with **proceeds**. 4. Balance → Dr Disposal / Cr P&L (profit) or Dr P&L / Cr Disposal (loss).

Write-off (insured): steps 1–2 as above; then Dr Insurance receivable / Cr Disposal with the expected compensation (or Dr Cash/Bank / Cr Disposal if the insurer has paid). **Scrapped:** steps 1–2 only.

Worked example (book, Sh.)

Plant 20% straight line, pro-rata. 1 Jan 2005: 900; 1 Oct 2005: 600; 1 Jul 2007: 550. Sold 30 Sep 2008 (the Sh. 900 item) for 275.

Depreciation: 2005: 900×20% (180) + 600×20%×3/12 (30) = 210; 2006: 1,500×20% = 300 (acc. 510); 2007: 1,500×20% (300) + 550×20%×6/12 (55) = 355 (acc. 865); 2008: sold item 900×20%×9/12 (135) + 550×20% (110) + 600×20% (120) = 365.

Accumulated depreciation on sold item: 180 (2005) + 180 (2006) + 180 (2007) + 135 (2008) = **675**.

```
Dr                  Plant disposal account                    Cr
2008                                    Sh.      2008                                 Sh.
30 Sep Plant (cost)                 900     30 Sep Provision for depreciation  675
30 Sep P&L (loss, bal. fig.)         50     30 Sep Cash (proceeds)             275
                                        950                                          950
```

Loss = 900 − 675 − 275 = **Sh. 50** ✓. NBV after disposal: cost 1,150 (600+550) − provision 555 = **595** ✓.

Exam trap: always charge depreciation **up to the disposal date** in the year of sale — the commonest lost mark.

5. Revaluation model

When fair value can be measured reliably, a class may be carried at **revalued amount = fair value at revaluation date** less subsequent depreciation/impairment. Revalue regularly enough that carrying amount is not materially different from fair value.

- **Upward revaluation:** increase → **credited to equity (revaluation surplus)** — *except* it reverses a previous revaluation **decrease** recognised in profit or loss, in which case recognise in **profit or loss** to that extent.
- **Downward revaluation:** decrease → recognised in **profit or loss** — *except* to the extent of an existing **credit balance in revaluation surplus** for that asset, which is debited directly.
- After revaluation, depreciate the **revalued amount** over remaining useful life.

Worked example

Building: cost Sh. 10,000,000, accumulated depreciation Sh. 4,000,000 → carrying amount Sh. 6,000,000. Revalued to Sh. 9,000,000. - Eliminate accumulated depreciation against cost (or restate proportionately): Dr Provision 4,000,000 / Cr Building 4,000,000 → cost now 6,000,000. - Dr Building 3,000,000 / Cr **Revaluation surplus** 3,000,000. - Remaining life 20 years → new depreciation = 9,000,000 ÷ 20 = **Sh. 450,000 p.a.**

If the next valuation falls to Sh. 7,650,000 after one year's depreciation (NBV 8,550,000): decrease 900,000 → debit **revaluation surplus** 900,000 (existing credit covers it).

6. PPE movement schedule

Reconciles opening → closing carrying amounts per class:

	Cost/valuation Sh.	Acc. depreciation Sh.	NBV Sh.
At 1 Jan	xxx	(xxx)	xxx
Additions	xxx	–	xxx
Disposals (NBV)	(xxx)	xxx	(xxx)
Revaluation surplus/(deficit)	xxx	xxx	xxx
Depreciation charge	–	(xxx)	(xxx)
At 31 Dec	**xxx**	**(xxx)**	**xxx**

Every column must cross-cast — an instant self-check.

7. Common exam traps

1. Part-year depreciation on **additions and disposals** (pro-rata months).
2. Disposal: depreciation to the **date of sale**, then cost vs accumulated depreciation vs proceeds.
3. Revaluation gains go to **equity** (surplus), not profit or loss — unless reversing a prior P&L decrease.
4. After revaluation, depreciate the **new** carrying amount over **remaining** life.
5. Reducing balance applies the % to **opening NBV**, not cost — and never deducts residual value first.
6. Sum of digits: numerator is the **remaining** life including the current year.

Key terms (flashcards)

- **Depreciation** – Systematic allocation of depreciable amount over useful life (IAS 16).
- **Depreciable amount** – Cost (or revalued amount) less residual value.
- **Residual value** – Estimated net disposal proceeds at end of useful life.
- **Useful life** – Period the asset is expected to be available for use.
- **Straight line** – Equal annual charge: (cost − residual) ÷ life.
- **Reducing balance** – Fixed % of opening NBV; heavy early charges.
- **Sum of digits** – (Remaining life ÷ sum of years' digits) × cost.
- **Depletion method** – Cost ÷ estimated total output × actual output (mines, quarries).
- **Machine-hour rate** – Cost ÷ estimated total hours × hours worked.
- **Provision for depreciation** – Accumulated depreciation account (credit balance); asset stays at cost.
- **Net book value (NBV)** – Cost less accumulated depreciation (and impairment).
- **Disposal account** – Collects cost, accumulated depreciation and proceeds; balance = profit/loss on disposal.
- **Revaluation surplus** – Equity reserve for upward revaluations.
- **Fair value** – The price in an orderly transaction at the revaluation date.

Module summary

Depreciation allocates an asset's depreciable amount over its useful life — straight line, reducing balance, sum of digits, revaluation, depletion or machine-hour methods — beginning when available for use and reviewed annually (changes are IAS 8 estimates, applied prospectively). Disposals remove cost and accumulated depreciation through a disposal account, with profit/loss in P&L. Revaluation increases go to revaluation surplus in equity (unless reversing a prior P&L decrease); decreases hit P&L (unless a surplus exists).

Exam day tips

- Tabulate depreciation workings (date, cost, months, charge) before touching the ledger — method marks.
- Disposal account: four entries, then balance — label the profit/loss clearly.
- In revaluation questions, state where the gain/loss goes (surplus vs P&L) with the reversal rule.

Slide deck at a glance

Meaning and causes of depreciation

- **Systematic allocation** of depreciable amount over useful life (IAS 16)
- Depreciable amount = cost (or revalued amount) − residual value
- It spreads cost — **not** a valuation exercise
- Causes: wear and tear, effluxion of time, obsolescence, accidents
- All fixed assets depreciate — except land (and old paintings)

Methods (1/2): SL, RB, sum of digits

- **Straight line**: (cost − residual) ÷ life — equal yearly charge
- **Reducing balance**: fixed % × opening NBV — heavy early, light later
- **Sum of digits**: (remaining life ÷ sum of digits) × cost
- RB rate ≈ 3× the straight-line rate for same life
- RB never deducts residual value first; SL excludes it from the charge

Methods (2/2): revaluation, depletion, machine-hour

- **Revaluation**: opening + purchases − closing valuation (loose tools)
- **Depletion**: cost ÷ total output × actual output (mines, quarries)
- **Machine-hour**: cost ÷ total hours × hours worked
- **Annuity**: allows for interest lost on capital tied up
- Computations focus on (a)–(c), (e)–(g)

Recording depreciation

- Each asset class gets a **provision for depreciation** (credit balance)
- Entry: Dr Profit or loss / Cr Provision for depreciation
- Asset account stays at **cost**; provision accumulates
- Balance sheet shows cost − accumulated depreciation = **NBV**
- Time-apportion: asset bought 1 April (Dec year-end) gets 9 months

Worked example: pro-rata charges

- Plant bought 2005–2008, SL 10% pro-rata → full charge table
- Balance sheet NBVs: 7,200 → 21,750 → 19,350 → 18,800 ✓
- Every column must cross-cast — an instant self-check
- Tabulate workings before touching the ledger — method marks
- Always charge depreciation **up to the disposal date**

Disposal account: four steps

- 1. Dr Disposal / Cr Asset — with **cost**
- 1. Dr Provision / Cr Disposal — with accumulated depreciation to sale date
- 1. Dr Cash / Cr Disposal — with proceeds
- Balance: profit (Cr) or loss (Dr) → profit or loss
- Book example: cost 900 − acc. dep. 675 − proceeds 275 = loss **Sh. 50**

Revaluation model

- Upward revaluation → **revaluation surplus** (equity)
- …unless reversing a prior P&L decrease → profit or loss
- Downward revaluation → **profit or loss**, unless surplus exists for the asset
- After revaluation: depreciate the **new** carrying amount over remaining life
- Building 10m − 4m dep. → revalued 9m → new charge 450,000 p.a.

Key takeaways / exam tips

- Part-year depreciation on additions *and* disposals — pro-rata months
- RB applies the % to **opening NBV**, not cost
- Sum of digits: numerator is the **remaining** life including current year
- Revaluation gains go to equity — not P&L — unless reversing a P&L decrease
- Disposal: four entries, then balance and label profit/loss clearly

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 2 · Hard 4), serials CA11-M03-Q005 – CA11-M03-Q034. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 3

Intangible Assets

Learning objectives

By the end of this lesson you should be able to:

1. Define an intangible asset and the identifiability criterion.
2. Apply the recognition criteria (probable benefits + reliably measurable cost).
3. Measure separately acquired intangibles and those acquired in a business combination.
4. Distinguish research from development and apply the six development-capitalisation conditions.
5. Explain amortisation (finite life) vs non-amortisation (indefinite life), residual value and impairment.
6. Explain the revaluation model for intangibles and the active-market requirement.

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1. Definition and identifiability

An **intangible asset** is an **identifiable non-monetary asset without physical substance** (IAS 38). Software licences, patents, copyrights, franchises, trademarks.

Identifiability is met when the item: - (a) is **separable** — capable of being separated/divided and sold, transferred, licensed, rented or exchanged (alone or with a related contract/asset/liability); **or** - (b) **arises from contractual or other legal rights**, whether or not transferable or separable.

2. Recognition and initial measurement

Recognise **if and only if**: (a) **probable** future economic benefits will flow to the entity; and (b) **cost can be measured reliably**. For separately acquired intangibles and business-combination intangibles, probability is **always considered satisfied**.

Cost of a separately acquired intangible = purchase price (incl. import duties, non-refundable taxes, **less** trade discounts/rebates) + **directly attributable costs** of preparing it for intended use (e.g. legal fees to register a patent).

Acquired in a business combination (IFRS 3): cost = **fair value at acquisition date**. Only in rare cases (non-separable legal right with no exchange history and immeasurable variables) may fair value be unmeasurable.

3. Internally generated intangibles – the big exam area

- **Internally generated goodwill: NEVER recognised.**
- **Research phase: NEVER capitalised** — expense as incurred. Research = original/planned investigation to gain new knowledge.
- **Development phase: capitalise if and only if ALL six conditions are demonstrated:** 1. **Technical feasibility** of completion for use/sale; 2. **Intention** to complete and use/sell it; 3. **Ability** to use/sell it; 4. **Probable future economic benefits** — e.g. a market for the output (or the asset), or internal usefulness; 5. **Adequate resources** (technical, financial, other) to complete and use/sell; 6. **Reliable measurement** of attributable development expenditure.
- **Internally generated brands, mastheads, publishing titles, customer lists** and similar: **never recognised** — expenditure cannot be distinguished from developing the business as a whole.
- Cost = expenditure incurred **from the date criteria are first met**; **reinstatement of previously expensed amounts is prohibited**.

- Anything else: **expense as incurred**, unless it forms part of a qualifying asset's cost or (in a business combination) forms part of goodwill.

Worked example – Savanna Soft Ltd (Nairobi)

Savanna Soft develops a payroll app (MshaharaPro):

Phase	Sh.	Treatment
Research (market study, feasibility)	1,800,000	Expense — research never capitalised
Development before criteria met (prototype v0)	900,000	Expense — criteria not yet met
Development after all six conditions met	3,600,000	**Capitalise** as intangible asset
Staff training on the new app	400,000	Expense
Carrying amount	**3,600,000**	

Entry on meeting criteria: Dr Intangible asset – software 3,600,000 / Cr Cash/Payables 3,600,000. The 900,000 spent before the criteria were met can **never** be reinstated.

4. Amortisation, useful life, residual value, impairment

- Assess whether useful life is **finite or indefinite**. Indefinite = no foreseeable limit to net cash inflows.
- **Finite life:** allocate **depreciable amount systematically** over useful life (straight line if pattern cannot be determined reliably). **Begin** when available for use; **cease** at the earlier of held-for-sale classification (IFRS 5) or derecognition. Charge to **profit or loss** (unless included in another asset's cost). Review period and method at each year-end; changes = **changes in estimate** (IAS 8, prospective).
- **Legal/contractual life** caps useful life (include renewal periods only with evidence of renewal without significant cost).
- **Residual value** is assumed **zero** unless: (a) a third party commits to buy it at end of life; or (b) an **active market** exists (homogeneous items, willing buyers/sellers anytime, public prices) and will exist at end of life.
- **Indefinite life: NOT amortised** — test for **impairment annually** (IAS 36) and whenever indicated; review the indefinite assessment each period (a switch to finite = change in estimate).
- **Revaluation model** allowed only with an **active market** (rare for intangibles); same surplus/P&L mechanics as PPE.

Worked example – amortisation

Patent capitalised at Sh. 3,600,000, legal life 12 years, expected useful life 6 years, no residual value → useful life = **6 years** (shorter of legal and expected). Annual amortisation = 3,600,000 ÷ 6 = **Sh. 600,000**: Dr Amortisation expense 600,000 / Cr Accumulated amortisation (or Cr Patent) 600,000.

5. Worked example – research vs development at a fintech (Nairobi)

PesaTech Ltd builds a lending app over two years:

Year 1: Market research and feasibility studies Sh. 2,400,000 → **expense** (research). Prototype coding begins, but technical feasibility is not yet proven → Sh. 1,100,000 of early coding also **expensed** (criteria not met; this amount can never be reinstated).

Year 2: In March, all six conditions are demonstrably met (working beta, board-approved launch plan, confirmed funding, signed pilot clients, reliable time-tracking). Further development to launch: Sh. 4,800,000 → **capitalise**: Dr Intangible asset – software 4,800,000 / Cr Cash/Payables 4,800,000.

At launch: useful life assessed at 4 years, straight-line, zero residual value → annual amortisation **Sh. 1,200,000**: Dr Amortisation expense 1,200,000 / Cr Accumulated amortisation 1,200,000.

Year 3: A competitor's free app destroys the market; recoverable amount falls to Sh. 1,500,000 while carrying amount is 3,600,000 → impairment loss **Sh. 2,100,000** (IAS 36): Dr P&L 2,100,000 / Cr Intangible asset 2,100,000. The story demonstrates the full lifecycle: expense → capitalise → amortise → impair.

Brands and customer lists: PesaTech spends Sh. 900,000 building its brand through advertising. Although the brand has value, expenditure cannot be distinguished from developing the business as a whole → **expense as incurred**. The commonest student error is capitalising "our brand is worth millions" — IAS 38 forbids it.

5. Impairment, goodwill and disclosure

Impairment (IAS 36): at each year-end, ask whether there is any **indication** of impairment (market decline, obsolescence, damage, worse-than-expected performance). If so, compare **carrying amount** with **recoverable amount** (higher of fair value less costs to sell and value in use); write down any excess: Dr P&L / Cr Asset (or against revaluation surplus first, for revalued assets).

Goodwill: only **purchased** goodwill is recognised (in a business combination, IFRS 3) — as the residual after identifying all assets and liabilities. It is **not amortised**; it is tested for impairment annually. **Internally generated goodwill is never recognised** — repeat this until it is automatic.

Disclosure (IAS 38): for each class of intangibles, disclose useful lives and amortisation methods, gross carrying amount and accumulated amortisation, a reconciliation of opening to closing carrying amount, and R&D expense recognised in the period. For indefinite-life intangibles, disclose the carrying amount and the reasons supporting the indefinite assessment.

Exam scenario drill: "A company spends Sh. 5,000,000 developing a new product. Sh. 2,000,000 was spent before technical feasibility was established." Answer structure: (1) identify research vs development phases; (2) apply the six conditions to the post-feasibility Sh. 3,000,000 — capitalise if all met; (3) expense the Sh. 2,000,000 and note **no reinstatement**; (4) state amortisation policy once available for use; (5) mention annual impairment review if not yet available for use (IAS 36 requires annual testing for not-yet-available intangibles).

Websites and similar costs: IAS 38 (via SIC-32) treats website development like any other internally generated intangible — planning is research (expense); application/infrastructure development and content development *may* be capitalised if the six conditions are met (e.g. the site takes orders and generates revenue); operating costs are expensed. A purely advertising website is expensed. The same phase-split logic applies to any software project you meet in the exam.

6. Common exam traps

1. **Research is always expensed** — the commonest single mark.
2. Development needs **all six** conditions; missing one = expense.
3. **No reinstatement** of previously expensed amounts — a deliberate trap.
4. Internally generated **brands, customer lists, mastheads**: never recognised.
5. Useful life cannot exceed the **contractual/legal** period.
6. Indefinite-life intangibles are **not amortised** but **impairment-tested annually**.

7. Residual value defaults to **zero**.

Key terms (flashcards)

- **Intangible asset** – Identifiable non-monetary asset without physical substance (IAS 38).
- **Identifiability** – Separable, or arising from contractual/legal rights.
- **Research** – Original investigation for new knowledge; always expensed.
- **Development** – Application of findings to new/improved products; capitalised only if six conditions all met.
- **Amortisation** – Systematic allocation of an intangible's depreciable amount over its useful life.
- **Indefinite useful life** – No foreseeable limit to cash inflows; not amortised; annual impairment test.
- **Active market** – Homogeneous items, willing buyers/sellers at any time, public prices.
- **IAS 36** – Impairment of Assets.
- **IFRS 3** – Business Combinations (purchased goodwill recognised here).

Module summary

An intangible asset is an identifiable non-monetary asset without physical substance (separable or arising from legal rights). Recognition needs probable benefits and reliably measurable cost; research is always expensed, and development is capitalised only when all six IAS 38 conditions are met — with no reinstatement of amounts previously expensed. Finite-life intangibles are amortised (residual value normally zero); indefinite-life intangibles are not amortised but impairment-tested annually; revaluation needs an active market. Internally generated goodwill, brands and customer lists are never recognised.

Exam day tips

- For "should this be capitalised?" scenarios, run the six-point checklist explicitly — one line per condition.
- Quote "reinstatement prohibited" and "research always expensed" — they are pure recall marks.

Slide deck at a glance

Definition and identifiability

- **Identifiable non-monetary asset without physical substance** (IAS 38)
- Examples: software licences, patents, copyrights, franchises
- **Identifiable** = separable (can be sold/licensed alone)
- …or arises from **contractual/legal rights**
- Both recognition criteria must be met: probable benefits + measurable cost

Initial measurement

- Separately acquired cost = price + duties/taxes − discounts + direct costs
- E.g. legal fees to register a patent are capitalised
- Business combination (IFRS 3): cost = **fair value** at acquisition date
- Probability of benefits always considered satisfied for these two
- Purchased goodwill (IFRS 3) is recognised; internally generated is **never**

Internally generated: research vs development

- **Research: NEVER capitalised** — always expensed
- Development: capitalise iff **all six** conditions met
- Technical feasibility; intention to complete; ability to use/sell

- Probable future benefits; adequate resources; reliable measurement
- Anything else — and brands, mastheads, customer lists — expensed

Worked example: Savanna Soft

- Savanna Soft's MshaharaPro payroll app: research 1,800,000 → expense
- Prototype before criteria met: 900,000 → expense, **never reinstated**
- Development after criteria met: 3,600,000 → **capitalise**
- Staff training 400,000 → expense
- Entry: Dr Intangible asset 3,600,000 / Cr Cash/Payables

Amortisation and useful life

- Assess life: **finite** or **indefinite** (no foreseeable limit to cash inflows)
- Finite: amortise systematically over useful life; begin when available for use
- Capped at the **legal/contractual** life (renewal only with evidence)
- **Residual value defaults to zero**
- Indefinite: **not amortised** — impairment test **annually** (IAS 36)

Amortisation and impairment examples

- Patent 3,600,000, useful life 6 years → amortisation 600,000 p.a.
- Dr Amortisation expense / Cr Accumulated amortisation
- PesaTech: capitalise 4,800,000 post-feasibility → amortise over 4 years
- Market collapses: recoverable 1,500,000 < carrying 3,600,000
- Impairment loss **2,100,000** → Dr P&L / Cr Intangible asset

Revaluation and websites

- Revaluation model only with an **active market** (rare for intangibles)
- Active market = homogeneous items, willing buyers/sellers, public prices
- Same surplus/P&L mechanics as PPE
- Websites: planning = research (expense); order-taking site *may* capitalise
- Purely advertising websites are expensed

Key takeaways / exam tips

- Research always expensed — the commonest single mark
- All six development conditions, or expense it
- **No reinstatement** of previously expensed amounts — a deliberate trap
- Internally generated brands and customer lists: never recognised
- Indefinite life → no amortisation, annual impairment test

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M03-Q011 – CA11-M03-Q041. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 4

Inventory and Receivables

Learning objectives

By the end of this lesson you should be able to:

1. Define inventories and state what cost includes (IAS 2).
2. Apply the lower-of-cost-and-NRV rule.
3. Compute cost of goods sold and closing inventory under FIFO and weighted average (AVCO), and explain why LIFO is not permitted.
4. Account for bad debts written off and provisions for doubtful debts (specific and general), including increases and decreases.
5. Explain the purpose and format of sales/purchases ledger control accounts.

PART A – INVENTORY (IAS 2)

1. Definitions and cost

Inventories: (a) finished goods held for sale; (b) work in progress; (c) raw materials for production. **Cost** = all costs of **purchase** (price, import duties, non-refundable taxes), **conversion** (direct labour, production overheads) and **other costs** to bring inventories to present location and condition (e.g. carriage inwards).

Measurement: lower of cost and net realizable value. NRV = estimated selling price − estimated costs of completion − estimated costs to make the sale. Write-downs (and inventory losses) are **expensed** when they occur; **reversals** (on NRV recovery) **reduce** the expense. When sold, the carrying amount becomes **cost of sales** in the period of the related revenue (matching).

Stock is "sensitive": it sits outside double entry, so value comes from **stocktaking** (physical count × cost per unit). Book example: A 200,000 units × 200 + B 20,000 × 300 + C 30,000 × 400 = **Sh. 58,000,000**.

2. Cost formulas

IAS 2 permits **FIFO** or **weighted average** (same formula for similar inventories); **specific identification** for non-interchangeable items. **LIFO is not permitted** under IAS 2 (the book describes it only for contrast — in inflation LIFO lowers profit/tax, which is precisely why standards ban it).

FIFO: first units in are first out; closing stock = most recent costs (close to replacement cost). **Weighted average:** each issue/store valued at the running average cost.

3. Worked example – FIFO vs AVCO (Kenyan wholesaler)

Twiga Wholesalers Ltd deals in 50kg maize-flour bags:

Date	Transaction	Units	Price (Sh.)
1 Mar	Opening stock	400	2,000
8 Mar	Purchases	600	2,100
15 Mar	Sales	700	–
22 Mar	Purchases	500	2,200
28 Mar	Sales	600	–

FIFO: 15 Mar sale of 700 = 400 × 2,000 + 300 × 2,100 → COGS 1,430,000. Remaining: 300 × 2,100 = 630,000. 22 Mar purchase 500 × 2,200. 28 Mar sale of 600 = 300 × 2,100 + 300 × 2,200 → COGS 1,290,000. **Total COGS = 2,720,000; closing stock = 200 × 2,200 = Sh. 440,000.** Check: goods available = 800,000 + 1,260,000 + 1,100,000 = 3,160,000 = 2,720,000 + 440,000 ✓.

AVCO (periodic): average = 3,160,000 ÷ 1,500 = **2,106.67**/bag. Units sold 1,300 → COGS = 1,300 × 2,106.67 = **2,738,667**; closing 200 × 2,106.67 = **421,333**. Check: 2,738,667 + 421,333 = 3,160,000 ✓.

Note FIFO gives higher closing stock (440,000 vs 421,333) in rising prices — and therefore higher profit. **Exam trap:** under IAS 2 you must use FIFO or AVCO consistently for similar inventories.

4. NRV write-down example

Closing stock at cost Sh. 440,000 (FIFO); 50 bags are damaged and can sell for only Sh. 1,500 each after Sh. 100/bag selling costs → NRV = 50 × 1,400 = 70,000 vs cost 50 × 2,200 = 110,000 → write down **Sh. 40,000**: Dr P&L (inventory write-down) 40,000 / Cr Inventory 40,000. Closing stock = **Sh. 400,000**.

PART B – RECEIVABLES, BAD DEBTS AND CONTROL ACCOUNTS

5. Bad debts and doubtful debts

Trade receivables = amounts due from credit sales (current assets). **Bad debts** = amounts certain never to be collected (debtor collapsed): Dr **Bad debts** / Cr **Debtor**; then Dr **P&L** / Cr Bad debts (transfer). **Doubtful debts** = amounts that *may* not be collected → **provision** (an estimate, not a write-off).

- **Specific provision:** against an identified debtor.
- **General provision:** a % of remaining debtors (debtors − bad debts written off − specific provision).
- **First year:** Dr P&L / Cr Provision (full amount).
- **Later years:** increase → Dr P&L / Cr Provision (increase only); decrease → Dr Provision / Cr P&L (decrease only).

6. Worked example – provision movements (book: Minim Ltd, Sh.)

Year	Bad debts written off	Debtors at year-end	Provision %	Required provision
2013	656,000	22,000,000	5%	1,100,000
2014	1,805,000	40,000,000	7%	2,800,000
2015	3,817,000	60,000,000	6%	3,600,000

P&L charges: 2013: bad debts 656,000 + provision 1,100,000. 2014: bad debts 1,805,000 + provision **increase** 1,700,000 (2,800,000 − 1,100,000). 2015: bad debts 3,817,000 + provision increase 800,000 (3,600,000 − 2,800,000). Balance sheet: debtors less provision — 2013: 22,000,000 − 1,100,000 = **20,900,000**; 2014: 40,000,000 − 2,800,000 = **37,200,000**; 2015: 60,000,000 − 3,600,000 = **56,400,000**. ✓

Exam trap: charge only the *movement* in later years, never the full provision again. A decrease is credited to P&L (income).

7. Control accounts

Control (total) accounts sit in the general ledger and mirror a section of a subsidiary ledger — the balance must equal the total of the individual accounts. Purposes: arithmetical check; quick TB figure for debtors/creditors; fraud/error detection; delegation of duties.

Sales ledger control (trade receivables): Dr side — balance b/d, credit sales (from sales journal), refunds to customers, dishonoured cheques, bad debts recovered, debit balances c/d; Cr side — cash/cheques received, returns inwards, discounts allowed, bad debts written off, contras (purchases ledger), allowances, credit balances c/d.

Purchases ledger control (trade payables): Dr side — cash/cheques paid, discounts received, returns outwards, allowances, sales-ledger contras, debit balances c/d; Cr side — balance b/d, credit purchases, refunds from suppliers, bills dishonoured + charges, credit balances c/d.

Contra (set-off): where X is both customer and supplier, offset: Dr Creditor (purchases ledger) / Cr Debtor (sales ledger) — the book's CB Ltd example: 163,040 offset.

8. Worked example – trade payables control (book: XML Ltd, Dec 2014, Sh. '000)

```
Dr              Trade payables control account              Cr
Balance b/d (debit)        16.5   Balance b/d (credit)     4,285.0
Returns outwards          284.0   Credit purchases         5,687.5
Bills payable             930.0   Bill dishonoured           400.0
Cheques paid            4,732.0   Charges on dishonour        10.0
Cash paid                  88.5   Balance c/d (debit)         23.5
Balance c/d (credit)    4,355.0
                       10,406.5                              10,406.5 ✓
```

Closing: **Sh. 4,355,000 credit** (amount owed to suppliers) and Sh. 23,500 debit balance c/d.

9. Worked example – FIFO in a rising market (Nairobi retailer)

Kamau Electronics sells phone chargers:

Date	Units	Cost (Sh.)
1 Jun stock	100	500
10 Jun purchase	200	550
18 Jun sale	250	–
25 Jun purchase	150	600

FIFO: 18 Jun sale of 250 = 100 × 500 + 150 × 550 → COGS 132,500. Left: 50 × 550 = 27,500; plus 25 Jun 150 × 600 = 90,000. **Closing stock = Sh. 117,500.** Check: goods available = 50,000 + 110,000 + 90,000 = 250,000 = COGS 132,500 + closing 117,500 ✓.

AVCO (periodic): 250,000 ÷ 450 = 555.56; COGS = 250 × 555.56 = 138,889; closing = 200 × 555.56 = 111,111 ✓.

Notice FIFO profit is higher (lower COGS) when prices rise — the standard exam conclusion, and the reason IAS 2 bans LIFO.

10. Common exam traps

1. **LIFO is prohibited** by IAS 2 — never use it in answers, even if the question "invites" a comparison.
2. FIFO vs AVCO: in **rising prices**, FIFO → higher closing stock and higher profit; in falling prices the reverse.
3. Provision: first year = full amount; later years = **movement only**; decreases are credited to P&L (income).
4. Bad debt write-off vs provision: write-off removes the debtor; provision is an estimate against debtors still carried.

5. Control accounts: **debits in personal accounts → debits in control** (same side). Sales are debited to the sales control; cash received is credited.
6. NRV write-down hits **P&L immediately**; reversals reduce expense.
7. The sales ledger control's **credit balances c/d** (customers who overpaid) appear on the *debit* side as balances carried down — list them on the correct side or the control will not balance.
8. In FIFO questions, always prove **goods available for sale = COGS + closing stock** before moving on — it catches the arithmetic slips that cost the most marks.
9. **LIFO is prohibited** by IAS 2 — never use it in answers.
10. FIFO vs AVCO: in **rising prices**, FIFO → higher closing stock and higher profit.
11. Provision: first year = full amount; later years = **movement only**; decreases are credited to P&L.
12. Bad debt write-off vs provision: write-off removes the debtor; provision is an estimate against debtors still carried.
13. Control accounts: **debits in personal accounts → debits in control** (same side). Sales are debited to the sales control; cash received is credited.
14. NRV write-down hits **P&L immediately**; reversals reduce expense.

Key terms (flashcards)

- **IAS 2** – Inventories: lower of cost and NRV; FIFO or weighted average.
- **Net realizable value (NRV)** – Estimated selling price less costs of completion and sale.
- **FIFO** – First-in, first-out: oldest costs to COGS; newest costs in closing stock.
- **Weighted average (AVCO)** – Average cost of all units available for sale.
- **Carriage inwards** – Transport costs bringing inventory to location/condition; part of cost.
- **Trade receivables** – Amounts due from credit customers; current assets.
- **Bad debt** – Irrecoverable amount written off: Dr Bad debts / Cr Debtor, then to P&L.
- **Provision for doubtful debts** – Estimate of amounts that may not be collected; specific or general.
- **Control account** – General-ledger total account mirroring a subsidiary ledger (sales/purchases).
- **Contra / set-off** – Offsetting a balance that is both debtor and creditor.

Module summary

IAS 2 measures inventory at the lower of cost and net realisable value, using FIFO or weighted average (never LIFO). Cost includes purchase, conversion and carriage inwards; write-downs hit profit or loss immediately. Trade receivables are carried less bad debts written off (Dr Bad debts / Cr Debtor, then to P&L) and provisions for doubtful debts — full provision in year one, movements only thereafter. Sales and purchases ledger control accounts mirror the subsidiary ledgers and must agree with them.

Exam day tips

- Inventory computations: prove goods available = COGS + closing stock — catches arithmetic slips.
- Provision questions: build the three-column table (debtors, %, required) then compute movements.
- Control accounts: list every item from the question, tick it off as posted, then balance.

Slide deck at a glance

IAS 2: cost and the NRV rule

- **Inventories** = finished goods, work in progress, raw materials
- Cost = purchase + conversion + other costs to present location/condition
- **NRV** = selling price − completion costs − selling costs
- Measured at **lower of cost and NRV**
- Write-downs hit P&L immediately; reversals reduce the expense

Cost formulas

- Permitted: **FIFO** or **weighted average (AVCO)** for similar inventories
- **LIFO is NOT permitted** under IAS 2 — never use it in answers
- FIFO: oldest costs to COGS; closing stock at newest (replacement-like) costs
- AVCO: running average cost applied to each issue/store
- Use one formula consistently for similar inventories

Worked example: FIFO vs AVCO

- Twiga Wholesalers: 1,500 bags available at Sh. 3,160,000
- FIFO: 15 Mar sale 700 → COGS 1,430,000; 28 Mar sale 600 → 1,290,000
- FIFO: total COGS 2,720,000; closing stock **440,000**
- AVCO: avg 2,106.67 → COGS 2,738,667; closing **421,333**
- Always prove: goods available = COGS + closing stock ✓

Price effects and NRV write-down

- In **rising prices**: FIFO → higher closing stock and higher profit
- Kamau Electronics FIFO: closing stock **Sh. 117,500**
- Kamau AVCO: closing **Sh. 111,111**
- This is why IAS 2 bans LIFO — it lowers profit (and tax) in inflation
- NRV write-down example: 40,000 → Dr P&L / Cr Inventory

Bad debts and provisions

- **Bad debts** (never collected): Dr Bad debts / Cr Debtor; then to P&L
- **Doubtful debts** (may not collect): provision — an estimate, not a write-off
- Specific provision: identified debtor; general: % of remaining debtors
- First year: full provision to P&L; later years: **movement only**
- A decrease is credited to P&L (income)

Provision movements worked example

- Minim Ltd: 2013 charge = bad debts 656,000 + provision 1,100,000
- 2014: bad debts 1,805,000 + provision **increase** 1,700,000
- 2015: bad debts 3,817,000 + provision increase 800,000
- SOFP: debtors less provision, e.g. 60,000,000 − 3,600,000 = 56,400,000
- Exam trap: charge only the *movement* in later years, never the full provision

Control accounts

- Control account mirrors a subsidiary ledger; balances must agree
- Purposes: arithmetical check, quick TB figure, fraud/error detection
- Sales control: Dr = credit sales; Cr = cash received, returns, discounts, bad debts
- Purchases control: Dr = cash paid, returns, discounts; Cr = credit purchases

- **Contra**: Dr Creditor / Cr Debtor where X is both customer and supplier

Key takeaways / exam tips

- LIFO prohibited — never use it, even if the question 'invites' comparison
- Rising prices → FIFO gives higher stock and profit
- Provision: first year full; later years movement only
- Write-off removes the debtor; provision is an estimate against debtors kept
- Inventory: prove goods available = COGS + closing stock — catches slips

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 3 · Hard 3), serials CA11-M03-Q014 – CA11-M03-Q048. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 5

Cash, Bank and Reconciliations

Learning objectives

By the end of this lesson you should be able to:

1. Explain why the cash book and bank statement balances differ.
2. Identify the causes of difference: unpresented cheques, uncredited deposits, bank charges, direct debits/credits, standing orders, dishonoured cheques, interest, errors.
3. Prepare an **updated (adjusted) cash book**.
4. Prepare a **bank reconciliation statement** in both formats (from cash book; from bank statement).
5. Handle overdraft situations in reconciliations.

---

1. Why reconcile?

The cash book (bank columns) records the firm's view; the **bank statement** records the bank's view. Ideally identical — in practice almost never. The **bank reconciliation statement** identifies every difference (**reconciling items**) so that the **adjusted cash book balance and adjusted bank statement balance agree**. Functions: update the cash book (bank charges, direct debits); check/correct cash book errors; detect and prevent fraud.

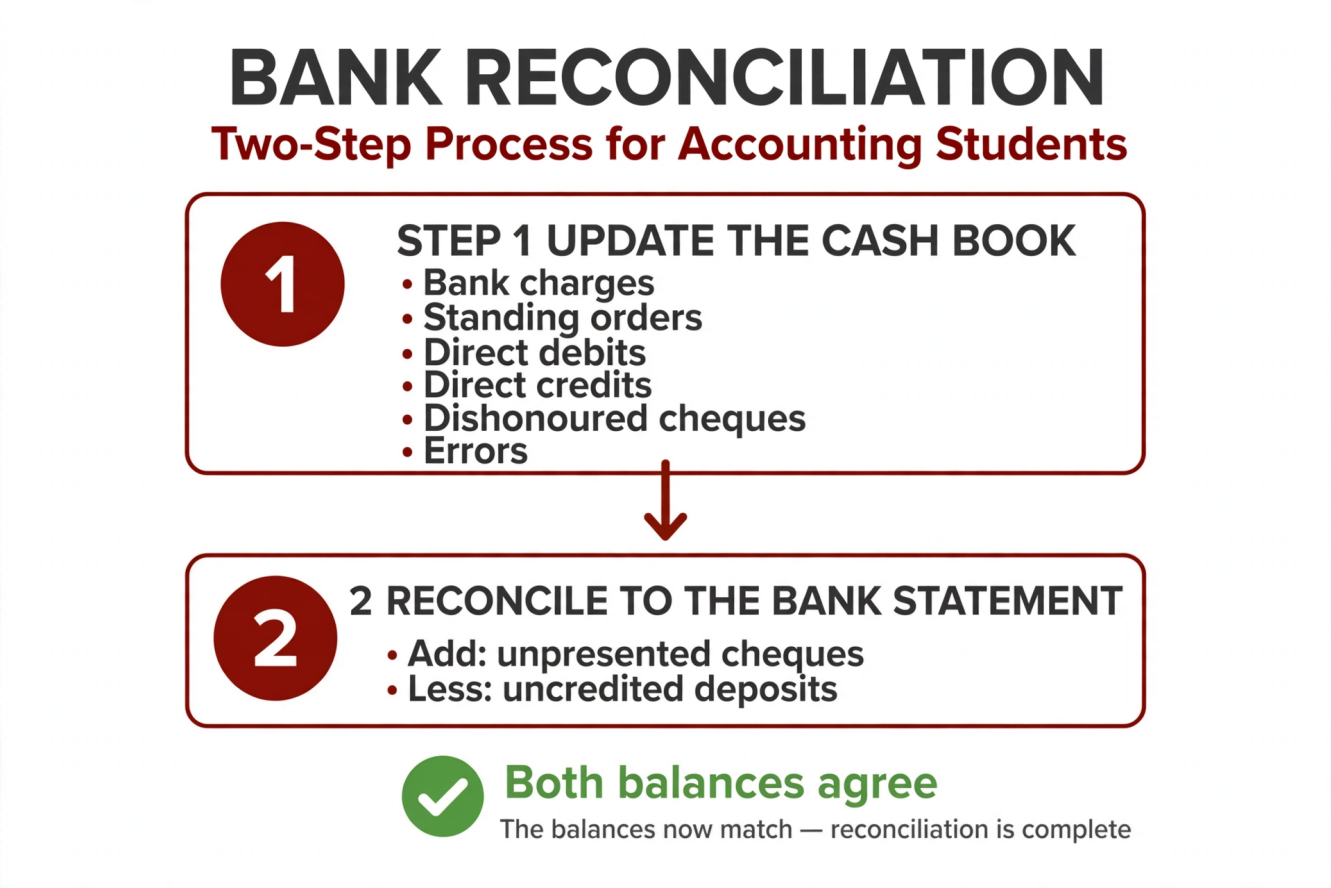
2. Causes of difference

Timing differences (no cash book update needed): - **Unpresented cheques** – issued and recorded, not yet presented → bank balance *higher* than cash book. - **Uncredited deposits (deposits in transit)** – banked and recorded, not yet credited by the bank → bank balance *lower*.

Items the firm learns from the statement (update the cash book first): - **Bank charges** and overdraft interest – Dr Bank charges / Cr Cash book (bank). - **Standing orders / direct debits** (loan repayments, utilities) – Dr Expense/ Liability / Cr Cash book. - **Direct credits** (dividends, customer direct deposits, notes collected) – Dr Cash book / Cr Income/Debtor. - **Interest earned** – Dr Cash book / Cr Interest income. - **Dishonoured (NSF) cheques** – a deposited cheque bounces: Dr Debtor / Cr Cash book (write it back). - **Errors in the cash book** – over/undercasts, transpositions, mispostings: correct via journal to cash book.

Bank errors – adjusted on the *bank statement* side of the reconciliation (and reported to the bank), never in the cash book.

Golden procedure: (1) update the cash book for all items it should have recorded; (2) reconcile the *updated* balance to the bank statement using unpresented cheques and uncredited deposits (± bank errors).



3. The two formats

Format 1 (start from updated cash book):

```
Balance as per cash book (updated)                          xxx
Add: unpresented cheques                              xxx
     bank-statement errors increasing balance         xxx   xxx
                                                            xxx
Less: uncredited deposits                             xxx
      bank-statement errors decreasing balance        xxx  (xxx)
Balance as per bank statement                               xxx
```

Format 2 (start from bank statement):

```
Balance as per bank statement                               xxx
Add: uncredited deposits                              xxx
     bank errors (decreasing type)                    xxx   xxx
                                                            xxx
Less: unpresented cheques                             xxx
      bank errors (increasing type)                   xxx  (xxx)
Balance as per cash book (updated)                          xxx
```

Logic check: unpresented cheques make the bank balance too *high* → subtract from bank side / add to cash-book side. Uncredited deposits make it too *low* → add to bank side / subtract from cash-book side.

4. Worked example 1 – Joseph Kahiga, December 2005 (from the book, Sh.)

Cash book balance 31 Dec: **179,300**; bank statement balance: **155,700**.

Step 1 – update the cash book (items on the statement not in the cash book): dividend received 2,600 (Dr Cash book / Cr Dividend income); standing order 3,200; bank charges 1,800; direct debit 8,800 (all Cr Cash book).

```
Updated cash book: 179,300 + 2,600 − 3,200 − 1,800 − 8,800 = Sh. 168,100
```

(Cheques 417869 Victor Karanja 7,100 and 417872 Steve Maithya 3,700 were in the cash book but not on the statement → unpresented. Deposits by Owen Ndumbi 9,800 and Walter Oyugi 13,400 were in the cash book but not credited → uncredited.)

Step 2 – reconciliation (Format 1):

	Sh.	Sh.
Balance as per cash book (updated)		168,100
Add: unpresented cheques (7,100 + 3,700)		10,800
		178,900
Less: uncredited deposits (9,800 + 13,400)		(23,200)
Balance as per bank statement		**155,700** ✓

5. Worked example 2 – Mwambi, June 2001 (from the book, Sh.)

Cash book 2,366,500; bank statement 706,500. Investigation:

Cash book updates: bank charges 3,000 (Cr); unrecorded receipts 26,500 (Dr); standing order 62,000 (Cr); payment entered as 79,400 instead of 74,900 → overcast 4,500 (Dr); dishonoured cheque 15,000 (Cr); opening balance brought forward as debit 329,250 instead of credit → correct by 2 × 329,250 = **658,500** (Cr); old cheque written back but already honoured 44,000 (Cr); customer deposits of 832,500 credited by the bank to the *wrong account* — already entered in Mwambi's cash book on customers' word → this is a **bank error**, not a cash book item (no entry).

```
Adjusted cash book: 2,366,500 + 26,500 + 4,500 − 3,000 − 62,000 − 658,500 − 15,000 −
44,000 = Sh. 1,615,000
```

Reconciliation: 1,615,000 + unpresented cheques 22,500 − uncredited deposits 98,500 − bank error 832,500 = **706,500** ✓.

Exam traps on display: the 658,500 double-correction for a wrong-side brought-forward balance; the 832,500 wrong-account credit is a *bank* error (reconciliation side only); and the 44,000 written-back cheque that was already honoured — a reminder that "reversing" entries in the cash book must always be checked against what the bank actually did.

6. Quick-fire practice (self-test)

1. Cash book Dr 48,000; bank statement Cr 51,500; unpresented cheques 12,000; uncredited deposits 8,000; bank charges 500 not in cash book. → Updated cash book: 48,000 − 500 = 47,500; reconciliation: 47,500 + 12,000 − 8,000 = **51,500** ✓. The discipline: **always prove the final line** equals the given balance.
2. A customer pays Sh. 20,000 directly into the bank; you find it on the statement. → Dr Cash book 20,000 / Cr Debtor 20,000 (cash book update — it never appears in the reconciliation).
3. A cheque you issued for Sh. 15,000 is still unpresented after 6 months. → It stays an unpresented cheque until it is presented or becomes stale and is written back (Dr Cash book / Cr Creditor).

6. Overdrafts in reconciliations

An **overdraft** = withdrawals beyond zero balance (prior agreement = agreed rate; beyond = fees/higher rates). In the cash book it is a **credit balance**; on the bank statement it appears as a **debit** balance (to the bank, the customer's account is a liability). The book's Lotus Ltd illustration runs two accounts with mixed Dr/Cr balances — apply the same two-step procedure per account, keeping the signs straight: e.g. Account 1: cash book (25,600) Cr + unpresented/transfer adjustments 429,200 − uncredited 80,000 = bank statement 323,600 Cr ✓.

7. Worked example 3 – the two-account overdraft case (book: Lotus Ltd, March 2004, Sh.)

Lotus Ltd operates two bank accounts. Balances: Account 1 — bank statement 323,600 (Cr), cash book 34,000 (Dr); Account 2 — bank statement 156,400 (Dr), cash book 277,600 (Dr).

Updated cash book No. 1 (book's figures): Dr: balance b/d 34,000; direct credit (cheque M420) 8,800; cheque B308 (wrongly entered in account 1) 12,800; balance c/d 25,600 → 81,200. Cr: bank charges 1,200; cheque D720 wrongly entered in account 1 (belongs to account 2) 80,000 → 81,200 ✓.

Reconciliation No. 1 (book's figures): Balance as per adjusted cash book (25,600); Add: cheque A210 bank error 29,200 + unexecuted transfer 400,000 = 429,200 → 403,600; Less: uncredited cheques 80,000 → **323,600** = bank statement ✓. (The 400,000 transfer was entered in the cash book but the bank was never instructed — a classic "bank-side" timing/error item.)

Updated cash book No. 2: Dr: balance b/d 277,600; direct cheque D720 80,000; cheque H785 understated 400 → 358,000. Cr: dishonoured cheque F301 8,000; cheque K341 overstated 1,600; cheque B308 12,800; standing order 4,000; cheque BJ48 understated 3,600; bank charges 1,600; balance c/d 326,400 → 358,000 ✓.

Sign rule to memorise: in the cash book an overdraft is a **credit** balance (a liability of the business); on the bank statement it is a **debit** balance (the customer's account is a liability *of the bank*). Keep the minus sign on the overdrawn side through every line — most errors come from dropping it halfway.

8. Common exam traps

1. **Update the cash book FIRST** — then reconcile. Doing it in one step muddles timing vs error items.
2. Unpresented cheques vs uncredited deposits: say out loud which side each pushes.
3. Dishonoured cheques go back to the **debtor** (Dr Debtor / Cr Cash book) — never to sales.
4. Bank errors are **never** adjusted in the cash book.
5. A wrong-side brought-forward balance needs a **double** correction.
6. Direct debits/standing orders/dividends discovered on the statement → cash book update, then they vanish from the reconciliation.

Key terms (flashcards)

- **Bank reconciliation statement** – Statement explaining the difference between the cash book and bank statement balances.
- **Unpresented cheques** – Issued and recorded but not yet presented; bank balance overstated.
- **Uncredited deposits (deposits in transit)** – Banked and recorded but not yet credited; bank balance understated.
- **Bank charges** – Service fees; updated in the cash book (Dr Bank charges).

- **Standing order / direct debit** – Automatic payments; updated in the cash book when first seen on the statement.
- **Dishonoured (NSF) cheque** – Bounced deposited cheque; written back: Dr Debtor / Cr Cash book.
- **Updated/adjusted cash book** – Cash book corrected for bank-originated items and errors before reconciling.
- **Bank overdraft** – Negative bank balance; credit balance in the cash book, debit balance on the statement.
- **Credit/debit memoranda** – Bank notices of automatic deposits (credit memo) and withdrawals (debit memo).

Module summary

The bank reconciliation explains the difference between the cash book and the bank statement. First update the cash book for bank-originated items (charges, standing orders, direct debits/credits, interest, dishonoured cheques, dividends) and cash book errors; then reconcile the updated balance to the statement using timing differences — unpresented cheques and uncredited deposits (plus any bank errors). Bank errors are never adjusted in the cash book, and overdrafts simply reverse the signs.

Exam day tips

- Rule two workings: "Updated cash book" then "Bank reconciliation statement" — label every line.
- Tick each statement item against the cash book as you go; un-ticked items drive both workings.
- Prove the final line equals the given statement/cash book balance — the examiner checks it.

Slide deck at a glance

Why reconcile?

- Cash book = the firm's view; bank statement = the bank's view
- Almost never identical in practice
- Reconciliation explains every difference (**reconciling items**)
- Functions: update cash book, check errors, detect/prevent fraud
- Golden procedure: (1) update cash book; (2) reconcile the updated balance

Timing differences

- **Unpresented cheques** – issued, not presented → bank balance too high
- **Uncredited deposits** – banked, not yet credited → bank balance too low
- These are *timing* differences — no cash book update needed
- Say out loud which side each pushes before writing

Items for the cash book update

- **Bank charges** / overdraft interest → Dr Bank charges / Cr Cash book
- **Standing orders / direct debits** → Dr Expense/Liability / Cr Cash book
- **Direct credits** (dividends, customer deposits) → Dr Cash book / Cr Income
- **Dishonoured cheques** → Dr Debtor / Cr Cash book (write it back)
- **Bank errors** → reconciliation side only — never the cash book

The two reconciliation formats

- Format 1 (from cash book): add unpresented cheques; less uncredited deposits
- Format 2 (from statement): add uncredited deposits; less unpresented cheques
- Logic: cheques make bank balance too high; deposits too low
- Unpresented: add to cash-book side, subtract from bank side

- Bank errors adjust the *bank statement* side

Worked example 1

- Joseph Kahiga: cash book 179,300; statement 155,700
- Update: + dividend 2,600 − standing order 3,200 − charges 1,800 − debit 8,800
- Updated cash book = **168,100**
- Reconcile: 168,100 + unpresented 10,800 − uncredited 23,200 = **155,700** ✓
- Always prove the final line equals the given balance

Worked example 2: the exam traps

- Wrong-side brought-forward balance → correct by **double** (2 × 329,250)
- Bank credited a deposit to the wrong account → **bank** error, not cash book
- Written-back cheque already honoured → reverse it back out
- Dishonoured cheque and bank charges update the cash book first
- Mwambi: adjusted 1,615,000 − items = statement 706,500 ✓

Overdrafts in reconciliations

- Overdraft = withdrawals beyond zero balance
- Cash book: **credit** balance; statement: **debit** balance
- It is a **current liability** in the statement of financial position
- Keep the minus sign on the overdrawn side through every line
- Same two-step procedure per account — signs reversed

Key takeaways / exam tips

- Update the cash book FIRST — then reconcile (never one step)
- Dishonoured cheques go back to the **debtor**, never to sales
- Bank errors are never adjusted in the cash book
- Direct items found on the statement → cash book update, then vanish
- Two workings: 'Updated cash book' then 'Bank reconciliation statement'

KASNEB past-paper worked examples

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Bank reconciliation (Maji Marefu); control accounts (Juhudi Traders)

(a) The bank statement of Maji Marefu Enterprises as at 30 June 2023 showed an overdraft of Sh.2,324,000 while the bank balance as per the cash book showed a credit balance (overdraft) of Sh.1,108,000 (Sh."000" in the extract). Cash book extract for June 2023 (Sh."000"): Receipts during the month 2,938; Balance (1 June 2023) 1,522 (Cr); Payments during the month 2,524; Balance (30 June 2023) 1,108 (Cr). Total 4,046.
On investigation: (1) A cheque received for Sh.160,000 had been returned unpaid; no adjustment had been made in the cash book. (2) Dividends of Sh.124,000 were credited directly into the bank account with no entries in the cash book. (3) A cheque drawn for Sh.12,000 had been incorrectly entered in the cash book as Sh.132,000. (4) The balance brought forward in the cash book was overstated by Sh.100,000. (5) Bank charges of Sh.272,000 appeared in the bank statement only. (6) Cheques drawn amounting to Sh.554,000 had not been presented for payment. (7) Cheques received totalling Sh.1,524,000 were entered in the cash book and deposited but not credited until 5 July 2023. (8) A cheque for Sh.54,000 had been entered as a receipt in the cash book instead of a payment. (9) A cheque for Sh.50,000 had erroneously been debited by the bank to Maji Marefu's account.

Required: (i) Adjusted cash book balance as at 30 June 2023. (6 marks) (ii) Bank reconciliation statement as at 30 June 2023. (4 marks)

(b) Balances from the books of Juhudi Traders for July 2023 (Sh.): Debit balances 1 July 2023: sales ledger 1,428,000; purchases ledger 10,500. Credit balances 1 July 2023: sales ledger 40,500; purchases ledger 553,800. Discounts received 142,500; Discounts allowed 209,700; Purchases (including cash purchases Sh.152,000) 1,334,000; Cash sales 618,000; Credit sales 2,068,200; Credit notes issued to customers 75,000; Credit notes received from suppliers 26,700; Receipts from debtors 1,578,000; Payments to creditors 1,159,200; Bad debts written off 37,200; Dishonoured cheques 26,100; Interest charged to customers 96,100; Interest charged by creditors 69,000; Debt collection expenses charged to debtors 10,800; Contra entries 36,900; Credit balances in sales ledger at 31 July 2023 50,700; Debit balances in purchases ledger at 31 July 2023 14,400.

Required: (i) Sales ledger control account for the month ended 31 July 2023. (5 marks) (ii) Purchases ledger control account for the month ended 31 July 2023. (5 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) Adjusted cash book (Sh."000")

Balance b/d (overdraft)	(1,108)
Add: Balance b/f overstated — correction	100
Add: Dividends credited direct by bank	124
Add: Cheque drawn 12 recorded as 132 (overstated payment)	120
	(764)
Less: Dishonoured cheque returned unpaid	(160)
Less: Bank charges	(272)
Less: Cheque 54 recorded as a receipt instead of a payment	(108)
Adjusted cash book balance (overdraft)	(1,304)

(a)(ii) Bank reconciliation statement as at 30 June 2023 (Sh."000")

Balance as per bank statement (overdraft)	(2,324)
Add: Cheque erroneously debited by the bank	50
Add: Unpresented cheques	554
Less: Uncredited cheques (deposited, credited 5 July)	(1,524)
Balance as per adjusted cash book (overdraft)	(1,304)

(b)(i) Sales ledger control account — July 2023 (Sh.)

Dr		Cr	
Balance b/d	1,428,000	Balance b/d (credit balances)	40,500
Credit sales	2,068,200	Bank (receipts from debtors)	1,578,000
Dishonoured cheques	26,100	Discounts allowed	209,700
Interest charged to customers	96,100	Bad debts written off	37,200
Debt collection expenses	10,800	Credit notes issued	75,000
Balance c/d (credit balances)	50,700	Contra (purchases ledger)	36,900
		Balance c/d (debit balances)	1,702,600
	3,679,900		3,679,900

(b)(ii) Purchases ledger control account — July 2023 (Sh.)

Dr		Cr	
Balance b/d (debit balances)	10,500	Balance b/d	553,800
Bank (payments to creditors)	1,159,200	Credit purchases (1,334,000	
Discounts received	142,500	− cash purchases 152,000)	1,182,000
Credit notes received	26,700	Interest charged by creditors	69,000
Contra (sales ledger)	36,900	Balance c/d (debit balances)	14,400
Balance c/d (credit balances)	443,400		
	1,819,200		1,819,200

Closing balances proved: sales ledger debit balances Sh.1,702,600; purchases ledger credit balances Sh.443,400. Cash sales and cash purchases are excluded from the control accounts.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Opening overdraft corrected: balance b/f overstated by 100 adjusted (true opening overdraft 1,422... applied as +100 to the uncorrected closing figure) **(1)**
- (a)(i) Dishonoured cheque 160 deducted; dividends credited direct 124 added; cheque error 120 added (132 − 12); bank charges 272 deducted; receipt/payment error 108 deducted (2 × 54) **(4)**
- (a)(i) Adjusted cash book overdraft Sh.1,304,000 **(1)**
- (a)(ii) Reconciliation: bank statement overdraft 2,324 + bank error 50 + unpresented 554 − uncredited 1,524 = 1,304 agreeing to adjusted cash book **(4)**
- (b)(i) Sales ledger control: all Dr items incl. dishonoured cheques 26,100, interest 96,100, debt collection expenses 10,800; closing debit balance 1,702,600; credit balances b/d 40,500 and c/d 50,700 correctly placed **(5)**
- (b)(ii) Purchases ledger control: credit purchases 1,182,000 (cash purchases 152,000 excluded); interest charged by creditors 69,000; closing credit balance 443,400; debit balances b/d 10,500 and c/d 14,400 correctly placed **(5)**

KASNEB-2022-04-Q5 · April 2022 · 20 marks KASNEB authored

Public sector terms; preference share types; bank reconciliation (Legume Traders)

(a) In relation to public sector accounting: (i) Explain the term "encumbrance (obligations)". (2 marks) (ii) Highlight FOUR characteristics of a government business enterprise. (4 marks)
(b) Describe the following types of preference share capital: (i) Cumulative preference shares. (2 marks) (ii) Participating preference share capital. (2 marks) (iii) Redeemable preference shares. (2 marks)
(c) On 30 September 2021, the cash book (bank column) of Legume Traders showed a debit balance of Sh. 530,000 while the bank statement balance on the same date was Sh.608,500. On investigation: (1) A cheque received from a debtor for Sh.92,000, debited in the cash book, was returned by the bank stamped "insufficient funds" on 28 September 2021. (2) A receipt from a debtor of Sh.65,000 was entered as a payment in the cash book. (3) Bank charges of Sh.9,500 were reflected in the bank statement only. (4) Cheques totalling Sh.299,000 had been issued to suppliers but not yet presented for payment. (5) A standing order for rent of Sh.230,000 had been effected in the bank statement. (6) Cheques amounting to Sh.206,000 were received and debited in the cash book but had not yet been credited in the bank statement. (7) A customer made a direct deposit of Sh. 187,000 into the business bank account.
Required: (i) An updated cash book as at 30 September 2021. (4 marks) (ii) Bank reconciliation statement as at 30 September 2021. (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) Encumbrance (obligations)

An encumbrance is a commitment of appropriated funds for a specific purpose — e.g. when a purchase order or contract is placed, the amount is set aside (encumbered) against the vote/appropriation even though the goods have not been received and no liability has yet been incurred. Encumbrance accounting ensures that expenditure commitments do not exceed the amounts appropriated by Parliament.

(a)(ii) Characteristics of a government business enterprise

1. It is wholly or majority owned by the government but operates commercially, selling goods/services to the public for a fee.
2. It has a separate legal identity and its own board/management, with financial and operational autonomy from day-to-day ministerial control.
3. It is expected to be self-sustaining — to cover its costs, and often earn a surplus/return on capital, from its own revenue rather than from budgetary appropriations.
4. It maintains commercial (accrual) accounting records, prepares audited financial statements and is accountable to Parliament through the parent ministry.

(b) Types of preference share capital

(i) Cumulative preference shares: if the fixed preference dividend cannot be paid in a year (insufficient profits), the unpaid amount accumulates and must be paid in future years before any dividend is paid to ordinary shareholders. **(ii) Participating preference shares:** in addition to their fixed dividend, holders are entitled to participate further in surplus profits (or surplus assets on winding up) alongside ordinary shareholders, usually in an agreed proportion, after ordinary shareholders have received a specified dividend. **(iii) Redeemable preference shares:** shares issued on terms that the company will/may buy them back (redeem) at a specified date or after a specified period, at par or at a premium, out of distributable profits or the proceeds of a fresh issue; they are a temporary source of finance and are generally classified with liabilities under IFRS when redemption is mandatory.

(c)(i) Updated cash book (bank column) — Legume Traders (Sh.)

Dr balance as per cash book	530,000
Add: Receipt of 65,000 wrongly entered as a payment (correction = 2 × 65,000)	130,000
Add: Direct deposit by a customer	187,000
	847,000
Less: Dishonoured cheque ("insufficient funds")	92,000
Less: Bank charges	9,500
Less: Standing order – rent payment	230,000
Updated cash book balance (Dr)	515,500

(c)(ii) Bank reconciliation statement as at 30 September 2021 (Sh.)

Balance as per updated cash book (Dr)	515,500
Add: Unpresented cheques	299,000
	814,500

```
Less: Uncredited cheques (deposited, not yet credited)      206,000
Balance as per bank statement                               608,500 ✓
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Encumbrance: appropriated funds committed/set aside for a specific purpose once an order/contract is placed, before the liability is incurred (2) **(2)**
- (a)(ii) Any four characteristics of a government business enterprise, 1 mark each (state-owned but commercial; separate legal identity/autonomy; self-sustaining from own revenue; commercial accounting and accountability) **(4)**
- (b)(i) Cumulative: unpaid dividends accumulate and rank before ordinary dividends (2) **(2)**
- (b)(ii) Participating: fixed dividend plus a share in surplus profits/assets (2) **(2)**
- (b)(iii) Redeemable: bought back by the company at a future date/period on agreed terms (2) **(2)**
- (c)(i) Updated cash book: dishonoured cheque (92,000); receipt-as-payment correction +130,000; bank charges (9,500); standing order (230,000); direct deposit +187,000 → Dr balance 515,500 **(4)**
- (c)(ii) Reconciliation: 515,500 + unpresented 299,000 − uncredited 206,000 = 608,500 bank statement balance **(4)**

KASNEB-2021-05-Q1 · May 2021 · 20 marks KASNEB authored

Working capital ratios derivation (Newa Enterprises); bank reconciliation (Rhyme Enterprises)

(a) You have been appointed as the accounts assistant of Newa Enterprises. The business does not maintain complete records. The following information is availed to you by the owner: 1. Current ratio = 2.6 : 1. 2. Quick ratio = 1.4 : 1. 3. Working capital = Sh.1,100,000. Required: (i) Current assets. (2 marks) (ii) Current liabilities. (2 marks) (iii) Liquid assets. (2 marks) (iv) Inventory. (2 marks)

(b) In the books of Rhyme Enterprises, the balance at bank as at 30 October 2020 according to the cash book, was Sh.894,680. Subsequently, the following discoveries were made: 1. Cheque No.176276 dated 3 October 2020 for Sh.310,840 in favour of Love Ltd. had been incorrectly recorded in the cash book payments as Sh. 301,840. 2. Bank commission charged of Sh.169,560 and bank interest charged of Sh.109,100 had been entered in the bank statement on 23 October 2020, but not included in the cash book. 3. The bank statement showed a cheque of Sh.29,310 received from Andrew Oloo and credited in the bank statement on 9 October 2020 was dishonoured on 26 October 2020. No entry had been made in the cash book with regard to the dishonoured cheque. 4. Cheque No.177145 for Sh.15,100 had been recorded twice as a credit in the cash book. 5. Cash received in the last few days of October 2020 amounting to Sh.1,895,000 was deposited in the bank on 31 October 2020. This amount was recorded in the cash book, but was updated in the bank statement on 2 November 2020. 6. Some customers paid directly into the bank account amounts totalling to Sh.210,100 on 25 October 2020. These amounts had not been recorded in the cash book. 7. Cheques paid by Rhyme Enterprises during October 2020 amounting to Sh.395,800 were not presented to the bank for payment until November 2020. 8. A standing order payment of Sh.15,000 on 17 October 2020, had not been recorded in the cash book. Required: (i) Updated cash book as at 30 October 2020. (8 marks) (ii) Bank reconciliation statement as at 30 October 2020. (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Newa Enterprises — deriving the working capital figures

Let current liabilities = Sh.x. - Current ratio: Current assets = 2.6x - Working capital = Current assets − Current liabilities = 2.6x − x = 1.6x = Sh.1,100,000 - Therefore **current liabilities** = 1,100,000 ÷ 1.6 = **Sh.687,500 - (i) Current assets** = 2.6 × 687,500 = **Sh.1,787,500 - (ii) Current liabilities** = **Sh.687,500 - (iii) Liquid (quick) assets** = Quick ratio × Current liabilities = 1.4 × 687,500 = **Sh.962,500 - (iv) Inventory** = Current assets − Liquid assets = 1,787,500 − 962,500 = **Sh.825,000**

Check: 1,787,500 − 687,500 = 1,100,000 (working capital) ✓

(b) Rhyme Enterprises

(i) Updated cash book as at 30 October 2020 (Sh.)

Dr	Sh.	Cr	Sh.
Balance b/d	894,680	Cheque No.176276 — under-recorded payment (310,840 − 301,840)	9,000
Customers paid directly into bank	210,100	Bank commission	169,560
Cheque No.177145 — recorded twice, reversed	15,100	Bank interest charged	109,100
		Dishonoured cheque — Andrew Oloo	29,310
		Standing order payment	15,000
		Balance c/d	**787,910**
	1,119,880		**1,119,880**

Balance b/d (1 November 2020) = **Sh.787,910 (Dr)**.

Items 5 (deposits credited by the bank after the month end) and 7 (unpresented cheques) do not affect the cash book — they are bank-reconciliation items only.

(ii) Bank reconciliation statement as at 30 October 2020 (Sh.)

	Sh.
Balance as per updated cash book	787,910
Add: Unpresented cheques	395,800
	1,183,710
Less: Deposits not yet credited by the bank (deposited 31 October, credited 2 November)	(1,895,000)
Balance as per bank statement — overdraft	**(711,290)**

The bank statement therefore shows an **overdraft of Sh.711,290** as at 30 October 2020.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(ii) Current liabilities correctly derived: 1,100,000 ÷ (2.6 − 1) = Sh.687,500 **(2)**
- (a)(i) Current assets = 2.6 × 687,500 = Sh.1,787,500 **(2)**

- (a)(iii) Liquid assets = 1.4 × 687,500 = Sh.962,500 **(2)**
- (a)(iv) Inventory = 1,787,500 − 962,500 = Sh.825,000 **(2)**
- (b)(i) Cash book corrections: under-recorded cheque 9,000 Cr; commission 169,560 and interest 109,100 Cr **(3)**
- (b)(i) Dishonoured cheque 29,310 Cr; double-recorded cheque 15,100 Dr; direct credits 210,100 Dr; standing order 15,000 Cr **(3)**
- (b)(i) Updated cash book balance = Sh.787,910 Dr, account balanced **(2)**
- (b)(ii) Reconciliation: add unpresented cheques 395,800; deduct uncredited deposits 1,895,000; bank statement overdraft Sh.711,290 **(4)**

KASNEB-2018-11-Q5 · November 2018 · 20 marks KASNEB authored

Bank reconciliation importance; errors with adjusted cash book (United Trading Enterprises)

(a) Highlight four reasons why a bank reconciliation is important. (4 marks)

(b) The following errors were detected in the books of United Trading Enterprises for the year ended 31 December 2017:

1. The sales day book for the month of December 2017 was overcast by Sh.10,000.
2. Purchase of merchandise worth Sh.35,000 was recorded in the purchases ledger as Sh.53,000.
3. Receipt of Sh.18,000 from Nimrod Otieno was correctly debited in the cash book but wrongly credited in his account.
4. Sh.20,000 drawn by the owner for personal expenses was posted to the accounts payable account.
5. Depreciation charge for the year amounting to Sh.50,000 was not entered in the books.
6. Goods worth Sh.9,000 purchased from Davidson Otieno were correctly entered in the purchases day book but were not posted to his account.
7. Rent of Sh.19,000 was debited to the rent receivable account but credited to the cash book.
8. A cheque of Sh.3,000 issued to Matu for the payment of repairs was recorded in the cash book as Sh.300 and in Matu's account as Sh.3,000.
9. Bank charges of Sh.2,000 appearing in the bank statement had not been recorded in the cash book.

The trial balance extracted from the books of United Trading Enterprises showed a bank balance of Sh.122,000 (debit) and a suspense account of Sh.57,000 (credit balance). The bank statement showed a balance of Sh. 130,000 on 31 December 2017.

Required: (i) Adjusted cash book. (4 marks) (ii) Bank reconciliation statement. (4 marks) (iii) Statement showing the corrected net profit. (6 marks) (iv) How would the bank balance be reported in the financial statements of United Trading Enterprises? (2 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh.

(a) Importance of a bank reconciliation

1. It **detects errors** in the cash book or made by the bank (wrong amounts, omitted entries, double postings) so that they can be corrected promptly.
2. It **detects and deters fraud and unauthorised payments**, such as forged or altered cheques and unrecorded withdrawals.

3. It **identifies timing differences** (unpresented cheques and outstanding deposits) and items appearing only in the bank statement (bank charges, standing orders, direct credits), so the cash book is updated to the accurate balance needed for decisions and for the statement of financial position.
4. It **verifies the bank balance** reported in the financial statements and provides an audit trail over the business's most liquid asset.

(b) Workings — effect of each error

Errors 8 and 9 are the only ones that touch the cash book (bank column). Errors 1, 2, 5 and 7 affect profit; errors 3, 4 and 6 affect only personal accounts (and the suspense account).

```
1. Sales overcast 10,000 → sales overstated: profit effect (10,000)
2. Purchases recorded at 53,000 instead of 35,000 → purchases overstated: profit
effect +18,000
3. Otieno's account wrongly credited (2 × 18,000 through suspense) → no profit
effect
4. Drawings posted to accounts payable → drawings/AP misstated → no profit effect
5. Depreciation omitted → profit effect (50,000)
6. Purchase not posted to Davidson Otieno's account → no profit effect
7. Rent received debited to rent receivable instead of rent income → income omitted:
profit effect +19,000
8. Cheque recorded as 300 instead of 3,000 in the cash book (Matu's account correct,
   so repairs expense is fully recorded) → cash book credit short by 2,700; no
profit effect
9. Bank charges unrecorded → profit effect (2,000); cash book credit 2,000
Net effect: recorded profit is OVERSTATED by 25,000
```

(i) Adjusted cash book (bank column)

```
Balance as per cash book (debit)                          122,000
Less: Cheque to Matu under-recorded (3,000 − 300)          (2,700)
Less: Bank charges not recorded                            (2,000)
Adjusted cash book balance (debit)                        117,300
```

(ii) Bank reconciliation statement as at 31 December 2017

```
Balance as per bank statement                             130,000
Less: Unpresented cheques (balancing figure — see source note)  (12,700)
Balance as per adjusted cash book                         117,300
```

(iii) Statement showing the corrected net profit

```
Net profit as originally computed (per the books)               X
Less: Sales day book overcast                                (10,000)
Add:  Purchases overstated (53,000 recorded instead of 35,000)   18,000
Less: Depreciation charge omitted                            (50,000)
Add:  Rent received not recognised as income                   19,000
Less: Bank charges not recorded                               (2,000)
Corrected net profit = X − 25,000
```

Errors 3, 4, 6 and 8 do not affect profit (personal accounts, drawings classification, and the cash book side of a payment whose expense was fully recorded, respectively). The net profit originally computed is not stated in the question, so the correction is expressed as a reduction of **Sh.25,000**.

(iv) Reporting of the bank balance

The balance reported in the statement of financial position is the **adjusted cash book balance of Sh.117,300**, presented under current assets as "Cash at bank". The bank statement balance is not used directly because it contains timing differences (unpresented cheques and outstanding deposits) that are not part of the entity's own records; had the adjusted balance been an overdraft, it would be presented under current liabilities.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Four reasons for a bank reconciliation (error detection; fraud deterrence; timing differences and statement-only items; verification of the reported balance), 1 mark each **(4)**
- (i) Adjusted cash book: only errors 8 (2,700) and 9 (2,000) adjusted against 122,000 → 117,300 debit (4) **(4)**
- (ii) Bank reconciliation statement from the bank statement balance of 130,000 to the adjusted cash book balance of 117,300 (4) **(4)**
- (iii) Corrected profit items: sales (10,000); purchases +18,000; depreciation (50,000); rent income +19,000; bank charges (2,000); errors 3, 4, 6, 8 nil → profit overstated by 25,000 (6) **(6)**
- (iv) Adjusted cash book balance reported as cash at bank under current assets (overdraft to current liabilities if applicable) (2) **(2)**

KASNEB-2016-11-Q2 · November 2016 · 20 marks KASNEB authored

Manufacturing profit rationale; bank reconciliation with bank errors (NDI Ltd)

(a) Highlight two reasons why it is important for a manufacturer to determine the profit from manufacturing activities separately from profit from trading activities. (4 marks)

(b) The NDI Ltd. bank statement for the month of October 2016 showed a balance of Sh.46,520 on 31 October 2016. This did not agree with the balance shown in the company's cash book for the bank account. Upon investigation, the following were discovered:

1. Cheque number 476120 for Sh.5,500, issued to Highway Electricals and recorded in the cash book, had been entered in the bank statement as Sh.500.
2. Cheque number 476121 for Sh.7,050, paid to Muneeb Industries, was recorded twice in the cash book.
3. A cheque of Sh.1,800 from A. Kalamwa, a credit customer, was recorded in the cash book and banked, but was subsequently dishonoured; no entries had been made to record the dishonour.
4. A cheque of Sh.370 drawn by another customer of the bank, Mr. D. Ndi, was debited to NDI Ltd's bank account in error.
5. Cheque number 476122 for Sh.1,380, drawn for office petty cash, was not recorded in the cash book.
6. Cheque number 476123 for Sh.3,490 was correctly recorded in the cash book but was entered in the bank statement as Sh.3,990.
7. A standing order for Sh.990 in favour of a trade association was paid on 25 October 2016, but was not recorded in the cash book.
8. Bank charges of Sh.750 were not recorded in the cash book. A credit transfer of Sh.100 in favour of the company from a customer, Mr. A. Mkenya, had not been recorded in the cash book.
9. A cheque of Sh.300 deposited on 28 October 2016 was credited by the bank as Sh.30.

10. A cheque received on 29 October 2016 from Hussain Ltd. for Sh.950 was dishonoured and debited to the account. No entries were made to record this in the cash book.
11. A cheque of Sh.3,000 received from a credit customer had not been recorded in the cash book.

Required: (i) Bank statement balance as at 31 October 2016, starting with the bank statement balance, and indicating the corrections that should be made to the bank statement. (10 marks) (ii) Updated cash book. (4 marks) (iii) Bank reconciliation statement as at 31 October 2016. (2 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh.

(a) Why manufacturing profit is determined separately from trading profit (any two)

1. **Cost control and efficiency measurement:** separating the two profits shows whether the factory is producing goods economically; the manufacturing profit (or the cost of production) can be compared with the cost of buying similar goods in the open market, exposing inefficiencies in production that a single combined profit would hide.
2. **Correct pricing and inventory valuation:** the transfer price and the manufacturing result reveal the true production cost per unit, which management needs to set selling prices, value finished goods inventory and decide whether to make or buy. (Also acceptable: identifying the source of the overall profit — factory efficiency vs sales margin; performance appraisal of the factory manager separately from the sales function.)

(b)(i) Bank statement balance as at 31 October 2016 — corrections to the bank statement

The following are errors made by the BANK; they must be corrected by the bank:

```
Balance as per bank statement (as issued)                    46,520
Less: Cheque 476120 entered as 500 instead of 5,500
      (bank debited Sh.5,000 too little)                     (5,000)
Add: Cheque of Mr. D. Ndi debited to NDI Ltd in error           370
Add: Cheque 476123 entered as 3,990 instead of 3,490
      (bank debited Sh.500 too much)                            500
Add: Cheque deposited of 300 credited as 30
      (bank credited Sh.270 too little)                         270
Corrected bank statement balance                             42,660
```

(b)(ii) Updated cash book (bank column)

The cash book balance was not stated; it is derived from the corrected bank statement balance and the cash book adjustments (there are no unpresented cheques or uncredited deposits among the items — every item is an error or omission): net cash book adjustment = +7,050 (duplicate reversed) + 100 (credit transfer) + 3,000 (cheque omitted) − 1,800 − 950 (dishonoured cheques) − 1,380 (petty cash cheque) − 990 (standing order) − 750 (bank charges) = +3,280, so the original cash book balance = 42,660 − 3,280 = 39,380.

```
Dr                                                          Cr
Balance b/d                          39,380   A. Kalamwa — cheque dishonoured   1,800
A. Mkenya — credit transfer             100   Petty cash — cheque 476122        1,380
Muneeb Industries — cheque
```

recorded twice, now reversed	7,050	Trade association — standing order	990
Customer — cheque omitted	3,000	Bank charges	750
		Hussain Ltd — cheque dishonoured	950
		Balance c/d	42,660
	49,530		49,530

(b)(iii) Bank reconciliation statement as at 31 October 2016

Balance as per bank statement	46,520
Less: Bank error — cheque 476120 under-debited	(5,000)
Add: Bank error — another customer's cheque debited to NDI	370
Add: Bank error — cheque 476123 over-debited	500
Add: Bank error — deposit under-credited	270
Balance as per updated cash book	42,660

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Reason 1 developed (e.g. separating factory efficiency/cost control from trading performance, make-or-buy comparison) **(2)**
- (a) Reason 2 developed (e.g. pricing, finished goods valuation, responsibility/performance appraisal of production vs sales) **(2)**
- (b)(i) Bank error identified and quantified: cheque 476120 under-debited by 5,000 (5,500 − 500), deducted **(2)**
- (b)(i) Bank error identified: another customer's cheque of 370 debited to NDI Ltd in error, added back **(2)**
- (b)(i) Bank error identified: cheque 476123 over-debited by 500 (3,990 − 3,490), added back **(2)**
- (b)(i) Bank error identified: deposit under-credited by 270 (300 − 30), added back **(2)**
- (b)(i) Corrected bank statement balance of 42,660 correctly arrived at **(2)**
- (b)(ii) Updated cash book — additions: duplicate recording of cheque 476121 reversed 7,050, credit transfer 100, omitted cheque received 3,000 **(2)**
- (b)(ii) Updated cash book — deductions: dishonoured cheques 1,800 and 950, petty cash cheque 1,380, standing order 990, bank charges 750; closing balance 42,660 **(2)**
- (b)(iii) Bank reconciliation statement reconciling the bank statement balance 46,520 to the updated cash book balance 42,660 through the four bank errors **(2)**

KASNEB-2015-11-Q2 · November 2015 · 20 marks KASNEB authored

Bank reconciliation (KK Ltd); journal corrections of errors and suspense account (Mutua Traders)

(a) KK Ltd. received their bank statement for the month of October 2015. It reflected a credit balance of Sh. 9,290,000. However, the cash book balance as at 31 October 2015 indicated a higher amount by Sh.4,530,000. The company accountant investigated the matter and discovered the following discrepancies: 1. Cash amounting to Sh.1,704,000 though entered in the cash book as having been banked, had been embezzled by the accounts clerk in the office. 2. The bank had erroneously credited KK Ltd. with an amount of Sh.2,510,000. 3. Direct deposits by debtors amounted to Sh.13,080,000. These deposits were made via electronic funds transfer. 4. Uncredited cheques as at 31 October 2015 amounted to Sh.9,624,000. 5. A standing order of Sh.1,770,000 for goods purchased on hire purchase, had been effected by the bank. 6. Cheques issued to suppliers, but not yet presented to the bank as at 31 October 2015 amounted to Sh.2,640,000. 7. Bank charges amounting to Sh. 484,000 had not been entered in the cash book. 8. A cheque from a debtor for an amount of Sh.1,446,000 was returned by the bank stamped "Account closed". 9. A forged cheque in favour of "XYZ Ltd." was presented to

the bank. The cheque which amounted to Sh.2,712,000 was paid by the bank.
Required: (i) Adjusted cash book as at 31 October 2015. (6 marks) (ii) Bank reconciliation statement as at 31 October 2015. (4 marks)
(b) The trial balance of Mutua Traders as at 30 September 2015 did not balance. On investigation, the following errors were discovered: 1. A loan of Sh.40,000,000 from XYZ Bank had been correctly entered in the cash book, but posted on the wrong side of the loan account. 2. The purchase of equipment on credit for Sh. 57,200,000 had been recorded by debiting the supplier's account and crediting the equipment account. 3. A cheque of Sh.1,600,000 from OJ Ltd., a customer, was correctly entered in the cash book, but was credited to the bad debts recovered account. The accountant mistook it for a receipt from JO Ltd., a customer whose debt had been written off two years earlier. 4. Bank charges of Sh.760,000 had not been entered in the organisation's cash book. 5. Discounts allowed of Sh.3,680,000 and discounts received of Sh.7,940,000 had not been posted to the respective discount accounts. 6. Ten motor vehicles were purchased on 1 August 2015 for Sh.32,000,000. The payment was correctly entered in the cash book, but was debited to motor vehicle expenses account. Depreciation on motor vehicles is provided for at the rate of 20% per annum on cost.
Required: (i) Journal entries with narrations to correct the errors. (7 marks) (ii) Suspense account showing the original difference. (3 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) KK Ltd - Adjusted cash book as at 31 October 2015 (Sh.)

The unadjusted cash book balance is derived first: bank statement balance 9,290,000 + 4,530,000 (cash book higher) = **Sh.13,820,000 debit**.

Dr	Sh.	Cr	Sh.
Balance b/d	13,820,000	Embezzled cash written off	1,704,000
Direct deposits by debtors (EFT)	13,080,000	Standing order - hire purchase	1,770,000
		Bank charges	484,000
		Dishonoured cheque ("Account closed")	1,446,000
		Balance c/d	21,496,000
	26,900,000		**26,900,000**

Adjusted cash book balance: Sh.21,496,000 (debit). Only items 1, 3, 5, 7 and 8 enter the cash book; items 2, 4, 6 and 9 are bank-statement-side items dealt with in the reconciliation statement.

(a)(ii) Bank reconciliation statement as at 31 October 2015 (Sh.)

Balance as per bank statement 9,290,000 Add: Uncredited cheques 9,624,000 Add: Forged cheque wrongly paid by the bank (the bank paid without the company's mandate and must re-credit the account) 2,712,000 — subtotal 21,626,000 Less: Amount erroneously credited by the bank (2,510,000) Less: Unpresented cheques (2,640,000) Balance as per the printed items: **Sh.16,476,000**

Note on the printed question: applying the standard treatment to every item exactly as printed leaves a difference of Sh.5,020,000 between this statement and the adjusted cash book balance of Sh.21,496,000. The difference is exactly twice item 2 (2 x Sh.2,510,000), which indicates that the word "credited" in item 2 is a

*misprint for "debited": if the bank had erroneously **debited** KK Ltd with Sh.2,510,000, the item is added back and the reconciliation statement agrees exactly with the adjusted cash book balance of Sh.21,496,000.*

(b)(i) Mutua Traders - Journal entries to correct the errors (Sh.)

1. Dr Suspense account 80,000,000 / Cr Loan from XYZ Bank account 80,000,000. *Narration: Correction of loan from XYZ Bank which was posted to the wrong (debit) side of the loan account - reversal of the wrong debit and recording of the correct credit.* **2.** Dr Equipment account 114,400,000 / Cr Supplier's account 114,400,000. *Narration: Correction of the complete reversal of the entry for equipment bought on credit - the supplier's account had been debited and the equipment account credited in error.* **3.** Dr Bad debts recovered account 1,600,000 / Cr OJ Ltd. account 1,600,000. *Narration: Correction of cheque received from OJ Ltd., a current customer, which was wrongly credited to bad debts recovered account as though it were a recovery from JO Ltd.* **4.** Dr Bank charges account 760,000 / Cr Bank account (cash book) 760,000. *Narration: Being bank charges for the period now entered, having been omitted from the cash book.* **5.** Dr Discounts allowed account 3,680,000; Dr Suspense account 4,260,000 / Cr Discounts received account 7,940,000. *Narration: Being discounts allowed and discounts received per the cash book now posted to the respective discount accounts, the net difference being taken to the suspense account.* **6.** Dr Motor vehicles account 32,000,000 / Cr Motor vehicle expenses account 32,000,000. *Narration: Correction of the cost of ten motor vehicles purchased on 1 August 2015 which was wrongly debited to motor vehicle expenses account.* And: Dr Motor vehicle expenses (depreciation) account 1,066,667 / Cr Accumulated depreciation - motor vehicles account 1,066,667. *Narration: Being depreciation on the motor vehicles for the two months to 30 September 2015 at 20% per annum on cost (32,000,000 x 20% x 2/12).* Errors 2, 3, 4 and 6 were fully balanced or omissions and do not touch the suspense account; only errors 1 and 5 affected the trial balance agreement.

(b)(ii) Suspense account (Sh.)

Dr	Sh.	Cr	Sh.
Loan from XYZ Bank account	80,000,000	Balance b/d (original difference in the trial balance)	84,260,000
Discounts received account	4,260,000		
	84,260,000		**84,260,000**

The original difference in the trial balance was **Sh.84,260,000** (debit side in excess): Sh.80,000,000 from the loan posted on the wrong side (40,000,000 missing credit plus 40,000,000 wrong debit) and Sh.4,260,000 net from the unposted discounts (credits short by 7,940,000, debits short by 3,680,000).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Unadjusted cash book balance derived: 9,290,000 + 4,530,000 = 13,820,000 debit (1) **(1)**
- (a)(i) Direct deposits by debtors debited 13,080,000 (1) **(1)**
- (a)(i) Embezzled cash credited/written off 1,704,000 (1) **(1)**
- (a)(i) Standing order credited 1,770,000 (1) **(1)**
- (a)(i) Bank charges credited 484,000 (1) **(1)**
- (a)(i) Dishonoured cheque credited 1,446,000 and adjusted balance Sh.21,496,000 (1) **(1)**
- (a)(ii) Starts from bank statement balance 9,290,000 and adds uncredited cheques 9,624,000 (1) **(1)**
- (a)(ii) Forged cheque paid by the bank added back 2,712,000 (bank's error, paid without mandate) (1) **(1)**
- (a)(ii) Erroneous bank credit deducted 2,510,000 (1) **(1)**

- (a)(ii) Unpresented cheques deducted 2,640,000 (1) **(1)**
- (b)(i) Loan on wrong side: Dr Suspense 80,000,000 / Cr Loan - XYZ Bank 80,000,000, with narration (2) **(2)**
- (b)(i) Equipment reversal: Dr Equipment 114,400,000 / Cr Supplier 114,400,000, with narration (1) **(1)**
- (b)(i) OJ Ltd: Dr Bad debts recovered 1,600,000 / Cr OJ Ltd 1,600,000, with narration (1) **(1)**
- (b)(i) Bank charges omitted: Dr Bank charges 760,000 / Cr Bank 760,000, with narration (1) **(1)**
- (b)(i) Unposted discounts: Dr Discounts allowed 3,680,000 and Dr Suspense 4,260,000 / Cr Discounts received 7,940,000, with narration (1) **(1)**
- (b)(i) Vehicles capitalised: Dr Motor vehicles 32,000,000 / Cr Motor vehicle expenses 32,000,000, plus depreciation for two months Sh.1,066,667, with narrations (1) **(1)**
- (b)(ii) Suspense account opens with the original difference as a credit balance of Sh.84,260,000 (1) **(1)**
- (b)(ii) Debit side: loan account 80,000,000 (1) **(1)**
- (b)(ii) Debit side: discounts received 4,260,000, and the account clears to nil (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M03-Q017 – CA11-M03-Q054. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 3 · ACCOUNTING FOR ASSETS AND LIABILITIES — LESSON 6

Liabilities: Payables, Loans and Accruals

Learning objectives

By the end of this lesson you should be able to:

1. Define liabilities and classify them (current vs non-current).
2. Explain bank overdrafts and their causes.
3. Maintain trade payables control accounts, including contras and bills of exchange.
4. Account for loan receipt, interest accrual and repayment (principal vs interest).
5. Account for accrued expenses, prepaid expenses, accrued income and prepaid (unearned) income with ledger entries.
6. Show accruals/prepayments in the income statement and statement of financial position.

1. Nature and classification of liabilities

A **liability** is a present obligation arising from past events, to be settled by an outflow of resources. **Trade payables** (accounts payable) = money owed to creditors/suppliers for goods or services; **short-term** if due within 12 months, **long-term** beyond. Other liabilities: bank overdrafts, loans, accruals, prepaid income.

2. Bank overdraft

An overdraft occurs when withdrawals drive the available balance **below zero** ("overdrawn"). With a prior agreement and within the limit, interest runs at the agreed rate; beyond the terms, extra fees and higher rates apply. The book lists causes: intentional short-term borrowing; failure to keep an accurate account register; ATM overdrafts; temporary deposit holds; unexpected electronic withdrawals; authorization holds on debit cards; unexpected bank fees; "playing the float"; returned (bounced) cheque deposits; fraud; bank errors; victimization (identity theft); intraday overdrafts. In the books an overdraft is a **credit balance** in the cash book and a **current liability** in the statement of financial position.

3. Trade payables control accounts

Same principles as Lesson 4's receivables control (mirror image). The **purchases ledger control** balance (credit) must equal total creditors. Format (Sh.):

Dr	Sh.	Cr	Sh.
Debit balances b/d	xxx	Credit balances b/d	xxx
Cash/cheques paid to creditors	xxx	Credit purchases (purchases journal)	xxx
Discounts received	xxx	Refunds from suppliers	xxx
Allowances by suppliers	xxx	Debit balances c/d	xxx
Sales ledger contras	xxx		
Returns outwards	xxx		
Credit balances c/d	xxx		

Bills of exchange: bills payable (accepted) reduce the creditor: Dr Creditor / Cr Bills payable; on dishonour: Dr Bills payable / Cr Creditor (plus charges). The book's XML Ltd trade payables control (Dec 2014) balances at **Sh. 10,406,500** with closing credit balance **Sh. 4,355,000** (see Lesson 4 for the full working).

4. Loans – principal vs interest

A loan = debt evidenced by a note stating **principal**, **interest rate** and **repayment date**. Repayment is typically by instalments. **Accounting rule:** never report loan receipt as revenue or repayment as expense — both are **statement of financial position** movements: receipt Dr Cash / Cr Loan (liability); repayment Dr Loan / Cr Cash; interest Dr Interest expense (P&L) / Cr Cash (or accrued interest payable if unpaid at year-end).

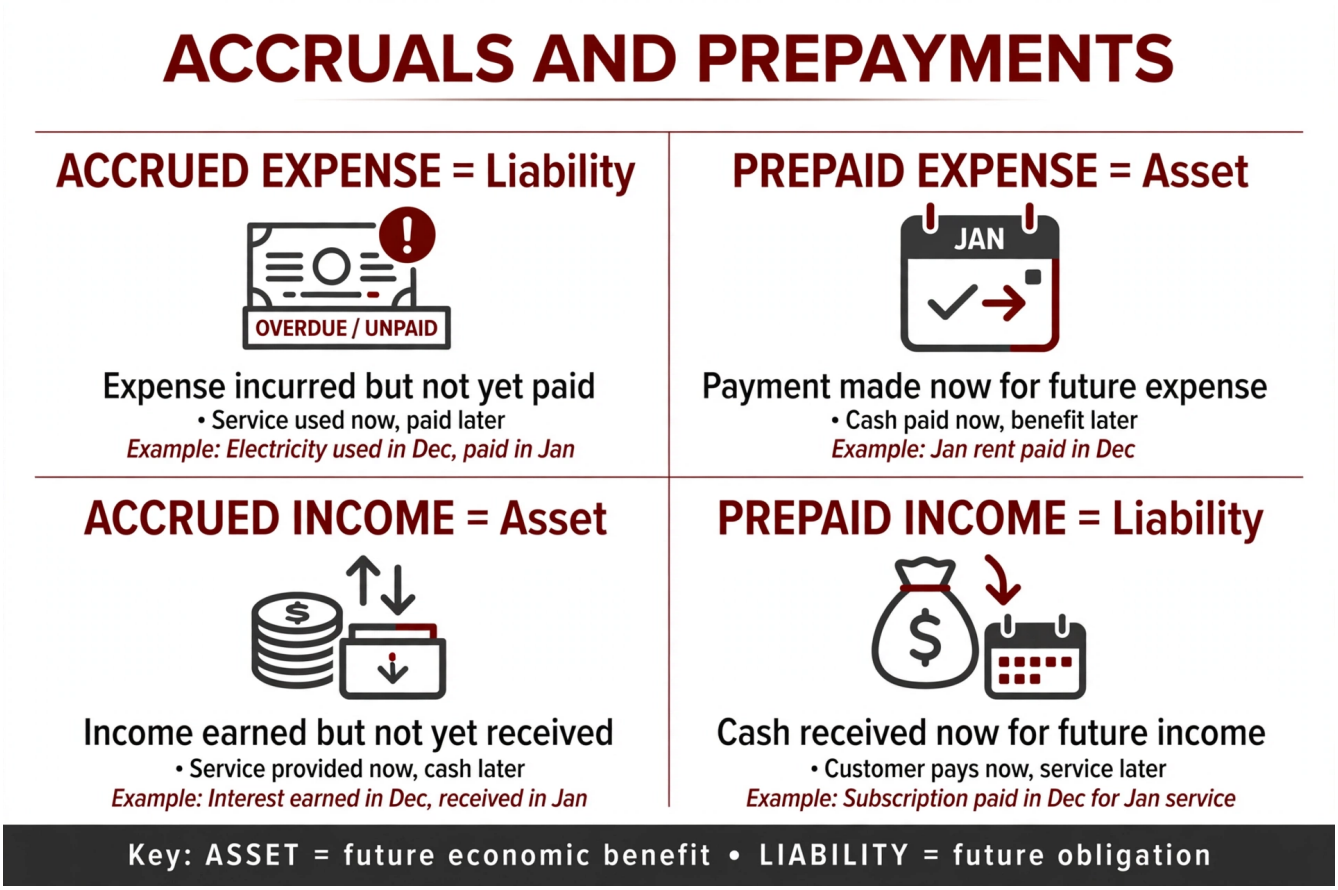
Worked example

Biashara Ltd borrows Sh. 1,200,000 on 1 Jul 2025, 12% p.a., repayable in 12 equal monthly instalments of principal (Sh. 100,000) plus interest on the reducing balance. Year-end 31 Dec 2025 (6 instalments paid):

Month	Principal repaid	Interest (12%/12 × balance)
Jul	100,000	12,000
Aug	100,000	11,000
Sep	100,000	10,000
Oct	100,000	9,000
Nov	100,000	8,000
Dec	100,000	7,000
Total	**600,000**	**57,000**

Entries at year-end: Dr Loan 600,000 / Cr Bank 600,000 (principal); Dr Interest expense 57,000 / Cr Bank 57,000. Statement of financial position: loan liability **Sh. 600,000** (current — repayable within 12 months of year-end); P&L: interest **Sh. 57,000**. **Exam trap:** only the interest hits profit or loss — the principal never does.

5. Accruals and prepayments



The **accruals concept**: recognise income/expenses in the period to which they relate.

Accrued expenses (owed at year-end → current liability)

Dr Expense (P&L, full period cost) / Cr Accrual (SOFP). Example: electricity for December Sh. 36,710 invoiced in January: Dr Electricity 36,710 / Cr Accruals 36,710.

Prepaid expenses (paid in advance → current asset)

Dr Prepayment (SOFP) / Cr Expense. Book example: insurance Sh. 10,000 paid 1 Apr for 12 months, year-end 31 Dec → 3/12 prepaid = **Sh. 2,500**: P&L charge 7,500; SOFP prepayment 2,500.

Accrued income (earned, not received → current asset)

Dr Accrued income receivable (SOFP) / Cr Income (P&L). Book example: rent Sh. 2,000/month received in arrears; at 31 Dec, December's Sh. 2,000 accrued: P&L rent income 24,000 (full year), SOFP accrued rent **2,000**.

Prepaid (unearned) income (received in advance → current liability)

Dr Income (P&L, defer) / Cr Prepaid income (SOFP). Book example: rent Sh. 5,000/month, quarterly in advance from 1 Mar; 4 × 15,000 = 60,000 received; 2 months (Jan–Feb) unearned = **Sh. 10,000**: P&L rent income 50,000; SOFP prepaid rent **10,000** (liability).

Comprehensive worked example (book: Fwamba Enterprises, 31 Dec 2004, Sh. '000)

- **Insurance:** paid 32,000; policy 15,000 paid 1 Jul 2004 covers to 30 Jun 2005 → prepaid 6/12 × 15,000 = **7,500**. P&L 24,500; SOFP prepayment 7,500.

- **Commission:** received 10,000; earned but not received 5,000 → accrued income. P&L 15,000; SOFP accrued income 5,000.
- **Rent and rates:** opening — rent owing 13,000 (accrual b/d), rates prepaid 4,500; paid during year 65,000; closing — rent owing 16,000, rates prepaid 2,500. P&L charge = 65,000 + 13,000... let's prove: Rent and rates account: Dr side: balance b/d (prepaid rates) 4,500 + bank 65,000 + balance c/d (accrued rent) 16,000 = 85,500; Cr side: balance b/d (accrued rent) 13,000 + P&L (bal. fig.) 70,000 + balance c/d (prepaid rates) 2,500 = 85,500 ✓. **P&L = 70,000**; SOFP: accrued rent liability 16,000; prepaid rates asset 2,500.
- **Salaries and wages:** paid 150,000; opening accrual 30,000 (Dec 2003 salaries paid 5 Jan 2005 — sic); closing accrual 35,000. P&L = 150,000 − 30,000 + 35,000 = **155,000**... the book's account shows P&L 85,000 with bank 65,000 — the book's own figures are internally inconsistent here (150,000 vs 65,000 bank). The **method** is what matters: P&L = cash paid − opening accrual + closing accrual; SOFP = closing accrual as liability. State the formula and apply the question's numbers.

The master formula (memorise):

> **P&L charge = cash paid/received − opening prepayment/accrual + closing prepayment/accrual** (with signs: for expenses — add closing accrual, subtract closing prepayment; add opening prepayment, subtract opening accrual.)

6. Worked example – full T-accounts (Fwamba Enterprises, 31 Dec 2004, Sh. '000)

Insurance: annual premium Sh. 15,000 paid 1 Jul 2004 (covers to 30 Jun 2005); total insurance paid in the year Sh. 32,000. Prepaid at year-end = 6/12 × 15,000 = **7,500**.

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Dr                        Insurance account                        Cr
                                  '000                                    '000
Bank (premiums paid)          32,000    P&L (charge for year)         24,500
                                        Balance c/d (prepaid)         7,500
                              32,000                                  32,000
Balance b/d (prepaid asset)    7,500
```

P&L charge **24,500**; SOFP: prepayment (current asset) **7,500**.

Commission received: Sh. 10,000 received; Sh. 5,000 earned but not received at 31 Dec.

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Dr                     Commission received account                 Cr
                                  '000                                    '000
P&L (income for year)         15,000    Bank (received)               10,000
Balance c/d (accrued)          5,000
                              20,000                                  20,000
                                        Balance b/d (accrued asset) 5,000
```

P&L income **15,000**; SOFP: accrued income (current asset) **5,000**.

Rent and rates (opening: rent owing 13,000, rates prepaid 4,500; paid 65,000; closing: rent owing 16,000, rates prepaid 2,500):

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Dr                      Rent and rates account                     Cr
                                  '000                                    '000
Balance b/d (prepaid)          4,500    Balance b/d (accrual)         13,000
Bank (paid)                   65,000    P&L (charge, bal. fig.)       70,000
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Balance c/d (accrual)	16,000	Balance c/d (prepaid)	2,500
	85,500		85,500
Balance b/d (prepaid asset)	2,500	Balance b/d (accrual liab.)	16,000

P&L charge **70,000** (the balancing figure); SOFP: accrued rent (current liability) **16,000**, prepaid rates (current asset) **2,500**. The account proves the master formula — derive it from the debits and credits: expense for the year = cash paid + closing accrual − opening accrual + opening prepayment − closing prepayment = 65,000 + 16,000 − 13,000 + 4,500 − 2,500 = **70,000** ✓. Memorise it in this direction: **add closing accruals and opening prepayments; subtract opening accruals and closing prepayments.**

7. Common exam traps

1. **Principal vs interest** on loans — only interest touches P&L.
2. Accrued expense = **liability**; prepaid expense = **asset**; accrued income = **asset**; prepaid income = **liability**. Draw the 2×2 grid in the margin.
3. Rent received in advance is **not** income — it is a liability until earned.
4. In ledger accounts, the accrual/prepayment **c/d** goes on the opposite side to the P&L transfer; the **b/d** reverses it next period.
5. Insurance/rates questions: time-apportion the annual premium (months before/after year-end).

Key terms (flashcards)

- **Liability** – Present obligation from past events; settled by outflow of resources.
- **Trade payables** – Amounts owed to suppliers/creditors; current if due within 12 months.
- **Bank overdraft** – Negative bank balance; current liability (credit balance in cash book).
- **Accrued expense** – Incurred but unpaid at year-end; current liability.
- **Prepaid expense** – Paid in advance; current asset.
- **Accrued income** – Earned but not received; current asset.
- **Prepaid (unearned) income** – Received in advance; current liability.
- **Loan principal** – Amount borrowed; repaid via SOFP only, never an expense.
- **Interest expense** – Cost of borrowing; charged to P&L (accrue if unpaid).
- **Bills payable** – Accepted bills of exchange; reduce trade creditors.

Module summary

Liabilities are present obligations from past events — trade payables, overdrafts, loans, accruals and prepaid income. Loan receipts and repayments are statement-of-financial-position movements; only interest touches profit or loss. The accruals concept puts each period's true cost in its own period: P&L = cash paid + closing accrual − opening accrual + opening prepayment − closing prepayment. Accrued expenses and prepaid income are liabilities; prepaid expenses and accrued income are assets.

Exam day tips

- For accruals/prepayments, draw the expense/income T-account with the four lines (b/d, cash, P&L, c/d) — the balancing figure is always the P&L charge or the SOFP balance.
- Loan questions: split every instalment into principal and interest first.
- Control-account questions: remember bills payable/dishonoured bills and contras — they are the "twist" items.

Slide deck at a glance

Nature and classification of liabilities

- Present obligation from past events; settled by outflow of resources
- **Trade payables**: short-term (≤12 months) vs long-term (>12 months)
- Others: bank overdrafts, loans, accruals, prepaid income
- Overdraft = credit balance in cash book; current liability in SOFP
- Causes: short-term borrowing, inaccurate registers, bounced deposits, fees

Trade payables control

- Mirror image of the receivables control (Lesson 4)
- Dr: cash paid, discounts received, returns outwards, allowances, contras
- Cr: credit purchases, refunds from suppliers
- Closing balance (credit) = amount owed to suppliers
- XML Ltd: balances at Sh. 10,406,500; closing credit **Sh. 4,355,000**

Bills of exchange and contras

- Bills payable accepted: Dr Creditor / Cr Bills payable
- On dishonour: Dr Bills payable / Cr Creditor (plus charges)
- Contra where X is both customer and supplier
- Sales-ledger contras appear on the purchases control Dr side
- Bills and contras are the classic 'twist' items

Loans: principal vs interest

- Loan receipt and repayment are **SOFP** movements, never revenue/expense
- Receipt: Dr Cash / Cr Loan; repayment: Dr Loan / Cr Cash
- Only **interest** touches profit or loss
- Unpaid interest at year-end: Dr Interest expense / Cr Interest payable
- Exam trap: principal never hits P&L

Loan worked example

- Biashara Ltd: Sh. 1,200,000, 12% p.a., 12 monthly instalments
- Year 1: principal repaid 600,000; interest paid 57,000
- SOFP: loan liability **Sh. 600,000** (current — due within 12 months)
- P&L: interest expense **Sh. 57,000**
- Split every instalment into principal and interest first

The accruals 2×2 grid

- **Accrued expense** = owed, unpaid → current liability (Dr Expense / Cr Accrual)
- **Prepaid expense** = paid in advance → current asset
- **Accrued income** = earned, not received → current asset
- **Prepaid income** = received in advance → current liability
- Draw the 2×2 grid in the exam margin

Fwamba Enterprises worked example

- Insurance paid 32,000 → prepaid 7,500; P&L charge 24,500
- Commission: received 10,000 + accrued 5,000 → P&L income 15,000
- Rent & rates: cash 65,000 + closing accrual 16,000 − opening accrual 13,000…
- …+ opening prepayment 4,500 − closing prepayment 2,500 → P&L **70,000**

- SOFP: accrued rent liability 16,000; prepaid rates asset 2,500

Key takeaways / exam tips

- Master formula: P&L = cash ± opening/closing accruals & prepayments
- For expenses: add closing accruals & opening prepayments…
- …subtract opening accruals & closing prepayments
- Rent received in advance is **not** income — a liability until earned
- Time-apportion insurance/rates premiums by months before and after year-end

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M03-Q020 – CA11-M03-Q062. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- PPE Recognition and Measurement
- Depreciation and Revaluation
- Intangible Assets
- Inventory and Receivables
- Cash, Bank and Reconciliations
- Liabilities: Payables, Loans and Accruals

It brought together **8 KASNEB past-paper worked examples** and **60 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 3 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

IAS 16: cost of PPE and capital versus revenue expenditure

Savanna Steel Fabricators Ltd, a manufacturer in Athi River, imported a computer numerically controlled (CNC) cutting machine. The following costs were incurred:

Item	Sh.
Invoice price	12,000,000
Trade discount (8%)	
Import duty (non-refundable)	1,650,000
Value added tax (refundable)	2,023,680
Freight and insurance to Athi River	780,000
Site preparation and foundation works	540,000
Installation and testing	690,000
Staff training on the machine	260,000
First-year maintenance contract	310,000
Estimated dismantling and site restoration cost (present value)	450,000

Required: (a) Calculate the cost at which the machine should be capitalised under IAS 16, clearly showing which items are included and which are excluded, with a reason for each exclusion. (12 marks) (b) In the following year the company incurred the costs below. For each, state whether it is capital or revenue expenditure and show the journal entry where capitalisation (or derecognition) is required: (i) Replaced the machine's main motor with a more powerful one at a cost of Sh. 820,000; the carrying amount of the old motor was Sh. 300,000. (ii) Repainted the factory walls at a cost of Sh. 240,000. (iii) Routine servicing of the machine, Sh. 180,000. (iv) Installed a dust-extraction system at a cost of Sh. 610,000, which increases the machine's productive capacity. (8 marks)

Model answer (SokoCPA)

(a) Capitalised cost of the CNC machine (IAS 16)

Item	Sh.	Treatment
Invoice price	12,000,000	Starting point
Less: trade discount 8%	(960,000)	Deducted — cost is net of trade discounts and rebates
Import duty (non-refundable)	1,650,000	**Include** — non-refundable purchase tax
VAT (refundable)	—	**Exclude** — recoverable input VAT claimed from KRA; not a cost
Freight and insurance	780,000	**Include** — directly attributable (delivery to location)
Site preparation and foundations	540,000	**Include** — directly attributable

Item	Sh.	Treatment
Installation and testing	690,000	**Include** — directly attributable to bringing the asset to working condition
Staff training	—	**Exclude** — not directly attributable; expensed to profit or loss
Maintenance contract	—	**Exclude** — day-to-day servicing; revenue expenditure
Dismantling/site restoration (PV)	450,000	**Include** — initial estimate of the dismantling obligation (with a matching provision)
Capitalised cost	**15,150,000**	

Entry: Dr Machinery 15,150,000 / Cr Cash/Payables 14,700,000; Cr Provision for dismantling 450,000. (Total credits 15,150,000 ✓)

Recognition is justified because both IAS 16 criteria are met: future economic benefits are probable (the machine will produce saleable output) and cost is reliably measurable.

(b) Capital versus revenue expenditure

(i) **Motor replacement — capital expenditure.** The new motor is a separate component that enhances the machine; capitalise it and derecognise the old motor: Dr Machinery (new motor) 820,000 / Cr Cash 820,000; Dr Profit or loss (loss on derecognition) 300,000 / Cr Machinery (old motor) 300,000.

(ii) **Repainting the factory walls — revenue expenditure.** It merely maintains the building in its existing condition; expense it: Dr Repairs and maintenance 240,000 / Cr Cash 240,000.

(iii) **Routine servicing — revenue expenditure.** Day-to-day servicing is always expensed: Dr Repairs and maintenance 180,000 / Cr Cash 180,000.

(iv) **Dust-extraction system — capital expenditure.** It increases productive capacity beyond the originally assessed standard of performance, so it is capitalised: Dr Plant and equipment 610,000 / Cr Cash 610,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Trade discount of Sh. 960,000 (8%) deducted from the invoice price, giving 11,040,000 **(2)**
- Import duty 1,650,000 included as a non-refundable purchase tax **(1)**
- Refundable VAT excluded (recoverable from KRA), with reason **(2)**
- Freight 780,000, site preparation 540,000 and installation/testing 690,000 included as directly attributable costs **(3)**
- Staff training 260,000 excluded with reason (not directly attributable / expensed) **(1)**
- Maintenance contract 310,000 excluded with reason (day-to-day servicing, revenue expenditure) **(1)**
- Dismantling estimate 450,000 included (with matching provision) **(1)**
- Capitalised cost correctly totalled at Sh. 15,150,000 **(1)**
- (i) Capital: Dr Machinery 820,000 / Cr Cash 820,000 AND derecognition Dr P&L 300,000 / Cr Machinery 300,000 **(3)**
- (ii) Revenue: repainting expensed as repairs and maintenance **(2)**
- (iii) Revenue: routine servicing expensed **(1)**
- (iv) Capital: dust-extraction system capitalised because it increases capacity **(2)**

Question 2 (20 marks)

Depreciation methods, disposals and revaluation (IAS 16)

(a) Rika Ltd acquired plant on 1 January 2024 at a cost of Sh. 4,800,000. The plant has an estimated residual value of Sh. 300,000 and a useful life of five years. Compute the depreciation charge for each of the years 2024, 2025 and 2026 under:
(i) the straight line method;
(ii) the reducing balance method at 40% per annum;
(iii) the sum of the years' digits method. (9 marks)

(b) A machine was bought on 1 January 2023 for Sh. 2,400,000 and depreciated at 20% per annum on the straight line basis. It was sold on 30 June 2026 for Sh. 620,000. Rika Ltd's year end is 31 December. Prepare the disposal account and state the profit or loss on disposal. (7 marks)

(c) Rika Ltd's factory building has a carrying amount of Sh. 12,600,000. It is revalued to Sh. 15,000,000. State how the revaluation difference is treated, and the amount involved. (4 marks)

Model answer (SokoCPA)

(a) Depreciation charges

Depreciable amount = 4,800,000 − 300,000 = **Sh. 4,500,000**.

(i) Straight line: 4,500,000 ÷ 5 = **Sh. 900,000 per year** — 2024: 900,000; 2025: 900,000; 2026: 900,000.

(ii) Reducing balance at 40% of opening NBV (residual value is NOT deducted first):

Year	Opening NBV (Sh.)	Charge 40% (Sh.)	Closing NBV (Sh.)
2024	4,800,000	1,920,000	2,880,000
2025	2,880,000	1,152,000	1,728,000
2026	1,728,000	691,200	1,036,800

(iii) Sum of the years' digits: sum of digits = 1+2+3+4+5 = 15.

Year	Fraction	Charge (Sh.)
2024	5/15 × 4,500,000	1,500,000
2025	4/15 × 4,500,000	1,200,000
2026	3/15 × 4,500,000	900,000

(b) Disposal account

Annual charge = 20% × 2,400,000 = Sh. 480,000. Accumulated depreciation: 2023: 480,000; 2024: 480,000; 2025: 480,000; 2026 to 30 June (6 months): 240,000. **Total accumulated depreciation = Sh. 1,680,000.** Carrying amount at disposal = 2,400,000 − 1,680,000 = **Sh. 720,000**.

```
Dr                        Disposal account                          Cr
2026                                          Sh.   2026
Sh.
30 Jun  Machine at cost               2,400,000   30 Jun  Provision for depreciation
1,680,000
30 Jun  Profit or loss (loss)           100,000   30 Jun  Bank (proceeds)
620,000
```

```
                                        2,500,000
2,500,000
```

Loss on disposal = carrying amount 720,000 − proceeds 620,000 = **Sh. 100,000** (debited to profit or loss).

Note: depreciation must be charged up to the date of disposal — omitting the 2026 part-year charge of Sh. 240,000 is the commonest error in disposal questions.

(c) Revaluation

Revaluation increase = 15,000,000 − 12,600,000 = **Sh. 2,400,000**. An upward revaluation is **credited to equity as a revaluation surplus** (through other comprehensive income) — it is NOT recognised in profit or loss, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. After revaluation, depreciation is charged on the revalued amount of Sh. 15,000,000 over the building's remaining useful life.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Depreciable amount correctly computed at Sh. 4,500,000 (cost less residual value) **(1)**
- Straight line: Sh. 900,000 charged in each of 2024, 2025 and 2026 **(2)**
- Reducing balance: 2024 charge 1,920,000 and NBV 2,880,000 (percentage applied to NBV, residual not deducted) **(2)**
- Reducing balance: 2025 charge 1,152,000; 2026 charge 691,200 **(1)**
- Sum of digits: denominator 15 established and 2024 charge 1,500,000 (5/15) **(2)**
- Sum of digits: 2025 charge 1,200,000 (4/15); 2026 charge 900,000 (3/15) **(1)**
- Accumulated depreciation to disposal correctly built up to Sh. 1,680,000, including the 2026 part-year charge of 240,000 **(3)**
- Carrying amount at disposal computed at Sh. 720,000 **(1)**
- Disposal account correctly prepared and balanced at 2,500,000 **(2)**
- Loss on disposal of Sh. 100,000 correctly identified and taken to profit or loss **(1)**
- Revaluation increase computed at Sh. 2,400,000 **(1)**
- Treatment stated: credited to revaluation surplus in equity (not profit or loss), with the reversal exception; depreciation thereafter on the revalued amount **(3)**

Question 3 (20 marks)

Intangible assets: research and development under IAS 38

DataBridge Ltd, a Nairobi software company, incurred the following expenditure during the year ended 31 December 2025 on a new payments platform:

Item	Sh.
Market research and feasibility studies	2,600,000
Early prototype coding before technical feasibility was established	750,000
Development costs incurred after all the IAS 38 capitalisation criteria were demonstrably met	5,250,000
Staff training on the new platform	320,000
Advertising campaign to build the DataBridge brand	1,100,000

Required: (a) Determine the amount to be capitalised as an intangible asset and the amount to be charged to profit or loss for the year, explaining the treatment of each item. (10 marks) (b) State the SIX conditions that must all be demonstrated before development expenditure may be capitalised under IAS 38. (6 marks) (c) The platform is available for use from 1 January 2026 with an assessed useful life of five years and nil residual value. Compute the annual amortisation charge, and state how the accounting would differ if the useful life had been assessed as indefinite. (4 marks)

Model answer (SokoCPA)

(a) Capitalise or expense?

Item	Sh.	Treatment
Market research and feasibility studies	2,600,000	**Expense** — research phase expenditure is never capitalised.
Early prototype coding (before criteria met)	750,000	**Expense** — incurred before the six conditions were met; it can never be reinstated later.
Development after all criteria met	5,250,000	**Capitalise** — Dr Intangible asset 5,250,000 / Cr Cash/Payables 5,250,000.
Staff training	320,000	**Expense** — training is never part of an asset's cost.
Brand advertising	1,100,000	**Expense** — internally generated brands are never recognised; the expenditure cannot be distinguished from developing the business as a whole.

Amount capitalised = Sh. 5,250,000. Amount charged to profit or loss = 2,600,000 + 750,000 + 320,000 + 1,100,000 = Sh. 4,770,000. ✓

(b) The six IAS 38 development-capitalisation conditions

Capitalisation is permitted **if and only if all six** are demonstrated: 1. The **technical feasibility** of completing the asset so that it will be available for use or sale. 2. The **intention** to complete the asset and use or sell it. 3. The **ability** to use or sell the asset. 4. **Probable future economic benefits** — e.g. the existence of a market for the output or the asset itself, or its internal usefulness. 5. The availability of **adequate technical, financial and other resources** to complete the development and to use or sell the asset. 6. The **ability to measure reliably** the expenditure attributable to the asset during its development.

(c) Amortisation

Finite life of five years, straight line, nil residual value: annual amortisation = 5,250,000 ÷ 5 = **Sh. 1,050,000** per year (Dr Amortisation expense / Cr Accumulated amortisation), charged from when the asset is available for use.

If the useful life were **indefinite**, the asset would **not be amortised** at all. Instead it would be tested for **impairment annually** under IAS 36 (and whenever there is an indication of impairment), and the indefinite-life assessment would be reviewed at each period end; a later change to a finite life is a change in estimate applied prospectively.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Research/feasibility 2,600,000 expensed (research is never capitalised) **(2)**
- Pre-criteria development 750,000 expensed, with the no-reinstatement rule stated **(2)**

- Post-criteria development 5,250,000 capitalised **(2)**
- Training 320,000 expensed **(1)**
- Brand advertising 1,100,000 expensed (internally generated brands never recognised) **(2)**
- Totals correctly stated: capitalised 5,250,000; expensed 4,770,000 **(1)**
- Six conditions: technical feasibility, intention, ability to use/sell, probable future economic benefits, adequate resources, reliable measurement (1 mark each) **(6)**
- Annual amortisation computed at Sh. 1,050,000 (5,250,000 ÷ 5, straight line) **(2)**
- Indefinite life: no amortisation; annual impairment test under IAS 36 (and review of the indefinite assessment) **(2)**

Question 4 (20 marks)

Inventory valuation (IAS 2) and receivables: bad debts and provisions

(a) Baraka Hardware Ltd trades in water pumps. Movements during April 2026 were:

Date	Transaction	Units	Cost per unit (Sh.)
1 April	Opening inventory	120	3,200
6 April	Purchases	200	3,400
12 April	Sales	240	
19 April	Purchases	160	3,600
26 April	Sales	150	

At 30 April 2026, 20 of the units in closing inventory were damaged. Each damaged unit can be sold for Sh. 3,100 after incurring selling costs of Sh. 200 per unit.

Required: Compute, under FIFO, (i) the cost of sales for April 2026 and (ii) the value of closing inventory at 30 April 2026 after applying the lower of cost and net realisable value rule. Also compute the closing inventory value under the weighted average (AVCO) method before the NRV adjustment. (12 marks)

(b) At 31 December 2025 the trade receivables of Baraka Hardware Ltd totalled Sh. 2,450,000 before the following adjustments: - A debt of Sh. 85,000 owed by K. Mbugua is to be written off as a bad debt. - A specific provision of Sh. 120,000 is required against the balance owed by T. Achieng. - A general provision of 5% is to be made on the remaining receivables. - The provision for doubtful debts brought forward was Sh. 190,000.

Required: Compute (i) the total provision for doubtful debts at 31 December 2025, (ii) the total charge to profit or loss in respect of bad and doubtful debts for the year, and (iii) the receivables figure to be shown in the statement of financial position. (8 marks)

Model answer (SokoCPA)

(a)(i) FIFO — cost of sales

- 12 April sale of 240 units: 120 @ 3,200 = 384,000 plus 120 @ 3,400 = 408,000 → **792,000**. (Remaining: 80 @ 3,400.)
- 19 April purchase: 160 @ 3,600.
- 26 April sale of 150 units: 80 @ 3,400 = 272,000 plus 70 @ 3,600 = 252,000 → **524,000**. (Remaining: 90 @ 3,600.)

Cost of sales (FIFO) = 792,000 + 524,000 = Sh. 1,316,000. Closing inventory at cost = 90 @ 3,600 = **Sh. 324,000**. Check: goods available = 384,000 + 680,000 + 576,000 = 1,640,000 = 1,316,000 + 324,000 ✓.

NRV adjustment: NRV per damaged unit = 3,100 − 200 = Sh. 2,900, which is below cost of 3,600. Write-down = 20 × (3,600 − 2,900) = **Sh. 14,000** (Dr Profit or loss / Cr Inventory). **Closing inventory (FIFO, after NRV) = 324,000 − 14,000 = Sh. 310,000.**

(a)(ii) AVCO (periodic weighted average)

Average cost = 1,640,000 ÷ 480 units = Sh. 3,416.67 per unit. Units sold = 390 → cost of sales = 390 × 3,416.67 = Sh. 1,332,500. **Closing inventory (AVCO, before NRV) = 90 × 3,416.67 = Sh. 307,500.** (Check: 1,332,500 + 307,500 = 1,640,000 ✓.) Note: FIFO gives the higher closing inventory in a period of rising prices — and therefore the higher profit. LIFO is not permitted by IAS 2.

(b) Bad debts and provision for doubtful debts

	Sh.
Trade receivables before adjustments	2,450,000
Less: bad debt written off (K. Mbugua)	(85,000)
Adjusted receivables	2,365,000
Less: specific provision (T. Achieng)	(120,000)
Balance subject to general provision	2,245,000
General provision: 5% × 2,245,000	112,250

(i) Total provision = 120,000 + 112,250 = Sh. 232,250. (ii) Charge to profit or loss = bad debt written off 85,000 + increase in provision (232,250 − 190,000 = 42,250) = **Sh. 127,250.** (Only the movement in the provision is charged, never the full balance again.) **(iii) Statement of financial position:** receivables 2,365,000 − provision 232,250 = **Sh. 2,132,750** (current assets).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- FIFO: first sale costed 120 @ 3,200 + 120 @ 3,400 = 792,000 **(2)**
- FIFO: second sale costed 80 @ 3,400 + 70 @ 3,600 = 524,000 **(2)**
- FIFO cost of sales totalled at Sh. 1,316,000 and closing inventory at cost Sh. 324,000 (90 @ 3,600) **(2)**
- NRV per damaged unit computed at Sh. 2,900 (3,100 − 200) and compared with cost **(2)**
- Write-down of Sh. 14,000 applied; closing inventory after NRV = Sh. 310,000 **(2)**
- AVCO: average cost 3,416.67 and closing inventory Sh. 307,500 (before NRV) **(2)**
- Bad debt of 85,000 written off first, reducing receivables to 2,365,000 **(2)**
- General provision computed on the remainder after the specific provision: 5% × 2,245,000 = 112,250 **(2)**
- Total provision stated at Sh. 232,250 **(1)**
- Profit or loss charge: bad debt 85,000 + provision increase 42,250 = Sh. 127,250 (movement only) **(2)**
- SOFP receivables shown at Sh. 2,132,750 **(1)**

Question 5 (20 marks)

Bank reconciliation; loans, interest and accruals

(a) The bank columns of the cash book of Hazina Traders showed a debit balance of Sh. 486,300 on 31 March 2026, while the bank statement showed a credit balance of Sh. 512,850. On comparing the two, the following were discovered:

1. Bank charges of Sh. 4,250 on the statement had not been recorded in the cash book.
2. A standing order for insurance of Sh. 18,000 had been paid by the bank but not recorded in the cash book.
3. A customer paid Sh. 36,500 directly into the bank; this appeared only on the bank statement.
4. A cheque of Sh. 22,400 received from a debtor, Patel, and recorded in the cash book, was dishonoured.
5. Cheques issued but not yet presented: Sh. 41,300 and Sh. 19,750.
6. Deposits banked but not yet credited by the bank: Sh. 15,900 and Sh. 10,450.

Required: (i) An updated cash book as at 31 March 2026. (ii) A bank reconciliation statement as at 31 March 2026. (12 marks)

(b) On 1 October 2025 Hazina Traders borrowed Sh. 3,600,000 from a bank at 15% per annum. The loan is repayable in three equal annual instalments of principal, the first falling due on 30 September 2026. No interest had been paid or recorded by 31 December 2025, the company's year end.

Required: (i) The journal entry to record the interest for the year ended 31 December 2025. (ii) Show how the loan and the interest are presented in the statement of financial position as at 31 December 2025, and state the interest charge in profit or loss. (8 marks)

Model answer (SokoCPA)

(a)(i) Updated cash book (bank columns) — 31 March 2026

Dr			Cr
Balance b/d	486,300	Bank charges	4,250
Customer (direct credit)	36,500	Standing order — insurance	18,000
		Patel — dishoured cheque	22,400
		Balance c/d	478,150
	522,800		522,800
Balance b/d	478,150		

Updated cash book balance = **Sh. 478,150 (Dr)**. Workings: 486,300 + 36,500 − 4,250 − 18,000 − 22,400 = 478,150 ✓. Items 5 and 6 (unpresented cheques and uncredited deposits) are timing differences — they do NOT enter the updated cash book.

(a)(ii) Bank reconciliation statement as at 31 March 2026

	Sh.	Sh.
Balance as per updated cash book		478,150
Add: unpresented cheques (41,300 + 19,750)		61,050
		539,200
Less: uncredited deposits (15,900 + 10,450)		(26,350)
Balance as per bank statement		**512,850** ✓

(b) Loan interest

Interest for 1 October – 31 December 2025 (3 months) = 3,600,000 × 15% × 3/12 = **Sh. 135,000**.

(i) Journal: Dr Interest expense (profit or loss) 135,000 / Cr Accrued interest payable 135,000 — interest is accrued because it relates to the year even though it is unpaid (accruals concept). Only the interest is charged to profit or loss; the loan principal never passes through profit or loss.

(ii) Statement of financial position as at 31 December 2025: - **Non-current liabilities:** Bank loan Sh. 2,400,000 (the two instalments due after 30 September 2026 — more than 12 months after the year end). - **Current liabilities:** Bank loan Sh. 1,200,000 (the instalment due 30 September 2026, within 12 months) and accrued interest payable Sh. 135,000. - **Profit or loss:** interest expense Sh. 135,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Bank charges 4,250 and standing order 18,000 correctly credited in the updated cash book **(2)**
- Direct credit of 36,500 correctly debited in the updated cash book **(2)**
- Dishonoured cheque 22,400 correctly credited in the updated cash book (written back against the debtor) **(2)**
- Updated cash book balance correctly computed at Sh. 478,150 (Dr) **(1)**
- Unpresented cheques totalled at 61,050 and ADDED in the reconciliation **(2)**
- Uncredited deposits totalled at 26,350 and DEDUCTED in the reconciliation **(2)**
- Reconciliation proves to the bank statement balance of Sh. 512,850 **(1)**
- Interest computed on 3 months only: 3,600,000 × 15% × 3/12 = Sh. 135,000 **(3)**
- Journal: Dr Interest expense 135,000 / Cr Accrued interest payable 135,000 **(2)**
- SOFP presentation: 1,200,000 current, 2,400,000 non-current, accrued interest 135,000 as a current liability; principal excluded from profit or loss **(3)**

MODULE 4 OF 12

Correction of Errors and Suspense Accounts

Types of Errors · Suspense Accounts and Corrections

MODULE 4 · CORRECTION OF ERRORS AND SUSPENSE ACCOUNTS — LESSON 1

Types of Errors

Learning Objectives

By the end of this lesson, you will be able to:

1. Define an accounting error and explain why a balanced trial balance does not guarantee error-free books.
2. Classify errors into those that affect and those that do not affect the agreement of the trial balance.
3. Identify and explain the seven types of errors not disclosed by the trial balance: omission, principle, commission, compensating errors, original entry, complete reversal of entries, and transposition.
4. Prepare journal entries (with narratives) to correct each type of error.
5. Apply the "doubling rule" for complete reversals of entries.
6. Distinguish transposition errors and use the divisibility-by-nine test to trace them.

---

1. Why a Balanced Trial Balance Is Not Proof of Accuracy

A trial balance is a statement of proof done arithmetically to prove that proper double entry was observed when recording transactions. The working assumption is simple: if the total of the debit balances equals the total of the credit balances, the double entry is arithmetically correct.

But that is all it proves — arithmetical accuracy. A trial balance will balance even when serious accounting errors exist, because some errors keep debits and credits equal. KASNEB therefore divides all bookkeeping errors into two basic classes:

- **Errors which do not affect the trial balance totals** — the trial balance still balances.
- **Errors which affect the trial balance totals** — the trial balance fails to agree and a suspense account is needed (covered in Lesson 2).

The golden rule for correction: **the correction of every accounting error must be journalised by way of the General Journal**, and every correction must be supported by a clear narrative explaining what error is being corrected. Examiners award marks for the narrative — never omit it.

2. The Seven Errors That Leave the Trial Balance Balanced

2.1 Error of Omission

An error of omission occurs when a transaction is **completely omitted** from the books of account. Neither the debit nor the credit is recorded, so debits and credits remain equal.

Example: A motor van bought for cash at Sh.90,000 is recorded nowhere — neither the motor vehicle account is debited nor the cash account credited. The trial balance still balances.

Correction: Simply record the omitted transaction through the journal:

```
Dr. Motor vehicle account        90,000
    Cr. Cash account                          90,000
(Being motor van purchased for cash, omitted from the books; error now corrected)
```

2.2 Error of Principle

An error of principle occurs when a transaction is entered in the **wrong class of account**, but double entry is still observed. Because the debit and credit are both recorded (just in the wrong account class), the trial balance is unaffected.

Example: Furniture (a fixed asset) bought for Sh.200,000 cash is debited to the **purchases** account instead of the furniture account, and cash is credited correctly. Purchases is a trading account item; furniture is a non-current asset. Double entry was observed, so the trial balance balances — but the financial statements will be wrong (assets understated, cost of sales overstated).

Correction:

```
Dr. Furniture account          200,000
    Cr. Purchases account                  200,000
(To correct error of principle: purchase of fixed asset wrongly debited to purchases
account)
```

2.3 Error of Commission

An error of commission occurs when the **correct amount is entered in the wrong personal account**, even though the account is in the correct class. For example, a credit sale of Sh.20,000 to D. Waithaka is posted to the account of P. Waithaka in the sales ledger. Both are debtors, so the trial balance still agrees.

Correction: Simply transfer the amount between the two personal accounts:

```
Dr. D. Waithaka account         20,000
    Cr. P. Waithaka account                 20,000
(To transfer credit sale wrongly posted to P. Waithaka to the correct account of D.
Waithaka)
```

Note: the sales account is untouched, and because both personal accounts sit in the same sales ledger, the trial balance is still balanced after correction.

2.4 Compensating Errors

Compensating errors are errors that **cancel each other out** — an error that overstates both the credits and the debits, or understates both, by the same amount.

Example: Purchases returns are overstated by Sh.2,000 and sales returns are overstated by Sh.2,000. Purchases returns appear on the credit side of the trial balance and sales returns on the debit side, so the two overstatements cancel out.

Correction:

```
Dr. Purchases returns account    2,000
    Cr. Sales returns account                2,000
(To correct compensating errors: purchases returns and sales returns both overstated by
Sh.2,000)
```

2.5 Error of Original Entry

An error of original entry occurs when the **original figure is incorrect**, yet double entry is observed using that incorrect figure. The figure may be understated or overstated.

Example: Purchases worth Sh.20,000 are recorded as Sh.200,000 in **both** the purchases account and the cash account.

The wrong entry was:

```
Dr. Purchases       200,000
    Cr. Cash                    200,000
```

The correct entry should have been:

```
Dr. Purchases        20,000
    Cr. Cash                     20,000
```

Correction (for the excess of Sh.180,000):

```
Dr. Cash account               180,000
    Cr. Purchases account                   180,000
(To correct error of original entry: purchases of Sh.20,000 recorded as Sh.200,000;
excess now reversed)
```

2.6 Complete Reversal of Entries

A complete reversal of entries occurs when the correct accounts and the correct amounts are used, but **each item is shown on the wrong side** of its account. Because a debit is still matched by an equal credit, the trial balance balances.

Example — goods taken by the owner for personal use: Sh.1,250 of goods are taken for own use. The correct entry is:

```
Dr. Drawings account       1,250
    Cr. Purchases account              1,250
```

But the bookkeeper reversed it completely:

```
Dr. Purchases account      1,250
    Cr. Drawings account               1,250
```

Correction is done in two stages: (1) cancel the wrong entry, (2) record the correct entry:

```
Dr. Drawings account       1,250        (to cancel the wrong entry)
    Cr. Purchases account              1,250

Dr. Drawings account       1,250        (to record the correct entry)
    Cr. Purchases account              1,250
```

Because both stages credit purchases and debit drawings, the two entries are combined into one entry with a **doubled amount**:

```
Dr. Drawings account       2,500
    Cr. Purchases account              2,500
(To correct complete reversal of entries: goods for own use Sh.1,250 debited to purchases
 and credited to drawings; amount doubled — one entry to cancel, one to record correctly)
```

The doubling rule: when correcting a complete reversal, double the figure. A single credit of the original amount would merely cancel the initial wrong debit; the second equal credit then enters the credit that should have been there all along.

2.7 Transposition Error

A transposition error is a special type of error of original entry. It occurs when the **wrong sequence of individual characters** in a figure is entered — for example, entering Sh.870 as Sh.780. It is very difficult to trace, but there is a classic diagnostic test:

> If a transposition occurs on **only one side** of the entry, the difference between the debit and credit columns of the trial balance will be a number **divisible by nine**.

Example: Cash sales of Sh.9,260 are entered as Sh.6,290 in both the cash book and the sales ledger.

The wrong entry was:

```
Dr. Cash        6,290
    Cr. Sales               6,290
```

Correction (for the shortfall of Sh.9,260 − Sh.6,290 = Sh.2,970):

```
Dr. Cash account            2,970
    Cr. Sales account                     2,970
(To correct transposition error: cash sales Sh.9,260 entered as Sh.6,290; shortfall now
recorded)
```

Note that in this example the same wrong figure was used on both sides, so the trial balance was unaffected. But had the error occurred on one side only (e.g., Sh.9,260 debited to cash and Sh.6,290 credited to sales), the trial balance difference would be Sh.2,970 — and 2,970 ÷ 9 = 330 exactly. Examiners love asking you to spot this.

3. Worked Example: Journal Corrections With Narratives

Question (KASNEB style): Show the journal entries required to correct the following errors. Narratives must be shown.

1. Commissions received of Sh.44,000 had been credited to the rent receivable account.
2. Bank charges of Sh.3,850 had been debited to the rent account.
3. A payment of sundry expenses by cheque of Sh.1,150 was completely omitted from the books.
4. Purchase of fixtures of Sh.23,700 had been entered in the purchases account.

Solution:

```
1.  Dr. Rent receivable account          44,000
        Cr. Commissions received account              44,000
    (To correct error of principle: commission received wrongly credited to rent
receivable)

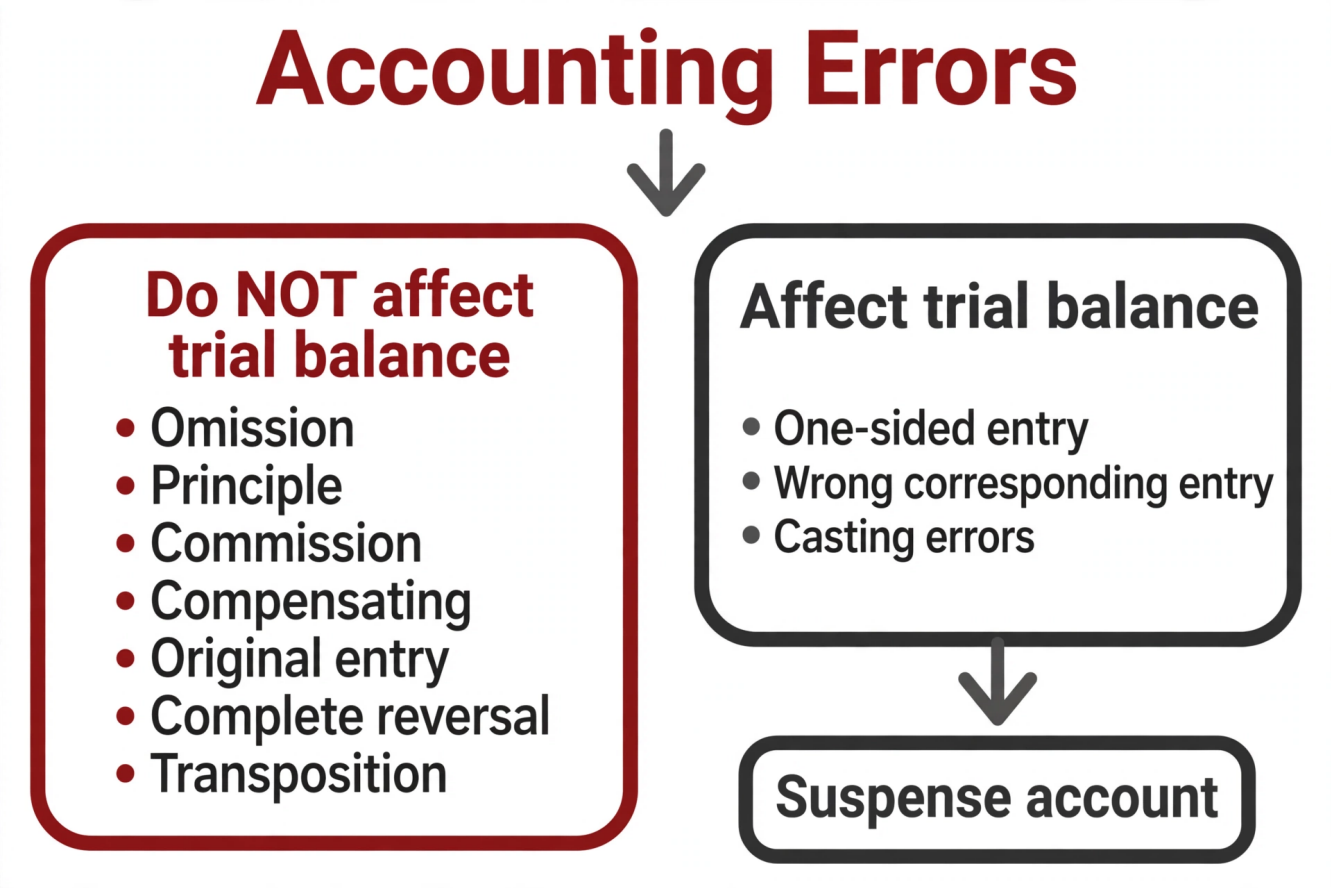
2.  Dr. Bank charges account              3,850
        Cr. Rent account                                3,850
    (To correct error of commission/principle: bank charges wrongly debited to rent
account)

3.  Dr. Sundry expenses account           1,150
        Cr. Bank account                                1,150
    (To record payment of sundry expenses omitted from the books)

4.  Dr. Fixtures account                 23,700
        Cr. Purchases account                         23,700
```

```
    (To correct error of principle: purchase of fixtures wrongly debited to purchases
account)
```

Each entry balances (debits = credits), each names the error type, and each narrative would earn its mark in the exam.



4. Common Exam Traps

1. **"The trial balance balances, so there are no errors."** False — this is the single most tested misconception in this topic. Memorise all seven error types that leave the trial balance intact.
2. **Correcting without a narrative.** KASNEB explicitly demands narratives ("Narratives must be shown"). A journal without a narrative loses marks.
3. **Forgetting the doubling rule.** For complete reversals, a single entry of the original amount only cancels the error; you must double it to also record the correct entry.
4. **Using the suspense account for these errors.** Errors in this lesson do **not** need a suspense account — both sides of the correction are ordinary ledger accounts. Suspense is only for errors that break the trial balance agreement.
5. **Confusing commission with principle.** Commission = wrong *person* within the *same class*; principle = wrong *class* of account. The distinction determines which accounts appear in the correction.
6. **Transposition test direction.** The divisibility-by-nine test only applies when the transposition affects one side of the entry (trial balance fails to agree). If both sides carry the same wrong figure, the trial balance still balances.

5. Key Terms (Flashcards)

- **Trial balance** — A statement prepared arithmetically to prove that proper double entry was observed; the debit totals must equal the credit totals.
- **Error of omission** — A transaction completely omitted from the books; neither debit nor credit recorded.
- **Error of principle** — A transaction entered in the wrong class of account while double entry is still observed.
- **Error of commission** — The correct amount entered in the wrong personal account within the correct class.
- **Compensating errors** — Two or more errors that cancel each other out by equal and opposite amounts.
- **Error of original entry** — The original figure is wrong, but double entry is observed with the wrong figure.
- **Complete reversal of entries** — Correct accounts and amounts, but each item posted to the wrong side; corrected by doubling the amount.
- **Transposition error** — Digits of a figure entered in the wrong sequence; a one-sided transposition gives a trial balance difference divisible by nine.
- **Journal narrative** — The written explanation accompanying a journal entry, stating which error is being corrected and how.
- **General Journal** — The book in which all corrections of errors must be journalised before posting to the ledger.

6. Lesson Summary

- A balanced trial balance proves only arithmetical accuracy, not the absence of errors.
- Seven error types do not affect trial balance agreement: omission, principle, commission, compensating, original entry, complete reversal, and transposition.
- All corrections pass through the General Journal with a narrative; every correction must balance (debits = credits).
- Complete reversals are corrected with a doubled amount (cancel + re-record in one entry).
- Transposition errors on one side only produce a trial balance difference divisible by nine.

7. Exam Day Tips

- When a question says "the trial balance still balanced" or "the trial balance agreed", immediately think of the seven errors in this lesson — and rule out the suspense account.
- Write the wrong entry and the correct entry side by side before drafting your correction; it makes the required journal obvious and avoids sign errors.
- Always state the *type* of error in your narrative (e.g., "to correct error of principle...") — examiners reward precise terminology.
- For "show the ledger accounts after correction" follow-ups, post your journal entries and balance each T-account; the two sides of every correction keep the ledger in balance automatically.

Next: Lesson 2 — Suspense Accounts and Corrections, where we handle the errors that DO break the trial balance.

Slide deck at a glance

Why a balanced trial balance is not proof of accuracy

- The trial balance proves only arithmetical accuracy of double entry
- Some errors keep debits = credits, so the balance still agrees

- KASNEB splits errors: affect TB agreement vs do not affect it
- Errors affecting agreement need a suspense account (Lesson 2)
- Golden rule: every correction is journalised via the General Journal
- Every correction needs a clear narrative — examiners award marks for it

Errors 1–3: omission, principle, commission

- Omission: transaction completely unrecorded; TB unaffected
- Omission correction: simply record the entry through the journal
- Principle: wrong class of account, e.g. furniture debited to purchases
- Principle correction: Dr correct account / Cr wrong account
- Commission: wrong personal account in the same class (D. → P. Waithaka)
- Commission correction: transfer the amount between the two accounts

Errors 4–5: compensating and original entry

- Compensating: two errors cancel out, e.g. both returns overstated by Sh.2,000
- Correction: Dr Purchases returns 2,000 / Cr Sales returns 2,000
- Original entry: wrong figure used on both sides, e.g. Sh.20,000 as Sh.200,000
- Correct only the excess: Dr Cash 180,000 / Cr Purchases 180,000
- Double entry was observed — so no suspense account is needed

Errors 6–7: complete reversal and transposition

- Complete reversal: correct accounts and amounts, but wrong sides on both
- Correct in two stages: cancel the wrong entry, then record the right one
- Doubling rule: combine into one entry with double the amount
- Example: drawings Sh.1,250 reversed → Dr Drawings 2,500 / Cr Purchases 2,500
- Transposition: digits swapped, e.g. Sh.9,260 entered as Sh.6,290
- One-sided transposition → TB difference divisible by nine (2,970 ÷ 9 = 330)

Worked example: journal corrections with narratives

- Commission Sh.44,000 to rent receivable: Dr Rent rec. / Cr Commissions rec.
- Bank charges Sh.3,850 to rent: Dr Bank charges / Cr Rent account
- Sundry expenses Sh.1,150 omitted: Dr Sundry expenses / Cr Bank
- Fixtures Sh.23,700 in purchases: Dr Fixtures / Cr Purchases
- Each entry balances and names the error type in its narrative

Common exam traps

- 'TB balances, so no errors' — false; memorise all seven error types
- A journal without a narrative loses KASNEB marks — never omit it
- For complete reversals, one original-amount entry only cancels the error
- These errors never use a suspense account — both legs are ordinary accounts
- Commission = wrong person, same class; principle = wrong class entirely
- The ÷9 test applies only when the transposition hits one side of the entry

Key takeaways / exam tips

- A balanced TB proves arithmetical accuracy only — seven error types hide from it
- All corrections pass through the General Journal with a narrative
- Complete reversals: double the amount (cancel + re-record in one entry)
- Transposition on one side: look for a TB difference divisible by nine
- If the TB 'still balanced', rule out the suspense account immediately

- Write the wrong and correct entries side by side before drafting the journal

KASNEB past-paper worked examples

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KASNEB-2019-05-Q1 · May 2019 · 20 marks KASNEB authored

Error pairs; receipts and payments vs income and expenditure; commitment basis advantages

(a) Distinguish between the following pairs of accounting errors: (i) Error of commission and error of principle. (4 marks) (ii) Compensating error and complete reversal entry error. (4 marks)
(b) Differentiate between "Receipts and payments statement" and "Income and expenditure statement". (6 marks)
(c) Highlight three advantages of the commitment basis of accounting in the public sector. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) Pairs of accounting errors

(i) Error of commission vs error of principle. An *error of commission* is made when a transaction is recorded in the wrong person's account but in the correct type/class of account — e.g. a payment to J. Kamau posted to J. Kamau's namesake J. Kamau Ltd. instead of the intended J. Kamau (a trader). The books still balance and the class of account is right; only the person is wrong. An *error of principle* is made when a transaction is recorded in the wrong class of account, violating an accounting principle — e.g. the purchase of a motor vehicle (capital expenditure) debited to motor vehicle running expenses (revenue expenditure), or repairs to a building debited to the buildings account. It distorts profit and asset values, though the trial balance still agrees.

(ii) Compensating error vs complete reversal of entry. A *compensating error* arises when two or more independent errors cancel each other out — e.g. the sales day book is overcast by Sh.10,000 and, independently, the purchases day book is also overcast by Sh.10,000 — so the trial balance still agrees despite both errors. A *complete reversal of entry* occurs when a transaction is recorded with the debit and credit entries completely swapped — e.g. cash received from a debtor of Sh.18,000 debited to the debtor's account and credited to the cash book, instead of the reverse. The trial balance still agrees, but both accounts are wrong by twice the amount.

(b) Receipts and payments statement vs income and expenditure statement

1. The receipts and payments statement is a summary of the cash book for a period: it contains **all** cash and bank receipts and payments, whether capital or revenue in nature, and whether relating to the current, past or future periods. The income and expenditure statement is the not-for-profit equivalent of an income statement: it contains **only revenue** receipts and payments for the **current** period.
2. The receipts and payments statement is prepared on the **cash basis** — amounts are recognised when cash is received or paid. The income and expenditure statement is prepared on the **accruals basis** — income and expenses are adjusted for prepayments, accruals, depreciation and provisions.
3. The receipts and payments statement **opens and closes with cash/bank balances** and does not show a surplus or deficit. The income and expenditure statement has no opening/closing cash balances; its balance is the **surplus (excess of income over expenditure) or deficit** for the period, which is transferred to the accumulated fund.

4. Non-cash items such as depreciation, bad debts and provisions appear only in the income and expenditure statement, never in receipts and payments.

(c) Advantages of the commitment basis of accounting in the public sector

1. **Budgetary control:** expenditure is recognised when a commitment (e.g. a local purchase order) is made, so managers know the funds already committed against a vote/appropriation and can avoid over-committing public funds before cash is paid.
2. **Prevention of overspending and arrears:** because commitments are tracked against approved budgets in real time, a department cannot commit beyond its allocation; this reduces the accumulation of pending bills and unauthorised expenditure.
3. **Improved planning and accountability:** outstanding commitments are visible at any date, enabling better cash-flow forecasting, transparent reporting of obligations incurred, and stronger accountability of accounting officers for resources entrusted to them.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Error of commission: right class of account, wrong person's account, with example (2) **(2)**
- (a)(i) Error of principle: wrong class of account / capital vs revenue, with example (2) **(2)**
- (a)(ii) Compensating error: independent errors cancel, TB still agrees, with example (2) **(2)**
- (a)(ii) Complete reversal: debit and credit swapped, accounts wrong by twice the amount (2) **(2)**
- (b) Six valid differences between R&P and I&E (capital+revenue vs revenue only; cash vs accruals basis; opening/closing balances vs surplus/deficit; non-cash items; nature/purpose), 1 mark each **(6)**
- (c) Three advantages of commitment basis (budgetary control; prevents over-commitment/pending bills; planning, forecasting and accountability), 2 marks each **(6)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 3 · Medium 5 · Hard 2), serials CA11-M04-Q001 – CA11-M04-Q021. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 4 · CORRECTION OF ERRORS AND SUSPENSE ACCOUNTS — LESSON 2

Suspense Accounts and Corrections

Learning Objectives

By the end of this lesson, you will be able to:

1. Explain when a suspense account is opened and how the trial balance difference is posted to it.
2. Identify errors that affect the agreement of the trial balance (one-sided entries, wrong corresponding entries, casting errors).
3. Pass journal entries that correct errors through the suspense account.
4. Prepare a fully balanced suspense account.
5. Prepare a statement of corrected net profit (and corrected gross profit) after discovering errors.
6. Explain why the suspense account must not be used to balance the trial balance unless the examiner specifically requires it.

---

1. When the Trial Balance Fails to Agree

Lesson 1 dealt with errors that leave the trial balance balanced. But some errors break the double-entry equality — for example:

- **Failure to enter a corresponding entry** for every debit or credit made (one side of an entry completely missing).
- **Making a wrong corresponding entry** — e.g., cash sales of Sh.20,000 are correctly debited to the cash book, but the sales account is credited with only Sh.2,000. The credit side of the trial balance is then understated by Sh.18,000.
- **Casting (addition) errors** in day books — e.g., the purchases day book undercast by Sh.11,200 or the sales day book overcast by Sh.3,000.
- **Posting to the wrong side** of the correct account, or entering an amount on one side only.

Because the error may take a long time to identify, the accountant is allowed to open a temporary account called the **suspense account** and post the trial balance difference to it, so that the books can be closed and draft financial statements prepared while the investigation continues.

The rule for opening it: post the difference to the side that makes the trial balance agree.

- If the **debit side exceeds** the credit side by Sh.100,000, the suspense account is given a **credit balance** of Sh. 100,000.
- If the **credit side exceeds** the debit side, the suspense account is given a **debit balance**.

When the errors are later found, journal entries are passed **against the suspense account** until its balance is cleared — the suspense account then disappears from the books.

> **Exam caution (straight from the study text):** the suspense account should not be used to balance the trial balance unless the examiner specifically asks you to do so.

2. Journal Corrections Through the Suspense Account

The technique is identical to Lesson 1 — every correction goes through the General Journal with a narrative — except that one side of each correction is the suspense account, standing in for the missing or wrong half of the original entry.

Taking the sales example above: cash sales of Sh.20,000 were debited to cash, but sales was credited with only Sh. 2,000. The suspense account was opened with a credit balance of Sh.18,000. On discovery:

```
Dr. Suspense account            18,000
    Cr. Sales account                          18,000
(To correct the error understating the credit side of the trial balance: sales credited
with Sh.2,000 instead of Sh.20,000)
```

The debit to suspense reduces its credit balance; when all errors are corrected, the suspense account balances to nil.

3. Fully Worked Example: Suspense Account + Corrected Net Profit

Question (KASNEB style): The trial balance extracted from the books of J. Kamau as at 31 December 2025 failed to agree. The debit side totalled Sh.2,450,000 and the credit side Sh.2,380,000. The difference was posted to a suspense account and draft financial statements were prepared, showing a net profit of Sh.512,000.

The following errors were later discovered:

1. Cash sales of Sh.50,000 had been correctly debited to the cash account, but the sales account was credited with Sh.5,000 only.
2. A cheque for Sh.25,000 received from W. Mwangi, a debtor, had been debited in the cash book, but no other entry was made.
3. Motor vehicle repairs of Sh.30,000 had been posted to the motor vehicle account.

Required: (a) Journal entries to correct the errors. (b) The suspense account, fully balanced. (c) A statement of corrected net profit.

Solution

(a) Journal entries

The trial balance difference is Sh.2,450,000 − Sh.2,380,000 = **Sh.70,000** (debit exceeds credit), so the suspense account was opened with a **credit balance of Sh.70,000**.

```
Dr. Suspense account             45,000
    Cr. Sales account                          45,000
(To correct sales understated by Sh.45,000, i.e. Sh.50,000 − Sh.5,000; credit side of
trial balance now corrected)

Dr. Suspense account             25,000
    Cr. W. Mwangi (debtor) account             25,000
(To record receipt from debtor omitted from the personal account; error of one-sided
entry now corrected)

Dr. Motor vehicle repairs account  30,000
    Cr. Motor vehicle account                   30,000
(To correct error of principle: repairs posted to the motor vehicle asset account; no
suspense entry needed)
```

Check each entry balances: 45,000 = 45,000; 25,000 = 25,000; 30,000 = 30,000. ✓

Note that error 3 does not touch the suspense account: both the repairs (expense) and the motor vehicle (asset) carry debit balances, so the trial balance was unaffected — exactly the Lesson 1 logic.

(b) Suspense account

```
                          Suspense Account
                    Sh.                                  Sh.
Sales                     45,000   Balance b/d               70,000
W. Mwangi                 25,000
                          70,000                            70,000
```

The suspense account is fully cleared — total debits Sh.70,000 equal total credits Sh.70,000, leaving a nil balance. The suspense account now disappears from the books. ✓

(c) Statement of corrected net profit

Only errors affecting profit change the net profit figure:

- Error 1: sales were understated by Sh.45,000 → profit increases by Sh.45,000.
- Error 2: the debtor receipt affects only the statement of financial position (bank vs. debtor) → no profit effect.
- Error 3: Sh.30,000 wrongly capitalised as a motor vehicle must now be expensed as repairs → profit decreases by Sh.30,000.

```
            J. Kamau — Statement of Corrected Net Profit
                        for the year ended 31 December 2025
                                                    Sh.
Net profit as per draft accounts                512,000
Add: Sales understated                           45,000
Less: Motor repairs wrongly capitalised         (30,000)
Corrected net profit                            527,000
```

Exam technique: always ask of each error, "does this touch the income statement?" If it only moves amounts within the statement of financial position (bank, debtors, creditors, suspense), it leaves profit unchanged.

4. Corrected Gross Profit — A Further Twist

Sometimes the examiner asks for a **statement of corrected gross profit** as well as corrected net profit (as in the Bernard Masita revision question). The logic is the same, but restricted to trading items:

- Items affecting gross profit: sales, purchases, returns inwards/outwards, carriage inwards, opening and closing stock, goods taken for own use (drawings in the form of goods reduce purchases).
- Items affecting only net profit: salaries, rent, discounts, stationery, bad debts, depreciation.

Work through the errors one by one and sort them into the "gross profit" bucket or the "net profit only" bucket before adjusting.

5. A Second Mini-Example: Casting Errors

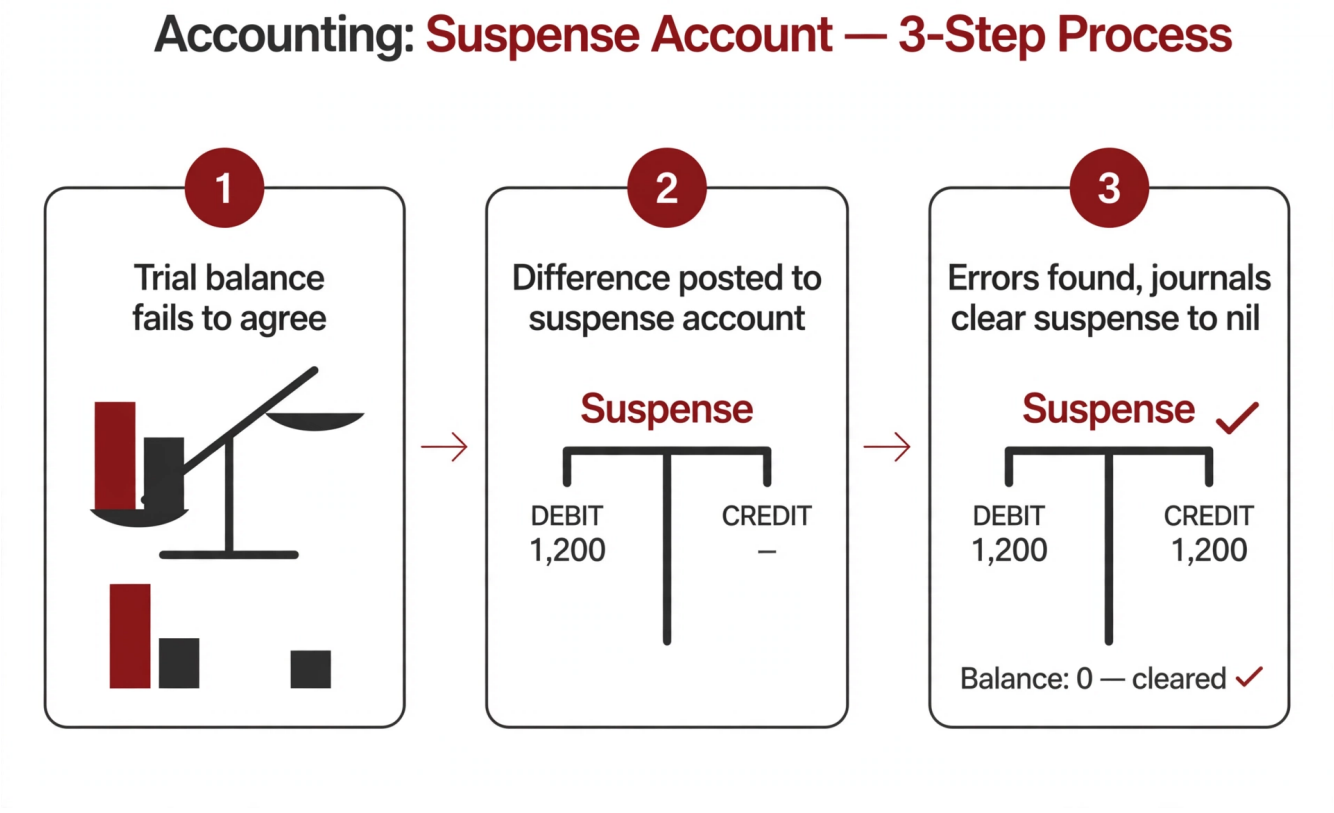
Casting (totalling) errors are the most common suspense-account triggers in KASNEB exams.

- **Purchases day book undercast by Sh.11,200** → purchases (debit) understated → trial balance debit side short by Sh.11,200. Correction: `Dr. Purchases 11,200 / Cr. Suspense 11,200`. Profit falls by Sh.11,200.
- **Sales day book overcast by Sh.3,000** → sales (credit) overstated → trial balance credit side too high by Sh. 3,000. Correction: `Dr. Sales 3,000 / Cr. Suspense 3,000`. Profit falls by Sh.3,000.
- **Returns outwards overcast by Sh.5,600** → returns outwards (credit) overstated. Correction: `Dr. Returns outwards 5,600 / Cr. Suspense 5,600`. Profit falls by Sh.5,600 (cost of sales rises).

Notice the pattern: the suspense account always takes the opposite side to the corrected ledger account, and casting corrections always need suspense because the trial balance totals were wrong.

6. Common Exam Traps

1. **Opening the suspense balance on the wrong side.** Debit exceeds credit → suspense gets a *credit* balance (it plugs the credit side). Say it as a mantra: "the suspense balance goes on the *short* side."
2. **Leaving a balance on the suspense account.** After all corrections, the suspense account must total to zero. If yours does not, one of your correction entries is wrong — recheck each one.
3. **Adjusting profit for non-profit errors.** Debtor/creditor/bank-only corrections do not change net profit. Only income-statement items do.
4. **Double-counting the suspense balance in the corrected profit statement.** The suspense account is a statement-of-financial-position item; it never appears in the profit adjustment.
5. **Forgetting that some discovered errors need no suspense entry.** Always test each error first: "did this error break the trial balance agreement?" If not, correct it directly between the two ledger accounts.
6. **Discount mix-ups.** Discount received posted as discount allowed (or vice versa) is a favourite: cancel the wrong posting, then record the correct one — the suspense entry is the difference between the two sides.



7. Key Terms (Flashcards)

- **Suspense account** — A temporary account opened to hold the trial balance difference while errors are investigated; cleared by correction journals once errors are found.
- **Trial balance difference** — The amount by which the debit and credit columns disagree; posted to the suspense account on the short side.

- **Casting error** — An addition mistake (undercast or overcast) in a day book or ledger account total.
- **Undercast** — A total added up to less than the true figure.
- **Overcast** — A total added up to more than the true figure.
- **One-sided entry error** — An error where only the debit or only the credit of a transaction was recorded.
- **Statement of corrected net profit** — A statement adjusting the draft net profit for the profit effect of each discovered error.
- **Draft financial statements** — Statements prepared before all errors are found, containing the suspense account balance.

8. Lesson Summary

- Errors that break trial balance agreement (missing one side of an entry, wrong corresponding entries, casting errors) require a suspense account.
- The suspense account takes the trial balance difference on the short side (debit exceeds credit → credit balance).
- Every correction is journalised with a narrative; one leg of the entry is the suspense account.
- When all errors are corrected, the suspense account must balance to nil.
- The statement of corrected net profit adjusts the draft profit only for errors affecting income or expenses.

9. Exam Day Tips

- Start every suspense question by computing the difference and stating the opening suspense balance with its side — it anchors all subsequent entries.
- After posting all corrections, total the suspense account as a self-check: it must be nil.
- For the corrected profit statement, annotate each error with "+" or "−" for profit before writing the statement; it prevents sign errors under pressure.
- If the question also asks for corrected *gross* profit, filter the errors to trading items only (sales, purchases, returns, carriage inwards, stock, drawings in kind).

Module complete. Test yourself with the module quiz, then move on to Module 5 — Financial Statements of a Sole Trader.

Slide deck at a glance

When the trial balance fails to agree

- Breakers: one-sided entries, wrong corresponding entries, casting errors
- Example: sales Sh.20,000 debited to cash, credited only Sh.2,000 to sales
- The suspense account is temporary — holds the difference while errors are found
- Opening rule: post the difference to the SHORT side
- Debit exceeds credit by Sh.100,000 → suspense gets a credit balance of Sh.100,000
- Caution: do not use suspense to balance the TB unless the examiner asks

Journal corrections through the suspense account

- Same technique as Lesson 1, but one leg of each entry is the suspense account
- Sales understated Sh.18,000: Dr Suspense 18,000 / Cr Sales 18,000
- The debit to suspense reduces its credit balance toward nil
- When all errors are corrected, the suspense account disappears

- Always test each error first: 'did it break the TB agreement?'

Worked example: J. Kamau's suspense account

- TB difference: 2,450,000 − 2,380,000 = Sh.70,000 (debit side exceeds)
- Suspense opened with a credit balance of Sh.70,000
- Sales understated: Dr Suspense 45,000 / Cr Sales 45,000
- Receipt from W. Mwangi: Dr Suspense 25,000 / Cr W. Mwangi 25,000
- Error of principle (repairs → motor vehicle): no suspense entry needed
- Suspense totals: debits 70,000 = credits 70,000 → nil balance ✓

Statement of corrected net profit

- Only income-statement errors change profit — SOFP-only errors do not
- Draft net profit Sh.512,000; add sales understated Sh.45,000
- Less repairs wrongly capitalised Sh.30,000 (now expensed)
- Corrected net profit = Sh.527,000
- Corrected gross profit: filter errors to trading items only
- Trading items: sales, purchases, returns, carriage inwards, stock, drawings in kind

Mini-example: casting errors

- Casting = addition errors in day books — the most common suspense trigger
- Purchases day book undercast Sh.11,200: Dr Purchases / Cr Suspense
- Sales day book overcast Sh.3,000: Dr Sales / Cr Suspense
- Returns outwards overcast Sh.5,600: Dr Returns outwards / Cr Suspense
- Suspense always takes the opposite side to the corrected account
- Casting corrections always need suspense — the TB totals were wrong

Common exam traps

- 'Debit exceeds credit → suspense gets a credit balance' — the short side
- After all corrections the suspense account must total to zero — self-check
- Debtor/creditor/bank-only corrections do not change net profit
- Never double-count the suspense balance in the profit statement
- Some discovered errors need no suspense entry — test each one first
- Discount allowed/received mix-ups: cancel the wrong posting, record the right one

Key takeaways / exam tips

- Open suspense on the short side; clear it to nil with correction journals
- Journalise every correction with a narrative; suspense is one leg of the entry
- The corrected profit statement adjusts only for income/expense errors
- Casting errors are the favourite suspense trigger — learn the pattern
- Total the suspense account as a self-check: it must be zero
- Annotate each error '+' or '−' for profit before writing the statement

KASNEB past-paper worked examples

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KASNEB-2023-12-Q3 · December 2023 · 20 marks KASNEB authored

Correction of errors and suspense account (Bidii Traders)

The statement of financial position of Bidii Traders as at 30 September 2023 was prepared by an inexperienced accounts clerk and included a suspense account balance under current assets (Sh."000"): Capital 694,000; Net profit 126,000; Drawings (160,000) → 660,000. Current liabilities: Accounts payable 50,000; Bank balance (overdraft) 1,520 → 51,520. Total capital and liabilities 711,520. Assets: Plant and equipment 634,000 less depreciation (72,000) = 562,000; Furniture and fittings 70,000 less depreciation (14,000) = 56,000 → 618,000. Current assets: Inventory 28,000; Accounts receivable 57,000; Suspense account 8,520 → 93,520. Total assets 711,520.

Investigations revealed: (1) The purchases day book had been undercast by Sh.2,800,000. (2) An item of equipment costing Sh.2,600,000 had been debited to repairs account. Depreciation on equipment is 15% per annum on cost. (3) A debit balance of Sh.2,400,000 for a debtor had been omitted from total accounts receivable. (4) An entry of Sh.2,100,000 for returns outwards was made in error in the sales day book instead of the purchases returns day book. (5) A cheque of Sh.2,250,000 paid to a creditor was correctly posted in the cash book but credited in error to the creditor's account. (6) Goods valued at Sh.220,000 were withdrawn for personal use, but no entry had been made. (7) A bad debt of Sh.1,250,000 was yet to be written off. (8) A discount received of Sh.590,000 had been correctly entered in the cash book, but posted to the wrong side of the discounts received account.

Required: (a) Journal entries (with narrations) to correct the errors. (8 marks) (b) Suspense account fully balanced. (2 marks) (c) Statement of adjusted profit for the year ended 30 September 2023. (4 marks) (d) Corrected statement of financial position as at 30 September 2023. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Journal entries

```
1. Dr Suspense account                                  2,800
      Cr Purchases account                                          2,800
   (Correction of undercast of the purchases day book — purchases were understated.)

2. Dr Equipment account                                 2,600
      Cr Repairs account                                            2,600
   (Equipment wrongly debited to repairs now capitalised.)
   Dr Depreciation expense (profit or loss)                390
      Cr Accumulated depreciation — equipment                       390
   (Depreciation on the capitalised equipment at 15% × 2,600.)

3. Dr Accounts receivable (control)                     2,400
      Cr Suspense account                                           2,400
   (Debtor's balance omitted from the list of receivables now included.)

4. Dr Sales account                                     2,100
      Cr Returns outwards account                                   2,100
   (Returns outwards wrongly entered in the sales day book now correctly recorded;
    both original postings were to nominal accounts, so no suspense entry arises.)

5. Dr Creditor's (payables) account                     4,500
      Cr Suspense account                                           4,500
   (Cheque of 2,250 paid to a creditor was credited instead of debited to his
account;
    twice the amount is debited to reverse the wrong credit and record the payment.)

6. Dr Drawings account                                    220
      Cr Purchases account                                            220
```

```
   (Goods withdrawn for personal use now recorded.)

7. Dr Bad debts account                                  1,250
      Cr Accounts receivable account                                 1,250
   (Irrecoverable debt now written off.)

8. Dr Suspense account                                   1,180
      Cr Discounts received account                                  1,180
   (Discount received of 590 posted to the debit instead of the credit side of the
    discounts received account; twice the amount corrects the error.)
```

(b) Suspense account

Dr			Cr	
Discounts received (wrong side)	1,180	Balance b/d		8,520
Balance c/d	8,520	Purchases day book undercast		2,800
		Accounts receivable omitted		2,400
		Creditor's account correction		4,500
	9,700			9,700

The balance brought down from the bookkeeping system is nil — after the corrections the account closes exactly: credits 8,520 (opening, as presented in the draft statement of financial position) + debits 1,180 = credits from corrections 2,800 + 2,400 + 4,500 = 9,700.

(c) Statement of adjusted profit

Net profit as per draft accounts	126,000
Less: undercast of purchases day book	(2,800)
Add: repairs wrongly charged – equipment capitalised	2,600
Less: depreciation on capitalised equipment	(390)
Add: goods withdrawn recorded against purchases	220
Less: bad debt written off	(1,250)
Add: discounts received wrongly debited	1,180
Adjusted net profit	125,560

(d) Corrected statement of financial position as at 30 September 2023

Non-current assets:		
Plant and equipment (636,600 − 72,390)	564,210	
Furniture and fittings (70,000 − 14,000)	56,000	620,210
Current assets:		
Inventory	28,000	
Accounts receivable (57,000 + 2,400 − 1,250)	58,150	86,150
Total assets		706,360
Capital (694,000 + adjusted profit 125,560 − drawings 160,220)		659,340
Current liabilities:		
Accounts payable (50,000 − 4,500)	45,500	
Bank overdraft	1,520	47,020
Total capital and liabilities		706,360

Note: drawings increase to 160,220 (160,000 + goods withdrawn 220); the suspense account is fully eliminated.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Journal 1: Dr Suspense / Cr Purchases 2,800 (undercast) with narration **(1)**
- (a) Journal 2: Dr Equipment / Cr Repairs 2,600, plus depreciation Dr P&L / Cr Acc. depreciation 390 **(1)**
- (a) Journal 3: Dr Receivables / Cr Suspense 2,400 (omitted debtor balance) **(1)**
- (a) Journal 4: Dr Sales / Cr Returns outwards 2,100 (nominal correction, no suspense) **(1)**
- (a) Journal 5: Dr Payables 4,500 / Cr Suspense (double amount for wrong-side posting) **(1)**
- (a) Journal 6: Dr Drawings / Cr Purchases 220 (goods withdrawn) **(1)**
- (a) Journal 7: Dr Bad debts / Cr Receivables 1,250 **(1)**
- (a) Journal 8: Dr Suspense 1,180 / Cr Discounts received (double amount) **(1)**
- (b) Suspense account balances: opening 8,520 + debit corrections = credit corrections 9,700; account fully closed **(2)**
- (c) Adjusted profit Sh.125,560,000 with each correcting item correctly signed **(4)**
- (d) Corrected SOFP balances at Sh.706,360,000: equipment NBV 564,210; receivables 58,150; capital 659,340; payables 45,500; suspense eliminated **(6)**

KASNEB-2023-08-Q5 · August 2023 · 20 marks KASNEB authored

Accounting equation; books of prime entry; correction of errors (Utamaduni Ltd)

(a) Explain the nature of the accounting equation. (4 marks)
(b) Highlight FOUR advantages of books of prime entry. (4 marks)
(c) The statement of financial position of Utamaduni Ltd. as at 30 June 2023 was prepared by an inexperienced bookkeeper (Sh."000"): Non-current assets: cost 363,400, accumulated depreciation 103,500, NBV 259,900. Current assets: inventory 316,250; accounts receivable (less allowance for doubtful debts) 278,070; bank balance 25,875 → total current assets 620,195; total assets 880,095. Share capital (3,220,000 shares of Sh.100) 322,000; share premium 23,000; profit for the year 132,250 → 477,250. Current liabilities: accounts payable 402,845. Total capital and liabilities 880,095.
Additional information: (1) A new machine purchased for Sh.2,300,000 had been recorded in the repairs account. (2) An inventory sheet had been misplaced causing the closing inventory to be undercast by Sh. 2,300,000. (3) An invoice from a supplier of Sh.1,460,500 had been omitted from the books. (4) Bank reconciliation had not been done; the following items on the bank statement had not been entered in the books: bank charges Sh.1,150,000; standing order for rent payment Sh.805,000. (5) An additional allowance of Sh. 575,000 is required for doubtful debts. (6) No provision has been made for electricity expense of Sh.402,500 and audit fees of Sh.1,035,000. (7) The company has signed an agreement to buy a new plant costing Sh. 8,050,000, to be delivered and installed in six months' time. (8) Depreciation on non-current assets is provided at 10% per annum on the straight line basis; a full year's depreciation is charged in the year of purchase.
Required: (i) Journal entries to correct the above errors (narrations not required). (6 marks) (ii) Corrected statement of profit or loss for the year ended 30 June 2023. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Nature of the accounting equation

The accounting equation states that the assets of a business are always equal to the claims on those assets: **Assets = Capital + Liabilities**. Every transaction has a dual effect — it changes at least two items — so the equation always remains in balance; this is the foundation of double-entry bookkeeping and of the statement of

financial position. Capital is the residual claim: Capital = Assets − Liabilities, so profit (income − expenses) increases capital and losses and drawings decrease it. The equation can be expanded: Assets = Capital + (Income − Expenses − Drawings) + Liabilities.

(b) Advantages of books of prime entry

1. **Division of work:** different books (sales day book, purchases day book, cash book, journal) can be kept by different clerks, enabling specialisation and internal check.
2. **Chronological record and reference:** transactions are recorded promptly in date order with details (invoice numbers, folios), creating an audit trail and reducing omissions.
3. **Reduced ledger clutter and errors:** totals are posted to control/nominal accounts periodically instead of every transaction, and errors are easier to locate since similar transactions are grouped.
4. **Fraud prevention and control:** separation of recording duties and the use of source documents make unauthorised alterations harder; totals agree to control accounts.

(c)(i) Journal entries (Sh."000")

```
1. Dr Non-current assets (plant and machinery)      2,300
      Cr Repairs account                                          2,300
2. Dr Inventory                                     2,300
      Cr Statement of profit or loss (cost of sales)              2,300
3. Dr Purchases                                     1,460.5
      Cr Accounts payable (supplier)                              1,460.5
4. Dr Bank charges                                  1,150
   Dr Rent expense                                    805
      Cr Bank account                                             1,955
5. Dr Statement of profit or loss                     575
      Cr Allowance for doubtful debts                               575
6. Dr Electricity expense                           402.5
   Dr Audit fees                                   1,035
      Cr Accruals (accounts payable)                              1,437.5
7. No journal entry — the agreement to buy plant for Sh.8,050,000 is a
   capital commitment to be disclosed by note only (no asset or liability yet).
8. Dr Depreciation expense                         36,570
      Cr Accumulated depreciation                                36,570
   (10% × corrected cost 365,700 = 363,400 + 2,300, full year per policy.)
```

(c)(ii) Corrected statement of profit or loss (extract) — Sh."000"

```
Profit for the year as per bookkeeper's statement                132,250
Add: repairs wrongly expensed — machine capitalised                2,300
Add: closing inventory undercast corrected                         2,300
Less: omitted supplier invoice (purchases)                        (1,460.5)
Less: bank charges not recorded                                   (1,150)
Less: rent standing order not recorded                              (805)
Less: additional allowance for doubtful debts                       (575)
Less: electricity expense accrued                                   (402.5)
Less: audit fees accrued                                          (1,035)
Less: depreciation for the year (10% × 365,700)                   (36,570)
Corrected profit for the year                                      94,852
```

Consequential corrections: corrected net receivables = 278,070 − 575 = 277,495; corrected bank balance = 25,875 − 1,150 − 805 = 23,920; corrected non-current assets NBV = (365,700 − 103,500 − 36,570) = 225,630.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Accounting equation explained: Assets = Capital + Liabilities; dual effect keeps it in balance; capital as residual claim; profit/drawings effects **(4)**
- (b) Any four advantages of books of prime entry, 1 mark each (division of work, chronological audit trail, reduced ledger work/errors, fraud control) **(4)**
- (c)(i) Journal 1: Dr Assets / Cr Repairs 2,300 **(1)**
- (c)(i) Journal 2: Dr Inventory / Cr P&L 2,300 (undercast) **(1)**
- (c)(i) Journal 3: Dr Purchases / Cr Payables 1,460.5 (omitted invoice) **(1)**
- (c)(i) Journal 4: Dr Bank charges 1,150 and Dr Rent 805 / Cr Bank 1,955 **(1)**
- (c)(i) Journals 5 and 6: allowance 575; accruals for electricity 402.5 and audit fees 1,035 **(1)**
- (c)(i) Item 7 identified as a capital commitment — no journal, disclosure only; Journal 8: depreciation 36,570 (10% × 365,700 incl. capitalised machine, full year) **(1)**
- (c)(ii) Corrected profit Sh.94,852,000 with all adjustments correctly signed **(6)**

KASNEB-2023-04-Q1 · April 2023 · 20 marks KASNEB authored

Correction of errors and suspense account (Eric Barasa)

(a) Using appropriate examples, explain THREE errors that do not affect the trial balance. (6 marks)
(b) The following errors were discovered in the books of Eric Barasa for the year ended 31 December 2022:
1. A debit balance of Sh.1,080,000 for Pius Munene was omitted from the list of accounts receivable.
2. An entry of Sh.270,000 for returns outwards was made in error in the sales book instead of the purchases returns book.
3. The purchases day book had been undercast by Sh.2,160,000.
4. Purchase of new equipment costing Sh.16,200,000 had been recorded in the repairs account (depreciation on equipment at 12½% on cost per annum).
5. A cheque for Sh.135,000 paid to Peter Karanja (a creditor) was correctly entered in the cash book but credited to his account.
6. Bad debts of Sh.675,000 should have been written off, but this was not done.
7. Goods valued at Sh.5,400,000 were taken by Eric Barasa for personal use and no entry had been made.
8. Discounts received of Sh.2,430,000 had been correctly entered in the cash book but posted to the wrong side of the discounts received account.
Required: (i) Journal entries to correct the errors (with narrations). (8 marks) (ii) Suspense account fully balanced, indicating the amount by which the trial balance had failed to balance. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) THREE errors that do not affect the trial balance

1. **Error of omission** — a transaction is completely left out of the books, so both the debit and credit are missing and the trial balance still agrees. *Example:* a credit sale of Sh.50,000 to Wanjiru is never recorded in the sales day book.

2. **Error of commission** — the correct amount is posted to the wrong account of the same class. *Example:* a payment received from J. Otieno is credited to the account of P. Otieno instead.
3. **Error of principle** — a transaction is recorded in the wrong class of account, e.g. capital expenditure treated as revenue expenditure. *Example:* the cost of a new motor vehicle debited to motor vehicle expenses instead of the motor vehicles account. (Also acceptable: error of original entry — wrong amount recorded in both accounts; complete reversal of entries; compensating errors — two independent errors that cancel each other out.)

(b)(i) Journal entries

```
1. Dr Accounts receivable – Pius Munene          1,080,000
      Cr Suspense account                                      1,080,000
   (Debtor's balance omitted from the list of receivables now recorded.)
2. Dr Sales account                                270,000
      Cr Returns outwards account                               270,000
   (Returns outwards wrongly entered in the sales book now correctly
    recorded in the purchases returns book – nominal correction only.)
3. Dr Suspense account                           2,160,000
      Cr Purchases account                                     2,160,000
   (Undercast of the purchases day book now corrected.)
4. Dr Equipment account                         16,200,000
      Cr Repairs account                                      16,200,000
   (Cost of new equipment wrongly debited to repairs now capitalised.)
   Dr Depreciation expense                       2,025,000
      Cr Accumulated depreciation – equipment                  2,025,000
   (Depreciation at 12½% on the equipment capitalised.)
5. Dr Peter Karanja (creditor) account             270,000
      Cr Suspense account                                       270,000
   (Cheque of Sh.135,000 credited instead of debited to the creditor's
    account; twice the amount now debited to correct.)
6. Dr Bad debts account                            675,000
      Cr Accounts receivable account                            675,000
   (Irrecoverable debts now written off.)
7. Dr Drawings account                           5,400,000
      Cr Purchases account                                     5,400,000
   (Goods taken by the proprietor for personal use now recorded.)
8. Dr Suspense account                           4,860,000
      Cr Discounts received account                            4,860,000
   (Discounts received of Sh.2,430,000 posted to the wrong (debit) side;
    twice the amount now credited to correct.)
```

(b)(ii) Suspense account

```
Dr                                                          Cr
Discounts received (posted to       4,860,000   Balance b/d (balancing figure)
1,350,000
  the wrong side)                               Accounts receivable omitted
1,080,000
                                                Purchases day book undercast
2,160,000
                                                Creditor's account credited
                                                  in error
270,000
                                    4,860,000
4,860,000
```

The corrections credit the suspense account with 1,080,000 + 2,160,000 + 270,000 = 3,510,000 and debit it with 4,860,000. The account therefore opened with a **credit balance of Sh.1,350,000** — meaning **the debit side of the trial balance exceeded the credit side by Sh.1,350,000**, the amount by which the trial balance had failed to balance.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Three errors not affecting the TB explained with examples, 2 marks each (omission, commission, principle, original entry, complete reversal, compensating) **(6)**
- (b)(i) Journal 1: Dr Receivables / Cr Suspense 1,080,000 **(1)**
- (b)(i) Journal 2: Dr Sales / Cr Returns outwards 270,000 (no suspense) **(1)**
- (b)(i) Journal 3: Dr Purchases / Cr Suspense 2,160,000 (undercast) **(1)**
- (b)(i) Journal 4: Dr Equipment / Cr Repairs 16,200,000 plus depreciation 2,025,000 at 12½% **(1)**
- (b)(i) Journal 5: Dr Creditor 270,000 / Cr Suspense (double amount) **(1)**
- (b)(i) Journal 6: Dr Bad debts / Cr Receivables 675,000 **(1)**
- (b)(i) Journal 7: Dr Drawings 5,400,000 / Cr Purchases (goods for personal use) **(1)**
- (b)(i) Journal 8: Dr Suspense 4,860,000 / Cr Discounts received (double amount) **(1)**
- (b)(ii) Suspense account: credits from corrections 3,510,000; debit 4,860,000; opening balance CREDIT 1,350,000 identified as the TB imbalance (debits exceeded credits by 1,350,000) **(6)**

KASNEB-2021-12-PILOT-Q5 · December 2021 Pilot Paper · 20 marks KASNEB authored

Suspense account and correction of errors; government accounting concepts

(a) A bookkeeper extracted a trial balance on 31 December 2020 that failed to agree by Sh.330,000, a shortage on the credit side of the trial balance. A suspense account was opened for the difference. In January 202, the following errors made in 2020 were found: Sales daybook had been undercast by Sh.100,000. Sales of Sh. 250,000 to J Church had been debited in error to J Chane account. Rent account had been undercast by Sh. 70,000. Discounts received account had been undercast by Sh.300,000. The sale of a motor vehicle at book value had been credited in error to Sales account for Sh.360,000.

Required: (i) Show the journal entries necessary to correct the errors. (3 marks) (ii) Draw up the suspense account after the errors described have been corrected. (5 marks) (iii) If the net profit had previously been calculated at Sh.7,900,000 for the year ended 31 December 2020, show the calculations of the corrected net profit. (4 marks)

(b) With specific reference to government sector accounting, briefly explain the following concepts: (i) Budgetary accounting. (4 marks) (ii) Cash accounting. (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) Journal entries to correct the errors

```
1. Dr Suspense account            100,000
      Cr Sales account                      100,000
   (Undercast of the sales day book now corrected)
2. Dr J Church account            250,000
      Cr J Chane account                    250,000
   (Sale wrongly debited to J Chane now corrected –
    error of commission; no suspense entry)
3. Dr Rent account                 70,000
```

```
      Cr Suspense account                  70,000
   (Undercast of the rent account now corrected)
4. Dr Suspense account            300,000
      Cr Discounts received account       300,000
   (Undercast of discounts received now corrected)
5. Dr Sales account               360,000
      Cr Motor vehicles account           360,000
   (Proceeds of sale of a motor vehicle at book
    value wrongly credited to sales now corrected)
```

(a)(ii) Suspense account

```
Dr side: Balance b/d (shortage on credit side)      –
         Sales day book undercast        100,000
         Discounts received undercast    300,000    400,000
Cr side: Balance b/d (difference on trial balance)  330,000
         Rent account undercast            70,000   400,000
```

The suspense account clears exactly to nil once all the errors are corrected.

(a)(iii) Corrected net profit

```
Net profit as previously calculated              7,900,000
Add: Sales day book undercast          100,000
     Discounts received undercast      300,000      400,000
Less: Rent account undercast            (70,000)
      Motor vehicle sale credited to sales (360,000) (430,000)
Corrected net profit                      7,870,000
```

The J Church / J Chane error is an error of commission between two personal accounts and has no effect on profit.

(b) Government sector accounting concepts

(i) **Budgetary accounting:** the system by which government entities record, monitor and report transactions against the approved budget (appropriations). Revenues and expenditures are recognised and controlled by reference to the budget lines approved by the legislature; commitments are recorded as they are incurred so that spending does not exceed the vote, and periodic reports compare actual performance with the budget to enforce accountability for public funds. (ii) **Cash accounting:** the basis under which revenues are recognised only when cash is received and expenditures only when cash is paid, with no recognition of receivables, payables or accrued items. It is simple to operate and matches the cash-based budgeting used by many governments, but it does not show assets and liabilities or the full cost of services — the reason governments are migrating to accrual-based IPSAS.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Journal entries for the two undercasts corrected through suspense (sales 100,000; discounts received 300,000) **(1)**
- (a)(i) Journal entry for the rent undercast through suspense (Dr Rent 70,000 / Cr Suspense) **(1)**
- (a)(i) Journal entries not involving suspense: J Church/J Chane correction and Dr Sales / Cr Motor vehicles 360,000 **(1)**

- (a)(ii) Suspense account opened with a credit balance of 330,000 **(1)**
- (a)(ii) Suspense postings: debits 100,000 and 300,000; credit 70,000 **(3)**
- (a)(ii) Suspense account clears exactly to nil **(1)**
- (a)(iii) Profit adjustments: +100,000, +300,000, −70,000, −360,000 (commission error correctly excluded) **(3)**
- (a)(iii) Corrected net profit Sh.7,870,000 **(1)**
- (b)(i) Budgetary accounting explained with reference to government accounting (2 points × 2) **(4)**
- (b)(ii) Cash accounting explained with reference to government accounting (2 points × 2) **(4)**

KASNEB-2021-05-Q2 · May 2021 · 20 marks KASNEB authored

Errors and suspense (Alice Kibibi); PPE depreciation schedule (Ujenzi Contractors)

(a) Alice Kibibi's accountant has prepared her trial balance, which did not balance, as follows (Sh."000"): Debit: Returns inward and returns outward 2,500; Purchases 25,000; Drawings 8,220; Rent and rates 7,000; Motor vehicles 8,000; Discounts allowed and discounts received 800; Accounts receivable and accounts payable 32,900. Total debit 84,420. Credit: Returns inward and returns outward 2,710; Capital 45,000; Sales 30,000; Discounts allowed and discounts received 600; Accounts receivable and accounts payable 5,000. Total credit 83,310. Additional information: 1. A credit note for Sh.2,850,000 was entered in the account of customer P. Toro, but no entry was made in the returns account. 2. The sales account was overcast by Sh.4,800,000. 3. Sh. 2,970,000 of goods withdrawn for Alice Kibibi's personal use was entered into the drawings account, but no other entries were made. 4. A discount allowed of Sh.2,520,000 was credited in error to the discounts received account. 5. Cash sales of Sh.19,780,000 had not been entered in the sales account. 6. A bad debt of Sh.6,300,000 had been entered in the customer's account, but not in any other account. 7. The purchases account had been undercast by Sh.2,650,000. Required: (i) Journal entries to correct the above errors. (Narrations not required). (7 marks) (ii) Suspense account duly balanced. (3 marks)

(b) The following details relate to the machines owned by Ujenzi Contractors: Machine A — Cost Sh. 26,000,000, Date of Purchase 2 January 2011; B — Sh.15,000,000, 17 November 2013; C — Sh.47,500,000, 30 June 2014; D — Sh.18,000,000, 10 May 2017; E — Sh.110,000,000, 9 October 2018. Ujenzi Contractor's depreciation policy is as follows: 1. Machines A and B are depreciated on a straight line basis with no scrap value, over 10 years. 2. Machine C is depreciated on a reducing balance basis at 20% per annum, with a scrap value of Sh.5,000,000. 3. Machines D and E are depreciated on a straight line basis over 5 years with a scrap value equal to 10% of the original cost. 4. A full year's depreciation for each machine is provided in the year of purchase. Required: A property, plant and equipment schedule from 1 January 2011 to 31 December 2020 with the following details: Date of purchase; Cost; Annual depreciation; Accumulated depreciation; Net book value. (10 marks) (Total: 20 marks)

SokoCPA worked solution

(a)(i) Journal entries to correct the errors (Sh.)

No.	Account	Dr	Cr
1	Returns inward account	2,850,000	
	Suspense account		2,850,000
	(Credit note entered in P. Toro's account but omitted from the returns account)		
2	Sales account	4,800,000	

No.	Account	Dr	Cr
	Suspense account		4,800,000
	(Sales account overcast, now corrected)		
3	Suspense account	2,970,000	
	Purchases account		2,970,000
	(Goods withdrawn for personal use debited to drawings with no corresponding credit)		
4	Discounts allowed account	2,520,000	
	Discounts received account	2,520,000	
	Suspense account		5,040,000
	(Discount allowed wrongly credited to discounts received account)		
5	Suspense account	19,780,000	
	Sales account		19,780,000
	(Cash sales omitted from the sales account)		
6	Bad debts account	6,300,000	
	Suspense account		6,300,000
	(Bad debt entered in the customer's account only)		
7	Purchases account	2,650,000	
	Suspense account		2,650,000
	(Purchases account undercast, now corrected)		

(a)(ii) Suspense account (Sh.)

Dr	Sh.	Cr	Sh.
Purchases (goods withdrawn)	2,970,000	Balance b/d (difference in trial balance: 84,420,000 − 83,310,000)	1,110,000
Sales (cash sales omitted)	19,780,000	Returns inward	2,850,000
		Sales (overcast)	4,800,000
		Discounts allowed / received	5,040,000
		Bad debts	6,300,000
		Purchases (undercast)	2,650,000
	22,750,000		**22,750,000**

The suspense account is fully cleared — all one-sided errors have been corrected.

(b) Ujenzi Contractors — property, plant and equipment schedule

Depreciation policies applied: full year's charge in the year of purchase. - **A:** straight line, 10 years, no scrap → 26,000,000 ÷ 10 = Sh.2,600,000 p.a. (2011–2020, 10 years) - **B:** straight line, 10 years, no scrap → 15,000,000 ÷ 10 = Sh.1,500,000 p.a. (2013–2020, 8 years) - **C:** reducing balance 20% p.a. (see table below) - **D:** straight line, 5 years, scrap 10% of cost (1,800,000) → (18,000,000 − 1,800,000) ÷ 5 = Sh.3,240,000 p.a. (2017–2020, 4 years) - **E:** straight line, 5 years, scrap 10% of cost (11,000,000) → (110,000,000 − 11,000,000) ÷ 5 = Sh. 19,800,000 p.a. (2018–2020, 3 years)

Machine C — reducing balance at 20% per annum (cost Sh.47,500,000, purchased 30 June 2014):

Year	Depreciation (Sh.)	Accumulated dep. (Sh.)	NBV (Sh.)
2014	9,500,000	9,500,000	38,000,000
2015	7,600,000	17,100,000	30,400,000
2016	6,080,000	23,180,000	24,320,000
2017	4,864,000	28,044,000	19,456,000
2018	3,891,200	31,935,200	15,564,800
2019	3,112,960	35,048,160	12,451,840
2020	2,490,368	37,538,528	9,961,472

(NBV remains above the Sh.5,000,000 scrap value, so depreciation continues.)

Summary schedule as at 31 December 2020

Machine	Date of purchase	Cost (Sh.)	Annual depreciation (Sh.)	Accumulated depreciation (Sh.)	Net book value (Sh.)
A	2 Jan 2011	26,000,000	2,600,000	26,000,000	–
B	17 Nov 2013	15,000,000	1,500,000	12,000,000	3,000,000
C	30 Jun 2014	47,500,000	2,490,368 (2020)	37,538,528	9,961,472
D	10 May 2017	18,000,000	3,240,000	12,960,000	5,040,000
E	9 Oct 2018	110,000,000	19,800,000	59,400,000	50,600,000
Total		**216,500,000**	**29,630,368 (2020 charge)**	**147,898,528**	**68,601,472**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Journal 1: Dr Returns inward 2,850,000 / Cr Suspense 2,850,000 **(1)**
- Journal 2: Dr Sales 4,800,000 / Cr Suspense 4,800,000 (overcast) **(1)**
- Journal 3: Dr Suspense 2,970,000 / Cr Purchases 2,970,000 (goods withdrawn) **(1)**
- Journal 4: Dr Discounts allowed 2,520,000 and Dr Discounts received 2,520,000 / Cr Suspense 5,040,000 (wrong account and wrong side) **(1)**
- Journal 5: Dr Suspense 19,780,000 / Cr Sales 19,780,000 (cash sales omitted) **(1)**
- Journal 6: Dr Bad debts 6,300,000 / Cr Suspense 6,300,000 **(1)**
- Journal 7: Dr Purchases 2,650,000 / Cr Suspense 2,650,000 (undercast) **(1)**

- Suspense account: opening credit balance 1,110,000 (= trial balance difference), all corrections posted, account clears to nil (totals 22,750,000) **(3)**
- PPE: correct annual charges — A 2,600,000; B 1,500,000; D 3,240,000 (depreciable 16,200,000); E 19,800,000 (depreciable 99,000,000); full year in year of purchase **(4)**
- PPE: Machine C reducing-balance schedule correctly computed to accumulated depreciation 37,538,528 and NBV 9,961,472 **(3)**
- PPE: schedule totals — cost 216,500,000; accumulated depreciation 147,898,528; NBV 68,601,472 **(3)**

KASNEB-2020-11-Q1 · November 2020 · 20 marks KASNEB authored

Incomplete records reasons; correction of errors (Grace Nene)

(a) Outline four reasons for incomplete accounting records in an organisation. (4 marks)
(b) Grace Nene is a sole trader. The following statement of financial position was extracted from her books as at 30 April 2020 (Sh."000"): Non-current assets: Motor vehicles Cost 236,000, Accumulated depreciation 114,000, NBV 122,000; Furniture and fittings Cost 54,000, Acc. dep. 26,000, NBV 28,000; Totals 290,000 / 140,000 / 150,000. Current assets: Inventory 268,000; Accounts receivable 334,000; Bank balance 112,000; Total 714,000. Total assets 864,000. Financed by: Capital 420,000; Net profit 274,000; 694,000; Drawings (60,000); 634,000. Current liabilities: Accounts payable 229,800; Suspense 200; Total 230,000. Total 864,000. The following errors were later discovered: 1. A debit balance of Sh.800,000 for Jack was omitted from the list of accounts receivable. 2. An entry of Sh.200,000 returns outward was made in error in the sales book instead of purchases return book. 3. Purchases day book had been undercast by Sh.1,600,000. 4. Fixtures and fitting costing Sh.12,000,000 had been debited to repairs accounts. 5. Depreciation on fixtures and fittings is to be provided for at the rate of 15% per annum on cost. 6. Bad debts of Sh.500,000 should have been written off, but this was not done. 7. A cheque of Sh.500,000 paid to Arnold, a creditor, was correctly entered in the cash book, but credited to his account. 8. Goods worth Sh.4,000,000 were taken by Grace Nene for her personal use, but no entry has been made in the books. 9. Sh.18,000 discount received had been correctly entered in the cash book, but had been posted to the wrong side of the discount received account. Required: (i) Journal entries to correct the errors. (Narrations required). (8 marks) (ii) Statement of adjusted profit for the period ended 30 April 2020. (4 marks) (iii) Adjusted statement of financial position as at 30 April 2020. (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Reasons for incomplete accounting records

1. **Fire, flood or theft** may destroy some or all of the accounting records, leaving only fragments from which final accounts must be reconstructed.
2. **Ignorance or lack of bookkeeping knowledge** — small traders may keep only a cash book or single-entry records because they cannot maintain double entry.
3. **Deliberate omission** — a trader may intentionally fail to record some transactions, e.g. to evade tax or conceal the true results from partners or lenders.
4. **Cost and size of the business** — very small businesses may consider a full double-entry system uneconomical and keep only records of cash, debtors and creditors. (Also acceptable: records kept only when the owner has time; loss of source documents; use of inexperienced bookkeepers.)

(b) Grace Nene — all figures Sh."000" (error amounts converted from Sh.)

(i) Journal entries to correct the errors

No.	Entry	Dr	Cr
1	Accounts receivable account	800	
	Suspense account		800
	(Debit balance of Sh.800,000 for Jack omitted from the list of accounts receivable, now included)		
2	Sales account	200	
	Returns outwards account		200
	(Returns outwards of Sh.200,000 wrongly entered in the sales book, now correctly recorded as returns outwards)		
3	Purchases account	1,600	
	Suspense account		1,600
	(Undercast of the purchases day book now corrected — purchases were understated)		
4	Fixtures and fittings account	12,000	
	Repairs account		12,000
	(Cost of fixtures and fittings of Sh.12,000,000 wrongly debited to repairs, now capitalised)		
5	Depreciation expense (profit or loss)	1,800	
	Accumulated depreciation — fixtures and fittings		1,800
	(Depreciation on the capitalised fixtures at 15% × Sh.12,000,000 for the year)		
6	Bad debts account	500	
	Accounts receivable account		500
	(Irrecoverable debts of Sh.500,000 now written off)		
7	Arnold's (accounts payable) account	1,000	
	Suspense account		1,000
	(Cheque of Sh.500,000 paid to Arnold was credited instead of debited to his account; twice the amount debited to reverse the wrong credit and record the payment)		
8	Drawings account	4,000	
	Purchases account		4,000
	(Goods worth Sh.4,000,000 taken by Grace Nene for personal use, now recorded)		
9	Suspense account	36	
	Discount received account		36
	(Discount received of Sh.18,000 posted to the debit instead of the credit side of the discount received account; twice the amount corrects the error)		

Suspense working: balance as extracted 200 Cr; credits from corrections 800 + 1,600 + 1,000 = 3,400; debit from correction 36; residual credit balance 3,564 — see note below.

(ii) Statement of adjusted profit for the period ended 30 April 2020 (Sh."000")

	Sh."000"
Net profit as per draft accounts	274,000
Less: Purchases day book undercast	(1,600)
Add: Repairs wrongly charged — fixtures capitalised	12,000
Less: Depreciation on capitalised fixtures	(1,800)
Less: Bad debts written off	(500)
Add: Goods withdrawn credited to purchases	4,000
Add: Discount received wrongly debited (2 × 18)	36
Adjusted net profit	**286,136**

(Error 2 affects sales and purchases equally; errors 1 and 7 do not affect profit.)

(iii) Adjusted statement of financial position as at 30 April 2020 (Sh."000")

	Sh."000"
Non-current assets	
Motor vehicles (236,000 − 114,000)	122,000
Furniture and fittings (66,000 − 27,800)	38,200
	160,200
Current assets	
Inventory	268,000
Accounts receivable (334,000 + 800 − 500)	334,300
Bank balance	112,000
	714,300
Total assets	**874,500**
Capital (420,000 + adjusted profit 286,136 − drawings 64,000)	642,136
Current liabilities	
Accounts payable (229,800 − 1,000)	228,800
Suspense account (residual — see note)	3,564
	232,364
Total capital and liabilities	**874,500**

Note: fixtures cost becomes 54,000 + 12,000 = 66,000 and accumulated depreciation 26,000 + 1,800 = 27,800; drawings become 60,000 + 4,000 = 64,000. On the errors listed, the draft suspense balance of Sh.200,000 does

not fully clear: after the corrections a residual credit of Sh.3,564,000 remains in the suspense account, which indicates a further, unlisted one-sided difference in the books that still has to be investigated. The adjusted statement above therefore carries the residual suspense balance within current liabilities so that the statement balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four reasons for incomplete records (destruction by fire/theft; ignorance/single entry; deliberate omission; cost/size of business) **(4)**
- Journal 1: Dr Receivables 800 / Cr Suspense 800, with narration **(1)**
- Journal 2: Dr Sales 200 / Cr Returns outwards 200 (no suspense — both nominal legs) **(1)**
- Journal 3: Dr Purchases 1,600 / Cr Suspense 1,600 (undercast) **(1)**
- Journal 4: Dr Fixtures and fittings 12,000 / Cr Repairs 12,000 (capitalised) **(1)**
- Journal 5: Dr Depreciation 1,800 / Cr Accumulated depreciation 1,800 (15% on the capitalised fixtures) **(1)**
- Journal 6: Dr Bad debts 500 / Cr Receivables 500 **(1)**
- Journal 7: Dr Payables (Arnold) 1,000 / Cr Suspense 1,000 (twice the cheque — wrong side) **(1)**
- Journals 8 and 9: Dr Drawings 4,000 / Cr Purchases 4,000; Dr Suspense 36 / Cr Discount received 36 (twice 18, wrong side) **(1)**
- Adjusted profit: starts 274,000; correct profit effects (−1,600; +12,000; −1,800; −500; +4,000; +36) giving 286,136 **(4)**
- Adjusted SOFP: fixtures NBV 38,200; receivables 334,300; capital 642,136 (drawings 64,000); payables 228,800; statement balances at 874,500 (residual suspense disclosed) **(4)**

KASNEB-2018-05-Q5 · May 2018 · 20 marks KASNEB authored

Faithful representation, public sector accounting and correction of errors in a club

(a) Financial information is useful when it is relevant and represents faithfully what it purports to represent. The usefulness of financial information is enhanced if it is comparable, verifiable, timely and understandable.

Required:
Identify two attributes of financial information that enhance faithful representation. (4 marks)

(b) Explain the following terms as used in public sector accounting:

(i) Fund accounting. (2 marks)
(ii) Commitment accounting. (2 marks)

(c) Tuungane is a welfare club for community development. The club reported a surplus of Sh.188,000 for the year ended 31 May 2017. On reviewing the books, the following errors and omissions were noted:

1. Subscription fees of Sh.256,000 were debited in the bank account but were not entered in the subscriptions account.
2. Entrance fees amounting to Sh.72,000 were recorded as subscriptions.
3. Rent payments of Sh.120,000 debited in the rent account relates to the chairman's private house.
4. The receipts and payments account was overcast: Subscriptions column by Sh.50,000; Expenses column by Sh.80,000.
5. A donation in cash of Sh.200,000 for the club's activities was not recorded in the books.

Required:
(i) Journal entries to correct the errors and omissions above. (6 marks)
(ii) Suspense account. (2 marks)
(iii) Statement of adjusted surplus. (4 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) ATTRIBUTES THAT ENHANCE FAITHFUL REPRESENTATION Faithful representation is itself one of the two fundamental qualitative characteristics; it is achieved and enhanced when information is: 1. Complete — all information necessary for a user to understand the phenomenon being depicted is provided, including all necessary descriptions and explanations; an omission can make information false or misleading. 2. Neutral — free from bias in selection or presentation; information is not slanted, weighted or manipulated to increase the probability that users will receive it favourably or unfavourably. (Also acceptable: Free from error — there are no errors or omissions in the description of the phenomenon and the process used to produce the information was selected and applied without error; this does not mean perfectly accurate estimates, but that estimates are faithfully described as such.)

(b) PUBLIC SECTOR ACCOUNTING TERMS (i) Fund accounting: a system in which resources are segregated into separate funds, each established for a specific purpose or activity (e.g. a general fund, a capital projects fund, a donor-funded project fund), with its own set of self-balancing accounts. Money in a fund may only be spent on the purpose for which the fund was created, which enforces legal and donor restrictions and demonstrates accountability for each pool of resources separately. (ii) Commitment accounting: a system in which expenditure is recorded not only when a liability is incurred or paid, but at the earlier stage when a commitment is made — for example when a purchase order or contract is placed. Recording the commitment (encumbrance) against the budget vote ensures that funds are reserved before the expense falls due, preventing over-commitment and over-expenditure of appropriated funds.

(c)(i) TUUNGANE WELFARE CLUB — JOURNAL ENTRIES TO CORRECT THE ERRORS AND OMISSIONS 1. Dr Suspense account 256,000 | Cr Subscriptions account 256,000 — subscription fees debited in the bank account but never credited to the subscriptions account, now recorded (the missing credit caused the suspense balance). 2. Dr Subscriptions account 72,000 | Cr Accumulated fund (entrance fees) account 72,000 — entrance fees wrongly credited to subscriptions removed from income; entrance fees are a capital receipt credited to the accumulated fund. 3. Dr Chairman's current (receivable) account 120,000 | Cr Rent account 120,000 — rent for the chairman's private house wrongly charged to the club's rent account now reversed and treated as an amount recoverable from the chairman (not a club expense). 4(a). Dr Subscriptions account 50,000 | Cr Suspense account 50,000 — correction of the overcast of the subscriptions column of the receipts and payments account, which had overstated subscriptions. 4(b). Dr Suspense account 80,000 | Cr Expenses account 80,000 — correction of the overcast of the expenses column, which had overstated expenses. 5. Dr Cash account 200,000 | Cr Donations account 200,000 — donation received in cash for the club's activities, previously unrecorded, now recorded as income (a complete omission: no suspense account is involved).

(c)(ii) SUSPENSE ACCOUNT (Sh.) Debit side: Subscriptions account (error 1) 256,000; Expenses account (error 4b) 80,000 → total 336,000 Credit side: Balance b/d (balancing figure, being the difference on the books) 286,000; Subscriptions account (error 4a) 50,000 → total 336,000 After the corrections the suspense account is fully cleared, which confirms that all one-sided errors have been located.

(c)(iii) STATEMENT OF ADJUSTED SURPLUS FOR THE YEAR ENDED 31 MAY 2017 (Sh.) Surplus as originally reported 188,000 Add: Subscription fees not recorded in the subscriptions account (error 1) 256,000 Add: Rent for chairman's private house wrongly charged as club expense (error 3) 120,000 Add: Expenses

column of receipts and payments overcast — expenses overstated (error 4) 80,000 Add: Donation received but not recorded (error 5) 200,000 844,000 Less: Entrance fees recorded as subscriptions (capital receipt, not income) (error 2) (72,000) Less: Subscriptions column overcast — subscriptions income overstated (error 4) (50,000) Adjusted surplus for the year 722,000

Notes: error 2 is assumed to be treated on the basis that entrance fees are a capital receipt credited to the accumulated fund; if they were treated as income of the year there would be no effect on the surplus. Error 4's two overcasts work in opposite directions: the subscriptions overcast overstated income, the expenses overcast overstated expenditure.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Two attributes enhancing faithful representation identified and explained (completeness; neutrality; free from error) — 2 marks each **(4)**
- (b)(i) Fund accounting: resources segregated into separate self-balancing funds for specified purposes, spending restricted to the fund's purpose, demonstrating accountability **(2)**
- (b)(ii) Commitment accounting: expenditure recorded at the commitment stage (order/contract placed), reserving budget funds and preventing over-expenditure of appropriations **(2)**
- (c)(i) Journals: Dr Suspense 256,000 / Cr Subscriptions (unrecorded subscriptions) and Dr Cash 200,000 / Cr Donations (omitted donation) **(2)**
- (c)(i) Journals: Dr Subscriptions 72,000 / Cr Accumulated fund (entrance fees reclassified as capital) and Dr Chairman's account 120,000 / Cr Rent (private rent removed from club expenses) **(2)**
- (c)(i) Journals correcting the overcasts: Dr Subscriptions 50,000 / Cr Suspense and Dr Suspense 80,000 / Cr Expenses **(2)**
- (c)(ii) Suspense account correctly compiled from the one-sided errors and cleared (opening balance 286,000 Cr as the balancing figure; totals 336,000) **(2)**
- (c)(iii) Adjusted surplus statement: 188,000 + 256,000 + 120,000 + 80,000 + 200,000 − 72,000 − 50,000 = Sh. 722,000 **(4)**

KASNEB-2017-05-Q1 · May 2017 · 20 marks KASNEB authored

Correction of errors — intern's unbalanced SFP (Mwenda Pole Ltd)

Mwenda Pole Ltd. commenced operations on 1 January 2016. The following statement of financial position was prepared by an intern as at 31 December 2016 (Sh."000"): Non-current assets: Freehold premises 6,000; Plant and machinery 5,520; Motor vehicles 2,800; Total non-current assets 14,320. Intangible assets: Preliminary expenses 400. Total 14,720. Current assets: Inventory 3,200; Accounts receivable 2,300; Cash at bank 3,896; Cash in hand 100; Total current assets 9,496. Total assets 24,216. Equity and liabilities: Ordinary share capital (Sh.20 par value) 12,000; Retained earnings 3,600; 10% debentures 3,000; Accounts payable 3,800; Suspense account balance 1,620; Bank loan 1,050; Total equity and liabilities 25,110 [as printed; does not agree with total assets].

After investigation, the following errors were discovered:
1. The sales day book had been undercast by Sh.200,000.
2. A motor vehicle repair bill of Sh.100,000 had been debited to the motor vehicle account.
3. Depreciation on plant and machinery for the year ended 31 December 2016 of Sh.100,000 had been charged twice.
4. A credit note sent to a customer for goods returned amounting to Sh.300,000 had been lost and thus omitted

from the books.
5. A business cheque of Sh.400,000 paid to a trade creditor was entered in the cash book but was not posted to the personal accounts.
6. Freehold premises costing Sh.1,000,000 was purchased on 1 July 2016 and payment was made by cheque. No entries were made to record this purchase. Depreciation on freehold premises is provided at 2% on cost.
7. Goods costing Sh.300,000 were purchased on credit from Shaka Zulu, but were entered as if they were purchased from Shaka Zuri.
8. Goods valued at Sh.200,000 were taken by the owner for his own use. No record had been made in the accounts.
9. A bank loan interest of Sh.50,000 had been debited to the bank loan account.

Required: (a) Journal entries to correct the errors above. (8 marks) (b) Suspense account duly balanced. (3 marks) (c) Adjusted income statement for the year ended 31 December 2016. (3 marks) (d) Corrected statement of financial position after effecting the adjustments. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Journal entries to correct the errors

```
1. Dr Suspense account                                  200
      Cr Sales account                                              200
   (Sales day book undercast now corrected — sales had been under-credited.)

2. Dr Motor vehicle repairs account (income statement)  100
      Cr Motor vehicles account                                     100
   (Repair bill wrongly capitalised in the motor vehicles account now expensed.)

3. Dr Accumulated depreciation — plant and machinery    100
      Cr Depreciation expense account                               100
   (Depreciation on plant and machinery charged twice; one charge now reversed.)

4. Dr Returns inwards account                           300
      Cr Accounts receivable account                                300
   (Credit note for goods returned, previously omitted, now recorded.)

5. Dr Accounts payable account                          400
      Cr Suspense account                                           400
   (Cheque paid to a trade creditor entered in the cash book but never posted
    to the creditor's personal account, now posted.)

6. Dr Freehold premises account                       1,000
      Cr Bank account                                             1,000
   (Purchase of freehold premises on 1 July 2016, previously unrecorded.)
   Dr Depreciation expense account                       10
      Cr Accumulated depreciation — freehold premises                10
   (Depreciation on the new premises: 2% x 1,000 x 6/12 = 10.)

7. Dr Shaka Zuri account                                300
      Cr Shaka Zulu account                                         300
   (Credit purchase recorded in the wrong supplier's account — error of
    commission — now transferred to the correct account.)

8. Dr Drawings account                                  200
      Cr Purchases account                                          200
```

```
   (Goods taken by the owner for personal use, previously unrecorded.)

9. Dr Bank loan interest account                          50
      Cr Bank loan account                                          50
   (Loan interest wrongly debited to the loan account now charged as an expense
    and the loan balance restored.)
```

(b) Suspense account

Dr		Cr	
Sales account (day book undercast)	200	Balance b/d	1,620
Balance c/d	1,820	Accounts payable (cheque not posted)	400
	2,020		2,020
		Balance b/d (Cr)	1,820

Only errors 1 and 5 are one-sided (suspense) errors. The balance of Sh.1,820,000 credit is NOT cleared by the discovered errors — see the note under (d).

(c) Statement of adjusted profit for the year ended 31 December 2016

The intern's income statement was not provided; the corrections adjust the reported profit (and hence retained earnings) as follows:

Sales day book undercast — sales understated	+200
Motor vehicle repair wrongly capitalised — expense omitted	-100
Depreciation charged twice — expense overstated	+100
Credit note omitted — returns inwards omitted	-300
Depreciation on premises purchased 1 July 2016	-10
Goods taken by owner credited to purchases	+200
Bank loan interest not charged as an expense	-50
Net increase in profit for the year	+40
Retained earnings as reported	3,600
Adjusted retained earnings	3,640
Less: Drawings (goods taken by the owner)	(200)
Adjusted retained earnings carried to the SFP	3,440

(d) Corrected statement of financial position as at 31 December 2016

Non-current assets:		
Freehold premises (6,000 + 1,000 - 10 depreciation)		6,990
Plant and machinery (5,520 + 100 depreciation reversed)		5,620
Motor vehicles (2,800 - 100 repair bill removed)		2,700
		15,310
Intangible assets: Preliminary expenses		400
Current assets:		
Inventory		3,200
Accounts receivable (2,300 - 300 credit note)		2,000
Cash at bank (3,896 - 1,000 premises cheque)		2,896
Cash in hand		100
		8,196
Total assets		23,906
Equity and liabilities:		
Ordinary share capital		12,000

```
  Retained earnings (adjusted, after drawings)            3,440
  10% debentures                                          3,000
  Accounts payable (3,800 - 400 cheque now posted)        3,400
  Bank loan (1,050 + 50 interest restored)                1,100
  Suspense account (balance not yet explained)            1,820
Total equity and liabilities                             24,760
```

Note on the figures: the intern's original statement was itself unreliable — its credit-side lines add to 25,070, not the printed total of 25,110, and the imbalance implied by its own asset and liability balances (24,216 − 23,450 = 766) does not equal the suspense balance of 1,620 printed in it. The nine discovered errors explain suspense movements of only Dr 200 / Cr 400, so a residual difference of Sh.854,000 (24,760 − 23,906) remains embedded in the intern's figures and the suspense balance cannot be fully cleared from the information given; it is carried forward above pending further investigation. In the examination the figures were presumably consistent; candidates should nevertheless correct every error exactly as shown.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Error 1 journal: Dr Suspense 200 / Cr Sales 200 (undercast sales day book) **(1)**
- (a) Error 2 journal: Dr Repairs (expense) 100 / Cr Motor vehicles 100 **(1)**
- (a) Error 3 journal: Dr Accumulated depreciation 100 / Cr Depreciation expense 100 (double charge reversed) **(1)**
- (a) Error 4 journal: Dr Returns inwards 300 / Cr Accounts receivable 300 (omitted credit note) **(1)**
- (a) Error 5 journal: Dr Accounts payable 400 / Cr Suspense 400 (unposted cheque) **(1)**
- (a) Error 6 journals: Dr Premises 1,000 / Cr Bank 1,000, plus depreciation 2% x 1,000 x 6/12 = 10 charged **(1)**
- (a) Error 7 journal: Dr Shaka Zuri 300 / Cr Shaka Zulu 300 (error of commission) — 0.5; Error 8 journal: Dr Drawings 200 / Cr Purchases 200 — 0.5 **(1)**
- (a) Error 9 journal: Dr Bank loan interest 50 / Cr Bank loan 50 **(1)**
- (b) Suspense account: opening Cr balance 1,620 and Dr Sales 200 entered **(1)**
- (b) Suspense account: Cr Accounts payable 400 entered **(1)**
- (b) Suspense account balanced with balance c/d 1,820 Cr **(1)**
- (c) Profit adjustments correctly signed: +200 sales, -100 repairs, +100 depreciation reversal, -300 returns inwards (any four correct = 1; all = 2) **(2)**
- (c) Remaining adjustments (-10 depreciation, +200 purchases, -50 interest), net effect +40 and adjusted retained earnings 3,640 (3,440 after drawings) **(1)**
- (d) Non-current assets corrected: premises 6,990, plant and machinery 5,620, motor vehicles 2,700 (total 15,310) and preliminary expenses 400 **(2)**
- (d) Current assets corrected: inventory 3,200, receivables 2,000, bank 2,896, cash 100 (total 8,196) **(2)**
- (d) Equity and liabilities corrected: share capital 12,000, retained earnings 3,440, debentures 3,000, payables 3,400, bank loan 1,100, suspense balance carried 1,820 **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M04-Q010 – CA11-M04-Q029. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Types of Errors
- Suspense Accounts and Corrections

It brought together **9 KASNEB past-paper worked examples** and **20 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 4 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Journal corrections for errors not affecting the trial balance

The trial balance of Savanna Stores agreed at 31 December 2025, but the following errors were subsequently discovered:

1. A cash purchase of stationery for Sh. 18,500 had been completely omitted from the books.
2. Office furniture bought for Sh. 340,000 had been debited to the purchases account.
3. A credit sale of Sh. 64,000 to J. Otieno had been posted to the account of J. Otis.
4. A credit purchase of goods for Sh. 54,000 had been recorded as Sh. 45,000 in both the purchases account and the supplier's account.
5. Cash of Sh. 38,000 received from W. Njeri, a debtor, had been recorded as a debit to W. Njeri's account and a credit to the cash account.

Required:
Show the journal entries required to correct each error. Narratives must be shown. For each error, name the type of error. (20 marks)

Model answer (SokoCPA)

Error 1 — Error of omission (no entry at all was made; the trial balance is unaffected because both sides are missing)

```
Dr Stationery account              18,500
    Cr Cash account                              18,500
(Being cash purchase of stationery completely omitted from the books, now recorded)
```

Error 2 — Error of principle (wrong class of account: a non-current asset debited to a trading account)

```
Dr Office furniture account       340,000
    Cr Purchases account                       340,000
(To correct error of principle: purchase of office furniture wrongly debited to the
purchases account)
```

Error 3 — Error of commission (correct amount, wrong personal account, same class)

```
Dr J. Otieno account               64,000
    Cr J. Otis account                           64,000
(To correct error of commission: credit sale to J. Otieno wrongly posted to the account
of J. Otis)
```

Error 4 — Error of original entry (wrong figure recorded in the original entry and posted to both sides; understatement of 54,000 − 45,000 = 9,000)

```
Dr Purchases account                9,000
    Cr Supplier's (creditor) account             9,000
(To correct error of original entry: credit purchase of Sh. 54,000 recorded as Sh.
45,000; understatement now corrected)
```

Error 5 — Complete reversal of entries (correct accounts and amount, both sides swapped; correction uses the DOUBLED amount — one entry to cancel the wrong entry and one to record the correct entry)

```
Dr Cash account                    76,000
    Cr W. Njeri account                          76,000
(To correct complete reversal of entries: receipt of Sh. 38,000 from W. Njeri wrongly
debited
 to W. Njeri and credited to cash; amount doubled to cancel the wrong entry and record
the
 correct entry — Dr Cash 38,000 / Cr W. Njeri 38,000)
```

None of these corrections uses a suspense account: each error kept total debits equal to total credits, which is why the trial balance agreed. Every correction balances: 18,500; 340,000; 64,000; 9,000; 76,000 on each side. ✓

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Error 1 named as omission; entry Dr Stationery 18,500 / Cr Cash 18,500 with narrative **(4)**
- Error 2 named as principle; entry Dr Office furniture 340,000 / Cr Purchases 340,000 with narrative **(4)**
- Error 3 named as commission; entry Dr J. Otieno 64,000 / Cr J. Otis 64,000 with narrative **(4)**
- Error 4 named as original entry; correction of the 9,000 difference only: Dr Purchases 9,000 / Cr Supplier 9,000, with narrative **(4)**
- Error 5 named as complete reversal; DOUBLED entry Dr Cash 76,000 / Cr W. Njeri 76,000 with narrative explaining the doubling rule **(4)**

Question 2 (20 marks)

Suspense account: opening, correction journals and clearance

The trial balance extracted from the books of Kenya Crafts Ltd as at 31 December 2025 failed to agree: the total of the debit balances exceeded the total of the credit balances by Sh. 12,000. The difference was posted to a suspense account. The following errors were later discovered:

1. The sales day book had been overcast by Sh. 12,000.
2. A cheque for Sh. 31,400 received from a debtor had been debited in the cash book, but no entry had been made in the debtor's account.
3. Discount received of Sh. 8,600 had been debited to the discounts allowed account.
4. A payment of Sh. 24,600 to a creditor had been credited in the cash book, but no entry had been made in the creditor's account.
5. Motor vehicle repairs of Sh. 45,000 had been debited to the motor vehicles account.

Required:
(a) Journal entries to correct the errors (narratives must be shown). (12 marks)
(b) The suspense account, fully balanced. (5 marks)
(c) Identify the error that did NOT require an entry through the suspense account and explain why. (3 marks)

Model answer (SokoCPA)

The trial balance difference is Sh. 12,000 with debits exceeding credits, so the suspense account was opened with a **credit balance of Sh. 12,000** (the balance goes on the short side — the credit side).

(a) Journal entries

```
1.  Dr Sales account                 12,000
        Cr Suspense account                          12,000
    (To correct overcast of the sales day book: sales credited in excess by Sh. 12,000)

2.  Dr Suspense account              31,400
        Cr Debtor's account                          31,400
    (To record the credit to the debtor's account omitted when the cheque of Sh. 31,400
     was debited in the cash book; one-sided entry now completed)

3.  Dr Suspense account              17,200
        Cr Discounts allowed account                  8,600
        Cr Discounts received account                 8,600
    (To correct reversal: discount received of Sh. 8,600 wrongly debited to discounts
allowed;
     the wrong debit is cancelled and the correct credit recorded — total adjustment Sh.
17,200)

4.  Dr Creditor's account            24,600
        Cr Suspense account                          24,600
    (To record the debit to the creditor's account omitted when the payment of Sh. 24,600
     was credited in the cash book; one-sided entry now completed)

5.  Dr Motor vehicle repairs account  45,000
        Cr Motor vehicles account                    45,000
    (To correct error of principle: repairs wrongly debited to the motor vehicles
account)
```

(b) Suspense account

Dr	Suspense account		Cr	
	Sh.			Sh.
Debtor's account	31,400	Balance b/d	12,000	
Discounts (error 3)	17,200	Sales account	12,000	
		Creditor's account	24,600	
	48,600		48,600	

The suspense account clears to **nil** ✓ — proof that all the one-sided errors have been found and corrected.

(c) Error not through the suspense account

Error 5 (motor vehicle repairs debited to the motor vehicles account) needed no suspense entry. It is an **error of principle**: both the incorrect account (motor vehicles) and the correct account (repairs) carry **debit** balances, so total debits still equalled total credits and the trial balance agreement was never broken by this error. It is corrected directly between the two ledger accounts.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- States the opening suspense balance correctly: Sh. 12,000 CREDIT (debits exceeded credits; balance on the short side) **(2)**
- Error 1 journal: Dr Sales 12,000 / Cr Suspense 12,000 with narrative **(2)**
- Error 2 journal: Dr Suspense 31,400 / Cr Debtor 31,400 with narrative **(2)**

- Error 3 journal: Dr Suspense 17,200 / Cr Discounts allowed 8,600 / Cr Discounts received 8,600 (doubling effect of the reversal) with narrative **(3)**
- Error 4 journal: Dr Creditor 24,600 / Cr Suspense 24,600 with narrative **(2)**
- Error 5 journal: Dr Motor vehicle repairs 45,000 / Cr Motor vehicles 45,000 with narrative **(1)**
- Suspense account: opening credit balance 12,000 shown on the credit side **(1)**
- Suspense account: debits of 31,400 and 17,200 correctly posted **(2)**
- Suspense account: credits of 12,000 and 24,600 correctly posted; account balances at 48,600 and clears to nil **(2)**
- Error 5 identified as the one not requiring suspense **(1)**
- Reason: error of principle — both accounts are debit balances, so the trial balance was never affected **(2)**

Question 3 (20 marks)

Corrected net profit after discovery of errors

The draft accounts of Zuri Traders for the year ended 31 December 2025 showed a net profit of Sh. 684,000. The following errors were then discovered:

1. The purchases day book had been undercast by Sh. 23,000.
2. Motor vehicle repairs of Sh. 38,000 had been debited to the motor vehicles account.
3. Discount received of Sh. 9,400 had been credited to the discounts allowed account.
4. Goods costing Sh. 16,000 taken by the owner for personal use had not been recorded anywhere in the books.
5. A cheque of Sh. 27,000 received from a debtor had been debited in the cash book but never credited to the debtor's account.

Required:
(a) Journal entries to correct each error (narratives must be shown). (10 marks)
(b) A statement of corrected net profit for the year ended 31 December 2025. (7 marks)
(c) State the effect of the errors, in total, on the draft gross profit. (3 marks)

Model answer (SokoCPA)

(a) Journal entries

```
1.  Dr Purchases account            23,000
        Cr Suspense account                        23,000
    (To correct undercast of the purchases day book: purchases understated by Sh. 23,000)

2.  Dr Motor vehicle repairs        38,000
        Cr Motor vehicles account                  38,000
    (To correct error of principle: repairs wrongly capitalised in the motor vehicles
account)

3.  Dr Discounts allowed account     9,400
        Cr Discounts received account               9,400
    (To correct error: discount received of Sh. 9,400 wrongly credited to the discounts
     allowed account; wrong credit cancelled and correct credit recorded)

4.  Dr Drawings account             16,000
        Cr Purchases account                       16,000
    (To record goods taken by the owner for personal use, omitted from the books;
     drawings debited and purchases credited at cost)

5.  Dr Suspense account             27,000
```

```
        Cr Debtor's account                          27,000
    (To record the credit to the debtor's account omitted when the cheque of Sh. 27,000
     was debited in the cash book)
```

(b) Statement of corrected net profit — year ended 31 December 2025

	Sh.
Net profit as per draft accounts	684,000
Add: Discount received not recorded as income (error 3)	9,400
Add: Discount allowed wrongly charged (error 3)	9,400
Add: Goods for own use not credited to purchases (error 4)	16,000
	718,800
Less: Purchases undercast (error 1)	(23,000)
Less: Motor repairs wrongly capitalised (error 2)	(38,000)
Corrected net profit	**657,800** ✓

Error 5 affects only balance sheet items (cash book and debtor) — it has **no effect** on profit and so does not appear. Error 3 has a double profit effect of Sh. 18,800: income was understated by 9,400 (discount received never credited as income) and expenses were overstated by 9,400 (the credit wrongly sat in discounts allowed, an expense account).

(c) Effect on gross profit

Only error 1 (purchases understated → correcting raises cost of sales, gross profit falls by 23,000) and error 4 (purchases credited with goods withdrawn → gross profit rises by 16,000) affect gross profit. **Total effect: draft gross profit was overstated by 23,000 − 16,000 = Sh. 7,000, i.e. corrected gross profit is Sh. 7,000 lower.** Errors 2, 3 and 5 affect net profit only (or neither).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Error 1 journal: Dr Purchases 23,000 / Cr Suspense 23,000 with narrative **(2)**
- Error 2 journal: Dr Motor vehicle repairs 38,000 / Cr Motor vehicles 38,000 with narrative **(2)**
- Error 3 journal: Dr Discounts allowed 9,400 / Cr Discounts received 9,400 with narrative **(2)**
- Error 4 journal: Dr Drawings 16,000 / Cr Purchases 16,000 with narrative **(2)**
- Error 5 journal: Dr Suspense 27,000 / Cr Debtor 27,000 with narrative **(2)**
- Corrected profit statement starts from draft profit of Sh. 684,000 **(1)**
- Error 3 given its full double effect of +18,800 (income understated 9,400 and expense overstated 9,400) **(2)**
- Error 4 added: +16,000 (purchases reduced by goods withdrawn) **(1)**
- Errors 1 and 2 deducted: −23,000 and −38,000 **(2)**
- Corrected net profit correctly computed at Sh. 657,800, and error 5 correctly excluded as a balance-sheet-only item **(1)**
- Gross profit effect: only errors 1 (−23,000) and 4 (+16,000) identified as trading items **(2)**
- Net gross profit effect correctly stated: gross profit falls by Sh. 7,000 in total **(1)**

Question 4 (20 marks)

Identifying errors that a trial balance does not disclose

The trial balance of Bora Traders agreed at 31 December 2025. The following errors were nevertheless found in the books:

1. A credit purchase of Sh. 52,000 from Nali Ltd had not been recorded anywhere in the books.
2. A payment of Sh. 21,300 to K. Maina, a creditor, had been posted to the account of K. Maini.
3. A new office computer bought for Sh. 145,000 had been debited to the office expenses account.
4. The wages account total was understated by Sh. 7,500 on the debit side, and the sales account total was understated by Sh. 7,500 on the credit side.
5. Cash sales of Sh. 87,000 had been entered in both the cash book and the sales account as Sh. 78,000.
6. Interest received of Sh. 12,400 had been recorded as a debit to the interest received account and a credit to the cash account.

Required:
(a) For each error, state the type of error. (6 marks)
(b) Show the journal entries to correct errors 1, 2, 4 and 6 (narratives must be shown). (12 marks)
(c) Explain why the agreement of the trial balance was not disturbed by any of these errors. (2 marks)

Model answer (SokoCPA)

(a) Types of error

1. **Error of omission** — the transaction was completely left out of the books.
2. **Error of commission** — the correct amount was posted to the wrong personal account (K. Maini instead of K. Maina), within the correct class.
3. **Error of principle** — a capital item (computer) was entered in a revenue account (office expenses): the wrong class of account.
4. **Compensating errors** — two understatements of Sh. 7,500, one on each side, cancel each other out.
5. **Transposition error** (a form of error of original entry) — the digits of 87,000 were transposed to 78,000 in the original recording, and the wrong figure was used on both sides.
6. **Complete reversal of entries** — the correct accounts and amount were used, but each item was posted to the wrong side.

(b) Journal corrections

```
1.  Dr Purchases account            52,000
        Cr Nali Ltd account                       52,000
    (To record credit purchase from Nali Ltd completely omitted from the books)

2.  Dr K. Maina account             21,300
        Cr K. Maini account                       21,300
    (To correct error of commission: payment to K. Maina wrongly posted to the account
     of K. Maini; amount now transferred to the correct account)

4.  Dr Wages account                 7,500
        Cr Sales account                           7,500
    (To correct compensating errors: the wages account total (debit) and the sales
account
     total (credit) were each understated by Sh. 7,500)
```

```
6.  Dr Cash account                  24,800
        Cr Interest received account              24,800
    (To correct complete reversal of entries: interest received of Sh. 12,400 wrongly
debited
     to interest received and credited to cash; amount doubled – one entry to cancel the
wrong
     entry and one to record the correct entry)
```

(c) Why the trial balance still agreed

In every case total debits continued to equal total credits: omissions remove a debit and a credit together; commission, principle and transposition errors post equal amounts to both sides (in the wrong account or at the wrong figure); compensating errors are equal on opposite sides; and a complete reversal still pairs a debit with an equal credit. The trial balance therefore proves only arithmetical equality — it cannot detect any of these errors.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Error 1 correctly identified as omission **(1)**
- Error 2 correctly identified as commission **(1)**
- Error 3 correctly identified as principle **(1)**
- Error 4 correctly identified as compensating errors **(1)**
- Error 5 correctly identified as transposition (or original entry with transposed digits) **(1)**
- Error 6 correctly identified as complete reversal of entries **(1)**
- Correction 1: Dr Purchases 52,000 / Cr Nali Ltd 52,000 with narrative **(3)**
- Correction 2: Dr K. Maina 21,300 / Cr K. Maini 21,300 with narrative **(3)**
- Correction 4: Dr Wages 7,500 / Cr Sales 7,500 with narrative (no suspense account used) **(3)**
- Correction 6: DOUBLED entry Dr Cash 24,800 / Cr Interest received 24,800 with narrative invoking the doubling rule **(3)**
- Explains that in each case debits still equalled credits (both sides missing/equal/wrong together), so agreement proves arithmetical accuracy only **(2)**

Question 5 (20 marks)

Suspense account with casting errors and corrected gross profit

The trial balance of Highlands Stores as at 31 December 2025 did not agree: the total of the credit balances exceeded the total of the debit balances by Sh. 26,400. The difference was placed in a suspense account and draft accounts were prepared showing a gross profit of Sh. 402,000. The following errors were discovered:

1. The returns outwards day book had been overcast by Sh. 6,300.
2. A credit purchase of Sh. 19,700 had been debited to the purchases account, but no entry had been made in the supplier's account.
3. Stationery costing Sh. 5,100 and paid for in cash had been debited to the stationery account twice.
4. Cash sales of Sh. 8,600 had been credited to the sales account, but no entry had been made in the cash account.
5. Returns inwards of Sh. 36,300 had been credited to the customers' accounts, but no entry had been made in the returns inwards account.

Required:
(a) Journal entries to correct the errors (narratives must be shown). (10 marks)

(b) The suspense account, fully balanced. (5 marks)
(c) A statement of corrected gross profit for the year ended 31 December 2025. (5 marks)

Model answer (SokoCPA)

The credit side exceeded the debit side by Sh. 26,400, so the suspense account was opened with a **debit balance of Sh. 26,400** (the balance is placed on the short side — the debit side).

(a) Journal entries

```
1.  Dr Returns outwards account       6,300
        Cr Suspense account                          6,300
    (To correct overcast of the returns outwards day book: returns outwards credited
     in excess by Sh. 6,300)

2.  Dr Suspense account              19,700
        Cr Supplier's (creditor) account          19,700
    (To record the credit to the supplier's account omitted for the credit purchase
     of Sh. 19,700 already debited to purchases)

3.  Dr Suspense account               5,100
        Cr Stationery account                        5,100
    (To cancel the duplicate debit of Sh. 5,100 in the stationery account for stationery
     paid for in cash)

4.  Dr Cash account                   8,600
        Cr Suspense account                          8,600
    (To record the debit to the cash account omitted for cash sales of Sh. 8,600 already
     credited to the sales account)

5.  Dr Returns inwards account       36,300
        Cr Suspense account                         36,300
    (To record the debit to the returns inwards account omitted for returns inwards of
     Sh. 36,300 already credited to the customers' accounts)
```

(b) Suspense account

```
Dr                      Suspense account                        Cr
                                    Sh.                                    Sh.
Balance b/d                      26,400    Returns outwards           6,300
Supplier's account               19,700    Cash account               8,600
Stationery account                5,100    Returns inwards           36,300
                                 51,200                               51,200
```

The suspense account balances to **nil** ✓ — all errors affecting the trial balance have been found.

(c) Statement of corrected gross profit — year ended 31 December 2025

	Sh.
Gross profit as per draft accounts	402,000
Less: Returns outwards overcast (error 1)	(6,300)
Less: Returns inwards not recorded (error 5)	(36,300)

	Sh.
Corrected gross profit	**359,400** ✓

Only trading items affect gross profit: error 1 reduces returns outwards (raising net purchases, so gross profit falls) and error 5 records returns inwards (reducing net sales, so gross profit falls). Errors 2 and 4 completed entries whose trading side was already correctly recorded (purchases debited; sales credited), and error 3 concerns stationery, an expense below gross profit — none of them changes gross profit.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Error 1 journal: Dr Returns outwards 6,300 / Cr Suspense 6,300 with narrative **(2)**
- Error 2 journal: Dr Suspense 19,700 / Cr Supplier 19,700 with narrative **(2)**
- Error 3 journal: Dr Suspense 5,100 / Cr Stationery 5,100 with narrative **(2)**
- Error 4 journal: Dr Cash 8,600 / Cr Suspense 8,600 with narrative **(2)**
- Error 5 journal: Dr Returns inwards 36,300 / Cr Suspense 36,300 with narrative **(2)**
- Suspense account opened with a DEBIT balance of 26,400 (credit side exceeded debit side) **(1)**
- Suspense debits correctly posted: 19,700 and 5,100 **(2)**
- Suspense credits correctly posted: 6,300, 8,600 and 36,300; account totals 51,200 and clears to nil **(2)**
- Corrected gross profit starts from Sh. 402,000 and deducts error 1 (6,300) **(2)**
- Deducts error 5 (36,300) and arrives at corrected gross profit of Sh. 359,400 **(2)**
- Errors 2, 3 and 4 correctly excluded from the gross profit statement with a valid reason **(1)**

MODULE 5 OF 12

Financial Statements of a Sole Trader

Income Statement of a Sole Trader · Statement of Financial Position · Adjustments and Worked Examples

MODULE 5 · FINANCIAL STATEMENTS OF A SOLE TRADER — LESSON 1

Income Statement of a Sole Trader

Learning Objectives

By the end of this lesson, you will be able to:

1. Define a sole trader and explain the purpose of the income statement.
2. Distinguish the trading section (gross profit) from the profit and loss section (net profit).
3. Compute cost of sales from opening stock, purchases, returns, carriage inwards and closing stock.
4. Classify items correctly between the trading account and the profit and loss account.
5. Prepare a trading and profit and loss account in vertical format from given data.
6. Treat special items correctly: abnormal losses, goods in transit, goods on approval, and free samples.

---

1. The Sole Trader and the Need for Financial Statements

A sole trader — also called a sole proprietorship — is a business owned and run by one individual, with no legal distinction between the owner and the business. You own it entirely, you grow it, and its success or failure rests on you. You are entitled to all the profit it makes.

At the end of each financial year, every business must answer one question: **did we make a profit or a loss?** This is done in two stages:

1. **Finding gross profit (or gross loss)** — in the trading account section.
2. **Finding net profit (or net loss)** — in the profit and loss account section.

The trial balance provides the essential input. In practice the two sections are combined into a single report — the **income statement** — but examiners still expect you to know which items belong to each stage.

2. Stage 1: Determining Gross Profit

Gross profit is the difference between the **sale proceeds of the period** and the **cost of the goods actually sold**. No deduction of any kind — general, administrative, or selling and distribution expenses — is made at this stage. If sale proceeds exceed the cost of goods sold, there is a gross profit; if cost exceeds proceeds, a gross loss.

Items debited (the cost side)

- **Opening stock** — the value of goods on hand at the end of the previous year, which becomes the opening stock of the current year.
- **Purchases** — goods bought for resale, cash or credit. Adjust for:
- purchases of **capital assets** wrongly included (deduct them);
- goods taken for **personal use/drawings** (exclude — treat as drawings);
- goods **in transit** at year-end (debit stock-in-transit, credit supplier);
- goods received on **consignment, on approval or hire purchase** (exclude);
- cost of goods **sent on consignment** (deduct from purchases).
- **Returns outwards (purchases returns)** — shown as a deduction from purchases (or on the credit side).
- **Direct expenses** — expenses incurred in purchasing, procuring or producing the goods and bringing them to the point of sale. The classic exam item is **carriage inwards**.

Items credited (the revenue side)

- **Sales** — cash and credit sales of the goods the business deals in. Exclude: sale of old fixed assets, goods sent on approval (until approved), free samples, and any sales tax included in the figure.
- **Returns inwards (sales returns)** — deducted from sales (or shown on the debit side).
- **Abnormal loss of stock** — stock lost through fire, theft or accident is credited in full to the trading account, because the trading account is prepared under *normal* conditions and has no place for abnormal events. (The loss itself is then dealt with in the profit and loss account.)
- **Closing stock** — goods unsold at year-end, valued at **cost or market price, whichever is lower**. The trial balance normally does *not* include closing stock, so it is brought in by: `Dr. Closing stock account / Cr. Income statement`. If closing stock already appears in the trial balance, it goes **only** to the statement of financial position.

The cost-of-sales formula (memorise this)

```
Opening stock
+ Purchases
+ Carriage inwards (direct expenses)
− Returns outwards
= Cost of goods available for sale
− Closing stock
= COST OF SALES
```

```
Net sales (sales − returns inwards) − Cost of sales = GROSS PROFIT
```

3. Worked Example: Trading Account

Question: From the following details, draw up the trading account of Mr. Karanja for the year ended 31 December 2025, his first year in business.

Item	Sh.
Carriage inwards	134,000
Returns outwards	99,000
Returns inwards	178,000
Sales	7,748,400
Purchases	6,666,600
Stock at 31 December 2025	1,497,800

Solution:

```
                                Mr. Karanja
              Trading Account for the year ended 31 December 2025
                                                    Sh.            Sh.
Sales                                           7,748,400
Less: Returns inwards                            (178,000)
Net sales                                                      7,570,400
Less: Cost of sales
  Purchases                          6,666,600
  Add: Carriage inwards                 134,000
```

```
                                    6,800,600
  Less: Returns outwards               (99,000)
  Cost of goods available for sale   6,701,600
  Less: Closing stock               (1,497,800)
  Cost of sales                                          (5,203,800)
Gross profit                                              2,366,600
```

Check: 7,570,400 − 5,203,800 = 2,366,600. ✓ (There is no opening stock — it is his first year in business.)

4. Stage 2: Determining Net Profit

After gross profit is found, all remaining **indirect** expenses and losses are charged on the debit side, and all other incomes on the credit side:

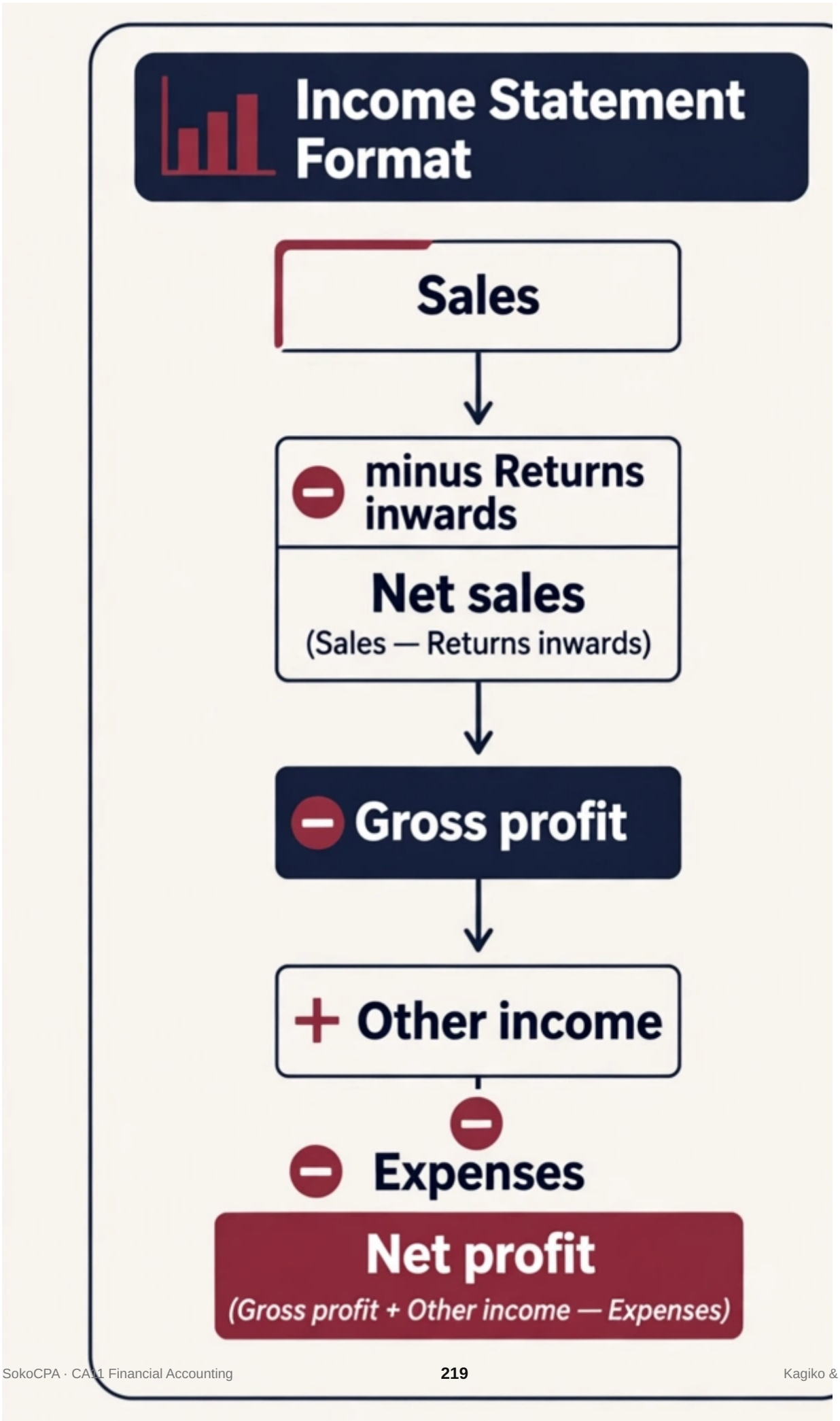
Debited (expenses and losses): - Management/administrative expenses — office salaries, office rent, printing and stationery, telephone. - Selling and distribution expenses — salesmen's salaries and commission, advertising, packaging, **carriage outwards**, bad debts. - Maintenance expenses — repairs and renewals of office fixed assets. - Financial expenses — interest on loans, bank charges, discount allowed. - Abnormal losses — e.g., stock lost by fire not covered by insurance, loss on sale of machinery. - Depreciation of non-current assets.

Credited (other incomes): - Gross profit brought down. - Other income — discount received, commission received. - Non-trading income — interest on bank deposits, dividends, rent of property let out, profit on sale of fixed assets. - Abnormal gains — e.g., profit on sale of a fixed asset (shown separately).

Net profit = total credits − total debits. If debits exceed credits, it is a net loss. The balancing figure is entered on the smaller side, after which both sides agree.

5. Special Treatments Examiners Love

- **Carriage inwards vs. carriage outwards:** carriage *inwards* is a direct expense (trading account, part of cost of sales); carriage *outwards* is a selling expense (profit and loss account). Mixing them up is a classic mark-loser.
- **Returns:** returns *inwards* reduce sales; returns *outwards* reduce purchases. Always net them off — never add them.
- **Abnormal loss of stock:** credit the trading account in full (normal conditions only), then charge the loss to the profit and loss account. If insured, recognise the insurance claim as an asset until received.
- **Goods sent on approval:** not a sale until the customer approves. Cancel the sale (Dr. Sales / Cr. Debtors at selling price) and add the goods back to closing stock at cost.
- **Free samples:** advertisement expense — `Dr. Advertisement / Cr. Purchases`, then charge advertisement to the profit and loss account.
- **Drawings in kind:** goods taken by the owner reduce purchases at cost (`Dr. Drawings / Cr. Purchases`).


Income Statement Format
Sales
minus Returns inwards
Net sales
(Sales — Returns inwards)
Gross profit
Other income
Expenses
Net profit
(Gross profit + Other income — Expenses)

6. Common Exam Traps

1. **Carriage inwards vs. carriage outwards** — the single most confused pair in this topic. Inwards = cost of sales; outwards = selling expense.
2. **Adding returns instead of deducting them** — returns inwards reduce sales; returns outwards reduce purchases.
3. **Putting closing stock in the trial balance section** — closing stock from *additional information* is credited to the trading account AND shown as a current asset. (If it were already in the trial balance, it would go to the statement of financial position only.)
4. **Charging indirect expenses in the trading account** — salaries, rent, insurance and depreciation belong below gross profit, never above it.
5. **Forgetting that sales excludes fixed-asset disposals** — selling an old van is not "sales"; any profit or loss goes to the profit and loss account separately.
6. **Treating abnormal losses as normal cost of sales** — they are credited out of the trading account and charged below the line.

7. Key Terms (Flashcards)

- **Sole trader** — A business owned and run by one individual with no legal distinction between owner and business.
- **Income statement** — The combined trading and profit and loss account showing gross profit and net profit for a period.
- **Gross profit** — Net sales minus cost of sales; profit before deducting indirect expenses.
- **Net profit** — Gross profit plus other incomes minus all indirect expenses; the final result for the period.
- **Cost of sales** — Opening stock + purchases + direct expenses − returns outwards − closing stock.
- **Direct expenses** — Expenses of purchasing/procuring goods and bringing them to the point of sale (e.g., carriage inwards).
- **Returns inwards** — Goods returned by customers; deducted from sales.
- **Returns outwards** — Goods returned to suppliers; deducted from purchases.
- **Abnormal loss** — Stock lost through fire, theft or accident; credited to the trading account and charged to profit and loss.
- **Closing stock** — Unsold goods at year-end, valued at cost or market price, whichever is lower.

8. Lesson Summary

- The income statement answers in two stages: gross profit (trading section) then net profit (profit and loss section).
- Cost of sales = opening stock + purchases + carriage inwards − returns outwards − closing stock.
- Only direct items sit above gross profit; all indirect expenses and other incomes sit below it.
- Special items — abnormal losses, approval sales, free samples, drawings in kind — each have a fixed treatment you must memorise.

9. Exam Day Tips

- Write the cost-of-sales formula at the top of your answer page before you start — it prevents omission errors under pressure.

- Always compute **net sales** and **net purchases** first; then the rest is mechanical.
- Label every figure (Sh.) and show workings for closing stock and adjustments — method marks are generous.
- In combined income statements, draw a clear line (or subtotal) at gross profit so the examiner sees both stages.

Next: Lesson 2 — the Statement of Financial Position: grouping, marshalling, and the accounting equation in exam format.

Slide deck at a glance

The sole trader and the need for financial statements

- Sole trader: one individual owns and runs the business; no legal distinction
- The owner is entitled to all the profit — and bears all the risk
- End-of-year question: did we make a profit or a loss?
- Stage 1: gross profit, in the trading account section
- Stage 2: net profit, in the profit and loss account section
- The trial balance feeds both sections; combined report = income statement

Stage 1: the cost side (debits)

- Opening stock: last year's closing stock becomes this year's opening
- Purchases: goods for resale; deduct capital items wrongly included
- Goods for personal use (drawings) excluded from purchases
- Exclude goods in transit, consignment and approval goods
- Returns outwards reduce purchases (net them off)
- Direct expenses added: carriage inwards belongs above gross profit

Stage 1: the revenue side (credits)

- Sales: cash and credit sales of the business's own goods
- Exclude: old fixed-asset sales, approval goods, free samples, sales tax
- Returns inwards deducted from sales → net sales
- Abnormal stock loss: credit the trading account in full (normal conditions only)
- Closing stock: valued at cost or market price, whichever is lower
- Closing stock brought in: Dr Closing stock / Cr Income statement

The cost-of-sales formula (memorise this)

- Opening stock + Purchases + Carriage inwards − Returns outwards
- = Cost of goods available for sale − Closing stock
- = COST OF SALES
- Net sales (sales − returns inwards) − Cost of sales = GROSS PROFIT
- Worked example: Mr Karanja — net sales Sh.7,570,400
- Cost of sales Sh.5,203,800 → gross profit Sh.2,366,600 ✓

Stage 2: determining net profit

- Debit: admin expenses — office salaries, rent, stationery, telephone
- Debit: selling expenses — salesmen's salaries, advertising, carriage outwards
- Debit: maintenance, financial (bank charges, discount allowed), depreciation
- Debit: abnormal losses — fire/theft stock loss, loss on sale of machinery
- Credit: gross profit brought down plus all other income
- Credit: discount received, commission received, rent of let property

Special treatments examiners love

- Carriage inwards = direct (trading); carriage outwards = selling (P&L)
- Returns: inwards reduce sales; outwards reduce purchases — never add
- Abnormal loss: credit trading account, then charge P&L; claim = asset
- Approval goods: not a sale until approved — cancel sale, add stock at cost
- Free samples: Dr Advertisement / Cr Purchases, charged to P&L
- Drawings in kind: Dr Drawings / Cr Purchases at cost

Common exam traps

- Confusing carriage inwards with carriage outwards — the top mark-loser
- Adding returns instead of deducting them from sales and purchases
- Closing stock already in the trial balance goes to the SOFP only
- Indirect expenses (salaries, rent, depreciation) never sit above gross profit
- Selling an old van is not 'sales' — profit/loss goes to P&L separately
- Abnormal losses are credited out of the trading account, charged below the line

Key takeaways / exam tips

- Two stages: gross profit (trading), then net profit (P&L)
- Memorise the cost-of-sales formula; write it at the top of your answer
- Compute net sales and net purchases first — the rest is mechanical
- Only direct items above gross profit; everything else below it
- Draw a clear gross-profit subtotal — examiners award presentation marks
- Show workings for every adjustment — method marks are generous

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M05-Q001 – CA11-M05-Q025. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 5 · FINANCIAL STATEMENTS OF A SOLE TRADER — LESSON 2

Statement of Financial Position

Learning Objectives

By the end of this lesson, you will be able to:

1. Define the statement of financial position and state its purpose.
2. Distinguish the statement of financial position from the trial balance (seven points of difference).
3. Classify assets correctly: non-current, intangible, current, liquid/quick, fictitious, wasting and contingent.
4. Classify liabilities into non-current, current and contingent.
5. Apply grouping and marshalling (order of liquidity vs. order of permanence).
6. Prepare a statement of financial position for a sole trader in vertical format, with capital properly reconciled.
7. State the limitations of financial statements, including the impact of accounting policies.

---

1. What the Statement of Financial Position Is

The statement of financial position (formerly called the balance sheet) is a summary of the financial balances of a business as at a **specific date** — typically the end of the financial year. It lists assets, liabilities and the owner's equity. It is often described as a *"snapshot of the financial condition"* of the business: it shows what the business owns, what it owes, and what is left for the owner.

Key structural facts:

- It is prepared **after** the income statement (net profit is needed to update capital).
- It contains only balances of accounts that have **not been squared up** — real and personal accounts (assets, liabilities, capital). All nominal accounts (incomes and expenses) have already been closed to the income statement.
- It must **balance**: Total assets = Capital + Liabilities (the accounting equation).
- It also absorbs all **adjustments** affecting real or personal accounts — accruals, prepayments, depreciation, provisions.

2. Trial Balance vs. Statement of Financial Position

Examiners frequently ask for this distinction. Learn these seven points:

	Trial balance	Statement of financial position
1. Purpose	Checks arithmetical accuracy of the books	Reveals the financial position of the business
2. What it proves	Total debits = total credits	Total assets = liabilities + equity
3. Timing	Prepared **before** the income statement	Prepared **after** the income statement
4. Closing stock	Not included	Included on the assets side
5. Accruals/ prepayments	Do not appear	Accrued expenses appear as liabilities; prepayments and accrued income as assets
6. Columns	"Debit" and "credit" columns	"Assets" and "liabilities/equity" sides
7. Coverage		Balances of **assets and liabilities only**

Trial balance	Statement of financial position
Balances of **all** accounts (real, nominal, personal)	

3. Classification of Assets

- **Non-current (fixed) assets** — acquired to produce goods or render services, not held for resale: land and buildings, plant and machinery, furniture and fixtures, motor vehicles. Shown at cost less accumulated depreciation ("gross block" vs. "net block").
- **Intangible assets** — no physical existence but long-lasting and income-generating: goodwill, trademarks, copyrights, patents.
- **Current assets** — cash or assets convertible into cash within the normal operating cycle (about a year): stock, debtors, bills receivable, bank, cash in hand, prepaid expenses. Also called floating or circulating assets.
- **Liquid (quick) assets** — current assets convertible into cash almost immediately without loss: current assets **minus** stock and prepayments.
- **Fictitious assets** — worthless items representing unamortised past costs: preliminary expenses, discount on issue of shares/debentures, debit balance of the income statement. Written off to the income statement over time.
- **Wasting assets** — natural resources that deplete with use: timber, coal, oil wells, mineral deposits.
- **Contingent assets** — probable assets depending on a future event (e.g., a pending court case over property). Shown by **footnote only**, never in the statement itself.

4. Classification of Liabilities

- **Non-current (long-term) liabilities** — obligations not due within the normal operating cycle: debentures, long-term bank loans, mortgages.
- **Current liabilities** — payable within the accounting year: trade creditors, bills payable, bank overdraft, outstanding (accrued) expenses, short-term loans.
- **Contingent liabilities** — potential obligations depending on a future event: bills discounted, guarantees given, pending lawsuits. A journal entry is made only if the liability is **probable and estimable**; if merely *possible*, disclose by note; if *remote*, do nothing.

5. Grouping and Marshalling

Preparation involves two steps:

1. **Grouping** — items of a similar nature are brought under one head (e.g., stock, debtors, bank and cash under "Current assets").
2. **Marshalling** — assets and liabilities are arranged in a logical order. Two methods: - **Order of liquidity** — most liquid first (cash → debtors → stock → fixed assets); liabilities in the order they fall due. - **Order of permanence** — the reverse: fixed assets first, then current assets; after capital, long-term, then current liabilities. **This is the commonly used method** and the one KASNEB expects.

6. Worked Example: Statement of Financial Position

Question (extract): After preparing his income statement for the year ended 31 December 2025, S. Mwangi's books show: freehold premises at cost Sh.2,600,000; motor vehicle at cost Sh.1,280,000 (accumulated depreciation Sh.

128,000); fixtures at cost Sh.576,000 (accumulated depreciation Sh.28,800); stock Sh.1,760,000; debtors Sh.1,808,400 (provision for bad debts Sh.45,210); bank Sh.1,056,400; cash Sh.56,800; prepayments (rates Sh.25,600 + unexpired insurance Sh.4,000) Sh.29,600; creditors Sh.2,169,000; capital Sh.5,920,000; drawings Sh.1,200,000; net profit Sh. 2,076,190.

Solution:

S. Mwangi
Statement of Financial Position as at 31 December 2025

	Cost Sh.	Acc. Dep. Sh.	NBV Sh.
Non-current assets			
Freehold premises	2,600,000	–	2,600,000
Motor vehicle	1,280,000	128,000	1,152,000
Fixtures and fittings	576,000	28,800	547,200
	4,456,000	156,800	4,299,200
Current assets			
Stock			1,760,000
Debtors	1,808,400		
Less: Provision for bad debts	(45,210)		1,763,190
Bank			1,056,400
Cash			56,800
Prepayments			29,600
			4,665,990
Total assets			8,965,190
Financed by:			
Capital			5,920,000
Add: Net profit			2,076,190
Less: Drawings			(1,200,000)
			6,796,190
Current liabilities			
Creditors			2,169,000
Total equity and liabilities			8,965,190

Verification: 4,299,200 + 4,665,990 = 8,965,190; 6,796,190 + 2,169,000 = 8,965,190. ✓ The statement balances.

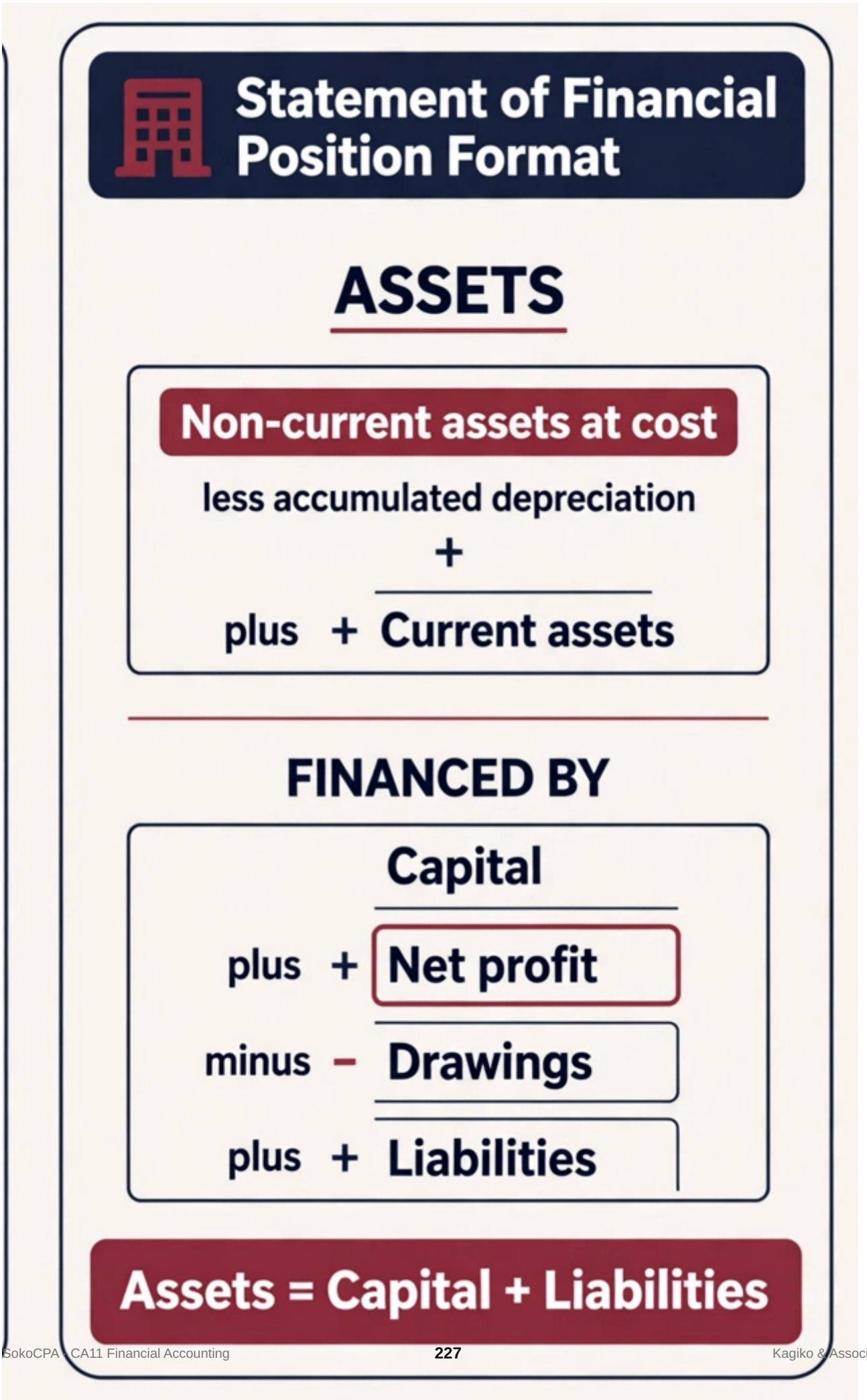
> Note on the capital section: the owner's interest is always shown as **Capital + Net profit − Drawings** (drawings reduce capital). Income tax paid by a sole trader is treated as drawings, never as a business expense.

7. Limitations of Financial Statements

The income statement and statement of financial position are full of information — but the message is not infallible. The study text highlights these limitations:

1. **Choice of accounting policies** — management chooses among policies for stock valuation, depreciation, provisions and R&D; identical businesses can report different profits.
2. **One set of statements, many users** — owners, workers, investors, creditors and the government all want different information; a single set cannot serve everyone equally.
3. **Only monetary items appear** — worker morale, management quality, customer loyalty and R&D effort cannot be quantified and are omitted.
4. **Human resources are not recognised** — the most important asset of all cannot yet be meaningfully valued in the statements.

5. **Inflation distorts values** — asset values fall out of line with current prices, so profitability measured on historical cost can be misleading and partly illusory.


Statement of Financial Position Format
ASSETS
Non-current assets at cost
less accumulated depreciation
+
plus + Current assets
FINANCED BY
Capital
plus + Net profit
minus - Drawings
plus + Liabilities
Assets = Capital + Liabilities

8. Common Exam Traps

1. **Forgetting to add net profit to capital** — the statement of financial position is prepared *after* the income statement; capital must be updated.
2. **Adding drawings instead of deducting them** — drawings always reduce the owner's capital.
3. **Showing accumulated depreciation as a liability** — it is a *deduction from the asset's cost* (or shown on the "liabilities side" only in the book's alternative presentation — the deduction format is safer and standard).
4. **Including nominal account balances** — salaries, rent paid, discount allowed belong in the income statement, never in the statement of financial position.
5. **Omitting adjustments** — accrued expenses (liability), prepaid expenses (asset), and provisions against debtors must all appear.
6. **Marshalling in the wrong order** — KASNEB expects the order of permanence (non-current assets first), not liquidity order.

9. Key Terms (Flashcards)

- **Statement of financial position** — A statement of assets, liabilities and equity as at a specific date; a snapshot of financial condition.
- **Accounting equation** — Assets = Capital + Liabilities; the statement must always balance on this.
- **Grouping** — Bringing items of a similar nature under one head in the statement.
- **Marshalling** — Arranging assets and liabilities in a logical order (liquidity or permanence).
- **Non-current assets** — Assets acquired for use in the business, not for resale, held long-term.
- **Current assets** — Cash and assets convertible to cash within the normal operating cycle.
- **Quick (liquid) assets** — Current assets minus stock and prepayments.
- **Non-current liabilities** — Obligations not due within the normal operating cycle.
- **Current liabilities** — Obligations payable within the accounting year.
- **Contingent liability** — A potential obligation depending on a future event; journalised only if probable and estimable, otherwise disclosed or ignored.
- **Drawings** — Cash or goods taken by the owner for personal use; deducted from capital.

10. Lesson Summary

- The statement of financial position is prepared after the income statement and contains only asset, liability and capital balances.
- Assets and liabilities are grouped by nature and marshalled — normally in order of permanence.
- Capital is always presented as: opening capital + net profit − drawings.
- The statement must satisfy Assets = Capital + Liabilities; use this as your arithmetic check.
- Financial statements have real limitations: policy choices, monetary-only measurement, and inflation effects.

11. Exam Day Tips

- Before writing, list every trial balance item and mark it "IS" (income statement) or "SOFP" (statement of financial position) — this one habit prevents most classification errors.
- Always finish with the balancing check: total assets vs. total equity + liabilities. If they differ, an item is missing or misclassified.

- Show the non-current assets as a Cost / Accumulated depreciation / Net book value schedule — it earns presentation marks.
- Memorise the seven trial-balance-vs-SOFP differences; they are a ready-made 7-mark question.

Next: Lesson 3 — Adjustments and Worked Examples: accruals, prepayments, depreciation, bad debts and provisions, with a full trial-balance-to-statements question.

Slide deck at a glance

What the statement of financial position is

- Summary of financial balances as at a specific date — a 'snapshot'
- Lists assets, liabilities and the owner's equity
- Prepared AFTER the income statement (net profit updates capital)
- Contains only real and personal accounts not yet squared up
- Nominal (income/expense) accounts already closed to the income statement
- Must balance: Total assets = Capital + Liabilities

Trial balance vs statement of financial position

- Purpose: checks arithmetical accuracy → reveals the financial position
- Proves: total debits = total credits → assets = liabilities + equity
- Timing: prepared before the income statement → prepared after it
- Closing stock: not included → included on the assets side
- Accruals/prepayments: do not appear → appear as liabilities/assets
- Columns: 'debit/credit' → 'assets' and 'liabilities & equity' sides
- Coverage: all accounts → assets and liabilities only

Classifying assets

- Non-current: held for use, not resale — land, plant, vehicles (cost less depn)
- Intangible: no physical existence — goodwill, patents, trademarks
- Current: convertible to cash within the operating cycle — stock, debtors, bank
- Liquid (quick): current assets minus stock and prepayments
- Fictitious: unamortised past costs — preliminary expenses; written off
- Wasting: natural resources — timber, coal, oil wells
- Contingent: probable assets (pending court case) — footnote only, never in the statement

Classifying liabilities

- Non-current: not due within the operating cycle — loans, debentures, mortgages
- Current: payable within the year — creditors, overdraft, accrued expenses
- Contingent: potential obligations — bills discounted, guarantees, lawsuits
- Probable and estimable → make a journal entry
- Merely possible → disclose by note; remote → do nothing

Grouping and marshalling

- Grouping: items of a similar nature under one head, e.g. 'Current assets'
- Marshalling: arrange assets and liabilities in a logical order
- Order of liquidity: most liquid first (cash → debtors → stock → fixed assets)
- Order of permanence: the reverse — fixed assets first
- KASNEB expects the order of permanence — use it always

- Capital section: opening capital + net profit − drawings

Worked example: S. Mwangi

- Non-current assets at cost less accumulated depreciation → NBV Sh.4,299,200
- Current assets: stock, debtors less bad-debt provision, bank, prepayments
- Total assets Sh.8,965,190
- Capital Sh.5,920,000 + net profit Sh.2,076,190 − drawings Sh.1,200,000
- Current liabilities: creditors Sh.2,169,000
- Check: 8,965,190 = 6,796,190 + 2,169,000 ✓ — the statement balances
- Note: a sole trader's income tax is drawings, never a business expense

Limitations of financial statements

- Accounting policy choices (depreciation, stock valuation) change reported profit
- One set of statements cannot serve all users equally
- Only monetary items appear — morale, management quality, loyalty omitted
- Human resources — the most important asset — are never recognised
- Inflation distorts historical-cost values; profitability can be illusory

Common exam traps

- Forgetting to add net profit to capital — the SOFP comes after the income statement
- Adding drawings instead of deducting them from capital
- Showing accumulated depreciation as a liability — deduct it from cost
- Including nominal balances (salaries, rent paid) — they belong in the income statement
- Omitting accruals, prepayments and provisions against debtors
- Marshalling in liquidity order — KASNEB wants the order of permanence

Key takeaways / exam tips

- The SOFP follows the income statement; it holds assets, liabilities and capital only
- Assets = Capital + Liabilities — use it as your arithmetic check
- Mark every trial balance item 'IS' or 'SOFP' before writing
- Show non-current assets as Cost / Accumulated depreciation / NBV
- Capital always: opening capital + net profit − drawings
- Memorise the seven TB-vs-SOFP differences — a ready-made 7-mark question

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2017-05-Q4 · May 2017 · 20 marks KASNEB authored

Sole trader financial statements from statement of affairs (Joyce Mello)

The following statement of affairs relates to Joyce Mello, a sole trader, for the year ended 31 March 2017 (Sh."000"): Capital (1 April 2016) 20,000; Premises 16,000; Plant 10,000; Fixtures 4,000; Inventory (1 April 2016) 6,000; Accounts receivable 5,000; Accounts payable 3,000; Loan 5,000; Cash in hand 600; Bank balance 1,400; Carriage inwards 400; Bad debts 500; Allowance for doubtful debts (1 April 2016) 500 Cr; Loan interest 200; Sales 40,000; Purchases 22,000; Running expenses 3,100.

Additional information:
1. Inventory as at 31 March 2017 was Sh.9,000,000.
2. Depreciation to be provided: Plant at 10% on cost; Fixtures at 10% on cost; Premises at 2% on cost.

3. Loan interest is charged at 10% per annum.
4. Allowance for doubtful debts is to be maintained at 5% of accounts receivable.
5. Drawings of Sh.700,000 relates to the year ended 31 March 2017.
6. Bad debts of Sh.300,000 to be written off.
7. Rates of Sh.200,000 were outstanding on 31 March 2017.

Required: (a) Income statement for the year ended 31 March 2017. (10 marks) (b) Statement of financial position as at 31 March 2017. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000". Asset and liability balances other than those expressly labelled 1 April 2016 (capital, opening inventory, opening allowance) are the balances at 31 March 2017.

Workings

- Depreciation: plant 10% x 10,000 = 1,000; fixtures 10% x 4,000 = 400; premises 2% x 16,000 = 320. Total 1,720.
- Loan interest for the year: 10% x 5,000 = 500; only 200 is recorded, so a further 300 is charged and accrued.
- Bad debts: 500 already recorded + 300 to be written off = 800. Receivables after write-off = 5,000 − 300 = 4,700; allowance required = 5% x 4,700 = 235, against the opening allowance of 500, so 265 is released. Total bad-debt charge in the income statement = 800 + 235 − 500 = 535.
- Running expenses: 3,100 + outstanding rates 200 = 3,300.

(a) Income statement for the year ended 31 March 2017

Sales revenue	40,000	
Cost of sales:		
Opening inventory	6,000	
Add: Purchases	22,000	
Add: Carriage inwards	400	
Less: Closing inventory	(9,000)	19,400
Gross profit	20,600	
Less expenses:		
Running expenses (3,100 + 200 rates outstanding)	3,300	
Bad debts and allowance adjustment	535	
Depreciation (1,000 + 400 + 320)	1,720	
Loan interest (10% x 5,000)	500	6,055
Net profit	14,545	

(b) Statement of financial position as at 31 March 2017

Non-current assets:		
Premises (16,000 - 320)	15,680	
Plant (10,000 - 1,000)	9,000	
Fixtures (4,000 - 400)	3,600	
	28,280	
Current assets:		
Inventory	9,000	
Accounts receivable (4,700 - allowance 235)	4,465	
Bank balance	1,400	
Cash in hand	600	

	15,465	
Total assets	43,745	
Capital account:		
Balance b/f	20,000	
Add: Net profit	14,545	
Less: Drawings	(700)	33,845
Non-current liability: Loan	5,000	
Current liabilities:		
Accounts payable	3,000	
Accrued loan interest	300	
Outstanding rates	200	3,500
Total equity and liabilities	42,345	

Note: on the figures as transcribed from the faded scan, total assets exceed total equity and liabilities by Sh. 1,400,000 — exactly the amount of the transcribed bank balance — indicating that one figure in the scanned statement of affairs has been misread (see source note). The statements above follow the data exactly as given; no figure has been altered to force agreement.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Cost of sales 19,400 correctly built: opening inventory 6,000 + purchases 22,000 + carriage inwards 400 − closing inventory 9,000 **(3)**
- (a) Gross profit 20,600 **(1)**
- (a) Running expenses adjusted for outstanding rates: 3,100 + 200 = 3,300 **(1)**
- (a) Bad debts charge 535 (500 recorded + 300 written off + allowance movement 235 required vs 500 opening) **(2)**
- (a) Depreciation charged: plant 1,000, fixtures 400, premises 320 (total 1,720) **(2)**
- (a) Loan interest charged in full at 10% x 5,000 = 500 (net profit 14,545 follows) **(1)**
- (b) Non-current assets at net book values: premises 15,680, plant 9,000, fixtures 3,600 (total 28,280) **(3)**
- (b) Current assets: inventory 9,000, receivables net of allowance 4,465 (4,700 − 235), bank 1,400, cash 600 **(3)**
- (b) Liabilities: accounts payable 3,000, loan 5,000, accrued loan interest 300, outstanding rates 200 **(2)**
- (b) Capital roll-forward: 20,000 + net profit 14,545 − drawings 700 = 33,845 **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M05-Q009 – CA11-M05-Q031. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 5 · FINANCIAL STATEMENTS OF A SOLE TRADER — LESSON 3

Adjustments and Worked Examples

Learning Objectives

By the end of this lesson, you will be able to:

1. Explain the accrual (matching) concept and why year-end adjustments are needed.
2. Adjust for outstanding (accrued) expenses and prepaid expenses, with correct double entries.
3. Provide for depreciation using the straight-line and reducing-balance methods, including pro-rata charges.
4. Write off bad debts and create or adjust a provision for bad debts (both TB situations).
5. Adjust for drawings in kind, accrued loan interest, and provisions for discount on debtors.
6. Prepare a complete income statement and statement of financial position from a trial balance with additional information.

---

1. Why Adjustments Exist: the Matching Concept

The trial balance captures what was *paid or received* during the year. But profit must reflect what was *incurred or earned* in the year — the accrual (matching) concept. Four situations force adjustments:

Situation	Treatment
Expense incurred but not yet paid (outstanding/accrued)	Add to the expense; recognise a current liability
Expense paid but not yet incurred (prepaid)	Deduct from the expense; recognise a current asset
Asset consumed during the year (depreciation)	Charge the expired portion to the income statement
Probable future loss (provision)	Charge the expected loss now (prudence concept)

2. Accrued (Outstanding) Expenses

An accrued expense has been incurred but not paid by year-end — e.g., December salaries paid in January.

```
Dr. Expense account
    Cr. Outstanding/accrued expenses account
```

Effect: the expense in the income statement **increases**; a **current liability** appears in the statement of financial position.

Example: Salaries paid during the year Sh.1,350,000; salaries for December Sh.90,000 unpaid at 31 December. Income statement charge = Sh.1,440,000; accrued salaries Sh.90,000 sit under current liabilities.

3. Prepaid Expenses

A prepaid expense has been paid but not yet incurred — e.g., rent paid covering the first months of next year.

```
Dr. Prepaid expenses account (asset)
    Cr. Expense account
```

Effect: the expense in the income statement **decreases**; a **current asset** appears in the statement of financial position.

Example: Rent paid Sh.480,000 includes Sh.60,000 relating to next year. Income statement charge = Sh.420,000; prepaid rent Sh.60,000 is a current asset.

4. Depreciation

Depreciation is the permanent, continuing fall in the value of a non-current asset from use and the passage of time. Each year a portion of the asset's cost expires and must be charged to the income statement.

Journal entries (asset maintained at cost, the normal exam case):

```
Dr. Depreciation account
    Cr. Provision for depreciation account
Dr. Income statement
    Cr. Depreciation account
```

Methods (per the study text): - **Straight-line (fixed instalment):** a fixed percentage of *cost* each year. 10% on cost of Sh.800,000 = Sh.80,000 p.a. - **Reducing (diminishing) balance:** a fixed percentage of the *net book value* each year. 20% on NBV of Sh.1,000,000 = Sh.200,000 in year 1; 20% of Sh.800,000 = Sh.160,000 in year 2. - **Pro-rata:** when an asset is bought or sold mid-year, charge depreciation for the months held (e.g., 20% × cost × 3/12).

Exam rule: no adjustment is needed for depreciation that *already appears in the trial balance* — it is charged to the income statement as it stands. And accumulated depreciation is shown as a **deduction from the asset's cost**, never as a liability.

5. Bad Debts and Provisions

Bad debts written off (a debtor will never pay):

```
Dr. Bad debts account
    Cr. Debtor's personal account
Dr. Income statement
    Cr. Bad debts account
```

A bad debt already in the trial balance goes straight to the income statement — no further adjustment.

Provision for bad debts (an estimate of debtors who *may* not pay — the prudence concept):

- *Situation 1 — no provision in the trial balance:* `Dr. Income statement / Cr. Provision for bad debts` for the full new provision.
- *Situation 2 — a provision exists in the trial balance:* compute the new required provision and compare:
- New > old → charge the **increase**: `Dr. Income statement / Cr. Provision` (increase).
- New < old → credit the **decrease**: `Dr. Provision / Cr. Income statement` (decrease).

Only the **new** provision is shown in the statement of financial position, deducted from debtors.

Example: Debtors Sh.950,000; provision required at 5% = Sh.47,500; old provision Sh.40,000 → increase of Sh.7,500 charged to the income statement; debtors shown net as Sh.902,500.

Provision for discount on debtors: debtors who pay promptly earn cash discount, so debtors are overstated. The provision is computed on debtors *after* deducting bad debts written off and the bad-debt provision: `Dr. Income statement / Cr. Provision for discount on debtors`, deducted from debtors in the statement of financial position. (Note: in practice, no reserve is made for discount on *creditors*, out of conservatism.)

6. Other Standard Adjustments

- **Drawings in kind** (goods taken by the owner): `Dr. Drawings / Cr. Purchases` at cost — reduces cost of sales and increases drawings.
- **Accrued loan interest:** `Dr. Interest on loan / Cr. Accrued interest (or Loan account)` — the full year's interest is charged; the unpaid portion is a current liability.
- **Income tax of a sole trader:** treated as **drawings**, never as a business expense (`Dr. Drawings / Cr. Cash`).
- **Goods on approval / free samples / abnormal losses:** as covered in Lesson 1 — cancel approval sales at selling price, add back to stock at cost; free samples are advertisement (`Dr. Advertisement / Cr. Purchases`).

7. Full Worked Example (Verified)

Question: The following trial balance was extracted from the books of D. Achieng, a sole trader, as at 31 December 2025:

	Dr. Sh.	Cr. Sh.
Premises at cost	3,000,000	
Equipment at cost	800,000	
Provision for depreciation – equipment		240,000
Stock, 1 January 2025	420,000	
Purchases	4,600,000	
Sales		6,500,000
Returns inwards	90,000	
Returns outwards		70,000
Carriage inwards	110,000	
Carriage outwards	60,000	
Salaries	1,350,000	
Rent	480,000	
Insurance	120,000	
Discount allowed	45,000	
Discount received		60,000
Bad debts written off	30,000	
Provision for bad debts		40,000
Debtors	950,000	
Creditors		720,000
Bank	640,000	
Cash	85,000	
Drawings	300,000	

	Dr. Sh.	Cr. Sh.
Capital		4,500,000
Bank loan		1,000,000
Interest on loan paid	50,000	
Totals	**13,130,000**	**13,130,000**

Additional information: 1. Closing stock at 31 December 2025: Sh.510,000. 2. Rent prepaid at year-end: Sh.60,000. 3. Salaries accrued at year-end: Sh.90,000. 4. Depreciation on equipment: 10% per annum on cost. 5. Provision for bad debts to be 5% of debtors. 6. Insurance prepaid: Sh.15,000. 7. The owner took goods costing Sh.40,000 for personal use (not recorded). 8. The bank loan of Sh.1,000,000 carries interest at 10% per annum.

Solution — Income statement for the year ended 31 December 2025:

```
Net sales: 6,500,000 − 90,000 (returns inwards)                        6,410,000
Cost of sales:
  Opening stock                                            420,000
  Purchases 4,600,000 − 40,000 (drawings in kind)        4,560,000
  Carriage inwards                                         110,000
                                                         5,090,000
  Less: Returns outwards                                   (70,000)  5,020,000
  Less: Closing stock                                     (510,000) (4,510,000)
Gross profit                                                          1,900,000
Add: Discount received                                                   60,000
                                                                      1,960,000

Less: Expenses
  Carriage outwards                                          60,000
  Salaries 1,350,000 + 90,000 accrued                     1,440,000
  Rent 480,000 − 60,000 prepaid                             420,000
  Insurance 120,000 − 15,000 prepaid                        105,000
  Discount allowed                                           45,000
  Bad debts written off                                      30,000
  Increase in provision (47,500 − 40,000)                     7,500
  Depreciation: equipment 10% × 800,000                      80,000
  Interest on loan 50,000 + 50,000 accrued (10% × 1,000,000) 100,000 (2,287,500)
Net loss                                                              (327,500)
```

Check: 1,960,000 − 2,287,500 = −327,500. ✓ (A net loss — expenses exceeded gross income; always read what the numbers tell you.)

Solution — Statement of financial position as at 31 December 2025:

```
Non-current assets                              Cost         Acc. dep.      NBV
Premises                                    3,000,000            −      3,000,000
Equipment                                     800,000        320,000      480,000
                                                                        3,480,000

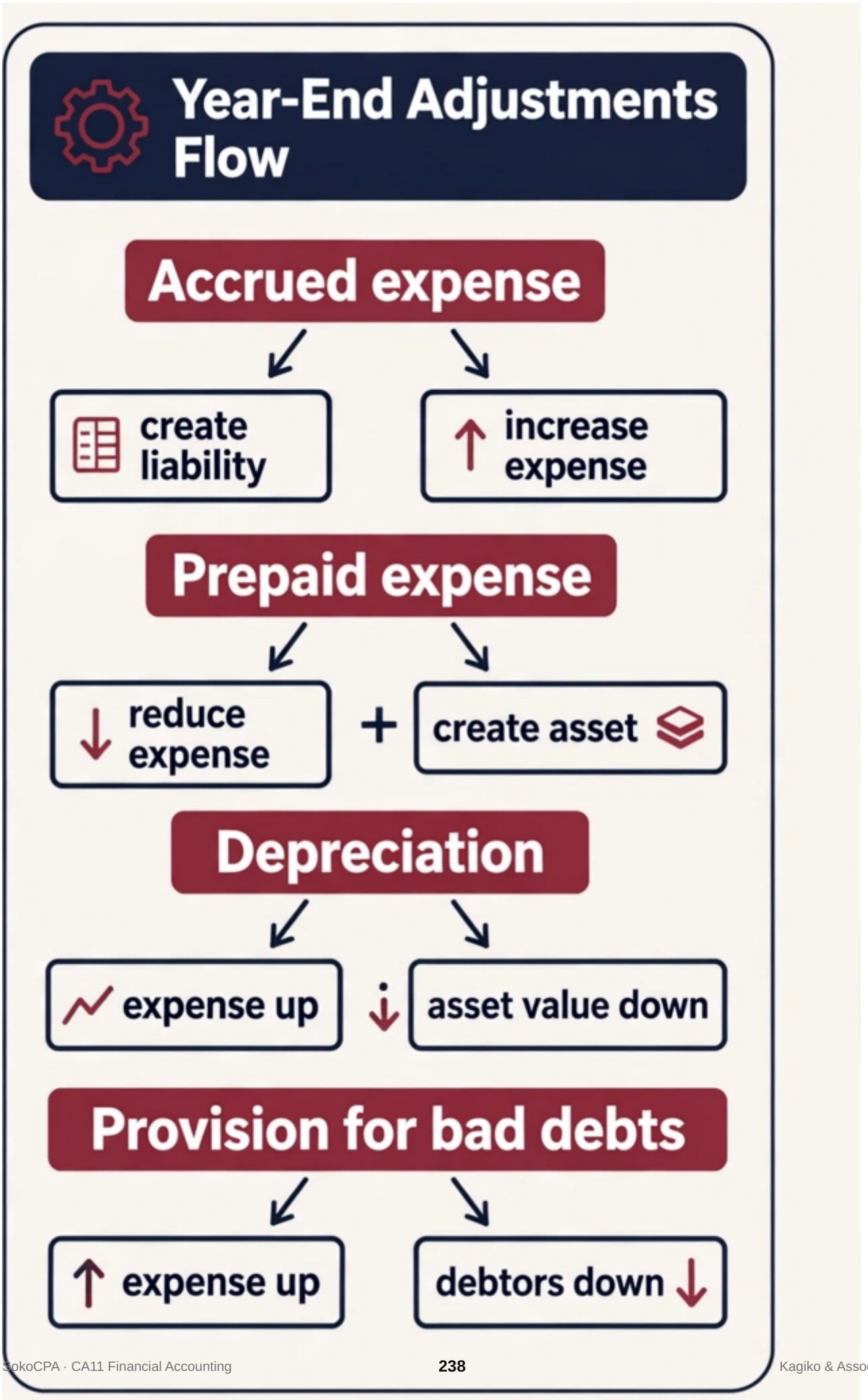
Current assets
  Stock                                                                   510,000
  Debtors 950,000 − provision 47,500 (5%)                                 902,500
  Bank                                                                    640,000
  Cash                                                                     85,000
  Prepayments (rent 60,000 + insurance 15,000)                             75,000
                                                                        2,212,500
Total assets                                                              5,692,500
```

```
Financed by:
  Capital                                                          4,500,000
  Less: Net loss                                                    (327,500)
  Less: Drawings (300,000 + 40,000 goods)                           (340,000)
                                                                   3,832,500
Non-current liabilities
  Bank loan                                                        1,000,000
Current liabilities
  Creditors                                                          720,000
  Accrued salaries                                                    90,000
  Accrued loan interest                                               50,000
                                                                     860,000
Total equity and liabilities                                       5,692,500
```

Final check: 3,480,000 + 2,212,500 = 5,692,500; 3,832,500 + 1,000,000 + 860,000 = 5,692,500. ✓ The statement balances.

8. Common Exam Traps

1. **Adding prepayments to expenses** instead of deducting them — prepaid means "paid too much this year": deduct.
2. **Forgetting the accrued expense in BOTH places** — it increases the income-statement charge AND creates a current liability. Missing either side loses marks.
3. **Using the old provision figure in the statement of financial position** — only the NEW provision is deducted from debtors; the difference goes to the income statement.
4. **Depreciating on cost when the policy says reducing balance** (or vice versa) — read the additional information word by word.
5. **Treating drawings in kind at selling price** — always at cost, and remember to increase drawings too.
6. **Charging a full year's depreciation on assets bought or sold mid-year** — apply pro-rata unless told otherwise.
7. **Forgetting interest accrued on loans** — compare interest paid with rate × loan × time; the shortfall is accrued.


Year-End Adjustments Flow
Accrued expense
create liability
increase expense
Prepaid expense
reduce expense
+
create asset
Depreciation
expense up
asset value down
Provision for bad debts
expense up
debtors down

9. Key Terms (Flashcards)

- **Accrual (matching) concept** — Income and expenses are recognised when incurred/earned, not when cash changes hands.
- **Accrued (outstanding) expense** — An expense incurred but not yet paid; a current liability.
- **Prepaid expense** — An expense paid but not yet incurred; a current asset.
- **Depreciation** — The permanent fall in value of a non-current asset from use and time; charged to the income statement each year.
- **Straight-line method** — Depreciation at a fixed percentage of cost each year.
- **Reducing-balance method** — Depreciation at a fixed percentage of net book value each year.
- **Pro-rata depreciation** — Charging depreciation for the part of the year the asset was held.
- **Bad debt** — A debtor balance that will never be recovered; written off to the income statement.
- **Provision for bad debts** — An estimate of doubtful debts charged to profit under the prudence concept; deducted from debtors.
- **Drawings in kind** — Goods taken by the owner for personal use; credited to purchases at cost and debited to drawings.

10. Lesson Summary

- Accruals add to expenses (and create liabilities); prepayments reduce expenses (and create assets).
- Depreciation: straight-line on cost, reducing-balance on NBV, pro-rata for part-years; accumulated depreciation is deducted from cost.
- Bad debts written off go straight to the income statement; provisions compare new vs. old, with only the difference hitting profit and only the new figure deducted from debtors.
- Always verify: every adjustment hits TWO places (income statement + statement of financial position), and the final statement must balance.

11. Exam Day Tips

- Build an "adjustments table" before writing the statements: one row per additional-information item, with columns for income-statement effect and SOFP effect.
- Compute net sales, net purchases, new provisions and depreciation workings FIRST — then the statements are purely mechanical.
- Show every working (W1, W2...) — method marks rescue you even if a number slips.
- End with the accounting-equation check: Assets = Capital + Liabilities. If it fails, find the missing adjustment before moving on.

Module 5 complete. Attempt the module quiz — then Module 6 extends everything you have learned to partnerships.

Slide deck at a glance

Why adjustments exist: the matching concept

- The trial balance shows what was paid/received; profit shows what was incurred/earned
- Accrued expense: incurred, not paid → add to expense; current liability
- Prepaid expense: paid, not incurred → deduct from expense; current asset
- Asset consumed (depreciation): charge the expired portion to the income statement

- Probable future loss (provision): charge the expected loss now (prudence concept)

Accrued and prepaid expenses

- Accrued: Dr Expense account / Cr Outstanding expenses account
- Salaries Sh.1,350,000 paid + Sh.90,000 December unpaid → charge Sh.1,440,000
- Accrued salaries Sh.90,000 sit under current liabilities
- Prepaid: Dr Prepaid expenses (asset) / Cr Expense account
- Rent Sh.480,000 includes Sh.60,000 for next year → charge Sh.420,000
- Prepaid rent Sh.60,000 is a current asset

Depreciation

- Depreciation: the permanent fall in value from use and the passage of time
- Journal: Dr Depreciation / Cr Provision for depreciation
- Straight-line: fixed % of cost — 10% × Sh.800,000 = Sh.80,000 p.a.
- Reducing-balance: fixed % of NBV — 20% × Sh.1,000,000 = Sh.200,000 in year 1
- Pro-rata: asset bought mid-year — 20% × cost × 3/12
- Accumulated depreciation is deducted from cost — never a liability

Bad debts and provisions

- Bad debt written off: Dr Bad debts / Cr Debtor; then to the income statement
- Bad debts already in the TB go straight to the income statement
- Provision for bad debts: a prudence estimate charged to profit
- No TB provision → Dr IS / Cr Provision for the full new amount
- TB provision exists → charge or credit only the INCREASE or DECREASE
- Only the NEW provision is deducted from debtors in the SOFP

Other standard adjustments

- Drawings in kind: Dr Drawings / Cr Purchases — at cost, not selling price
- Accrued loan interest: Dr Interest on loan / Cr Accrued interest
- Sole trader's income tax = drawings, never a business expense
- Approval goods: cancel the sale at selling price, add back to stock at cost
- Free samples: Dr Advertisement / Cr Purchases
- Discount on debtors: computed after bad debts and the bad-debt provision

Full worked example: income statement (D. Achieng)

- Net sales: 6,500,000 − 90,000 returns inwards = Sh.6,410,000
- Cost of sales: 4,560,000 + 110,000 − 70,000 − 510,000 = Sh.4,510,000
- Gross profit Sh.1,900,000 + discount received Sh.60,000
- Expenses: salaries Sh.1,440,000; rent Sh.420,000; insurance Sh.105,000
- Provision increase Sh.7,500; depreciation Sh.80,000; loan interest Sh.100,000
- Net LOSS Sh.(327,500) — always read what the numbers tell you ✓

Full worked example: statement of financial position

- Non-current assets: premises 3,000,000 + equipment NBV 480,000
- Current assets: stock, debtors Sh.902,500, bank, cash, prepayments Sh.75,000
- Total assets Sh.5,692,500
- Capital 4,500,000 − net loss 327,500 − drawings 340,000 = Sh.3,832,500
- Liabilities: bank loan 1,000,000; creditors; accrued salaries; accrued interest
- Check: 3,480,000 + 2,212,500 = 5,692,500 ✓ — the statement balances

Common exam traps

- Adding prepayments to expenses instead of deducting them
- Forgetting the accrued expense in BOTH places — IS charge AND liability
- Using the OLD provision in the SOFP — only the new one is deducted
- Depreciating on cost when the policy says reducing balance
- Valuing drawings in kind at selling price — always at cost
- Charging full-year depreciation on mid-year purchases — pro-rata it
- Compare interest paid with rate × loan × time to find the accrual

Key takeaways / exam tips

- Every adjustment hits TWO places: the income statement and the SOFP
- Accruals add to expenses; prepayments reduce them
- Compute net sales, net purchases, new provisions and depreciation first
- Build an adjustments table: one row per item, IS effect + SOFP effect
- Show every working (W1, W2...) — method marks rescue slipped numbers
- End with the accounting-equation check before moving on

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2018-05-Q1 · May 2018 · 20 marks KASNEB authored

Sole trader final accounts, errors and suspense accounts

The following balances were extracted from the books of Asuba Enterprises for the year ended 31 December 2017:

Sh."000 | Sh."000
Purchases 19,200 | Sales 24,600
Rent 700 | Discounts received 400
Rates 250 | Capital account (1 January 2017) 9,600
Wages and salaries 500 | Trade payables 1,000
Sundry expenses 420 | Bank overdraft 700
Discounts allowed 520 | Commission income 1,500
Inventory (1 January 2017) 1,200 |
Motor vehicles 2,000 |
Accumulated depreciation - Motor vehicles (1 January 2017) 200 |
Furniture and fittings 1,800 |
Accumulated depreciation - Furniture and fittings (1 January 2017) 360 |
Drawings 600 |
Trade receivables 400 |
Allowance for doubtful debts (1 January 2017) 30 |
Receipts from debtors 15,000 |
Payments to creditors 11,750 |
Bad debts received (recovered) 100 |
Carriage inwards 1,500 |
Carriage outwards 1,000 |

Cash in hand 270 |
Suspense account (debit balance) 350 |

Additional information:
1. Inventory as at 31 December 2017 was valued at Sh.1,000,000.
2. The motor vehicles balance includes a vehicle bought on credit from Pwani Motors for Sh.400,000. No entry had been made in the books in respect of this transaction.
3. The discounts received figure of Sh.400,000 as shown above consists of discount received Sh.300,000 and bad debt recovered Sh.100,000 which was shown as a receipt from debtors.
4. Depreciation is to be provided as follows: Motor vehicles - 20% per annum on cost; Furniture and fittings - 10% per annum on cost.
5. Allowance for doubtful debts is to be maintained at 5% of the trade receivables.
6. The capital account as at 31 December 2017 was valued at Sh.8,000,000 and comprises: Land Sh.3,600,000; Furniture Sh.1,800,000; Motor vehicles Sh.1,500,000; Inventory Sh.1,100,000; Liabilities: Bank overdraft (Sh. 700,000); Trade payables (Sh.1,000,000).

[Adjustment notes 1, 3 and 5 referred to in part (c) are partly faded in the source scan. Note 1 refers to a cheque of Sh.30,000 to suppliers that was dispatched; note 3 to a payment of Sh.40,000 to Welly debited correctly in the cash book but credited to Bongo's account, which will be corrected; note 5 to a vehicle purchased on 30 April 2017 for Sh.800,000.]

Required:
(a) Income statement for the year ended 31 December 2017. (8 marks)
(b) Statement of financial position as at 31 December 2017. (6 marks)
(c) Explain the accounting concepts involved in adjustment notes 1, 3 and 5 above. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) ASUBA ENTERPRISES — INCOME STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2017 (Sh."000)

Revenue (sales) 24,600 Cost of sales: Opening inventory 1,200 Purchases 19,200 Carriage inwards 1,500 21,900 Less: Closing inventory (1,000) Cost of sales (20,900) Gross profit 3,700 Other income: Commission income 1,500 Discounts received (W1) 300 Bad debts recovered 100 Decrease in allowance for doubtful debts (W2) 10 1,910 Total income 5,610 Expenses: Rent 700 Rates 250 Wages and salaries 500 Sundry expenses 420 Discounts allowed 520 Carriage outwards 1,000 Depreciation: motor vehicles (W3) 480; furniture and fittings (W4) 180 660 Total expenses (4,050) Net profit 1,560

Workings: W1. Discounts received: the recorded Sh.400,000 combined genuine discounts received of Sh. 300,000 with a bad debt recovered of Sh.100,000 wrongly shown as a receipt from debtors. Discounts received = 400 − 100 = 300; the Sh.100,000 is presented separately as bad debts recovered (income), and receipts from debtors reduce correspondingly to 14,900. W2. Allowance for doubtful debts: required = 5% × 400 = 20; opening allowance 30; decrease of 10 credited to the income statement. W3. Motor vehicles at cost must include the vehicle bought on credit from Pwani Motors for 400 which was never recorded: cost = 2,000 + 400 = 2,400; depreciation = 20% × 2,400 = 480. The corresponding credit of 400 is added to trade payables in the statement of financial position. W4. Furniture and fittings depreciation = 10% × 1,800 = 180.

(b) STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2017 (Sh."000)

Non-current assets: Motor vehicles: cost 2,400; accumulated depreciation (200 + 480) (680) → 1,720 Furniture and fittings: cost 1,800; accumulated depreciation (360 + 180) (540) → 1,260 2,980 Current assets: Inventory 1,000 Trade receivables 400 less allowance for doubtful debts (20) → 380 Cash in hand 270 Suspense account (debit balance, unallocated difference in the books) 350 2,000 Total assets 4,980

Capital and liabilities: Capital: balance b/d 9,600 + net profit 1,560 − drawings (600) → 10,560 Current liabilities: Trade payables (1,000 + 400 owed to Pwani Motors) 1,400 Bank overdraft 700 2,100 Total capital and liabilities 12,660 Unreconciled difference (see note) (7,680)

Note on the statement of financial position: the balances extracted in the question are not a balanced trial balance — they mix ledger balances with cash flows (receipts from debtors 15,000 and payments to creditors 11,750 are flows, not balances) and they omit assets that appear in additional information 6 (notably land of Sh. 3,600,000). A statement of financial position that balances cannot therefore be produced from the extracted balances alone; the position per the proprietor's own statement of affairs in note 6 is: assets — land 3,600 + furniture 1,800 + motor vehicles 1,500 + inventory 1,100 = 8,000; less bank overdraft (700) and trade payables (1,000) = net capital of Sh.6,300,000. Candidates should present the position from the data given and disclose the difference rather than force agreement.

(c) ACCOUNTING CONCEPTS IN THE ADJUSTMENT NOTES Note 1 — cheque of Sh.30,000 dispatched to suppliers: the ACCRUALS (matching) concept. An expense or a reduction of a liability is recognised when the obligation is settled/incurred in the period, not when the cheque clears the bank. A cheque dispatched before the year end is recorded in the cash book of the period (and appears as an unpresented cheque in the bank reconciliation); the payment is not deferred into the next period merely because the bank has not yet honoured it. Note 3 — payment of Sh.40,000 to Welly credited to Bongo's account: an ERROR OF COMMISSION. The double entry (duality concept) is complete and the trial balance still agrees — the correct amount was posted to the correct class of account (a supplier's personal account) but to the WRONG person's account. The correction transfers the credit from Bongo's account to Welly's account; total trade payables are unchanged, but each supplier's balance — and any statement sent to them — would otherwise be wrong. Note 5 — vehicle purchased on 30 April 2017 for Sh.800,000: the distinction between CAPITAL and REVENUE expenditure, applied through the MATCHING concept (and the going-concern assumption that the asset will serve several periods). The purchase is capital expenditure: it is recognised as a non-current asset in the statement of financial position, not charged against the profit of the year of purchase; its cost is then matched against the revenue of each period it serves through depreciation charged for the eight months of use in 2017 (and subsequent years).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Cost of sales correctly built up: opening inventory 1,200 + purchases 19,200 + carriage inwards 1,500 − closing inventory 1,000 = 20,900; gross profit 3,700 **(2)**
- (a) Discounts received corrected to 300 (excluding the bad debt recovered) and bad debts recovered 100 shown as other income; commission income 1,500 included **(2)**
- (a) Depreciation: motor vehicles 480 (20% on cost of 2,400 including the unrecorded Pwani Motors vehicle) and furniture and fittings 180 **(2)**
- (a) Allowance for doubtful debts adjusted to 5% × 400 = 20, decrease of 10 credited; expenses correctly totalled; net profit Sh.1,560,000 **(2)**
- (b) Non-current assets at carrying amounts: motor vehicles 1,720 and furniture and fittings 1,260, with the unrecorded vehicle included in cost and in payables **(2)**
- (b) Current assets (inventory 1,000; receivables net 380; cash 270; suspense 350) and capital account rolled forward (9,600 + 1,560 − 600 = 10,560) **(2)**

- (b) Liabilities: payables 1,400 (including Pwani Motors 400) and overdraft 700; the non-agreement of the extracted balances disclosed/explained (or position presented per the statement of affairs in note 6) rather than figures forced **(2)**
- (c) Note 1: accruals/matching concept — payment recognised when dispatched/incurred, not when the cheque clears (unpresented cheque) **(2)**
- (c) Note 3: error of commission — duality preserved and trial balance unaffected, but the wrong supplier's personal account credited; correction transfers the posting between the two accounts **(2)**
- (c) Note 5: capital vs revenue expenditure and matching — vehicle capitalised as a non-current asset and its cost written off by depreciation over the periods benefited, not expensed on purchase **(2)**

KASNEB-2015-11-Q1 · November 2015 · 20 marks KASNEB authored

Sole trader income statement and statement of financial position with uncorrected errors (Mike Moit)

The following balances were extracted from the books of Mike Moit as at 30 June 2015 (Sh."000"): Capital 59,100; Land and buildings 48,000; Motor vehicles (at cost) 4,200; Office equipment (at cost) 9,000; Gross profit 63,600; Rates and insurance 4,860; Bad debts written off 330; Utilities 480; Bad debts recovered 420; Rent receivable 14,160; Provision for doubtful debts 1,395; Personal expenses 20,730; Cash in hand 510; Bank balance 660; Discounts received 2,760; Discounts allowed 2,400; Accumulated depreciation on motor vehicle 1,200; Accumulated depreciation on office equipment 3,105; Trade receivables 15,900; Trade payables 27,300; Salaries and wages 24,210; Investments 20,400; Sundry expenses 6,720.

Additional information: 1. As at 30 June 2015, inventory was valued at Sh.14,640,000. This inventory included items valued at Sh.3,000,000 which had been sold and invoiced to a customer on 30 June 2015. 2. The sales returns day book had been overcast by Sh.90,000. 3. Discounts allowed amounting to Sh.360,000 had been posted to the discounts allowed account, but not to the trade receivables account. 4. Depreciation is to be provided as follows: Motor vehicles - 20% per annum on cost; Office equipment - 15% per annum on cost. 5. Rent received amounting to Sh.300,000 had not been recorded in the accounts since the proprietor converted the amount for personal use. 6. The sales day book had been overcast by Sh.450,000.

Required: (a) Income statement for the year ended 30 June 2015. (12 marks) (b) Statement of financial position as at 30 June 2015. (8 marks) (Total: 20 marks)

SokoCPA worked solution

Workings

W1 - Adjusted gross profit: Gross profit per books 63,600; less: goods sold and invoiced but still included in closing inventory (note 1) (3,000); add: sales returns day book overcast - returns inwards overstated, gross profit understated (note 2) 90; less: sales day book overcast - sales overstated (note 6) (450). Adjusted gross profit = **Sh.60,240,000**.

W2 - Adjusted trade receivables: 15,900 - 360 (discount allowed posted to the discount account but never credited to the receivables account, note 3) = **Sh.15,540,000**.

W3 - Rent income: Rent receivable per books 14,160 + rent received by the proprietor and converted to personal use, unrecorded (note 5) 300 = **Sh.14,460,000**. The Sh.300,000 is charged to the proprietor as drawings.

W4 - Depreciation: Motor vehicles 20% x 4,200 = 840; Office equipment 15% x 9,000 = 1,350.

Note: "Personal expenses" of Sh.20,730,000 are the proprietor's personal expenses met from business funds; they are not a business expense and are treated as drawings.

(a) Income statement for the year ended 30 June 2015 (Sh."000")

Gross profit (W1) 60,240 Add: Discounts received 2,760; Bad debts recovered 420; Rent receivable (W3) 14,460 — total other income 17,640 Total income 77,880 Less expenses: Rates and insurance 4,860; Bad debts written off 330; Utilities 480; Discounts allowed 2,400; Salaries and wages 24,210; Sundry expenses 6,720; Depreciation - motor vehicles 840; Depreciation - office equipment 1,350 — total expenses (41,190) **Net profit for the year 36,690**

(b) Statement of financial position as at 30 June 2015 (Sh."000")

Non-current assets: Land and buildings 48,000; Motor vehicles: cost 4,200, accumulated depreciation (1,200 + 840) (2,040), net book value 2,160; Office equipment: cost 9,000, accumulated depreciation (3,105 + 1,350) (4,455), net book value 4,545; Investments 20,400. Total non-current assets 75,105. **Current assets:** Inventory (14,640 - 3,000) 11,640; Trade receivables (W2) 15,540 less provision for doubtful debts (1,395) = 14,145; Cash in hand 510; Bank balance 660. Total current assets 26,955. **Total assets 102,060. Capital:** Balance at 1 July 2014 59,100; add net profit 36,690; less drawings (rent converted 300 + personal expenses 20,730) (21,030). Capital at 30 June 2015 74,760. **Current liabilities:** Trade payables 27,300. **Total capital and liabilities 102,060** — the statement balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Gross profit adjusted for goods sold but included in closing inventory: 63,600 - 3,000 (2) **(2)**
- (a) Returns overcast added back +90 and sales overcast deducted -450, giving adjusted gross profit 60,240 (2) **(2)**
- (a) Rent income 14,160 + 300 unrecorded rent = 14,460, the 300 treated as drawings (1) **(1)**
- (a) Other income: discounts received 2,760 and bad debts recovered 420 (1) **(1)**
- (a) Expenses correctly listed: rates and insurance 4,860, bad debts 330, utilities 480, discounts allowed 2,400, salaries and wages 24,210, sundry expenses 6,720 (2) **(2)**
- (a) Depreciation: motor vehicles 20% x 4,200 = 840 (1) **(1)**
- (a) Depreciation: office equipment 15% x 9,000 = 1,350 (1) **(1)**
- (a) Net profit Sh.36,690,000 correctly derived (2) **(2)**
- (b) Land and buildings 48,000 and investments 20,400 (1) **(1)**
- (b) Motor vehicles net book value 2,160 (accumulated depreciation updated to 2,040) (1) **(1)**
- (b) Office equipment net book value 4,545 (accumulated depreciation updated to 4,455) (1) **(1)**
- (b) Closing inventory 11,640 after removing the invoiced goods of 3,000 (1) **(1)**
- (b) Trade receivables adjusted to 15,540 (discount not posted) less provision 1,395 = 14,145 (1) **(1)**
- (b) Cash in hand 510 and bank balance 660 (1) **(1)**
- (b) Capital reconciled: 59,100 + 36,690 - drawings 21,030 (rent 300 + personal expenses 20,730) = 74,760 (1) **(1)**
- (b) Trade payables 27,300 and both sides agreeing at 102,060 (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M05-Q014 – CA11-M05-Q039. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Income Statement of a Sole Trader
- Statement of Financial Position
- Adjustments and Worked Examples

It brought together **3 KASNEB past-paper worked examples** and **30 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 5 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Trading and profit and loss account with special items: approval sales, drawings in kind, abnormal loss and a capital purchase inside purchases

P. Otieno carries on a hardware business, Otieno Hardware, in Kisumu. The following information relates to the year ended 31 December 2025:

Sales Sh.9,240,000; returns inwards Sh.210,000; opening stock Sh.680,000; purchases Sh.5,940,000; returns outwards Sh.120,000; carriage inwards Sh.96,000; closing stock (at cost, per stocktake) Sh.754,000; rent Sh.420,000; salaries Sh.1,150,000; carriage outwards Sh.88,000; advertising Sh.150,000; discount allowed Sh.42,000; discount received Sh.38,000; bad debts Sh.25,000; depreciation Sh.130,000; insurance Sh.96,000.

Additional information:
1. The purchases figure includes Sh.180,000 paid for a delivery motorcycle for the business.
2. Otieno took goods costing Sh.36,000 from the shop for his family's use. No entry has been made.
3. During the year, a fire destroyed stock costing Sh.60,000. The loss was not insured and no entry has been made.
4. Goods invoiced at Sh.90,000 (cost Sh.64,000) were sent to a customer on a sale-or-return basis and recorded as a sale. The customer had not approved the goods by 31 December 2025, and the goods are not included in the closing stock figure.

Required:
(a) Show the workings for net sales and for adjusted purchases. (4 marks)
(b) Prepare the trading section of the income statement, showing the gross profit. (8 marks)
(c) Prepare the profit and loss section of the income statement, showing the net profit. (5 marks)
(d) Explain briefly why the goods sent on sale or return are not treated as a sale at 31 December 2025. (3 marks)

Model answer (SokoCPA)

(a) Workings

Net sales: 9,240,000 − 210,000 (returns inwards) − 90,000 (approval sale cancelled) = **Sh.8,940,000**

Adjusted purchases: 5,940,000 − 180,000 (motorcycle — a capital asset, not goods for resale) − 36,000 (goods taken by the owner — drawings in kind, at cost) = **Sh.5,724,000**

Adjusted closing stock: 754,000 + 64,000 (approval goods returned to stock at cost) = **Sh.818,000**

(b) Trading section

```
                          Otieno Hardware
        Income statement for the year ended 31 December 2025 (extract)
                                                    Sh.            Sh.
Sales                                            9,240,000
Less: Returns inwards                             (210,000)
Less: Goods on approval not yet approved           (90,000)
Net sales                                                       8,940,000
Less: Cost of sales
  Opening stock                                    680,000
  Purchases                          5,724,000
```

```
  Add: Carriage inwards                96,000
                                   5,820,000
  Less: Returns outwards             (120,000)
  Cost of goods available for sale  6,380,000
  Less: Closing stock                (818,000)
  Cost of sales                                 5,562,000
  Less: Abnormal loss of stock (fire)
        credited to trading account                (60,000)
  Cost of goods actually sold                                    (5,502,000)
Gross profit                                                       3,438,000
```

Check: 8,940,000 − 5,502,000 = 3,438,000. ✓ The fire loss is credited to the trading account in full because the trading account is prepared under normal conditions; the loss itself is charged in the profit and loss section below.

(c) Profit and loss section

```
Gross profit b/d                                                3,438,000
Add: Discount received                                             38,000
                                                                3,476,000
Less: Expenses and losses
  Rent                                            420,000
  Salaries                                      1,150,000
  Carriage outwards                                88,000
  Advertising                                     150,000
  Discount allowed                                 42,000
  Bad debts                                        25,000
  Depreciation                                    130,000
  Insurance                                        96,000
  Abnormal loss of stock (fire, uninsured)         60,000    (2,161,000)
Net profit                                                      1,315,000
```

Check: 3,476,000 − 2,161,000 = 1,315,000. ✓ Note that carriage **outwards** (88,000) is a selling expense here, while carriage **inwards** (96,000) sits in the trading section.

(d) Goods on sale or return

No sale has taken place because the customer has not yet approved the goods: the risks and rewards of ownership have not passed, and the customer may still return them. The Sh.90,000 must therefore be removed from sales (and from debtors), and the goods recognised as Otieno's own stock at **cost** (Sh.64,000), not at the invoice price.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Net sales working: 9,240,000 − 210,000 returns inwards − 90,000 approval sale cancelled = 8,940,000 **(2)**
- Adjusted purchases: 5,940,000 − 180,000 motorcycle (capital item excluded) − 36,000 drawings in kind at cost = 5,724,000 **(2)**
- Cost of sales build: opening stock 680,000 + adjusted purchases 5,724,000 + carriage inwards 96,000 − returns outwards 120,000 = 6,380,000 **(2)**
- Closing stock adjusted to 818,000 (754,000 + 64,000 approval goods at cost), giving cost of sales 5,562,000 **(2)**
- Abnormal fire loss of 60,000 credited in the trading account, so cost of goods actually sold is 5,502,000 **(2)**
- Gross profit Sh.3,438,000 **(2)**
- Discount received 38,000 added below gross profit **(1)**

- Profit and loss expenses complete and correctly classified (rent 420,000; salaries 1,150,000; carriage outwards 88,000; advertising 150,000; discount allowed 42,000; bad debts 25,000; depreciation 130,000; insurance 96,000 — total 2,101,000) **(2)**
- Abnormal fire loss of 60,000 charged in the profit and loss section **(1)**
- Net profit Sh.1,315,000 **(1)**
- (d) Explanation: no sale until approval — risks/rewards not passed; selling price reversed from sales, goods restored to stock at cost **(3)**

Question 2 (20 marks)

Statement of financial position of a sole trader in order of permanence; trial balance distinguished; liquid assets

After preparing her income statement for the year ended 31 December 2025, the books of G. Muthoni, a sole trader, showed the following balances (Sh.):

Freehold shop premises at cost 4,200,000; delivery van at cost 1,600,000 (accumulated depreciation 640,000); furniture and fittings at cost 450,000 (accumulated depreciation 90,000); stock 925,000; debtors 786,000; provision for bad debts 39,300; bank 149,300; cash 48,000; prepaid insurance 18,000; creditors 643,000; accrued rent 36,000; bank loan 800,000; capital 5,400,000; net profit for the year 1,148,000; drawings 620,000.

Required:
(a) Prepare Muthoni's statement of financial position as at 31 December 2025 in vertical format, in order of permanence. (14 marks)
(b) State FOUR differences between a trial balance and a statement of financial position. (4 marks)
(c) Compute the liquid (quick) assets of the business. (2 marks)

Model answer (SokoCPA)

(a) Statement of financial position

G. Muthoni Statement of Financial Position as at 31 December 2025	Cost Sh.	Acc. Dep. Sh.	NBV Sh.
Non-current assets			
Freehold shop premises	4,200,000	–	4,200,000
Delivery van	1,600,000	640,000	960,000
Furniture and fittings	450,000	90,000	360,000
	6,250,000	730,000	5,520,000
Current assets			
Stock			925,000
Debtors	786,000		
Less: Provision for bad debts	(39,300)		746,700
Bank			149,300
Cash			48,000
Prepayments (insurance)			18,000
			1,887,000
Total assets			7,407,000
Financed by:			
Capital			5,400,000
Add: Net profit			1,148,000
Less: Drawings			(620,000)
			5,928,000
Non-current liabilities			

Bank loan	800,000
Current liabilities	
Creditors	643,000
Accrued rent	36,000
	679,000
Total equity and liabilities	7,407,000

Check: 5,520,000 + 1,887,000 = 7,407,000; 5,928,000 + 800,000 + 679,000 = 7,407,000. ✓

(b) Trial balance vs. statement of financial position (any four)

1. **Purpose** — the trial balance checks the arithmetical accuracy of the double entry; the SOFP reveals the financial position of the business.
2. **What it proves** — the trial balance proves total debits equal total credits; the SOFP proves assets equal capital plus liabilities.
3. **Timing** — the trial balance is prepared before the income statement; the SOFP is prepared after it (net profit is needed to update capital).
4. **Closing stock** — not included in the trial balance; included as a current asset in the SOFP.
5. **Accruals and prepayments** — do not appear in the trial balance; they appear in the SOFP (accrued expenses as liabilities, prepayments as assets).
6. **Coverage** — the trial balance lists all account balances (real, personal and nominal); the SOFP contains only asset, liability and capital balances.

(c) Liquid (quick) assets

Liquid assets = current assets − stock − prepayments = 1,887,000 − 925,000 − 18,000 = **Sh.944,000** (debtors 746,700 + bank 149,300 + cash 48,000).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Non-current assets schedule with cost and accumulated depreciation columns; premises NBV 4,200,000 **(1)**
- Delivery van NBV 960,000 and furniture NBV 360,000; total non-current assets 5,520,000 (accumulated depreciation deducted from cost, never shown as a liability) **(3)**
- Stock 925,000 included in current assets **(1)**
- Debtors shown net of the provision for bad debts: 786,000 − 39,300 = 746,700 **(2)**
- Bank 149,300, cash 48,000 and prepaid insurance 18,000 included; total current assets 1,887,000 **(2)**
- Capital correctly updated: 5,400,000 + net profit 1,148,000 − drawings 620,000 = 5,928,000 **(3)**
- Bank loan 800,000 shown as a non-current liability, separate from capital **(1)**
- Creditors 643,000 and accrued rent 36,000 shown as current liabilities; statement balances at 7,407,000 **(1)**
- (b) Four valid differences between a trial balance and a statement of financial position (1 mark each: purpose; what each proves; timing; closing stock; accruals/prepayments; columns; coverage) **(4)**
- (c) Liquid assets computed as current assets less stock and prepayments = 944,000 (or debtors 746,700 + bank 149,300 + cash 48,000) **(2)**

Question 3 (20 marks)

Full final accounts from a trial balance: accruals, prepayments, straight-line and reducing-balance depreciation, bad debts written off, provisions for bad debts and discount on debtors, accrued loan interest, drawings in kind

The following trial balance was extracted from the books of R. Njeri, a sole trader carrying on business as Njeri Fashion House, Thika, as at 31 December 2025:

	Dr. Sh.	Cr. Sh.
Premises at cost	2,400,000	
Equipment at cost	600,000	
Motor van at cost	900,000	
Provision for depreciation – equipment		180,000
Provision for depreciation – motor van		153,000
Stock, 1 January 2025	310,000	
Purchases	3,850,000	
Sales		5,900,000
Returns inwards	65,000	
Returns outwards		55,000
Carriage inwards	84,000	
Carriage outwards	52,000	
Salaries	985,000	
Rent	390,000	
Insurance	84,000	
Discount allowed	30,000	
Discount received		44,000
Bad debts written off	18,000	
Provision for bad debts		25,000
Debtors	640,000	
Creditors		545,000
Bank	388,000	
Cash	42,000	
Drawings	240,000	
Capital		3,600,000
Bank loan		600,000
Interest on loan paid	24,000	
Totals	**11,102,000**	**11,102,000**

Additional information: 1. Closing stock at 31 December 2025: Sh.395,000. 2. Salaries accrued at the year end: Sh. 55,000. 3. Rent prepaid at the year end: Sh.30,000; insurance prepaid: Sh.12,000. 4. Depreciation: equipment at 10% per annum on cost; motor van at 20% per annum on the reducing balance. 5. A debtor owing Sh.20,000 is to be written

off as a bad debt. The provision for bad debts is to be 5% of the remaining debtors. 6. A provision for discount on debtors of 2% is to be created. 7. Njeri took goods costing Sh.15,000 for her personal use. No entry has been made. 8. The bank loan carries interest at 8% per annum.

Required: (a) The income statement for the year ended 31 December 2025. (12 marks) (b) The statement of financial position as at 31 December 2025. (8 marks)

Model answer (SokoCPA)

Workings

- **W1 Depreciation:** equipment 10% × 600,000 = 60,000; motor van 20% × (900,000 − 153,000) = 20% × 747,000 = 149,400. Total 209,400.
- **W2 Debtors:** 640,000 − 20,000 (written off) = 620,000. Provision for bad debts = 5% × 620,000 = 31,000 (increase of 31,000 − 25,000 = 6,000 charged). Provision for discount on debtors = 2% × (620,000 − 31,000) = 2% × 589,000 = 11,780.
- **W3 Loan interest:** 8% × 600,000 = 48,000 for the year; paid 24,000, so 24,000 is accrued.

(a) Income statement for the year ended 31 December 2025

Net sales: 5,900,000 − 65,000 (returns inwards)			5,835,000
Cost of sales:			
Opening stock		310,000	
Purchases 3,850,000 − 15,000 (drawings in kind)		3,835,000	
Carriage inwards		84,000	
		4,229,000	
Less: Returns outwards		(55,000)	
Less: Closing stock		(395,000)	(3,779,000)
Gross profit			2,056,000
Add: Discount received			44,000
			2,100,000
Less: Expenses			
Carriage outwards		52,000	
Salaries 985,000 + 55,000 accrued		1,040,000	
Rent 390,000 − 30,000 prepaid		360,000	
Insurance 84,000 − 12,000 prepaid		72,000	
Discount allowed		30,000	
Bad debts written off (18,000 + 20,000)		38,000	
Increase in provision for bad debts (31,000 − 25,000)		6,000	
Provision for discount on debtors		11,780	
Depreciation: equipment 60,000 + motor van 149,400		209,400	
Interest on loan (W3)		48,000	(1,867,180)
Net profit			232,820

Check: 2,100,000 − 1,867,180 = 232,820. ✓

(b) Statement of financial position as at 31 December 2025

Non-current assets	Cost	Acc. dep.	NBV
Premises	2,400,000	–	2,400,000
Equipment	600,000	240,000	360,000
Motor van	900,000	302,400	597,600
			3,357,600
Current assets			

```
  Stock                                                          395,000
  Debtors 620,000 − provision for bad debts 31,000
        − provision for discount 11,780                          577,220
  Bank                                                           388,000
  Cash                                                            42,000
  Prepayments (rent 30,000 + insurance 12,000)                    42,000
                                                               1,444,220
Total assets                                                     4,801,820

Financed by:
  Capital                                                      3,600,000
  Add: Net profit                                                232,820
  Less: Drawings (240,000 + 15,000 goods)                       (255,000)
                                                               3,577,820
Non-current liabilities
  Bank loan                                                    600,000
Current liabilities
  Creditors                                                      545,000
  Accrued salaries                                                55,000
  Accrued loan interest                                           24,000
                                                                 624,000
Total equity and liabilities                                   4,801,820
```

Final check: 3,357,600 + 1,444,220 = 4,801,820; 3,577,820 + 600,000 + 624,000 = 4,801,820. ✓ Accrued loan interest is 48,000 − 24,000 paid = 24,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Net sales 5,835,000 (5,900,000 − 65,000 returns inwards) **(1)**
- Purchases adjusted for drawings in kind at cost (3,835,000); cost of sales 3,779,000 built with carriage inwards added, returns outwards and closing stock deducted **(2)**
- Gross profit Sh.2,056,000 **(1)**
- Accruals and prepayments applied in both directions: salaries 1,040,000 (985,000 + 55,000); rent 360,000 (390,000 − 30,000); insurance 72,000 (84,000 − 12,000) **(3)**
- Bad debts charged at 38,000 (18,000 in the trial balance plus the further 20,000 written off) **(1)**
- Provision for bad debts recomputed at 5% of 620,000 = 31,000 and only the increase of 6,000 charged **(2)**
- Provision for discount on debtors 11,780 = 2% of (620,000 − 31,000) = 589,000 **(2)**
- Depreciation: equipment 60,000 (10% on cost); motor van 149,400 (20% reducing balance on 747,000) **(2)**
- Loan interest charged in full at 48,000 (8% × 600,000) **(1)**
- Net profit Sh.232,820 **(1)**
- SOFP non-current assets at NBV with updated accumulated depreciation (equipment 240,000; motor van 302,400); total non-current assets 3,357,600 **(2)**
- SOFP: debtors shown net at 577,220 (after both provisions); prepayments 42,000 as current assets; accrued salaries 55,000 and accrued loan interest 24,000 as current liabilities; capital 3,577,820 with drawings including the goods taken (255,000); statement balances at 4,801,820 **(2)**

Question 4 (20 marks)

Special treatments: free samples, goods on approval included in stock at invoice price, insured stock loss; classification of items between the trading section, profit and loss and the statement of financial position

The following matters arose in the books of Barasa Agro Supplies, Eldoret, during the year ended 31 December 2025.

Required:

(a) Barasa gave away goods costing Sh.45,000 as free samples at an agricultural show. Show the journal entry and state where the cost appears in the final accounts. (3 marks)

(b) Goods invoiced at Sh.120,000 (cost Sh.84,000) were sent to a customer on approval and recorded as a sale. At the year end the goods had not been approved and were included in closing stock at the invoice price of Sh.120,000. State the corrections needed in the final accounts. (5 marks)

(c) A fire destroyed stock costing Sh.200,000. The insurer admitted a claim of Sh.150,000. Explain the treatment in the trading account, the profit and loss account and the statement of financial position. (4 marks)

(d) For each of the following items, state whether it belongs in the trading section, the profit and loss section, or the statement of financial position (an item may affect two statements): (i) carriage inwards; (ii) carriage outwards; (iii) accrued wages; (iv) goods taken by the owner for personal use; (v) depreciation of shop fittings; (vi) discount received; (vii) sale proceeds of an old delivery van; (viii) prepaid rent. (8 marks)

Model answer (SokoCPA)

(a) Free samples

```
Dr. Advertisement account                    45,000
    Cr. Purchases account                              45,000
(Being goods given away as free samples)
```

The goods are removed from purchases at **cost** (they were never sold), and the Sh.45,000 is charged in the profit and loss account as **advertisement**, a selling expense.

(b) Goods on approval

Two corrections are needed:

1. **Cancel the sale:** Dr. Sales 120,000 / Cr. Debtors (customer's account) 120,000. No approval means no sale has taken place, so both sales and debtors are overstated by the invoice price.
2. **Restate the closing stock at cost:** the goods are already inside closing stock, but at the invoice price of 120,000. They must be carried at **cost, Sh.84,000** — closing stock is reduced by the Sh.36,000 mark-up.

Net effect: sales fall by 120,000, debtors fall by 120,000, stock falls by 36,000, and profit falls by 36,000.

(c) Insured stock loss

- **Trading account:** credited with the **full cost** of the stock destroyed (Sh.200,000), because the trading account is prepared under normal conditions and abnormal losses do not belong in cost of sales.
- **Profit and loss account:** the claim of Sh.150,000 admitted by the insurer is credited (or set against the loss); the **uninsured balance of Sh.50,000** (200,000 − 150,000) is the loss charged to profit and loss.
- **Statement of financial position:** the Sh.150,000 claim is shown as a **current asset** (insurance claim receivable) until the cash is received.

(d) Classification

Item	Where it belongs
(i) Carriage inwards	Trading section (part of cost of sales)

Item	Where it belongs
(ii) Carriage outwards	Profit and loss (selling and distribution expense)
(iii) Accrued wages	Added to wages in profit and loss; the accrued balance is a current liability in the SOFP
(iv) Goods taken by the owner	Credited to purchases in the trading section (at cost); increases drawings in the SOFP capital section
(v) Depreciation of shop fittings	Profit and loss (and accumulated depreciation deducted from the asset in the SOFP)
(vi) Discount received	Profit and loss — other income (credit side)
(vii) Sale proceeds of an old delivery van	**Not** sales: only the profit or loss on disposal goes to profit and loss; the proceeds are never part of trading sales
(viii) Prepaid rent	Deducted from rent in profit and loss; shown as a current asset in the SOFP

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Journal: Dr Advertisement 45,000 / Cr Purchases 45,000, goods removed at cost and the charge shown as advertisement in profit and loss **(3)**
- (b) Sale cancelled: Dr Sales 120,000 / Cr Debtors 120,000 (invoice price) **(2)**
- (b) Closing stock restated from invoice price to cost: 120,000 → 84,000 (reduced by the 36,000 mark-up) **(2)**
- (b) Effects correctly stated: sales and debtors fall by 120,000 and profit falls by 36,000 **(1)**
- (c) Trading account credited with the full cost of 200,000 (abnormal losses excluded from cost of sales) **(1)**
- (c) Insurance claim of 150,000 recognised and the net uninsured loss of 50,000 charged to profit and loss **(2)**
- (c) The admitted claim of 150,000 shown as a current asset (receivable) in the statement of financial position **(1)**
- (d) Eight classifications correct (1 mark each): inwards—trading; outwards—P&L; accrued wages—P&L plus current liability; owner's goods—trading credit and drawings; depreciation—P&L; discount received—P&L income; van proceeds—not sales (disposal result only in P&L); prepaid rent—P&L deduction plus current asset **(8)**

Question 5 (20 marks)

Limitations of financial statements; a sole trader's income tax and private expenses treated as drawings; grouping and marshalling

Required:

(a) Explain FIVE limitations of financial statements. (10 marks)

(b) During the year, a sole trader paid his personal income tax of Sh.85,000 and his family's house rent of Sh.240,000 from the business bank account, recording both payments as business expenses. Explain the correct treatment of each payment and the effect of the error on the reported profit and on capital. (5 marks)

(c) Distinguish between "grouping" and "marshalling" in the preparation of a statement of financial position, name the two orders of marshalling, and state the order normally expected in KASNEB examinations. (5 marks)

Model answer (SokoCPA)

(a) Limitations of financial statements (any five)

1. **Choice of accounting policies** — management chooses between acceptable policies for stock valuation, depreciation, provisions and research and development. Two identical businesses can therefore report different profits, and comparison is weakened.

2. **One set of statements, many users** — owners, workers, investors, creditors and the government all want different information; a single set of statements cannot serve all of them equally well.
3. **Only monetary items appear** — matters that cannot be measured in money, such as worker morale, management quality, customer loyalty and research effort, are omitted even though they drive future profits.
4. **Human resources are not recognised** — the workforce is often the most important asset of a business, yet it cannot yet be meaningfully valued and so never appears in the statement of financial position.
5. **Inflation distorts values** — assets are carried at historical cost, which falls out of line with current prices; profit measured against outdated costs can be misleading and partly illusory.

(b) The trader's private payments

- **Income tax Sh.85,000:** a sole trader's income tax is a **personal** liability, not a business expense. It must be treated as **drawings** (Dr. Drawings / Cr. Bank).
- **House rent Sh.240,000:** under the **business entity concept** the family home is separate from the business; this too is **drawings**, not rent expense.
- **Effect of the error:** recording both as expenses **understated profit by Sh.325,000** (85,000 + 240,000). Correcting them adds 325,000 back to profit and records 325,000 of drawings, so the closing **capital is unchanged** overall — but the profit figure (used for tax, credit and performance assessment) was wrong.

(c) Grouping and marshalling

- **Grouping** is bringing items of a similar nature under one head (for example, stock, debtors, bank and cash grouped as "current assets").
- **Marshalling** is arranging the grouped assets and liabilities in a logical order. The two orders are: **order of liquidity** (most liquid first; liabilities in the order they fall due) and **order of permanence** (least liquid/ permanent items first).
- KASNEB normally expects the **order of permanence**: non-current assets first, then current assets; capital, then non-current liabilities, then current liabilities.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Limitation explained: choice of accounting policies lets identical businesses report different profits **(2)**
- Limitation explained: one set of statements must serve many different users **(2)**
- Limitation explained: only monetary items are recorded (morale, loyalty, quality omitted) **(2)**
- Limitation explained: human resources, the key asset, are not recognised/valued **(2)**
- Limitation explained: inflation/historical cost makes values and profit misleading **(2)**
- (b) Sole trader's income tax identified as drawings, not a business expense **(2)**
- (b) Family house rent identified as drawings under the business entity concept **(1)**
- (b) Effect stated: profit was understated by 325,000; correction raises profit by 325,000 and records equal drawings, leaving closing capital unchanged **(2)**
- (c) Grouping defined: items of a similar nature brought under one head **(1)**
- (c) Marshalling defined: arrangement of the groups in a logical order **(1)**
- (c) Both orders named: liquidity and permanence **(2)**
- (c) Order of permanence stated as the order normally expected **(1)**

MODULE 6 OF 12

Financial Statements of a Partnership

Partnership Fundamentals · The Appropriation Account · Current vs Fixed Capital · Admission, Retirement and Ratio Changes

MODULE 6 · FINANCIAL STATEMENTS OF A PARTNERSHIP — LESSON 1

Partnership Fundamentals

Learning Objectives

By the end of this lesson, you will be able to:

1. Define a partnership and identify its four key elements.
2. Distinguish a general partnership from a limited partnership.
3. State the essential contents of a partnership agreement.
4. List the rights of partners and the liability rules for incoming, retiring and minor partners.
5. Apply the five default rules that operate when there is no agreement.
6. Explain how partnership accounting differs from sole-trader accounting.

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1. What Is a Partnership?

The Kenya Partnership Act of 1962 defines a partnership as **the relationship which exists between persons carrying on a business in common with a view of profit**. Four key elements run through every definition:

1. **Two or more individuals** — a partnership needs at least two partners (Kenyan law sets a maximum of 20).
2. **A business arrangement** — it exists to carry on a business (trade, occupation or profession).
3. **Profit motive** — the partners seek to generate a profit.
4. **An unincorporated business entity** — this has three consequences: - The business-entity principle applies: for accounting purposes the partnership is separate from the partners. - The partners have **unlimited liability**. - If the partnership cannot pay its liabilities, the partners may be called upon to use their **personal assets** to clear them.

Note what does *not* create a partnership: common property or part ownership, sharing returns, loans offered, or debts. A loan to a business does not make the lender a partner.

2. Types of Partnership

- **General partnership** (Partnership Act 1962, Cap 29): all partners have unlimited liability because they take part in managing the business.
- **Limited partnership** (Limited Partnership Act, Cap 30): one or more **general partners** with unlimited liability, plus one or more **limited partners** whose liability is limited to the capital they contributed. A limited partner has **no right to share in management** — if they do, their liability becomes unlimited for the firm's debts.

The purpose of a limited partnership is to give limited liability to partners who do not wish to take an active part. The same objective can be achieved by forming a private company, so very few limited partnerships exist.

2A. Partnership vs. Sole Trader vs. Limited Company

Feature	Sole trader	Partnership	Limited company
Owners	One individual	Two or more persons (max 20)	Shareholders
Legal personality	None — owner and business are one	None — unincorporated	Separate legal person

Feature	Sole trader	Partnership	Limited company
Liability	Unlimited	Unlimited (general partners)	Limited to shares held
Profit sharing	Owner keeps all	Agreed ratio (or equally by default)	Dividends to shareholders
Continuity	Ends with the owner	Ends on admission/retirement unless agreed	Perpetual succession
Accounts	Income statement + SOFP	Plus appropriation account and partners' current accounts	Full statutory accounts

Why do people choose partnership over going solo? A partnership pools **capital** (two people can fund a bigger shop than one), **skills** (an accountant partners with a marketer), **workload** (illness or travel does not stop the business), and **risk** (losses are shared). The price is shared profit, shared control, and unlimited liability — which is exactly why the written agreement matters so much.

3. The Partnership Agreement

A partnership can be formed **without any legal formalities** — by any two or more people, with the agreement written, verbal, or even inferred from conduct. But a written agreement is strongly recommended to avoid future disputes. A good written agreement covers:

a. The names of the firm and the location of the business. b. The nature of the business to be carried on. c. The amount of capital each partner contributes and leaves in the business. d. The ratio in which profits are shared (one partner may take a greater share for doing more work). e. The rate of interest on capital and on drawings. f. Salaries, commissions or bonuses for partners. g. Any variations in the usual rights of a partner. h. The method to follow on admission or retirement of a partner. i. The method to follow in the event of dispute. j. The duration of the partnership. k. How accounts are prepared and inspected.

Why insist on writing? Because partnerships fail over money and memory. Two partners remember the profit ratio differently; one claims a salary was agreed, the other denies it; a partner dies and the family claims a share nobody discussed. A signed agreement settles each of these in minutes. KASNEB examining teams reward candidates who justify the written agreement with exactly this reasoning: it is evidence, it is referable, and it prevents expensive, acrimonious disputes.

4. Rights and Liabilities of Partners

Rights: every partner may take part in managing the business, must be consulted on matters affecting it, has free access to all books and records, and is entitled to share in profits.

Liabilities: - An **incoming partner** is not liable for debts incurred *before* joining, unless they agree to be. - A **retiring partner** remains liable for obligations incurred *before* retirement — and even for future obligations if they do not give **public notice** of retirement. - A **minor** may be admitted to the *benefits* of a partnership with all partners' consent. The minor is not personally liable, but their share in the partnership property and profits is liable for the firm's debts. Within six months of attaining majority, the minor must elect whether to continue; without public notice of refusal, they become a full partner.

5. Default Rules: When There Is No Agreement

If the partners never agreed otherwise, these five rules apply:

1. **No partner has the right to a salary.**

2. **No interest is allowed on capital.** If it is allowed, it is an appropriation of profit — and if profit is less than the interest due, interest is **limited to the profit**; in a loss year, **no interest** is allowed.
3. **No interest is charged on drawings.**
4. **Interest at 6% per annum** is allowed on a partner's **loan** to the firm.
5. **Profits and losses are shared equally.**

These five rules are a favourite KASNEB short question — memorise them.

6. Partnership Accounting vs. Sole-Trader Accounting

Except for the number of partners' equity accounts, partnership accounting is the same as sole-trader accounting. The income statement is prepared in the usual way (Module 5), **but a new section is added: the appropriation account**, which shows how the net profit is shared among the partners. In addition:

- Each partner has a **separate capital account** and (usually) a **separate current account**.
- Interest on a partner's loan is a business **expense** (debited to the income statement), with the credit going to the partner's current account.
- In the statement of financial position, each partner's interest is shown **separately**, and any partner loan appears **separately in the non-current liabilities** section.

7. Common Exam Traps

1. **Treating a partner's salary as an expense** — it is an *appropriation* of profit, not a business expense (unlike employees' salaries).
2. **Allowing interest on capital when there is no agreement** — the default is none; and even when agreed, interest can never exceed the profit.
3. **Confusing a partner's loan with capital** — a loan is a liability, shown separately, earning 6% by default as an *expense*.
4. **Forgetting the 20-partner maximum** or the unlimited-liability consequence of managing a limited partnership.
5. **Assuming a lender is a partner** — loans, shared returns and common property do not create a partnership.

8. Key Terms (Flashcards)

- **Partnership** — The relationship between persons carrying on a business in common with a view of profit (Kenya Partnership Act 1962).
- **Unlimited liability** — Partners' personal assets can be called upon to clear the firm's unpaid liabilities.
- **General partnership** — All partners have unlimited liability and take part in management.
- **Limited partnership** — Has limited partners whose liability is capped at their capital; they may not manage the firm.
- **Partnership agreement (deed)** — The contract setting out capital, profit ratios, interest, salaries, and admission/retirement rules.
- **Default rules** — No salary, no interest on capital or drawings, 6% on partner loans, equal profit sharing — when no agreement exists.
- **Incoming partner** — Newly admitted; not liable for pre-admission debts unless agreed.
- **Retiring partner** — Liable for pre-retirement obligations; must give public notice to end future liability.

9. Lesson Summary

- A partnership is an unincorporated association of two or more persons carrying on business for profit, with unlimited liability.
- A written agreement covering capital, ratios, interest, salaries and changes in membership prevents disputes.
- With no agreement: no salaries, no interest on capital or drawings, 6% on partner loans, equal profit sharing.
- Partnership accounts add the appropriation account and separate capital/current accounts per partner; everything else follows sole-trader principles.

10. Exam Day Tips

- If the question says "no partnership agreement exists", immediately write down the five default rules — they usually unlock the whole question.
- Always separate *appropriations* (salary, interest on capital, interest on drawings) from *expenses* (partner loan interest) — they sit in different statements.
- State the legal authority (Kenya Partnership Act 1962, 20-partner maximum) in theory answers for full marks.

Next: Lesson 2 — The Appropriation Account: salaries, interest on capital and drawings, and sharing the residual profit.

Slide deck at a glance

What is a partnership?

- Kenya Partnership Act 1962: persons carrying on business in common for profit
- Four elements: two or more people, a business, profit motive, unincorporated
- Maximum 20 partners under Kenyan law
- Business-entity principle: the partnership is separate from the partners
- Unlimited liability: personal assets can be called on to clear firm debts
- Loans, shared returns and common property do NOT create a partnership

General vs limited partnership

- General (Partnership Act 1962, Cap 29): all partners manage; all unlimited
- Limited (Limited Partnership Act, Cap 30): general + limited partners
- A limited partner's liability is capped at the capital they contributed
- A limited partner may NOT manage — doing so makes liability unlimited
- Limited partnerships give passive investors limited liability
- Few exist in practice — a private company achieves the same objective

Partnership vs sole trader vs limited company

- Owners: one individual → two or more persons (max 20) → shareholders
- Legal personality: none → none → separate legal person
- Liability: unlimited → unlimited (general partners) → limited to shares
- Profit sharing: owner keeps all → agreed ratio (equal by default) → dividends
- Continuity: ends with the owner → ends on change unless agreed → perpetual
- Accounts: IS + SOFP → plus appropriation account → full statutory accounts

The partnership agreement

- A partnership can form with no legal formalities — written, verbal, even inferred
- But a written agreement is strongly recommended — money and memory fail

- Covers: firm name, nature of business, capital each partner contributes
- Profit ratios; interest on capital and on drawings
- Salaries, commissions or bonuses for partners
- Admission/retirement rules, dispute method, duration, account inspection

Rights and liabilities of partners

- Rights: take part in management, be consulted, access books, share profits
- Incoming partner: not liable for pre-admission debts unless agreed
- Retiring partner: liable for pre-retirement debts; must give public notice
- Minor: admitted to benefits with consent; share liable, person not liable
- Within six months of majority, the minor must elect to continue or not

The five default rules — no agreement

- 1. No partner has the right to a salary
- 1. No interest allowed on capital
- 1. No interest charged on drawings
- 1. 6% per annum on a partner's loan to the firm
- 1. Profits and losses shared equally
- A favourite KASNEB short question — memorise all five
- Even when agreed: interest on capital can never exceed the profit

Partnership accounting vs sole-trader accounting

- The income statement is prepared the usual way (Module 5)
- A new section is added: the appropriation account, which shares net profit
- Each partner has a separate capital account and separate current account
- Partner-loan interest is a business expense (debit the income statement)
- In the SOFP, each partner's interest is shown separately
- A partner's loan is shown separately under non-current liabilities

Common exam traps

- A partner's salary is an appropriation of profit — not a business expense
- No interest on capital without an agreement; never above available profit
- A partner's loan is a liability — never merge it into capital
- Forgetting the 20-partner maximum under the Kenya Partnership Act 1962
- A lender is not a partner — loans do not create partnerships
- A limited partner who manages the firm becomes unlimitedly liable

Key takeaways / exam tips

- Partnership = unincorporated, 2–20 persons, business for profit, unlimited liability
- A written agreement settles capital, ratios, interest, salaries, exits — prevents disputes
- No agreement → defaults: no salary, no interest on capital, 6% on loans, equal sharing
- Appropriations (salary, interest on capital) are not expenses (loan interest is)
- Cite the Kenya Partnership Act 1962 and the 20-partner maximum in theory answers

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M06-Q001 – CA11-M06-Q029. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 6 · FINANCIAL STATEMENTS OF A PARTNERSHIP — LESSON 2

The Appropriation Account

Learning Objectives

By the end of this lesson, you will be able to:

1. Explain why a partnership needs an appropriation account.
2. Distinguish appropriations of profit from business expenses.
3. Account for partners' salaries, interest on capital and interest on drawings with correct double entries.
4. Treat interest on a partner's loan as a business expense.
5. Share the residual profit (or loss) in the profit and loss sharing ratio.
6. Prepare a full appropriation account from a partnership agreement.

---

1. Why an Appropriation Account?

For a sole trader, the net profit is simply transferred to the proprietor's capital account (Dr. Income statement / Cr. Capital account). For a partnership, the income statement is still debited with the profit — but the credit goes to a new statement, the **appropriation account**, which shows how the partners share the net profit for the period.

Two vital distinctions underpin the whole topic:

- **Appropriations of profit** (salaries, interest on capital, interest on drawings) are dealt with in the appropriation account — they divide profit *after* it is earned. They are **not** business expenses.
- **Charges against profit** (notably interest on a partner's *loan*) are business **expenses** — debited to the income statement *before* profit is determined.

2. Partners' Salaries

The term "salary" is misleading. Employees' salaries are business expenses that reduce profit. But partners are the **owners**, so amounts paid to them under the agreement are part of their **share of profit** — guaranteed, so they are credited to the partner's account (usually the current account) **before** the residual profit is shared.

```
Dr. Appropriation account
    Cr. Partner's current account
```

3. Interest on Capital

Paying interest on capital rewards partners for investing funds in the partnership rather than elsewhere. Points to note:

- Interest is paid on **capital balances only** — current account balances are excluded, even though they are part of total capital.
- It is an appropriation: `Dr. Appropriation account / Cr. Partner's current account`.
- If the profit is **less than the interest due**, interest is limited to the profit; in a **loss** year, no interest is allowed.
- Exam questions either give the amounts or give details to calculate them (watch for capital introduced **mid-year** — use average balances).

4. Interest on Drawings

Charging interest on drawings **discourages** partners from withdrawing excessive amounts. The double entry is the mirror image of interest on capital:

```
Dr. Partner's current account
    Cr. Appropriation account
```

Interest on drawings is therefore a **credit** in the appropriation account — it *adds back* to the profit available for sharing. Where drawings are made evenly through the year, charge interest on the **average** level of drawings (e.g., 10% × drawings × 1/2).

5. Interest on a Partner's Loan

A partner's loan is treated like a third-party loan: the interest is a **business expense**.

```
Dr. Income statement (interest expense)
    Cr. Partner's current account (or bank/accruals if paid/unpaid)
```

By default (no agreement), the rate is **6% per annum**. In the study text's Presidential Cleaning illustration, interest on Clinton's loan is deducted from profit *before* the appropriation section begins.

6. Residual Profit (or Loss)

After all appropriations, the **residual profit** is shared in the profit and loss sharing ratio:

```
Dr. Appropriation account
    Cr. Partners' current accounts (each partner's share)
```

If the total of appropriations **exceeds** the profit, the amount to share is a **loss**:

```
Dr. Partners' current accounts
    Cr. Appropriation account
```

Either way, the appropriation account must end with a **nil balance**.

6A. When Appropriations Exceed Profit — Worked Mini-Example

Partners A and B share profits equally. Net profit for the year: Sh.40,000. The agreement allows interest on capital of Sh.20,000 (A) and Sh.15,000 (B), plus a salary of Sh.12,000 to A.

Net profit for the year		40,000
Less: Interest on capital		
A	20,000	
B	15,000	(35,000)
		5,000
Less: Salary – A		(12,000)
Residual LOSS to share		(7,000)
A (1/2)	3,500	
B (1/2)	3,500	7,000
		Nil

The total appropriations (Sh.47,000) exceed the profit (Sh.40,000), so the partners share a **residual loss** of Sh.7,000 equally. The double entry for the loss is the reverse of a profit share:

```
Dr. A's current account  3,500
Dr. B's current account  3,500
    Cr. Appropriation account  7,000
```

The appropriation account still ends at nil: 40,000 (profit) + 7,000 (loss credit) = 47,000 (appropriation debits). Note that even though the firm made a profit of Sh.40,000, the partners' guaranteed appropriations are honoured in full — the shortfall simply reduces their current accounts through the shared loss. This is why the study text stresses: interest on capital can never exceed the profit *available*, but salaries and interest already credited stand, with the residual absorbing the difference.

7. Appropriation Account Format

```
Net profit for the year                                  XXX
Add: Interest on drawings (each partner)                 XXX
Less: Interest on capital (each partner)                (XXX)
Less: Salaries (each partner)                           (XXX)
Balance of profit shared in P&L ratio                    XXX
   Partner A (ratio)  XXX
   Partner B (ratio)  XXX                                (XXX)
                                                        Nil
```

8. Worked Example 1: Presidential Cleaning (Full Agreement)

Partners Clinton, Bush and Obama. Profit for the year: Sh.250,000.

1. Interest on capital at 5% on average balances: Clinton Sh.40,000; Bush Sh.60,000 (plus a Sh.10,000 van contributed halfway through); Obama Sh.20,000.
2. Interest on current accounts at 5% on opening balances: Clinton Sh.10,000; Bush overdrawn Sh.15,000 (excluded); Obama Sh.5,000.
3. Clinton loaned the partnership Sh.30,000 at the start of the year; interest at 5% is an expense.
4. Interest on drawings at 10% on average drawings (made evenly): Clinton Sh.20,000; Bush Sh.30,000; Obama Sh.20,000.
5. Residual profits shared in the ratio of capital contributions.
6. Salaries: Clinton Sh.50,000; Bush Sh.60,000; Obama Sh.45,000.

Solution:

```
Appropriation statement for the year ended 31 March
                                              Sh.          Sh.
Profit for the year                                      250,000
Less: Interest on loan to Clinton (5% x 30,000)            (1,500)
                                                         248,500
Add: Interest on drawings
   Clinton  (10% x 20,000 x 1/2)              1,000
   Bush     (10% x 30,000 x 1/2)              1,500
   Obama    (10% x 20,000 x 1/2)              1,000        3,500
                                                         252,000
Less: Interest on capital
   Clinton  (5% x 40,000)                     2,000
```

```
   Bush     (5% x 60,000 + 5% x 10,000 x 1/2)  3,250
   Obama    (5% x 20,000)                       1,000      (6,250)
                                                          245,750
Less: Interest on current accounts
   Clinton  (5% x 10,000)                         500
   Obama    (5% x 5,000)                          250        (750)
                                                          245,000
Less: Salaries
   Clinton                                    50,000
   Bush                                       60,000
   Obama                                      45,000    (155,000)
                                                           90,000
Share of residue (2:3:1)
   Clinton (2/6 x 90,000)                     30,000
   Bush    (3/6 x 90,000)                     45,000
   Obama   (1/6 x 90,000)                     15,000     (90,000)
                                                              Nil
```

Check: 1,500 interest; drawings interest 3,500; capital interest 6,250 (Bush's includes the half-year van: 3,000 + 250); current interest 750 (Bush excluded — overdrawn); salaries 155,000; residue 90,000 shared 2:3:1 on opening capital contributions (40,000:60,000:20,000). 30,000+45,000+15,000 = 90,000 ✓.

9. Worked Example 2: Wachira, Phylis and Hamisi

Net profit Sh.30,350. Interest on capital: Wachira Sh.2,000; Phylis Sh.1,500; Hamisi Sh.900. Interest on drawings: Wachira Sh.240; Phylis Sh.180; Hamisi Sh.130. Salaries: Phylis Sh.2,000; Hamisi Sh.3,500. Profits shared 50%:30%:20%.

Solution:

```
Net profit for the year                                  30,350
Add: Interest on drawings (240 + 180 + 130)                 550
                                                         30,900
Less: Interest on capital (2,000 + 1,500 + 900)          (4,400)
                                                         26,500
Less: Salaries (2,000 + 3,500)                           (5,500)
                                                         21,000
Share of residue
   Wachira 50% x 21,000   10,500
   Phylis  30% x 21,000    6,300
   Hamisi  20% x 21,000    4,200                        (21,000)
                                                             Nil
```

10. Double-Entry Summary

Transaction	Debit	Credit
Profit for the year	Income statement	Appropriation account
Partners' salaries	Appropriation account	Partners' current accounts
Interest on capital	Appropriation account	Partners' current accounts
Interest on drawings	Partners' current accounts	Appropriation account
Residual profit share	Appropriation account	Partners' current accounts

Transaction	Debit	Credit
Residual loss share	Partners' current accounts	Appropriation account
Interest on partner's loan	Income statement	Current account / bank / accruals
Partner's loan made	Bank (or capital, if converted)	Loan account

11. Common Exam Traps

1. **Putting partner salaries in the income statement** — they are appropriations, dealt with after net profit.
2. **Putting loan interest in the appropriation account** — it is an expense, charged before profit.
3. **Paying interest on capital out of a loss** — never; and interest can never exceed the profit.
4. **Including current account balances in interest-on-capital computations** — capital balances only.
5. **Forgetting that interest on drawings is ADDED** in the appropriation account.
6. **Sharing the residual before dealing with all appropriations** — order: loan interest (expense) → interest on drawings (add) → interest on capital → salaries → residue.
7. **Forgetting the mid-year capital change** — use average/pro-rata balances.

12. Key Terms (Flashcards)

- **Appropriation account** — The statement showing how a partnership's net profit is shared among partners.
- **Residual profit** — Profit remaining after all appropriations, shared in the P&L ratio.
- **Partner's salary** — A guaranteed share of profit; an appropriation, not an expense.
- **Interest on capital** — Reward for funds invested; appropriation on capital balances only.
- **Interest on drawings** — Charge discouraging withdrawals; credited to the appropriation account.
- **Interest on partner's loan** — A business expense (6% default); debited to the income statement.

13. Lesson Summary

- The appropriation account divides net profit: add interest on drawings; deduct interest on capital and salaries; share the residue in the P&L ratio; end at nil.
- Salaries and interest on capital/drawings are appropriations (current-account entries); partner-loan interest is an expense.
- Interest on capital is limited to available profit and paid on capital balances only.
- If appropriations exceed profit, the partners share a residual loss (debit current accounts).

14. Exam Day Tips

- Write the appropriation in the standard vertical format — examiners award presentation marks.
- Compute every appropriation (interest workings, ratios) BEFORE writing the statement.
- Check the arithmetic: appropriations + residue shares must exactly equal profit + interest on drawings.
- If the question mentions a mid-year capital introduction, pro-rate the interest — that is usually the discriminating mark.

Next: Lesson 3 — Current vs. Fixed Capital: the two capital accounts and the statement of financial position.

Slide deck at a glance

Why an appropriation account?

- Sole trader: net profit goes straight to the capital account
- Partnership: net profit goes to the appropriation account, which shares it out
- Appropriations (salary, interest on capital/drawings) divide profit after it is earned
- Charges against profit — notably partner-loan interest — are expenses before profit
- Appropriations sit in the appropriation account; loan interest sits in the IS

Partners' salaries and interest on capital

- Partner's salary = guaranteed share of profit: Dr Appropriation / Cr Current
- Employees' salaries are expenses; partners' salaries are appropriations
- Interest on capital: Dr Appropriation / Cr Partner's current account
- Paid on CAPITAL balances only — current account balances excluded
- Capital introduced mid-year → use average (pro-rata) balances
- If profit < interest due → limited to profit; loss year → no interest allowed

Interest on drawings and partner loans

- Interest on drawings discourages excessive withdrawals: Dr Current / Cr Appropriation
- It is a CREDIT in the appropriation account — added back to profit for sharing
- Even drawings through the year → charge on the average: 10% × drawings × 1/2
- Partner-loan interest is a business expense: Dr IS / Cr Current (or bank)
- Default rate: 6% per annum when the agreement is silent
- Example: Clinton's Sh.30,000 loan at 5% → Sh.1,500 charged before appropriation

Residual profit (or loss)

- After all appropriations, share the residue in the P&L ratio
- Profit: Dr Appropriation / Cr Partners' current accounts
- Loss (appropriations exceed profit): Dr Current accounts / Cr Appropriation
- Either way, the appropriation account ends with a NIL balance
- Order: loan interest (expense) → drawings int. (add) → capital int. → salaries → residue

When appropriations exceed profit

- A and B share equally; profit Sh.40,000 but appropriations Sh.47,000
- Interest on capital: A 20,000 + B 15,000; salary to A 12,000
- Residual LOSS of Sh.7,000 shared equally: Dr current accounts 3,500 each
- Account still balances: 40,000 profit + 7,000 loss credit = 47,000 ✓
- Guaranteed appropriations stand — the shortfall reduces current accounts
- Lesson: a firm can be profitable yet share a residual loss

Double-entry summary

- Profit for the year: Dr Income statement / Cr Appropriation account
- Salaries: Dr Appropriation / Cr Partners' current accounts
- Interest on capital: Dr Appropriation / Cr Partners' current accounts
- Interest on drawings: Dr Partners' current accounts / Cr Appropriation
- Residual profit: Dr Appropriation / Cr Current accounts (loss = reverse)
- Loan interest: Dr Income statement / Cr Current account (expense, not appropriation)

Worked example: Presidential Cleaning

- Profit Sh.250,000 less Clinton's loan interest Sh.1,500 (expense)

- Add interest on drawings: 1,000 + 1,500 + 1,000 = Sh.3,500
- Less interest on capital Sh.6,250 (Bush's van pro-rated for half the year)
- Less interest on current accounts Sh.750 — Bush excluded (overdrawn)
- Less salaries: 50,000 + 60,000 + 45,000 = Sh.155,000
- Residue Sh.90,000 shared 2:3:1 on opening capitals (40,000:60,000:20,000)

Common exam traps

- Putting partner salaries in the income statement — they are appropriations
- Putting loan interest in the appropriation account — it is an expense
- Paying interest on capital out of a loss — never allowed
- Including current-account balances in interest-on-capital computations
- Forgetting that interest on drawings is ADDED in the appropriation
- Sharing the residue before all appropriations are dealt with
- Forgetting the mid-year capital change — pro-rate the interest

Key takeaways / exam tips

- Format: profit + interest on drawings − interest on capital − salaries = residue
- Salary and interest on capital/drawings → current accounts; loan interest → IS
- The residue is shared in the P&L ratio; the account must end at nil
- Compute every appropriation (interest workings, ratios) BEFORE writing the statement
- Check: appropriations + residue shares = profit + interest on drawings
- Mid-year capital changes are pro-rated — the usual discriminating mark

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2024-04-Q2 · April 2024 · 20 marks KASNEB authored

Partnership accounts from incomplete records (Melody & Olivia)

Melody and Olivia commenced a partnership business on 1 January 2023 sharing profit or loss in the ratio of 2:1 after allowing interest on the capital introduced by the partners at a rate of 10% per annum. Olivia was to receive a salary of Sh.80,000 per month starting from 1 February 2023. The partners have not employed a qualified accountant, hence the business lacks complete accounting records.

Summary of the bank statements for the year ended 31 December 2023 (Sh."000"): Receipts — Capital introduced: Melody 7,000; Olivia 4,000; Balance of cash received from customers 25,400. Payments — Purchase of equipment 5,000; motor vehicle 2,000; furniture and fittings 750; godown rent 750; wages 3,544; salary to sales team 2,400; purchase of inventory 19,800; rates 400; repairs and maintenance 125; insurance expenses 110; motor vehicle operating expenses 373.

The following cash payments were made before banking the balance of the cash received from customers (Sh."000"): motor vehicle operating expenses 258; wages 296; general administrative expenses 50; drawings — Melody Sh.15,000 per week; Olivia Sh.12,000 per week.

Additional information: (1) Discount allowed to customers Sh.245,000; discounts received from suppliers Sh. 110,000. (2) As at 31 December 2023, amounts owing to suppliers Sh.1,500,000 and owing by customers Sh. 3,100,000; Sh.400,000 owing by a customer was written off. (3) Rates and insurance prepaid at 31 December 2023: Sh.50,000 and Sh.10,000 respectively. (4) Inventory at 31 December 2023 valued at Sh.2,410,000. (5) The godown had been occupied since 1 January 2023 at an annual rent of Sh.1,000,000. (6) Depreciation (straight line): motor vehicles 20% per annum; equipment, furniture and fittings 10% per annum. (7) Goods

taken by partners for domestic use: Melody Sh.100,000; Olivia Sh.150,000. Assume a 52-week year.
Required: (a) Partnership statement of profit or loss and appropriation account for the year ended 31 December 2023. (10 marks) (b) Partners' current accounts as at 31 December 2023. (4 marks) (c) Statement of financial position as at 31 December 2023. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

W1 — Total receipts from customers: banked 25,400 + cash payments made before banking (258 + 296 + 50 + drawings 15×52=780 and 12×52=624) 2,008 = **27,408**. **W2 — Sales (receivables control):** receipts 27,408 + discounts allowed 245 + bad debts written off 400 + closing receivables 3,100 = **31,153** (opening balance nil — new business). **W3 — Purchases (payables control):** payments to suppliers 19,800 + discounts received 110 + closing payables 1,500 = **21,410**. **W4 — Closing bank balance:** receipts (7,000 + 4,000 + 25,400) 36,400 − payments 35,252 = **1,148**.

(a) Statement of profit or loss and appropriation account

Sales		31,153
Cost of sales: Purchases 21,410 − goods for own use (250) − closing inventory (2,410)		(18,750)
Gross profit		12,403
Add: Discounts received		110
		12,513
Less expenses:		
Wages (3,544 + 296)	3,840	
Salary to sales team	2,400	
Godown rent (annual charge)	1,000	
Rates (400 − 50 prepaid)	350	
Repairs and maintenance	125	
Insurance (110 − 10 prepaid)	100	
Motor vehicle expenses (373+258)	631	
General administrative expenses	50	
Depreciation (400 + 500 + 75)	975	
Discounts allowed	245	
Bad debts written off	400	(10,116)
Net profit		2,397
Appropriation:		
Interest on capital: Melody 700; Olivia 400		(1,100)
Partner salary: Olivia (80 × 11 months)		880
Residual profit shared 2:1 — Melody 278; Olivia 139		417

(b) Partners' current accounts

	Melody	Olivia
Interest on capital	700	400
Salary	–	880
Share of residual profit	278	139
	978	1,419
Less: Drawings — cash	780	624
Drawings — goods	100	150
Balance c/d (Cr)	98	645

(c) Statement of financial position as at 31 December 2023

```
Non-current assets (cost − depreciation):
  Equipment (5,000 − 500)                 4,500
  Motor vehicles (2,000 − 400)            1,600
  Furniture and fittings (750 − 75)         675     6,775
Current assets:
  Inventory                               2,410
  Trade receivables                       3,100
  Prepayments (50 + 10)                      60
  Bank balance                            1,148     6,718
Total assets                                       13,493
Capital accounts: Melody 7,000; Olivia 4,000       11,000
Current accounts: Melody 98; Olivia 645               743
Current liabilities:
  Trade payables                          1,500
  Accrued godown rent (1,000 − 750)           250   1,750
Total capital and liabilities                     13,493
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Sales correctly derived via receivables control = Sh.31,153,000 (incl. cash payments before banking) **(2)**
- Purchases correctly derived via payables control = Sh.21,410,000; goods taken by partners (250) and closing inventory deducted; gross profit Sh.12,403,000 **(2)**
- Expenses correctly adjusted: total wages 3,840; motor vehicle expenses 631; rent charge 1,000 (accrual 250); rates 350 and insurance 100 after prepayments; depreciation 975 **(2)**
- Net profit Sh.2,397,000 **(1)**
- Appropriation: interest on capital 700/400; Olivia salary 880 (11 months only); residual 417 shared 2:1 (278/139) **(2)**
- (b) Current accounts: Melody Cr 98; Olivia Cr 645 (drawings cash 780/624 and goods 100/150 charged) **(1)**
- (c) SOFP balances at Sh.13,493,000: NCA 6,775; bank 1,148 (derived); payables 1,500 and accrued rent 250 **(2)**
- Presentation: statements properly headed and laid out **(1)**
- Workings W1–W4 shown (receipts from customers, control accounts, bank balance) **(2)**
- Discounts: received 110 added after gross profit; allowed 245 expensed **(1)**
- Bad debts written off 400 expensed and excluded from closing receivables derivation **(1)**
- Salary to sales team 2,400 treated as business expense (not partner salary) **(1)**
- No opening balances recognised (business commenced 1 January 2023) **(1)**
- Figures consistently in Sh."000" with no arithmetic slips carried through **(1)**

KASNEB-2023-12-Q2 · December 2023 · 20 marks KASNEB authored

Partnership accounts with guaranteed minimum share (Dadu, Elegwa & Fondo)

Dadu, Elegwa and Fondo have been operating a retail business as partners. The partnership agreement provides: (1) partners are credited with salaries: Dadu Sh.150,000 thousand, Elegwa Sh.75 million, Fondo Sh.75 million per annum; (2) interest on capital balances at the beginning of the year at 5% per annum; (3) no interest on drawings; (4) after salaries and interest on capital, profits/losses are shared 5:3:2, with Fondo's share (exclusive of salary and interest) not less than Sh.150 million in any year, any deficiency borne by the other partners in

their profit-sharing ratio.

Trial balance as at 31 December 2022 (Sh."million"): Dr — Freehold land 900; Buildings (purchased during the year) 675; Buildings (renovations and improvements) 375; Purchases 4,200; Trade receivables 309; Drawings: Dadu 255, Elegwa 165, Fondo 135; Furniture and fittings at cost 540; Inventory (1 January 2022) 630; Salaries and wages 960; Office expenses 678; Rent, rates and insurance 157.5; Professional fees 52.5; Bank balance 655.5. Cr — Capitals: Dadu 1,200, Elegwa 750, Fondo 450; Current accounts: Dadu 240, Elegwa 180, Fondo 120; Sales 6,975; Trade payables 555; Accumulated depreciation — furniture and fittings (1 January 2022) 210; Allowance for doubtful debts (1 January 2022) 7.5. Total 10,687.5 = 10,687.5.

Additional information: (1) Inventory as at 31 December 2022 was Sh.540 million. (2) A debt of Sh.9 million is to be written off and the allowance for doubtful debts provided at 5% of the trade receivables on 31 December 2022. (3) Salaries and wages included monthly drawings by the partners: Dadu Sh.7.5 million, Elegwa Sh.4.5 million, Fondo Sh.3.75 million. (4) Goods supplied to partners from inventory: Dadu Sh.9 million; Elegwa Sh.6 million; Fondo nil. (5) At 31 December 2022, rates paid in advance were Sh.37.5 million and office expenses owing Sh.36 million. (6) Professional fees included Sh.37.5 million paid in respect of the acquisition of the buildings. (7) Depreciation: buildings 2.5% on cost; furniture and fittings 15% on cost. (8) The buildings were brought into use during the year ended 31 December 2022.

Required: (a) Statement of profit or loss and appropriation account for the year ended 31 December 2022. (12 marks) (b) Statement of financial position as at 31 December 2022. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."million".

Workings

- Salaries and wages expense = 960 − partners' monthly salary-drawings (Dadu 7.5×12 = 90; Elegwa 4.5×12 = 54; Fondo 3.75×12 = 45; total 189) = **771**.
- Buildings cost = 675 + 375 + 37.5 (acquisition cost out of professional fees) = 1,087.5; depreciation = 2.5% × 1,087.5 = 27.19. Furniture depreciation = 15% × 540 = 81.
- Receivables after write-off = 309 − 9 = 300; allowance required = 5% × 300 = 15; increase charged = 15 − 7.5 = 7.5.
- Purchases net of goods taken by partners = 4,200 − (9 + 6) = 4,185.

(a) Statement of profit or loss and appropriation account for the year ended 31 December 2022

```
Sales revenue
6,975.00
Cost of sales: opening inventory 630 + purchases 4,185 − closing inventory 540
(4,275.00)
Gross profit
2,700.00
Less expenses:
  Salaries and wages                              771.00
  Office expenses (678 + 36 owing)                714.00
  Rent, rates and insurance (157.5 − 37.5 prepaid) 120.00
  Professional fees (52.5 − 37.5 capitalised)      15.00
  Depreciation — buildings                          27.19
  Depreciation — furniture and fittings             81.00
  Bad debts written off                              9.00
  Increase in allowance for doubtful debts           7.50            (1,744.69)
```

```
Net profit
955.31
Appropriation:
  Partners' salaries: Dadu 150; Elegwa 75; Fondo 75
(300.00)
  Interest on capital at 5%: Dadu 60; Elegwa 37.5; Fondo 22.5
(120.00)
  Residual profit 535.31 shared 5:3:2 — Dadu 267.66; Elegwa 160.59; Fondo 107.06
  Fondo guarantee: 107.06 < 150 → deficiency 42.94 borne Dadu (5/8) 26.84, Elegwa
(3/8) 16.10
  Final shares of residual profit: Dadu 240.82; Elegwa 144.49; Fondo 150.00
```

Partners' current accounts

```
                       Dadu      Elegwa     Fondo
Balance b/f            240.00     180.00    120.00
Salary                 150.00      75.00     75.00
Interest on capital     60.00      37.50     22.50
Share of profit        240.82     144.49    150.00
Less: cash drawings   (255.00)   (165.00)   (135.00)
Less: salary-drawings  (90.00)    (54.00)    (45.00)
Less: goods taken       (9.00)     (6.00)        –
Balance c/d (Cr)       336.82     211.99    187.50
```

(b) Statement of financial position as at 31 December 2022

```
Non-current assets:
  Freehold land                                          900.00
  Buildings (1,087.50 − 27.19)                         1,060.31
  Furniture and fittings (540 − 291)                     249.00   2,209.31
Current assets:
  Inventory                                              540.00
  Trade receivables (300 − 15)                           285.00
  Prepaid rates                                           37.50
  Bank balance                                           655.50   1,518.00
Total assets                                                      3,727.31
Capital accounts: Dadu 1,200; Elegwa 750; Fondo 450               2,400.00
Current accounts: 336.82 + 211.99 + 187.50                          736.31
Current liabilities: Trade payables 555; Accrued office expenses 36 591.00
Total capital and liabilities                                     3,727.31
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Gross profit Sh.2,700 million (purchases net of goods taken 4,185; inventories adjusted) **(2)**
- (a) Salaries expense 771 after removing partners' salary-drawings of 189 **(2)**
- (a) Professional fees: 37.5 capitalised to buildings cost, 15 expensed **(1)**
- (a) Depreciation: buildings 27.19 (on full cost 1,087.5) and furniture 81 **(2)**
- (a) Bad debt 9 written off (receivables 300) and allowance increase 7.5 charged **(1)**
- (a) Rent/rates/insurance charge 120 (prepaid 37.5) and office expenses 714 (accrual 36) **(1)**
- (a) Net profit Sh.955.31 million **(1)**
- (a) Appropriation: salaries 300; interest on capital 120 (60/37.5/22.5); residual 535.31 in 5:3:2 **(2)**

- (a) Guarantee: Fondo topped up to 150, deficiency 42.94 borne 5:3 (Dadu 26.84, Elegwa 16.10); final shares 240.82/144.49/150.00 **(2)**
- (b) Current accounts closing: Dadu 336.82 Cr; Elegwa 211.99 Cr; Fondo 187.50 Cr (all drawings incl. salary-drawings and goods charged) **(2)**
- (b) SOFP balances at Sh.3,727.31 million with correct asset values (buildings NBV 1,060.31; receivables net 285) **(4)**

KASNEB-2019-05-Q3 · May 2019 · 20 marks KASNEB authored

New partnership from incomplete information (Kamau, Johana & Lelei)

Kamau, Johana and Lelei formed a partnership on 1 April 2018. The partnership agreement provided: 1. Interest on capital at 10% per annum. 2. Interest on drawings at 10% per annum. 3. Profits and losses shared in the ratio 2:2:1.

Additional information: Kamau contributed Sh.1,200,000 cash and a building valued at Sh.9,000,000. Johana contributed Sh.3,000,000 cash, a motor vehicle valued at Sh.2,400,000 and inventory valued at Sh.600,000. Lelei contributed Sh.900,000 cash and plant and machinery valued at Sh.600,000. Drawings: Kamau Sh. 2,000,000; Johana Sh.1,000,000; Lelei Sh.300,000. Interest on capital: Kamau Sh.821,918; Johana Sh.493,151; Lelei Sh.123,288. Interest on drawings: Kamau Sh.135,000; Johana Sh.64,000; Lelei Sh.25,000. Current account balances as at 31 March 2019: Kamau Sh.1,440,000; Johana Sh.400,000; Lelei Sh.120,000. Capital accounts at 1 April 2018: Kamau Sh.10,200,000; Johana Sh.6,000,000; Lelei Sh.1,500,000. Cash in hand at 31 March 2019 Sh.1,650,000. Bank overdraft at 31 March 2019 Sh.3,000,000. Inventory at 31 March 2019 Sh. 4,000,000; Allowance for doubtful debts Sh.400,000. Liabilities at 31 March 2019: Trade payables Sh. 1,200,000.

Transactions during the year ended 31 March 2019: 1. Purchases amounted to Sh.26,800,000 of which Sh. 10,000,000 were cash purchases. 2. Distribution costs Sh.440,000. 3. Wages and salaries Sh.3,380,000. 4. Administrative costs Sh.200,000. 5. Accounts receivable as at 31 March 2019 amounted to Sh.2,000,000.

Required: (a) Income statement for the year ended 31 March 2019. (10 marks) (b) Partners' current accounts. (4 marks) (c) Statement of financial position as at 31 March 2019. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh.

Workings

W1 — Credit sales (balancing figure). Credit purchases = 26,800,000 − 10,000,000 = 16,800,000; paid to suppliers = 16,800,000 − closing payables 1,200,000 = 15,600,000. Cash/bank summary: opening cash introduced (1,200,000 + 3,000,000 + 900,000) 5,100,000; payments: cash purchases 10,000,000 + suppliers 15,600,000 + wages and salaries 3,380,000 + distribution costs 440,000 + administrative costs 200,000 + drawings 3,300,000 = 32,920,000; closing position = cash 1,650,000 − overdraft 3,000,000 = (1,350,000). Receipts from debtors = 32,920,000 − 5,100,000 − 1,350,000 = **26,470,000**. Credit sales = 26,470,000 + closing receivables 2,000,000 = **28,470,000**. **W2 — Net profit cross-check (statement of affairs):** closing net assets 15,050,000 (W4) + drawings 3,300,000 − capital introduced 17,700,000 = **650,000** ✓ agrees with the income statement. **W3 — Appropriation:** Net profit 650,000 + interest on drawings (135,000 + 64,000 + 25,000) 224,000 − interest on capital (821,918 + 493,151 + 123,288) 1,438,357 = residual **loss (564,357)**, shared 2:2:1 → Kamau (225,743), Johana (225,743), Lelei (112,871).

(a) Income statement for the year ended 31 March 2019

```
Sales (W1)                                                    28,470,000
Cost of sales: Opening inventory        600,000
               Purchases               26,800,000
               Closing inventory       (4,000,000)          23,400,000
Gross profit                                                   5,070,000
Less expenses: Wages and salaries       3,380,000
               Distribution costs         440,000
               Administrative costs     200,000
               Allowance for doubtful debts 400,000         4,420,000
Net profit                                                       650,000
Appropriation: Add interest on drawings                        224,000
               Less interest on capital                      (1,438,357)
Residual loss shared 2:2:1 — Kamau (225,743); Johana (225,743); Lelei (112,871)
```

(b) Partners' current accounts

```
                       Kamau        Johana        Lelei
Interest on capital     821,918      493,151      123,288   (Cr)
Interest on drawings  (135,000)     (64,000)     (25,000)   (Dr)
Share of residual loss(225,743)    (225,743)    (112,871)   (Dr)
Drawings             (2,000,000)  (1,000,000)    (300,000)   (Dr)
Balance c/d (Dr)      1,538,825      796,592      314,583
```

(c) Statement of financial position as at 31 March 2019

```
Non-current assets: Building 9,000,000; Motor vehicle 2,400,000; Plant and machinery
600,000      12,000,000
Current assets: Inventory 4,000,000; Accounts receivable 2,000,000 less allowance
(400,000) = 1,600,000; Cash in hand 1,650,000   7,250,000
Total
assets
       19,250,000
Capital accounts: Kamau 10,200,000; Johana 6,000,000; Lelei
1,500,000                              17,700,000
Less: Current accounts (debit
balances)                                                      (2,650,000)
Current liabilities: Trade payables 1,200,000; Bank overdraft
3,000,000                             4,200,000
Total capital and
liabilities
19,250,000
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) W1: receipts from debtors derived from cash/bank reconstruction 26,470,000 → credit sales 28,470,000 (2) **(2)**
- (a) Cost of sales 23,400,000 (opening inventory 600,000 + purchases 26,800,000 − closing 4,000,000) and gross profit 5,070,000 (2) **(2)**
- (a) Expenses: wages 3,380,000, distribution 440,000, administration 200,000 (2) **(2)**
- (a) Allowance for doubtful debts charged 400,000 (1) **(1)**
- (a) Net profit 650,000 (agrees with net-assets cross-check) (1) **(1)**

- (a) Appropriation: interest on drawings 224,000 added; interest on capital 1,438,357 deducted; residual loss (564,357) shared 2:2:1 (2) **(2)**
- (b) Current accounts: Kamau Dr 1,538,825; Johana Dr 796,592; Lelei Dr 314,583 (4) **(4)**
- (c) Non-current assets 12,000,000 and current assets 7,250,000 (receivables net of allowance) (3) **(3)**
- (c) Capitals 17,700,000 less debit current accounts 2,650,000; liabilities 4,200,000; statement balances at 19,250,000 (3) **(3)**

KASNEB-2016-05-Q2 · May 2016 · 20 marks KASNEB authored

Partnership accounts (Maria & Bakari)

Maria and Bakari have been in partnership since 1 October 2014 sharing profits and losses in the ratio of 3:2 respectively after allowing for interest on capital of 6% per annum and a monthly salary of Sh.100,000 for Bakari.

The following trial balance was extracted from the books of the partnership as at 30 September 2015 (Sh."000"): Capital accounts: Maria 10,000 Cr, Bakari 6,000 Cr; Current accounts: Maria 280 Cr, Bakari 592 Cr; Drawings: Maria 2,400, Bakari 2,080; Premises at cost 8,400; Equipment at cost 4,000; Accumulated depreciation – equipment (30 September 2014) 800 Cr; Inventory (30 September 2014) 4,064; Purchases 13,240; Sales 22,000 Cr; Cash in hand 112; Bank 552; Salaries and wages (including partners' drawings and salaries) 4,800; Rent, rates and insurance 1,600; Advertising expenses 640; Bad debts 80 Cr [as printed]; Allowance for doubtful debts (30 September 2014) 280 Cr; Accounts receivable 2,080; Accounts payable 600 Cr; Long-term loan (Bangi) 4,000 Cr. Totals 44,312 / 44,312.

Additional information:
1. Inventory as at 30 September 2015 was Sh.4,400,000.
2. Maria's drawings include household expenses of Sh.420,000.
3. As at 30 September 2015, rent of Sh.160,000 had been paid for the year ended 30 September 2016, while salaries and wages of Sh.90,000 were outstanding.
4. As at 30 September 2015, an insurance premium of Sh.90,000 was outstanding.
5. Depreciation on equipment is charged at the rate of 20% per annum using the reducing balance method.
6. As at 30 September 2015, partners' drawings made by Maria amounting to Sh.800,000 were recorded in the purchases account.
7. Partners' salaries are included in the wages and salaries figure given in the trial balance.
8. Interest on capital is correctly shown as an appropriation. [As printed: "5%"]
9. Allowance for doubtful debts is to be maintained at 5% of accounts receivable.
10. An amount of Sh.600,000 was withdrawn from the partnership bank account... [partly faded].

Required: (a) Income statement for the year ended 30 September 2015. (12 marks) (b) Statement of financial position as at 30 September 2015. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Purchases:** 13,240 − 800 (Maria's drawings wrongly recorded in purchases) = **12,440**. Maria's total drawings are therefore 2,400 + 800 = 3,200 (the household expenses of 420 are part of her drawings and need no separate entry).

- **Salaries and wages:** 4,800 − Bakari's salary 1,200 (Sh.100,000 x 12, included in the figure — information 7) + 90 outstanding = **3,690** staff wages expense.
- **Rent, rates and insurance:** 1,600 − 160 prepaid rent + 90 insurance owing = **1,530**.
- **Depreciation (equipment):** 20% x (4,000 − 800) = **640**.
- **Allowance for doubtful debts:** required 5% x 2,080 = 104; existing 280 → **176 released** (credited to the income statement).
- **Bad debts 80** appears as a credit balance in the trial balance as printed and is treated as income (e.g. bad debts recovered).

(a) Income statement for the year ended 30 September 2015

```
Sales revenue                                          22,000
Cost of sales: Opening inventory 4,064 + Purchases
  (adjusted) 12,440 - Closing inventory 4,400          (12,104)
Gross profit                                           9,896
Add: Bad debts recovered (per trial balance)              80
     Release of allowance for doubtful debts             176
Less expenses:
  Salaries and wages (adjusted)                        3,690
  Rent, rates and insurance (adjusted)                 1,530
  Advertising expenses                                   640
  Depreciation - equipment                               640    6,500
Net profit                                             3,652
Appropriation:
  Interest on capital at 6%: Maria 600; Bakari 360      (960)
  Salary: Bakari (100 x 12)                           (1,200)
Residual profit shared 3:2                             1,492
  Maria (3/5) 895.20; Bakari (2/5) 596.80
```

Partners' current accounts:

```
                Maria      Bakari
Balance b/f        280.00    592.00
Interest on capital 600.00    360.00
Salary                -     1,200.00
Share of profit    895.20    596.80
Less: Drawings  (3,200.00) (2,080.00)
Balance c/d    (1,424.80) Dr  668.80 Cr
```

(b) Statement of financial position as at 30 September 2015

```
Non-current assets: Premises                            8,400
  Equipment (4,000 - (800 + 640))                       2,560
Current assets: Inventory                               4,400
  Accounts receivable (2,080 - allowance 104)           1,976
  Prepaid rent                                            160
  Bank                                                    552
  Cash in hand                                            112
Total assets shown                                     18,160

Capital accounts: Maria 10,000; Bakari 6,000           16,000
Current accounts: Bakari 668.80; Maria (1,424.80) Dr      (756)
Long-term loan (Bangi)                                  4,000
Current liabilities: Accounts payable 600; Accrued
```

```
  salaries and wages 90; Accrued insurance 90              780
Total equity and liabilities shown                      20,024
```

Note on the data: the statement does not fully agree on the figures as transcribed from the scanned paper — the trial balance lines themselves do not cast to the printed totals of 44,312, additional information 10 is partly illegible in the scan (a withdrawal of Sh.600,000 from the bank account whose details cannot be read), and information 8 prints an interest rate of 5% against the 6% in the partnership agreement (the agreement's 6% has been used). The method — stripping drawings and the partner's salary out of purchases and wages, accruals and prepayments, the allowance release, and the appropriation — is complete as shown.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Purchases adjusted: 13,240 − 800 of Maria's drawings recorded in purchases = 12,440 (Maria's drawings become 3,200) **(1)**
- (a) Cost of sales 12,104 and gross profit 9,896 correctly derived with closing inventory 4,400 **(2)**
- (a) Salaries and wages correctly adjusted: 4,800 − Bakari's salary 1,200 + 90 outstanding = 3,690 **(2)**
- (a) Rent, rates and insurance adjusted: 1,600 − 160 prepaid + 90 insurance owing = 1,530 **(1)**
- (a) Depreciation on equipment: 20% reducing balance x (4,000 − 800) = 640 **(1)**
- (a) Allowance for doubtful debts: required 104 (5% x 2,080) against 280 held — release of 176 credited; bad debts credit balance treated consistently **(1)**
- (a) Net profit 3,652 correctly arrived at **(1)**
- (a) Appropriation: interest on capital at 6% (Maria 600, Bakari 360), Bakari's salary 1,200, residual 1,492 shared 3:2 (895.20 / 596.80) **(3)**
- (b) Non-current assets: premises 8,400 and equipment at NBV 2,560 **(2)**
- (b) Current assets: inventory 4,400, receivables net of allowance 1,976, prepaid rent 160, bank 552, cash 112 **(2)**
- (b) Capital accounts 16,000 and current accounts rolled forward (Maria debit balance 1,424.80; Bakari credit 668.80) **(2)**
- (b) Liabilities: long-term loan 4,000, accounts payable 600, accrued wages 90, accrued insurance 90 **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M06-Q006 – CA11-M06-Q033. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 6 · FINANCIAL STATEMENTS OF A PARTNERSHIP — LESSON 3

Current vs Fixed Capital

Learning Objectives

By the end of this lesson, you will be able to:

1. Distinguish a partner's capital account from their current account.
2. State which entries go to each account under the fixed-capital and fluctuating-capital systems.
3. Prepare partners' current accounts in T-account format.
4. Prepare fixed capital accounts showing goodwill and revaluation entries.
5. Present the equity section of a partnership statement of financial position.
6. Account for a partner's loan as a non-current liability.

---

1. The Distinction

In one sense there is no difference: a partner's **total capital** is the sum of the balances on their capital account and their current account. In practice it is convenient to separate:

- The **capital account** — the amount the partner *invested* (usually **fixed** at the figure in the partnership deed).
- The **current account** — what the partner has *earned* through trading: appropriations and the share of residual profit, less drawings and interest on drawings.

2. Fluctuating vs. Fixed Capital

- **Fluctuating capital:** every entry — drawings, interest on drawings, interest on capital, salary, share of profit — passes through the capital account, so the balance changes every year.
- **Fixed capital:** a separate **current account** (sometimes called the drawings account) records all those entries, leaving the capital account fixed at the deed figure. Only permanent changes — additional capital introduced, capital withdrawn, goodwill and revaluation adjustments — touch the capital account.

KASNEB examination questions normally use the **fixed capital** system.

3. Current Account Format

	Partners' Current Accounts						
	A	B	C		A	B	C
	Sh.	Sh.	Sh.		Sh.	Sh.	Sh.
Balance b/d	XX	XX	XX	Balance b/d	XX	XX	XX
Interest on drawings	XX	XX	XX	Interest on capital	XX	XX	XX
Drawings	XX	XX	XX	Salaries	XX	XX	XX
Balance c/d	XX	XX	XX	Share of profits	XX	XX	XX
				Loan interest	XX	XX	XX
Balance c/d	XX	XX	XX				
	XX	XX	XX		XX	XX	XX
				Balance b/d	XX	XX	XX

Debits: opening debit balance, interest on drawings, drawings, closing credit balance. Credits: opening credit balance, interest on capital, salaries, share of profits, loan interest, closing debit balance.

4. Fixed Capital Account Format

```
                      Partners' Fixed Capital Accounts
              A       B       C                A       B       C
Loss on
  revaluation XX      XX      XX   Balance b/d XX      XX      XX
Goodwill
  written off XX      XX      XX   Gains on
Balance c/d   XX      XX      XX     revaluation XX    XX      XX
                                   Additional
                                    capital   XX      XX      XX
                                   Goodwill
                                    raised    XX      XX      XX
              --      --      --                --      --      --
              XX      XX      XX                XX      XX      XX
                                   Balance b/d XX     XX      XX
```

Debits: losses on revaluation, goodwill written off, closing balance. Credits: opening balance, gains on revaluation, additional capital, goodwill raised.

5. Worked Example: Current Accounts (Wachira, Phylis and Hamisi)

From Lesson 2's appropriation: interest on capital Wachira Sh.2,000, Phylis Sh.1,500, Hamisi Sh.900; interest on drawings 240/180/130; salaries Phylis Sh.2,000, Hamisi Sh.3,500; profit shares 10,500/6,300/4,200. Opening current balances: Wachira Sh.1,860; Phylis Sh.946; Hamisi Sh.717. Drawings: Wachira Sh.9,200; Phylis Sh.7,100; Hamisi Sh. 6,900.

```
Wachira:   Debits: 240 + 9,200 + 4,920 (bal c/d) = 14,360
           Credits: 1,860 + 2,000 + 10,500 = 14,360  ✓
Phylis:    Debits: 180 + 7,100 + 3,466 (bal c/d) = 10,746
           Credits: 946 + 1,500 + 2,000 + 6,300 = 10,746  ✓
Hamisi:    Debits: 130 + 6,900 + 2,287 (bal c/d) = 9,317
           Credits: 717 + 900 + 3,500 + 4,200 = 9,317  ✓
```

Every current account balances — the appropriation and the current accounts are two views of the same entries.

5A. Worked Example: Fixed Capital Accounts

Partners A and B share profits 3:2. Opening capital balances: A Sh.300,000 Cr; B Sh.200,000 Cr. During the year:

- A introduces additional capital of Sh.50,000 cash.
- Assets are revalued upward, giving a revaluation profit of Sh.60,000 (shared 3:2 → A Sh.36,000; B Sh.24,000).
- Goodwill of Sh.100,000 is raised and retained in the books (revaluation method), credited in the old ratio 3:2 → A Sh.60,000; B Sh.40,000.

```
A's capital account:
  Debits: Balance c/d 446,000
  Credits: Balance b/d 300,000 + Additional capital 50,000
           + Revaluation gain 36,000 + Goodwill raised 60,000 = 446,000  ✓
B's capital account:
```

```
  Debits: Balance c/d 264,000
  Credits: Balance b/d 200,000 + Revaluation gain 24,000
           + Goodwill raised 40,000 = 264,000  ✓
```

Notice what did **not** touch these accounts: salaries, interest on capital, drawings, and profit shares — all of those went through the current accounts. That is the whole point of fixed capital: the deed figure moves only for permanent changes.

5B. Equity Section in Miniature

Continuing the example, suppose the current accounts close at A Sh.38,500 Cr and B Sh.12,000 Dr, and B has given the firm a Sh.100,000 loan. The equity and non-current-liability section of the statement of financial position reads:

```
Financed by:
Capital accounts:
   A                                          446,000
   B                                          264,000     710,000
Current accounts:
   A                                38,500
   B (debit balance)               (12,000)    26,500
                                              736,500
Non-current liabilities:
   Loan from B — 10%                          100,000
```

Each partner's interest is shown separately, the debit current balance is bracketed, and B's loan appears as its own non-current liability — never merged into B's capital.

5C. What If a Current Account Goes Debit?

A partner whose drawings and interest on drawings exceed their appropriations and profit share ends the year with a **debit** current balance — effectively owing the firm money. Under fixed capital this does **not** reduce the capital account; it is shown bracketed in the statement of financial position, reducing total equity. Persistent debit balances are a red flag: the partner is living off the firm. That is precisely why agreements charge interest on drawings — and why the study text's Presidential Cleaning illustration deliberately **excludes** Bush's overdrawn current balance from interest on current accounts. Interest rewards credit balances; it is never paid on a debit.

6. Statement of Financial Position Presentation

The partnership statement of financial position follows the sole-trader format, but:

- Each partner's **capital account** is shown **separately**.
- Each partner's **current account** is shown **separately** (a debit balance is shown in brackets).
- A **partner's loan** is shown **separately in the non-current liabilities** section — never mixed with capital.

```
Total assets                                        XXX
Capital:
   A                                                XXX
   B                                                XXX
   C                                                XXX
Current accounts:
   A                                  XXX
   B                                  XXX
   C (debit balance)                 (XXX)          XXX
```

```
Non-current liabilities:
   10% loan from B                          XXX
   Bank loan                                XXX          XXX
```

7. Partner Loans in Detail

- A loan is **not** part of the partner's capital.
- Creating the loan: `Dr. Bank / Cr. Loan account` (cash deposited) — or `Dr. Capital account / Cr. Loan account` (capital converted into a loan).
- Interest on the loan is a **business expense**: `Dr. Income statement / Cr. Partner's current account` (or bank/accruals).
- Default rate: **6% per annum** when the agreement is silent.
- In the statement of financial position the loan sits under **non-current liabilities**, labelled with the partner's name (e.g., "10% loan from B").

8. Common Exam Traps

1. **Putting appropriations through the fixed capital account** — salaries, interest and profit shares go to the *current* account; only goodwill, revaluation and permanent capital changes touch fixed capital.
2. **Showing a partner's loan inside capital** — it is a separate non-current liability.
3. **Crediting loan interest to the appropriation account** — it is an income-statement expense.
4. **Netting current accounts together** — each partner's balance is shown separately, debit balances in brackets.
5. **Forgetting the balance b/d** — after balancing, bring down the closing balance on the correct side.

A final terminology note: some textbooks call the current account the "drawings account", because drawings are its most visible debit. The study text uses both names. Whatever the label, the mechanics are identical: it is the running record of everything the partner takes out against everything the partnership awards them during the year.

9. Key Terms (Flashcards)

- **Capital account** — Records the partner's equity investment; fixed at the deed figure under the fixed-capital system.
- **Current account** — Records appropriations, profit shares, drawings and interest on drawings for the year.
- **Fluctuating capital** — All entries pass through the capital account, so it changes every year.
- **Fixed capital** — Only permanent changes touch capital; yearly entries go through the current account.
- **Partner's loan** — A liability, not capital; shown separately under non-current liabilities; interest is an expense.

10. Lesson Summary

- Total capital = capital account + current account; the fixed-capital system keeps the deed figure untouched.
- Current accounts carry the year's appropriations and drawings; capital accounts carry only permanent adjustments (goodwill, revaluation, capital introduced/withdrawn).
- The statement of financial position shows each partner's capital and current accounts separately, with partner loans as distinct non-current liabilities.
- Loan interest is an expense (6% default); appropriations are not.

11. Exam Day Tips

- Before writing, sort every item: "current account" (salary, interest, drawings, profit share) vs. "capital account" (goodwill, revaluation, new capital).
- Balance each current account and cross-check the totals against the appropriation account — the profit shares must match.
- Label the loan clearly ("Loan from B") in non-current liabilities; examiners penalise loans buried in capital.

Next: Lesson 4 — Admission, Retirement and Ratio Changes: goodwill, revaluation, and settling partners.

Slide deck at a glance

The distinction

- Total capital = capital account + current account
- Capital account: what the partner invested — fixed at the deed figure
- Current account: what the partner earned — appropriations plus profit share
- Current account less: drawings and interest on drawings
- KASNEB examination questions normally use the fixed-capital system

Fluctuating vs fixed capital

- Fluctuating: every entry passes through capital — the balance changes yearly
- Fixed: a separate current account carries the year's entries
- Fixed capital moves only for permanent changes: new capital, withdrawals
- Goodwill and revaluation adjustments also touch the capital account
- Salaries, interest, drawings and profit shares NEVER touch fixed capital

Current account format

- Debits: opening debit balance, interest on drawings, drawings, closing credit balance
- Credits: opening credit balance, interest on capital, salaries, profit share
- Loan interest credited to the partner also appears on the credit side
- Balance c/d on the smaller side; balance b/d brought down on the correct side
- Cross-check: current-account profit-share credits must match the appropriation
- Wachira: credits 1,860 + 2,000 + 10,500 = 14,360 = debits ✓

Fixed capital account format

- Debits: loss on revaluation, goodwill written off, closing balance
- Credits: opening balance, gains on revaluation, additional capital
- Credits also: goodwill raised and retained in the books
- A: 300,000 + 50,000 + 36,000 + 60,000 = Sh.446,000 ✓
- B: 200,000 + 24,000 + 40,000 = Sh.264,000 ✓
- No appropriation ever passes through here — only permanent adjustments

Worked example: current accounts (Wachira, Phylis, Hamisi)

- Opening current balances credited: Wachira 1,860; Phylis 946; Hamisi 717
- Interest on capital credited: 2,000 / 1,500 / 900
- Salaries credited: Phylis 2,000; Hamisi 3,500
- Profit shares credited: 10,500 / 6,300 / 4,200
- Debits: interest on drawings 240/180/130; drawings 9,200/7,100/6,900
- Closing balances: 4,920 / 3,466 / 2,287 — every account balances ✓

Equity section of the SOFP

- Each partner's capital account shown SEPARATELY
- Each partner's current account shown SEPARATELY — debit balances in brackets
- Example: capitals A 446,000 + B 264,000; currents A 38,500, B (12,000)
- A partner's loan is NEVER merged into capital — separate non-current liability
- Label it with the partner's name: '10% loan from B Sh.100,000'
- A debit current balance reduces total equity — the partner is living off the firm

Partner loans in detail

- A loan is NOT part of the partner's capital
- Created: Dr Bank / Cr Loan account — or Dr Capital / Cr Loan (converted)
- Interest is a business expense: Dr IS / Cr partner's current account
- Default rate 6% per annum when the agreement is silent
- SOFP: non-current liabilities, labelled 'Loan from B'
- A retiring partner who leaves funds behind becomes a lender — same treatment

Common exam traps

- Appropriations through fixed capital — salaries/interest go to current accounts
- A loan buried in capital — it is always a separate non-current liability
- Loan interest to the appropriation account — it is an IS expense
- Netting current accounts together — show each separately, brackets for debits
- Forgetting the balance b/d — bring it down on the correct side
- Terminology: 'drawings account' = current account in some textbooks

Key takeaways / exam tips

- Sort every item first: current account vs capital account
- Current: salary, interest, drawings, profit share; capital: goodwill, revaluation
- Balance each current account and cross-check against the appropriation
- Label loans clearly in non-current liabilities — examiners penalise buried loans
- Interest rewards credit current balances; it is never paid on a debit

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M06-Q019 – CA11-M06-Q041. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 6 · FINANCIAL STATEMENTS OF A PARTNERSHIP — LESSON 4

Admission, Retirement and Ratio Changes

Learning Objectives

By the end of this lesson, you will be able to:

1. Explain what happens, in law and in the books, when a partner is admitted or retires.
2. Define goodwill and compute it from a business valuation.
3. Raise goodwill in the old ratio and write it off in the new ratio, with correct double entries.
4. Distinguish the premium, revaluation and memorandum revaluation methods.
5. Apply the sacrifice-ratio principle when old partners' relative shares change.
6. Revalue assets and liabilities on a change of partnership and share the revaluation profit or loss.
7. Settle a retiring partner through assets, cash and a loan, and compute the new profit-sharing ratio.

---

1. Admission: the Old Partnership Ends, a New One Begins

When a new partner is admitted, the old partnership ends and a new one begins. The new partner must:

- Bring in the **capital** due from them under the agreement, and
- Pay for a **share of the goodwill** — the existing partners surrender part of their future profits, so they must be compensated.

Two main accounting problems arise: the **treatment of goodwill** and the **revaluation of assets and liabilities** (so the newcomer neither benefits from, nor suffers for, gains that accrued before they joined).

2. Goodwill: Definition and Measurement

Goodwill is the amount by which the **fair value** of the net assets of the business exceeds their **book value**. It arises from reputation, location, customer base, expertise and market position. (Fair value can be thought of as market value.)

```
Goodwill = Agreed valuation of the business − Book value of net assets
```

The book value of net assets = partners' capital accounts + current accounts (total equity).

3. The Standard Treatment: Raise, Then Write Off

Step 1 — Raise (create) the goodwill asset, credited to the **old** partners in the **old** profit-sharing ratio:

```
Dr. Goodwill account (full value)
    Cr. Old partners' capital accounts (old ratio)
```

Step 2 — Write off (eliminate) if goodwill is not to be carried in the books, debited to **all** partners (including the new one) in the **new** profit-sharing ratio:

```
Dr. Partners' capital accounts (new ratio)
    Cr. Goodwill account (full value)
```

If goodwill **is** to be retained ("carried in the books"), Step 2 is omitted. This two-step approach is the **memorandum revaluation method**.

4. The Three Goodwill Methods

- **Premium method:** the new partner brings cash for goodwill.
- (i) The cash is **left in the business**: credit the old partners' capital accounts with their shares.
- (ii) The cash is **withdrawn by the old partners**: credit old partners, then debit them and credit cash on withdrawal.
- (iii) The new partner pays the old partners **privately**: no entries in the firm's books at all.
- **Revaluation method:** the new partner brings no cash; goodwill is raised and **allowed to remain** in the books.
- **Memorandum revaluation method:** goodwill is raised and **immediately written off** (Steps 1 and 2 above).

5. The Sacrifice-Ratio Principle

Traditionally, goodwill is credited to the old partners in the **old** ratio. But if the admission also **changes the old partners' shares relative to each other**, goodwill should be credited in the ratio of **sacrifice** — the profits each old partner gives up.

Example: A and B share 3:2. C is admitted and the new ratio is 2:2:1. B previously received 2/5 and still receives 2/5 — B sacrifices nothing. A alone suffers, so any goodwill C brings is credited **to A only**.

When goodwill is raised at its **full value**, however, it is a revaluation of an asset, and the profit is credited to the old partners in the **old ratio**.

6. Worked Example: Admission (Amitu, Bosire and Cheche)

Amitu and Bosire share profits 4:3. Cheche is admitted; the new ratio is 3:2:1. Balances at admission:

- Amitu: capital Sh.60,000 Cr; current Sh.12,800 Cr.
- Bosire: capital Sh.40,000 Cr; current Sh.9,500 Cr.

The firm is valued at Sh.164,300.

Step 1 — Compute goodwill: book value = 60,000 + 12,800 + 40,000 + 9,500 = Sh.122,300. Goodwill = 164,300 − 122,300 = **Sh.42,000**.

Step 2 — Raise: Dr. Goodwill 42,000; Cr. Amitu capital 24,000 (4/7); Cr. Bosire capital 18,000 (3/7). Capitals become: Amitu Sh.84,000; Bosire Sh.58,000.

Step 3 — Write off (not to be retained): Dr. Amitu 21,000 (3/6); Dr. Bosire 14,000 (2/6); Dr. Cheche 7,000 (1/6); Cr. Goodwill 42,000. Capitals become: Amitu Sh.63,000; Bosire Sh.44,000; Cheche Sh.7,000 Dr.

Step 4 — Cheche's capital contribution: to bring Cheche's capital to nil, they contribute Sh.7,000 cash: Dr. Bank 7,000; Cr. Cheche capital 7,000.

7. Revaluation of Assets and Liabilities

On admission or retirement, assets and liabilities are revalued to fair value so that gains or losses accrued under the old partnership go to the **old** partners. The revaluation profit or loss is shared in the **old** profit-sharing ratio:

```
Dr. Asset account (increase) / Cr. Revaluation account
Dr. Revaluation account / Cr. Asset account (decrease)
```

```
Dr. Revaluation account / Cr. Old partners' capital accounts (profit, old ratio)
Dr. Old partners' capital accounts / Cr. Revaluation account (loss, old ratio)
```

Revaluation gains/losses go to the **capital** accounts (fixed capital system), not the current accounts.

8. Retirement: Settling the Outgoing Partner

When a partner retires, the standard sequence is:

1. **Revalue** assets and liabilities; share the profit/loss among **all old partners** in the old ratio.
2. **Raise goodwill** in the old ratio; **write it off** in the new ratio (continuing partners only).
3. **Settle** the retiring partner: transfer assets at agreed value, pay cash, and/or leave a balance as a **loan** (the retiring partner becomes a lender).
4. Compute the **new profit-sharing ratio** among the continuing partners.

9. Worked Example: Retirement (Verified)

A, B and C share profits 3:2:1. Capitals: A Sh.300,000; B Sh.200,000; C Sh.100,000. C retires. Assets are revalued **upward** by Sh.120,000. Goodwill is valued at Sh.180,000, raised and immediately written off. C takes goods worth Sh.30,000 in part payment, leaves Sh.50,000 as a loan, and receives the balance in cash. A and B continue, sharing 3:2.

Step 1 — Revaluation profit shared 3:2:1: A Sh.60,000; B Sh.40,000; C Sh.20,000. (Dr. Assets 120,000 / Cr. Revaluation 120,000; Dr. Revaluation 120,000 / Cr. Capitals 60,000/40,000/20,000.)

Step 2 — Goodwill raised in old ratio 3:2:1: A Sh.90,000; B Sh.60,000; C Sh.30,000. (Dr. Goodwill 180,000 / Cr. Capitals.)

Step 3 — Goodwill written off in new ratio 3:2 (A and B only): A Sh.108,000 (3/5 × 180,000); B Sh.72,000 (2/5 × 180,000). (Dr. Capitals / Cr. Goodwill 180,000.)

Step 4 — Capital balances now:

	A	B	C
Opening	300,000	200,000	100,000
Revaluation	+60,000	+40,000	+20,000
Goodwill raised	+90,000	+60,000	+30,000
Goodwill written off	−108,000	−72,000	–
Total	**342,000**	**228,000**	**150,000**

Check: 342,000 + 228,000 + 150,000 = 720,000 = 600,000 opening + 120,000 revaluation + 180,000 goodwill − 180,000 written off. ✓

Step 5 — Settle C (Sh.150,000): goods Sh.30,000 (Dr. C capital / Cr. Purchases or stock), cash Sh.70,000 (Dr. C capital / Cr. Bank), loan Sh.50,000 (Dr. C capital / Cr. Loan account). 30,000 + 70,000 + 50,000 = 150,000. ✓ C's account closes to nil; the Sh.50,000 loan sits in non-current liabilities.

Continuing partners: A Sh.342,000; B Sh.228,000 — total Sh.570,000, sharing profits 3:2.

10. Common Exam Traps

1. **Raising goodwill in the new ratio** — always the OLD ratio; writing off in the NEW ratio.
2. **Writing off goodwill against the retiring partner too** — only continuing partners bear the write-off.
3. **Sharing revaluation in the new ratio** — revaluation belongs to the OLD partnership: old ratio.
4. **Forgetting that the write-off creates a debit for the new partner** — in the admission example, Cheche's capital goes Sh.7,000 Dr until they contribute cash.
5. **Treating the retiring partner's loan as capital** — it is a non-current liability from the retirement date.
6. **Ignoring the sacrifice ratio** — when the old partners' relative shares change on admission, credit goodwill by sacrifice, not the old ratio.

11. Key Terms (Flashcards)

- **Goodwill** — Fair value of net assets minus book value; paid for via reputation, customer base and market position.
- **Old ratio** — The profit-sharing ratio before the change; used to raise goodwill and share revaluations.
- **New ratio** — The ratio after the change; used to write off goodwill.
- **Sacrifice ratio** — Old ratio minus new ratio; the profits each old partner gives up to the newcomer.
- **Premium method** — The new partner brings cash for goodwill (left in, withdrawn, or paid privately).
- **Revaluation method** — Goodwill raised and retained in the books.
- **Memorandum revaluation method** — Goodwill raised and immediately written off.
- **Revaluation account** — Collects asset/liability revaluation gains and losses on a change of partnership.

12. Lesson Summary

- Admission ends the old partnership: the newcomer brings capital and pays for goodwill; assets are revalued.
- Goodwill = valuation − book value; raise in the old ratio (or sacrifice ratio), write off in the new ratio.
- Revaluation profits/losses go to the old partners in the old ratio, through the capital accounts.
- A retiring partner is settled with assets, cash and/or a loan; continuing partners share the new ratio.

13. Exam Day Tips

- Draw the capital-account T-accounts for every partner before writing the final answer — the debit/credit discipline prevents ratio errors.
- Label every goodwill entry "old ratio" or "new ratio" as you write it; markers check the ratio, not just the number.
- Always verify: total capital after all entries = opening total + revaluation profit + net goodwill retained − amounts paid out to the retiree.

Module 6 complete. Attempt the module quiz — then the CA11 revision phase begins.

Slide deck at a glance

Admission: the old partnership ends

- Admission ends the old partnership; a new partnership begins
- The new partner brings in the capital due under the agreement

- The new partner pays for a share of goodwill — old partners surrender profit
- Two accounting problems: goodwill treatment and asset/liability revaluation
- Revaluation stops the newcomer gaining or suffering from pre-admission gains

Goodwill: definition and measurement

- Goodwill = fair value of net assets − book value of net assets
- Arises from reputation, location, customer base, expertise, market position
- Book value of net assets = capital accounts + current accounts (total equity)
- Example: valued at Sh.164,300; book value Sh.122,300 → goodwill Sh.42,000
- Fair value is the market value of the business as a going concern

Raise, then write off (memorandum method)

- Step 1 — Raise: Dr Goodwill (full value) / Cr old partners' capitals, OLD ratio
- Amitu 4/7 × 42,000 = 24,000; Bosire 3/7 × 42,000 = 18,000
- Step 2 — Write off: Dr all partners' capitals / Cr Goodwill, NEW ratio
- Amitu 21,000; Bosire 14,000; Cheche 7,000 (new ratio 3:2:1)
- If goodwill is retained in the books, Step 2 is omitted
- The write-off leaves the new partner with a debit balance until they contribute

The three goodwill methods

- Premium method: the newcomer brings cash for goodwill
- Premium left in the business → credit old partners' capitals with their shares
- Premium withdrawn by old partners → credit, then debit them on withdrawal
- Premium paid privately to old partners → NO entries in the firm's books
- Revaluation method: no cash; goodwill raised and retained in the books
- Memorandum revaluation: goodwill raised and immediately written off

The sacrifice-ratio principle

- Default: goodwill credited to the old partners in the OLD ratio
- But if old partners' relative shares change, credit by the SACRIFICE ratio
- Sacrifice ratio = old share − new share for each old partner
- Example: A and B 3:2; new ratio 2:2:1 → B sacrifices nothing
- Goodwill credited to A only — B's relative share did not change
- Full-value goodwill raised = asset revaluation → credited in the old ratio

Revaluation of assets and liabilities

- On admission/retirement, revalue assets and liabilities to fair value
- Gains/losses accrued under the OLD partnership → old partners, OLD ratio
- Dr Asset / Cr Revaluation (increase); Dr Revaluation / Cr Asset (decrease)
- Profit: Dr Revaluation / Cr old partners' capital accounts (old ratio)
- Loss: Dr old partners' capital accounts / Cr Revaluation (old ratio)
- Under fixed capital, revaluation goes to capital accounts — not current accounts

Worked example: C retires (3:2:1)

- Revaluation profit Sh.120,000 (3:2:1): A 60,000; B 40,000; C 20,000
- Goodwill Sh.180,000 raised in the old ratio: A 90,000; B 60,000; C 30,000
- Goodwill written off in the new ratio 3:2 (A and B only): 108,000 / 72,000
- Capital balances: A 342,000; B 228,000; C 150,000 ✓ (totals check)
- Settle C: goods Sh.30,000 + cash Sh.70,000 + loan Sh.50,000

- C's account closes to nil; the loan sits in non-current liabilities; A and B share 3:2

Common exam traps

- Raising goodwill in the new ratio — ALWAYS the old ratio
- Writing off goodwill against the retiring partner — only continuing partners
- Sharing revaluation in the new ratio — old partnership, old ratio
- Forgetting the new partner's write-off debit (Cheche Sh.7,000 Dr)
- The retiring partner's loan treated as capital — it is a non-current liability
- Ignoring the sacrifice ratio when old partners' relative shares change

Key takeaways / exam tips

- Admission: capital in, goodwill paid for, assets revalued
- Raise goodwill in the OLD ratio (or sacrifice ratio); write off in the NEW ratio
- Revaluation profits/losses → old partners in the old ratio, via capital accounts
- Retirement sequence: revalue → raise/write off goodwill → settle → new ratio
- Draw T-accounts for every partner; label each entry 'old ratio'/'new ratio'
- Final check: closing capital = opening + revaluation + net goodwill − payouts

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-12-Q3 · December 2022 · 20 marks KASNEB authored

Partnership admission (Komon Partnership — admission of Oliver)

Kate, Mercy and Nickson have been trading as partners as Komon Partnership, sharing profits and losses in the ratio 4:3:2. On 1 November 2021, an employee, Oliver, was admitted as a partner. He was to bring Sh.1,750,000 as capital and Sh.1,680,000 as his share of goodwill. The partners do not intend to open a goodwill account. The admission has not been fully recorded other than the cash record.

Trial balance as at 31 October 2022 (Sh."000"): Dr — Current account: Mercy 2,280; Drawings: Kate 3,500, Mercy 3,000, Nickson 3,200, Oliver 2,500; Land and buildings 11,500; Furniture and fittings at cost 7,100; Motor vehicles at cost 10,000; Accounts receivable 3,550; Purchases 56,350; Inventory (1 November 2021) 5,460; Salaries and wages 5,000; Advertising expenses 3,580; Motor vehicle expenses 3,980; Insurance expenses 2,400; Office expenses 3,430; Bad debts 1,730; Cash 1,650; Bank 2,210. Cr — Capital accounts: Kate 9,500, Mercy 7,500, Nickson 6,000; Current accounts: Kate 4,350, Nickson 3,780; Allowance for depreciation (1 November 2021): furniture and fittings 4,100, motor vehicles 4,350; Accounts payable 3,050; Oliver's account 3,430; Sales 86,360. Total 132,420 = 132,420.

Additional information: (1) New profit sharing ratio 4:3:2:1 (Kate, Mercy, Nickson, Oliver). (2) Inventory at 31 October 2022 was Sh.5,780,000. (3) Accrued salaries and wages 1,790; accrued advertising expenses 1,680. (4) Prepaid insurance 660. (5) Oliver, a former employee, is entitled to a salary of Sh.853,000 per annum from 1 November 2021. (6) Interest of 10% per annum on fixed capital balances at the beginning of the year. (7) Depreciation on cost: furniture and fittings 12%; motor vehicles 25%.

Required: (a) Statement of profit or loss and appropriation account for the year ended 31 October 2022. (10 marks) (b) Partners' current accounts. (4 marks) (c) Statement of financial position as at 31 October 2022. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings — goodwill and Oliver's account

Oliver paid 3,430 in cash: capital 1,750 + his goodwill share 1,680. His goodwill share is 1/10 of total goodwill (new ratio 4:3:2:1) → total goodwill = 1,680 × 10 = **16,800**. No goodwill account is opened: the old partners are credited in the OLD ratio 4:3:2 (Kate 7,466.67; Mercy 5,600; Nickson 3,733.33) and all four partners are debited in the NEW ratio (Kate 6,720; Mercy 5,040; Nickson 3,360; Oliver 1,680). Net goodwill adjustments: Kate +746.67; Mercy +560; Nickson +373.33; Oliver −1,680. Oliver's trial-balance credit of 3,430 is allocated: capital account 1,750; current account 1,680.

(a) Statement of profit or loss and appropriation account

Sales			86,360
Cost of sales: opening inventory 5,460 + purchases 56,350 − closing 5,780			(56,030)
Gross profit			30,330
Less expenses:			
Salaries and wages (5,000 + 1,790 accrued)	6,790		
Advertising (3,580 + 1,680 accrued)	5,260		
Motor vehicle expenses	3,980		
Insurance (2,400 − 660 prepaid)	1,740		
Office expenses	3,430		
Bad debts	1,730		
Depreciation — furniture and fittings (12% × 7,100)	852		
Depreciation — motor vehicles (25% × 10,000)	2,500	(26,282)	
Net profit			4,048
Appropriation:			
Partner salary: Oliver			853
Interest on capital at 10%: Kate 950; Mercy 750; Nickson 600; Oliver 175			2,475
Residual profit shared 4:3:2:1: Kate 288; Mercy 216; Nickson 144; Oliver 72			720

(b) Partners' current accounts

	Kate	Mercy	Nickson	Oliver
Balance b/f	4,350	(2,280)	3,780	–
Oliver's contribution	–	–	–	1,680
Goodwill adjustment	746.67	560	373.33	(1,680)
Salary	–	–	–	853
Interest on capital	950	750	600	175
Share of residual profit	288	216	144	72
Less: drawings	(3,500)	(3,000)	(3,200)	(2,500)
Balance c/d	2,834.67	(3,754)	1,697.33	(1,400)

(c) Statement of financial position as at 31 October 2022

Non-current assets:			
Land and buildings		11,500	
Furniture and fittings (7,100 − 4,952)		2,148	
Motor vehicles (10,000 − 6,850)		3,150	16,798
Current assets:			
Inventory		5,780	
Accounts receivable		3,550	
Prepaid insurance		660	
Cash		1,650	
Bank		2,210	13,850
Total assets			30,648

```
Capital accounts: Kate 9,500; Mercy 7,500; Nickson 6,000; Oliver 1,750  24,750
Current accounts (net): 2,834.67 − 3,754 + 1,697.33 − 1,400              (622)
Current liabilities:
  Accounts payable 3,050; Accrued salaries 1,790; Accrued advertising 1,680   6,520
Total capital and liabilities                                          30,648
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Goodwill: total 16,800 derived from Oliver's 1/10 share of 1,680; credited in old ratio, debited in new ratio (net +746.67/+560/+373.33/−1,680) **(3)**
- (a) Gross profit 30,330 (cost of sales 56,030) **(1)**
- (a) Expenses 26,282 with accruals (salaries 6,790; advertising 5,260), prepaid insurance 660, depreciation 852 and 2,500 **(3)**
- (a) Net profit 4,048; appropriation: Oliver salary 853; interest on capital 2,475 (incl. Oliver 175 on capital introduced at the start of the year); residual 720 in 4:3:2:1 **(3)**
- (b) Current accounts: Kate 2,834.67 Cr; Mercy 3,754 Dr; Nickson 1,697.33 Cr; Oliver 1,400 Dr (Oliver's 3,430 split capital 1,750/current 1,680) **(4)**
- (c) SOFP balances at 30,648: NCA 16,798 (depreciation updated); capital accounts 24,750; current liabilities 6,520 incl. both accruals **(6)**

KASNEB-2022-04-Q2 · April 2022 · 20 marks KASNEB authored

Partnership admission with goodwill written off (Jack, Nina & Maria)

Jack and Nina were operating a shop as partners sharing profits and losses in the ratio 2:1. On 31 March 2021 they admitted Maria to the partnership. The partnership deed provides for interest on capital at 10% per annum.
Balances as at 30 September 2021 (Sh."000"): Office building (purchased 1 October 2020) 6,000; Purchases 16,700; Sales 35,000; Motor vehicles (cost) 3,400; Salaries and wages 7,400; Accumulated depreciation: motor vehicles 1,200, furniture and fittings 400; Inventory (opening) 4,800; Furniture and fittings (cost) 1,200; Accounts receivable 900; Bank 9,280; Capital accounts: Jack 3,000, Nina 2,000, Maria 3,500; Current accounts: Jack 1,600, Nina 1,200, Maria 1,500; Consultancy fees 420; Rent, rates and electricity 1,240; General expenses 2,520 (of which Sh.1,410,000 relates to the six months to 31 March 2021); Accounts payable 4,460.
Additional information: (1) On admission of Maria, the profit sharing ratio changed to Jack 2/5, Nina 2/5, Maria 1/5. Goodwill was valued at Sh.12,000,000 and written off immediately. (2) Sales for the period to 31 March 2021 were equal to two-thirds of sales from 1 April to the year end. (3) On 1 April 2021, Maria paid Sh. 5,000,000 comprising fixed capital Sh.3,500,000 and a current account contribution of Sh.1,500,000. (4) Gross profit is apportioned on the basis of sales; expenses on the basis of time, unless otherwise indicated. (5) Inventory at 30 September 2021 was Sh.5,100,000. (6) Depreciation: motor vehicles 20% on cost; furniture and fittings 5% on cost. (7) Salaries included partners' drawings: Jack Sh.600,000; Nina Sh.480,000; Maria Sh. 250,000. (8) Rates paid in advance Sh.260,000; electricity accrued Sh.60,000. (9) Doubtful debts (full provision required): Sh.120,000 at 31 March 2021 and Sh.160,000 at 30 September 2021. (10) Consultancy fees included Sh.200,000 paid for the acquisition of the office building, to be capitalised; the building's useful life is 25 years.
Required: (i) Statement of profit or loss for the year ended 30 September 2021 (showing the periods before and after Maria's admission). (10 marks) (ii) Statement of financial position as at 30 September 2021. (6 marks) (iii) Partners' current accounts. (4 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- Sales split: pre-admission = ⅔ of post-admission; total 35,000 → pre 14,000; post 21,000.
- Cost of sales (whole year): 4,800 + 16,700 − 5,100 = 16,400; Gross profit 18,600, apportioned on sales: pre 7,440; post 11,160.
- True salaries and wages = 7,400 − salary-drawings (600 + 480 + 250) = 6,070; split by time 3,035 / 3,035.
- Consultancy: 420 − 200 capitalised = 220 expense, split by time 110 / 110. Building cost = 6,200; depreciation 6,200 ÷ 25 = 248 p.a. (124 per half-year).
- Rent, rates and electricity charge = 1,240 − 260 prepaid + 60 accrued = 1,040; split 520 / 520.
- Depreciation: MV 20% × 3,400 = 680 (340/half); F&F 5% × 1,200 = 60 (30/half).
- Interest on capital 10%: pre-period (6 months): Jack 150, Nina 100; post-period: Jack 150, Nina 100, Maria 175 (on 3,500 for 6 months).

(i) Statement of profit or loss and appropriation

	Pre-admission	Post-admission
Gross profit	7,440	11,160
Less expenses:		
Salaries and wages	3,035	3,035
Consultancy fees	110	110
Rent, rates and electricity	520	520
General expenses	1,410	1,110
Depreciation — motor vehicles	340	340
Depreciation — furniture and fittings	30	30
Depreciation — building	124	124
Doubtful debts provision	120	40
	5,689	5,309
Net profit	1,751	5,851
Interest on capital	250	425
Residual profit	1,501	5,426

Shared: pre 2:1 — Jack 1,000.67, Nina 500.33;
post 2/5:2/5:1/5 — Jack 2,170.40, Nina 2,170.40, Maria 1,085.20

(iii) Partners' current accounts

	Jack	Nina	Maria
Balance b/f	1,600	1,200	1,500
Goodwill (written off): credited in old ratio 2:1 (Jack 8,000; Nina 4,000); debited in new ratio (Jack 4,800; Nina 4,800; Maria 2,400) → net	+3,200	−800	−2,400
Interest on capital	300	200	175
Share of profit	3,171.07	2,670.73	1,085.20
Less: salary-drawings	(600)	(480)	(250)
Balance c/d	7,671.07	2,790.73	110.20

(ii) Statement of financial position as at 30 September 2021

Non-current assets:	
Office building (6,200 − 248)	5,952
Motor vehicles (3,400 − 1,880)	1,520

```
  Furniture and fittings (1,200 – 460)                740     8,212
Current assets:
  Inventory                                         5,100
  Accounts receivable (900 – 160)                     740
  Prepaid rates                                       260
  Bank                                              9,280    15,380
Total assets                                                  23,592
Capital accounts: Jack 3,000; Nina 2,000; Maria 3,500         8,500
Current accounts: 7,671.07 + 2,790.73 + 110.20               10,572
Current liabilities: Accounts payable 4,460; Accrued electricity 60   4,520
Total capital and liabilities                                 23,592
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Sales split 14,000/21,000 and gross profit apportioned on sales (7,440/11,160); total GP 18,600 **(2)**
- Expenses split by time; salaries corrected to 6,070 (salary-drawings removed); consultancy capitalisation (200 to building); rent charge 1,040 after prepaid/accrued **(3)**
- Net profits: pre-admission 1,751; post-admission 5,851; doubtful debts 120 pre and 40 post **(2)**
- Interest on capital (250 pre; 425 post incl. Maria 175) and residual shares in 2:1 then 2/5:2/5:1/5 **(3)**
- (iii) Current accounts: goodwill write-off netted (Jack +3,200; Nina −800; Maria −2,400); closing balances Jack 7,671.07, Nina 2,790.73, Maria 110.20 **(4)**
- (ii) SOFP balances at 23,592: building NBV 5,952 (cost incl. capitalised fees 6,200, dep 248); receivables net 740; capitals 8,500 **(6)**

KASNEB-2021-12-PILOT-Q2 · December 2021 Pilot Paper · 20 marks KASNEB authored

Admission of a partner: revaluation, goodwill and guaranteed profit share (Peter, John & James)

Peter and John have been trading in partnership for several years sharing profits and losses equally after allowing interest on their capitals at the rate of 8% per annum. On 1 September 2020, the Director of their business, James, was admitted as a partner and was to share one fifth of the profits after interest on capital. Peter and John were to share the balance of the profits equally but guaranteed that James's share would not fall below Sh.1,200,000 per annum. James was not required to introduce any capital at the date of admission but agreed to retain Sh.300,000 of his profit share at the end of each financial year to be credited to his capital account until the balance reached Sh.1,500,000. Until that time, no interest was to be allowed on his capital. Goodwill was agreed at Sh.3,000,000 as at 1 September 2020, but was not to be maintained in the accounts. Land and buildings were professionally valued at Sh.5,680,000 on the same date while the book value of equipment and motor vehicles was to be reduced to Sh.3,000,000 as at that date. James was previously entitled to a bonus of 5% of the gross profit. This bonus was payable half yearly. The Director's bonus and the Director's salary were to cease when he became a partner. The trial balance below was extracted as at 31 December 2020. No adjustments had yet been made in respect of James's admission and the amount he introduced as his contribution for goodwill had been posted to his current account. The drawings of all the partners had been charged to their current accounts.

Trial balance as at 31 December 2020 (Sh.): Capital accounts: Peter 6,000,000 Cr; John 3,000,000 Cr. Current accounts: Peter 1,560,000 Cr; John 1,420,000 Cr; James 360,000 Cr. Land and buildings 3,600,000 Dr; Equipment and motor vehicles 4,200,000 Dr; Inventory 1,840,000 Dr; Gross profit 8,400,000 Cr; General expenses 3,200,000 Dr; Director's salary 800,000 Dr; Director's bonus 210,000 Dr; Debtors 970,000 Dr; Creditors 620,000 Cr; Bank balance 580,000 Dr. Totals 18,380,000 / 18,380,000.

Additional information: 1. It is assumed that gross profit and general expenses accrued evenly throughout the year except that Sh.200,000 of the general expenses relate to a bad debt that arose in the period after James's admission. The balance of the general expenses accrued evenly. 2. Depreciation is to be charged on equipment and motor vehicles at the rate of 20% per annum on the book value. No depreciation is to be charged on land and buildings.

Required: (a) Profit or loss and appropriation account for the year ended 31 December 2020. (10 marks) (b) Partner's capital accounts as at 31 December 2020. (4 marks) (c) Partner's current accounts as at 31 December 2020. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh. James was admitted on 1 September 2020, so the year is split into 8 months pre-admission and 4 months post-admission; evenly-accruing items are time-apportioned 8/12 and 4/12.

Workings: Gross profit pre 8/12 × 8,400,000 = 5,600,000; post 2,800,000. General expenses excluding the bad debt (3,200,000 − 200,000 = 3,000,000): pre 2,000,000; post 1,000,000 + bad debt 200,000 = 1,200,000. Director's salary in the trial balance (800,000) covers January–August and ceases on admission. Director's bonus: 210,000 was paid for January–June; the July–August entitlement, 5% × (8,400,000 × 2/12) = 70,000, is accrued, making a pre-admission charge of 280,000 (the 70,000 is credited to James's current account as an amount owed to him). Depreciation on equipment and motor vehicles at 20% on book value: pre-admission 20% × 4,200,000 × 8/12 = 560,000; post-admission on the reduced book value 20% × 3,000,000 × 4/12 = 200,000.

(a) Profit or loss and appropriation account for the year ended 31 December 2020

```
                              Pre-admission   Post-admission
Gross profit                      5,600,000       2,800,000
Less: General expenses           (2,000,000)      (1,200,000)
      Director's salary            (800,000)               –
      Director's bonus             (280,000)               –
      Depreciation                 (560,000)        (200,000)
Net profit                        1,960,000       1,400,000
Appropriation:
  Interest on capital (8%):
    Pre: Peter 320,000; John 160,000 → residual 1,480,000
         shared equally: Peter 740,000; John 740,000
    Post: Peter 160,000; John 80,000 → residual 1,160,000
         James 1/5 = 232,000, topped up to the guaranteed
         minimum (1,200,000 × 4/12) = 400,000; deficiency
         168,000 borne equally by Peter and John;
         Peter 380,000; John 380,000; James 400,000
Total net profit for the year: Sh.3,360,000
```

(b) Capital accounts as at 31 December 2020

Revaluation at 1 September 2020: land and buildings 5,680,000 − 3,600,000 = surplus 2,080,000; equipment and motor vehicles: book value at admission 4,200,000 − 560,000 depreciation = 3,640,000, reduced to 3,000,000 = write-down 640,000. Net revaluation surplus 1,440,000 shared equally by Peter and John (720,000 each). Goodwill of 3,000,000 is not maintained: James's 1/5 share (600,000) is debited to his current account and credited to Peter and John equally (300,000 each) in their capital accounts. James retains 300,000 of his profit share in his capital account.

	Peter	John	James
Balance b/d	6,000,000	3,000,000	–
Revaluation surplus	720,000	720,000	–
Goodwill adjustment	300,000	300,000	–
Share of profit retained	–	–	300,000
Balance c/d	7,020,000	4,020,000	300,000

(c) Current accounts as at 31 December 2020

	Peter	John	James
Balance b/d	1,560,000	1,420,000	360,000
Interest on capital	480,000	240,000	–
Share of profit	1,120,000	1,120,000	100,000*
Bonus accrued (owed to James)	–	–	70,000
Goodwill adjustment	–	–	(600,000)
Balance c/d	3,160,000	2,780,000	70,000 Dr

*James's profit share of 400,000 is split: 300,000 retained in his capital account and 100,000 credited to his current account. His current account therefore has a debit balance of Sh.70,000 (360,000 + 100,000 + 70,000 − 600,000).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Gross profit and general expenses correctly split 8/12 and 4/12, with the Sh.200,000 bad debt wholly in the post-admission period **(2)**
- (a) Director's salary 800,000 pre-admission only; director's bonus 280,000 including the 70,000 July–August accrual **(2)**
- (a) Depreciation: 560,000 pre-admission on 4,200,000 and 200,000 post-admission on the reduced book value 3,000,000 **(2)**
- (a) Net profit: pre-admission 1,960,000; post-admission 1,400,000 (total 3,360,000) **(2)**
- (a) Appropriation: interest on capital pre 480,000 and post 240,000 (none for James); residual shares; James topped up to the 400,000 guarantee with the 168,000 deficiency borne equally **(2)**
- (b) Revaluation: land surplus 2,080,000 less equipment write-down 640,000 (from book value 3,640,000 at admission) = net surplus 1,440,000, 720,000 each **(1)**
- (b) Goodwill 600,000 credited 300,000 each to Peter and John (not maintained) **(1)**
- (b) James's retained share 300,000 credited to his capital account **(1)**
- (b) Capital balances: Peter 7,020,000; John 4,020,000; James 300,000 **(1)**
- (c) Opening current balances and interest on capital credits (Peter 480,000; John 240,000) **(2)**
- (c) Profit share credits: Peter and John 1,120,000 each; James 100,000 to current account plus bonus accrued 70,000 **(2)**
- (c) Goodwill 600,000 debited to James's current account; closing balances Peter 3,160,000 Cr, John 2,780,000 Cr, James 70,000 Dr **(2)**

KASNEB-2021-05-Q3 · May 2021 · 20 marks KASNEB authored

Partnership admission — columnar accounts (Andrew, Benta & Chris)

Andrew and Benta have been partners in a business sharing profits and losses in the ratio of 2:1 after interest on capital is charged at the rate of 10% per annum. Their financial year ends on 31 December each year. Additional

information: 1. On 1 July 2020, Chris was admitted as a partner. From that date, Andrew, Benta and Chris were to share profits and losses in the ratio 2:2:1 respectively after charging interest on capital at 10% per annum. 2. For the purpose of admission of the new partner, the value of the goodwill of the business was agreed at Sh. 9,000,000, but was to be written off immediately. 3. On 1 July 2020, Chris paid Sh.8,500,000 into the business. It was agreed that Sh.5,000,000 be his fixed capital and the balance be credited to his current account. No adjusting entries had been made yet to record his admission into the partnership. 4. The following trial balance was extracted from the books of the partnership as at 31 December 2020 (Sh."000"): Leasehold premises 12,000; Motor vehicles (cost) 18,400; Furniture and fittings (cost) 5,600; Inventory (1 January 2020) 9,600; Salaries (including partners' drawings) 14,960; Accounts receivable 6,440; Bank 2,460; Rent and rates 840; Selling and distribution expenses 5,240; Capital accounts: Andrew 6,000 Cr, Benta 5,400 Cr; Current accounts: Andrew 3,200 Cr, Benta 2,440 Cr; Purchases 43,200; Sales 80,000 Cr; Cash introduced by Chris 8,500 Cr; Accounts payable 8,560 Cr; Accumulated depreciation: Motor vehicles 3,680 Cr, Furniture and fittings 960 Cr. Totals 118,740 / 118,740. 5. Sales during the second half of the year 2020 were 60% of the total sales. 6. Selling and distribution expenses were in proportion to the sales for each period. All other expenses were incurred evenly throughout the year. 7. Depreciation is to be charged on cost per annum as follows: Motor vehicles 20%; Furniture and fittings 10%. 8. Drawings by the partners were as follows (Sh."000"): Andrew 2,540; Benta 2,020; Chris 660. 9. Allowance for doubtful debts is apportioned as follows: 1 January 2020 – 30 June 2020 – Sh. 129,000; 1 July 2020 – 31 December 2020 – Sh.80,000. 10. The leasehold premises was acquired on 1 January 2020 and is being amortised over a period of 25 years. 11. Inventory as at 31 December 2020 was valued at Sh. 10,800,000. Required: (a) Statement of profit or loss and appropriation account in columnar form for the two periods ended 30 June 2020 and 31 December 2020. (10 marks) (b) Partners' current accounts. (4 marks) (c) Statement of financial position as at 31 December 2020. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Salaries:** trial balance salaries of 14,960 include partners' drawings (2,540 + 2,020 + 660 = 5,220). True salaries expense = 14,960 − 5,220 = **9,740**, split evenly 4,870 / 4,870.
- **W2 — Gross profit:** year GP = sales 80,000 + closing inventory 10,800 − opening inventory 9,600 − purchases 43,200 = **38,000** (margin 47.5%). No inventory is given at 30 June, so the gross profit is apportioned on the sales ratio (uniform margin): H1 (40%) = 15,200; H2 (60%) = 22,800.
- **W3 — Depreciation/amortisation (full year):** motor vehicles 20% × 18,400 = 3,680 (1,840 per half); furniture 10% × 5,600 = 560 (280 per half); leasehold amortisation 12,000 ÷ 25 = 480 (240 per half).
- **W4 — Selling & distribution** 5,240 in sales ratio: H1 2,096; H2 3,144. Rent and rates 840 split evenly: 420 / 420.
- **W5 — Goodwill:** raised in the old ratio 2:1 (Andrew Cr 6,000; Benta Cr 3,000) and immediately written off in the new ratio 2:2:1 (Andrew Dr 3,600; Benta Dr 3,600; Chris Dr 1,800) through current accounts. Net: Andrew +2,400; Benta −600; Chris −1,800.
- **W6 — Chris's cash:** capital 5,000; current account 3,500.

(a) Statement of profit or loss and appropriation account (columnar) — Sh."000"

	H1 to 30 Jun 2020	H2 to 31 Dec 2020
Gross profit (W2)	15,200	22,800
Less: Salaries (W1)	4,870	4,870
Rent and rates	420	420
Selling and distribution expenses	2,096	3,144
Depreciation — motor vehicles	1,840	1,840
Depreciation — furniture and fittings	280	280
Amortisation — leasehold premises	240	240
Allowance for doubtful debts	129	80
Net profit	**5,325**	**11,926**
Less: Interest on capital — Andrew	300	300
— Benta	270	270
— Chris	–	250
Balance shared: H1 ratio 2:1; H2 ratio 2:2:1	4,755	11,106
— Andrew	3,170	4,442.4
— Benta	1,585	4,442.4
— Chris	–	2,221.2

Interest on capital: H1 — Andrew 10% × 6,000 × 6/12 = 300; Benta 10% × 5,400 × 6/12 = 270. H2 — Andrew 300; Benta 270; Chris 10% × 5,000 × 6/12 = 250. Total net profit for the year = 5,325 + 11,926 = **17,251**.

(b) Partners' current accounts (Sh."000")

	Andrew	Benta	Chris
Balance b/d	3,200	2,440	–
Cash introduced (current portion)	–	–	3,500
Goodwill adjustment (net, W5)	2,400	(600)	(1,800)
Interest on capital (H1 + H2)	600	540	250
Share of profit — H1	3,170	1,585	–
Share of profit — H2	4,442.4	4,442.4	2,221.2
Less: Drawings	(2,540)	(2,020)	(660)
Balance c/d (Cr)	**11,272.4**	**6,387.4**	**3,511.2**

(c) Statement of financial position as at 31 December 2020 (Sh."000")

	Sh."000"
Non-current assets	
Leasehold premises (12,000 − 480)	11,520
Motor vehicles (18,400 − 7,360)	11,040
Furniture and fittings (5,600 − 1,520)	4,080
	26,640
Current assets	
Inventory	10,800
Accounts receivable (6,440 − allowance 209)	6,231
Bank	2,460
	19,491
Total assets	**46,131**
Capital accounts: Andrew 6,000; Benta 5,400; Chris 5,000	16,400
Current accounts (11,272.4 + 6,387.4 + 3,511.2)	21,171
Current liabilities: Accounts payable	8,560
Total equity and liabilities	**46,131**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Salaries expense correctly extracted: 14,960 − drawings 5,220 = 9,740, split evenly **(1)**
- Gross profit for the year 38,000 apportioned 15,200 (H1) / 22,800 (H2) on the sales ratio **(2)**
- Period expenses correctly split (S&D 2,096/3,144; depreciation MV 1,840, furniture 280, amortisation 240 per half; allowance 129/80) **(2)**
- Net profits: H1 5,325; H2 11,926 **(1)**
- Interest on capital: H1 — Andrew 300, Benta 270; H2 — Andrew 300, Benta 270, Chris 250 (half-year on Chris's 5,000 capital) **(2)**
- Residual shared correctly: H1 4,755 in 2:1 (3,170 / 1,585); H2 11,106 in 2:2:1 (4,442.4 / 4,442.4 / 2,221.2) **(2)**
- Goodwill raised in old ratio 2:1 and written off in new ratio 2:2:1 through current accounts (net Andrew +2,400; Benta −600; Chris −1,800) **(2)**
- Chris's cash split: capital 5,000, current account 3,500 **(1)**
- Current account balances: Andrew 11,272.4 Cr; Benta 6,387.4 Cr; Chris 3,511.2 Cr (after drawings) **(3)**
- SOFP: non-current assets 26,640 (accumulated depreciation MV 7,360, furniture 1,520); current assets 19,491; capital 16,400 + currents 21,171 + payables 8,560 = 46,131 — statement balances **(4)**

KASNEB-2020-11-Q3 · November 2020 · 20 marks KASNEB authored

Partnership retirement (Lydia, Mercy & Prisca)

Lydia, Mercy and Prisca have been in partnership sharing profits and losses in the ratio of 2:1:1 respectively after charging interest on capital at the rate of 10% per annum. Their financial year ends on 31 March each year. Additional information: 1. On 30 September 2019, Prisca retired from the partnership. Lydia and Mercy agreed to continue with the partnership and to share profits and losses in the ratio of 3:2 respectively after charging interest of 10% per annum on capital. 2. For the purpose of retirement of Prisca from the partnership: Land was revalued to Sh.20,000,000; Equipment was revalued to Sh.12,000,000; Goodwill of the partnership was valued at Sh.4,000,000 but was to be written off immediately. 3. Prisca agreed to leave the amount due to her in respect of her capital as a loan earning an interest of 10% per annum. The amount due to her in respect of current account was settled in full on 31 March 2020. 4. Accounts receivable amounting to Sh.2,400,000 were from sales made to a trader who was declared bankrupt and requires to be written off. 5. The relevant adjustments relating to the above transactions had not been made when the following trial balance was extracted on 31 March 2020 (Sh."000"): Land 4,000; Equipment 8,000; Inventory 9,600; Accounts receivable 7,600; Accounts payable 2,800 Cr; Bank balance 5,600; Net profit reported 16,800 Cr; Capital accounts: Lydia 8,000 Cr, Mercy 4,000 Cr, Prisca 4,000 Cr; Current accounts: Lydia 1,200 Cr, Mercy 800 Cr, Prisca 800 Cr; Drawings: Lydia 944, Mercy 1,216, Prisca 1,440. Totals 38,400 / 38,400. Assume that the net profit accrued evenly throughout the year. Required: (a) Statement of profit or loss and appropriation account in columnar form for the two periods ended 30 September 2019 and 31 March 2020. (6 marks) (b) Partners' capital accounts. (4 marks) (c) Partners' current accounts. (4 marks) (d) Statement of financial position as at 31 March 2020. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Profit for appropriation:** reported net profit 16,800 − bad debts written off 2,400 = **14,400**; accrued evenly → 7,200 per half-year.
- **W2 — Revaluation profit at 30 September 2019:** land (20,000 − 4,000) 16,000 + equipment (12,000 − 8,000) 4,000 = **20,000**, shared in the old ratio 2:1:1: Lydia 10,000; Mercy 5,000; Prisca 5,000 (capital accounts).
- **W3 — Goodwill 4,000:** raised in the old ratio 2:1:1 (Lydia 2,000; Mercy 1,000; Prisca 1,000 — capitals) and written off immediately in the new ratio 3:2 by the continuing partners only (Lydia 2,400; Mercy 1,600 — capitals). Prisca keeps her share.
- **W4 — Interest on Prisca's loan:** her capital of 10,000 (see capital accounts) became a loan on 30 September 2019 at 10% p.a. → interest for the second period = 10,000 × 10% × 6/12 = **500**, charged against the second period's profit and accrued to the loan account.

(a) Statement of profit or loss and appropriation account (columnar) (Sh."000")

	Period to 30 Sep 2019	Period to 31 Mar 2020
Net profit (W1)	7,200	7,200
Less: Interest on Prisca's loan (W4)	–	(500)
Profit available	7,200	6,700
Less: Interest on capital — Lydia	400	400

	Period to 30 Sep 2019	Period to 31 Mar 2020
— Mercy	200	200
— Prisca	200	–
Balance shared: P1 ratio 2:1:1; P2 ratio 3:2	6,400	6,100
— Lydia	3,200	3,660
— Mercy	1,600	2,440
— Prisca	1,600	–

Interest on capital: Lydia 10% × 8,000 × 6/12 = 400; Mercy 10% × 4,000 × 6/12 = 200; Prisca 200 (first period only).

(b) Partners' capital accounts (Sh."000")

	Lydia	Mercy	Prisca
Balance b/d	8,000	4,000	4,000
Revaluation profit (W2)	10,000	5,000	5,000
Goodwill raised (W3)	2,000	1,000	1,000
Goodwill written off (W3)	(2,400)	(1,600)	–
Transfer to loan account	–	–	(10,000)
Balance c/d	**17,600**	**8,400**	**–**

(c) Partners' current accounts (Sh."000")

	Lydia	Mercy	Prisca
Balance b/d	1,200	800	800
Interest on capital (both periods)	800	400	200
Share of profit — period 1	3,200	1,600	1,600
Share of profit — period 2	3,660	2,440	–
Less: Drawings	(944)	(1,216)	(1,440)
Balance c/d	**7,916**	**4,024**	**1,160**

Prisca's current account balance of **1,160** was settled in full in cash on 31 March 2020, reducing the bank balance to 5,600 − 1,160 = **4,440**.

(d) Statement of financial position as at 31 March 2020 (Sh."000")

	Sh."000"
Non-current assets: Land (revalued)	20,000
Equipment (revalued)	12,000

	Sh."000"
	32,000
Current assets: Inventory	9,600
Accounts receivable (7,600 − 2,400 written off)	5,200
Bank (5,600 − 1,160 settled to Prisca)	4,440
	19,240
Total assets	**51,240**
Capital accounts: Lydia 17,600; Mercy 8,400	26,000
Current accounts: Lydia 7,916; Mercy 4,024	11,940
Non-current liability: Prisca's loan (10,000 + accrued interest 500)	10,500
Current liabilities: Accounts payable	2,800
Total equity and liabilities	**51,240**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Profit for appropriation correctly derived: 16,800 − bad debts 2,400 = 14,400, split evenly 7,200 / 7,200 **(1)**
- Interest on capital: period 1 — Lydia 400, Mercy 200, Prisca 200; period 2 — Lydia 400, Mercy 200 **(2)**
- Residuals shared correctly: period 1 — 6,400 in 2:1:1 (3,200 / 1,600 / 1,600); period 2 — 6,100 in 3:2 (3,660 / 2,440) after charging loan interest 500 **(3)**
- Revaluation profit 20,000 shared in old ratio 2:1:1 through capital accounts (10,000 / 5,000 / 5,000) **(2)**
- Goodwill: raised 2:1:1 (2,000 / 1,000 / 1,000), written off 3:2 by continuing partners (2,400 / 1,600); capital balances Lydia 17,600, Mercy 8,400, Prisca 10,000 to loan **(2)**
- Current accounts: interest and profit shares posted, drawings deducted — Lydia 7,916; Mercy 4,024; Prisca 1,160 **(4)**
- SOFP: revalued assets 32,000; receivables reduced to 5,200; bank reduced by the 1,160 settlement to 4,440 **(3)**
- SOFP: capitals 26,000; currents 11,940; Prisca's loan 10,500 (incl. accrued interest 500); payables 2,800; statement balances at 51,240 **(3)**

KASNEB-2018-11-Q3 · November 2018 · 20 marks KASNEB authored

Partnership change of terms mid-year (Mercy, Nelly & Onyango)

Mercy, Nelly and Onyango have been in partnership since 1 October 2017 sharing profits and losses 3:2:1. The agreement provided: interest on capital 10% per annum; interest on drawings 10% per annum; salaries: Nelly Sh.3,600,000 per annum, Onyango Sh.2,400,000 per annum.

Additional information: 1. On 1 April 2018 the terms changed: profits and losses shared 5:3:2; interest on capital 15% per annum; interest on drawings 15% per annum; salary: Nelly Sh.6,000,000 per annum. 2. Goodwill was valued at Sh.3,600,000 as at 1 April 2018 and is not to be maintained in the books. 3. Trial balance as at 30 September 2018 (Sh."000"): Drawings (current accounts): Mercy 1,800, Nelly 1,200, Onyango 960; Capital accounts: Mercy 6,000 Cr, Nelly 3,600 Cr, Onyango 1,800 Cr; Buildings at valuation (1 October 2017) 6,000; Goodwill in books 1,000; Motor vehicles at cost 3,000; Plant at cost 4,800; Inventory (1 October

2017) 2,400; Purchases 10,544; Sales 17,760 Cr; Salaries and wages 1,710; General expenses 492; Rent and rates 840; Accounts receivable 1,320; Accounts payable 1,008 Cr; Bank 792; Accumulated depreciation (1 October 2017): Motor vehicles 600 Cr, Plant 240 Cr. Totals printed as 23,004 / 23,004. 4. Sales during the first six months were 40% of total sales. 5. Revalued values as at 1 April 2018 (Sh."000"): Land 3,600; Buildings 4,800. 6. Depreciation rates: Buildings 2½% straight line; Motor vehicles 25% reducing balance; Plant 15% straight line. 7. As at 30 September 2018: inventory Sh.1,680,000; accrued rent and rates Sh.42,000. 8. On 1 October 2017, the land and buildings were valued at Sh.7,200,000 and Sh.4,800,000 respectively; the land cost was Sh.1,200,000.

Required: (a) Income statement and appropriation account for the year ended 30 September 2018. (8 marks) (b) Partners' current accounts. (6 marks) (c) Statement of financial position as at 30 September 2018. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

W1 — Trading result: Cost of sales = opening inventory 2,400 + purchases 10,544 − closing inventory 1,680 = 11,264. Gross profit = 17,760 − 11,264 = **6,496**. **W2 — Depreciation for the year:** Buildings 2½% × 4,800 = 120 (60 per half-year); Motor vehicles 25% × (3,000 − 600) = 600; Plant 15% × 4,800 = 720. Net profit before revaluation = 6,496 − (salaries and wages 1,710 + general expenses 492 + rent and rates 840 + accrued 42 + depreciation 1,440) = **1,972**. **W3 — Revaluation at 1 April 2018:** Land rises from its 1 October 2017 valuation of 1,200 (note 8) to 3,600 → **revaluation surplus 2,400**; buildings are unchanged at 4,800. The surplus arises in Period 2. **W4 — Period split (sales basis 40/60):** Period 1 profit = 40% × 1,972 = 789; Period 2 profit = 60% × 1,972 = 1,183, plus the revaluation surplus 2,400 → 3,583 available in Period 2. **W5 — Interest and salaries:** Interest on capital — Period 1: 10% × 11,400 × 6/12 = 570 (Mercy 300, Nelly 180, Onyango 90); Period 2: 15% × 11,400 × 6/12 = 855 (Mercy 450, Nelly 270, Onyango 135). Salaries — Period 1: Nelly 1,800, Onyango 1,200; Period 2: Nelly 3,000 only. Interest on drawings (on the year's drawings at each period's rate for six months) — Period 1: 198 (Mercy 90, Nelly 60, Onyango 48); Period 2: 297 (Mercy 135, Nelly 90, Onyango 72). **W6 — Appropriation residuals:** Period 1: 789 + 198 − 570 − 3,000 = **loss (2,583)**, shared 3:2:1 → Mercy (1,291), Nelly (861), Onyango (431). Period 2: 3,583 + 297 − 855 − 3,000 = **profit 25**, shared 5:3:2 → Mercy 13, Nelly 7, Onyango 5. **W7 — Goodwill:** Raised from the book value of 1,000 to the agreed 3,600: Dr Goodwill 2,600 / Cr Current accounts in the OLD ratio 3:2:1 (Mercy 1,300, Nelly 867, Onyango 433). Written off (not maintained): Dr Current accounts in the NEW ratio 5:3:2 (Mercy 1,800, Nelly 1,080, Onyango 720) / Cr Goodwill 3,600. Goodwill is nil thereafter.

(a) Income statement and appropriation account for the year ended 30 September 2018

```
Sales                                                          17,760
Cost of sales (W1)                                            (11,264)
Gross profit                                                    6,496
Less: Salaries and wages 1,710; General expenses 492; Rent and rates 882;
      Depreciation (buildings 120; motor vehicles 600; plant 720)  (4,524)
Net profit                                                      1,972
Add: Revaluation surplus on land (W3)                           2,400
Profit for appropriation                                        4,372
Appropriation — Period 1 (old terms): profit 789 + interest on drawings 198
      − interest on capital 570 − salaries 3,000 = residual loss (2,583) shared
```

```
3:2:1
Appropriation – Period 2 (new terms): profit 1,183 + revaluation 2,400 + interest on
drawings 297
      − interest on capital 855 − salary 3,000 = residual profit 25 shared 5:3:2
```

(b) Partners' current accounts (Sh."000)

	Mercy	Nelly	Onyango
Interest on capital (P1 + P2)	750	450	225
Salaries	–	4,800	1,200
Interest on drawings	(225)	(150)	(120)
Residual: Period 1 loss	(1,291)	(861)	(431)
Period 2 profit	13	7	5
Goodwill raised (3:2:1)	1,300	867	433
Goodwill written off (5:3:2)	(1,800)	(1,080)	(720)
Drawings	(1,800)	(1,200)	(960)
Balance c/d	(3,053) Dr	2,833 Cr	(368) Dr

(c) Statement of financial position as at 30 September 2018 (Sh."000)

Land and buildings at valuation (3,600 + 4,800 − depreciation 120)	8,280
Motor vehicles (3,000 − 600 − 600)	1,800
Plant (4,800 − 240 − 720)	3,840
Current assets: Inventory 1,680; Accounts receivable 1,320; Bank 792	3,792
Total assets	17,712
Capital accounts: Mercy 6,000; Nelly 3,600; Onyango 1,800	11,400
Current accounts (net debit)	(588)
Current liabilities: Accounts payable 1,008; Accrued rent and rates 42	1,050
Unreconciled difference (source data – see source note)	5,850
Total capital and liabilities	17,712

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Gross profit 6,496 (cost of sales 11,264 after closing inventory 1,680) (2) **(2)**
- (a) Expenses 4,524 incl. accrued rent 42 and depreciation (buildings 120, motor vehicles 600, plant 720) → net profit 1,972 (2) **(2)**
- (a) Period split and appropriation at old then new terms: interest on capital 570/855, salaries 3,000/3,000, interest on drawings 198/297 (2) **(2)**
- (a) Revaluation surplus on land 2,400 recognised in Period 2; residuals (2,583) shared 3:2:1 and 25 shared 5:3:2 (2) **(2)**
- (b) Goodwill: raised by 2,600 in the old ratio and written off 3,600 in the new ratio; goodwill eliminated (2) **(2)**
- (b) Current accounts correctly built up (interest, salaries, residuals, goodwill, drawings): Mercy Dr 3,053; Nelly Cr 2,833; Onyango Dr 368 (4) **(4)**
- (c) Non-current assets at revalued amounts less depreciation (8,280 / 1,800 / 3,840) and current assets 3,792 (3) **(3)**
- (c) Capitals 11,400, net current accounts (588) and current liabilities 1,050 presented; statement completed (3) **(3)**

KASNEB-2017-05-Q3 · May 2017 · 20 marks KASNEB authored

Partnership change of agreement with incomplete records (Xavier, Yvonne & Zari)

Xavier, Yvonne and Zari have been in partnership sharing profits and losses in the ratio of 3:2:1 respectively. On 1 May 2016, the partnership agreement was changed. With effect from 1 May 2016, profits and losses are shared in the ratio of 3:2:1 respectively [as printed], interest on capital is allowed at 12% per annum, interest on drawings at 1% per month, a salary of Sh.100,000 per month is payable to partners, and interest on loans at 6% per annum, Xavier having advanced a loan of Sh.4,000,000 to the partnership on the same date.

The following statement of financial position was extracted as at 30 April 2016 (Sh."000"): Freehold premises 10,000; Motor vehicles 5,000; Fixtures and fittings 4,000; Inventory 4,000; Cash at bank 4,000; Accounts receivable 3,050; Accounts payable 1,000 Cr; Capital accounts: Xavier 20,000 Cr, Yvonne 6,000 Cr, Zari 3,000 Cr. Total 29,000.

Additional information:
1. Profit for the year ended 30 April 2017 was Sh.21,000,000 before charging loan interest.
2. The following information relates to the year ended 30 April 2017: Sales for the year was Sh.90,000,000; Cash purchases by cheque Sh.44,000,000; Accounts receivable (30 April 2017) Sh.5,000,000; Accounts payable (30 April 2017) Sh.2,000,000; Inventory as at 30 April 2017 Sh.6,600,000; Expenses for the year were Sh. 8,000,000.
3. The business operates on a gross profit margin of 50% of cost of sales.
4. As at 30 April 2017, no record had been made of the new profit sharing ratio agreement.
5. Drawings for the year: Xavier Sh.3,600,000; Yvonne Sh.1,600,000; Zari Sh.1,000,000.

Required: (a) Income statement for the year ended 30 April 2017. (10 marks) (b) Statement of financial position as at 30 April 2017. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000". The new agreement took effect on 1 May 2016 — the first day of the year ended 30 April 2017 — so its terms (interest on capital 12%, interest on drawings 1% per month, salaries, loan interest 6%) apply to the whole of that year. The profit of 21,000 was struck before any of these appropriations and before loan interest, so both must now be applied.

Workings

- Loan interest: Xavier's loan 4,000 x 6% = 240 — an expense of the business, charged before appropriation. Profit available for appropriation = 21,000 − 240 = 20,760.
- Interest on capital at 12% on opening capitals: Xavier 12% x 20,000 = 2,400; Yvonne 12% x 6,000 = 720; Zari 12% x 3,000 = 360. Total 3,480.
- Salaries: Sh.100,000 per month to each partner = 1,200 per partner for the year; total 3,600.
- Interest on drawings at 1% per month: the dates of drawings are not given, so interest is charged on the average basis of 6 months: Xavier 1% x 3,600 x 6 = 216; Yvonne 1% x 1,600 x 6 = 96; Zari 1% x 1,000 x 6 = 60. Total 372.
- Purchases (for the bank working): gross profit is 50% on cost of sales, i.e. cost of sales = 90,000 / 1.5 = 60,000 and gross profit = 30,000. Purchases = 60,000 + closing inventory 6,600 − opening inventory 4,000 = 62,600.

(a) Income statement (appropriation) for the year ended 30 April 2017

```
Profit for the year before loan interest                  21,000
Less: Interest on Xavier's loan (6% x 4,000)                 (240)
Profit available for appropriation                        20,760
Add: Interest on drawings: Xavier 216; Yvonne 96; Zari 60     372
                                                          21,132
Less appropriations:
  Interest on capital: Xavier 2,400; Yvonne 720; Zari 360  (3,480)
  Partners' salaries: 1,200 each                            (3,600)
Residual profit shared 3:2:1                              14,052
  Xavier (3/6) 7,026; Yvonne (2/6) 4,684; Zari (1/6) 2,342
```

Partners' current accounts (summary):

```
                Xavier   Yvonne     Zari
Interest on capital      2,400      720      360
Salary                   1,200    1,200    1,200
Share of residual profit 7,026    4,684    2,342
Less: Drawings          (3,600)   (1,600)   (1,000)
Less: Interest on drawings (216)     (96)      (60)
Balance c/d (Cr)         6,810    4,908    2,842     Total 14,560
```

(b) Statement of financial position as at 30 April 2017

```
Non-current assets (at book values per 30 April 2016):
  Freehold premises                                       10,000
  Motor vehicles                                           5,000
  Fixtures and fittings                                    4,000
                                                          19,000
Current assets:
  Inventory                                                6,600
  Accounts receivable                                      5,000
  Cash at bank (balancing figure)                         19,200
                                                          30,800
Total assets                                              49,800

Capital accounts: Xavier 20,000; Yvonne 6,000; Zari 3,000 29,000
Current accounts (from (a))                               14,560
                                                          43,560
Non-current liability: Loan from Xavier                   4,000
Current liabilities:
  Accounts payable                                         2,000
  Accrued loan interest                                      240
Total equity and liabilities                              49,800
```

Notes: (i) The closing bank balance is the balancing figure of the statement. A bank-account reconstruction from the data given (opening bank 4,000 + loan received 4,000 + receipts from receivables control 88,050 − cash purchases 44,000 − payments to creditors 17,600 per the payables control (1,000 + credit purchases 18,600 − 2,000) − expenses 8,000 − drawings 6,200) gives 20,250, i.e. Sh.1,050,000 more than the balancing figure — a discrepancy attributable to the faded source scan (see source note). (ii) No depreciation information is given for the year, so non-current assets are carried at their 30 April 2016 book values.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Loan interest 6% x 4,000 = 240 treated as an expense, reducing profit to 20,760 before appropriation **(2)**
- (a) Interest on capital at 12% on opening capitals: Xavier 2,400; Yvonne 720; Zari 360 **(2)**
- (a) Salaries credited: Sh.100,000 per month per partner = 1,200 each (3,600 total) **(2)**
- (a) Interest on drawings at 1% per month on a reasonable (e.g. 6-month average) basis: Xavier 216; Yvonne 96; Zari 60, added back in the appropriation **(2)**
- (a) Residual profit 14,052 shared 3:2:1 — Xavier 7,026; Yvonne 4,684; Zari 2,342 **(2)**
- (b) Non-current assets at book values: premises 10,000, motor vehicles 5,000, fixtures and fittings 4,000 **(2)**
- (b) Current assets: inventory 6,600 and accounts receivable 5,000 **(2)**
- (b) Bank balance derived as the balancing figure 19,200 with workings (purchases 62,600 from the 50% mark-up on cost) **(2)**
- (b) Capital accounts 29,000 and current accounts 6,810 / 4,908 / 2,842 (total 14,560) correctly rolled forward **(3)**
- (b) Loan from Xavier 4,000, accrued loan interest 240 and accounts payable 2,000 shown as liabilities **(1)**

KASNEB-2015-09-PILOT-Q1 · September 2015 Pilot Paper · 20 marks KASNEB authored

Features of public sector accounting; partnership admission with revaluation and goodwill, profit split at admission date (Abai Enterprises)

(a) Enumerate four features of public sector accounting that distinguish it from private sector accounting. (4 marks)

(b) Abdi and Badi were partners in Abai Enterprises trading as general merchants and sharing profits and losses in the ratio 2:1 after charging interest on capital at 10% per annum. On 30 November 2014 Coy was admitted as a partner and from that day, profits and losses were to be shared in the ratio 2:2:1 for Abdi, Badi and Coy respectively. The following trial balance was extracted from the partnership books as at 31 August 2015 (Sh."000"): Land and building 22,500; Motor vehicles 24,600; Furniture and fittings 8,700; Accumulated depreciation - Motor vehicles 5,670; Furniture and fittings 1,455; Capital - Abdi 9,750; Badi 8,400; Cash introduced by Coy 13,500; Purchases 64,800; Sales 120,000; Bank balance 3,690; Accounts receivable 9,660; Rent expense 1,260; Inventory 14,400; Salaries 22,440; Selling and distribution expenses 7,860; Partners current accounts - Abdi 7,460 (Cr); Badi 2,000 (Dr); Trade payables 15,675. Total 181,910 / 181,910.

Additional information: 1. Other than receipt of cash from Coy, no entries have been made to record the admission. On 30 November 2014, land and buildings were revalued at Sh.30 million while goodwill which was to be written off was estimated at Sh.9 million. 2. After the admission of Coy, partners agreed that interest on capital would subsequently be paid at 20% per annum. 3. Salaries include the following partners drawings: Abdi Sh.3,870,000; Badi Sh.3,060,000; Coy Sh.1,030,000. 4. Depreciation on motor vehicles is to be provided at 20% p.a on a reducing balance basis while depreciation on furniture and fittings is to be provided at 20% p.a on cost. 5. Sales for the period after admission of Coy were 50% more than sales for the period before admission in the year to 31 August 2015. Selling and distribution expenses varied with sales while other expenses accrued evenly over the year. 6. Allowance for doubtful debts was Sh.350,000 on 30 November 2014 and Sh.500,000 as at 31 August 2015. 7. Inventory on 31 August 2015 was valued at Sh.15 million.

Required: (i) Income statement for the year ended 31 August 2015. (10 marks) (ii) Statement of financial position as at 31 August 2015. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Four features distinguishing public sector accounting from private sector accounting

1. **Objective:** Public sector entities exist to **provide public services and implement government policy**; their aim is service delivery and stewardship of public funds, judged by economy, efficiency and effectiveness. Private sector organisations exist primarily to **earn a profit for their owners**, and performance is measured by profit and return on capital.
2. **Sources of revenue:** Public sector revenue comes mainly from **non-exchange transactions** - taxation, grants, appropriations and donor funding - which are not earned by selling goods or services of equivalent value. Private sector revenue comes from **exchange transactions**, principally sales of goods and services.
3. **Budgetary control:** In the public sector the approved budget has the **force of law** (appropriation): spending beyond the voted amount is illegal and unspent funds generally lapse at year-end. In the private sector a budget is only an **internal management tool** that management may revise, with no legal sanction for overspending.
4. **Regulatory framework and accountability:** Public sector accounting follows **statute and government financial regulations** (the Constitution, the Public Finance Management Act, IPSAS-based standards set by the Public Sector Accounting Standards Board), with audit by the Auditor-General and accountability to Parliament. Private sector accounting follows the **Companies Act and IFRS**, with audit by auditors appointed by the shareholders. *(Any four valid distinguishing features earn the marks.)*

(b) Workings (Sh."000")

W1 - Sales split: Post-admission sales are 50% more than pre-admission sales, so pre : post = 2 : 3. Pre-admission (1 Sep - 30 Nov 2014) = 120,000 x 2/5 = **48,000**; post-admission (1 Dec 2014 - 31 Aug 2015) = **72,000**. **W2 - Gross profit split:** Gross profit for the year = 120,000 - (14,400 + 64,800 - 15,000) = 120,000 - 64,200 = **55,800**, a uniform margin of 46.5% on sales. (No inventory figure at 30 November 2014 is given, so gross profit is split between the periods at this uniform margin.) Pre = 22,320; post = 33,480. **W3 - Expense splits:** Salaries are first corrected for partners' drawings included in them: 22,440 - (3,870 + 3,060 + 1,030) = **14,480**, apportioned by time (other expenses accrue evenly, note 5) 3:9 - pre 3,620; post 10,860. Rent 1,260 by time (315; 945). Selling and distribution expenses 7,860 vary with sales, split 2:3 (3,144; 4,716). Depreciation for the year: motor vehicles 20% x (24,600 - 5,670) = 3,786 (946.5; 2,839.5); furniture and fittings 20% x 8,700 = 1,740 (435; 1,305), both by time. Allowance for doubtful debts: nil is brought forward in the trial balance, so the charge is 350 to reach the 30 November 2014 allowance (pre-admission) and a further 150 to reach 500 at 31 August 2015 (post-admission). **W4 - Admission adjustments (30 November 2014):** Revaluation surplus on land and building = 30,000 - 22,500 = **7,500**, credited in the old ratio 2:1 (Abdi 5,000; Badi 2,500). Goodwill of 9,000 is raised in the old ratio 2:1 (Abdi 6,000; Badi 3,000) and written off in the new ratio 2:2:1 (Abdi 3,600; Badi 3,600; Coy 1,800), as agreed. Net effect: Abdi +2,400; Badi -600; Coy -1,800. Coy's cash of 13,500, credited in the trial balance to "Cash introduced by Coy", is his capital. **W5 - Interest on capital:** Pre-admission at 10% p.a. for 3 months: Abdi 9,750 x 10% x 3/12 = 243.75; Badi 8,400 x 10% x 3/12 = 210. Post-admission at the new rate of 20% p.a. for 9 months: Abdi 1,462.5; Badi 1,260; Coy 13,500 x 20% x 9/12 = 2,025.

(i) Income statement (including appropriation) for the year ended 31 August 2015 (Sh."000")

	1 Sep - 30 Nov 2014	1 Dec 2014 - 31 Aug 2015	Total
Sales (W1)	48,000	72,000	120,000
Cost of sales (14,400 + 64,800 - 15,000)	(25,680)	(38,520)	(64,200)
Gross profit (W2)	22,320	33,480	55,800
Salaries (W3)	(3,620)	(10,860)	(14,480)
Rent expense	(315)	(945)	(1,260)
Selling and distribution expenses	(3,144)	(4,716)	(7,860)
Depreciation - motor vehicles	(946.5)	(2,839.5)	(3,786)
Depreciation - furniture and fittings	(435)	(1,305)	(1,740)
Increase in allowance for doubtful debts	(350)	(150)	(500)
Net profit	**13,509.5**	**12,664.5**	**26,174**
Interest on capital (W5)	Abdi 243.75; Badi 210	Abdi 1,462.5; Badi 1,260; Coy 2,025	5,201.25
Residual profit	13,055.75	7,917	20,972.75
Shared	Abdi 8,703.83; Badi 4,351.92 (2:1)	Abdi 3,166.8; Badi 3,166.8; Coy 1,583.4 (2:2:1)	

Partners' current accounts (Sh."000") - workings for the statement of financial position

Abdi: Balance b/d Cr 7,460 + revaluation surplus 5,000 + goodwill raised 6,000 - goodwill written off 3,600 + interest on capital (243.75 + 1,462.5) 1,706.25 + share of residual profit (8,703.83 + 3,166.8) 11,870.63 - drawings 3,870 = **Cr 24,566.88**. **Badi:** Balance b/d Dr (2,000) + revaluation surplus 2,500 + goodwill raised 3,000 - goodwill written off 3,600 + interest on capital (210 + 1,260) 1,470 + share of residual profit (4,351.92 + 3,166.8) 7,518.72 - drawings 3,060 = **Cr 5,828.72**. **Coy:** Goodwill written off (1,800) + interest on capital 2,025 + share of residual profit 1,583.4 - drawings 1,030 = **Cr 778.40**.

(ii) Statement of financial position as at 31 August 2015 (Sh."000")

Non-current assets: Land and building (revalued) 30,000; Motor vehicles: cost 24,600 - accumulated depreciation (5,670 + 3,786) = 15,144; Furniture and fittings: cost 8,700 - accumulated depreciation (1,455 + 1,740) = 5,505. Total 50,649. **Current assets:** Inventory 15,000; Accounts receivable 9,660 - allowance for doubtful debts 500 = 9,160; Bank balance 3,690. Total 27,850. **Total assets 78,499. Capital accounts:** Abdi 9,750; Badi 8,400; Coy 13,500. Total 31,650. **Current accounts:** Abdi 24,566.88; Badi 5,828.72; Coy 778.40. Total 31,174. **Current liabilities:** Trade payables 15,675. **Total capital and liabilities 78,499** — the statement balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Objective distinguished: public service delivery and stewardship vs profit for owners (1) **(1)**
- (a) Sources of revenue distinguished: non-exchange (taxes, grants, appropriations) vs exchange sales revenue (1) **(1)**
- (a) Budgetary control distinguished: budget has force of law and unspent funds lapse vs internal management tool (1) **(1)**
- (a) Regulatory framework/accountability distinguished: statute, IPSAS/PSASB, Auditor-General and Parliament vs Companies Act, IFRS and shareholder-appointed auditors (1) **(1)**
- (b)(i) Sales split 48,000 / 72,000 using the 50%-more note, and gross profit 55,800 split at the uniform 46.5% margin (22,320 / 33,480) (2) **(2)**
- (b)(i) Salaries corrected for partners' drawings to 14,480 and split 3:9 by time (1) **(1)**
- (b)(i) Selling and distribution expenses split by sales; rent split by time (1) **(1)**
- (b)(i) Depreciation: motor vehicles 3,786 (20% reducing balance) and furniture and fittings 1,740 (20% on cost), split by time (1) **(1)**
- (b)(i) Allowance for doubtful debts charged 350 pre-admission and 150 post-admission (1) **(1)**
- (b)(i) Period net profits: pre-admission 13,509.5 and post-admission 12,664.5 (1) **(1)**
- (b)(i) Interest on capital: 10% for 3 months pre-admission (243.75 / 210) and 20% for 9 months post-admission (1,462.5 / 1,260 / 2,025) (1) **(1)**
- (b)(i) Residual profits shared 2:1 pre-admission and 2:2:1 post-admission (1) **(1)**
- (b)(i) Revaluation surplus 7,500 in the old ratio and goodwill 9,000 raised in the old ratio and written off in the new ratio (1) **(1)**
- (b)(ii) Current account balances: Abdi Cr 24,566.88 (1) **(1)**
- (b)(ii) Current account balances: Badi Cr 5,828.72 (1) **(1)**
- (b)(ii) Current account balances: Coy Cr 778.40 (1) **(1)**
- (b)(ii) Non-current assets 50,649 (land and building revalued 30,000; motor vehicles 15,144; furniture and fittings 5,505) (1) **(1)**
- (b)(ii) Current assets 27,850 including receivables net of the 500 allowance (1) **(1)**
- (b)(ii) Capitals 31,650, current accounts 31,174, payables 15,675; statement balances at 78,499 (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M06-Q014 – CA11-M06-Q045. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Partnership Fundamentals
- The Appropriation Account
- Current vs Fixed Capital

- Admission, Retirement and Ratio Changes

It brought together **12 KASNEB past-paper worked examples** and **40 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 6 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Partnership definition and key elements under the Kenya Partnership Act 1962; the five default rules applied to a firm with no agreement; general versus limited partnerships

Required:

(a) Define a partnership in accordance with the Kenya Partnership Act 1962 and state the FOUR key elements of the definition. (6 marks)

(b) Kilonzo, Mutiso and Syombua formed Kilimo Partners on a verbal understanding, with no written partnership agreement. At the year end: Kilonzo claims a salary of Sh.50,000 per month for managing the firm; Mutiso claims interest on the capital he contributed; and Syombua, who lent the firm Sh.400,000, claims interest at 10%. State the rules that apply in the absence of a partnership agreement and determine how much, if anything, each claim is worth. (10 marks)

(c) Distinguish between a general partnership and a limited partnership, including the consequence if a limited partner takes part in the management of the firm. (4 marks)

Model answer (SokoCPA)

(a) Definition and key elements

The Kenya Partnership Act 1962 defines a partnership as **the relationship which exists between persons carrying on a business in common with a view of profit**. The four key elements are:

1. **Two or more persons** — a partnership needs at least two partners (Kenyan law sets a maximum of 20).
2. **A business arrangement** — the persons must be carrying on a business (a trade, occupation or profession).
3. **A view of profit** — the business is carried on to make profit.
4. **An unincorporated entity** — the firm has no separate legal personality; the partners have **unlimited liability** and may have to use personal assets to clear the firm's debts.

(b) No agreement — the default rules

Where there is no agreement (or the agreement is silent), the default rules apply:

1. **No partner is entitled to a salary** — Kilonzo's claim for Sh.50,000 per month (Sh.600,000 for the year) is worth **nil**.
2. **No interest is allowed on capital** — Mutiso's claim is worth **nil**. (Had interest been agreed, it would be an appropriation of profit, limited to the profit available.)
3. **No interest is charged on drawings.**
4. **Interest at 6% per annum is allowed on a partner's loan** — Syombua receives 6% × 400,000 = **Sh.24,000**, charged as a business **expense** in the income statement (not the 10% = Sh.40,000 claimed). A loan does not make Syombua a partner in respect of the loan, and the interest is not an appropriation.
5. **Profits and losses are shared equally** — Kilonzo, Mutiso and Syombua each take one third, whatever capital they contributed.

(c) General versus limited partnership

- **General partnership** (Partnership Act 1962, Cap 29): every partner has **unlimited liability** and takes part in managing the business.
- **Limited partnership** (Limited Partnership Act, Cap 30): alongside general partners with unlimited liability, **limited partners** have their liability **capped at the capital they contributed**, precisely because they take no part in management.
- **Consequence:** if a limited partner takes part in managing the firm, their liability becomes **unlimited** for the firm's debts — they lose the protection that justified the cap.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Definition correctly stated: relationship between persons carrying on a business in common with a view of profit (Kenya Partnership Act 1962) **(2)**
- Key element: two or more persons (maximum 20) **(1)**
- Key element: a business must be carried on **(1)**
- Key element: profit motive (with a view of profit) **(1)**
- Key element: unincorporated entity — no separate legal personality, unlimited liability **(1)**
- Default rule — no salary without agreement: Kilonzo's claim is nil **(2)**
- Default rule — no interest on capital without agreement: Mutiso's claim is nil **(2)**
- Default rule — no interest charged on drawings **(1)**
- Default rule — 6% interest on a partner's loan: Syombua receives 6% × 400,000 = 24,000 as an expense (not the 40,000 claimed) **(3)**
- Default rule — profits and losses shared equally **(1)**
- General partnership: all partners unlimited liability and take part in management **(1)**
- Limited partnership: limited partners' liability capped at capital contributed **(2)**
- Consequence: a limited partner who manages the firm becomes unlimitedly liable **(2)**

Question 2 (20 marks)

Appropriation account and partners' current accounts: interest on capital, salaries, interest on drawings on average drawings, and a partner's loan at the default rate

Wekesa, Nekesa and Simiyu are partners in WNS Fresh Produce, Bungoma, sharing profits and losses in the ratio 3:2:1. Their fixed capitals are: Wekesa Sh.1,200,000; Nekesa Sh.900,000; Simiyu Sh.600,000. The partnership agreement provides for: interest on capital at 8% per annum; partners' salaries — Nekesa Sh.240,000, Simiyu Sh. 180,000; and interest on drawings at 10% per annum on average drawings (drawings were made evenly through the year).

The net profit per the income statement for the year ended 31 December 2025, before charging interest on Nekesa's loan, was Sh.1,536,000. Nekesa had lent the firm Sh.500,000 on 1 January 2025; the agreement is silent on the rate of interest on partners' loans.

Drawings for the year were: Wekesa Sh.300,000; Nekesa Sh.240,000; Simiyu Sh.180,000. Current account balances at 1 January 2025 were: Wekesa Sh.85,000 Cr; Nekesa Sh.46,000 Cr; Simiyu Sh.12,000 Dr.

Required:
(a) The appropriation account for the year ended 31 December 2025. (12 marks)
(b) The partners' current accounts for the year ended 31 December 2025. (8 marks)

Model answer (SokoCPA)

Workings

- **Interest on Nekesa's loan:** the agreement is silent, so the default rate of 6% applies: 6% × 500,000 = **Sh. 30,000**. This is a business **expense**, deducted before the appropriation account: profit available = 1,536,000 − 30,000 = **Sh.1,506,000**. It is credited to Nekesa's current account.
- **Interest on drawings** (drawings made evenly, so interest is charged on the average — one half of the year): Wekesa 10% × 300,000 × ½ = 15,000; Nekesa 10% × 240,000 × ½ = 12,000; Simiyu 10% × 180,000 × ½ = 9,000. Total **Sh.36,000**.
- **Interest on capital** at 8% on fixed capitals: Wekesa 96,000; Nekesa 72,000; Simiyu 48,000. Total **Sh.216,000**.

(a) Appropriation account

WNS Fresh Produce			
Appropriation account for the year ended 31 December 2025			
	Sh.	Sh.	
Net profit for the year (after loan interest of 30,000 – see workings)		1,506,000	
Add: Interest on drawings			
Wekesa	15,000		
Nekesa	12,000		
Simiyu	9,000	36,000	
		1,542,000	
Less: Interest on capital			
Wekesa	96,000		
Nekesa	72,000		
Simiyu	48,000	(216,000)	
		1,326,000	
Less: Salaries			
Nekesa	240,000		
Simiyu	180,000	(420,000)	
Residual profit			906,000
Wekesa (3/6)	453,000		
Nekesa (2/6)	302,000		
Simiyu (1/6)	151,000	(906,000)	
		Nil	

Check: 1,506,000 + 36,000 − 216,000 − 420,000 = 906,000; 453,000 + 302,000 + 151,000 = 906,000. ✓ The account ends at nil.

(b) Partners' current accounts

Partners' Current Accounts							
	Wekesa	Nekesa	Simiyu		Wekesa	Nekesa	Simiyu
	Sh.	Sh.	Sh.		Sh.	Sh.	Sh.
Balance b/d	–	–	12,000	Balance b/d	85,000	46,000	–
Interest on drawings	15,000	12,000	9,000	Interest on capital	96,000	72,000	48,000
Drawings	300,000	240,000	180,000	Salaries	–	240,000	180,000
				Share of profits	453,000	302,000	151,000
				Loan int.	–	30,000	–

Balance c/d	319,000	438,000	178,000				
	634,000	690,000	379,000		634,000	690,000	379,000
				Balance b/d	319,000	438,000	178,000

Each account proves: Wekesa credits 85,000 + 96,000 + 453,000 = 634,000 = debits 15,000 + 300,000 + 319,000 ✓; Nekesa credits 46,000 + 72,000 + 240,000 + 302,000 + 30,000 = 690,000 ✓; Simiyu credits 48,000 + 180,000 + 151,000 = 379,000 = debits 12,000 + 9,000 + 180,000 + 178,000 ✓. Note Simiyu's opening **debit** balance sits on the debit side, and Nekesa's loan interest is credited to her current account (the loan itself, Sh.500,000, stays a separate non-current liability).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Loan interest correctly treated: default 6% × 500,000 = 30,000, deducted as an expense before appropriation, leaving 1,506,000 (not placed inside the appropriation account) **(2)**
- Interest on drawings computed on average drawings at half a year: Wekesa 15,000; Nekesa 12,000; Simiyu 9,000 (total 36,000) and ADDED in the appropriation account **(3)**
- Interest on capital at 8% on fixed capitals only: Wekesa 96,000; Nekesa 72,000; Simiyu 48,000 (total 216,000) **(3)**
- Salaries deducted: Nekesa 240,000 + Simiyu 180,000 = 420,000 **(1)**
- Residual profit correctly computed at 906,000 **(1)**
- Residual shared 3:2:1 — Wekesa 453,000; Nekesa 302,000; Simiyu 151,000 — and the appropriation account ends at nil **(2)**
- Current accounts: opening balances correctly placed, including Simiyu's debit balance of 12,000 on the debit side **(2)**
- Loan interest of 30,000 credited to Nekesa's current account **(1)**
- Drawings and interest on drawings debited to each partner's current account **(2)**
- Closing current account balances: Wekesa 319,000 Cr; Nekesa 438,000 Cr; Simiyu 178,000 Cr **(3)**

Question 3 (20 marks)

Appropriations exceeding profit: the residual loss, journal entries and the double entries for appropriations

Githinji and Wanjiru share profits and losses equally. For the year ended 31 December 2025 the firm earned a net profit of Sh.185,000. The partnership agreement provides for interest on capital (Githinji Sh.60,000; Wanjiru Sh. 45,000), a salary to Wanjiru of Sh.96,000, and interest on drawings (Githinji Sh.8,000; Wanjiru Sh.5,000).

Required:
(a) Prepare the appropriation account for the year ended 31 December 2025. (8 marks)
(b) Show the journal entries to record: (i) the interest on capital; and (ii) the sharing of the residue. (4 marks)
(c) Explain why no interest on capital may be paid in a year in which the firm makes a loss, and state what happens to a partner's salary already credited when total appropriations exceed the profit. (4 marks)
(d) State the double entry for: (i) a partner's salary; and (ii) interest on drawings. (4 marks)

Model answer (SokoCPA)

(a) Appropriation account

Githinji and Wanjiru		
Appropriation account for the year ended 31 December 2025		
	Sh.	Sh.
Net profit for the year		185,000
Add: Interest on drawings		

```
   Githinji                                  8,000
   Wanjiru                                   5,000       13,000
                                                          198,000
Less: Interest on capital
   Githinji                                 60,000
   Wanjiru                                  45,000     (105,000)
                                                           93,000
Less: Salary – Wanjiru                                   (96,000)
Residual LOSS to share                                     (3,000)
   Githinji (1/2)                            1,500
   Wanjiru  (1/2)                            1,500        3,000
                                                             Nil
```

The appropriations (105,000 + 96,000 = 201,000) exceed the profit available (198,000), so instead of a residual profit the partners share a **residual loss** of Sh.3,000 equally.

(b) Journal entries

(i) Interest on capital:

```
Dr. Appropriation account                        105,000
    Cr. Githinji – current account                            60,000
    Cr. Wanjiru – current account                             45,000
(Being interest on capital for the year)
```

(ii) Sharing of the residue (a loss — the reverse of a profit share):

```
Dr. Githinji – current account                     1,500
Dr. Wanjiru – current account                      1,500
    Cr. Appropriation account                                  3,000
(Being residual loss shared equally)
```

(c) Interest on capital in a loss year; salaries when appropriations exceed profit

Interest on capital is an **appropriation of profit** — a way of dividing profit, not an expense. In a loss year there is no profit to appropriate, so **no interest on capital may be paid at all** (and where profit is smaller than the interest due, interest is limited to the profit available).

A partner's salary is a guaranteed appropriation: it is **credited in full** to the partner's current account even if appropriations exceed the profit. The shortfall is not clawed back from the salary — it is absorbed by the **residual loss**, which is debited to the partners' current accounts in the profit-sharing ratio (here, 1,500 each).

(d) Double entries

(i) **Partner's salary:** Dr. Appropriation account / Cr. Partner's current account. (ii) **Interest on drawings:** Dr. Partner's current account / Cr. Appropriation account.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Interest on drawings (8,000 + 5,000 = 13,000) added to the profit, giving 198,000 available **(2)**
- Interest on capital of 105,000 (60,000 + 45,000) deducted **(1)**
- Wanjiru's salary of 96,000 deducted **(1)**
- Residue correctly identified as a LOSS of 3,000 (appropriations of 201,000 exceed the 198,000 available) **(2)**

- Residual loss shared equally — 1,500 each — debited to the partners, and the account ends at nil **(2)**
- Journal (i): Dr Appropriation 105,000; Cr Githinji current 60,000; Cr Wanjiru current 45,000 **(2)**
- Journal (ii): the loss entry is reversed — Dr Githinji current 1,500; Dr Wanjiru current 1,500; Cr Appropriation 3,000 **(2)**
- (c) Interest on capital is an appropriation of profit; with no profit there is nothing to appropriate, so none may be paid in a loss year (and it is capped at the profit when profit is small) **(2)**
- (c) The salary stands credited in full; the shortfall is absorbed through the residual loss debited to current accounts **(2)**
- (d)(i) Salary: Dr Appropriation account / Cr Partner's current account **(2)**
- (d)(ii) Interest on drawings: Dr Partner's current account / Cr Appropriation account **(2)**

Question 4 (20 marks)

Admission of a partner: goodwill computed from a valuation, the memorandum revaluation method, revaluation of assets and liabilities, and partners' capital accounts

Kibet and Korir have been in partnership sharing profits and losses in the ratio 3:2. At 31 December 2025 their capital accounts stood at: Kibet Sh.480,000; Korir Sh.320,000, and their current accounts at: Kibet Sh.64,000 Cr; Korir Sh. 38,000 Cr.

On 1 January 2026 Chebet was admitted to the partnership. The new profit-sharing ratio is Kibet : Korir : Chebet = 2:2:1. The firm was valued at Sh.1,152,000 for the purposes of the admission. On the same date the assets were revalued: land and buildings increased by Sh.90,000; plant and machinery decreased by Sh.30,000; and a provision for doubtful debts of Sh.12,000 is to be created. Goodwill is not to be retained in the books. Chebet introduced Sh. 300,000 cash as capital.

Required:
(a) Compute the goodwill of the firm. (3 marks)
(b) Prepare the revaluation account. (5 marks)
(c) Prepare the partners' capital accounts recording the admission. (8 marks)
(d) Explain why, under the memorandum revaluation method, Chebet's capital account is debited even though she has only just joined the firm. (4 marks)

Model answer (SokoCPA)

(a) Goodwill

Book value of net assets (total equity) = capitals (480,000 + 320,000) + current accounts (64,000 + 38,000) = **Sh. 902,000**

Goodwill = agreed valuation − book value = 1,152,000 − 902,000 = **Sh.250,000**

(b) Revaluation account

```
                        Revaluation account
Dr                                              Sh.   Cr
Sh.
Plant and machinery (decrease)            30,000   Land and buildings (increase)
90,000
Provision for doubtful debts (created)    12,000
Profit on revaluation:
   Kibet (3/5)                            28,800
```

Korir (2/5)		19,200	
		90,000	90,000

Revaluation profit = 90,000 − 30,000 − 12,000 = **Sh.48,000**, shared by the **old** partners in the **old** ratio 3:2 (Kibet 28,800; Korir 19,200) and posted to their **capital** accounts.

(c) Partners' capital accounts

Partners' Capital Accounts

	Kibet Sh.	Korir Sh.	Chebet Sh.		Kibet Sh.	Korir Sh.	Chebet Sh.
Goodwill written off	100,000	100,000	50,000	Balance b/d	480,000	320,000	–
				Revaluation	28,800	19,200	–
				Goodwill raised	150,000	100,000	–
				Bank (cash capital)	–	–	300,000
Balance c/d	558,800	339,200	250,000				
	658,800	439,200	300,000		658,800	439,200	300,000
	Balance b/d	558,800	339,200	250,000			

Workings: goodwill **raised** in the old ratio 3:2 — Kibet 150,000, Korir 100,000 (Dr. Goodwill account 250,000). Goodwill **written off** in the new ratio 2:2:1 — Kibet 100,000, Korir 100,000, Chebet 50,000 (Cr. Goodwill account 250,000). Closing capitals: Kibet 480,000 + 28,800 + 150,000 − 100,000 = **558,800**; Korir 320,000 + 19,200 + 100,000 − 100,000 = **339,200**; Chebet 300,000 − 50,000 = **250,000**.

(d) Why Chebet's capital account is debited

Raising goodwill credits the old partners for value the firm built up **before** Chebet joined — value she has not contributed to. Writing the goodwill off immediately (the memorandum revaluation method) removes the asset from the books, and that write-off is charged to **all** partners, including Chebet, in the **new** ratio. Chebet's Sh.50,000 debit is in substance her **payment for a one-fifth share of the firm's goodwill**: it reduces her capital contribution to 250,000, while the old partners keep net credits (Kibet +50,000, Korir nil beyond revaluation) reflecting the share of future profits each has given up.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Book value of net assets computed as capitals plus current accounts: 480,000 + 320,000 + 64,000 + 38,000 = 902,000 **(1)**
- Goodwill = 1,152,000 − 902,000 = 250,000 **(2)**
- Revaluation account: land and buildings increase of 90,000 credited **(1)**
- Revaluation account: plant decrease of 30,000 and new provision for doubtful debts of 12,000 debited **(2)**
- Revaluation profit of 48,000 correctly computed **(1)**
- Revaluation profit shared in the OLD ratio 3:2 (Kibet 28,800; Korir 19,200) and posted to capital accounts, not current accounts **(2)**
- Goodwill raised in the old ratio 3:2: Kibet 150,000; Korir 100,000 **(2)**
- Goodwill written off in the NEW ratio 2:2:1: Kibet 100,000; Korir 100,000; Chebet 50,000 **(2)**
- Chebet's cash capital of 300,000 credited to her capital account **(1)**
- Closing capital balances: Kibet 558,800; Korir 339,200; Chebet 250,000 **(2)**

- (d) Explanation: raising credits old partners for pre-admission value; the immediate write-off is charged to all partners in the new ratio, so Chebet's 50,000 debit is her payment for a 1/5 share of goodwill while the old partners keep net credits for what they sacrificed **(4)**

Question 5 (20 marks)

Retirement of a partner: revaluation, goodwill raised and written off by continuing partners only, and settlement by assets, a loan and cash; the retiring partner's continuing liability

Njoroge, Muriithi and Gachuru have shared profits and losses in the ratio 5:3:2. Their capital accounts stood at: Njoroge Sh.750,000; Muriithi Sh.450,000; Gachuru Sh.300,000. Their current accounts showed credit balances of: Njoroge Sh.40,000; Muriithi Sh.25,000; Gachuru Sh.18,000.

On 31 December 2025 Gachuru retired from the firm. On that date: the premises were revalued upwards by Sh. 180,000; stock was written down by Sh.45,000; machinery was written down by Sh.60,000; and the firm's goodwill was valued at Sh.270,000, to be raised and immediately written off. Gachuru's total interest was settled as follows: he took over a delivery vehicle at an agreed value of Sh.120,000, left Sh.150,000 in the firm as a loan, and received the balance in cash. Njoroge and Muriithi continue in partnership, sharing profits in the ratio 5:3.

Required:
(a) The revaluation account. (4 marks)
(b) The partners' capital accounts. (10 marks)
(c) Show how Gachuru's settlement is recorded and state the total amount he was owed. (3 marks)
(d) State the new profit-sharing ratio of the continuing partners and explain Gachuru's liability for the firm's debts incurred after his retirement. (3 marks)

Model answer (SokoCPA)

(a) Revaluation account

```
                        Revaluation account
Dr                                          Sh.   Cr
Sh.
Stock (written down)                      45,000   Premises (increase)
180,000
Machinery (written down)                  60,000
Profit on revaluation:
   Njoroge (5/10)                         37,500
   Muriithi (3/10)                        22,500
   Gachuru  (2/10)                        15,000
                                         180,000
180,000
```

Revaluation profit = 180,000 − 45,000 − 60,000 = **Sh.75,000**, shared by **all three** partners (including the retiring partner) in the **old** ratio 5:3:2.

(b) Partners' capital accounts

```
                    Partners' Capital Accounts
              Njoroge    Muriithi    Gachuru                Njoroge    Muriithi
Gachuru
              Sh.        Sh.         Sh.                    Sh.        Sh.         Sh.
Goodwill
```

written off	168,750	101,250	–	Balance b/d	750,000	450,000	300,000
Vehicle taken	–	–	120,000	Revaluation	37,500	22,500	15,000
Loan account	–	–	150,000	Goodwill raised	135,000	81,000	54,000
Bank (cash)	–	–	117,000	Current a/c transfer	–	–	18,000
Balance c/d	753,750	452,250	–				
	922,500	553,500	387,000		922,500	553,500	387,000
	Balance b/d		753,750	452,250			

Workings: - **Goodwill raised** in the old ratio 5:3:2: Njoroge 135,000; Muriithi 81,000; Gachuru 54,000 (Dr. Goodwill 270,000). - **Goodwill written off** in the new ratio 5:3 by the **continuing partners only**: Njoroge 270,000 × 5/8 = 168,750; Muriithi 270,000 × 3/8 = 101,250. Gachuru bears **none** of the write-off. - Gachuru's capital after adjustments: 300,000 + 15,000 + 54,000 = **369,000**; adding his current account balance of 18,000 gives the **total owed to him: Sh.387,000**. - Closing capitals: Njoroge 750,000 + 37,500 + 135,000 − 168,750 = **753,750**; Muriithi 450,000 + 22,500 + 81,000 − 101,250 = **452,250**.

Check: total capital after adjustments = 1,500,000 (opening) + 75,000 (revaluation) = 1,575,000 (the goodwill raised and written off cancel out). Less Gachuru's capital settled, 369,000, leaves 1,206,000 = 753,750 + 452,250 ✓. Gachuru's current account balance of 18,000 is settled on top of his capital (total 387,000); Njoroge's and Muriithi's current account balances of 40,000 and 25,000 are untouched by the retirement adjustments.

(c) Settlement of Gachuru

Total owed: capital 369,000 + current account 18,000 = **Sh.387,000**, settled by:

```
Dr. Gachuru – capital account                    120,000
    Cr. Motor vehicle (delivery vehicle)                    120,000
(Being vehicle taken over at the agreed value)

Dr. Gachuru – capital account                    150,000
    Cr. Loan account – Gachuru                              150,000
(Being balance left in the firm as a loan – now a non-current liability)

Dr. Gachuru – capital account                    117,000
    Cr. Bank                                                117,000
(Being the balance paid in cash: 387,000 – 120,000 – 150,000)
```

120,000 + 150,000 + 117,000 = 387,000, so Gachuru's account closes to nil. ✓

(d) New ratio and the retiring partner's liability

The continuing partners share profits in the ratio **Njoroge : Muriithi = 5:3**. Gachuru remains liable for obligations the firm incurred **before** his retirement. For debts incurred **after** retirement he remains exposed **unless public notice of his retirement is given** — without such notice, third parties who dealt with the firm before, unaware of the change, may still hold him liable.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Revaluation account correctly prepared: premises increase 180,000 credited; stock 45,000 and machinery 60,000 written down (debited) **(3)**
- Revaluation profit of 75,000 shared in the OLD ratio 5:3:2 including the retiring partner: Njoroge 37,500; Muriithi 22,500; Gachuru 15,000 **(2)**

- Goodwill raised in the old ratio 5:3:2: Njoroge 135,000; Muriithi 81,000; Gachuru 54,000 **(2)**
- Goodwill written off by the continuing partners only, in the new ratio 5:3: Njoroge 168,750; Muriithi 101,250; Gachuru bears none of the write-off **(3)**
- Gachuru's capital after adjustments 369,000, and his current account balance of 18,000 brought in, giving a total owed of 387,000 **(2)**
- Closing capitals of the continuing partners: Njoroge 753,750; Muriithi 452,250 **(2)**
- Settlement recorded: vehicle at agreed value 120,000; 150,000 transferred to a loan account (a non-current liability, not capital); cash balance 117,000; Gachuru's account closes to nil **(3)**
- New profit-sharing ratio stated: Njoroge : Muriithi = 5:3 **(1)**
- Retiring partner remains liable for pre-retirement obligations, and for later debts unless public notice of retirement is given **(2)**

MODULE 7 OF 12

Financial Statements of a Company

Share Capital and Share Issues · Reserves and Income Tax · The Company Income Statement · The Company Statement of Financial Position

MODULE 7 · FINANCIAL STATEMENTS OF A COMPANY — LESSON 1

Share Capital and Share Issues

Learning Objectives

By the end of this lesson you should be able to:

1. Distinguish between private and public limited companies and between equity and debt capital.
2. Explain the features of ordinary shares and preference shares.
3. Record the journal and ledger entries for the issue of shares at par and at a premium (payable on application).
4. Account for over-subscription and under-subscription of a share issue.
5. Record rights issues and bonus (scrip) issues, including the relevant statement of financial position extracts.
6. State the Kenyan legal position on shares issued at a discount.

> **KASNEB tip:** Share-issue questions are almost always tested with journal entries *and* a balance sheet extract. Examiners award marks for correct debits and credits and for the final equity section. Never issue shares at a discount in a Kenyan answer — it is illegal.

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1. Why Companies Exist

As businesses grow, sole proprietorships and partnerships hit a ceiling — a partnership is limited to 20 persons. The **limited company** solves this by splitting ownership into transferable **shares** that many investors can hold, with liability limited to the amount unpaid on their shares.

Two principal types of company appear in the syllabus:

	Private company	Public company
Name	Ends with "Limited"	Ends with "Public Limited Company" (PLC)
Inviting the public to invest	Not allowed	Allowed; may be quoted on a stock exchange (e.g. the Nairobi Securities Exchange)
Typical size	Smaller	Much larger

Capital structure

Capital structure is the mix of finance at work in the business:

- **Equity capital** — money put up by shareholders. It has two parts: 1. **Contributed capital** — cash originally invested in exchange for shares. 2. **Retained earnings** — past profits kept in the business to fund growth.
- **Debt capital** — money borrowed (bank loans, debentures) that must be repaid at a future date, with **interest** paid in the meantime whether profits are made or not.

Equity is often called the most expensive capital because shareholders demand a return (dividends plus capital growth) that compensates them for risk.

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2. Types of Share Capital

Ordinary shares

Also called **voting shares** or **common stock** (the American term). Key features:

- Carry **voting rights** — holders elect directors and vote on company policy and share splits.
- **No fixed dividend.** Dividends are paid only after preference shareholders have been paid in full, and only if directors recommend them.
- On liquidation, ordinary shareholders are paid **last** — after lenders, creditors, employees and preference shareholders. They may receive nothing.
- In exchange for this risk, ordinary shares usually **outperform** preference shares and bonds over the long run through dividends and capital appreciation.
- Holders may enjoy **pre-emptive (rights)** — the right to keep their proportional ownership when new shares are issued (see rights issues below).

Preference shares

A **hybrid** instrument with features of both equity and debt. Key features:

- Usually carry a **fixed dividend rate** (e.g. 10% preference shares) and are paid **before** ordinary shareholders.
- Rank **senior to ordinary shares** but **junior to debentures/bonds** on liquidation.
- Usually carry **no voting rights**.
- Terms are set out in a **Certificate of Designation**.

> **Exam trap:** Students confuse the dividend order. The correct order of payment is: (1) debenture interest and lenders, (2) preference dividends, (3) ordinary dividends. On liquidation the same seniority applies.

The varieties of preference shares (exam favourite)

The word "preference" only says the dividend is fixed and paid first. The **terms of issue** then divide preference shares into varieties — KASNEB has asked for these by name:

1. **Cumulative preference shares** – if the dividend cannot be paid in a year (insufficient profits), the unpaid amount **accumulates (arrears)** and must be paid in full in later years **before any dividend is paid to ordinary shareholders**.
2. **Non-cumulative preference shares** – if the dividend is skipped in a year, it is **lost forever**; it does not accumulate.
3. **Participating preference shares** – after receiving their fixed dividend, holders **also share in the remaining (surplus) profits** alongside ordinary shareholders, in an agreed proportion. (Some participating shares also share in **surplus assets on liquidation**.)
4. **Non-participating preference shares** – the default: holders receive **only** the fixed dividend and do not share further in profits.
5. **Redeemable preference shares** – the company **buys them back (redeems them)** at a fixed future date or at the company's/holder's option, on terms set at issue. Redemption must be out of **distributable profits or the proceeds of a fresh issue**, and any premium on redemption is provided out of profits or share premium; where profits are used, a **capital redemption reserve** is created to keep capital intact. On the statement of financial position, redeemable shares behave much like debt — a fixed return and a repayment date.
6. **Convertible preference shares** – holders may **convert** their shares into ordinary shares at a stated ratio on stated dates, trading a safe fixed dividend for a share of future growth.

7. **Irredeemable (non-redeemable) preference shares** – never bought back during the company's life; repaid only on liquidation.

Model phrasing (2 marks each): *"Cumulative preference shares carry the right to have any unpaid dividend accumulated and paid in future years before ordinary shareholders receive anything. Participating preference shares, in addition to the fixed dividend, share in surplus profits with ordinary shareholders. Redeemable preference shares are shares the company will buy back at a future date or on agreed terms, financed out of profits or a fresh issue."*

Worked example – cumulative vs non-cumulative

Shirika Ltd has **Sh. 2,000,000 of 8% preference capital**. Distributable profits are Sh. 100,000 in Year 1 and Sh. 400,000 in Year 2.

- Annual preference dividend due = 8% × 2,000,000 = **Sh. 160,000**.
- **Year 1:** only Sh. 100,000 is available → preference shareholders receive 100,000; **arrears = Sh. 60,000**.
- **If cumulative:** in Year 2 the preference shareholders must first receive 60,000 (arrears) + 160,000 (Year 2) = **Sh. 220,000** before ordinary shareholders receive a single shilling; ordinary shareholders then get 400,000 − 220,000 = **Sh. 180,000**.
- **If non-cumulative:** the Year 1 shortfall of 60,000 is **lost**; in Year 2 preference shareholders receive only 160,000 and ordinary shareholders receive **Sh. 240,000**.

Rights of preference shareholders over ordinary shareholders

When a question asks for the **rights of preference shareholders over ordinary shareholders**, these are the points (1 mark each):

1. **Priority of dividend** – the preference dividend (at the fixed rate) must be paid in full before any dividend is paid on ordinary shares.
2. **Fixed dividend** – the rate is known in advance (e.g. 10%), unlike the variable ordinary dividend.
3. **Priority on liquidation** – on winding up, preference capital is **repaid before** ordinary capital (after all creditors).
4. **No share in management as of right** – in exchange for the above protection, preference shareholders usually have **no voting rights**, except on matters that directly affect their rights (or when their dividend is in arrears, per the articles).
5. Ordinary shareholders, by contrast, are the **residual claimants**: they vote and control the company, but they are paid **last** and bear the greatest risk — and the greatest possible reward.

Exam trap: do not say preference shareholders "have no rights on liquidation" or that they rank above debenture holders. The order is always: creditors/debenture holders first, then preference shareholders, then ordinary shareholders (as the lesson's dividend-order trap in §2 already states).

Key terms (add to flashcards): - **Cumulative preference shares** – unpaid dividends accumulate and must be cleared before ordinary dividends. - **Participating preference shares** – fixed dividend plus a share in surplus profits. - **Redeemable preference shares** – shares the company buys back on agreed terms, out of profits or a fresh issue, creating a capital redemption reserve where profits are used. - **Capital redemption reserve** – reserve created on redemption out of profits so that total capital is maintained.

---

3. Issue of Shares: Terms and Accounting Entries

Shares are issued either **payable immediately on application** or **by instalments**. (KASNEB CA11 tests only the payable-on-application case; instalment and forfeiture entries are excluded from this syllabus.)

Terms of issue (price)

1. **At par** — issue price equals the nominal (face) value, e.g. a Sh.20 share issued at Sh.20.
2. **At a premium** — issue price exceeds nominal value, e.g. a Sh.20 share issued at Sh.25. The Sh.5 excess is **share premium**.
3. **At a discount** — issue price below nominal value. **Illegal in Kenya.** Never journalise a discount in a Kenyan exam answer.

Journal entries — issue at par (payable on application)

To recognise the amount expected on application:

```
Dr  Share application account (at par value)
    Cr  Share capital account (at par value)
```

On receipt of the application money:

```
Dr  Bank account
    Cr  Share application account
```

Journal entries — issue at a premium

```
Dr  Share application account
    Cr  Share capital account (at nominal value)
    Cr  Share premium account (excess over nominal)
```

then:

```
Dr  Bank account
    Cr  Share application account
```

Worked example 1 — Issue at a premium

Amina Ltd issues **100,000 ordinary shares of Sh.20 each** at **Sh.25 per share**, payable on application. All shares are taken up.

Required: Journal entries.

Solution:

Issue price Sh.25 = nominal Sh.20 + premium Sh.5 per share.

```
Dr  Share application (100,000 × Sh.25)      2,500,000
    Cr  Ordinary share capital (100,000 × Sh.20)          2,000,000
    Cr  Share premium (100,000 × Sh.5)                      500,000
(Being amounts expected on application at a premium)

Dr  Bank                                                  2,500,000
    Cr  Share application                                              2,500,000
(Being application money received)
```

Check: debits 5,000,000 = credits 5,000,000. ✓

Statement of financial position (extract):

```
Equity
  100,000 ordinary shares of Sh.20 each, fully paid            2,000,000
  Share premium                                                  500,000
```

> **Exam trap:** Share premium is credited with the *excess over nominal only*, never the full issue price. A very common error is crediting share capital with Sh.25 per share.

---

4. Over-Subscription and Under-Subscription

When a company invites applications, applications rarely equal the shares on offer:

- **Over-subscribed** — applications exceed shares available. The company must adopt an allotment policy; **excess application money is refunded**.
- **Under-subscribed** — applications are fewer than shares available. There is no problem: entries are made **only for the shares applied for**. The unapplied portion is not a transaction.

Worked example 2 — Over-subscription with refund

Baraka Ltd offers 200,000 ordinary shares of Sh.10 each at par. Applications are received for 250,000 shares with full application money. The company allots the 200,000 shares and refunds the excess.

```
Dr  Share application (250,000 × Sh.10)      2,500,000
    Cr  Ordinary share capital (200,000 × Sh.10)          2,000,000
    Cr  Bank – refund (50,000 × Sh.10)                      500,000
(Being allotment of 200,000 shares; excess refunded)

Dr  Bank                                                  2,500,000
    Cr  Share application                                              2,500,000
(Being application money received)
```

Alternatively the refund is shown as `Dr Share application / Cr Bank 500,000` as a separate entry — both presentations earn full marks provided debits equal credits.

---

5. Rights Issues

A **rights issue** gives **existing shareholders** the right (not the obligation) to buy new shares, usually **below market price**, on a **pro-rata** basis (e.g. 2 new shares for every 5 held). Shareholders may:

1. **Exercise** the rights and buy the shares,
2. **Sell** the rights in the market, or
3. **Ignore** the rights.

Worked example 3 — Rights issue (adapted from the study text)

Chuo Ltd has share capital of Sh.200,000 made up of 100,000 shares of Sh.2 each, and a share premium balance of Sh.60,000. It raises additional capital by a rights issue: **for every 5 shares held, a shareholder may buy 2 shares at Sh.2.50 each**. All shareholders exercise their rights.

Required: Journal entries and the statement of financial position extract.

Solution:

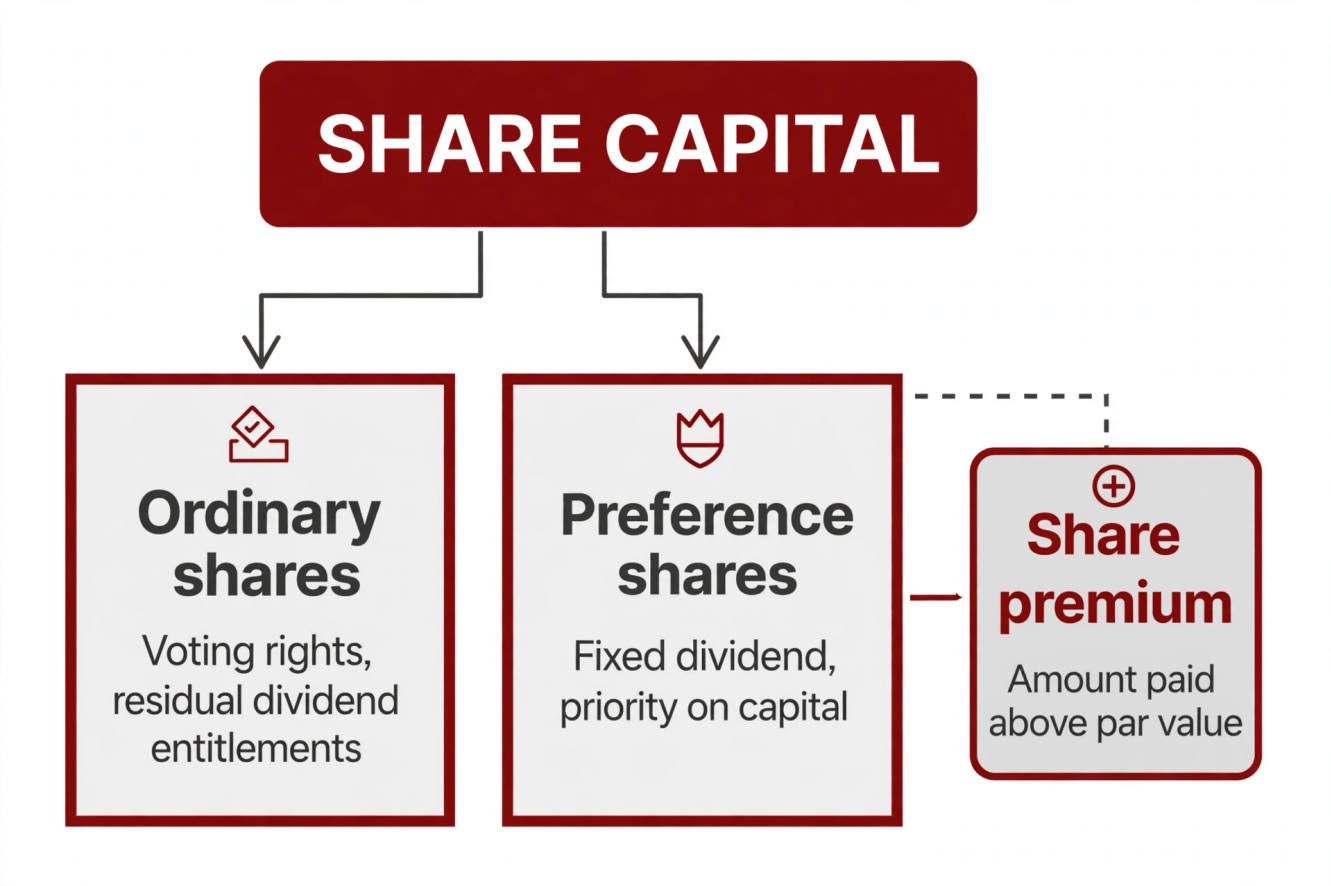
New shares = 100,000 × 2/5 = **40,000 shares**. Cash raised = 40,000 × Sh.2.50 = **Sh.100,000**. Nominal value = 40,000 × Sh.2 = **Sh.80,000**. Premium = 40,000 × Sh.0.50 = **Sh.20,000**.

```
Dr  Bank (40,000 × Sh.2.50)                  100,000
    Cr  Ordinary share capital (40,000 × Sh.2)            80,000
    Cr  Share premium (40,000 × Sh.0.50)                  20,000
(Being rights issue: 2 for 5 at Sh.2.50)
```

Statement of financial position (extract):

```
Equity
  140,000 ordinary shares of Sh.2 each, fully paid          280,000
  Share premium (60,000 + 20,000)                            80,000
```

> **Exam trap:** Always compute the number of new shares from the *ratio applied to existing shares* (100,000 × 2/5), not from thin air. And the premium per share is issue price minus nominal (2.50 − 2.00 = 0.50).



6. Bonus (Scrip) Issues

Bonus shares are issued to existing shareholders **free of charge** — no cash changes hands. They are financed by capitalising reserves: the **share premium account**, **general reserve**, or **retained profits**. A *scrip issue* is similar but gives the shareholder a choice of cash or shares; in a pure bonus issue there is no choice.

The entry capitalises the reserve:

```
Dr  Share premium / General reserve / Retained profits
    Cr  Ordinary share capital
```

Worked example 4 — Bonus issue (adapted from the study text)

Daima Ltd has 100,000 ordinary shares of Sh.10 each (share capital Sh.1,000,000) and a share premium balance of Sh.500,000. It makes a bonus issue of **1 share for every 5 held**, financed from share premium.

Solution:

Bonus shares = 100,000 × 1/5 = **20,000 shares**; nominal value = 20,000 × Sh.10 = **Sh.200,000**.

```
Dr  Share premium (20,000 × Sh.10)          200,000
    Cr  Ordinary share capital                          200,000
(Being 1-for-5 bonus issue capitalised from share premium)
```

Statement of financial position (extract):

```
Equity
  120,000 ordinary shares of Sh.10 each, fully paid      1,200,000
  Share premium (500,000 − 200,000)                        300,000
```

Note: total equity is unchanged by a bonus issue — Sh.1,700,000 before and after. It merely re-labels reserves as share capital. Examiners love asking *why* a company does this: to make shares more marketable by reducing the price per share and to signal confidence.

Key Terms

- **Authorised share capital** — the maximum nominal value of shares a company may issue.
- **Issued share capital** — the nominal value of shares actually issued to shareholders.
- **Called-up / paid-up capital** — amounts shareholders have been asked to pay / have actually paid.
- **Nominal (par) value** — the face value printed on the share.
- **Share premium** — amount received above nominal value on issue; a non-distributable capital reserve.
- **Over-subscription** — applications exceed shares on offer; excess money refunded.
- **Rights issue** — pro-rata offer of new shares to existing shareholders, usually below market price.
- **Bonus issue** — free shares capitalised from reserves; no cash raised.

Module Summary

- Companies raise equity through ordinary and preference shares; debt through debentures and loans.
- Ordinary shareholders vote, get variable dividends and are paid last; preference shareholders get fixed dividends first but usually do not vote.
- Shares are issued at par or at a premium (discounts are illegal in Kenya), payable on application in this syllabus.
- Over-subscribed issues refund excess money; under-subscribed issues are recorded only to the extent applied for.
- Rights issues raise cash from existing shareholders pro-rata; bonus issues capitalise reserves into share capital with no cash movement.

Exam Day Tips

1. Always split the issue price into **nominal → share capital** and **excess → share premium**.
2. In rights/bonus issues, first compute the **number of new shares** from the ratio — show the working; it carries marks.
3. Bonus issues do not change total equity — if your SFP extract totals differ before and after, recheck.
4. Never create a "discount on issue" account in a Kenyan answer.
5. Present the equity section exactly as: share capital (number of shares × nominal), then each reserve on its own line.

Slide deck at a glance

Why companies exist

- Company = ownership split into shares; liability limited to unpaid amount
- Private company: ends in "Limited"; cannot invite public investment
- Public company: ends in PLC; may list on Nairobi Securities Exchange
- Equity capital: contributed capital + retained earnings (most expensive)
- Debt capital: bank loans, debentures; interest paid whether or not in profit

Types of share capital

- Ordinary shares: voting rights; no fixed dividend; paid last on liquidation
- Ordinary dividends paid only after preference holders paid in full
- Preference shares: hybrid; fixed dividend rate; paid before ordinary
- Preference ranks below debentures but above ordinary on liquidation
- Payment order → debenture interest → preference → ordinary dividends

Issue of shares: terms and entries

- At par: issue price = nominal value (Sh.20 share at Sh.20)
- At premium: price > nominal; excess = share premium (non-distributable)
- At discount: price < nominal — ILLEGAL in Kenya, never journalise
- At par entry: Dr Share application / Cr Share capital
- At premium: split nominal → share capital, excess → share premium
- On receipt: Dr Bank / Cr Share application

Over- and under-subscription

- Over-subscribed: applications exceed offer → refund excess money
- Under-subscribed: record only shares applied for; rest is not a transaction
- Allotment entry credits share capital for allotted shares only
- Refund entry: Dr Share application / Cr Bank (excess × price)
- Exam trap: share premium credited with excess over nominal only

Rights issues

- Rights issue: pro-rata offer to existing holders, usually below market price
- Shareholder may exercise, sell, or ignore the rights
- First compute new shares from the ratio (e.g. 100,000 × 2/5 = 40,000)
- Premium per share = issue price − nominal (Sh.2.50 − Sh.2.00 = Sh.0.50)
- SFP extract: update share count, add premium to existing balance

Bonus (scrip) issues

- Bonus (scrip) issue: free shares to existing holders — no cash raised

- Financed by capitalising share premium, general reserve or retained profits
- Entry: Dr Share premium / reserve / retained profits; Cr Share capital
- Total equity UNCHANGED — merely re-labels reserves as capital
- Why do it? Makes shares more marketable; signals confidence

Key takeaways / exam tips

- Split issue price: nominal → share capital, excess → share premium
- Rights/bonus: compute number of new shares from the ratio first
- Bonus issues never change total equity — check your SFP extract totals
- Never create a "discount on issue" account in a Kenyan answer
- Equity order: share capital (shares × nominal), then each reserve on own line

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-08-Q4 · August 2022 · 20 marks KASNEB authored

Company financial statements with share issue in suspense and bonus issue (MLO Ltd)

The authorised share capital of MLO Ltd. consists of one million ordinary shares of Sh.10 each and 500,000 6% preference shares of Sh.10 each.
Trial balance as at 30 June 2022 (Sh."000"): Dr — Land at cost 20,000; Building at cost 8,000; Machinery at cost 10,000; Motor vehicles at cost 8,000; Accounts receivable 1,400; Distribution expenses 3,800; Administrative expenses 1,800; Bank and cash balances 2,100; Dividend paid — preference (interim) 150; Dividend paid — ordinary (interim) 600; Bank loan interest paid 240; Inventory (30 June 2022) 4,000; Gross profit (Cr) 30,740. Cr — Ordinary shares fully paid (1 July 2021) 6,000; 6% preference shares 5,000; Share premium 500; Revaluation reserve 2,200; General reserve 500; Retained earnings (1 July 2021) 2,500; Accumulated depreciation (1 July 2021): building 600, machinery 1,500, motor vehicles 3,200; Accounts payable 600; 12% bank loan 6,000; Suspense account 750. Total 60,090 = 60,090.
Additional information: (1) The suspense account relates to 50,000 new ordinary shares issued at a premium of 50% on 31 January 2022. (2) On 30 November 2021, the directors made a bonus issue of one share for every five shares held, at par, fully paid from revenue reserves. (3) Depreciation (straight line): building 2½%; machinery 10%; motor vehicles 20%. (4) Corporate tax expense for the year amounted to Sh.3,100,000. (5) The directors proposed: a transfer of Sh.2,500,000 to general reserve; payment of final dividends for preference shares; a dividend of Sh.5 per share for ordinary shares (the additional ordinary shares also qualify for the final dividend). (6) Land was revalued upwards to Sh.22 million on 1 July 2021.
Required: (a) Statement of profit or loss for the year ended 30 June 2022. (12 marks) (b) Statement of financial position as at 30 June 2022. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Suspense account:** 50,000 shares issued at Sh.10 par + 50% premium = Sh.15 each → 750 total: share capital +500; share premium +250. Suspense cleared.

- **Bonus issue:** shares held at 1 July 2021 = 600,000 → bonus 1-for-5 = 120,000 shares = 1,200 out of retained earnings. Ordinary share capital = 6,000 + 1,200 + 500 = **7,700** (770,000 shares). Retained earnings after bonus = 2,500 − 1,200 = 1,300.
- **Land revaluation:** 22,000 − 20,000 = 2,000 → revaluation reserve = 2,200 + 2,000 = 4,200; land carried at 22,000.
- **Bank loan interest:** 12% × 6,000 = 720; paid 240 → accrued 480.
- **Preference dividends:** total for the year = 6% × 5,000 = 300; interim paid 150 → final proposed 150. Ordinary final proposed = 770,000 shares × Sh.5 = 3,850.

(a) Statement of profit or loss for the year ended 30 June 2022

```
Gross profit (per trial balance)                                        30,740
Less: Distribution expenses                      3,800
      Administrative expenses                    1,800
      Depreciation (building 200 + machinery 1,000 + motor vehicles 1,600)  2,800
      Bank loan interest                           720            (9,120)
Profit before tax                                                     21,620
Corporate tax                                                        (3,100)
Profit after tax                                                      18,520
Appropriation:
  Retained earnings b/f (adjusted for bonus issue)   1,300
  Profit after tax                                  18,520
  Dividends paid: preference interim 150; ordinary interim 600       (750)
  Transfer to general reserve                       (2,500)
  Dividends proposed: preference final 150; ordinary final 3,850    (4,000)
  Retained earnings c/f                                               12,570
```

(b) Statement of financial position as at 30 June 2022

```
Non-current assets:
  Land (at revalued amount)                22,000
  Building (8,000 − 800)                    7,200
  Machinery (10,000 − 2,500)                7,500
  Motor vehicles (8,000 − 4,800)            3,200    39,900
Current assets: Inventory 4,000; Accounts receivable 1,400; Bank and cash 2,100
7,500
Total assets                                                          47,400
Equity: Ordinary share capital 7,700; Preference share capital 5,000;
  Share premium (500 + 250) 750; Revaluation reserve 4,200;
  General reserve (500 + 2,500) 3,000; Retained earnings 12,570      33,220
Non-current liability: 12% bank loan                                   6,000
Current liabilities: Accounts payable 600; Accrued loan interest 480;
  Tax payable 3,100; Proposed dividends (150 + 3,850) 4,000         8,180
Total equity and liabilities                                          47,400
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Suspense cleared: share capital +500 and share premium +250 (50,000 shares at Sh.15) **(2)**
- Bonus issue 1,200 from retained earnings; ordinary share capital 7,700 (770,000 shares); retained earnings restated to 1,300 **(2)**
- Land revaluation +2,000 to revaluation reserve (4,200) recorded; land at 22,000 **(2)**

- (a) Depreciation 2,800 (200/1,000/1,600) and loan interest 720 (480 accrued) charged; PBT 21,620; tax 3,100; PAT 18,520 **(4)**
- (a) Appropriation: interim dividends 750; general reserve transfer 2,500; final dividends proposed 4,000 (preference 150 + ordinary 3,850 on 770,000 shares); retained earnings 12,570 **(4)**
- (b) SOFP balances at 47,400: NCA 39,900; equity correctly composed (share premium 750; general reserve 3,000); current liabilities 8,180 incl. tax and proposed dividends **(6)**

KASNEB-2021-12-Q2 · December 2021 · 20 marks KASNEB authored

Company financial statements with revaluation-funded rights issue (Zamu Ltd)

Zamu Ltd. has an authorised capital of 2,000,000 ordinary shares of Sh.20 each. The company's trial balance as at 30 June 2021 was as follows (Sh."000"): Purchases 6,560 Dr / Sales 10,936 Cr; Administrative expenses 320; Bad debts written off 86; Inventory (1 July 2020) 840; Debenture interest paid 140; Investment income 400 Cr; Investments 1,800; Salaries and wages 1,640; Directors' emoluments 240; Insurance 160; Cash at bank 850; Motor vehicle at cost 4,200; Freehold land at cost 6,400; Furniture and fittings at cost 2,600; Accumulated depreciation (1 July 2020): Motor vehicle 1,600 Cr, Furniture and fittings 780 Cr; General reserve (1 July 2020) 2,100 Cr; Revenue reserve (1 July 2020) 1,500 Cr; 12% Debentures 2,000 Cr; Accounts receivable 2,200 / Accounts payable 640 Cr; Ordinary share capital 8,000 Cr; Allowance for doubtful debt 80 Cr. Totals 28,036 / 28,036.

Additional information: 1. The inventory as at 30 June 2021 was valued at Sh.1,240,000. 2. The freehold land was revalued to Sh.9,400,000. Part of the revaluation amount was used for a rights issue of 1 for every 4 shares held at a value of Sh.20 each. 3. As at 30 June 2021, insurance paid in advance amounted to Sh.40,000 while salaries and wages outstanding amounted to Sh.60,000. 4. The directors proposed a dividend of 10% of the issued share capital and a transfer of Sh.420,000 to the general reserve. 5. The corporation tax for the year amounted to Sh.540,000. 6. Depreciation is provided as follows: Motor vehicle 20% on cost; Furniture and fittings 10% reducing balance. 7. Allowance for doubtful debts is to be maintained at 5% of the accounts receivable.

Required: (a) Statement of profit or loss for the year ended 30 June 2021. (10 marks) (b) Statement of financial position as at 30 June 2021. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings: Issued shares before the rights issue = 8,000 ÷ Sh.20 = 400,000 shares. Rights issue 1 for 4 = 100,000 shares × Sh.20 = 2,000, funded from the revaluation surplus (land 6,400 → 9,400 = surplus 3,000). Debenture interest for the year = 12% × 2,000 = 240 (140 paid, 100 accrued). Depreciation: motor vehicle 20% × 4,200 = 840; furniture 10% × (2,600 − 780) = 182. Allowance required = 5% × 2,200 = 110 (increase of 30 charged). Proposed dividend = 10% × issued capital after the rights issue (10,000) = 1,000.

(a) Statement of profit or loss for the year ended 30 June 2021

```
Revenue (sales)                                          10,936
Cost of sales: Opening inventory 840 + purchases 6,560
  − closing inventory 1,240                              (6,160)
Gross profit                                               4,776
Investment income                                            400
Less expenses:
  Administrative expenses                320
```

```
  Salaries and wages (1,640 + 60)      1,700
  Directors' emoluments                  240
  Insurance (160 − 40)                   120
  Bad debts written off                   86
  Increase in allowance for doubtful debts 30
  Depreciation: Motor vehicle            840
                Furniture and fittings   182
  Debenture interest (12% × 2,000)       240            (3,758)
Profit before tax                                        1,418
Corporation tax                                          (540)
Profit for the year                                        878
Appropriation: Revenue reserve b/f 1,500 + 878 = 2,378
  Less: Proposed dividend (10% × 10,000) (1,000)
        Transfer to general reserve        (420)
Revenue reserve c/f                                        958
```

(b) Statement of financial position as at 30 June 2021

```
Non-current assets:
  Freehold land (revalued)                              9,400
  Motor vehicles (4,200 − 2,440)                        1,760
  Furniture and fittings (2,600 − 962)                  1,638
  Investments                                           1,800   14,598
Current assets:
  Inventory                    1,240
  Accounts receivable 2,200 − allowance 110   2,090
  Prepaid insurance               40
  Cash at bank                   850                    4,220
Total assets                                           18,818
Equity:
  Ordinary share capital (incl. rights issue)         10,000
  Revaluation reserve (3,000 − 2,000)                  1,000
  General reserve (2,100 + 420)                        2,520
  Revenue reserve                                        958   14,478
Non-current liabilities: 12% Debentures                2,000
Current liabilities:
  Accounts payable               640
  Accrued debenture interest     100
  Salaries outstanding            60
  Corporation tax                540
  Proposed dividend            1,000                    2,340
Total equity and liabilities                           18,818
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Cost of sales 6,160 and gross profit 4,776 **(2)**
- (a) Investment income 400 included **(1)**
- (a) Expenses correctly adjusted: salaries 1,700, insurance 120, debenture interest 240 (100 accrued), depreciation 840 and 182, allowance increase 30 **(4)**
- (a) Profit before tax 1,418 **(1)**
- (a) Tax 540, profit for the year 878, appropriations (dividend 1,000; transfer 420) and revenue reserve c/f 958 **(2)**
- (b) Land revalued to 9,400; revaluation reserve 1,000 after capitalising 2,000 for the rights issue **(3)**
- (b) Ordinary share capital 10,000 after the 1-for-4 rights issue **(1)**

- (b) Non-current asset values: motor vehicles 1,760, furniture 1,638, investments 1,800 **(2)**
- (b) Current assets: inventory 1,240, receivables net 2,090, prepaid insurance 40, bank 850 **(2)**
- (b) Reserves and current liabilities incl. proposed dividend 1,000, tax 540, accrued interest 100, salaries 60; statement balances at 18,818 **(2)**

KASNEB-2015-11-Q5 · November 2015 · 20 marks KASNEB authored

Prime and indirect costs; rights of preference shareholders and uses of share premium; accounting concepts

(a) Distinguish between "prime costs" and "indirect costs" in the context of manufacturing accounts. (4 marks)
(b)(i) Explain three rights of preference shareholders over ordinary shareholders. (6 marks) (ii) State four ways in which a company might utilise its share premium. (4 marks)
(c) Explain the following concepts used in the preparation of financial statements: (i) Relevance. (ii) Reliability. (iii) Faithful representation. (iv) Neutrality. (v) Completeness. (vi) Comparability. (1 mark each; 6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Prime costs vs indirect costs

Prime costs are the direct costs of production that can be traced directly to, and identified with, each unit of output. They comprise direct materials (raw materials consumed), direct labour (wages of workers directly engaged in making the product) and direct expenses (costs incurred specifically for a particular job or product, such as royalties per unit or hire of special equipment). Prime cost = direct materials + direct labour + direct expenses. **Indirect costs** (factory overheads) are production costs that cannot be traced directly to individual units of output and are incurred for the factory as a whole. Examples are factory rent and rates, factory power and lighting, depreciation of plant, factory supervisor's salary and indirect materials. Indirect costs are absorbed into the cost of production as factory overheads, while prime costs enter the manufacturing account directly. (Non-factory indirect costs, such as office and selling expenses, are not part of the manufacturing account at all.)

(b)(i) Three rights of preference shareholders over ordinary shareholders

1. **Priority in dividend payment:** Preference shareholders are entitled to receive their dividend first, at a fixed rate (e.g. 10% of nominal value), before any dividend may be paid to ordinary shareholders. Ordinary shareholders receive a dividend only if profits remain after the preference dividend has been paid, and at a variable rate decided by the directors.
2. **Cumulative right to arrears:** Where the preference shares are cumulative, any dividend not paid in a year of insufficient profits is carried forward and must be paid in later years before ordinary shareholders receive anything. Ordinary shareholders have no such right - a skipped ordinary dividend is lost.
3. **Priority in repayment of capital on winding up:** On liquidation, preference shareholders are repaid their capital before ordinary shareholders receive anything; ordinary shareholders, as the residual owners, are paid last and only from what remains after all creditors and preference shareholders have been settled (and they correspondingly take any surplus).

(b)(ii) Four uses of the share premium account

1. Issuing **fully paid bonus shares** to existing shareholders (capitalising the premium).

2. Writing off the company's **preliminary/formation expenses**.
3. Writing off expenses of, or commission or discount allowed on, any **issue of shares or debentures** (share issue expenses).
4. Providing for the **premium payable on redemption** of preference shares or debentures.

(c) Concepts used in the preparation of financial statements

(i) Relevance: Financial information is relevant if it is capable of making a difference to the decisions of users - it has predictive value (helps users predict future outcomes) and/or confirmatory value (confirms or corrects earlier evaluations), and it is provided on a timely basis. **(ii) Reliability:** Information is reliable if it is free from material error and bias and can be depended upon by users to represent faithfully what it purports to represent; it is verifiable and prudently prepared. **(iii) Faithful representation:** Financial information must faithfully represent the transactions and events it claims to represent - in substance rather than merely legal form - so that the depiction corresponds to the underlying economic reality. **(iv) Neutrality:** Information is neutral if it is free from bias - it is not selected, presented or slanted to achieve a predetermined result or to influence users towards a particular conclusion. **(v) Completeness:** A depiction is complete if it includes all information necessary for users to understand the phenomenon being depicted, including all necessary descriptions and explanations; an omission can make information false or misleading. **(vi) Comparability:** Information is comparable if users can identify similarities and differences between two sets of economic phenomena - comparing the entity's performance over time (consistency of policies between periods) and with other entities in the same period.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Prime costs defined as costs directly traceable to units of output, with components (direct materials, direct labour, direct expenses) (2) **(2)**
- (a) Indirect costs defined as production overheads not traceable to units, with examples (factory rent, power, depreciation, supervision) and contrast drawn (2) **(2)**
- (b)(i) Priority of preference dividend at a fixed rate before any ordinary dividend (2) **(2)**
- (b)(i) Cumulative right: unpaid preference dividends carried forward as arrears payable before ordinary dividends (2) **(2)**
- (b)(i) Priority in repayment of capital on winding up, ordinary shareholders being residual claimants (2) **(2)**
- (b)(ii) Bonus shares issued fully paid from share premium (1) **(1)**
- (b)(ii) Preliminary/formation expenses written off (1) **(1)**
- (b)(ii) Share/debenture issue expenses, commission or discount written off (1) **(1)**
- (b)(ii) Premium on redemption of preference shares or debentures provided for (1) **(1)**
- (c)(i) Relevance correctly explained (1) **(1)**
- (c)(ii) Reliability correctly explained (1) **(1)**
- (c)(iii) Faithful representation correctly explained (1) **(1)**
- (c)(iv) Neutrality correctly explained (1) **(1)**
- (c)(v) Completeness correctly explained (1) **(1)**
- (c)(vi) Comparability correctly explained (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M07-Q001 – CA11-M07-Q021. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 7 · FINANCIAL STATEMENTS OF A COMPANY — LESSON 2

Reserves and Income Tax

Learning Objectives

By the end of this lesson you should be able to:

1. Define and distinguish capital reserves from revenue reserves.
2. Explain the origin and permitted uses of share premium, revaluation reserve, capital redemption reserve, general reserve and retained profits.
3. Prepare the ledger entries for transfers to reserves and for bonus issues financed from reserves.
4. Explain IAS 12's treatment of current tax: presentation of the tax charge, current tax payable, and under/over-provisions of prior years.
5. Distinguish permanent from temporary differences and explain deferred tax assets and liabilities.
6. State the IAS 12 disclosure requirements for income tax.

> **KASNEB scope note:** Income tax is examined on **accounting treatment and presentation only** — you are not required to compute the tax liability itself. The examiner gives you the estimated figure; your job is to show where it goes.

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1. Reserves: Capital vs Revenue

A **reserve** is an amount set aside out of profits (or arising on capital transactions) and shown separately within equity. Reserves are split into:

- **Capital reserves** — not normally available for cash dividends. Examples: **share premium**, **revaluation reserve**, **capital redemption reserve**.
- **Revenue reserves** — accumulated trading profits that *can* be distributed. Examples: **general reserve**, **retained profits** (profit and loss account balance).

Think of it this way: capital reserves protect creditors (they lock capital into the company); revenue reserves are the shareholders' accumulated undistributed wealth.

Share premium

The excess received over nominal value when the **company** issues shares (see Lesson 1). It is a **non-distributable** reserve: it cannot be used to pay dividends or absorb operating losses. Permitted uses include:

- issuing **bonus shares**,
- writing off **preliminary/issue expenses** such as underwriters' fees and other costs of issuing shares.

Presented in the SFP directly **below issued share capital**.

> **Exam trap:** Share premium arises only when the *company* issues shares. If an investor later sells the share at a higher price, the gain belongs to the investor — no share premium arises for the company.

Revaluation reserve

The gain arising when a non-current asset (especially land and buildings) is **revalued upwards** under the revaluation model (IAS 16). The surplus is credited to the revaluation reserve through **other comprehensive income**, not profit or loss. When the asset is eventually sold, the realised gain is transferred to retained earnings.

Capital redemption reserve (CRR)

Created when a company **redeems or purchases its own preference shares without issuing new shares**. An amount equal to the nominal value redeemed is transferred from distributable profits (or share premium) to the CRR, preserving the capital base for creditors:

```
Dr  Retained profits / Share premium
    Cr  Capital redemption reserve
```

General reserve

A **revenue reserve** created by a voluntary transfer from retained profits — a rainy-day fund for future expansion, contingencies or dividend stabilisation:

```
Dr  Profit and loss account (retained profits)
    Cr  General reserve
```

Retained profits

Cumulative net profits kept in the business after dividends and reserve transfers — **retained earnings**. Shown as the "Profit and loss account" balance in equity. A debit balance is described as **accumulated losses** (a shareholders' deficit).

---

2. Debentures — a Quick Refresher

A **debenture** (loan stock) is long-term borrowing by the company, evidenced by a debenture certificate. Points that matter for financial statements:

- **Debenture interest is payable whether profits are made or not** — it is an *expense* in the income statement, not an appropriation.
- Unpaid debenture interest at year-end is a **current liability** ("interest payable").
- The debenture itself is a **non-current liability**.
- Debentures may be **redeemable** (repaid on a fixed date) or **irredeemable** (repaid only on winding up).

> **Exam trap:** Debenture interest goes *above* profit before tax as an expense. Dividends go *below* profit after tax as appropriations. Mixing these up is one of the most penalised errors.

---

3. Income Tax — IAS 12 (Treatment and Presentation)

A company is a **separate legal entity**, so its tax is a charge in its own accounts — unlike sole traders and partnerships, where tax is a private matter shown as drawings.

Current tax

Current tax is the corporation tax payable on the period's trading results (the figure is given in the exam — you do not compute it). IAS 12 requires:

1. The total tax for the period is shown as a **separate line, "income tax expense"**, in the income statement.
2. Any unpaid portion at year-end is presented as a **current liability** in the SFP, described as **current tax** (or "corporation tax payable").

3. **Under/over-provisions of prior years** are adjusted through the current year's tax charge: - Prior estimate **too low** (actual > estimate) → **under-provision** → **add** to current year tax expense. - Prior estimate **too high** (actual < estimate) → **over-provision** → **deduct** from current year tax expense.

Worked example — Corporation tax account with under-provision

Enzi Ltd's corporation tax account shows a **debit balance b/d of Sh.60,000**, representing an **under-provision** for the previous year. The current year's tax is estimated at **Sh.840,000**. Nothing has been paid during the year.

Required: The corporation tax account and the income statement charge.

Solution:

Under-provision is added to the current year charge: 840,000 + 60,000 = **Sh.900,000** in the income statement. The journal entries are:

```
Dr  Income statement (under-provision of prior year)     60,000
    Cr  Corporation tax account                                    60,000

Dr  Income statement (current year estimate)            840,000
    Cr  Corporation tax account                                   840,000
```

The T-account therefore closes as follows:

```
                  Corporation tax account
Dr                                              Cr
Balance b/d (under-        60,000   Income statement (under-       60,000
  provision b/f)                          provision)
Balance c/d               840,000   Income statement              840,000
                                          (current year)
                               900,000                            900,000

                                       Balance b/d               840,000
```

Check: debits 60,000 + 840,000 (balance c/d) = 900,000 = credits 60,000 + 840,000 ✓. The **Sh.840,000 credit balance c/d** is the current tax payable shown under current liabilities; the **Sh.900,000** is the income statement charge.

Economics of it: a *debit* b/d means last year the company paid Sh.60,000 more than it provided — the under-provision was already settled in cash, so it is not owed again. It only corrects the P&L charge.

> **Exam trap:** The under/over-provision affects the **P&L charge** (add under, deduct over) but the SFP liability is the **current year's unpaid estimate**. And a debit b/d on the tax account signals an *under*-provision (more paid than provided), while the over-provision case would show a credit b/d.

Over-provision mirror: If the b/d had been a **credit** 60,000 (over-provision), the charge would be 840,000 − 60,000 = **780,000** and the payable 840,000 − 60,000 = **780,000**.

Deferred tax

Deferred tax deals with tax payable or saved in *future* periods because accounting profit and taxable profit are computed on different bases.

- **Accounting profit** — profit before tax reported to shareholders in the published accounts.
- **Taxable profit** — profit on which the tax authority (KRA) bases its assessment.

Differences between the two come in two flavours:

Permanent differences — items that affect only one computation and never reverse: e.g. fines or entertaining expenses disallowed for tax, or tax-exempt income. These have **no deferred tax consequences**.

Temporary (timing) differences — items recognised in both computations but in **different periods**. Classic Kenyan exam example: depreciation charged in the accounts vs **capital (investment) allowances** granted for tax — tax relief is usually given faster than accounting depreciation, so tax is lower in early years and higher later. Another: provisions (e.g. for doubtful debts) recognised in the accounts but only allowed for tax when the loss crystallises.

- **Taxable temporary difference** → carrying amount of an asset > its tax base → **deferred tax liability** (more tax payable in future). IAS 12: recognise for *all* taxable temporary differences.
- **Deductible temporary difference** → carrying amount < tax base → **deferred tax asset** (tax saved in future), recognised only to the extent that future taxable profits will be available to use it (including carried-forward tax losses). No discounting is allowed.

Application scenarios in the syllabus:

- **Revaluation of non-current assets** — the revaluation gain creates a taxable temporary difference; the deferred tax is charged to **other comprehensive income** alongside the gain (not to profit or loss).
- **Tax losses carried forward** — a deferred tax asset may be recognised to the extent of expected future taxable profits (losses × tax rate).
- **Changes in tax rates** — deferred tax is measured at the tax rates expected to apply when the difference reverses (substantively enacted rates).

IAS 12 disclosure requirements

1. **Tax expense** shown on the face of the income statement; its major components disclosed in a note.
2. Tax charged/credited **directly to equity** (e.g. on revaluations) disclosed separately.
3. A **reconciliation** between tax expense and accounting profit × the applicable tax rate (or between the effective and applicable tax rates).
4. The amount of deferred tax assets/liabilities and the evidence supporting recognition of deferred tax assets.

Key Terms

- **Capital reserve** — non-distributable reserve (share premium, revaluation reserve, capital redemption reserve).
- **Revenue reserve** — distributable accumulated profits (general reserve, retained profits).
- **Revaluation reserve** — unrealised gains on revalued non-current assets, via other comprehensive income.
- **Capital redemption reserve** — created when preference shares are redeemed without a fresh issue.
- **Current tax** — corporation tax payable on the period's results; unpaid amount is a current liability.
- **Under-provision** — prior estimate too low: added to current year tax expense. **Over-provision** — prior estimate too high: deducted.
- **Deferred tax liability** — future tax payable from taxable temporary differences. **Deferred tax asset** — future tax saving from deductible temporary differences.
- **Permanent difference** — never reverses, no deferred tax. **Temporary (timing) difference** — reverses over time, creates deferred tax.

Module Summary

- Capital reserves (share premium, revaluation, CRR) are locked in for creditors; revenue reserves (general, retained profits) may be distributed.
- Share premium can fund bonus issues and issue costs — never dividends or operating losses.
- Debenture interest is an expense (paid regardless of profits); dividends are appropriations.
- IAS 12: show the tax charge separately in the income statement; unpaid tax is a current liability; adjust the charge for prior-year under/over-provisions.
- Temporary differences create deferred tax (liability if carrying amount > tax base; asset if < tax base, recognised only with probable future profits); permanent differences create none.
- You are tested on treatment and presentation of tax — the computation is given.

Exam Day Tips

1. Debit b/d on the tax account = **under**-provision (paid more than provided); credit b/d = **over**-provision.
2. Under-provision: **add** to this year's charge. Over-provision: **deduct**. Say the words in your answer.
3. The SFP tax liability is the **unpaid current estimate** (net of any b/d balance) — work it through the T-account, not from memory.
4. Deferred tax on a revaluation goes to **other comprehensive income**, never to profit or loss.
5. When asked for "accounting treatment and presentation", give both the **journal/P&L line** and the **SFP line**.

Slide deck at a glance

Reserves: capital vs revenue

- Capital reserves: NOT for cash dividends — protect creditors
- Examples: share premium, revaluation reserve, capital redemption reserve
- Revenue reserves: accumulated profits — distributable
- Examples: general reserve, retained profits (P&L account balance)
- Presented in equity, below issued share capital

Key reserves explained

- Share premium: excess over nominal on company's own issue; non-distributable
- Allowed: bonus shares, writing off share-issue costs — never dividends
- Revaluation reserve: upward asset revaluation via OCI, not profit or loss
- Capital redemption reserve: created when preference shares redeemed without fresh issue
- General reserve: rainy-day fund; Dr P&L account / Cr General reserve

Debentures — quick refresher

- Debenture = long-term borrowing; interest payable even with no profits
- Debenture interest is an EXPENSE (before profit before tax), not appropriation
- Unpaid interest at year-end = current liability ("interest payable")
- Debenture itself = non-current liability
- Dividends are appropriations below profit after tax — never mix them up

IAS 12 — current tax

- Current tax = corporation tax payable on period's results (figure is given)
- Income statement: "income tax expense" shown as a separate line
- Unpaid portion at year-end = current liability ("current tax payable")

- Under-provision (prior estimate too low) → ADD to current year charge
- Over-provision (prior estimate too high) → DEDUCT from current year charge

Under/over-provisions worked

- Debit b/d on tax account = UNDER-provision (paid more than provided)
- Work example: 840,000 + 60,000 = 900,000 charge; payable = 840,000
- SFP liability is the unpaid current estimate, not the P&L charge
- Always prove via the T-account: debits = credits
- State "under-provision added" / "over-provision deducted" explicitly

IAS 12 — deferred tax

- Permanent differences: never reverse (fines, tax-exempt income) → no deferred tax
- Temporary differences: same item, different periods (depreciation vs capital allowances)
- Taxable temporary difference → deferred tax LIABILITY
- Deductible temporary difference → deferred tax ASSET (only if future profits probable)
- Deferred tax on revaluation goes to OCI, never profit or loss

Key takeaways / exam tips

- Debit b/d on tax account = under-provision; credit b/d = over-provision
- Under-provision: add; over-provision: deduct — say the words
- SFP tax liability = unpaid current estimate (net of b/d balance)
- Deferred tax on revaluation → other comprehensive income, not P&L
- KASNEB tests treatment and presentation of tax — computation is given

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2024-04-Q5 · April 2024 · 20 marks KASNEB authored

Profit retention in companies; not-for-profit accounts (Rahisi Social Club)

(a) Discuss FIVE reasons why companies do not distribute all their profits to shareholders. (10 marks)
(b) Rahisi Social Club provided the following information from their records for the year ended 31 March 2024:
1. As at 1 April 2023, the club's bank balance amounted to Sh.7,050,000.
2. During the year ended 31 March 2024, the amount of subscription received amounted to Sh.12,525,000 out of which Sh.325,000 represented subscription in arrears. Sh.11,400,000 represented subscription for the current year while Sh.225,000 was subscription received in advance.
3. The club received donations amounting to Sh.7,800,000 for repairing a roof that was leaking and Sh. 12,250,000 for putting up a new building.
4. The 100,000 shares which the club acquired in Bidii Ltd. paid a dividend of Sh.3 per share.
5. Office furniture acquired during the year ended 31 March 2024 cost the club Sh.5,000,000. Half of the amount was paid and the balance is to be paid during the year ending 31 March 2025.
6. During the year ended 31 March 2024, the club started printing magazines for sale to the public. As at 31 March 2024, the club had printed 35,000 magazines at a cost of Sh.120 each and sold 32,500 magazines at a price of Sh.170 each.
7. Other payments made during the year ended 31 March 2024 include: salaries and wages Sh.10,500,000 of which Sh.500,000 relates to the year ended 31 March 2023; rent and rates Sh.2,550,000 whereby Sh.50,000 was owing as at 1 April 2023; meeting expenses Sh.2,475,000; stationery, postage and internet charges Sh.

2,250,000.

Required: (i) Subscriptions account for the year ended 31 March 2024. (4 marks) (ii) Receipts and payments account for the year ended 31 March 2024. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Why companies do not distribute all profits to shareholders

1. **Expansion and growth:** retained profits are a cheap, readily available source of finance for acquiring assets, opening branches and funding new projects without borrowing or issuing shares.
2. **Working capital needs:** growing sales require more inventory and receivables; retaining profits avoids cash shortages in day-to-day operations.
3. **Legal requirements:** company law and articles may require transfers to statutory or general reserves before dividends are declared.
4. **Loan covenants and debt repayment:** lenders may restrict dividends, and profits are needed to service and repay borrowings as they fall due.
5. **Future contingencies:** reserves cushion the company against unforeseen losses, economic downturns and asset replacements.
6. **Dividend policy/stability:** companies smooth dividends, retaining more in good years so a stable dividend can be maintained in lean years.
7. **Tax and shareholder considerations:** retention may be preferred where dividend taxes make distributions inefficient, and retained profits raise share value (capital gains).

(b)(i) Subscriptions account for the year ended 31 March 2024

Dr		Cr	
Balance b/d (arrears)	325,000	Bank (subscriptions received)	12,525,000
Income and expenditure a/c (balancing figure)	11,975,000	Balance c/d (arrears)	–
		Balance c/d (in advance)	225,000
Balance c/d (received in advance)	225,000		
	12,525,000		12,525,000

Subscription income transferred to the income and expenditure account = **Sh.11,975,000** (amounts received for the year, adjusted for arrears brought forward and subscriptions received in advance).

(b)(ii) Receipts and payments account for the year ended 31 March 2024

Receipts		Payments	
Balance b/d	7,050,000	Office furniture (half paid)	2,500,000
Subscriptions	12,525,000	Magazine printing (35,000 × 120)	4,200,000
Donations – roof repair	7,800,000	Salaries and wages	10,500,000
Donations – new building	12,250,000	Rent and rates	2,550,000
Dividends (100,000 × Sh.3)	300,000	Meeting expenses	2,475,000
Magazine sales (32,500 × 170)	5,525,000	Stationery, postage & internet	2,250,000

```
                                                    Balance c/d
20,975,000
                              45,450,000
45,450,000
```

Notes: the receipts and payments account records ALL cash movements regardless of the year to which they relate or whether they are capital or revenue — hence the full salaries and rent amounts (including the portions relating to the previous year) and only the half of the furniture cost actually paid.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any five well-discussed reasons for profit retention, 2 marks each (expansion finance, working capital, legal reserves, debt covenants/repayment, contingencies, stable dividend policy, tax) **(10)**
- (b)(i) Subscriptions account: arrears b/d 325,000 debited; bank 12,525,000 credited; advance c/d 225,000 **(2)**
- (b)(i) Subscription income (balancing figure) Sh.11,975,000 transferred to income and expenditure account **(2)**
- (b)(ii) Receipts complete: balance b/d 7,050,000; subscriptions 12,525,000; both donations 7,800,000 and 12,250,000; dividends 300,000; magazine sales 5,525,000 **(3)**
- (b)(ii) Payments complete: furniture only half paid 2,500,000; magazine printing cost on all 35,000 printed 4,200,000; salaries 10,500,000 and rent 2,550,000 at full cash amounts **(2)**
- (b)(ii) Closing balance Sh.20,975,000 and account totals agree at 45,450,000 **(1)**

KASNEB-2018-11-Q4 · November 2018 · 20 marks KASNEB authored

Company accounts incl. statement of changes in equity (Zam Zam Ltd)

The following trial balance was extracted from the books of Zam Zam Ltd. as at 31 March 2018 (Sh."000"): Plant and machinery at cost 94,000 [partly obscured in the scan]; Accumulated depreciation (1 April 2017): Plant and machinery 34,000 Cr, Motor vehicles 9,000 Cr, Furniture and fittings 6,000 Cr; Purchases 114,000; Sales 162,000 Cr; Inventory (1 April 2017) 28,000; Discounts allowed 1,000; Discounts received 1,000 Cr; Rent received 2,000 Cr; Administrative expenses 7,000; Selling and distribution 8,000; Accounts receivable 12,000; Accounts payable 17,000 Cr; Bad debts 1,500; Motor vehicles at cost 27,000; Furniture and fittings at cost 38,000; Directors' salaries 13,500; Ordinary shares of Sh.20 each 150,000 Cr; Preference shares 8% 40,000 Cr; Preliminary expenses 2,400 Cr [shown on the credit side in the scan]; Retained earnings (1 April 2017) 76,000 Cr; Cash at bank 178,500.

Additional information: 1. Inventory as at 31 March 2018 was valued at Sh.32,000,000. 2. Depreciation: Plant and machinery 10% on cost; Motor vehicles 25% on reducing balance; Furniture and fittings 20% on reducing balance. 3. A sum of Sh.1,200,000 is to be written off preliminary expenses. 4. Ordinary shares were issued as 2,000,000 shares of Sh.20 each as fully paid and 500,000 partly paid shares with Sh.0.5 paid per share [figures as printed; partly obscured]. 5. As at 31 March 2018, administrative expenses accrued amounted to Sh.500,000. 6. The directors propose to pay a dividend of 5% to the ordinary shareholders on fully paid shares only and appropriate dividends to the preference shareholders.

Required: (a) Income statement for the year ended 31 March 2018. (8 marks) (b) Statement of changes in equity for the year ended 31 March 2018. (4 marks) (c) Statement of financial position as at 31 March 2018. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

W1 — Depreciation: Plant and machinery 10% × 94,000 = 9,400; Motor vehicles 25% × (27,000 − 9,000) = 4,500; Furniture and fittings 20% × (38,000 − 6,000) = 6,400. Total 20,300. **W2 — Gross profit:** Sales 162,000 − (opening inventory 28,000 + purchases 114,000 − closing inventory 32,000) = 162,000 − 110,000 = **52,000**. **W3 — Dividends (appropriations):** Preference dividend 8% × 40,000 = 3,200. Ordinary dividend proposed at 5% on the fully paid ordinary share capital per the trial balance = 5% × 150,000 = 7,500.

(a) Income statement for the year ended 31 March 2018

Sales		162,000
Cost of sales (28,000 + 114,000 − 32,000)		(110,000)
Gross profit		52,000
Other income: Discounts received 1,000; Rent received 2,000		3,000
Less expenses: Administrative (7,000 + accrued 500)	7,500	
Selling and distribution	8,000	
Directors' salaries	13,500	
Discounts allowed	1,000	
Bad debts	1,500	
Preliminary expenses written off	1,200	
Depreciation (W1)	20,300	
	(53,000)	
Profit for the year		2,000

(b) Statement of changes in equity for the year ended 31 March 2018

	Ordinary capital	Preference capital	Retained earnings	Total
At 1 April 2017	150,000	40,000	76,000	266,000
Profit for the year	–	–	2,000	2,000
Preference dividend proposed	–	–	(3,200)	(3,200)
Ordinary dividend proposed	–	–	(7,500)	(7,500)
At 31 March 2018	150,000	40,000	67,300	257,300

(c) Statement of financial position as at 31 March 2018

Plant and machinery: cost 94,000 − accumulated depreciation (34,000 + 9,400)		50,600
Motor vehicles: cost 27,000 − (9,000 + 4,500)		13,500
Furniture and fittings: cost 38,000 − (6,000 + 6,400)		25,600
Preliminary expenses (2,400 − 1,200 written off)		1,200
Current assets: Inventory 32,000; Accounts receivable 12,000; Cash at bank 178,500		222,500
Total assets		313,400
Equity: Ordinary share capital 150,000; Preference share capital 40,000; Retained earnings 67,300		257,300
Current liabilities: Accounts payable 17,000; Accrued administrative expenses 500; Dividends payable (3,200 + 7,500) 10,700		28,200
Unreconciled difference (source data — see source note)		27,900

```
Total equity and liabilities
313,400
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Gross profit 52,000 (cost of sales 110,000 with closing inventory 32,000) (2) **(2)**
- (a) Other income 3,000 (discounts received, rent received) (1) **(1)**
- (a) Expenses incl. accrued administration 500, bad debts, preliminary expenses written off 1,200 (2) **(2)**
- (a) Depreciation 9,400 / 4,500 / 6,400 per the stated bases → profit for the year 2,000 (3) **(3)**
- (b) SOCIE: opening equity 266,000, profit added, preference dividend 3,200 and ordinary dividend 7,500 (5% on fully paid shares) deducted → retained earnings 67,300 (4) **(4)**
- (c) Non-current assets at NBV (50,600 / 13,500 / 25,600) and preliminary expenses carried at 1,200 (3) **(3)**
- (c) Current assets 222,500; equity 257,300; current liabilities incl. dividends payable 10,700 and accrual 500 (5) **(5)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 5 · Medium 4 · Hard 1), serials CA11-M07-Q009 – CA11-M07-Q026. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 7 · FINANCIAL STATEMENTS OF A COMPANY — LESSON 3

The Company Income Statement

Learning Objectives

By the end of this lesson you should be able to:

1. Prepare a company income statement from a trial balance with adjustments, in the IAS 1 style used by KASNEB.
2. Identify and correctly place company-specific expenses: directors' fees, audit fees, debenture interest, amortisation.
3. Account for corporation tax (including under/over-provisions) in the income statement.
4. Prepare the profit appropriation section: preference and ordinary dividends (interim and final/proposed), transfers to reserves, and retained profit carried down.
5. Explain why proposed dividends are recognised as liabilities.

---

1. How a Company Income Statement Differs

The top half — sales, cost of sales, gross profit — works exactly as for a sole trader. The differences are below gross profit:

Additional expenses unique to companies:

- **Directors' salaries/fees** — an *expense*, not an appropriation (contrast with partners' salaries).
- **Audit fees** — all companies must have their accounts audited; the fee is an expense.
- **Debenture interest** — an expense charged *before* profit before tax, payable whether or not profits are made.
- **Amortisation** — e.g. of goodwill or other intangibles.

The appropriation section. Like a partnership appropriation account, the company income statement ends by allocating profit after tax:

1. **Corporation tax** (with under/over-provision adjustments) is deducted to reach **profit after tax**.
2. Then: transfers to **general reserve**, **preference dividends** (interim paid + final proposed), **ordinary dividends** (interim paid + final proposed).
3. The residue is **retained profit for the year**, added to retained profit b/d to give **retained profit c/d**.

The KASNEB format

```
Sales                                                    xxx
Less: Returns inwards                                   (xxx)
                                                         xxx
Less: Cost of sales
  Opening stock                                          xx
  Purchases                                              xx
  Add: Carriage inwards                                  xx
  Less: Purchase returns                                 (xx)
  Less: Closing stock                                    (xx)   (xx)
Gross profit                                             xx
Add: Other income (discount received, profit on disposal,
     investment income)                                  xx
Less: Expenses
  Directors' salaries/fees                               xx
  Audit fees                                             xx
```

```
  Debenture interest                                  xx
  Amortisation                                        xx
  Other operating expenses                            xx    (xx)
Profit before tax                                     xx
Less: Income tax expense
  Corporation tax for the year                        xx
  Under/(over)-provision of prior year                xx    (xx)
Profit after tax                                      xx
Less: Transfer to general reserve                     (xx)
Less: Dividends
  Preference: interim paid / final proposed           xx
  Ordinary: interim paid / final proposed             xx    (xx)
Retained profit for the year                          xx
Retained profit b/d                                   xx
Retained profit c/d                                   xx
```

> **Exam trap:** Proposed (final) dividends ARE recognised — as an appropriation in the income statement and as a **current liability** ("dividends payable") in the SFP. Interim dividends *paid* appear only as appropriations (the cash has gone).

---

2. Comprehensive Worked Example — Jitahidi Ltd

The following trial balance was extracted from the books of **Jitahidi Ltd** as at 31 December 2025 (all figures in Sh. 000):

Debit balances	Sh.000	Credit balances	Sh.000
Land and buildings (cost)	3,920	Sales	8,000
Plant and machinery (cost)	1,600	Ordinary share capital (Sh.20 shares)	4,000
Office equipment (cost)	300	10% preference share capital	1,000
Motor vehicles (cost)	3,200	Share premium	200
Purchases	3,500	General reserve	500
Opening inventory	600	Retained earnings b/d	450
Salaries	1,200	8% debentures	1,000
Office expenses	380	Acc. depreciation: plant & machinery	480
Directors' fees	200	Acc. depreciation: office equipment	90
Audit fees	60	Acc. depreciation: motor vehicles	600
Debenture interest paid	60	Trade payables	520
Interim ordinary dividend paid	240		
Trade receivables	900		
Bank	640		
Corporation tax b/d (Dr)	40		
Total	**16,840**	**Total**	**16,840**

Additional information:

1. Closing inventory: Sh.750,000.
2. Depreciation for the year: buildings 2% on cost; plant and machinery 10% on cost; office equipment 20% on cost; motor vehicles 10% on cost.
3. Debenture interest accrued at year-end: Sh.20,000.
4. The corporation tax b/d debit of Sh.40,000 is an **under-provision** for the previous year. Current year tax is estimated at Sh.300,000.
5. The directors propose a final ordinary dividend of Sh.200,000 (in addition to the interim paid). The preference dividend for the year is to be provided.
6. Transfer Sh.150,000 to the general reserve.

Workings

W1 — Depreciation: Buildings 2% × 3,920 = 78.4 ≈ **78**; Plant 10% × 1,600 = **160**; Office equipment 20% × 300 = **60**; Motor vehicles 10% × 3,200 = **320**. Total **618**.

W2 — Debenture interest: Paid 60 + accrued 20 = **80**. (Check: 8% × 1,000 = 80 ✓.)

W3 — Tax: Under-provision 40 + current estimate 300 = **340** charged (Lesson 2).

W4 — Dividends: Preference 10% × 1,000 = **100** (all provided, none paid). Ordinary: interim paid 240 + final proposed 200 = **440**.

Income statement

```
                          Jitahidi Ltd
      Statement of comprehensive income for the year ended 31 December 2025
                                                    Sh.000    Sh.000
Sales                                                          8,000
Less: Cost of sales
  Opening inventory                                   600
  Purchases                                         3,500
                                                    4,100
  Less: Closing inventory                            (750)     (3,350)
Gross profit                                                   4,650
Less: Expenses
  Salaries                                          1,200
  Office expenses                                     380
  Directors' fees                                     200
  Audit fees                                           60
  Debenture interest (W2)                              80
  Depreciation (W1)                                   618              (2,538)
Profit before tax                                              2,112
Less: Income tax expense (W3: 300 + 40)                         (340)
Profit after tax                                               1,772
Less: Transfer to general reserve                               (150)
Less: Dividends
  Preference dividend (W4)                            100
  Ordinary dividend: interim paid          240
                     final proposed        200          440       (540)
Retained profit for the year                                   1,082
Retained profit b/d                                              450
Retained profit c/d                                            1,532
```

Check the appropriation arithmetic: 1,772 − 150 − 100 − 440 = 1,082; 1,082 + 450 = 1,532 ✓.

T-account view of the retained earnings movement:

```
              Retained earnings account (Sh.000)
Dr                                              Cr
Transfer to general reserve      150   Balance b/d                  450
Preference dividend              100   Income statement (PAT)     1,772
Ordinary dividends               440
Balance c/d                    1,532
                               2,222                             2,222
```

Debits 2,222 = credits 2,222 ✓.

---

3. Points Examiners Reward

1. **Debenture interest accrued** must be added to the amount paid — always check the rate × nominal as a control (8% × 1,000 = 80).
2. **Preference dividend** is computed on the *nominal* preference capital (10% × 1,000 = 100), and preference dividends rank *ahead* of ordinary dividends.
3. **Interim dividends paid** appear in the trial balance as debits — do not double-count them; just carry them into appropriations.
4. **Tax**: state "under-provision added" or "over-provision deducted" explicitly — the phrase earns the mark even if the number is nearby.
5. **Transfers to reserves** are appropriations (below PAT), never expenses.

> **Common exam trap:** Deducting proposed dividends from *profit before tax*. Dividends are never an expense — they are a distribution of after-tax profit. Another trap: charging directors' fees as an appropriation like partners' salaries. Directors are employees of the company — it is an expense.

4. Debenture Interest — the Complete Treatment

Debenture interest appears in *three* places across the final accounts, and examiners test all three:

1. **Income statement (expense):** interest *paid* plus interest *accrued* at year-end. Jitahidi paid 60 and accrued 20, so the charge is 80 — confirmed by the control 8% × 1,000 = 80.
2. **SFP (current liability):** the accrued 20 sits under current liabilities as "debenture interest accrued".
3. **SFP (non-current liability):** the debenture itself (1,000) sits under non-current liabilities.

The T-account tells the story:

```
           Debenture interest account (Sh.000)
Dr                                          Cr
Bank (interest paid)            60   Income statement (charge)      80
Balance c/d (accrued)           20
                                80                                  80
```

Debits 80 = credits 80 ✓. The balance c/d of 20 is the current liability carried into the SFP.

> **Exam trap:** Interest on debentures is payable *whether or not* profits are made — it is never an appropriation. Students who place it below profit after tax lose both the line mark and the articulation mark in the SFP (the accrual would be missing too).

5. Appropriation Ordering — a Second Mini-Example

Appropriations follow a strict order: **tax → reserve transfers → preference dividends → ordinary dividends → retained profit**. A compact illustration with an *over*-provision (contrast with Jitahidi's under-provision in section 2):

Tumaini Ltd: profit before tax 900,000; corporation tax estimate 250,000; prior-year *over*-provision (credit b/d) 30,000; transfer to general reserve 50,000; 12% preference capital 500,000; interim ordinary dividend paid 80,000; proposed final ordinary dividend 120,000.

- Income tax expense = 250,000 − 30,000 = **220,000**; profit after tax = **680,000**.
- Preference dividend = 12% × 500,000 = **60,000** — computed in full and provided even though no cash was paid; preference shareholders rank ahead of ordinary shareholders.
- Ordinary dividends = interim paid 80,000 + final proposed 120,000 = **200,000**.
- Retained profit for the year = 680,000 − 50,000 − 60,000 − 200,000 = **370,000** ✓.

Only the *proposed* final ordinary dividend (120,000) becomes a current liability in the SFP; the interim paid (80,000) is cash already gone and appears nowhere in the SFP. The preference dividend of 60,000, being provided but unpaid, also joins dividends payable — total dividends payable 180,000.

Key Terms

- **Appropriation section** — the part of the income statement distributing profit after tax (dividends, reserve transfers, retained profit).
- **Interim dividend** — dividend paid during the year. **Final (proposed) dividend** — recommended by directors, recognised as an appropriation and a current liability.
- **Income tax expense** — current corporation tax charge plus/minus prior-year under/over-provisions.
- **Retained profit c/d** — profit kept in the business; feeds the SFP equity section.

Module Summary

- A company income statement adds directors' fees, audit fees, debenture interest and amortisation as expenses above profit before tax.
- Corporation tax (with under/over-provision adjustments) is deducted to reach profit after tax.
- Profit after tax is appropriated: reserve transfers, then preference dividends, then ordinary dividends (interim paid + final proposed).
- The balancing figure is retained profit for the year; plus b/d gives retained profit c/d for the SFP.

Exam Day Tips

1. Build the answer top-down in the KASNEB format — markers scan for the standard lines.
2. Always compute dividends from nominal capital × rate; show the working.
3. Cross-check debenture interest: rate × nominal debentures.
4. Keep a running check: PAT − appropriations must equal retained profit for the year.
5. In time pressure, secure the easy marks first: gross profit, tax line, dividend lines, retained c/d.

Slide deck at a glance

How the company income statement differs

- Top half (sales, cost of sales, gross profit) = same as sole trader

- Directors' salaries/fees = EXPENSE, not appropriation (unlike partners' salaries)
- Audit fees = expense; all companies must be audited
- Debenture interest = expense before profit before tax, paid regardless of profit
- Appropriation section allocates profit AFTER tax: reserves, dividends, retained

The KASNEB format

- Profit before tax → less income tax expense → profit after tax
- Tax = current estimate + prior-year under-provision (or − over-provision)
- Appropriation order: tax → reserve transfers → preference → ordinary dividends
- Residue = retained profit for the year; + b/d = retained profit c/d
- Preference dividends rank AHEAD of ordinary dividends

Worked example — Jitahidi Ltd workings

- Depreciation: apply given rates to cost of each asset class (W1)
- Debenture interest: paid + accrued; cross-check rate × nominal (8% × 1,000)
- Tax charge: current estimate + under-provision debit b/d (W3)
- Dividends: preference = rate × nominal capital; ordinary = interim + proposed
- Appropriation arithmetic: PAT − reserves − dividends = retained for the year

Debenture interest and dividends — the complete treatment

- Interim dividend paid = trial balance debit; carry to appropriations only
- Proposed (final) dividend = appropriation AND current liability (dividends payable)
- Debenture interest hits 3 places: P&L expense, accrued = current liability
- Debenture itself = non-current liability
- Never deduct dividends from profit before tax — they are not expenses

Appropriation ordering — a second mini-example

- Over-provision mini-example: charge = 250,000 − 30,000 = 220,000
- Preference dividend computed in full even if no cash paid (12% × 500,000)
- Interim paid appears nowhere in SFP — cash already gone
- Proposed dividends (ordinary final + preference) = dividends payable total
- Retained for year = PAT − reserve transfer − pref. − ord. dividends

Key takeaways / exam tips

- Build top-down in KASNEB format — markers scan for standard lines
- Compute dividends from nominal capital × rate; show workings
- Cross-check debenture interest: rate × nominal debentures
- PAT − appropriations must equal retained profit for the year
- Secure easy marks first: gross profit, tax line, dividends, retained c/d

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2023-04-Q4 · April 2023 · 20 marks KASNEB authored

Company financial statements with margin-derived closing inventory (Bahati Ltd)

The trial balance of Bahati Ltd. as at 31 March 2023 (Sh."000"): Dr — Accounts receivable 8,250; Purchases 105,500; Discounts allowed 125; Building at cost 22,500; Fixtures and fittings at cost 6,000; Inventory (1 April 2022) 10,500; Returns outward... (Cr 2,000); Directors' fees 1,000; Administrative expenses 3,650; Selling and

distribution expenses 4,175; Bad debt written off 100; Investments at fair value 4,000. Cr — Ordinary share capital (Sh.10 par) 15,000; 10% preference share capital (Sh.10 par) 2,500; Share premium 2,000; 8% debentures 2,500; Accounts payable 3,325; Sales 120,000; Bank overdraft 1,000; Discounts received 325; Accumulated depreciation (1 April 2022): building 6,250, fixtures and fittings 1,400; Allowance for doubtful debts (1 April 2022) 450; Retained profit (1 April 2022) 9,050. Total 165,800 = 165,800.

Additional information: (1) The company maintains a gross profit margin of 20%. (2) Accounts receivable include Sh.250,000 due from a customer declared bankrupt. (3) The allowance for doubtful debts is to be adjusted to 5% of accounts receivable at 31 March 2023. (4) Administrative expenses accrued 175; prepaid selling and distribution expenses 75. (5) Interest on the debentures for the year ended 31 March 2023 was paid on 5 April 2023. (6) Depreciation: building 2% on cost; fixtures and fittings 10% on reducing balance. (7) Directors propose: preference dividend be paid; a dividend of 10% on ordinary shares; Sh.2,500,000 transferred to general reserves.

Required: (a) The value of inventory as at 31 March 2023. (2 marks) (b) Statement of profit or loss for the year ended 31 March 2023. (10 marks) (c) Statement of financial position as at 31 March 2023. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Closing inventory

Gross profit = 20% × sales 120,000 = 24,000 → cost of sales = 96,000. Closing inventory = opening 10,500 + purchases 105,500 − returns outward 2,000 − cost of sales 96,000 = **18,000**.

(b) Statement of profit or loss for the year ended 31 March 2023

Sales		120,000
Cost of sales (80% of sales)		(96,000)
Gross profit		24,000
Add: Discounts received		325
Less expenses:		
Directors' fees	1,000	
Administrative expenses (3,650 + 175 accrued)	3,825	
Selling and distribution (4,175 − 75 prepaid)	4,100	
Discounts allowed	125	
Bad debts (100 + 250 bankrupt)	350	
Decrease in allowance for doubtful debts (required 5% × 8,000 = 400; existing 450)	(50)	
Depreciation — building (2% × 22,500)	450	
Depreciation — fixtures (10% × 4,600)	460	
Debenture interest (8% × 2,500)	200	(10,460)
Profit for the year (before tax — no tax information given)		13,865
Appropriation:		
Retained profit b/f	9,050	
Profit for the year	13,865	
Transfer to general reserve	(2,500)	
Preference dividend proposed (10% × 2,500)	(250)	
Ordinary dividend proposed (10% × 15,000)	(1,500)	
Retained profit c/f	18,665	

(c) Statement of financial position as at 31 March 2023

```
Non-current assets:
  Building (22,500 – 6,700)              15,800
  Fixtures and fittings (6,000 – 1,860)   4,140
  Investments at fair value               4,000    23,940
Current assets:
  Inventory                              18,000
  Accounts receivable (8,000 – 400)       7,600
  Prepaid expenses                           75    25,675
Total assets                                       49,615
Equity: Ordinary share capital 15,000; Preference share capital 2,500;
  Share premium 2,000; General reserve 2,500; Retained profit 18,665   40,665
Non-current liability: 8% debentures               2,500
Current liabilities:
  Accounts payable 3,325; Bank overdraft 1,000; Accrued administrative
  expenses 175; Accrued debenture interest 200; Proposed dividends 1,750   6,450
Total equity and liabilities                       49,615
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Closing inventory 18,000 derived from the 20% gross profit margin **(2)**
- (b) Gross profit 24,000 and cost of sales 96,000 **(2)**
- (b) Expense adjustments: admin accrual 175; S&D prepayment 75; debenture interest 200 accrued (paid after year end) **(2)**
- (b) Bad debts 350 (incl. bankrupt customer 250) and allowance decreased by 50 to 400 with the credit shown **(2)**
- (b) Depreciation: building 450; fixtures 460 (10% reducing balance on 4,600) **(2)**
- (b) Profit for the year 13,865 and discounts received 325 credited **(2)**
- (c) Appropriation: general reserve transfer 2,500; dividends proposed 250 and 1,500; retained profit 18,665 **(2)**
- (c) SOFP balances at 49,615: NCA 23,940 (investments at fair value included); receivables net 7,600; current liabilities 6,450 incl. proposed dividends and accruals **(6)**

KASNEB-2021-12-PILOT-Q3 · December 2021 Pilot Paper · 20 marks KASNEB authored

Accounting concepts; company income statement and balance sheet (Simba Ltd)

(a) Explain the meaning of the following accounting concepts: (i) Going concern concept. (2 marks) (ii) Business entity concept. (2 marks) (iii) Materiality. (2 marks)

(b) Simba Ltd is a company incorporated to sell motorcycle spares. The following is a trial balance of the company as at 31 October 2021 (Sh."000"): Ordinary shares of Sh.50 each 40,000 Cr; 10% Preference shares of Sh.100 each 36,000 Cr; 10% Debentures 32,000 Cr; Land and buildings (net book value) 100,000 Dr; Plant and machinery (net book value) 32,000 Dr; Motor vehicles (net book value) 8,000 Dr; Inventory 24,000 Dr; Accounts receivable 80,000 Dr / Accounts payable 76,000 Cr; Cash at bank 16,400 Dr; Capital redemption reserve 24,000 Cr; Share premium 16,000 Cr; Retained profits as at 1 November 2020 12,000 Cr; Debenture interest 1,600 Dr; Preference dividend 1,800 Dr; Gross profit 100,000 Cr; Other operating income 16,000 Cr; Administrative expenses 52,000 Dr; Distribution costs 24,000 Dr; Other operating expenses 6,200 Dr; Interim ordinary dividend paid 8,000 Dr; Corporation tax 2,000 Cr. Totals 354,000 / 354,000.

Additional information: 1. A building whose net book value is currently Sh.20 million is to be revalued to Sh.36 million. 2. The directors have proposed to pay final ordinary dividend of Sh.8 million. 3. The corporation tax for the current year is estimated at Sh.12 million.
Required: (i) Income statement for the year ended 31 October 2021. (6 marks) (ii) Balance sheet as at 31 October 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Accounting concepts

(i) **Going concern:** the financial statements are prepared on the assumption that the entity will continue in operation for the foreseeable future and has neither the intention nor the need to liquidate or curtail materially the scale of its operations. It justifies carrying assets at depreciated cost rather than break-up values. (ii) **Business entity:** the business is treated as an entity separate and distinct from its owners; only the business's transactions are recorded in its books, and the owners' personal assets, liabilities and expenses are excluded. (iii) **Materiality:** information is material if its omission or misstatement could influence the economic decisions of users; items that are material must be separately disclosed, while immaterial items may be aggregated or dealt with in the most convenient way.

(b) Simba Ltd (Sh."000")

Workings: Debenture interest for the year = 10% × 32,000 = 3,200 (1,600 paid per the trial balance, 1,600 accrued). Preference dividend for the year = 10% × 36,000 = 3,600 (1,800 paid, 1,800 payable). Corporation tax: opening liability 2,000 + charge 12,000 = closing liability 14,000. Revaluation surplus on the building = 36,000 − 20,000 = 16,000.

(i) Income statement for the year ended 31 October 2021

```
Gross profit                                          100,000
Other operating income                                 16,000
                                                      116,000
Less: Administrative expenses          52,000
      Distribution costs               24,000
      Other operating expenses          6,200
      Debenture interest (10% × 32,000)  3,200          (85,400)
Profit before tax                                      30,600
Corporation tax                                       (12,000)
Profit for the year                                    18,600
Appropriation: Retained profits b/f 12,000
  + profit for the year 18,600 = 30,600
  Less: Preference dividend (3,600)
        Interim ordinary dividend paid (8,000)
        Proposed final ordinary dividend (8,000)      (19,600)
Retained profits c/f                                   11,000
```

(ii) Balance sheet as at 31 October 2021

```
Non-current assets:
  Land and buildings (100,000 + 16,000 revaluation)    116,000
  Plant and machinery                                   32,000
  Motor vehicles                                         8,000   156,000
Current assets:
  Inventory                    24,000
```

```
  Accounts receivable          80,000
  Cash at bank                 16,400                  120,400
Total assets                                           276,400
Equity:
  Ordinary share capital        40,000
  Preference share capital      36,000
  Capital redemption reserve    24,000
  Share premium                 16,000
  Revaluation reserve           16,000
  Retained profits              11,000                   143,000
Non-current liabilities: 10% Debentures                  32,000
Current liabilities:
  Accounts payable              76,000
  Debenture interest accrued     1,600
  Preference dividend payable    1,800
  Proposed final dividend        8,000
  Corporation tax               14,000                   101,400
Total equity and liabilities                           276,400
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Going concern concept explained **(2)**
- (a) Business entity concept explained **(2)**
- (a) Materiality explained **(2)**
- (b)(i) Income 116,000 (gross profit 100,000 + other operating income 16,000) **(1)**
- (b)(i) Expenses including total debenture interest 3,200 (1,600 accrued) **(2)**
- (b)(i) Profit before tax 30,600 **(1)**
- (b)(i) Tax charge 12,000 and profit for the year 18,600 **(2)**
- (b)(ii) Building revaluation surplus 16,000 and non-current assets 156,000 **(1)**
- (b)(ii) Appropriation: preference dividend 3,600, interim dividend 8,000, proposed final dividend 8,000; retained profits c/f 11,000 **(4)**
- (b)(ii) Debentures 32,000 and current liabilities including tax payable 14,000, accrued interest 1,600, preference dividend payable 1,800, proposed dividend 8,000 **(2)**
- (b)(ii) Balance sheet balances at Sh.276,400,000 **(1)**

KASNEB-2017-11-Q4 · November 2017 · 20 marks KASNEB authored

Company income statement and statement of financial position

The following trial balance was extracted from the books of Night Shade Ltd. as at 30 April 2017 (Sh."000): Ordinary shares of Sh.50 each 100,000 Cr; 12% Preference shares of Sh.100 each 25,000 Cr; Share premium 2,000 Cr; General reserve 4,100 Cr; Retained earnings (1 May 2016) 23,050 Cr; 10% Debentures 20,000 Cr; Dividends: Ordinary 2,500; Preference 1,500; Land and buildings at valuation 85,000; Plant and machinery at cost 28,000; Motor vehicles at cost 15,000; Accumulated depreciation (1 May 2016): Plant and machinery 14,000 Cr, Motor vehicles 11,000 Cr; Purchases 102,000; Inventory (1 May 2016) 15,600; Accounts receivable 24,100; Accounts payable 22,000 Cr; Wages and salaries 43,000; Rent and rates 7,800; Electricity 4,100; Allowance for doubtful debts (1 May 2016) 1,200 Cr; Debenture interest paid 1,000; Bank 11,450; Directors' remuneration 5,800; Audit fee expenses 1,150. Totals 343,000 / 343,000.

Additional information:
1. Depreciation is to be provided as follows: Plant and machinery 12.5% on cost; Motor vehicles 20% on reducing balance; Land and buildings 2.5% on valuation. Land cost is Sh.45,000,000.
2. Inventory as at 30 April 2017 was valued at Sh.14,200,000.
3. The company had paid rates in advance of Sh.1,100,000 and had accrued electricity of Sh.800,000 as at 30 April 2017.
4. The directors proposed a final dividend of 15% on ordinary shares and 12% on preference shares.
5. The directors have approved a transfer of Sh.2,000,000 to the general reserve.
6. Debenture interest is payable half-yearly on 30 June and 31 December each year.
7. Provision for taxation for the year ended 30 April 2017 is estimated at Sh.3,600,000.
8. Allowance for doubtful debts is to be maintained at 5% of accounts receivable.
9. The land and buildings were revalued upwards by Sh.15,000,000 during the year ended 30 April 2017.
10. Bad debts written off amounted to Sh.300,000.

Required: (a) Income statement for the year ended 30 April 2017. (12 marks) (b) Statement of financial position as at 30 April 2017. (8 marks) (Total: 20 marks)

SokoCPA worked solution

(a) NIGHT SHADE LTD — INCOME STATEMENT FOR THE YEAR ENDED 30 APRIL 2017 (Sh."000)

Revenue (sales) (W1) 125,650 Cost of sales: Opening inventory 15,600 Purchases 102,000 Less: Closing inventory (14,200) Cost of sales (103,400) Gross profit 22,250 Other income: Decrease in allowance for doubtful debts (W2) 10 Expenses: Wages and salaries 43,000 Rent and rates (7,800 − 1,100 prepaid) 6,700 Electricity (4,100 + 800 accrued) 4,900 Directors' remuneration 5,800 Audit fees 1,150 Depreciation: plant and machinery (W3) 3,500; motor vehicles (W3) 800; buildings (W3) 1,000 5,300 Debenture interest (W4) 2,000 Bad debts written off 300 Total expenses (69,140) Loss before taxation (46,890) Taxation (3,600) Loss for the year (50,490)

W1. Sales do not appear in the trial balance as transcribed; they are derived as the balancing figure of the itemised balances (debits 348,000 − credits other than sales 222,350 = 125,650). See the source note. W2. Receivables after writing off bad debts of 300: 24,100 − 300 = 23,800; required allowance = 5% × 23,800 = 1,190; opening allowance 1,200 → decrease of 10 credited. W3. Depreciation: plant and machinery 12.5% × 28,000 = 3,500; motor vehicles 20% × (15,000 − 11,000) = 800; land and buildings 2.5% on the buildings element of the valuation (85,000 − land 45,000 = 40,000) = 1,000 (no depreciation is charged on land). W4. Debenture interest: 10% × 20,000 = 2,000 for the full year; 1,000 paid, 1,000 accrued (interest is payable half-yearly on 30 June and 31 December, so the four months to 30 April 2017 are unpaid).

Appropriations (statement of changes in equity extract): Retained earnings at 1 May 2016 23,050 Loss for the year (50,490) Transfer to general reserve (2,000) Dividends: ordinary interim paid (2,500); preference interim paid (1,500); ordinary final proposed — 15% × 100,000 (15,000); preference final proposed — balance of the 12% entitlement (3,000 − 1,500 paid) (1,500) Retained earnings at 30 April 2017 (49,940) (debit balance)

(b) STATEMENT OF FINANCIAL POSITION AS AT 30 APRIL 2017 (Sh."000)

Non-current assets: Land and buildings at valuation (85,000 + 15,000 revaluation) 100,000 less depreciation (1,000) → 99,000 Plant and machinery: cost 28,000; accumulated depreciation (14,000 + 3,500) (17,500) → 10,500 Motor vehicles: cost 15,000; accumulated depreciation (11,000 + 800) (11,800) → 3,200 112,700 Current assets: Inventory 14,200 Accounts receivable 23,800 less allowance for doubtful debts (1,190) → 22,610 Prepaid rates 1,100 Bank 11,450 49,360 Total assets 162,060

Equity: Ordinary share capital 100,000 12% Preference share capital 25,000 Share premium 2,000 General reserve (4,100 + 2,000) 6,100 Revaluation reserve 15,000 Retained earnings (49,940) Total equity 98,160 Non-current liabilities: 10% Debentures 20,000 Current liabilities: Accounts payable 22,000 Accrued electricity 800 Accrued debenture interest 1,000 Taxation payable 3,600 Proposed dividends (15,000 + 1,500) 16,500 43,900 Total equity and liabilities 162,060

Note: the proposed dividends and the transfer to general reserve are made notwithstanding the loss for the year, as directed by the question; the retained earnings account is consequently in debit. The revaluation of land and buildings is credited to the revaluation reserve through other comprehensive income, not to profit or loss.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Cost of sales 103,400 (opening inventory 15,600 + purchases 102,000 − closing inventory 14,200) and gross profit computed from revenue (125,650 as the trial balance balancing figure — see source note) **(2)**
- (a) Depreciation correctly computed: plant and machinery 3,500 (12.5% on cost), motor vehicles 800 (20% reducing balance), buildings element only 1,000 (2.5% × (85,000 − 45,000 land)) **(3)**
- (a) Adjustments: rent and rates 6,700 (prepaid 1,100), electricity 4,900 (accrued 800), debenture interest charged in full 2,000 with 1,000 accrued **(3)**
- (a) Bad debts 300 written off and allowance reset to 5% × 23,800 = 1,190 (decrease 10 credited); taxation 3,600 charged; loss for the year Sh.(50,490,000) on the figures as transcribed **(2)**
- (a) Appropriations: interim dividends (2,500 + 1,500), proposed ordinary final 15,000, proposed preference balance 1,500, transfer to general reserve 2,000; retained earnings carried forward (49,940) **(2)**
- (b) Non-current assets: land and buildings 99,000 (valuation uplifted by the 15,000 revaluation, less depreciation 1,000), plant and machinery 10,500, motor vehicles 3,200 **(3)**
- (b) Current assets: inventory 14,200, receivables net 22,610, prepayment 1,100, bank 11,450 **(2)**
- (b) Equity complete including revaluation reserve 15,000 and general reserve 6,100; liabilities complete (debentures 20,000; payables 22,000; accruals 800 and 1,000; tax 3,600; proposed dividends 16,500); statement balances at Sh.162,060,000 **(3)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M07-Q008 – CA11-M07-Q035. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 7 · FINANCIAL STATEMENTS OF A COMPANY — LESSON 4

The Company Statement of Financial Position

Learning Objectives

By the end of this lesson you should be able to:

1. Prepare a company statement of financial position (SFP) from a trial balance with adjustments.
2. Present share capital (authorised vs issued), reserves and retained earnings in the equity section.
3. Classify debentures, tax payable, dividends payable and accrued debenture interest correctly.
4. List and describe the complete set of published financial statements required by IAS 1.
5. Reconcile the SFP to the income statement through retained earnings.

---

1. The SFP Format for a Company

The company SFP follows the same IAS 1 logic as a sole trader's, but the **equity section** is far richer and certain liabilities are company-specific:

```
Non-current assets
  Land and buildings (cost less accumulated depreciation)      xx
  Plant and machinery                                           xx
  Fixtures, fittings and equipment                              xx
  Motor vehicles                                                xx
  Intangible assets (goodwill, patents)                         xx
  Long-term investments                                         xx
Current assets
  Inventory                                                     xx
  Trade receivables (less provision for doubtful debts)         xx
  Prepayments                                                   xx
  Short-term investments                                        xx
  Cash at bank / in hand                                        xx
                                                               ----
TOTAL ASSETS                                                    xx
                                                               ====
EQUITY
  Ordinary share capital (issued and fully paid)                xx
  Preference share capital                                      xx
  Capital reserves:
    Share premium                                               xx
    Revaluation reserve                                         xx
    Capital redemption reserve                                  xx
  Revenue reserves:
    General reserve                                             xx
    Retained earnings (profit and loss account)                 xx
Non-current liabilities
  Debentures (loan stock)                                       xx
  Deferred tax                                                  xx
Current liabilities
  Bank overdraft                                                xx
  Trade payables                                                xx
  Accruals (incl. debenture interest payable)                   xx
  Current tax payable                                           xx
  Dividends payable (proposed)                                  xx
                                                               ----
TOTAL EQUITY AND LIABILITIES                                    xx
```

Notes on presentation:

- Show **issued and fully paid** capital (number of shares × nominal). Authorised capital may be shown for information but only issued capital enters the totals.
- **Reserves are split** into capital reserves and revenue reserves (Lesson 2).
- **Deferred tax** (Lesson 2) sits between equity and non-current liabilities, or within non-current liabilities.
- The debenture is non-current; **debenture interest accrued** is current.

---

2. The Complete Set of Financial Statements (IAS 1)

KASNEB expects you to know that published company accounts comprise **five** components:

1. **Statement of financial position** — assets, liabilities and equity at the reporting date.
2. **Statement of comprehensive income** — profit or loss plus other comprehensive income (e.g. revaluation gains) for the period.
3. **Statement of changes in equity** — movements in each equity component: new share issues, dividends, revaluation surpluses, profit for the year.
4. **Statement of cash flows** — cash generated and used (IAS 7; examined in later papers, but name it).
5. **Notes** — accounting policies and explanatory detail, including the tax reconciliation (IAS 12).

> **Exam trap:** When asked to "prepare the published financial statements", students prepare only the SFP. At minimum, name all five; at CA11 the examined statements are the income statement and the SFP.

---

3. Comprehensive Worked Example — Jitahidi Ltd (continued)

Continuing the Jitahidi Ltd data from Lesson 3 (figures Sh.000):

- Retained profit c/d: **1,532**; general reserve: 500 + 150 = **650**.
- Accumulated depreciation: buildings 78; plant 480 + 160 = 640; office equipment 90 + 60 = 150; motor vehicles 600 + 320 = 920.
- Current tax payable: **300** (Lesson 3, W3: the Sh.40,000 under-provision debit b/d was added to the P&L charge, leaving the current estimate of 300 as the liability).
- Debenture interest accrued: **20**. Dividends payable: preference 100 + final ordinary 200 = **300**.

```
                          Jitahidi Ltd
          Statement of financial position as at 31 December 2025
                                        Cost      Acc. dep.      NBV
                                      Sh.000      Sh.000      Sh.000
Non-current assets
  Land and buildings                   3,920          78       3,842
  Plant and machinery                  1,600         640         960
  Office equipment                       300         150         150
  Motor vehicles                       3,200         920       2,280
                                                                 7,232
Current assets
  Inventory                                                    750
  Trade receivables                                            900
  Bank                                                         640       2,290
Total assets                                                         9,522
EQUITY
```

```
  Ordinary share capital
    (200,000 shares of Sh.20 each, fully paid)                  4,000
  10% preference share capital                                  1,000
  Share premium                                                   200
  General reserve                                                 650
  Retained earnings                                             1,532       7,382
Non-current liabilities
  8% debentures                                                 1,000
Current liabilities
  Trade payables                                      520
  Debenture interest accrued                           20
  Current tax payable                                 300
  Dividends payable (100 + 200)                       300               1,140
Total equity and liabilities                                          9,522
```

The balance check: 7,382 + 1,000 + 1,140 = 9,522 = total assets ✓. If your SFP does not balance, the error is almost always a missing accrual, a dividend double-count, or retained earnings carried forward incorrectly.

Reconciliation to the income statement: Retained earnings 1,532 = retained b/d 450 + profit after tax 1,772 − dividends 540 − reserve transfer 150 (Lesson 3). The two statements articulate through this line — examiners check it.

> **Exam trap:** The interim dividend *paid* (240) does **not** appear in the SFP — the cash is gone. Only the *proposed* dividends (300) appear as a current liability. A favourite error is listing all dividends (540) as payable.

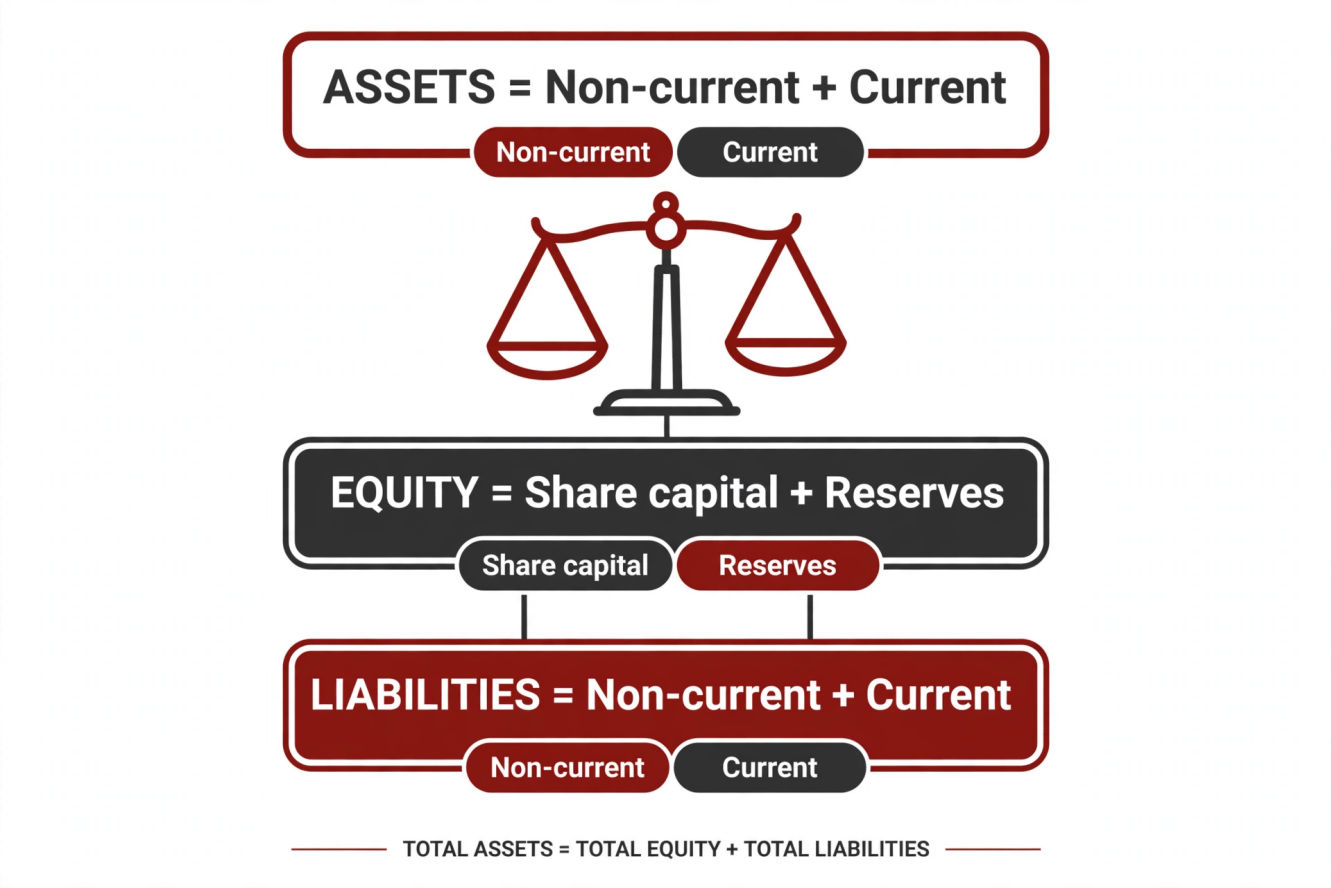
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4. Statement of Changes in Equity (Outline)

Although full preparation is tested at higher levels, know the skeleton:

	Share capital	Share premium	General reserve	Retained earnings	Total
Balance b/d	xxx	xxx	xxx	xxx	xxx
Profit for the year	—	—	—	xxx	xxx
Dividends	—	—	—	(xxx)	(xxx)
Transfer to reserve	—	—	xxx	(xxx)	—
Bonus/rights issue	xxx	xxx	—	—	xxx
Balance c/d	xxx	xxx	xxx	xxx	xxx

Every line must cross-cast. The closing total must agree the SFP equity total — a powerful self-check in the exam.



5. Share Capital in Depth: Authorised, Issued, Called-up, Paid-up

Questions often test the vocabulary of capital itself:

- **Authorised (nominal/registered) capital** — the maximum a company may issue, stated in the memorandum (e.g. 500,000 shares of Sh.20 = Sh.10,000,000). Shown for information only; it never enters the SFP totals.
- **Issued capital** — shares actually allotted to shareholders.
- **Called-up capital** — the portion of issued capital the company has demanded payment for.
- **Paid-up capital** — the portion actually received. The SFP shows **issued and fully paid** capital.

So Jitahidi's line "Ordinary share capital (200,000 shares of Sh.20 each, fully paid) 4,000" tells the reader: 200,000 × 20 = 4,000,000 fully paid. Where shares were issued at a premium, the share premium account sits directly below in capital reserves — the two lines together reconcile to the cash received on issue (share capital at nominal plus premium equals total subscription money).

Forfeited shares (brief note): if a shareholder fails to pay calls, the company may forfeit the shares and re-issue them. Amounts already paid and forfeited are transferred to a forfeited shares account — a capital reserve, not income. KASNEB rarely examines the entries at CA11, but recognise the term if it appears in a list of reserves.

6. Reading the Company SFP

The SFP is not just a balancing exercise — it tells a story. Using Jitahidi's figures (Sh.000):

- **Working capital** = current assets 2,290 − current liabilities 1,140 = **1,150**. Positive working capital means short-term obligations are covered — a liquidity check markers sometimes ask for.

- **Gearing** = debentures 1,000 ÷ equity 7,382 ≈ **13.5%**. Low gearing: the company is financed mainly by shareholders, so fixed interest is a small burden on profits.
- **Reserves strength:** revenue reserves (general reserve 650 + retained earnings 1,532 = 2,182) are over half of share capital — the company has funded much of its growth from profits, a sign of financial health and of dividend capacity.
- **Dividend cover:** profit after tax 1,772 ÷ total dividends 540 ≈ **3.3 times** — comfortable; the dividend is well covered by earnings.
- **Tax and dividend lines:** current tax payable (300) and dividends payable (300) are both *proposed/estimated* amounts — they represent obligations at the reporting date, which is why they sit in current liabilities rather than in equity.

Exam trap: Dividends may only be paid out of distributable (revenue) reserves — never out of share capital or the share premium account. A question giving a proposed dividend exceeding retained earnings is testing exactly this: the dividend must be restricted to what is distributable.

Key Terms

- **Issued and fully paid capital** — the share capital figure that enters the SFP (shares issued × nominal).
- **Dividends payable** — proposed final dividends: an appropriation in the income statement and a current liability.
- **Articulation** — the link between statements via retained earnings.
- **IAS 1 complete set** — SFP, statement of comprehensive income, statement of changes in equity, statement of cash flows, notes.

Module Summary

- The company SFP presents non-current and current assets, then equity (share capital, capital reserves, revenue reserves), non-current liabilities (debentures, deferred tax) and current liabilities.
- Proposed dividends, current tax payable and accrued debenture interest are current liabilities.
- The SFP must balance; the fastest diagnostic is the retained-earnings reconciliation to the income statement.
- IAS 1 requires five statements; at CA11 you prepare the income statement and SFP and can describe the rest.

Exam Day Tips

1. Always do the **balance check** (assets = equity + liabilities) before moving on — it catches most errors.
2. Carry retained profit c/d from the income statement **character for character**; a transcription slip breaks the SFP.
3. Show share capital as "X shares of Sh.Y each, fully paid" — the narrative earns presentation marks.
4. Keep debentures (non-current) and debenture interest accrued (current) on separate lines.
5. If time is short, a balanced SFP with correct equity section scores heavily even with a small arithmetic slip elsewhere.

Slide deck at a glance

The SFP format for a company

- Equity section is richer: share capital, capital reserves, revenue reserves
- Capital reserves → share premium, revaluation reserve, CRR

- Revenue reserves → general reserve, retained earnings (P&L balance)
- Show issued and fully paid capital (shares × nominal); authorised for info only
- Deferred tax sits with/near non-current liabilities

The complete set of financial statements (IAS 1)

- IAS 1 published accounts comprise FIVE components
- Statement of financial position — assets, liabilities, equity at date
- Statement of comprehensive income — P&L plus OCI (e.g. revaluation gains)
- Statement of changes in equity; statement of cash flows (IAS 7)
- Notes: accounting policies and explanatory detail (incl. tax reconciliation)

Worked example — Jitahidi Ltd SFP

- Non-current assets: cost less accumulated depreciation = NBV
- Current liabilities → trade payables, interest accrued, current tax payable
- Dividends payable = proposed only (preference 100 + final ordinary 200)
- Interim paid (240) does NOT appear in SFP — cash is gone
- Balance check: equity + liabilities = total assets ✓

Share capital in depth

- Authorised: maximum issuable; shown for information only, never in totals
- Issued: shares actually allotted; called-up: payment demanded
- Paid-up: payment received; SFP shows "issued and fully paid"
- Share premium sits directly below share capital in capital reserves
- Forfeited shares = capital reserve, not income (rarely examined)

Reading the company SFP

- Working capital = current assets − current liabilities (liquidity check)
- Gearing = debentures ÷ equity; low gearing = financed mainly by shareholders
- Dividend cover = PAT ÷ total dividends; Jitahidi ≈ 3.3 times
- Dividends only from distributable (revenue) reserves — never share capital
- SFP tells a story, not just a balancing exercise

Key takeaways / exam tips

- Always do the balance check first — catches missing accruals/dividends
- Carry retained c/d from income statement character for character
- Show share capital as "X shares of Sh.Y each, fully paid"
- Separate debentures (non-current) from debenture interest accrued (current)
- Statements articulate via retained earnings — examiners check it

KASNEB past-paper worked examples

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KASNEB-2021-05-Q4 · May 2021 · 20 marks KASNEB authored

Company financial statements with share issue in suspense (Almond Ltd)

The following trial balance was extracted from the books of account of Almond Ltd. as at 30 September 2020 (Sh."000"): Ordinary share capital (Sh.10 par value) 20,000 Cr; 8% redeemable preference shares 12,000 Cr; 6% debentures 10,000 Cr; Revaluation reserve 3,400 Cr; Retained earnings (1 October 2019) 14,160 Cr; Sales 283,460 Cr; Inventory (1 October 2019) 12,400; Purchases 147,200; Distribution costs 22,300; Administrative

expenses 34,440; Interest on debentures paid 300; Interim dividend paid: Ordinary 2,000, Preference 480; Investment income 1,500 Cr; Building 56,250; Plant and equipment at cost 55,000; Furniture and fittings at cost 35,000; Investments 34,500; Accumulated depreciation (1 October 2019): Building 18,000 Cr, Plant and equipment 12,800 Cr, Furniture and fittings 9,600 Cr; Accounts receivable 35,700; Bank overdraft 1,680 Cr; Accounts payable 17,770 Cr; Deferred tax 5,200 Cr; Suspense account 26,000 Cr. Totals 435,570 / 435,570. Additional information: 1. The amount in the suspense account was discovered to be as a result of 2,000,000 ordinary shares issued at Sh.13 per share. 2. The annual stock-take took place on 6 October 2020. It gave an inventory value of Sh.14,500,000. During the period from 1 October 2020 to 6 October 2020, the following transactions took place (Sh."000"): Sales 1,600; Purchases 470; Sales returns 200; Purchases returns 80. Almond Ltd. makes a uniform rate of gross profit of 25% on selling price. 3. As at 30 September 2020, no entry had been made in the books for the following unpresented cheques: Stationery Sh.160,000; Payment in advance for goods worth Sh.300,000 to be delivered in October 2020. 4. The company received a demand notice for rates of Sh. 240,000 for the year ended 30 September 2020. 5. The company's policy in relation to the annual depreciation on its non-current assets is as follows: Building – 4% on a straight line basis; Plant and equipment – 15% on a straight line basis; Furniture and fittings – 10% on a reducing balance basis. Plant and equipment have a residue value of Sh.5,000,000. 6. As at 30 September 2020, an allowance of 4% of accounts receivable is to be made as well as a provision for corporation tax of Sh.18,500,000. 7. As at 30 September 2020, the investment portfolio was as follows (Sh."000"): Short-term investment 22,500; Long-term investment 12,000. 8. The directors proposed to pay a final ordinary dividend of 10%. Required: (a) Statement of profit or loss for the year ended 30 September 2020. (10 marks) (b) Statement of financial position as at 30 September 2020. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Suspense cleared:** 2,000,000 shares issued at Sh.13 = 26,000: share capital 2,000,000 × Sh.10 = 20,000; share premium 2,000,000 × Sh.3 = 6,000. Ordinary share capital becomes 20,000 + 20,000 = **40,000**; share premium **6,000**.
- **W2 — Inventory at 30 September 2020:** stock-take at 6 October 14,500. Roll back: add cost of net goods sold 1–6 Oct: (sales 1,600 − returns 200) × (1 − 25%) = 1,050; deduct net purchases received (470 − 80) = 390. Inventory = 14,500 + 1,050 − 390 = **15,160**.
- **W3 — Unrecorded cheques:** stationery 160 (expense); advance payment for goods 300 (prepayment). Bank overdraft increases: 1,680 + 460 = **2,140**.
- **W4 — Depreciation:** building 4% × 56,250 = 2,250; plant and equipment 15% × (55,000 − 5,000 residue) = 7,500; furniture 10% × (35,000 − 9,600) = 2,540.
- **W5 — Allowance for doubtful debts:** 4% × 35,700 = **1,428**.
- **W6 — Debenture interest:** 6% × 10,000 = 600; paid 300, accrued 300.

(a) Statement of profit or loss for the year ended 30 September 2020 (Sh."000")

	Sh."000"
Revenue	283,460

	Sh."000"
Cost of sales (12,400 + 147,200 − 15,160)	(144,440)
Gross profit	**139,020**
Investment income	1,500
Distribution costs	(22,300)
Administrative expenses (34,440 + stationery 160 + rates 240)	(34,840)
Depreciation (2,250 + 7,500 + 2,540)	(12,290)
Allowance for doubtful debts	(1,428)
Finance costs — debenture interest	(600)
Profit before tax	**69,062**
Corporation tax	(18,500)
Profit for the year	**50,562**

Retained earnings: balance b/f 14,160 + profit 50,562 − interim ordinary dividend 2,000 − preference dividends (interim paid 480 + final 480) = **61,762**.

Note: the proposed final ordinary dividend of 10% (Sh.4,000,000 on the enlarged capital of Sh.40,000,000) does not meet the definition of a liability at the reporting date (IAS 10) and is therefore disclosed in the notes, not recognised. The final preference dividend of 480 (8% × 12,000 = 960 for the year, less 480 interim paid) is accrued.

(b) Statement of financial position as at 30 September 2020 (Sh."000")

	Sh."000"
Non-current assets	
Building (56,250 − 20,250)	36,000
Plant and equipment (55,000 − 20,300)	34,700
Furniture and fittings (35,000 − 12,140)	22,860
Long-term investments	12,000
	105,560
Current assets	
Inventory	15,160
Accounts receivable (35,700 − 1,428)	34,272
Short-term investments	22,500
Prepayment (advance payment for goods)	300
	72,232
Total assets	**177,792**

	Sh."000"
Equity	
Ordinary share capital	40,000
8% redeemable preference shares	12,000
Share premium	6,000
Revaluation reserve	3,400
Retained earnings	61,762
	123,162
Non-current liabilities	
6% debentures	10,000
Deferred tax	5,200
	15,200
Current liabilities	
Accounts payable	17,770
Bank overdraft	2,140
Corporation tax payable	18,500
Accrued rates	240
Accrued debenture interest	300
Final preference dividend payable	480
	39,430
Total equity and liabilities	**177,792**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Suspense cleared correctly: share capital +20,000, share premium +6,000 (2,000,000 shares at Sh.13, par Sh. 10) **(2)**
- Closing inventory rolled back to 15,160 (14,500 + 1,050 cost of net sales − 390 net purchases) **(2)**
- Unrecorded cheques: stationery 160 expensed; advance payment 300 as prepayment; overdraft increased to 2,140 **(1)**
- Depreciation: building 2,250; plant and equipment 7,500 (on 55,000 − 5,000 residue); furniture 2,540 (reducing balance) **(2)**
- Cost of sales 144,440 and gross profit 139,020 **(1)**
- Expenses correctly stated incl. rates accrual 240, allowance for doubtful debts 1,428 (4% × 35,700), debenture interest 600 (300 accrued) **(2)**
- Profit before tax 69,062; tax 18,500; profit for the year 50,562 **(2)**
- Retained earnings 61,762 (after interim ordinary 2,000 and preference dividends 960) **(1)**
- SOFP non-current assets 105,560 (incl. long-term investments 12,000) and current assets 72,232 (incl. short-term investments 22,500) **(3)**

• Equity 123,162; non-current liabilities 15,200; current liabilities 39,430; statement balances at 177,792 **(4)**

KASNEB-2019-11-Q3 · November 2019 · 20 marks KASNEB authored

Partnership salaries vs directors' fees; company accounts (Meza Ltd)

(a) Distinguish between "partnership salaries" and "directors' fees" in financial statements. (4 marks)
(b) The following trial balance was extracted from the books of Meza Ltd. as at 30 September 2019 (Sh."000"): Freehold land and buildings (cost) 176,200; Motor vehicles (cost) 46,400; Accumulated depreciation (1 October 2018): Freehold buildings 30,250 Cr, Motor vehicles 5,710 Cr; Inventories (1 October 2018) 34,611; Capitalised development costs (at cost) 18,000; Accumulated amortisation (1 October 2018) 1,800 Cr; Trade receivables 29,220 (Debtor's balance b/d 36,317 less allowances 7,097); Purchases 759,031; Sales 1,329,701 Cr; Returns outwards 8,748 Cr; Returns inwards 10,313; Carriage inwards 3,025; Wages and salaries 92,369; Rates and insurance 27,121; Motor vehicle expenses 11,602; Rent received 4,770 Cr; General administration expenses 137,531; Provision for taxation (1 October 2018) 46,204 Cr; Bad debts expenses 3,161; Bank overdraft 7,224 Cr; Ordinary share capital (Sh.5 each) 224,000 Cr; Share premium 75,000 Cr; Revenue reserves (1 October 2018) 26,577 Cr; Directors' fees 21,000; Interim dividend paid 5,600; Trade payables 13,815 Cr; 12% debentures 2021 25,523 Cr. Totals 1,798,925 / 1,798,925. Additional information: 1. The inventories as at 30 September 2019 were valued at Sh.53,717,000. 2. Additional bad debts of Sh.1,000,000 should be written off and the allowance for doubtful debts should be increased to Sh.10,465,000 at 30 September 2019. 3. Capitalised development costs are to be amortised at the rate of 10% per annum (on cost). 4. Depreciation is to be provided as follows: Freehold buildings — 2½% per annum. The freehold land and buildings consisted of land Sh. 62,000,000, buildings Sh.114,200,000. Depreciation is not charged on land; Motor vehicles — 25% per annum on reducing balance method. 5. As at 30 September 2019, insurance prepaid was Sh.608,000. 6. As at 30 September 2019, accrued rates amounted to Sh.1,800,000. 7. Debenture interest for the year had not been paid. 8. A provision for corporation tax of Sh.54,388,000 was made for the year. 9. The directors proposed to pay a dividend of Sh.2.50 per ordinary share. Required: (a) Statement of income statement and appropriation for the year ended 30 September 2019. (10 marks) (b) Statement of financial position as at 30 September 2019. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Partnership salaries vs directors' fees

A **partnership salary** is not a salary in the employment sense and not a business expense: it is an **appropriation of profit** agreed in the partnership deed, credited to the partner's current account through the appropriation account to reward partners who work in the business before the residual profit is shared. It is payable only out of profits and the partner is taxed as a business owner. **Directors' fees**, by contrast, are remuneration paid by a **company** to its directors for their services as officers; they are a **business expense** charged in arriving at profit in the statement of profit or loss (an employment-type cost of the company, subject to PAYE), and are payable whether or not the company makes a profit, in accordance with the articles and shareholders' approval.

(b) Meza Ltd

Workings

- **W1 — Receivables and allowance:** gross receivables 36,317 − additional bad debts 1,000 = 35,317; allowance raised from 7,097 to 10,465 (increase 3,368); net receivables 35,317 − 10,465 = 24,852. Total bad-debt charge in profit or loss = 3,161 (per trial balance) + 1,000 + 3,368 = 7,529.
- **W2 — Depreciation/amortisation:** buildings 2.5% × 114,200 = 2,855 (land not depreciated); motor vehicles 25% × (46,400 − 5,710) = 10,172.5; development costs 10% × 18,000 = 1,800.
- **W3 — Rates and insurance:** 27,121 − prepaid insurance 608 + accrued rates 1,800 = 28,313.
- **W4 — Debenture interest:** 12% × 25,523 = 3,063 accrued (unpaid).
- **W5 — Taxation:** the opening provision (46,204) is treated as settled during the year; the provision for the year is 54,388.
- **W6 — Proposed dividend:** Sh.2.50 × (224,000,000 ÷ Sh.5) shares = Sh.112,000,000. Under IAS 10 a dividend proposed after the reporting period is not a liability at the reporting date; it is disclosed in the notes and not recognised in the statements below.

(i) Income statement and appropriation account for the year ended 30 September 2019 (Sh."000")

	Sh."000"
Revenue (1,329,701 − returns inwards 10,313)	1,319,388
Cost of sales (34,611 + 759,031 − 8,748 + 3,025 − 53,717)	(734,202)
Gross profit	**585,186**
Rent received	4,770
Expenses: Wages and salaries	92,369
Rates and insurance	28,313
Motor vehicle expenses	11,602
General administration expenses	137,531
Directors' fees	21,000
Bad debts and allowance charge	7,529
Depreciation — buildings 2,855; motor vehicles 10,172.5	13,027.5
Amortisation — development costs	1,800
Debenture interest	3,063
Profit before tax	**273,722**
Corporation tax	(54,388)
Profit for the year	**219,334**
Revenue reserves b/f	26,577
Interim dividend paid	(5,600)
Revenue reserves c/f	**240,311**

(ii) Statement of financial position as at 30 September 2019 (Sh."000")

	Sh."000"
Non-current assets	
Freehold land and buildings (176,200 − 33,105)	143,095
Motor vehicles (46,400 − 15,883)	30,518
Capitalised development costs (18,000 − 3,600)	14,400
	188,013
Current assets	
Inventories	53,717
Trade receivables (35,317 − allowance 10,465)	24,852
Prepaid insurance	608
	79,177
Total identifiable assets	**267,190**
Equity	
Ordinary share capital	224,000
Share premium	75,000
Revenue reserves	240,311
	539,311
Non-current liabilities: 12% debentures 2021	25,523
Current liabilities	
Trade payables	13,815
Bank overdraft	7,224
Provision for taxation	54,388
Accrued rates	1,800
Accrued debenture interest	3,063
	80,290
Total identifiable equity and liabilities	**645,124**

Important note: the trial balance as transcribed from the scanned paper is incomplete — the debit balances listed sum to Sh.1,375,184,000 against the stated trial balance total of Sh.1,798,925,000, so asset balances totalling about Sh.423,741,000 were not legible in the scan. The income statement is complete from the data given, but the statement of financial position above covers only the identifiable balances and therefore does not balance; the missing items are asset balances omitted from the transcription, not an error in the workings.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Partnership salary correctly distinguished (appropriation of profit via current accounts; only out of profits; partner not an employee) **(2)**
- (a) Directors' fees correctly distinguished (company expense in profit or loss; remuneration of officers; payable regardless of profit) **(2)**
- Cost of sales 734,202 (incl. carriage inwards 3,025, returns outwards 8,748, closing inventories 53,717) and gross profit 585,186 **(2)**
- Receivables workings: bad debts written off 1,000; allowance raised to 10,465 (increase 3,368); total bad-debt charge 7,529; net receivables 24,852 **(2)**
- Depreciation/amortisation: buildings 2,855 (on 114,200 only); motor vehicles 10,172.5 (reducing balance); development costs 1,800 **(2)**
- Rates and insurance adjusted to 28,313 (prepaid 608 deducted; accrued rates 1,800 added) and debenture interest 3,063 accrued **(1)**
- Profit before tax 273,722; tax 54,388; profit for the year 219,334; reserves c/f 240,311 after interim dividend 5,600 (proposed dividend 112,000 disclosed, not recognised) **(3)**
- SOFP: non-current assets 188,013; current assets 79,177 (incl. prepayment 608); debentures 25,523; current liabilities 80,290 (incl. accrued interest and rates) — with the incomplete-trial-balance disclosure **(6)**

KASNEB-2016-11-Q1 · November 2016 · 20 marks KASNEB authored

Company accounts with inventory estimated by mark-up (Furaha Ltd)

Furaha Ltd. has an authorised share capital of Sh.80,000,000 divided into 4,000,000 ordinary shares of Sh.20 each. The trial balance of the company as at 30 September 2016 is as follows (Sh."000"): Ordinary share capital (2,500,000 ordinary shares) 50,000 Cr; Interim dividend paid 1,250; Retained earnings (1 October 2015) 9,850 Cr; 8% debentures 10,000 Cr; Bank overdraft 280 Cr; Building at cost 40,000; Accumulated depreciation on building (1 October 2015) 11,250 Cr; Plant and machinery at cost 25,000; Accumulated depreciation on plant and machinery (1 October 2015) 8,750 Cr; Motor vehicles at cost 4,000; Accumulated depreciation (1 October 2015) 1,500 Cr; Accounts receivable 4,360 / Accounts payable 3,530 Cr; Inventory (1 October 2015) 13,850; Purchases 82,250; Sales 149,810 Cr; Wages and salaries 15,100; General expenses 6,900; Rent and rates 2,750; Discount allowed 400; Debenture interest 400; Cash at bank 9,720; Suspense account 150 Cr. Totals 244,770 / 244,770.

Additional information:
1. It was not possible to carry out a stock-take on 30 September 2016 owing to the destruction of a part of the inventory by flooding. The manager estimates that the inventory is undervalued by Sh.50,000. Drawings [inventory drawings] by the proprietor worth Sh.50,000 were not recorded... [as printed]. The company makes sales at a mark-up of 25% of cost; all the sales for the year were on credit terms.
2. Plant and machinery costing Sh.5,000,000 was sold at Sh.3,000,000 on 1 October 2015. The proceeds were debited to the bank account and credited to the sales account. Depreciation on plant and machinery is provided at the rate of 20% per annum using the reducing balance method.
3. All the motor vehicles were disposed of during the year ended 30 September 2016. The disposal proceeded erroneously and the net proceeds were credited to the sales account.
4. Dividends proposed amount to 5% of the issued shares.
5. Rent and rates amounting to Sh.450,000 is prepaid as at 30 September 2016.
6. Corporation tax for the year ended 30 September 2016 is estimated at Sh.4,500,000.

7. Depreciation on buildings is at the rate of 5% on cost per annum.
8. As at 30 September 2016, the suspense account relates to the correction of two errors: Error 1 — Wages and salaries were understated by Sh.100,000; Error 2 — General expenses were overstated by Sh.50,000.

Required: (a) Income statement for the year ended 30 September 2016. (12 marks) (b) Statement of financial position as at 30 September 2016. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Adjusted sales:** sales per trial balance 149,810 − plant disposal proceeds wrongly credited to sales 3,000 − motor vehicle disposal proceeds wrongly credited to sales 2,500 (net book value of the vehicles, cost 4,000 − accumulated depreciation 1,500; the vehicles were disposed of during the year and no other proceeds figure is given) = **144,310**.
- **Gross profit by mark-up:** mark-up is 25% on cost, so gross profit = 25/125 x 144,310 = **28,862** and cost of sales = **115,448**.
- **Suspense account (150 Cr) cleared:** wages and salaries understated by 100 → wages expense becomes 15,200; general expenses overstated by 50 → general expenses become 6,850. Journal: Dr Suspense 150 / Cr Wages and salaries 100, Cr General expenses 50. The suspense balance is fully explained (100 + 50 = 150).
- **Plant disposal:** accumulated depreciation attributable to the plant sold (pro-rata to cost) = 5,000/25,000 x 8,750 = 1,750; net book value disposed = 5,000 − 1,750 = 3,250; proceeds 3,000 → **loss on disposal 250**. Depreciation for the year: 20% reducing balance on the remaining plant: (20,000 cost − 7,000 accumulated depreciation) = 13,000 x 20% = **2,600**.
- **Buildings depreciation:** 5% x 40,000 = **2,000**. **Debenture interest:** 8% x 10,000 = 800 for the year; 400 paid, 400 accrued. **Rent and rates:** 2,750 − 450 prepaid = **2,300**. **Proposed dividend:** 5% x 50,000 = **2,500**.
- **Closing inventory (estimated):** opening inventory 13,850 + purchases 82,250 − goods taken by the proprietor 50 + undervaluation correction 50 − cost of sales 115,448 = **(19,348)** — a negative figure. See the note below.

(a) Income statement for the year ended 30 September 2016

```
Sales revenue (adjusted, per workings)                 144,310
Less: Cost of sales (at 25% mark-up on cost)           (115,448)
Gross profit                                            28,862
Less expenses:
  Wages and salaries (15,100 + 100 suspense correction) 15,200
  General expenses (6,900 - 50 suspense correction)      6,850
  Rent and rates (2,750 - 450 prepaid)                   2,300
  Discount allowed                                         400
  Debenture interest (400 + 400 accrued)                   800
  Depreciation — buildings                               2,000
  Depreciation — plant and machinery                     2,600
  Loss on disposal of plant and machinery                  250   30,400
Loss before tax                                        (1,538)
Less: Corporation tax (as estimated)                   (4,500)
Loss after tax                                         (6,038)
```

```
Retained earnings b/f                                    9,850
Less: Interim dividend paid                             (1,250)
Less: Proposed final dividend (5% x 50,000)             (2,500)
Retained earnings c/f                                       62
```

(b) Statement of financial position as at 30 September 2016

```
Non-current assets:
  Building (40,000 - (11,250 + 2,000))                  26,750
  Plant and machinery (20,000 - (7,000 + 2,600))        10,400
  Motor vehicles (all disposed of)                           -
                                                        37,150
Current assets:
  Inventory (per workings – see note)                   (19,348)
  Accounts receivable                                    4,360
  Prepaid rent and rates                                   450
  Cash at bank                                           9,720
Equity and liabilities:
  Ordinary share capital                                50,000
  Retained earnings                                         62
  8% debentures                                         10,000
  Current liabilities: Accounts payable 3,530; Bank overdraft 280;
    Corporation tax 4,500; Proposed dividend 2,500;
    Accrued debenture interest 400                      11,210
```

Note on the data: the closing inventory derived from the stated 25% mark-up is negative (cost of sales of 115,448 exceeds the goods available of 96,100), and the trial balance lines as transcribed from the scanned paper do not cast to the printed totals of 244,770 (debits sum to 205,980 and credits to 245,120 on the transcribed lines). At least one major figure in the scanned paper has therefore been mis-transcribed. The solution above applies the prescribed method faithfully to the figures as given — adjusted sales, mark-up gross profit, suspense corrections, disposal and depreciation workings — and candidates should reproduce that method; in a consistent paper the inventory estimate and the statement of financial position agree in full.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Sales adjusted for the two disposal proceeds wrongly credited: 149,810 − 3,000 (plant) − 2,500 (motor vehicles at NBV) = 144,310 **(2)**
- (a) Gross profit derived from the 25% mark-up on cost: 25/125 x 144,310 = 28,862 (cost of sales 115,448) **(2)**
- (a) Closing inventory estimated from opening inventory + purchases − cost of sales, with the proprietor's drawings of goods (50) and the undervaluation (50) addressed **(1)**
- (a) Suspense corrections applied: wages and salaries increased by 100 to 15,200 and general expenses reduced by 50 to 6,850, clearing the 150 suspense balance **(2)**
- (a) Buildings depreciation 5% x 40,000 = 2,000 charged **(1)**
- (a) Plant disposal: loss on disposal 250 (NBV 3,250 − proceeds 3,000) and depreciation on remaining plant 20% x 13,000 = 2,600 **(2)**
- (a) Debenture interest charged in full: 8% x 10,000 = 800 (400 paid + 400 accrued) **(1)**
- (a) Rent and rates adjusted for the prepayment: 2,750 − 450 = 2,300 **(1)**
- (b) Non-current assets: building 26,750, plant and machinery 10,400, motor vehicles nil (all disposed) **(3)**
- (b) Current assets: receivables 4,360, prepaid rent 450, cash at bank 9,720 and inventory per the mark-up working **(2)**

- (b) Equity: share capital 50,000 and retained earnings rolled forward (9,850 + result for the year − interim dividend 1,250 − proposed dividend 2,500) **(2)**
- (b) Liabilities: debentures 10,000, overdraft 280, payables 3,530, corporation tax 4,500, proposed dividend 2,500, accrued debenture interest 400 **(1)**

KASNEB-2015-09-PILOT-Q2 · September 2015 Pilot Paper · 20 marks KASNEB authored

Liquidity ratios; company income statement and statement of financial position (Vixen Ltd)

(a) Explain two liquidity ratios. (4 marks)
(b) The following trial balance was extracted from the books of Vixen Ltd. as at 31 May 2015 (Sh."000"): Ordinary share capital - Sh.10 each 22,500; Share premium 1,200; 10% debentures 1,500; General reserve 1,500; Revenue reserves 2,430; 10% preference shares 12,000; Goodwill 3,750; Inventory 4,185; Purchases 33,270; Sales 56,955; Discounts allowed 510; Discounts received 753; Salaries 4,275; Rates and insurance 2,553; Office expenses 2,208; Directors remuneration 750; Interim dividends paid - Preference 480; Ordinary 2,250; Financial assets at fair value 12,000; Trade receivables 3,600; Trade payables 3,015; Allowance for doubtful debts 420; Bank 1,917; Buildings 25,500; Furniture and fittings 2,250; Motor vehicles 12,000; Provision for depreciation - Furniture and fittings 450; Motor vehicles 4,650; Debenture interest 75; Investment income 4,200. Total 111,573 / 111,573.
Additional information: 1. The cost and net realisable value of inventory as at 31 May 2015 was Sh.4,200,000 and Sh.3,950,000 respectively. 2. Invoices received amounting to Sh.500,000 had erroneously been treated as invoices issued. 3. Depreciation is to be provided as follows: Furniture and fittings 10% reducing balance basis; Motor vehicles 20% straight line basis. 4. Allowance for doubtful debts to be adjusted to Sh.300,000. 5. Irrecoverable debts amounting to Sh.50,000 to be written off. 6. Insurance amounting to Sh.600,000 had been paid to cater for a period of one year ending 31 August 2015. 7. Provisions for accrued debenture interest and preference dividends are to be made. 8. Corporate tax for the year is estimated at Sh.1,750,000. 9. A final dividend of 10% was declared.
Required: (i) Income statement for the year ended 31 May 2015. (10 marks) (ii) Statement of financial position as at 31 May 2015. (6 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Two liquidity ratios

Current ratio = Current assets / Current liabilities. It measures the company's ability to meet its short-term obligations as they fall due from its current assets. A ratio around 2:1 is traditionally regarded as comfortable; a ratio below 1:1 means current liabilities exceed current assets (negative working capital) and signals possible liquidity problems, although the acceptable level varies by industry. **Quick (acid-test) ratio = (Current assets - Inventory) / Current liabilities.** It is a stricter test of liquidity: inventory is excluded because it is the least liquid current asset - it must first be sold (often on credit) before it becomes cash. The ratio therefore measures whether the company could pay its immediate liabilities from cash and receivables alone; a ratio of about 1:1 is regarded as satisfactory.

(b) Workings (Sh."000")

W1 - Invoices treated wrongly (note 2): Purchase invoices of 500 were treated as invoices issued for sales. Correct: sales 56,955 - 500 = **56,455**; purchases 33,270 + 500 = **33,770**; trade receivables 3,600 - 500 = 3,100; trade payables 3,015 + 500 = 3,515. **W2 - Receivables and allowance (notes 4 and 5):** Write off the

irrecoverable debt of 50: gross receivables become 3,100 - 50 = 3,050. The allowance is adjusted to 300, so 420 - 300 = **120 is released** (credited) to the income statement. Receivables are shown net at 3,050 - 300 = **2,750**. **W3 - Debenture interest (note 7):** Interest for the year is 10% x 1,500 = 150. The 75 in the trial balance is the amount paid; a further **75 is accrued**. The preference dividend for the year is 10% x 12,000 = 1,200; the interim of 480 has been paid, so **720 is provided** as payable. **W4 - Prepaid insurance (note 6):** The Sh.600,000 covers a year to 31 August 2015, so three months (June-August 2015) are prepaid: 600 x 3/12 = **150**. Rates and insurance expense = 2,553 - 150 = 2,403. **W5 - Depreciation (note 3):** Furniture and fittings 10% x (2,250 - 450) = 180 (reducing balance); motor vehicles 20% x 12,000 = 2,400 (straight line on cost). **W6 - Inventory (note 1):** Closing inventory is stated at net realisable value 3,950, the lower of cost (4,200) and net realisable value, per IAS 2.

(i) Income statement for the year ended 31 May 2015 (Sh."000")

Revenue (W1) 56,455 Cost of sales: Opening inventory 4,185 + purchases (W1) 33,770 - closing inventory (3,950) = (34,005) Gross profit 22,450 Add: Discounts received 753; Investment income 4,200. Total income 27,403 Less expenses: Discounts allowed 510; Salaries 4,275; Rates and insurance (W4) 2,403; Office expenses 2,208; Directors' remuneration 750; Debenture interest (W3) 150; Irrecoverable debts written off 50; decrease in allowance for doubtful debts (120); Depreciation - furniture and fittings 180, motor vehicles 2,400. Total expenses (12,806) **Profit before tax 14,597**; Corporate tax (note 8) (1,750); **Profit after tax 12,847**. **Appropriation:** Preference dividend for the year 1,200 (interim paid 480; provided 720); ordinary dividends - interim paid 2,250 and final declared 10% x 22,500 = 2,250 (note 9). Total dividends 5,700. Revenue reserves: 2,430 + 12,847 - 5,700 = **9,577**.

(ii) Statement of financial position as at 31 May 2015 (Sh."000")

Non-current assets: Goodwill 3,750; Buildings 25,500 (no depreciation rate is provided in the question); Furniture and fittings 2,250 - (450 + 180) = 1,620; Motor vehicles 12,000 - (4,650 + 2,400) = 4,950; Financial assets at fair value 12,000. Total 47,820. **Current assets:** Inventory 3,950; Trade receivables (W2) 2,750; Prepaid insurance 150; Bank 1,917. Total 8,767. **Total assets 56,587. Equity:** Ordinary share capital 22,500; 10% preference share capital 12,000; Share premium 1,200; General reserve 1,500; Revenue reserves 9,577. Total equity 46,777. **Non-current liabilities:** 10% debentures 1,500. **Current liabilities:** Trade payables (W1) 3,515; Accrued debenture interest 75; Preference dividend payable 720; Ordinary dividend payable 2,250; Corporate tax payable 1,750. Total 8,310. **Total equity and liabilities 56,587** — the statement balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Current ratio explained (formula and interpretation) (2) **(2)**
- (a) Quick/acid-test ratio explained, including why inventory is excluded (2) **(2)**
- (b)(i) Invoices corrected: sales reduced to 56,455 and purchases increased to 33,770 (2) **(2)**
- (b)(i) Cost of sales computed with closing inventory at NRV 3,950, giving gross profit 22,450 (1) **(1)**
- (b)(i) Discounts received 753 and investment income 4,200 added (1) **(1)**
- (b)(i) Rates and insurance adjusted for the prepaid insurance of 150 (expense 2,403) (1) **(1)**
- (b)(i) Debenture interest provided in full at 150 (75 paid + 75 accrued) (1) **(1)**
- (b)(i) Irrecoverable debt of 50 written off and allowance adjusted to 300, releasing 120 (1) **(1)**
- (b)(i) Depreciation: furniture and fittings 180 (10% reducing balance) and motor vehicles 2,400 (20% straight line) (1) **(1)**

- (b)(i) Other expenses correctly charged (discounts allowed 510, salaries 4,275, office expenses 2,208, directors' remuneration 750), profit before tax 14,597 and profit after tax 12,847 (2) **(2)**
- (b)(ii) Non-current assets 47,820: goodwill 3,750, buildings 25,500, furniture and fittings 1,620, motor vehicles 4,950, financial assets at fair value 12,000 (2) **(2)**
- (b)(ii) Current assets 8,767: inventory 3,950, receivables net 2,750, prepayment 150, bank 1,917 (1) **(1)**
- (b)(ii) Equity 46,777 including revenue reserves of 9,577 after the preference dividend 1,200 and ordinary dividends 4,500 (1) **(1)**
- (b)(ii) Debentures 1,500 and current liabilities 8,310 (payables corrected to 3,515, accrued interest 75, dividends payable 720 and 2,250, tax 1,750) (1) **(1)**
- (b)(ii) Both sides agreeing at Sh.56,587,000 (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M07-Q016 – CA11-M07-Q044. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Share Capital and Share Issues
- Reserves and Income Tax
- The Company Income Statement
- The Company Statement of Financial Position

It brought together **12 KASNEB past-paper worked examples** and **40 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 7 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Issue of shares at a premium payable on application; over-subscription with a refund of excess application money; under-subscription

(a) Rafiki Plastics Ltd offered for subscription 300,000 ordinary shares of Sh.10 each at Sh.14 per share, payable in full on application. Applications were received for 375,000 shares together with the full application money. The directors allotted the 300,000 shares and refunded the excess application money.

Required: Journal entries to record the receipt of the application money, the allotment and the refund. (10 marks)

(b) In a separate issue, Rafiki Plastics Ltd offered 100,000 ordinary shares of Sh.5 each at par, payable on application. Applications were received for only 82,000 shares.

Required: Show the journal entries for this issue and explain the treatment of the 18,000 shares for which no application was received. (6 marks)

(c) Prepare the equity extract of the statement of financial position after issue (a) only, and state why shares may not be issued at a discount in Kenya. (4 marks)

Model answer (SokoCPA)

(a) Issue at a premium, over-subscribed

Issue price Sh.14 = nominal Sh.10 + **premium Sh.4** per share. Application money received = 375,000 × Sh.14 = Sh. 5,250,000.

```
Dr. Bank account                                          5,250,000
    Cr. Share application account                                       5,250,000
(Being application money received for 375,000 shares at Sh.14)

Dr. Share application account                             5,250,000
    Cr. Ordinary share capital account (300,000 × Sh.10)                3,000,000
    Cr. Share premium account (300,000 × Sh.4)                          1,200,000
    Cr. Bank account — refund of excess (75,000 × Sh.14)                1,050,000
(Being allotment of 300,000 shares at a premium and refund of
 the excess application money on 75,000 shares)
```

Check: credits 3,000,000 + 1,200,000 + 1,050,000 = 5,250,000 = the amount debited. ✓ Only the **allotted** shares create share capital and share premium; the premium is the excess over nominal (Sh.4), never the full issue price.

(b) Under-subscribed issue at par

Entries are made **only for the shares actually applied for** — 82,000 × Sh.5 = Sh.410,000:

```
Dr. Bank account                                            410,000
    Cr. Share application account                                       410,000
(Being application money received for 82,000 shares at par)

Dr. Share application account                               410,000
```

```
    Cr. Ordinary share capital account                                  410,000
(Being allotment of 82,000 shares at par)
```

The 18,000 shares for which no application was received are simply **not issued**: no money has been received and no transaction has taken place, so **no journal entry** is made. They remain part of the company's authorised but unissued capital, available for a future issue.

(c) Equity extract after issue (a), and the discount rule

```
Equity
  300,000 ordinary shares of Sh.10 each, fully paid          3,000,000
  Share premium                                              1,200,000
                                                             4,200,000
```

Shares may not be issued at a discount in Kenya — issuing shares below their nominal value is prohibited under Kenyan company law. A discount would misstate the company's capital (shareholders would appear to have contributed capital they have not paid), undermining the capital base that protects creditors.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Receipt of application money: Dr Bank 5,250,000 / Cr Share application 5,250,000 (375,000 × Sh.14) **(2)**
- Allotment entry debits the share application account with the full 5,250,000 **(1)**
- Ordinary share capital credited at nominal value only: 300,000 × Sh.10 = 3,000,000 **(2)**
- Share premium credited with the excess over nominal only: 300,000 × Sh.4 = 1,200,000 **(2)**
- Excess application money refunded: 75,000 × Sh.14 = 1,050,000 credited to bank; entry balances **(2)**
- Journal narrations/explanations given for the entries **(1)**
- (b) Entries made only for the 82,000 shares applied for: Dr Bank 410,000 / Cr Application; Dr Application 410,000 / Cr Ordinary share capital 410,000 **(3)**
- (b) No entry for the 18,000 unapplied shares — no transaction has occurred **(2)**
- (b) The unapplied shares remain authorised but unissued capital **(1)**
- (c) Equity extract: share capital 3,000,000 (300,000 shares of Sh.10, fully paid) with share premium 1,200,000 shown separately below it **(2)**
- (c) Issue of shares at a discount is prohibited/illegal in Kenya (it would misstate the capital protecting creditors) **(2)**

Question 2 (20 marks)

A rights issue followed by a bonus issue financed from the share premium account and the general reserve

Mavuno Tea Ltd has in issue 400,000 ordinary shares of Sh.5 each. Its equity balances are: share premium Sh. 350,000; general reserve Sh.500,000; retained profits Sh.280,000.

(i) The company makes a rights issue of 1 new share for every 4 shares held at Sh.6 per share, payable in full on application. All shareholders take up their rights.

(ii) Immediately afterwards, the company makes a bonus issue of 1 share for every 5 shares then held, financed from the share premium account as far as possible, with any balance taken from the general reserve.

Required:
(a) Journal entries for the rights issue. (6 marks)
(b) Journal entries for the bonus issue. (6 marks)

(c) The equity section of the statement of financial position after both issues. (4 marks)
(d) Explain why the bonus issue does not change the total equity of the company, and give TWO reasons why companies make bonus issues. (4 marks)

Model answer (SokoCPA)

(a) Rights issue

New shares = 400,000 × 1/4 = **100,000 shares**. Cash received = 100,000 × Sh.6 = Sh.600,000; nominal value = 100,000 × Sh.5 = Sh.500,000; premium = 100,000 × Sh.1 = Sh.100,000.

```
Dr. Bank account                                                  600,000
    Cr. Ordinary share capital account (100,000 × Sh.5)                    500,000
    Cr. Share premium account (100,000 × Sh.1)                             100,000
(Being rights issue of 1 for 4 at Sh.6 per share, fully taken up)
```

After the rights issue: shares in issue 500,000; share capital Sh.2,500,000; share premium 350,000 + 100,000 = Sh. 450,000.

(b) Bonus issue

Bonus shares = 500,000 × 1/5 = **100,000 shares**; nominal value to be capitalised = 100,000 × Sh.5 = **Sh.500,000**. The share premium account holds only Sh.450,000, so the remaining Sh.50,000 comes from the general reserve:

```
Dr. Share premium account                                         450,000
Dr. General reserve account                                        50,000
    Cr. Ordinary share capital account                                     500,000
(Being bonus issue of 1 for 5 capitalised from share premium
 and general reserve)
```

(c) Equity section after both issues

```
Equity
  600,000 ordinary shares of Sh.5 each, fully paid          3,000,000
  Share premium                                                     –
  General reserve (500,000 − 50,000)                          450,000
  Retained profits                                            280,000
                                                            3,730,000
```

Proof: equity before the issues was 2,000,000 (share capital) + 350,000 + 500,000 + 280,000 = 3,130,000. The rights issue added Sh.600,000 of new cash, giving 3,730,000; the bonus issue changed nothing in total. ✓

(d) Why total equity is unchanged, and why companies make bonus issues

A bonus issue moves no cash and creates no new assets or liabilities: it merely **re-labels** existing equity, converting reserves (share premium, general reserve) into share capital. One side of equity falls by exactly the amount the other side rises, so total equity is unchanged.

Reasons companies make bonus issues include: (i) to **increase the number of shares in issue and reduce the price per share**, making the shares more marketable/affordable to small investors; (ii) to **signal confidence** in future profits and put undistributable reserves to work as permanent capital (capitalising reserves also aligns issued capital more closely with the capital actually employed in the business).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Number of rights shares correctly computed from the ratio: 400,000 × 1/4 = 100,000 **(1)**
- Bank debited with the cash raised: 100,000 × Sh.6 = 600,000 **(1)**
- Ordinary share capital credited at nominal value: 100,000 × Sh.5 = 500,000 **(2)**
- Share premium credited with the excess: 100,000 × Sh.1 = 100,000 **(2)**
- Bonus shares computed on the ENLARGED capital: 500,000 × 1/5 = 100,000 shares, nominal Sh.500,000 **(2)**
- Share premium used as far as possible: the full 450,000 balance (350,000 + 100,000 from the rights issue) is capitalised **(2)**
- Shortfall of 50,000 taken from the general reserve; ordinary share capital credited 500,000; entry balances **(2)**
- Equity extract: 600,000 ordinary shares of Sh.5, fully paid = 3,000,000 **(1)**
- Equity extract: share premium nil; general reserve 450,000; retained profits 280,000; total equity 3,730,000 **(3)**
- (d) Bonus issue only re-labels reserves as share capital — no cash, assets or liabilities change, so total equity is unchanged **(2)**
- (d) Two valid reasons (e.g. more shares at a lower price per share improves marketability; signals confidence / capitalises reserves into permanent capital) **(2)**

Question 3 (20 marks)

Capital and revenue reserves and the uses of share premium; the corporation tax account with an over-provision of a prior year; deferred tax on temporary and permanent differences (IAS 12)

Required:

(a) Distinguish between capital reserves and revenue reserves, giving TWO examples of each, and state TWO permitted uses of the share premium account. (6 marks)

(b) The corporation tax account of Duma Steel Ltd opened the year with a CREDIT balance of Sh.45,000, representing an over-provision for the previous year. The tax charge for the current year is estimated at Sh.620,000. During the year the company paid Sh.400,000 on account of corporation tax. Prepare the corporation tax account for the year, and state: (i) the income tax expense to be charged in the income statement; and (ii) the current tax payable to be shown in the statement of financial position. (8 marks)

(c) For each of the following, state whether it creates a deferred tax liability, a deferred tax asset, or no deferred tax, giving a reason: (i) the Kenya Revenue Authority grants capital allowances faster than the company charges depreciation; (ii) a non-current asset is revalued upwards; (iii) entertaining expenses are disallowed for tax purposes. (6 marks)

Model answer (SokoCPA)

(a) Capital reserves versus revenue reserves

- **Capital reserves** arise from capital transactions and unrealised gains; they are **not available for distribution** as cash dividends and exist to protect creditors. Examples: **share premium**; **revaluation reserve**; **capital redemption reserve**.
- **Revenue reserves** are accumulated trading profits that **can be distributed** to shareholders. Examples: **general reserve**; **retained profits** (profit and loss account balance).

Permitted uses of share premium (any two): to issue **bonus shares** to existing shareholders; to **write off preliminary/issue expenses** of the company (such as underwriters' fees and other share-issue costs). It may **never** be used to pay dividends or to absorb operating losses.

(b) Corporation tax account — Duma Steel Ltd

The credit balance b/d of Sh.45,000 is an **over-provision**: last year the company provided more than was finally assessed, so Sh.45,000 is written back (Dr. Tax account / Cr. Income statement), reducing this year's charge.

```
                    Corporation tax account
Dr                                                  Sh.
Cr                                      Sh.
Income statement (over-provision
  of prior year written back)              45,000   Balance b/d (over-provision)
45,000
Bank (paid on account)                     400,000   Income statement (current
Balance c/d                                220,000     year estimate)
620,000
                                           665,000
665,000
                                                     Balance b/d
220,000
```

(i) Income tax expense in the income statement = current year estimate − over-provision written back = 620,000 − 45,000 = **Sh.575,000**. **(ii) Current tax payable in the statement of financial position** = the balance c/d on the tax account = **Sh.220,000**, shown under current liabilities.

(c) Deferred tax

(i) **Deferred tax liability.** Capital allowances ahead of depreciation means taxable profit is lower than accounting profit now and higher later: the asset's carrying amount exceeds its tax base — a **taxable temporary difference**, so tax will be payable in future periods.

(ii) **Deferred tax liability**, recognised through **other comprehensive income** alongside the revaluation gain. The revalued carrying amount exceeds the tax base (which is unchanged by the revaluation), creating a taxable temporary difference; the deferred tax is charged to OCI, not to profit or loss.

(iii) **No deferred tax.** Disallowed entertaining is a **permanent difference** — it affects only the tax computation, never reverses in a later period, and permanent differences have no deferred tax consequences.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Capital reserves defined as non-distributable (arising from capital transactions/unrealised gains) with two correct examples (share premium, revaluation reserve, capital redemption reserve) **(2)**
- Revenue reserves defined as distributable accumulated profits with two correct examples (general reserve, retained profits) **(2)**
- Two permitted uses of share premium (bonus issues; writing off preliminary/share-issue expenses) — and never dividends or operating losses **(2)**
- (b) Credit balance b/d identified as an over-provision and written back: Dr Tax account / Cr Income statement 45,000 **(2)**
- (b) Current year estimate charged: Dr Income statement / Cr Tax account 620,000 **(1)**
- (b) Tax paid on account: Dr Tax account / Cr Bank 400,000 **(1)**
- (b) Corporation tax account correctly balanced (totals 665,000) **(2)**
- (b)(i) Income tax expense = 620,000 − 45,000 = 575,000 (over-provision DEDUCTED) **(1)**
- (b)(ii) Current tax payable in the SFP = 220,000 under current liabilities **(1)**

- (c)(i) Deferred tax liability: taxable temporary difference — carrying amount exceeds tax base, tax saved now is payable later **(2)**
- (c)(ii) Deferred tax liability recognised through other comprehensive income with the revaluation gain **(2)**
- (c)(iii) No deferred tax: a permanent difference never reverses **(2)**

Question 4 (20 marks)

Company income statement from a trial balance: four depreciation workings, accrued debenture interest, income tax with an under-provision, preference and ordinary dividends, and a transfer to general reserve

The following trial balance was extracted from the books of Taji Ceramics Ltd as at 31 December 2025 (all figures in Sh.000):

Debit balances	Sh.000	Credit balances	Sh.000
Land and buildings (cost)	5,000	Sales	9,600
Plant and machinery (cost)	2,400	Ordinary share capital (Sh.10 shares)	5,000
Office equipment (cost)	500	8% preference share capital	1,500
Motor vehicles (cost)	2,600	Share premium	300
Fixtures and fittings (cost)	800	General reserve	600
Purchases	4,200	Retained earnings b/d	380
Opening inventory	720	6% debentures	1,500
Salaries	1,450	Acc. depreciation: plant & machinery	720
Office expenses	460	Acc. depreciation: office equipment	125
Directors' fees	260	Acc. depreciation: motor vehicles	780
Audit fees	75	Trade payables	640
Debenture interest paid	45	Provision for doubtful debts	135
Interim ordinary dividend paid	180		
Trade receivables	1,150		
Short-term investments	900		
Bank	515		
Corporation tax b/d (Dr)	25		
Total	**21,280**	**Total**	**21,280**

Additional information: 1. Closing inventory: Sh.830,000. 2. Depreciation for the year: buildings 2% on cost; plant and machinery 10% on cost; office equipment 20% on cost; motor vehicles 25% on the reducing balance; fixtures and fittings 10% on cost. 3. Debenture interest is accrued at the year end to the extent unpaid. 4. The corporation tax debit balance b/d of Sh.25,000 is an under-provision for the previous year. The current year's tax is estimated at Sh.260,000. 5. The preference dividend for the year is to be provided in full. The directors propose a final ordinary dividend of Sh. 250,000. 6. Sh.120,000 is to be transferred to the general reserve.

Required: The income statement (statement of comprehensive income) of Taji Ceramics Ltd for the year ended 31 December 2025. (20 marks)

Model answer (SokoCPA)

Workings (Sh.000)

- **W1 Depreciation:** buildings 2% × 5,000 = 100; plant and machinery 10% × 2,400 = 240; office equipment 20% × 500 = 100; motor vehicles 25% × (2,600 − 780) = 25% × 1,820 = 455; fixtures 10% × 800 = 80. **Total 975.**
- **W2 Debenture interest:** 6% × 1,500 = **90** for the year; paid 45, so **45 is accrued** (a current liability in the SFP).
- **W3 Income tax:** current year estimate 260 + **under-provision of prior year 25 (added)** = **285**.
- **W4 Dividends:** preference 8% × 1,500 = **120** (provided in full, none paid); ordinary = interim paid 180 + final proposed 250 = **430**.

Income statement

Taji Ceramics Ltd
Statement of comprehensive income for the year ended 31 December 2025

	Sh.000	Sh.000
Sales		9,600
Less: Cost of sales		
Opening inventory	720	
Purchases	4,200	
	4,920	
Less: Closing inventory	(830)	(4,090)
Gross profit		5,510
Less: Expenses		
Salaries	1,450	
Office expenses	460	
Directors' fees	260	
Audit fees	75	
Debenture interest (W2: 45 paid + 45 accrued)	90	
Depreciation (W1)	975	(3,310)
Profit before tax		2,200
Less: Income tax expense (W3: 260 + 25 under-provision)		(285)
Profit after tax		1,915
Less: Transfer to general reserve		(120)
Less: Dividends		
Preference dividend (W4)	120	
Ordinary dividend: interim paid 180		
final proposed 250	430	(550)
Retained profit for the year		1,245
Retained profit b/d		380
Retained profit c/d		1,625

Checks: gross profit 9,600 − 4,090 = 5,510 ✓; 5,510 − 3,310 = 2,200 ✓; 2,200 − 285 = 1,915 ✓; 1,915 − 120 − 120 − 430 = 1,245; 1,245 + 380 = 1,625 ✓. Directors' fees and audit fees are **expenses** (directors are employees of the company), while dividends and the reserve transfer are **appropriations** below profit after tax.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Cost of sales 4,090 (720 + 4,200 − 830) and gross profit 5,510 (all figures Sh.000) **(2)**
- Depreciation workings: buildings 100; plant 240; office equipment 100; motor vehicles 455 (25% reducing balance on 1,820); fixtures 80 — total charge 975 **(4)**

- Debenture interest charged in full at 90 (6% × 1,500), being 45 paid plus 45 accrued **(2)**
- Directors' fees 260 and audit fees 75 charged as expenses above profit before tax (not as appropriations) **(2)**
- Remaining expenses complete: salaries 1,450 and office expenses 460 **(1)**
- Profit before tax Sh.2,200,000 **(1)**
- Income tax expense 285: current estimate 260 plus the prior-year under-provision of 25 ADDED (debit b/d identified as an under-provision) **(3)**
- Profit after tax 1,915 **(1)**
- Transfer to general reserve of 120 shown as an appropriation below profit after tax **(1)**
- Preference dividend 120 computed on nominal preference capital (8% × 1,500) and provided in full **(1)**
- Ordinary dividends 430 = interim paid 180 + final proposed 250 (interim not double-counted) **(1)**
- Retained profit for the year 1,245 and retained profit carried down 1,625 **(1)**

Question 5 (20 marks)

Company statement of financial position articulated to the income statement; dividends payable excluding interim dividends paid; the complete set of financial statements under IAS 1

Using the Taji Ceramics Ltd trial balance and additional information in Question 4, and the retained profit carried down of Sh.1,625,000 from the income statement:

Required:

(a) Prepare the statement of financial position of Taji Ceramics Ltd as at 31 December 2025 (figures may be presented in Sh.000). (14 marks)

(b) List the FIVE components of a complete set of financial statements required by IAS 1 and state the purpose of the statement of changes in equity. (6 marks)

Model answer (SokoCPA)

(a) Statement of financial position (Sh.000)

Taji Ceramics Ltd Statement of financial position as at 31 December 2025				
	Cost	Acc. dep.	NBV	
	Sh.000	Sh.000	Sh.000	
Non-current assets				
Land and buildings	5,000	100	4,900	
Plant and machinery	2,400	960	1,440	
Office equipment	500	225	275	
Motor vehicles	2,600	1,235	1,365	
Fixtures and fittings	800	80	720	
			8,700	
Current assets				
Inventory			830	
Trade receivables	1,150			
Less: Provision for doubtful debts	(135)		1,015	
Short-term investments			900	
Bank			515	3,260
Total assets				11,960
EQUITY				
Ordinary share capital (500,000 shares of Sh.10 each, fully paid)			5,000	
8% preference share capital			1,500	
Share premium			300	
General reserve (600 + 120)			720	

```
  Retained earnings                                  1,625       9,145
Non-current liabilities
  6% debentures                                      1,500
Current liabilities
  Trade payables                          640
  Debenture interest accrued               45
  Current tax payable                     260
  Dividends payable (120 + 250)           370                   1,315
Total equity and liabilities                                   11,960
```

Accumulated depreciation check: plant 720 + 240 = 960; office equipment 125 + 100 = 225; motor vehicles 780 + 455 = 1,235; buildings 0 + 100 = 100; fixtures 0 + 80 = 80. Balance check: 9,145 + 1,500 + 1,315 = 11,960 = total assets ✓. **Dividends payable** contains only amounts still owed — the preference dividend (120) and the proposed final ordinary dividend (250). The interim ordinary dividend of 180 was **paid** during the year and so appears nowhere in this statement. **Current tax payable** is the current year's unpaid estimate of 260; the Sh.25,000 under-provision was settled through the income statement charge and does not add to the liability.

(b) The complete set of financial statements (IAS 1)

1. **Statement of financial position** — assets, liabilities and equity at the reporting date.
2. **Statement of comprehensive income** — profit or loss and other comprehensive income for the period.
3. **Statement of changes in equity** — movements in each component of equity during the period.
4. **Statement of cash flows** — cash generated and used during the period.
5. **Notes to the financial statements** — accounting policies and explanatory detail.

The **statement of changes in equity** reconciles the opening and closing balance of **each** component of equity — share capital, share premium, each reserve and retained earnings — showing the effect of profit for the year, dividends, new share issues, reserve transfers and revaluation surpluses, so that its closing total agrees with the equity section of the statement of financial position.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Non-current assets schedule: land and buildings NBV 4,900 (accumulated depreciation 100) **(2)**
- Plant and machinery NBV 1,440 (accumulated depreciation 720 + 240 = 960); office equipment NBV 275 (125 + 100 = 225) **(2)**
- Motor vehicles NBV 1,365 (780 + 455 = 1,235); fixtures NBV 720 (depreciation 80); total non-current assets 8,700 **(2)**
- Current assets: inventory 830; receivables net of the provision (1,150 − 135 = 1,015); short-term investments 900; bank 515; total 3,260 **(2)**
- Equity: ordinary share capital 5,000 (500,000 shares of Sh.10, fully paid); preference share capital 1,500; share premium 300 shown within capital reserves **(2)**
- General reserve 720 (600 + 120 transfer) and retained earnings 1,625 carried from the income statement; total equity 9,145 **(2)**
- 6% debentures 1,500 shown as a non-current liability **(1)**
- Current liabilities: trade payables 640; debenture interest accrued 45; current tax payable 260; dividends payable 370 (preference 120 + final ordinary 250 only — the interim paid excluded); statement balances at 11,960 **(2)**
- (b) All five IAS 1 components listed: statement of financial position; statement of comprehensive income; statement of changes in equity; statement of cash flows; notes **(3)**

- (b) Purpose of the statement of changes in equity: reconciles opening to closing balances of each equity component (profit, dividends, issues, transfers, revaluations) **(2)**

MODULE 8 OF 12

Financial Statements of a Manufacturing Entity

Manufacturing Costs and Their Classification · The Manufacturing Account · Manufacturing Income Statement and Statement of Financial Position

MODULE 8 · FINANCIAL STATEMENTS OF A MANUFACTURING ENTITY — LESSON 1

Manufacturing Costs and Their Classification

Learning Objectives

By the end of this lesson you should be able to:

1. Explain why a manufacturer needs a manufacturing account in addition to trading and profit and loss accounts.
2. Define and give Kenyan examples of direct materials, direct labour and direct expenses.
3. Define indirect manufacturing (factory) overheads and distinguish them from administration, selling/distribution and finance costs.
4. Compute prime cost and production cost.
5. Apportion shared expenses (e.g. rent, electricity) between factory and office on a given basis.
6. Treat loose tools consumed as a factory overhead.

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1. Why Manufacturers Keep Extra Accounts

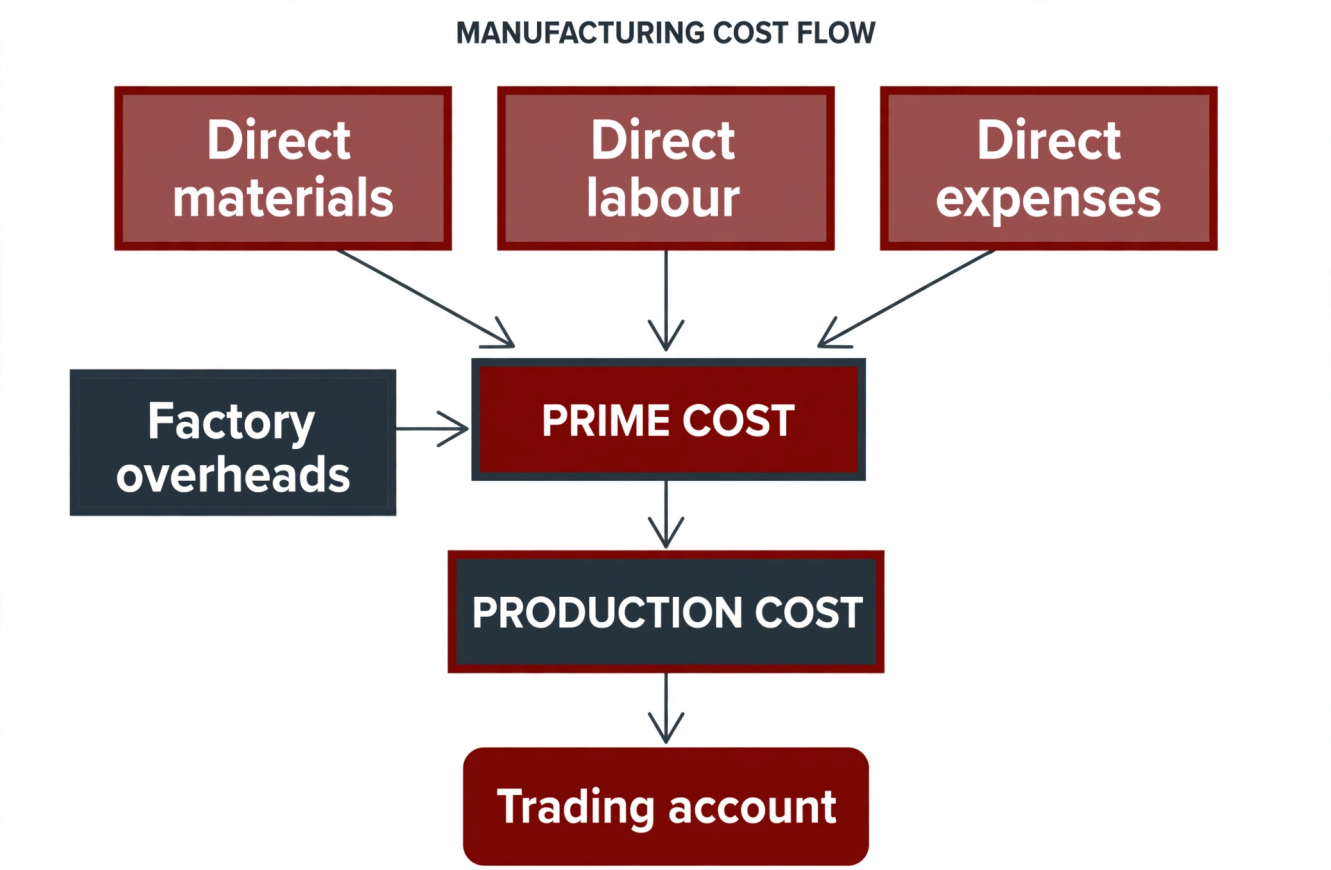
An ordinary trading account cannot show the **cost of manufacturing** because:

1. It deals only with stocks of **finished goods** — a manufacturer also holds **raw materials** and **work in progress** (partly finished goods).
2. Factory expenses such as depreciation and repairs of **plant and machinery** are production costs, but a trading account would leave them in profit and loss.

So a manufacturer prepares three linked statements:

1. **Manufacturing account** — ascertains the **cost of goods manufactured** in the period (for internal use).
2. **Income statement (trading section)** — takes the cost of manufactured goods *in place of purchases* and computes gross profit.
3. **Statement of financial position** — shows all three inventories (raw materials, work in progress, finished goods) as current assets.

The cost of manufactured goods is **transferred to the debit of the trading account**, exactly where "purchases" would sit for a retailer.



2. Classification of Manufacturing Costs

Direct costs → PRIME COST

(i) Direct material costs — materials that become part of the finished product and can be traced to it. Example: a Nairobi furniture maker — timber, nails, glue, varnish.

(ii) Direct labour costs — wages of workers directly shaping the product: the sawyers and joiners, the machine operators on the production line.

(iii) Direct expenses — other costs traceable to specific units: hire of special equipment for a job, **royalties** paid per unit produced.

> **Prime cost = direct materials + direct labour + direct expenses.** This is the first subtotal of the manufacturing account and a favourite one-mark definition.

Indirect manufacturing costs (factory overheads)

All other factory costs that cannot be traced to individual units:

- Indirect labour — cleaners' wages, factory supervisors' salaries
- Factory rent and rates, factory power, heating and lighting
- Depreciation and repairs of **plant and machinery**
- Indirect materials — lubricants, cleaning materials
- **Loose tools consumed** (see below)

> **Production cost = prime cost + indirect manufacturing costs**, adjusted for work in progress.

Non-manufacturing costs (charged to profit and loss, NEVER to the manufacturing account)

- **Administrative expenses** — office rent, office electricity, secretarial salaries, depreciation of *office* machinery.
- **Selling and distribution expenses** — advertising, carriage outwards, salesmen's salaries, depreciation of delivery vans.
- **Finance costs** — bank charges, discount allowed, debenture interest.

> **Exam trap (the classic):** Depreciation of *plant and machinery* goes to the **manufacturing account**; depreciation of *office equipment* and *delivery vans* goes to **profit and loss**. The asset's location decides, not the word "depreciation". Similarly factory rent vs office rent, factory power vs office electricity.

Loose tools

Small tools (spanners, jigs, hand tools) are factory overhead. The **cost of loose tools consumed** is:

```
Opening stock of loose tools          xxx
Add: Purchases of loose tools         xxx
                                      xxx
Less: Closing stock of loose tools   (xxx)
Cost of loose tools consumed          xxx
```

---

3. Apportioning Shared Expenses

Where one expense serves both factory and office (rent, electricity, insurance), the question gives an apportionment basis — apply it mechanically.

Worked example — apportionment

Nakuru Bakers Ltd pays annual rent of Sh.600,000 and electricity of Sh.240,000. Rent is apportioned factory:office 3:1; electricity is metered Sh.180,000 factory, Sh.60,000 office.

Solution:

- Rent: factory 3/4 × 600,000 = **450,000** (manufacturing account); office 1/4 × 600,000 = **150,000** (profit and loss).
- Electricity: factory **180,000** (manufacturing); office **60,000** (profit and loss).

> **Exam trap:** Apply the ratio to the *given total* — students sometimes apportion the factory figure again. And carriage **inwards** on raw materials is a manufacturing cost (it gets materials to the factory); carriage **outwards** is a selling expense.

---

4. Cost Build-Up Summary

```
Direct materials used                                    xxx
Direct labour                                            xxx
Direct expenses                                          xxx
PRIME COST                                               xxx
Add: Indirect manufacturing costs (factory overheads)    xxx
                                                        ----
GROSS COST OF PRODUCTION                                 xxx
Add: Opening work in progress                            xxx
Less: Closing work in progress                          (xxx)
```

```
                                                          ----
COST OF PRODUCTION (goods completed)                       xxx
```

Memorise this ladder — it is the skeleton of every manufacturing account in Lesson 2.

5. Classification Drill

Test yourself before moving on — classify each item as **(M)** manufacturing account or **(P)** profit and loss:

1. Wages of machine operators
2. Depreciation of delivery vans
3. Factory supervisor's salary
4. Advertising campaign costs
5. Carriage inwards on raw materials
6. Office rent
7. Loose tools consumed
8. Discount allowed to customers
9. Repairs to factory plant
10. Audit fees

Answers: 1-M (direct labour); 2-P (selling/distribution); 3-M (indirect labour — factory overhead); 4-P (selling); 5-M (part of material cost); 6-P (administration); 7-M (factory overhead); 8-P (finance cost); 9-M (factory overhead); 10-P (administration).

If you scored below 8, re-read section 2 — classification is the foundation everything else rests on, and markers award it as independent method marks even when later arithmetic slips.

6. Carriage, Returns and Discounts on Materials

Three adjustments orbit the "purchases of raw materials" line — keep them straight:

- **Carriage inwards** on materials is *added*: it is part of getting materials to the factory floor, hence part of material cost. (Carriage *outwards* on finished goods is a selling expense — the opposite treatment.)
- **Returns outwards** (purchases returns) are *deducted*: returned materials are no longer available for production. In the T-account they sit on the credit side with closing stock.
- **Cash discounts** on material purchases (discount *received*) do **not** reduce material cost — they are credited to profit and loss as other income (a finance gain). Only *trade* discounts, which never enter the books at all, reduce the purchase figure.

Mini-example: Opening raw materials 50,000; purchases 400,000; carriage inwards 20,000; returns outwards 15,000; closing raw materials 60,000; discount received on materials 8,000.

Cost of materials used = 50,000 + 400,000 + 20,000 − 15,000 − 60,000 = **395,000**. The 8,000 discount received goes to profit and loss as other income — it never enters this computation.

> **Exam trap:** Netting discount received against purchases understates material cost and overstates gross profit. The discount belongs in profit and loss, after gross profit. Similarly, purchase returns of materials never touch the trading account — they are a manufacturing-account adjustment.

7. Borderline Cases: Direct or Indirect?

Some roles sit on the boundary — apply the traceability test: *can the cost be traced to specific units produced?*

- **Factory foreman's salary** — indirect (supervises many jobs; not traceable to units) → factory overhead.
- **Quality inspector on the production line** — indirect labour → factory overhead, unless paid per unit inspected (then direct).
- **Maintenance engineer repairing plant** — indirect → factory overhead (repairs of plant and machinery).
- **Designer paid per garment pattern** — direct expense (traceable per unit).
- **Night watchman for the factory** — indirect → factory overhead.

The examiner's favourite borderline is the **factory manager's salary**: it is *indirect* (factory overhead), never direct labour, because it cannot be traced to units. Direct labour means hands on the product.

Memory mantra for the whole lesson: *Direct goes in, indirect joins it, office stays out.* Direct costs build prime cost; indirect factory costs join to build production cost; office, selling and finance costs stay out of the manufacturing account entirely. Say it while you write the account and classification errors disappear.

Key Terms

- **Manufacturing account** — account ascertaining the cost of goods manufactured; debited with all factory costs.
- **Direct costs** — traceable to the product (materials, labour, expenses). **Prime cost** — their sum.
- **Factory overheads** — indirect manufacturing costs (rent, power, depreciation of plant, indirect labour).
- **Production cost** — prime cost + factory overheads, adjusted for work in progress.
- **Work in progress (WIP)** — partly completed goods; opening WIP is added, closing WIP deducted.
- **Apportionment** — splitting a shared expense between factory and office/profit and loss.

Module Summary

- Manufacturers add a manufacturing account because the trading account cannot show production cost or handle three inventories.
- Direct materials + direct labour + direct expenses = prime cost; plus factory overheads = production cost (adjusted for WIP).
- Factory costs go to the manufacturing account; administration, selling/distribution and finance costs go to profit and loss — the asset's location decides depreciation's home.
- Shared expenses are apportioned on the given basis; loose tools consumed are a factory overhead.

Exam Day Tips

1. Write "Prime cost" and "Production cost" as labelled subtotals — markers award method marks for the structure.
2. When you see "rent", "electricity", "depreciation" — immediately ask *factory or office?* before writing anything.
3. Carriage inwards (materials) = manufacturing; carriage outwards = selling. Returns outwards on materials reduce material cost.
4. Loose tools: consumed = opening + purchases − closing, charged as factory overhead.

Slide deck at a glance

Why manufacturers keep extra accounts

- Trading account can't show cost of manufacturing
- It handles only finished goods — maker also holds raw materials and WIP
- Factory expenses (e.g. plant depreciation) wrongly land in P&L otherwise
- Solution: manufacturing account → trading account → SFP
- Cost of manufactured goods transfers to trading account like purchases

Direct costs → prime cost

- Direct materials: timber, nails, glue, varnish — traced to the product
- Direct labour: sawyers, joiners, machine operators — hands on product
- Direct expenses: royalties per unit, special equipment hire for a job
- Prime cost = direct materials + direct labour + direct expenses
- Prime cost = first subtotal of the manufacturing account

Factory overheads

- Indirect manufacturing (factory) overheads: indirect labour, factory rent
- Factory power, heating, lighting; depreciation & repairs of plant
- Indirect materials (lubricants); loose tools consumed
- Production cost = prime cost + factory overheads, adjusted for WIP
- The asset's LOCATION decides: plant depreciation → manufacturing account

Non-manufacturing costs → profit and loss

- Administration: office rent, office salaries, office equipment depreciation
- Selling & distribution: advertising, carriage outwards, delivery van depreciation
- Finance costs: bank charges, discount allowed, debenture interest
- Classic trap: van depreciation → P&L; plant depreciation → manufacturing
- Depreciation's home = where the asset works, not the word "depreciation"

Apportioning shared expenses

- Apply given ratio mechanically to the given total (rent 3:1 factory:office)
- Rent 600,000 → factory 450,000 (manufacturing); office 150,000 (P&L)
- Metered electricity 180,000 factory / 60,000 office — no ratio needed
- Carriage inwards on materials → manufacturing; carriage outwards → selling
- Returns outwards reduce material cost; discount received → P&L income

Cost build-up and exam discipline

- Loose tools consumed = opening + purchases − closing stock
- Borderline test: can it be traced to units? → direct; else indirect
- Factory manager's salary = INDIRECT (factory overhead), never direct labour
- Memory mantra: direct goes in, indirect joins it, office stays out
- Write "Prime cost" and "Production cost" as labelled subtotals

Key takeaways / exam tips

- Seeing "rent"/"electricity"/"depreciation" → ask factory or office first
- Carriage inwards = manufacturing; carriage outwards = selling
- Loose tools: opening + purchases − closing = factory overhead consumed
- Discount received never reduces material cost — it goes to P&L

- Classification marks are awarded independently of later arithmetic

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 7 · Medium 2 · Hard 1), serials CA11-M08-Q001 – CA11-M08-Q018. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 8 · FINANCIAL STATEMENTS OF A MANUFACTURING ENTITY — LESSON 2

The Manufacturing Account

Learning Objectives

By the end of this lesson you should be able to:

1. Prepare a manufacturing account in the KASNEB format from a trial balance and additional information.
2. Compute the cost of raw materials used, prime cost and cost of production.
3. Adjust for opening and closing work in progress correctly.
4. Transfer the cost of finished goods to the trading account at cost and at a marked-up transfer price.
5. Record and explain manufacturing profit and the provision for unrealised profit.

---

1. Purpose and Format

The **manufacturing account** collects every cost of production and arrives at the **cost of goods manufactured (completed)** in the period. That figure is transferred to the trading account, where it replaces "purchases".

The KASNEB format

```
                          XYZ Ltd
                   Manufacturing account
                for the year ended 31 December 20XX
                                                        Sh.000
Direct materials
  Opening stock of raw materials                          xxx
  Add: Purchases of raw materials                         xxx
       Carriage inwards (on raw materials)                xxx
  Less: Returns outwards (raw materials)                 (xxx)
  Cost of materials available for use                     xxx
  Less: Closing stock of raw materials                   (xxx)
Cost of raw materials used                                xxx
Add: Direct labour                                        xxx
     Direct expenses                                        xxx
PRIME COST                                                xxx
Add: Indirect manufacturing costs
  Indirect labour                                         xxx
  Factory rent                                            xxx
  Factory power / heating / lighting                      xxx
  Depreciation of factory plant and machinery             xxx
  Loose tools consumed                                    xxx
  ...                                                     xxx
GROSS COST OF PRODUCTION                                  xxx
Add: Opening work in progress                             xxx
Less: Closing work in progress                           (xxx)
COST OF PRODUCTION (goods completed)                      xxx
(Add: Manufacturing profit, if transferred at a mark-up)  xxx
TRANSFER TO TRADING ACCOUNT                               xxx
```

The five steps (learn them in order)

1. Opening raw materials + purchases (+ carriage inwards − returns outwards) − closing raw materials = **materials used**.
2. Add direct labour and direct expenses = **prime cost**.

3. Add indirect manufacturing costs = **gross cost of production**.
4. Add opening WIP, subtract closing WIP = **cost of production** (WIP cannot be sold, so unfinished goods are excluded).
5. Transfer to the trading account — at cost, or at cost plus manufacturing profit if a transfer price policy exists.

---

2. Comprehensive Worked Example — Mama Uji Millers Ltd

Mama Uji Millers Ltd of Eldoret manufactures fortified maize flour. Balances and information for the year ended 31 December 2025 (Sh.000):

- Opening inventory: raw materials 120; work in progress 100; finished goods 400
- Purchases of raw materials 800; carriage inwards on raw materials 40
- Direct labour 500; direct expenses (royalties) 60
- Factory rent 150; factory power 80; factory supervisors' salaries 110; indirect materials 70
- Depreciation of plant and machinery for the year 120
- Closing inventory: raw materials 90; work in progress 130

Solution

```
                        Mama Uji Millers Ltd
          Manufacturing account for the year ended 31 December 2025
                                                       Sh.000    Sh.000
Direct materials
  Opening stock of raw materials                         120
  Add: Purchases of raw materials                        800
       Carriage inwards                                   40
                                                         960
  Less: Closing stock of raw materials                   (90)
Cost of raw materials used                                          870
Direct labour                                                       500
Direct expenses                                                      60
PRIME COST                                                        1,430
Indirect manufacturing costs
  Factory rent                                           150
  Factory power                                           80
  Depreciation of plant and machinery                    120
  Factory supervisors' salaries                          110
  Indirect materials                                      70         530
GROSS COST OF PRODUCTION                                            1,960
Add: Opening work in progress                                       100
Less: Closing work in progress                                     (130)
COST OF PRODUCTION — transferred to trading account                 1,930
```

T-account proof (every manufacturing account must balance):

```
             Manufacturing account (Sh.000)
Dr                                          Cr
Opening RM stock          120   Closing RM stock          90
Purchases                 800   Closing WIP              130
Carriage inwards           40   Trading account        1,930
Direct labour             500     (transfer)
Direct expenses            60
Factory rent              150
```

```
Factory power                80
Depreciation — plant        120
Supervisors' salaries       110
Indirect materials           70
Opening WIP                 100
                          2,150                              2,150
```

Debits 2,150 = credits 2,150 ✓.

---

3. Transfer at a Mark-Up: Manufacturing Profit

Some firms transfer goods from factory to warehouse at **more than cost** — at market value. The excess is **manufacturing profit**:

```
Manufacturing profit = transfer price − cost of production
```

The double entry is:

```
Dr  Manufacturing account
    Cr  Profit and loss account (manufacturing profit)
```

It is then **added back in the income statement** after gross profit, because charging the trading account at the marked-up price depressed gross profit by the same amount.

Illustration (continuing Mama Uji Millers): Suppose the 1,930 of completed flour is transferred at cost **plus 10%**.

- Manufacturing profit = 10% × 1,930 = **193**
- Transfer price = 1,930 + 193 = **2,123**

```
Dr  Manufacturing account                 193
    Cr  Profit and loss account                          193
(Being manufacturing profit on goods transferred)
```

The manufacturing account then shows: debits 2,150 + 193 = 2,343; credits 90 + 130 + 2,123 = 2,343 ✓.

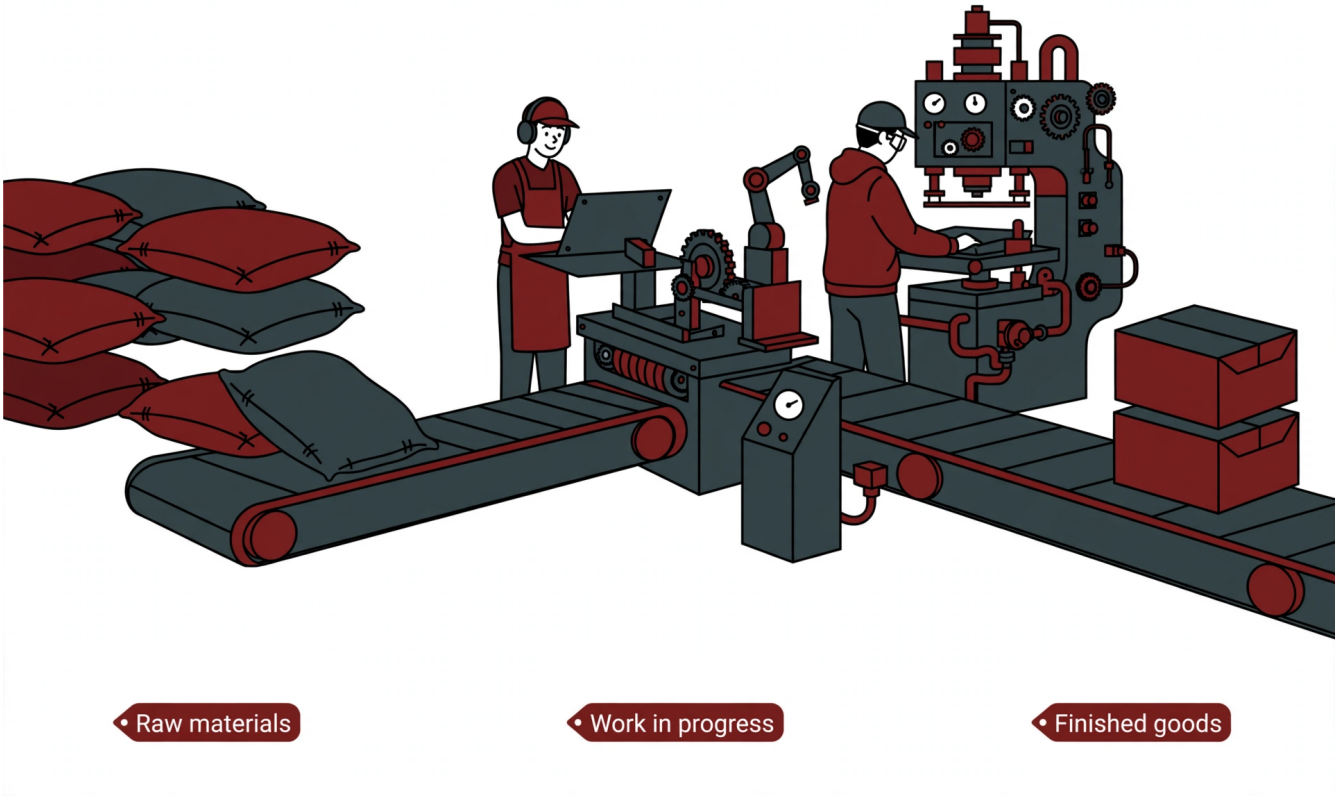
Unrealised profit

Where finished goods are transferred (or valued) **above cost**, the closing finished-goods stock contains profit that has not been earned by sale — **unrealised profit**. The prudence concept requires providing for it:

- Compute the profit element in the closing stock.
- **Deduct a provision for unrealised profit from closing stock** in the SFP (stock is shown at cost).
- Charge the *increase* in the provision to profit and loss (a *decrease* is credited, as other income).

Example: if closing finished goods of Sh.350,000 (above) had been valued at transfer price including Sh.35,000 of mark-up, the SFP would show finished goods at 350,000 − 35,000 = **315,000**, and the Sh.35,000 increase in provision would be charged in the income statement.

> **Exam trap:** Manufacturing profit is added in the income statement *after* gross profit — never inside the manufacturing account's cost build-up, and never as a trading receipt. And unrealised profit is *provided for* (deducted from stock), not written off to the manufacturing account.



4. Extracting Manufacturing Data from a Trial Balance

In an exam the manufacturing figures hide inside a trial balance. The extraction routine:

1. **List every debit** that is a factory cost: raw material stocks, purchases, carriage inwards, direct wages, factory rent/power, plant depreciation, loose tools.
2. **Cross out** anything belonging to profit and loss (office salaries, selling expenses, carriage outwards, van depreciation) — do this *first*, before adding anything.
3. **Apply adjustments** from the additional information: closing stocks, depreciation rates, apportioned expenses, accrued factory wages.
4. **Build the account** top-down from materials used; never start from prime cost with unadjusted figures.

Mini-example (compact): Trial balance shows: raw materials stock 1 Jan 30; purchases 200; carriage inwards 10; direct wages 120; factory rent 40; office salaries 90; plant depreciation 25; office equipment depreciation 12. Closing raw materials 25. (Sh.000.)

- Materials used = 30 + 200 + 10 − 25 = **215**
- Prime cost = 215 + 120 = **335**
- Factory overheads = 40 + 25 = **65** (office salaries 90 and office depreciation 12 are crossed out to profit and loss)
- Gross cost of production = **400** (no WIP given)
- Cost of production transferred to trading account = **400**

T-account check: debits 30 + 200 + 10 + 120 + 40 + 25 = 425; credits 25 (closing RM) + 400 (transfer) = 425 ✓.

5. Mark-Up Missteps to Avoid

1. **Base error:** the mark-up is computed on the *cost of production* — after the WIP adjustment — never on prime cost or on materials used. In the Mama Uji illustration, 10% × 1,930, not 10% × 1,430.
2. **Double counting:** the manufacturing profit is credited to profit and loss *once*, via the journal Dr Manufacturing / Cr P&L. Do not also add it inside the manufacturing account's cost build-up.
3. **Unrealised profit confusion:** manufacturing profit on goods *sold* is earned and stays in profit; only the profit element in *unsold* closing stock is provided for. If all transferred goods are sold by year-end, there is no unrealised profit at all.
4. **Sign check:** after adding manufacturing profit, the manufacturing account's credits must still equal its debits — prove it as shown in section 3 (2,343 = 2,343).

Key Terms

- **Cost of raw materials used** — opening RM + purchases + carriage inwards − returns − closing RM.
- **Prime cost** — direct materials + direct labour + direct expenses.
- **Cost of production** — prime cost + factory overheads + opening WIP − closing WIP.
- **Manufacturing profit** — transfer price minus cost of production; credited to profit and loss.
- **Unrealised profit** — profit element in closing stock valued above cost; provided for, stock shown at cost.

Module Summary

- The manufacturing account builds cost in five steps: materials used → prime cost → gross cost of production → adjust for WIP → transfer.
- The transfer replaces "purchases" in the trading account.
- Transfer at a mark-up creates manufacturing profit (Dr Manufacturing, Cr P&L), added back after gross profit in the income statement.
- Unrealised profit in closing stock is provided for so stock is stated at cost in the SFP.

Exam Day Tips

1. Prove the manufacturing account with a quick T-account total — debits must equal credits.
2. Returns outwards on materials reduce material cost; carriage inwards increases it.
3. Closing WIP is *deducted*; opening WIP is *added*. Say it as a mantra if you must.
4. If a transfer mark-up is given, compute it on the *cost of production* (after the WIP adjustment), not on prime cost.
5. Keep factory depreciation in the manufacturing account — it is the single most tested classification.

Slide deck at a glance

Purpose and the five steps

- Collects every production cost → cost of goods manufactured
- Transfer replaces "purchases" in the trading account
- Five steps: materials used → prime cost → gross cost → WIP adjust → transfer
- WIP cannot be sold → opening WIP added, closing WIP deducted
- The account's transfer figure = trading account "cost of production" line

The KASNEB format — the cost ladder

- Materials used = opening RM + purchases + carriage inwards − returns − closing RM
- Add direct labour + direct expenses = PRIME COST
- Add factory overheads (rent, power, plant depreciation, indirect materials)
- = GROSS COST OF PRODUCTION
- Add opening WIP, subtract closing WIP = COST OF PRODUCTION

Worked example — Mama Uji Millers

- Mama Uji Millers: materials used = 120 + 800 + 40 − 90 = 870
- Prime cost = 870 + 500 + 60 = 1,430
- Gross cost of production = 1,430 + 530 = 1,960
- Cost of production = 1,960 + 100 − 130 = 1,930 → trading account
- Prove with T-account: debits 2,150 = credits 2,150 ✓

Transfer at a mark-up — manufacturing profit

- Transfer above cost creates manufacturing profit = transfer price − cost
- Journal: Dr Manufacturing account / Cr Profit and loss account
- Added AFTER gross profit in income statement (corrects under-stated GP)
- Illustration: 10% × 1,930 = 193; transfer price 2,123
- After adding profit, manufacturing account debits must still equal credits

Unrealised profit

- Closing stock valued above cost contains UNEARNED profit
- Provision for unrealised profit deducted from closing stock in SFP
- Increase in provision charged to P&L; decrease credited as other income
- Profit element in closing stock = stock × margin (e.g. 240 × 20/120 = 40)
- Provision deducted from finished goods — never shown as a liability

Extracting from a trial balance

- Extract routine: list factory debits; cross out P&L items FIRST
- Apply adjustments: closing stocks, depreciation rates, apportionments
- Build top-down from materials used; prove with a quick T-account total
- Mark-up base = cost of production AFTER WIP adjustment, not prime cost
- Manufacturing profit on sold goods stays; only unsold element is provided

Key takeaways / exam tips

- Closing WIP is DEDUCTED; opening WIP is ADDED — say it as a mantra
- Compute mark-up on cost of production after WIP, never on prime cost
- Prove the manufacturing account: debits = credits, every time
- Keep factory depreciation in the manufacturing account — most tested line
- Returns outwards reduce material cost; carriage inwards increases it

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2024-04-Q3 · April 2024 · 20 marks KASNEB authored

Company manufacturing accounts (Kwanza Ltd)

The following trial balance was extracted from the books of Kwanza Ltd., a manufacturing company, as at 31 March 2024 (Sh."000"): Ordinary share capital (Cr) 42,000; Revenue reserve (Cr) 10,150; Bank 8,592; Trade receivables 11,080; Trade payables (Cr) 4,886; Factory building (land Sh.4,200,000) 10,500; Plant and machinery 10,920; Motor vehicles 7,112; Furniture and fittings 3,400; Accumulated depreciation (1 April 2023): buildings (Cr) 1,250, motor vehicles (Cr) 2,562, plant and machinery (Cr) 3,958, furniture and fittings (Cr) 980; Inventory (1 April 2023): raw materials 2,870, work-in-progress 4,830, finished goods 9,100; Allowance for doubtful debts (Cr) 588; Bad debts 406; Rates and insurance 798; Direct wages 6,440; Salaries 7,560; Factory power 1,890; Electricity 1,386; Maintenance 924; Returns outward (Cr) 266; Returns inward 84; Advertising expenses 728; Transport expenses 1,946; Bank charges 238; Sundry expenses 2,436; Purchases 77,000; Sales (Cr) 103,600. Total 170,240 = 170,240.

Additional information: (1) Depreciation (straight line): plant and machinery 30% p.a.; motor vehicles 25% p.a.; furniture and fittings 12.5% p.a.; building 4% p.a. (2) Inventory at 31 March 2024: raw materials Sh.11,690,000; work-in-progress Sh.6,930,000; finished goods Sh.8,680,000. (3) Allowance for doubtful debts is 10% of the trade receivables at 31 March 2024. (4) Electricity, rates and insurance, sundry expenses and maintenance are apportioned 2:1 between factory and administration overheads. (5) Manufactured goods are transferred to the warehouse at total factory cost.

Required: (a) Manufacturing statement for the year ended 31 March 2024. (6 marks) (b) Statement of profit or loss for the year ended 31 March 2024. (8 marks) (c) Statement of financial position as at 31 March 2024. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Manufacturing statement

```
Raw materials: opening inventory 2,870 + purchases 77,000 − returns outward 266 −
closing inventory 11,690   67,914
Direct
wages
                  6,440
Prime
cost
                  74,354
Factory overheads:
  Factory power                       1,890
  Electricity (2/3 × 1,386)             924
  Rates and insurance (2/3 × 798)       532
  Sundry expenses (2/3 × 2,436)       1,624
  Maintenance (2/3 × 924)               616
  Depreciation — plant & machinery (30% × 10,920)  3,276
  Depreciation — factory building (4% × 10,500)      420

                         9,282

                        83,636
Add: Opening work-in-
progress
    4,830
Less: Closing work-in-
progress
  (6,930)
Factory cost of
```

```
production
        81,536
```

(b) Statement of profit or loss

```
Sales (103,600 − returns inward 84)                                  103,516
Cost of sales: opening finished goods 9,100 + factory cost 81,536
  − closing finished goods 8,680                                     (81,956)
Gross profit                                                          21,560
Less expenses:
  Salaries                                        7,560
  Advertising                                       728
  Transport expenses                              1,946
  Bank charges                                      238
  Electricity (1/3)                                 462
  Rates and insurance (1/3)                         266
  Sundry expenses (1/3)                             812
  Maintenance (1/3)                                 308
  Depreciation — motor vehicles (25% × 7,112)     1,778
  Depreciation — furniture & fittings (12.5% × 3,400)  425
  Bad debts                                         406
  Increase in allowance for doubtful debts
    (required 10% × 11,080 = 1,108; existing 588)   520
                                                 (15,449)
Net profit                                                             6,111
```

(c) Statement of financial position as at 31 March 2024

```
Non-current assets:
  Factory building (10,500 − 1,670)      8,830
  Plant and machinery (10,920 − 7,234)   3,686
  Motor vehicles (7,112 − 4,340)         2,772
  Furniture and fittings (3,400 − 1,405) 1,995    17,283
Current assets:
  Inventories (11,690 + 6,930 + 8,680)  27,300
  Trade receivables (11,080 − 1,108)     9,972
  Bank                                   8,592    45,864
Total assets                                       63,147
Equity: Share capital 42,000; Revenue reserve (10,150 + 6,111) 16,261   58,261
Current liabilities: Trade payables                              4,886
Total equity and liabilities                                    63,147
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 67,914 (purchases net of returns outward; closing RM deducted) **(2)**
- (a) Prime cost 74,354 (direct wages added) **(1)**
- (a) Factory overheads 9,282 with correct 2:1 apportionments and depreciation of P&M 3,276 and building 420 **(2)**
- (a) Factory cost of production 81,536 after WIP adjustment **(1)**
- (b) Gross profit 21,560 (net sales 103,516; cost of sales via finished goods) **(2)**
- (b) Admin/distribution expenses correctly stated incl. 1/3 apportionments, MV depreciation 1,778, F&F depreciation 425 **(3)**
- (b) Bad debts 406 expensed and allowance increase of 520 charged (required allowance 1,108) **(2)**

- (b) Net profit Sh.6,111,000 **(1)**
- (c) Non-current assets 17,283 with accumulated depreciation updated for all four asset classes **(2)**
- (c) Current assets 45,864 (all three inventories; receivables net of allowance 1,108; bank) **(2)**
- (c) SOFP balances at Sh.63,147,000 with revenue reserve 16,261 **(2)**

KASNEB-2023-04-Q2 · April 2023 · 20 marks KASNEB authored

Partnership manufacturing accounts (Pengo Manufacturers)

Peter Mwangi and Aloyce Onyango began trading as Pengo Manufacturers on 1 January 2022. Trial balance as at 31 December 2022 (Sh."000"): Dr — Drawings: Peter 8,000, Aloyce 6,400; Trade receivables 22,800; Balance at bank 31,400; Plant and machinery at cost 57,600; Loose tools at cost 16,800; Motor vehicles at cost 33,600; Raw materials purchased 44,000; Direct factory wages 40,800; Electricity expenses 13,600; Indirect factory wages 16,000; Plant and machinery repairs 10,880; Motor vehicle running expenses 19,200; Rent and insurance 18,880; Administrative staff salaries 34,400; Administrative expenses 16,800; Sales and distribution expenses 20,000. Cr — Capital accounts: Peter 115,000, Aloyce 107,000; Trade payables 28,560; Sales 160,600. Total 411,160 = 411,160.

Additional information: (1) Inventories at 31 December 2022: raw materials 15,200; work-in-progress 19,440; finished goods 8,000. (2) Accrued electricity expenses 10,400; prepaid rent and insurance 7,840. (3) Apportionments factory : administration — motor vehicle running expenses ½:½; electricity ⅔:⅓; rent and insurance ¾:¼; plant and machinery repairs ⅘:⅕; motor vehicle depreciation ½:½. (4) Useful life: plant and machinery 10 years; motor vehicles 4 years (straight line). (5) Profits and losses shared equally. (6) Allowance for doubtful debts at 5% of accounts receivable. (7) Manufactured goods were transferred to the warehouse at Sh.85,600,000. (8) Loose tools at 31 December 2022 valued at Sh.13,600,000.

Required: (a) Manufacturing account and statement of profit or loss for the year ended 31 December 2022. (14 marks) (b) Statement of financial position as at 31 December 2022. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Manufacturing account

```
Raw materials: purchases 44,000 − closing inventory 15,200 (no opening — new
business)   28,800
Direct factory
wages                                                                  40,800
Prime
cost
 69,600
Factory overheads:
  Indirect factory wages                              16,000
  Electricity (⅔ × (13,600 + 10,400 accrued))          16,000
  Rent and insurance (¾ × (18,880 − 7,840 prepaid))    8,280
  Plant and machinery repairs (⅘ × 10,880)             8,704
  Motor vehicle running expenses (½ × 19,200)         9,600
  Depreciation — plant and machinery (57,600 ÷ 10)    5,760
  Depreciation — motor vehicles, factory share (½ × 8,400)  4,200
  Loose tools consumed (16,800 − 13,600)               3,200

      71,744
```

```
     141,344
Less: closing work-in-
progress                                                          (19,440)
Factory cost of
production                                                             121,904
Transfer price of goods to
warehouse                                                   85,600
Manufacturing loss transferred to profit or loss
account                                  36,304
```

Statement of profit or loss

```
Sales
      160,600
Cost of sales: transfer price 85,600 − closing finished goods
8,000                         (77,600)
Gross
profit
 83,000
Less expenses:
  Administrative staff salaries            34,400
  Administrative expenses                  16,800
  Sales and distribution expenses          20,000
  Electricity (⅓ × 24,000)                  8,000
  Rent and insurance (¼ × 11,040)           2,760
  Plant and machinery repairs (⅕ × 10,880)  2,176
  Motor vehicle running expenses (½)        9,600
  Depreciation — motor vehicles (½ × 8,400) 4,200
  Allowance for doubtful debts (5% × 22,800) 1,140          99,076
Manufacturing loss                                                36,304
Net loss                                                          52,380
Shared equally: Peter Mwangi (26,190); Aloyce Onyango (26,190)
```

(b) Statement of financial position as at 31 December 2022

```
Non-current assets:
  Plant and machinery (57,600 − 5,760)      51,840
  Motor vehicles (33,600 − 8,400)           25,200
  Loose tools                               13,600     90,640
Current assets:
  Inventories (15,200 + 19,440 + 8,000)     42,640
  Trade receivables (22,800 − 1,140)        21,660
  Prepaid rent and insurance                 7,840
  Balance at bank                           31,400    103,540
Total assets                                          194,180
Partners' funds (no separate current accounts maintained):
  Peter: capital 115,000 − loss share 26,190 − drawings 8,000    80,810
  Aloyce: capital 107,000 − loss share 26,190 − drawings 6,400   74,410   155,220
Current liabilities:
  Trade payables                            28,560
  Accrued electricity                       10,400      38,960
Total capital and liabilities                         194,180
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 28,800 and prime cost 69,600 **(2)**
- (a) Factory overheads 71,744 with all apportionments (electricity on accrual-adjusted 24,000; rent on prepaid-adjusted 11,040), depreciation P&M 5,760 and MV factory share 4,200, loose tools consumed 3,200 **(4)**
- (a) Factory cost 121,904 after closing WIP; manufacturing loss 36,304 vs transfer price 85,600 recognised **(2)**
- (a) Gross profit 83,000 (transfer price less closing finished goods) **(1)**
- (a) Administration expenses 99,076 incl. allowance for doubtful debts 1,140; net loss 52,380 shared equally (26,190 each) **(3)**
- (a) Correct statement presentation and headings **(2)**
- (b) Non-current assets 90,640 and inventories 42,640 (three categories) **(2)**
- (b) Partners' funds 155,220 (Peter 80,810; Aloyce 74,410) after loss shares and drawings **(2)**
- (b) SOFP balances at 194,180 with payables 28,560 and accrued electricity 10,400 **(2)**

KASNEB-2021-12-Q4 · December 2021 · 20 marks KASNEB authored

Manufacturing partnership accounts (Timothy & Lisa)

Timothy and Lisa are in partnership sharing profit and loss equally in a manufacturing venture. Timothy manages the manufacturing entity, while Lisa manages the selling and distribution of the end product. The following trial balance was extracted from their books for the year ended 30 September 2021 (Sh."000"): Sales 59,220 Cr; Purchase of raw materials 28,000; Production wages 8,000; Production supervisors salaries 240; Office staff salaries 3,600; Distribution costs 2,340; Factory insurance 600; Provision for unrealised profit 360 Cr; Carriage inwards of raw materials 600; Cash at bank 7,200; 12% bank loan 6,000 Cr; Bank loan interest 600; Accounts receivable 1,400 / Accounts payable 600 Cr; Manufacturing royalties paid 800; Bad debts written off 40; Office administration expenses 880; Fuel and electricity 1,200; Inventories (1 October 2020): Raw materials 4,200, Work-in-progress 2,400, Finished goods 1,800; Capital accounts: Timothy 10,000 Cr, Lisa 8,000 Cr; Current accounts: Timothy 400 Cr, Lisa 600 Cr; Drawings: Timothy 800, Lisa 400; Factory building (at cost) 16,000; Plant and machinery (at cost) 4,500; Motor vehicles (at cost) 2,400; Allowance for depreciation (1 October 2020): Building 1,200 Cr, Plant and machinery 900 Cr, Motor vehicles 720 Cr. Totals 88,000 / 88,000.

Additional information: 1. Inventories as at 30 September 2021 were valued as follows: Raw materials Sh. 5,200,000; Work-in-progress Sh.2,000,000; Finished goods Sh.3,600,000. 2. Depreciation is provided on cost as follows: Building 2½%; Plant and machinery 10%; Motor vehicles 20%. 3. Manufactured goods are transferred to the warehouse at factory cost plus profit of 20% of the factory cost. 4. The partnership agreement provided that: Each partner is entitled to a salary of Sh.100,000 per month. Timothy is entitled to 10% commission based on factory profit, while Lisa is entitled to a 10% commission based on the net profit. Interest on capital is to be charged at 10% per annum. Interest on drawings is to be charged at 15% per annum. 5. Fuel and electricity are to be apportioned at 80% to the factory and 20% to the office.

Required: (a) Manufacturing and statement of profit or loss for the year ended 30 September 2021. (12 marks) (b) Statement of financial position as at 30 September 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Manufacturing account and statement of profit or loss

```
Raw materials: Opening inventory 4,200 + purchases 28,000
  + carriage inwards 600 − closing inventory 5,200      27,600
Production wages                                          8,000
Prime cost                                               35,600
Factory overheads:
  Production supervisors' salaries    240
  Factory insurance                   600
  Manufacturing royalties             800
  Fuel and electricity (80% × 1,200)  960
  Depreciation: Factory building (2½% × 16,000) 400
                Plant and machinery (10% × 4,500) 450    3,450
Add: Opening work-in-progress 2,400; Less: Closing WIP (2,000)
Factory cost of production                               39,450
Add: Manufacturing profit (20% × 39,450)                  7,890
Transfer price of goods manufactured                     47,340

Trading section:
Sales                                                    59,220
Cost of sales: Opening finished goods 1,800 + transfers
  47,340 − closing finished goods 3,600                 (45,540)
Gross profit                                             13,680
Add: Manufacturing profit                                 7,890
Less expenses:
  Office staff salaries              3,600
  Distribution costs                 2,340
  Motor vehicle depreciation (20% × 2,400) 480
  Office administration expenses       880
  Fuel and electricity (20%)           240
  Bank loan interest                   600
  Bad debts written off                 40
  Increase in provision for unrealised profit
    (20/120 × 3,600 = 600 − opening provision 360) 240  (8,420)
Net profit                                               13,150
```

Appropriation: Net profit 13,150 + interest on drawings (Timothy 15% × 800 = 120; Lisa 15% × 400 = 60) 180 = 13,330. Less: salaries 1,200 each = 2,400; Timothy's commission 10% × factory (manufacturing) profit 7,890 = 789; Lisa's commission 10% × net profit 13,150 = 1,315; interest on capital 10% (Timothy 1,000; Lisa 800) = 1,800. Residual profit 7,026 shared equally = **3,513 each**. **Current accounts:** Timothy: 400 + 1,200 + 789 + 1,000 + 3,513 − 120 − 800 = **5,982 Cr**. Lisa: 600 + 1,200 + 1,315 + 800 + 3,513 − 60 − 400 = **6,968 Cr**.

(b) Statement of financial position as at 30 September 2021

```
Non-current assets:
  Factory building (16,000 − 1,600)                  14,400
  Plant and machinery (4,500 − 1,350)                 3,150
  Motor vehicles (2,400 − 1,200)                      1,200   18,750
Current assets:
  Inventories: Raw materials 5,200; WIP 2,000;
    Finished goods 3,600 − provision for
    unrealised profit 600                             3,000   10,200
  Accounts receivable                                 1,400
  Cash at bank                                        7,200   18,800
Total assets                                           37,550
Capital accounts: Timothy 10,000; Lisa 8,000           18,000
```

Current accounts: Timothy 5,982; Lisa 6,968	12,950
Non-current liabilities: 12% Bank loan	6,000
Current liabilities: Accounts payable	600
Total capital and liabilities	37,550

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 27,600 (opening 4,200 + purchases 28,000 + carriage 600 − closing 5,200) **(2)**
- (a) Prime cost 35,600 after production wages 8,000 **(1)**
- (a) Factory overheads 3,450 incl. fuel apportionment 960, depreciation on building 400 and plant 450 **(3)**
- (a) Factory cost of production 39,450, transfer price 47,340 and manufacturing profit 7,890 **(2)**
- (a) Trading gross profit 13,680 and manufacturing profit credited **(2)**
- (a) Expenses incl. motor vehicle depreciation 480 and provision increase 240; net profit 13,150 **(2)**
- (b) Non-current asset NBVs: building 14,400, plant 3,150, motor vehicles 1,200 **(2)**
- (b) Inventories 10,200 (finished goods net of provision 600), receivables 1,400, bank 7,200 **(2)**
- (b) Appropriation in current accounts: salaries 2,400, commissions 789 and 1,315, interest on capital 1,800, interest on drawings 180, residual 3,513 each; closing current accounts 5,982 and 6,968 **(3)**
- (b) Statement of financial position balances at Sh.37,550,000 **(1)**

KASNEB-2020-11-Q4 · November 2020 · 20 marks KASNEB authored

Manufacturing company accounts (Tamu Ltd, biscuits)

Tamu Ltd. is a company that manufactures biscuits. The following trial balance was extracted from the books of the company as at 31 March 2020 (Sh."000"): Sales 7,800,441 Cr; Building: Cost 390,000; Accumulated depreciation (1 April 2019) 30,000 Cr; Land 120,000; Retained profits (1 April 2019) 127,425 Cr; Plant and machinery 2,190,000; Office equipment 330,000; Motor vehicles 600,000; Accumulated depreciation (1 April 2019): Plant and machinery 673,500 Cr, Office equipment 73,500 Cr, Motor vehicles 240,000 Cr; General administrative expenses 189,033; Interim dividends on preference shares 30,000; Bank interest 21,210; Factory power 90,042; Office salaries 138,081; Insurance 498,039; Rates 60,348; Advertising expenses 150,513; Rent 570,144; Maintenance (plant) 120,189; Directors' salaries 90,306; Heating and lighting 180,342; Bank 150,060 Cr; Purchases (raw materials) 1,555,800; Return inwards 45,318; Transport expenses 255,039; Manufacturing wages 1,504,200; Allowance for doubtful debts 3,000 Cr; Inventory (1 April 2019): Raw materials 210,000, Work-in-progress 378,000, Finished goods 750,000; Accounts receivable 1,500,000 / Accounts payable 1,068,678 Cr; Ordinary shares (Sh.150 per share) 1,200,000 Cr; 10% redeemable preference shares (Sh.300 per share) 600,000 Cr. Totals 11,966,604 / 11,966,604. Additional information: 1. Accrued expenses as at 31 March 2020 were as follows (Sh."000"): Heating and lighting 3,642; Rent 6,963. 2. Prepaid expenses as at 31 March 2020 were as follows (Sh."000"): Rates 9,420; Insurance premium 10,080. 3. Depreciation and respective allocation is provided as follows: Buildings 2% Cost – Administration; Plant and machinery 15% Cost – Factory; Office equipment 10% Cost – Administration; Motor vehicles 25% Reducing balance – Distribution. 4. Rent, rates, insurance, heating and lighting to be apportioned in the ratio 5:1 in relation to factory and administration. 5. The directors' salaries include Sh.20,000,000 paid to the production directors and office salaries of Sh.64,237,000 paid to salesmen. 6. Allowance for doubtful debts is to be maintained at 1% of the accounts receivable as at 31 March 2020. 7. Inventories as at 31 March 2020 were as follows (Sh."000"): Raw materials 56,200; Work-in-progress 47,190; Finished goods — derived from units (see note 8). 8. The factory produced 1,500 units. Only 100 units were in the inventory as at 31 March 2020. 9. Corporate tax for year ended

31 March 2020 is estimated at Sh.100,000,000. Required: (a) Manufacturing account for the year ended 31 March 2020. (10 marks) (b) Statement of profit or loss for the year ended 31 March 2020. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Adjusted shared costs (after accruals/prepayments), apportioned 5:1 factory : administration:** Rent 570,144 + 6,963 = 577,107 → factory 480,922.5, admin 96,184.5. Rates 60,348 − 9,420 = 50,928 → factory 42,440, admin 8,488. Insurance 498,039 − 10,080 = 487,959 → factory 406,632.5, admin 81,326.5. Heating and lighting 180,342 + 3,642 = 183,984 → factory 153,320, admin 30,664.
- **W2 — Depreciation:** buildings 2% × 390,000 = 7,800 (admin); plant and machinery 15% × 2,190,000 = 328,500 (factory); office equipment 10% × 330,000 = 33,000 (admin); motor vehicles 25% × (600,000 − 240,000) = 90,000 (distribution).
- **W3 — Salary splits:** production directors 20,000 to factory; salesmen 64,237 to distribution; office salaries to admin = 138,081 − 64,237 = 73,844; directors' salaries to admin = 90,306 − 20,000 = 70,306.
- **W4 — Allowance for doubtful debts:** required 1% × 1,500,000 = 15,000; existing 3,000 → charge 12,000.
- **W5 — Closing finished goods:** cost per unit = cost of production ÷ 1,500 units; closing = 100 units (see below).

(a) Manufacturing account for the year ended 31 March 2020 (Sh."000")

	Sh."000"
Opening inventory — raw materials	210,000
Purchases of raw materials	1,555,800
Less: Closing inventory — raw materials	(56,200)
Cost of raw materials consumed	**1,709,600**
Manufacturing wages	1,504,200
Prime cost	**3,213,800**
Factory overheads: Factory power	90,042
Maintenance (plant)	120,189
Depreciation — plant and machinery	328,500
Rent (factory share)	480,922.5
Rates (factory share)	42,440
Insurance (factory share)	406,632.5
Heating and lighting (factory share)	153,320
Production directors' salaries	20,000

	Sh."000"
Total factory overheads	1,642,046
	4,855,846
Add: Opening work-in-progress	378,000
Less: Closing work-in-progress	(47,190)
Cost of production (1,500 units)	**5,186,656**

Cost per unit = 5,186,656 ÷ 1,500 = Sh.3,457,704 per unit; closing finished goods (100 units) = **345,777** (Sh."000").

(b) Statement of profit or loss for the year ended 31 March 2020 (Sh."000")

	Sh."000"
Sales (7,800,441 − returns inwards 45,318)	7,755,123
Cost of sales: Opening finished goods 750,000 + cost of production 5,186,656 − closing finished goods 345,777	(5,590,879)
Gross profit	**2,164,244**
Administrative expenses:	
General administrative expenses	189,033
Office salaries (admin share)	73,844
Directors' salaries (admin share)	70,306
Depreciation — buildings 7,800; office equipment 33,000	40,800
Rent 96,184.5; Rates 8,488; Insurance 81,326.5; Heating and lighting 30,664	216,663
Increase in allowance for doubtful debts	12,000
	(602,646)
Distribution expenses:	
Advertising	150,513
Transport	255,039
Salesmen's salaries	64,237
Depreciation — motor vehicles	90,000
	(559,789)
Finance costs: Bank interest	(21,210)
Profit before tax	**980,599**
Corporation tax	(100,000)
Profit for the year	**880,599**

Appropriation note: retained profits brought forward 127,425 + profit for the year 880,599 − preference dividends (interim paid 30,000 + final 30,000 at 10% on Sh.600,000,000) = retained profits carried forward ***948,024*** *(Sh."000"). Figures are rounded to the nearest Sh."000"; the factory/admin shares of rent and insurance carry exact halves of Sh.500.*

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Raw materials consumed 1,709,600 (210,000 + 1,555,800 − 56,200) and prime cost 3,213,800 (incl. manufacturing wages 1,504,200) **(2)**
- Adjustments for accruals (rent 6,963; heating 3,642) and prepayments (rates 9,420; insurance 10,080) made before apportionment **(2)**
- Factory overheads correctly assembled at 1,642,046 (incl. apportioned rent 480,922.5, rates 42,440, insurance 406,632.5, heating 153,320; plant depreciation 328,500; production directors 20,000) **(3)**
- WIP adjustment (378,000 − 47,190) and cost of production 5,186,656 **(1)**
- Closing finished goods derived from units: 100/1,500 × 5,186,656 = 345,777; cost of sales 5,590,879 **(2)**
- Net sales 7,755,123 and gross profit 2,164,244 **(2)**
- Administrative expenses 602,646 (incl. salary splits 73,844 / 70,306, buildings and office equipment depreciation, apportioned shares, allowance increase 12,000) **(3)**
- Distribution expenses 559,789 (incl. salesmen 64,237 and motor vehicle depreciation 90,000 on reducing balance) and bank interest 21,210 **(2)**
- Profit before tax 980,599; corporation tax 100,000; profit for the year 880,599 **(3)**

KASNEB-2018-05-Q3 · May 2018 · 20 marks KASNEB authored

Manufacturing accounts and company income statement

The following trial balance was extracted from the books of ABC Ltd. for the year ended 30 April 2018:

Dr Sh."000 | Cr Sh."000
Ordinary share capital | 1,000
Preference share capital | 200
8% debentures | 50
Retained earnings | 109
Share premium | 15
Manufacturing wages 224 |
Purchases of raw materials 1,046 |
Plant and machinery 700 |
Accumulated depreciation - Plant and machinery | 307
Motor vehicles 350 |
Accumulated depreciation - Motor vehicles | 132
Motor vehicle expenses 32 |
Sales | 2,000
Carriage inwards 65 |
Factory power and lighting 62 |
Factory insurance 24 |
Repairs to plant and machinery 17 |
General expenses 44 |

Salaries 130 |
Advertising 26 |
Directors' remuneration 98 |
Debenture interest 2 |
Inventory (1 May 2017): Raw materials 35; Work in progress 12; Finished goods 18 |
Trade receivables 106 |
Bank overdraft | 56
Trade payables | 94
Totals (as printed) 3,907 | 3,888

Additional information:
1. Inventory as at 30 April 2018 was as follows: Raw materials Sh.15,000; Work in progress Sh.22,000; Finished goods Sh.30,000.
2. Factory insurance includes Sh.4,000 paid in advance.
3. Depreciation is to be provided as follows: Plant and machinery: 15% per annum on cost; Motor vehicles: 25% per annum on reducing balance.
4. Debenture interest is outstanding for the half-year.
5. Marketing expenses of Sh.8,000 were outstanding as at 30 April 2018.

Required:
(a) Manufacturing account for the year ended 30 April 2018. (8 marks)
(b) Income statement for the year ended 30 April 2018. (6 marks)
(c) Statement of financial position as at 30 April 2018. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) ABC LTD — MANUFACTURING ACCOUNT FOR THE YEAR ENDED 30 APRIL 2018 (Sh."000)

Raw materials consumed: Opening inventory of raw materials 35 Purchases of raw materials 1,046 Carriage inwards 65 1,146 Less: Closing inventory of raw materials (15) Cost of raw materials consumed 1,131 Direct labour: manufacturing wages 224 PRIME COST 1,355 Factory overheads: Factory power and lighting 62 Factory insurance (24 − 4 prepaid) 20 Repairs to plant and machinery 17 Depreciation on plant and machinery (15% × 700) 105 Total factory overheads 204 1,559 Add: Opening work in progress 12 Less: Closing work in progress (22) COST OF PRODUCTION (factory cost of finished goods) 1,549

(b) INCOME STATEMENT FOR THE YEAR ENDED 30 APRIL 2018 (Sh."000)

Revenue (sales) 2,000 Cost of sales: Opening inventory of finished goods 18 Cost of production transferred from manufacturing account 1,549 Less: Closing inventory of finished goods (30) Cost of sales (1,537) Gross profit 463 Expenses: Motor vehicle expenses 32 Depreciation on motor vehicles (W1) 54.5 General expenses 44 Salaries 130 Advertising 26 Marketing expenses outstanding 8 Directors' remuneration 98 Debenture interest (W2) 4 Total expenses (396.5) Net profit for the year 66.5

W1. Motor vehicles: 25% on reducing balance = 25% × (350 − 132) = 54.5. W2. Debenture interest: 8% × 50 = 4 for the full year; only 2 has been paid, so a further 2 is accrued (outstanding for the half-year).

(c) STATEMENT OF FINANCIAL POSITION AS AT 30 APRIL 2018 (Sh."000)

Non-current assets: Plant and machinery: cost 700; accumulated depreciation (307 + 105) (412) → 288 Motor vehicles: cost 350; accumulated depreciation (132 + 54.5) (186.5) → 163.5 451.5 Current assets: Inventories:

raw materials 15 + work in progress 22 + finished goods 30 = 67 Trade receivables 106 Prepayments (factory insurance) 4 177 Total assets 628.5

Equity: Ordinary share capital 1,000 Preference share capital 200 Share premium 15 Retained earnings (109 + 66.5) 175.5 Total equity 1,390.5 Non-current liabilities: 8% debentures 50 Current liabilities: Trade payables 94 Bank overdraft 56 Accrued debenture interest 2 Outstanding marketing expenses 8 160 Total equity and liabilities 1,600.5 Unreconciled difference (see note) (972)

Note: the trial balance as printed in the question does not balance (printed totals Dr 3,907 / Cr 3,888, and the listed balances foot to neither), so the statement of financial position cannot be made to agree from the data as transcribed; the difference above (972 on the figures as listed) is disclosed rather than concealed. The manufacturing account and income statement are unaffected, being built from the operating balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 1,131 (opening 35 + purchases 1,046 + carriage inwards 65 − closing 15) and prime cost 1,355 after manufacturing wages 224 **(3)**
- (a) Factory overheads 204, including factory insurance adjusted for the prepaid 4 (20) and depreciation on plant and machinery 105 (15% on cost) **(3)**
- (a) Work in progress adjusted (add opening 12, less closing 22) giving cost of production Sh.1,549,000 **(2)**
- (b) Cost of sales 1,537 (finished goods opening 18 + cost of production − closing 30) and gross profit 463 **(2)**
- (b) Expenses correctly charged, including motor vehicle depreciation 54.5 (25% reducing balance), accrued debenture interest (full-year charge 4) and outstanding marketing expenses 8 **(2)**
- (b) Net profit for the year Sh.66,500 **(2)**
- (c) Non-current assets at carrying amounts (plant and machinery 288; motor vehicles 163.5) and current assets including all three inventories (67), receivables 106 and prepayment 4 **(3)**
- (c) Equity rolled forward (retained earnings 175.5) and liabilities complete (debentures 50; payables 94; overdraft 56; accrued interest 2; outstanding marketing 8), with any difference arising from the non-balancing trial balance disclosed **(3)**

KASNEB-2016-05-Q1 · May 2016 · 20 marks KASNEB authored

Manufacturing company accounts (Bidii Ltd, gas cylinders)

Bidii Ltd. is a company that manufactures gas cylinders. The following trial balance was extracted from the books of the company as at 31 March 2016 (Sh."000"): Capital and reserves: Ordinary share capital (Sh.50 per share) 80,000 Cr; 8% preference share capital 30,000 Cr; General reserve 32,400 Cr; Revenue reserves 25,110 Cr; Debentures (18%) 30,000 Cr. Non-current assets: Freehold property at cost 60,000; Accumulated depreciation — freehold property 28,300 Cr; Machinery at cost 56,000; Accumulated depreciation — machinery 32,400 Cr; Motor lorries at cost 8,000; Accumulated depreciation — motor lorries 4,400 Cr; Office furniture at cost 12,000; Accumulated depreciation — office furniture 3,700 Cr. Current accounts: Inventory (31 March 2015): Raw materials 11,350; Work in progress 6,050; Finished goods 13,900. Income statement items: Factory manager's salary 5,300; Factory wages for direct labour 30,000; Indirect labour – factory wages 3,260; Sales 390,000 Cr; Factory rent and rates 2,800; Factory power 2,250; Production expenses 24,400; Heating and lighting 36,660; Office rent and rates 960; Purchases of raw materials 99,750; Carriage inwards 1,300; Carriage outwards 2,650; Discount received 3,750 Cr; Debenture interest (half year) 2,700; Directors' fees 5,500; General office expenses 6,750; Advertising 2,350; Provision for doubtful debts 600 Cr; Accounts receivable 30,000;

Accounts payable 22,500 Cr; Interim dividend – preference shares (1 July 2015) 1,200; Interim dividend – ordinary shares (1 July 2015) 4,000; Bank 1,700 Cr; Cash 200.

Additional information:
1. Inventories at 31 March 2016 were as follows (Sh."000"): Raw materials 13,750; Work-in-progress 6,950; Finished goods 15,950.
2. Mark-up on finished goods at the selling price is 66⅔%.
3. Office rent and rates of Sh.240,000 were prepaid, and heating and lighting of Sh.660,000 was accrued.
4. Goods at cost of Sh.900,000 were damaged and destroyed in a fire on 15 March 2016. The insurance company agreed to pay Sh.750,000 in respect of the claim.
5. Provision for doubtful debts is to be increased to Sh.900,000.
6. Depreciation is to be provided as follows: Freehold property 2½% on cost; Machinery 10% on cost; Office furniture 10% on cost; Motor lorries 25% on reducing balance per annum.
7. Rent and rates, and heating and lighting are to be apportioned between factory and office in the ratio 2:1.
8. Debentures were issued on 1 April 2015. Preference dividend for the year is to be provided.

Required: (a) Manufacturing and income statement[s] for the year ended 31 March 2016. (12 marks) (b) Statement of financial position as at 31 March 2016. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- Heating and lighting: 36,660 + 660 accrued = 37,320, apportioned factory:office 2:1 → factory 24,880, office 12,440. (The trial balance carries factory rent and rates of 2,800 and office rent and rates of 960 as separate factory/office amounts.)
- Depreciation: freehold property 2.5% x 60,000 = 1,500 (factory); machinery 10% x 56,000 = 5,600 (factory); motor lorries 25% x (8,000 − 4,400) = 900 (distribution); office furniture 10% x 12,000 = 1,200 (administration).
- Debenture interest: 18% x 30,000 = 5,400 for the year (debentures issued 1 April 2015); half-year paid 2,700, so 2,700 is accrued.
- Fire: goods at cost 900 destroyed — an abnormal loss excluded from production cost; insurance recovery 750 recognised, net loss 150 borne by the income statement.
- Preference dividend for the year: 8% x 30,000 = 2,400 (interim 1,200 paid; final 1,200 proposed).

(a) Manufacturing account for the year ended 31 March 2016

```
Raw materials: opening inventory                    11,350
  Add: Purchases of raw materials                   99,750
  Add: Carriage inwards                              1,300
  Less: Closing inventory                          (13,750)
Cost of raw materials consumed                      98,650
Add: Factory wages (direct labour)                  30,000
Prime cost                                         128,650
Add factory overheads:
  Factory manager's salary                           5,300
  Indirect labour – factory wages                    3,260
  Factory rent and rates                             2,800
  Factory power                                      2,250
```

```
  Production expenses                                    24,400
  Heating and lighting (factory 2/3)                     24,880
  Depreciation – machinery                                5,600
  Depreciation – freehold property                        1,500
                                                         69,990
Production cost                                         198,640
Add: Opening work-in-progress                             6,050
Less: Closing work-in-progress                           (6,950)
                                                        197,740
Less: Abnormal loss – goods destroyed by fire              (900)
Cost of production transferred to trading account       196,840
```

Income statement for the year ended 31 March 2016

```
Sales revenue                                           390,000
Less cost of sales:
  Opening finished goods                                 13,900
  Add: Cost of production transferred                   196,840
  Less: Closing finished goods                          (15,950)  194,790
Gross profit                                            195,210
Add: Discount received                                    3,750
Less expenses:
  Office rent and rates (960 - 240 prepaid)                 720
  Heating and lighting (office 1/3)                      12,440
  Carriage outwards                                       2,650
  Debenture interest (2,700 + 2,700 accrued)              5,400
  Directors' fees                                         5,500
  General office expenses                                 6,750
  Advertising                                             2,350
  Depreciation – motor lorries                              900
  Depreciation – office furniture                         1,200
  Increase in provision for doubtful debts (900 - 600)      300
  Fire loss net of insurance recovery (900 - 750)           150   38,360
Profit for the year                                     160,600
Appropriations: Revenue reserves b/f                     25,110
  Less: Preference dividend for the year (8% x 30,000)   (2,400)
  Less: Interim ordinary dividend paid                    (4,000)
Revenue reserves c/f                                    179,310
```

(The interim preference dividend of 1,200 paid on 1 July 2015 forms part of the 2,400 preference dividend for the year; the remaining 1,200 is proposed.)

(b) Statement of financial position as at 31 March 2016

```
Non-current assets:
  Freehold property (60,000 - 29,800)                    30,200
  Machinery (56,000 - 38,000)                            18,000
  Motor lorries (8,000 - 5,300)                           2,700
  Office furniture (12,000 - 4,900)                       7,100   58,000
Current assets:
  Inventories (13,750 + 6,950 + 15,950)                  36,650
  Accounts receivable (30,000 - provision 900)           29,100
  Insurance claim receivable                                750
  Prepaid office rent and rates                             240
  Cash in hand                                              200   66,940
Total assets                                            124,940
```

```
Equity: Ordinary share capital 80,000; 8% preference
  share capital 30,000; General reserve 32,400;
  Revenue reserves 179,310                              321,710
Non-current liability: 18% debentures                    30,000
Current liabilities: Accounts payable 22,500; Bank
  overdraft 1,700; Accrued debenture interest 2,700;
  Accrued heating and lighting 660; Proposed
  preference dividend 1,200                              28,760
Total equity and liabilities                           380,470
```

Note on the data: the two sides differ by Sh.255,530,000 — precisely the amount by which the trial balance as transcribed from the scanned paper fails to balance (its debit lines sum to 429,330 against credits of 684,860). The statements above are prepared faithfully from every figure as given, with all adjustments applied; no figure has been altered. Information 2 (mark-up of 66⅔%) is not needed on the figures given, closing finished goods being provided.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 98,650 (11,350 + 99,750 + 1,300 carriage inwards − 13,750) **(2)**
- (a) Prime cost 128,650 (materials consumed + direct factory wages 30,000) **(1)**
- (a) Factory overheads 69,990, including heating and lighting apportioned 2:1 after the 660 accrual (factory 24,880) and machinery depreciation 5,600 and freehold depreciation 1,500 **(3)**
- (a) Cost of production: WIP adjustment (6,050 − 6,950) giving 197,740 and the abnormal fire loss of 900 excluded, transfer 196,840 **(2)**
- (a) Trading section: cost of sales 194,790 and gross profit 195,210 **(2)**
- (a) Income statement expenses, including debenture interest 5,400 (half-year accrued), provision increase 300, net fire loss 150, discount received 3,750 credited — profit for the year 160,600 **(2)**
- (b) Non-current assets at net book values totalling 58,000 (freehold 30,200; machinery 18,000; lorries 2,700; furniture 7,100) **(3)**
- (b) Current assets 66,940: inventories 36,650, receivables net 29,100, insurance claim receivable 750, prepaid rent 240, cash 200 **(2)**
- (b) Equity and reserves: share capitals 110,000, general reserve 32,400, revenue reserves rolled forward to 179,310 (after preference dividend 2,400 and interim ordinary dividend 4,000) **(2)**
- (b) Liabilities: debentures 30,000; payables 22,500; overdraft 1,700; accrued debenture interest 2,700; accrued heating and lighting 660; proposed preference dividend 1,200 **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M08-Q019 – CA11-M08-Q028. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 8 · FINANCIAL STATEMENTS OF A MANUFACTURING ENTITY — LESSON 3

Manufacturing Income Statement and Statement of Financial Position

Learning Objectives

By the end of this lesson you should be able to:

1. Prepare the income statement of a manufacturing entity, using the cost of production in place of purchases.
2. Handle opening and closing stocks of finished goods to arrive at cost of sales.
3. Treat manufacturing profit and unrealised profit in the income statement.
4. Apportion expenses correctly between the manufacturing account and profit and loss.
5. Prepare the statement of financial position showing three classes of inventory.

---

1. From Manufacturing Account to Income Statement

The trading section of a manufacturer's income statement differs from a retailer's in three ways:

1. **Purchases are replaced** by the **cost of production transferred** from the manufacturing account.
2. Opening and closing stocks are stocks of **finished goods** (raw materials and WIP were dealt with in the manufacturing account).
3. If goods were transferred at a mark-up, the **manufacturing profit is added after gross profit** (Lesson 2).

Format:

```
Sales                                                       xxx
Less: Returns inwards                                      (xxx)
Net sales                                                   xxx
Less: Cost of sales
  Opening stock of finished goods                           xxx
  Add: Cost of production (from manufacturing account)      xxx
                                                            xxx
  Less: Closing stock of finished goods                    (xxx)   (xxx)
Gross profit                                                xxx
Add: Manufacturing profit (if transfer at mark-up)          xxx
Less: Expenses
  Administrative expenses                                   xxx
  Selling and distribution expenses                         xxx
  Finance costs                                             xxx        (xxx)
Net profit                                                  xxx
```

Expense apportionment rule (from the study text):

Expense type	Charged to
Indirect manufacturing costs	Manufacturing account
Administrative expenses	Profit and loss
Selling and distribution expenses	Profit and loss
Finance costs	Profit and loss

---

2. Comprehensive Worked Example — Mama Uji Millers Ltd (continued)

From Lesson 2: cost of production transferred = **Sh.1,930,000** (at cost; no mark-up in this example).

Trial balance extracts and additional information (Sh.000): opening finished goods 400; sales 3,500; returns inwards 50; office salaries 420; selling expenses 260; carriage outwards 40; trade receivables 600; allowance for doubtful debts b/d 40; trade payables 320; bank 410; share capital 2,500; retained earnings b/d 510; land and buildings (cost) 1,200; plant (cost) 1,500 with accumulated depreciation b/d 280; office equipment (cost) 300 with accumulated depreciation b/d 60.

Additional information:

1. Closing stocks: raw materials 90; work in progress 130; finished goods 350.
2. Depreciation: plant and machinery 120 for the year (charged in the manufacturing account — Lesson 2); office equipment 20% on cost = 60.
3. Allowance for doubtful debts to be 10% of trade receivables.

Workings

W1 — Allowance for doubtful debts: 10% × 600 = 60 required; b/d 40; **increase of 20** charged to profit and loss.

W2 — Depreciation: Plant 120 (manufacturing account); office equipment 20% × 300 = **60** (profit and loss).

Income statement

```
                        Mama Uji Millers Ltd
            Income statement for the year ended 31 December 2025
                                                          Sh.000    Sh.000
Sales                                                               3,500
Less: Returns inwards                                                 (50)
Net sales                                                           3,450
Less: Cost of sales
  Opening stock of finished goods                           400
  Add: Cost of production (Lesson 2)                      1,930
                                                          2,330
  Less: Closing stock of finished goods                    (350)     (1,980)
Gross profit                                                        1,470
Less: Expenses
  Office salaries                                           420
  Selling expenses                                          260
  Carriage outwards                                          40
  Depreciation — office equipment                            60
  Increase in allowance for doubtful debts (W1)              20        (800)
Net profit                                                            670
```

Proof: Total credits to profit and loss = sales 3,500 + closing stocks (90 + 130 + 350 = 570) = 4,070. Total debits = opening stocks (120 + 100 + 400 = 620) + purchases 800 + carriage inwards 40 + direct labour 500 + direct expenses 60 + factory overheads 530 + office/selling expenses 800 + returns inwards 50 = 3,400. 4,070 − 3,400 = **670** ✓.

Statement of financial position

```
                        Mama Uji Millers Ltd
            Statement of financial position as at 31 December 2025
                                          Cost    Acc. dep.      NBV
                                        Sh.000    Sh.000      Sh.000
Non-current assets
```

Land and buildings	1,200	—	1,200		
Plant and machinery	1,500	400	1,100		
Office equipment	300	120	180		
			2,480		
Current assets					
Inventory:					
Raw materials	90				
Work in progress	130				
Finished goods	350		570		
Trade receivables	600				
Less: Allowance for doubtful debts	(60)		540		
Bank			410		1,520
Total assets					4,000
EQUITY					
Share capital			2,500		
Retained earnings (510 + 670)			1,180		3,680
Current liabilities					
Trade payables			320		
Total equity and liabilities					4,000

Balance check: 3,680 + 320 = 4,000 = total assets ✓.

Note how **all three inventories** appear as current assets — the signature of a manufacturer's SFP — and how the plant depreciation (400 = 280 b/d + 120 for the year) sits in non-current assets while its charge lived in the manufacturing account.

---

3. If There Had Been a Mark-Up (Revision Link)

Had Mama Uji transferred at cost + 10% (Lesson 2 illustration):

- Trading account would take **2,123** instead of 1,930.
- Cost of sales = 400 + 2,123 − 350 = 2,173; gross profit = 3,450 − 2,173 = 1,277.
- **Add manufacturing profit 193** after gross profit → 1,470 — identical to the at-cost gross profit, because no closing-stock unrealised profit adjustment arises here (closing FG is given at cost).
- With closing stock at transfer price, a **provision for unrealised profit** would be deducted from finished goods in the SFP and the increase charged in profit and loss.

> **Exam trap:** Students add manufacturing profit but forget it was already embedded in the transfer price — the add-back is *required*, not double counting: without it, gross profit is understated by the mark-up on goods *sold*. Conversely, never add manufacturing profit when transfer was at cost.

4. Mini-Example: Mark-Up, Unrealised Profit and the Full Chain

Zawadi Furniture Ltd: cost of production 800 (all transferred at cost + 20%); opening finished goods 200 (at cost); closing finished goods valued at transfer price 240; sales 1,500; other expenses 300. No opening unrealised-profit provision. (Sh.000.)

- Transfer price = 800 × 1.20 = **960**; manufacturing profit = **160**.
- Unrealised profit in closing stock = 240 × 20/120 = **40** (the profit element inside the 240).
- Cost of sales = 200 + 960 − 240 = **920**; gross profit = 1,500 − 920 = **580**.
- Add manufacturing profit 160 → 740; less increase in unrealised-profit provision (40) → 700.
- Less expenses 300 → **net profit 400**.

Self-check at cost: true cost of sales = 200 + 800 − (240 − 40) = 800; gross profit at cost = 700; less expenses 300 = 400 ✓. The SFP shows finished goods at **200** (240 − 40 provision).

Why add manufacturing profit and then deduct unrealised profit? The add-back corrects gross profit for the mark-up on goods *sold*; the provision removes the mark-up on goods *unsold*. Together they leave exactly the earned profit — no more, no less. If closing stock were nil, the two adjustments would net to the full manufacturing profit and profit would equal the at-cost result.

Note where the provision sits in the SFP: it is *deducted from finished goods* on the face of the statement (finished goods 240 less provision 40 = 200), not shown as a separate liability. The corresponding charge goes to profit and loss as an expense (or, if the provision decreases, as other income). Presenting the provision among liabilities is a presentation error markers penalise.

5. Articulation Checklist

The three statements must agree with each other — run these checks before moving on:

1. Manufacturing account transfer = trading account "cost of production" line, character for character.
2. Closing finished goods in the trading account = finished goods in the SFP (after any unrealised-profit provision).
3. Net profit in the income statement = addition to retained earnings in the SFP.
4. Every depreciation charge appears *twice*: as an expense (manufacturing account or P&L) and inside accumulated depreciation in non-current assets.
5. The allowance for doubtful debts movement equals the P&L charge; the SFP shows receivables net of the *closing* allowance.
6. The SFP balances: total assets = equity + liabilities.

Key Terms

- **Cost of sales (manufacturer)** — opening finished goods + cost of production − closing finished goods.
- **Net sales** — sales less returns inwards.
- **Manufacturing profit add-back** — credited after gross profit when transfer is above cost.
- **Three inventories** — raw materials, work in progress, finished goods; all current assets.

Module Summary

- The manufacturer's income statement substitutes cost of production for purchases and uses finished-goods stocks for cost of sales.
- Manufacturing profit (transfer above cost) is added after gross profit; unrealised profit in closing stock is provided for so stock is carried at cost.
- Expenses are apportioned: factory → manufacturing account; administration, selling/distribution, finance → profit and loss.
- The SFP shows raw materials, WIP and finished goods separately under current assets.

Exam Day Tips

1. Always label which stock you mean — "finished goods" — markers penalise bare "stock" figures in the trading section.

2. Finish the manufacturing account *before* starting the income statement; carry the transfer figure across unchanged.
3. The allowance for doubtful debts movement (new − old) is the P&L charge — compute it as a working, never by instinct.
4. Prove net profit with the credits-minus-debits check shown above; it takes thirty seconds and catches classification slips.
5. In the SFP, deduct the allowance from receivables on the face — not in a working.

Slide deck at a glance

From manufacturing account to income statement

- Purchases replaced by cost of production from manufacturing account
- Stocks are FINISHED GOODS only (RM and WIP handled in manufacturing account)
- If transfer at mark-up: manufacturing profit added after gross profit
- Expenses: indirect manufacturing → manufacturing account
- Admin, selling & distribution, finance → profit and loss

The manufacturer's trading section

- Net sales = sales − returns inwards
- Cost of sales = opening FG + cost of production − closing FG
- Gross profit = net sales − cost of sales
- Add manufacturing profit (if transfer above cost) after gross profit
- Office salaries, selling expenses, carriage outwards, office depreciation → P&L

Worked example — Mama Uji income statement

- Mama Uji: cost of production transferred at cost = 1,930
- Cost of sales = 400 + 1,930 − 350 = 1,980; gross profit = 1,470
- Allowance: 10% × 600 = 60; increase of 20 charged to P&L
- Net profit 670 — prove via credits 4,070 − debits 3,400 ✓
- Finish the manufacturing account BEFORE starting the income statement

Worked example — Mama Uji SFP

- All three inventories shown separately as current assets
- SFP: raw materials 90 + WIP 130 + finished goods 350 = 570
- Receivables net of closing allowance: 600 − 60 = 540
- Plant depreciation 400 = 280 b/d + 120 (charge lived in manufacturing account)
- Retained earnings = b/d 510 + net profit 670 = 1,180; SFP balances ✓

Mark-up and unrealised profit revision

- Mark-up case: trading takes 2,123 instead of 1,930 (cost + 10%)
- Add manufacturing profit 193 after gross profit — identical gross result
- Zawadi Furniture: transfer 800 × 1.20 = 960; manufacturing profit = 160
- Unrealised profit in closing stock = 240 × 20/120 = 40
- Net chain: add manufacturing profit, deduct provision increase, less expenses

Why both adjustments exist

- Add-back corrects GP for mark-up on goods SOLD — not double counting
- Provision removes mark-up on goods UNSOLD (prudence)
- SFP: finished goods 240 − provision 40 = 200 (deducted, not a liability)

- If closing stock is nil, no unrealised profit at all
- Never add manufacturing profit when transfer was at cost

Articulation checklist

- Manufacturing account transfer = trading "cost of production" line
- Closing FG in trading account = SFP finished goods (after provision)
- Net profit = addition to retained earnings in the SFP
- Every depreciation appears twice: as an expense AND in accumulated depreciation
- Allowance movement = P&L charge; SFP shows receivables net of closing allowance

Key takeaways / exam tips

- Always label which stock you mean — "finished goods", never bare "stock"
- Carry the manufacturing-account transfer figure across unchanged
- Allowance movement (new − old) is the P&L charge — compute, don't guess
- Deduct the allowance from receivables on the face of the SFP
- Prove net profit with the credits-minus-debits check before moving on

KASNEB past-paper worked examples

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Manufacturing company accounts (Faida Ltd)

Faida Ltd. manufactures and supplies gas cylinders. Trial balance as at 30 June 2023 (Sh."000"): Dr — Purchases of raw materials 1,030,000; Returns inward 37,412; Land 80,000; Building at cost 320,000; Plant and machinery at cost 1,400,000; Office equipment at cost 220,000; Motor vehicles at cost 400,000; Bank balance 80,040; General administrative expenses 63,011; Interim dividend on preference shares 15,000; Factory power 70,028; Light and heat 102,054; Bank interest 14,140; Insurance 30,232; Rates 80,342; Office salaries 352,026; Advertising 340,096; Directors' salaries 119,239; Inventory (1 July 2022): raw materials 140,000, work-in-progress 252,000, finished goods 500,000; Plant repairs 100,204; Rent 80,126; Carriage inwards of raw materials 170,026; Direct wages 1,062,800; Trade receivables 1,000,000. Cr — Sales 5,220,294; Ordinary share capital 900,000; 10% redeemable preference share capital 300,000; Retained profit (1 July 2022) 89,950; Accumulated depreciation (1 July 2022): building 15,000, plant and machinery 401,000, office equipment 98,000, motor vehicles 160,000; Trade payables 712,452; Allowance for doubtful debts (1 July 2022) 2,000. Total 7,978,736 = 7,978,736.

Additional information: (1) Allowance for doubtful debts is to be maintained at 2% of the trade receivables balance at 30 June 2023. (2) Inventory at 30 June 2023: raw materials Sh.116,000,000; work-in-progress Sh. 64,000,000 (finished goods at factory cost). (3) Light and heat of Sh.1,500,000 and rent of Sh.2,400,000 were accruing at 30 June 2023, while rates of Sh.4,200,000 and insurance of Sh.3,200,000 relate to the period ending 30 June 2024. (4) Rent, rates, light and heat and insurance are apportioned 80% factory : 20% administration. (5) Depreciation: building 2.5% on cost (administration); plant and machinery 10% on cost (factory); office equipment 10% on cost (administration); motor vehicles 25% on cost (distribution). (6) The company completed 2,000 units during the year and only 150 units were in inventory at 30 June 2023. (7) Corporation tax is to be provided at 30%.

Required: (a) Manufacturing statement for the year ended 30 June 2023. (10 marks) (b) Statement of profit or loss for the year ended 30 June 2023. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings — period charges and apportionments

- Light and heat: 102,054 + 1,500 accruing = 103,554 → factory 82,843.20; administration 20,710.80.
- Rent: 80,126 + 2,400 accruing = 82,526 → factory 66,020.80; administration 16,505.20.
- Rates: 80,342 − 4,200 prepaid = 76,142 → factory 60,913.60; administration 15,228.40.
- Insurance: 30,232 − 3,200 prepaid = 27,032 → factory 21,625.60; administration 5,406.40.

(a) Manufacturing statement for the year ended 30 June 2023

Raw materials: opening inventory 140,000 + purchases 1,030,000 + carriage inwards 170,026 − closing inventory 116,000			1,224,026
Direct wages			1,062,800
Prime cost			2,286,826
Factory overheads:			
Factory power	70,028		
Plant repairs	100,204		
Light and heat (80%)	82,843.20		
Rent (80%)	66,020.80		
Rates (80%)	60,913.60		
Insurance (80%)	21,625.60		
Depreciation — plant and machinery (10% × 1,400,000)	140,000		541,635.20
			2,828,461.20
Add: opening work-in-progress			252,000
Less: closing work-in-progress			(64,000)
Factory cost of production			3,016,461.20

Units completed: 2,000 → cost per unit = Sh.1,508,230.60

Closing finished goods: 150 units × 1,508.2306 = 226,234.59

(b) Statement of profit or loss for the year ended 30 June 2023

Sales (5,220,294 − returns inward 37,412)			5,182,882.00
Cost of sales: opening finished goods 500,000 + factory cost of production 3,016,461.20 − closing finished goods 226,234.59			(3,290,226.61)
Gross profit			1,892,655.39
Less expenses:			
Office salaries	352,026		
Advertising	340,096		
Directors' salaries	119,239		
General administrative expenses	63,011		
Light and heat (20%)	20,710.80		
Rent (20%)	16,505.20		
Rates (20%)	15,228.40		
Insurance (20%)	5,406.40		
Depreciation — building (2.5% × 320,000)	8,000		
Depreciation — office equipment (10% × 220,000)	22,000		
Depreciation — motor vehicles (25% × 400,000)	100,000		
Bank interest	14,140		
Increase in allowance for doubtful debts (2% × 1,000,000 = 20,000 − 2,000)	18,000	(1,094,362.80)	
Profit before tax			798,292.59
Corporation tax at 30%			(239,487.78)
Profit after tax			558,804.81

```
Appropriation: Retained profit b/f 89,950 + PAT 558,804.81
  – interim preference dividend paid 15,000 → Retained profit c/f    633,754.81
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 1,224,026 (carriage inwards included; closing RM deducted) **(2)**
- (a) Prime cost 2,286,826 **(1)**
- (a) Factory overheads 541,635.20 with correct accrual (light & heat, rent) and prepayment (rates, insurance) adjustments, 80:20 apportionments and P&M depreciation 140,000 **(3)**
- (a) Factory cost of production 3,016,461.20 after WIP adjustment **(2)**
- (a) Unit cost Sh.1,508,230.60 and closing finished goods 226,234.59 (150 units) **(2)**
- (b) Gross profit 1,892,655.39 (net sales 5,182,882; finished goods valued at factory cost) **(2)**
- (b) Expenses totalling 1,094,362.80: all TB admin items, 20% apportionments, depreciation building 8,000 / office equipment 22,000 / motor vehicles 100,000, bank interest 14,140 **(3)**
- (b) Allowance charge 18,000 (required 20,000 at 2% of receivables) **(1)**
- (b) Profit before tax 798,292.59; corporation tax 30% = 239,487.78; profit after tax 558,804.81 **(3)**
- (b) Appropriation: retained profit c/f 633,754.81 after interim preference dividend 15,000 **(1)**

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Manufacturing company accounts with transfer pricing mark-up (Maji Matamu Ltd)

Maji Matamu Ltd. manufactures Tamu juice. On 1 January 2021, 100,000 litres of Tamu juice were in stock. During the year ended 31 December 2021, the company manufactured 366,000 litres of juice and sold 400,000 litres at Sh.600 per litre.

Trial balance for the year ended 31 December 2021 (Sh."000"): Dr — Factory land and building at cost (land Sh.11,000,000) 22,700; Plant and machinery at cost 35,000; Motor vehicles at cost 4,050; Inventories (1 January 2021): raw materials 3,280, work-in-progress 11,000, finished goods 50,000; Purchases of raw materials 166,101; Factory wages 3,810; Office salaries 1,250; Factory expenses 13,490; Office expenses 3,860; Accounts receivable 5,340. Cr — 240,000 ordinary shares of Sh.100 each 24,000; Retained earnings (1 January 2021) 3,000; Accumulated depreciation (1 January 2021): factory building 7,680, plant and machinery 2,930, motor vehicles 950; Sales 276,381; Allowance for doubtful debts 380; Accounts payable 4,320; Bank (overdraft) 240. Total 319,881 = 319,881.

Additional information: (1) Inventories at 31 December 2021: raw materials 3,560; work-in-progress 18,400; finished goods 33,000. (2) Allowance for doubtful debts to be maintained at 5% of accounts receivable. (3) Accrued expenses at 31 December 2021 amounted to Sh.125,000 in total (including office expenses of Sh. 75,000); prepaid expenses Sh.12,000 in total (including office rent and rates of Sh.7,000). (4) Depreciation on cost: factory buildings 2%; factory plant 20%; motor vehicles 25%. (5) Opening finished goods were valued at factory cost. (6) All juice manufactured is transferred to the warehouse at a mark-up of 10% on factory cost from 1 January 2021. (7) The directors proposed a dividend of Sh.10 per share.

Required: (a) Manufacturing account and statement of profit or loss for the year ended 31 December 2021. (12 marks) (b) Statement of financial position as at 31 December 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Manufacturing account

Raw materials: opening 3,280 + purchases 166,101 − closing 3,560	165,821
Factory wages	3,810
Prime cost	169,631
Factory overheads:	
Factory expenses (13,490 + 50 accrued − 5 prepaid)	13,535
Depreciation — factory building (2% × (22,700 − 11,000 land))	234
Depreciation — plant and machinery (20% × 35,000)	7,000
	20,769
	190,400
Add: opening work-in-progress	11,000
Less: closing work-in-progress	(18,400)
Factory cost of production	183,000
Check: 366,000 litres × Sh.500 per litre = 183,000 ✓	
Transfer to warehouse at cost + 10%	201,300
Manufacturing profit	18,300

Statement of profit or loss

Sales (per trial balance)	276,381
Cost of sales at factory cost: opening finished goods (at cost) 50,000	
+ factory cost of production 183,000 − closing finished goods	
at cost 33,000	(200,000)
Gross profit	76,381
Less expenses:	
Office salaries	1,250
Office expenses (3,860 + 75 accrued − 7 prepaid)	3,928
Depreciation — motor vehicles (25% × 4,050)	1,012.50
Allowance for doubtful debts released	
(required 5% × 5,340 = 267; existing 380)	(113)
Net profit	70,303.50

Notes: closing finished goods at transfer price = 66,000 litres (100,000 + 366,000 − 400,000) × Sh.550 = 36,300; less provision for unrealised profit (66,000 × Sh.50) 3,300 → 33,000 at cost, agreeing with the given valuation. The manufacturing profit of 18,300 less the 3,300 increase in the unrealised-profit provision (opening provision nil — opening stock was at cost) gives the realised manufacturing profit of 15,000, which is embedded in the gross profit computed above at factory cost.

(b) Statement of financial position as at 31 December 2021

Non-current assets:		
Factory land and building (22,700 − 7,914)	14,786	
Plant and machinery (35,000 − 9,930)	25,070	
Motor vehicles (4,050 − 1,962.50)	2,087.50	41,943.50
Current assets:		
Inventories (3,560 + 18,400 + 33,000)	54,960	
Accounts receivable (5,340 − 267)	5,073	
Prepaid expenses	12	60,045
Total assets		101,988.50
Equity: Share capital 24,000; Retained earnings		
(3,000 + 70,303.50 − proposed dividend 2,400)	70,903.50	94,903.50
Current liabilities:		
Accounts payable 4,320; Bank overdraft 240;		

```
  Accrued expenses 125; Proposed dividend (240,000 × Sh.10) 2,400     7,085
Total equity and liabilities                                        101,988.50
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 165,821 and prime cost 169,631 **(2)**
- (a) Factory overheads 20,769 (factory expenses adjusted for factory accrual 50 and prepaid 5; building depreciation 234 excluding land; plant 7,000) **(3)**
- (a) Factory cost of production 183,000 after WIP; agrees 366,000 litres × Sh.500 **(2)**
- (a) Transfer at cost + 10% = 201,300 and manufacturing profit 18,300; unrealised profit provision 3,300 on closing stock (66,000 litres) → closing FG at cost 33,000 **(3)**
- (a) Gross profit 76,381 using trial balance sales and cost-of-sales at factory cost; expenses incl. MV depreciation 1,012.50 and allowance release 113; net profit 70,303.50 **(2)**
- (b) Non-current assets 41,943.50 with depreciation updated; inventories 54,960 (FG net of unrealised profit) **(3)**
- (b) Proposed dividend 2,400 (240,000 shares × Sh.10) in current liabilities; retained earnings 70,903.50; SOFP balances at 101,988.50 **(5)**

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Manufacturing account and company profit or loss (Alfajiri Manufacturers Ltd)

The following trial balance was extracted from the books of Alfajiri Manufacturers Ltd. as at 30 June 2021 (Sh."000"): Freehold property at cost 25,000; Plant at cost 26,000; Accumulated depreciation on plant 12,400 Cr; Motor vehicles at cost 10,600; Accumulated depreciation on motor vehicles 6,100 Cr; Fixtures and fittings at cost 7,941; Accumulated depreciation on fixtures and fittings 2,358 Cr; Discounts receivable 493 Cr; 15% debentures 20,000 Cr; Raw materials purchases 183,476; Sales 244,925 Cr; Sundry expenses 5,830; Bank charges 585; Marketing expenses 4,609; Advertising expenses 1,716; Sales returns 269; Raw materials purchases returns 634 Cr; Salaries 18,000; Plant maintenance 2,194; Lighting and heating 3,256; Factory power 4,512; Factory wages 21,674; Rates and insurance 1,843; Bad debts 979; Allowance for doubtful debts 1,381 Cr; Share capital – 1,000,000 ordinary shares of Sh.50 each 50,000 Cr; General reserve 44,000 Cr; Revenue reserve (unappropriated profits) 881 Cr; Interim dividend paid 3,200; Cash at bank 6,714; Accounts receivable 26,409 / Accounts payable 11,647 Cr; Inventories as at 1 July 2020: Raw materials 6,811; Work-in-progress 11,532; Finished goods 21,669. Totals 394,819 / 394,819.

Additional information: 1. Freehold property includes land at a cost of Sh.15,000,000; the other amount is the cost of buildings. 2. Buildings are to be depreciated using the straight line method over a fifty-year life commencing 1 July 2020; this expense is a factory overhead. 3. Depreciation is on a reducing balance basis: Plant 15%; Motor vehicles 25%; Fixtures and fittings 10%. Only plant depreciation is charged to the factory; the others are administrative expenses. 4. Allowance for doubtful debts is to be adjusted to 8% of the accounts receivable. 5. Apportion lighting and heating, rates and insurance, and sundry expenses 4:1 between factory and administrative overheads. 6. An amount of Sh.6,000,000 included in the factory wages account is the factory manager's salary. 7. The directors wish to provide for a final dividend which will bring the dividend for the year up to Sh.5 per share. 8. Debenture interest for the current year has not yet been paid. 9. Some finished goods which cost Sh.541,000 have been sold to a customer at an additional profit margin of Sh.57,000 but the customer has indicated that he intends to return them since they are not what he ordered. This sale was a credit sale and has been included in the accounts receivable. 10. As at 30 June 2021: light and heat accrued Sh.

154,000; insurance prepaid Sh.48,000; rates prepaid Sh.150,000. 11. Inventories as at 30 June 2021: Raw materials Sh.27,851,000; Work-in-progress Sh.16,490,000; Finished goods Sh.24,627,000.
Required: (a) Manufacturing account for the year ended 30 June 2021. (10 marks) (b) Statement of profit or loss for the year ended 30 June 2021. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings: Adjusted lighting and heating = 3,256 + 154 accrued = 3,410 (factory 4/5 = 2,728; admin 682). Adjusted rates and insurance = 1,843 − 48 − 150 prepaid = 1,645 (factory 1,316; admin 329). Sundry expenses 5,830 (factory 4,664; admin 1,166). Buildings depreciation = (25,000 − 15,000) ÷ 50 = 200 (factory). Plant depreciation = 15% × (26,000 − 12,400) = 2,040. Motor vehicle depreciation = 25% × (10,600 − 6,100) = 1,125. Fixtures depreciation = 10% × (7,941 − 2,358) = 558.3. Item 9: the sale of 598 (cost 541 + profit 57) is reversed because the customer is returning the goods — sales and receivables reduce by 598 and the goods are reinstated in finished goods inventory (24,627 + 541 = 25,168). Adjusted receivables = 26,409 − 598 = 25,811; allowance = 8% × 25,811 = 2,064.88 (increase 683.88). Debenture interest = 15% × 20,000 = 3,000 (accrued, unpaid). Final dividend: total dividend Sh.5 × 1,000,000 shares = 5,000; less interim paid 3,200 → final proposed 1,800.

(a) Manufacturing account for the year ended 30 June 2021

Raw materials: Opening inventory 6,811 + purchases 183,476 − returns 634 − closing inventory 27,851		161,802
Factory wages (incl. factory manager's salary)		21,674
Prime cost		183,476
Factory overheads:		
Plant maintenance	2,194	
Factory power	4,512	
Lighting and heating (4/5 × 3,410)	2,728	
Rates and insurance (4/5 × 1,645)	1,316	
Sundry expenses (4/5 × 5,830)	4,664	
Depreciation: Buildings	200	
Plant	2,040	17,654
Add: Opening work-in-progress 11,532		
Less: Closing work-in-progress (16,490)		
Cost of production		196,172

(b) Statement of profit or loss for the year ended 30 June 2021

Sales (244,925 − returns 269 − reversed sale 598)		244,058
Cost of sales: Opening finished goods 21,669 + cost of production 196,172 − closing finished goods 25,168		(192,673)
Gross profit		51,385
Add: Discounts receivable		493
Less expenses:		
Salaries (administrative)	18,000.00	
Marketing expenses	4,609.00	
Advertising expenses	1,716.00	
Bank charges	585.00	
Bad debts 979 + increase in allowance 683.88	1,662.88	
Lighting and heating (1/5)	682.00	
Rates and insurance (1/5)	329.00	
Sundry expenses (1/5)	1,166.00	
Depreciation: Motor vehicles	1,125.00	

```
                Fixtures and fittings    558.30
  Debenture interest (15% × 20,000)    3,000.00        (33,433.18)
Profit for the year                                     18,444.82
Appropriation: Revenue reserve b/f 881 + 18,444.82
  Less: Interim dividend paid (3,200)
        Proposed final dividend (1,800)
Revenue reserve c/f                                     14,325.82
```

No corporation tax information is given in the question, so no tax charge is provided.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 161,802 (opening 6,811 + purchases 183,476 − returns 634 − closing 27,851) **(2)**
- (a) Prime cost 183,476 after factory wages 21,674 (manager's salary remains a factory cost) **(1)**
- (a) Factory overheads 17,654 including apportioned lighting/heating 2,728, rates/insurance 1,316, sundry 4,664, buildings depreciation 200 and plant depreciation 2,040 **(4)**
- (a) Work-in-progress adjustment and cost of production 196,172 **(3)**
- (b) Sales adjusted to 244,058 (returns 269 and reversed sale 598) and finished goods reinstated to 25,168 **(2)**
- (b) Cost of sales 192,673 and gross profit 51,385 **(2)**
- (b) Discounts receivable 493 added **(1)**
- (b) Administrative and finance expenses including bad debts and allowance increase 683.88, debenture interest 3,000, motor vehicle depreciation 1,125 and fixtures depreciation 558.30 **(3)**
- (b) Profit for the year Sh.18,444,820 **(1)**
- (b) Dividends: interim 3,200 and final 1,800 (Sh.5 per share in total); revenue reserve c/f 14,325.82 **(1)**

KASNEB-2019-05-Q4 · May 2019 · 20 marks KASNEB authored

Sole trader manufacturing accounts (AM Manufacturing Enterprise)

AM Manufacturing Enterprise is a sole trader business dealing in production of metallic products. The following information was extracted from its books for the year ended 30 April 2019 (Sh."000"): Office salaries 3,080; Manufacturing staff salaries 8,120; Manufacturing wages 7,000; Input VAT 1,120 Cr; Output VAT 2,240 Cr; Bank balance 2,671; Depreciation (secondhand machinery) 2,744; Depreciation (office equipment) 560; Factory expenses 4,424; Discounts received 672; Carriage outwards 840; Repairs on factory building 3,780; Purchases of raw materials 11,200; Returns inwards 560; Raw materials returns 308; Sales 50,400; Inventories (1 May 2018): Raw materials 2,660, Work-in-progress 4,200, Finished goods 6,300; Carriage inwards 1,400; Factory building at cost 56,000; Factory building accumulated depreciation 11,200 Cr; Secondhand machinery at cost 11,200; Secondhand machinery accumulated depreciation 8,400 Cr; Office equipment at cost 2,800; Office equipment accumulated depreciation 1,400 Cr; Accounts receivable 5,040; Accounts payable 2,940; Inventories (30 April 2019): Raw materials 4,480, Work-in-progress 3,920, Finished goods 4,480; Capital (1 May 2018) 46,480 Cr; Drawings 2,240.

Additional information: 1. Manufactured goods are issued at cost plus 25%. 2. Factory expenses include indirect wages of Sh.3,080,000. 3. Input VAT will be offset against output VAT; the difference will be remitted to KRA. 4. Depreciation is charged as follows: Factory building 2½% on cost; Second-hand machinery 10% on cost; Office equipment 20% on cost. 5. There is an allowance of 5% on closing accounts receivable for doubtful debts. 6. Unpaid wages relating to the production staff amounted to Sh.140,000 as at 30 April 2019.

Required: (a) Manufacturing account for the year ended 30 April 2019. (6 marks) (b) Income statement for the

year ended 30 April 2019. (6 marks) (c) Statement of financial position as at 30 April 2019. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Manufacturing account for the year ended 30 April 2019

```
Raw materials: Opening inventory                 2,660
  Purchases                                     11,200
  Carriage inwards                               1,400
  Returns outwards                                (308)
  Closing inventory                             (4,480)
Cost of raw materials consumed                              10,472
Direct labour: Manufacturing wages 7,000 + accrued 140       7,140
Prime cost                                                  17,612
Factory overheads: Manufacturing staff salaries   8,120
  Factory expenses                                4,424
  Repairs on factory building                     3,780
  Depreciation: factory building (2½% × 56,000)   1,400
  Depreciation: machinery (10% × 11,200)          1,120     18,844
                                                            36,456
Add: Opening work-in-progress                                4,200
Less: Closing work-in-progress                              (3,920)
Factory cost of production                                  36,736
Add: Manufacturing profit (25% on cost)                      9,184
Transfer price of goods manufactured                        45,920
```

(b) Income statement for the year ended 30 April 2019

```
Sales 50,400 less returns inwards (560)                     49,840
Cost of sales: Opening finished goods 6,300 + transfers in 45,920 − closing finished
goods (4,480)   (47,740)
Gross profit                                                 2,100
Add: Manufacturing profit for the year                       9,184
  Provision for unrealised profit: opening finished goods (6,300 × 25/125) 1,260
  Less closing finished goods (4,480 × 25/125)                (896)
  Discounts received                                           672
                                                            12,320
Less: Office salaries 3,080; Carriage outwards 840; Depreciation — office equipment
(20% × 2,800) 560; Allowance for doubtful debts (5% × 5,040) 252   (4,732)
Net profit                                                   7,588
```

(c) Statement of financial position as at 30 April 2019

```
Non-current assets (cost / acc. depreciation / NBV):
  Factory building      56,000 / (12,600)    43,400
  Secondhand machinery  11,200 / (9,520)      1,680
  Office equipment       2,800 / (1,960)        840
Current assets: Inventories (RM 4,480 + WIP 3,920 + FG 4,480) 12,880
  Accounts receivable 5,040 less allowance (252)             4,788
  Bank balance                                               2,671
Total assets                                                66,259
Capital (1 May 2018) 46,480 + Net profit 7,588 − Drawings (2,240)   51,828
```

```
Current liabilities: Accounts payable 2,940; VAT payable to KRA (2,240 – 1,120)
1,120; Accrued wages 140   4,200
```

Note: accumulated depreciation at 30 April 2019 = opening balances plus the charges per note 4 (building 11,200 + 1,400; machinery 8,400 + 1,120; office equipment 1,400 + 560). See source note on the source data.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Raw materials consumed 10,472 (opening + purchases + carriage inwards − returns − closing) (2) **(2)**
- (a) Prime cost 17,612 (manufacturing wages 7,000 + accrued wages 140) (1) **(1)**
- (a) Factory overheads 18,844 incl. staff salaries, factory expenses, repairs and depreciation 1,400 + 1,120 (2) **(2)**
- (a) Factory cost 36,736 after WIP adjustment; transfer price at cost +25% = 45,920 (1) **(1)**
- (b) Gross profit 2,100 (net sales 49,840 − cost of sales 47,740 using transfer price) (2) **(2)**
- (b) Manufacturing profit 9,184 adjusted for unrealised profit (opening release 1,260; closing provision 896) and discounts received 672 (2) **(2)**
- (b) Administration/selling expenses 4,732 incl. doubtful debts allowance 252 → net profit 7,588 (2) **(2)**
- (c) Non-current assets at NBV 45,920 (accumulated depreciation updated) (3) **(3)**
- (c) Current assets: inventories 12,880, receivables net 4,788, bank 2,671 (2) **(2)**
- (c) Capital account 51,828 and current liabilities 4,200 (payables, VAT payable 1,120, accrued wages 140) (3) **(3)**

KASNEB-2017-05-Q2 · May 2017 · 20 marks KASNEB authored

IFRS adoption challenges; manufacturing company accounts (Matumizi Ltd)

(a) Highlight four challenges faced when adopting International Financial Reporting Standards (IFRSs). (4 marks)

(b) Matumizi Ltd. is a chemical manufacturing company. The trial balance as at 30 June 2016 was extracted as follows (Sh."000"): Ordinary share capital (Sh.20 each) 15,000 Cr; Share premium 400 Cr; Retained profits (1 July 2015) 4,200 Cr; Debentures 5,000 Cr; Sales 86,400 Cr; Inventory: Raw materials (1 July 2015) 4,200; Work-in-progress (1 July 2015) 3,000; Finished goods (1 July 2015) 5,800; Land and buildings at cost 12,000; Plant and equipment at cost 9,000; Accumulated depreciation (1 July 2015): Land and buildings 2,400 Cr, Plant and equipment 3,600 Cr; Motor vehicles 4,000; Accumulated depreciation (1 July 2015) 2,000 Cr; Accounts receivable 9,600; Cash at bank 12,000; Accounts payable 5,200 Cr; Purchases of raw materials 32,000; Purchase returns 400 Cr; Carriage inwards 560; Direct wages 9,200; Salaries 8,400; Factory general expenses 1,440; Factory power 2,200; Rent and rates 1,800; Office expenses 600; Advertising 1,200; Motor vehicle expenses 800; Directors' fees 3,600; Debenture interest 500; Interim dividend paid 1,000. Totals 130,400 / 130,400.

Additional information:

1. Manufactured goods are transferred at cost plus 20%.
2. Inventories as at 30 June 2016 were as follows: Raw materials Sh.5,200,000; Work-in-progress Sh.3,400,000; Finished goods Sh.7,000,000.
3. Accrued debenture interest as at 30 June 2016 was Sh.500,000.
4. Depreciation is to be provided as follows: Land and buildings 2% on cost; Plant and equipment 10% on reducing balance; Motor vehicles 25% on reducing balance.

5. Rent and rates are to be apportioned between the factory and office in the ratio 2:1.
6. The directors propose a final dividend of 10% on the ordinary share capital.
7. Taxation for the year ended 30 June 2016 is estimated at Sh.2,500,000.
8. A provision of 5% of accounts receivable is to be maintained as allowance for doubtful debts.

Required: (i) Manufacturing account and income statement for the year ended 30 June 2016. (16 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Challenges faced when adopting IFRSs (any four)

1. **Shortage of expertise** — too few accountants, valuers and actuaries trained in IFRS, especially for complex standards (financial instruments, fair value).
2. **Cost of implementation** — new accounting systems, staff training, systems conversion and higher audit/compliance costs, heavy for smaller entities.
3. **Conflicting laws and regulations** — local company law and tax law (e.g. capital allowances vs depreciation, dividend rules) do not always align with IFRS recognition and measurement, requiring legislative amendment and creating tax uncertainties.
4. **Fair value measurement difficulties** — many IFRS measurements need active markets and reliable valuations that may not exist locally, so fair values are hard to determine objectively. (Also acceptable: volatility of reported profits from fair value changes; weak enforcement/regulatory capacity; continuous amendment of standards requiring constant retraining.)

(b)(i) Manufacturing account for the year ended 30 June 2016

Workings

- Depreciation: land and buildings 2% x 12,000 = 240 (premises cost, apportioned factory:office 2:1 like rent — factory 160, office 80); plant and equipment 10% x (9,000 − 3,600) = 540 (factory); motor vehicles 25% x (4,000 − 2,000) = 500 (distribution/administration).
- Rent and rates: factory 2/3 x 1,800 = 1,200; office 600.
- Provision for unrealised profit in finished goods at transfer price (cost + 20%): closing 20/120 x 7,000 = 1,166.67; opening 20/120 x 5,800 = 966.67; increase charged to the income statement = 200.

```
Raw materials: opening inventory                          4,200
  Add: Purchases of raw materials                        32,000
  Less: Purchase returns                                   (400)
  Add: Carriage inwards                                     560
  Less: Closing inventory                                (5,200)
Cost of raw materials consumed                           31,160
Add: Direct wages                                         9,200
Prime cost                                               40,360
Add factory overheads:
  Factory general expenses                                1,440
  Factory power                                           2,200
  Rent and rates (factory 2/3)                            1,200
  Depreciation – plant and equipment                        540
  Depreciation – land and buildings (factory 2/3)           160
                                                          5,540
```

Total production cost	45,900
Add: Opening work-in-progress	3,000
Less: Closing work-in-progress	(3,400)
Cost of goods manufactured	45,500
Add: Manufacturing profit (20% on cost)	9,100
Transfer price of goods manufactured	54,600

Income statement for the year ended 30 June 2016

Sales revenue		86,400
Less cost of sales:		
Opening finished goods		5,800
Add: Transfers from factory (at transfer price)		54,600
Less: Closing finished goods		(7,000) 53,400
Gross profit		33,000
Less: Increase in provision for unrealised profit		(200)
Add: Manufacturing profit		9,100
		41,900
Less expenses:		
Salaries		8,400
Rent and rates (office 1/3)		600
Office expenses		600
Advertising		1,200
Motor vehicle expenses		800
Directors' fees		3,600
Debenture interest (500 paid + 500 accrued)		1,000
Depreciation – motor vehicles		500
Depreciation – land and buildings (office 1/3)		80
Allowance for doubtful debts (5% x 9,600)		480 17,260
Profit before tax		24,640
Less: Corporation tax		(2,500)
Profit after tax		22,140
Appropriations:		
Retained profits b/f		4,200
Less: Interim dividend paid		(1,000)
Less: Proposed final dividend (10% x 15,000)		(1,500)
Retained profits c/f		23,840

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four IFRS adoption challenges, well highlighted (skills shortage, implementation cost, conflict with local law/tax, fair value measurement difficulty, enforcement capacity, profit volatility) — 1 each **(4)**
- (b) Raw materials consumed correctly computed: 4,200 + 32,000 − 400 returns + 560 carriage inwards − 5,200 closing = 31,160 **(2)**
- (b) Prime cost 40,360 (materials consumed + direct wages 9,200) **(1)**
- (b) Factory overheads 5,540: factory general expenses 1,440, factory power 2,200, rent factory share 1,200 (2:1), depreciation plant and equipment 540 (10% reducing balance), buildings depreciation factory share 160 **(3)**
- (b) Cost of goods manufactured 45,500 (production cost 45,900 + opening WIP 3,000 − closing WIP 3,400) **(1)**
- (b) Transfer price 54,600 (cost + 20%) and manufacturing profit 9,100 identified **(2)**
- (b) Trading section: cost of sales 53,400 and gross profit 33,000 **(2)**
- (b) Provision for unrealised profit: increase of 200 (20/120 x (7,000 − 5,800)) deducted **(1)**

- (b) Expenses correctly totalled at 17,260 including debenture interest 1,000 (500 + 500 accrued), motor vehicle depreciation 500, allowance for doubtful debts 480 (5% x 9,600) **(2)**
- (b) Profit after tax 22,140 (PBT 24,640 − tax 2,500) and appropriations: interim dividend 1,000, proposed final dividend 1,500, retained profits c/f 23,840 **(2)**

KASNEB-2015-09-PILOT-Q4 · September 2015 Pilot Paper · 20 marks KASNEB authored

Income and expenditure account vs receipts and payments account; manufacturing account and income statement (Jotan Manufacturers)

(a) Explain three differences between an income and expenditure account and a receipts and payment account in accounting for a not-for-profit organisation. (6 marks)
(b) Joy Nitan owns a manufacturing plant under the name Jotan Manufacturers. The following trial balance was extracted from the books of Jotan Manufacturers as at 30 June 2015 (Sh."million"): Capital 1,250; 10% bank loan 1,100; Land 1,475; Factory building 1,450; Factory plant 200; Office expenses 18; Electricity 20; Factory fuel 25; Factory salaries 18; Delivery vans 150; Inventory - Raw materials 125; Work in progress 75; Finished goods 300; Sales 3,554; Sales returns 50; Purchases of raw materials 1,500; Insurance 9; Water 40; General salaries 200; Allowance for irrecoverable debts 30; Trade receivables 600; Trade payables 820; Bank 400; Cash 60; Computers 200; Provision for depreciation - Factory building 200; Factory plant 40; Delivery van 60; Computers 50; Irrecoverable debts 10; Loan interest 110; Discount received 36; Investments 120; Investment income 15. Total 7,155 / 7,155.
Additional information: 1. Inventory as at 30 June 2015 was valued as follows (Sh."million"): Raw materials 200; Work in progress 100; Finished goods 250. 2. Allowance for irrecoverable debts is to be adjusted to Sh.25 million. 3. Prepaid insurance amounted to Sh.3 million as at 30 June 2015. 4. Accrued general salaries amounted to Sh.16 million. 5. Expenses to be apportioned between factory, administration and selling expenses as follows: Electricity - Factory 80%, Administration 20%; General salaries - Factory 20%, Administration 60%, Selling 20%; Insurance - Factory 20%, Administration 60%, Selling 20%; Water - Factory 80%, Administration 20%; Depreciation - Factory buildings 100% factory, Factory plant 100% factory, Delivery van 100% selling, Computers 50% factory and 50% administration. 6. Depreciation is to be provided on cost as follows: Factory buildings 2% per annum; Factory plant 10% per annum; Delivery van 20% per annum; Computers 20% per annum.
Required: Manufacturing account and income statement for the year ended 30 June 2015. (14 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Three differences between an income and expenditure account and a receipts and payments account

1. **Nature and basis:** The income and expenditure account is prepared on the **accruals basis** and is the not-for-profit equivalent of an income statement - it records income earned and expenses incurred for the period, whether or not cash has moved, including adjustments for accruals, prepayments and depreciation. The receipts and payments account is merely a **summary of the cash book** on the cash basis - it records only actual cash received and paid during the period, whenever the underlying income or expense arose.
2. **Content:** The income and expenditure account includes only **revenue items relating to the current period**. The receipts and payments account includes **all** cash movements - capital as well as revenue

items (e.g. purchase of equipment, loans received, endowment receipts) and amounts belonging to earlier or later periods - but excludes non-cash items such as depreciation.

3. **Balances and outcome:** The income and expenditure account starts with no balance and produces a **surplus or deficit** for the period, which is transferred to the accumulated fund. The receipts and payments account opens with the **opening cash and bank balances** and closes with the closing cash and bank balances; it shows no surplus or deficit.

(b) Jotan Manufacturers - Workings (Sh. million)

W1 - General salaries: 200 + accrued 16 (note 4) = **216**; apportioned factory 20% = 43.2, administration 60% = 129.6, selling 20% = 43.2. **W2 - Insurance:** 9 - prepaid 3 (note 3) = **6**; factory 1.2, administration 3.6, selling 1.2. **W3 - Electricity 20:** factory 16, administration 4. **W4 - Water 40:** factory 32, administration 8. **W5 - Depreciation on cost (note 6):** factory building 2% x 1,450 = 29 (factory); factory plant 10% x 200 = 20 (factory); computers 20% x 200 = 40 (factory 20, administration 20 per note 5); delivery van 20% x 150 = 30 (selling). Total 119. **W6 - Allowance (note 2):** reduced from 30 to 25, a credit of 5 in the income statement.

Manufacturing account for the year ended 30 June 2015 (Sh. million)

Cost of raw materials consumed: Opening inventory 125 + purchases of raw materials 1,500 - closing inventory (200) = **1,425**. **Direct labour - factory salaries: 18. Prime cost: 1,443. Factory overheads:** Factory fuel 25; electricity 16; general salaries 43.2; insurance 1.2; water 32; depreciation - factory building 29, factory plant 20, computers (factory share) 20. Total **186.4**. Add opening work in progress 75; less closing work in progress (100). **Cost of production of finished goods: 1,604.4.**

Income statement for the year ended 30 June 2015 (Sh. million)

Sales 3,554 - sales returns (50) = net sales **3,504**. Cost of sales: Opening finished goods 300 + cost of production 1,604.4 - closing finished goods (250) = (1,654.4). **Gross profit 1,849.6.** Add other income: Discount received 36; Investment income 15; decrease in allowance for irrecoverable debts 5. Total 56. Less expenses: **Administration** - office expenses 18, electricity 4, general salaries 129.6, insurance 3.6, water 8, depreciation on computers (administration share) 20 = 183.2. **Selling and distribution** - general salaries 43.2, insurance 1.2, depreciation on delivery van 30 = 74.4. **Irrecoverable debts** 10. **Loan interest** 110 (= 10% x 1,100 bank loan). Total expenses (377.6). **Net profit for the year 1,528.0.**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Basis difference: accruals basis vs cash book summary (2) **(2)**
- (a) Content difference: revenue items of the period only (with adjustments and depreciation) vs all cash items including capital items and other periods (2) **(2)**
- (a) Outcome difference: surplus/deficit transferred to the accumulated fund vs opening and closing cash balances (2) **(2)**
- (b) Raw materials consumed 1,425 (125 + 1,500 - 200) (2) **(2)**
- (b) Prime cost 1,443 including factory salaries 18 as direct labour (1) **(1)**
- (b) Factory overheads 186.4: factory fuel 25, electricity 16 (80%), general salaries 43.2 (20% of 216 including the accrual), insurance 1.2 (20% of 6 net of the prepayment), water 32 (80%) (3) **(3)**
- (b) Factory depreciation: factory building 29, factory plant 20, computers factory share 20 (1) **(1)**
- (b) Cost of production 1,604.4 after the work in progress adjustment (opening 75, closing 100) (1) **(1)**
- (b) Net sales 3,504 (sales less returns 50), cost of sales 1,654.4 and gross profit 1,849.6 (2) **(2)**

- (b) Other income 56 (discount received 36, investment income 15, allowance decrease 5) (1) **(1)**
- (b) Administration expenses 183.2 with correct apportionments and the computers depreciation share (1) **(1)**
- (b) Selling and distribution expenses 74.4 including the delivery van depreciation of 30 (1) **(1)**
- (b) Irrecoverable debts 10 and loan interest 110 charged, giving net profit Sh.1,528 million (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M08-Q029 – CA11-M08-Q038. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Manufacturing Costs and Their Classification
- The Manufacturing Account
- Manufacturing Income Statement and Statement of Financial Position

It brought together **12 KASNEB past-paper worked examples** and **30 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 8 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Classification of direct, indirect manufacturing and non-manufacturing costs; apportionment of shared expenses between factory and office; loose tools consumed

Required:

(a) For each of the following items, state whether it is charged to the manufacturing account (M) or the profit and loss account (P), giving a brief reason: (i) factory manager's salary; (ii) depreciation of delivery vans; (iii) royalties paid per unit produced; (iv) carriage inwards on raw materials; (v) audit fees; (vi) loose tools consumed; (vii) wages of machine operators; (viii) office electricity; (ix) repairs to the factory roof; (x) discount allowed to customers. (10 marks)

(b) Meru Timber Works pays rent of Sh.480,000, apportioned between the factory and the office in the ratio 2:1, and insurance of Sh.90,000, of which two-thirds relates to the factory. Electricity is separately metered: factory Sh. 145,000; office Sh.55,000. State the amount of each expense charged to the manufacturing account and to profit and loss. (6 marks)

(c) A manufacturer's loose tools records show: opening stock Sh.38,000; purchases during the year Sh.52,000; closing stock Sh.41,000. Compute the cost of loose tools consumed and state how it is treated in the final accounts. (4 marks)

Model answer (SokoCPA)

(a) Classification

Item	Where	Reason
(i) Factory manager's salary	**M**	Indirect labour — a factory overhead; it cannot be traced to individual units
(ii) Depreciation of delivery vans	**P**	Selling and distribution cost — the vans deliver finished goods, they do not make them
(iii) Royalties per unit produced	**M**	A direct expense — traceable to each unit produced, part of prime cost
(iv) Carriage inwards on raw materials	**M**	Part of the cost of getting materials to the factory — added to material cost
(v) Audit fees	**P**	An administrative expense, unconnected with production
(vi) Loose tools consumed	**M**	A factory overhead (see part (c))
(vii) Wages of machine operators	**M**	Direct labour — hands on the product, part of prime cost
(viii) Office electricity	**P**	An administrative expense
(ix) Repairs to the factory roof	**M**	A factory overhead — maintaining the production premises
(x) Discount allowed to customers	**P**	A finance/selling cost of trading, never a production cost

Rule applied throughout: the **location and function** of the cost decide — factory costs go to the manufacturing account; administration, selling/distribution and finance costs stay in profit and loss.

(b) Apportionment — Meru Timber Works

- **Rent Sh.480,000** (factory : office = 2 : 1): manufacturing account 2/3 × 480,000 = **Sh.320,000**; profit and loss 1/3 × 480,000 = **Sh.160,000**.
- **Insurance Sh.90,000** (two-thirds factory): manufacturing account **Sh.60,000**; profit and loss **Sh.30,000**.
- **Electricity** (separately metered — no apportionment needed): manufacturing account **Sh.145,000**; profit and loss **Sh.55,000**.

(c) Loose tools consumed

Cost of loose tools consumed = opening stock + purchases − closing stock = 38,000 + 52,000 − 41,000 = **Sh.49,000**.

Loose tools (spanners, jigs, hand tools) are small factory implements; the amount **consumed** is treated as an **indirect manufacturing cost (factory overhead)** in the manufacturing account — not as a direct cost and never in profit and loss.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (i) Factory manager's salary — manufacturing account: indirect labour/factory overhead, not traceable to units **(1)**
- (ii) Depreciation of delivery vans — profit and loss: selling and distribution **(1)**
- (iii) Royalties per unit — manufacturing account: direct expense within prime cost **(1)**
- (iv) Carriage inwards on raw materials — manufacturing account: part of material cost **(1)**
- (v) Audit fees — profit and loss: administration **(1)**
- (vi) Loose tools consumed — manufacturing account: factory overhead **(1)**
- (vii) Machine operators' wages — manufacturing account: direct labour within prime cost **(1)**
- (viii) Office electricity — profit and loss: administration **(1)**
- (ix) Repairs to factory roof — manufacturing account: factory overhead **(1)**
- (x) Discount allowed — profit and loss: finance/selling cost, never production **(1)**
- (b) Rent apportioned 2:1 — factory 320,000; office 160,000 **(2)**
- (b) Insurance two-thirds to the factory — factory 60,000; office 30,000 **(2)**
- (b) Metered electricity taken as given — factory 145,000; office 55,000 (not re-apportioned) **(2)**
- (c) Loose tools consumed = 38,000 + 52,000 − 41,000 = 49,000 **(2)**
- (c) Treatment: charged as an indirect manufacturing cost (factory overhead) in the manufacturing account **(2)**

Question 2 (20 marks)

Preparation of a manufacturing account: cost of raw materials used, prime cost, factory overheads including loose tools consumed, and the work in progress adjustment; identification of non-manufacturing balances

The following balances relate to Kisii Soap Works for the year ended 31 December 2025 (Sh.000):

Opening stock of raw materials 150; purchases of raw materials 1,150; carriage inwards on raw materials 60; returns outwards of raw materials 40; direct wages 620; royalties 45; factory rent 180; factory power 95; indirect wages 130; depreciation of plant and machinery 140; loose tools — opening stock 25, purchases 40, closing stock 30; repairs to plant 55; office salaries 380; carriage outwards 70; opening work in progress 85.

Closing stocks at 31 December 2025: raw materials 170; work in progress 95.

Required:
(a) Prepare the manufacturing account of Kisii Soap Works for the year ended 31 December 2025. (14 marks)

(b) Identify the TWO balances above that do NOT belong in the manufacturing account and state where each is charged. (6 marks)

Model answer (SokoCPA)

Workings (Sh.000)

Loose tools consumed = opening stock 25 + purchases 40 − closing stock 30 = **35**.

(a) Manufacturing account

```
                        Kisii Soap Works
          Manufacturing account for the year ended 31 December 2025
                                                    Sh.000    Sh.000
Direct materials
  Opening stock of raw materials                      150
  Add: Purchases of raw materials                   1,150
       Carriage inwards on raw materials               60
                                                    1,360
  Less: Returns outwards of raw materials             (40)
  Cost of materials available for use                1,320
  Less: Closing stock of raw materials               (170)
Cost of raw materials used                                    1,150
Add: Direct wages                                               620
     Direct expenses (royalties)                                 45
PRIME COST                                                    1,815
Add: Indirect manufacturing costs
  Factory rent                                        180
  Factory power                                        95
  Indirect wages                                      130
  Depreciation of plant and machinery                 140
  Loose tools consumed (W)                             35
  Repairs to plant                                     55         635
GROSS COST OF PRODUCTION                                      2,450
Add: Opening work in progress                                   85
Less: Closing work in progress                                 (95)
COST OF PRODUCTION — transferred to the trading account       2,440
```

T-account proof: debits = 150 + 1,150 + 60 + 620 + 45 + 180 + 95 + 130 + 140 + 35 + 55 + 85 = 2,745. Credits = returns outwards 40 + closing raw materials 170 + closing WIP 95 + transfer to trading account 2,440 = 2,745. ✓ The account balances.

Note the discipline: **returns outwards reduce** materials available; **carriage inwards increases** material cost; closing WIP is **deducted** because unfinished goods cannot be sold.

(b) Balances that do not belong in the manufacturing account

1. **Office salaries Sh.380,000** — an **administrative** expense. It is charged to the **profit and loss account**. Only factory wages (direct wages and indirect factory wages) enter the manufacturing account.
2. **Carriage outwards Sh.70,000** — a **selling and distribution** expense (delivering finished goods to customers). It is charged to the **profit and loss account**. Only carriage **inwards** on raw materials is a manufacturing cost.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Materials available for use: opening raw materials 150 + purchases 1,150 + carriage inwards 60 − returns outwards 40 = 1,320 **(2)**
- Cost of raw materials used: 1,320 − closing raw materials 170 = 1,150 **(2)**
- Prime cost: materials used 1,150 + direct wages 620 + royalties (direct expenses) 45 = 1,815 **(2)**
- Loose tools consumed correctly computed (25 + 40 − 30 = 35) and included in factory overheads **(2)**
- Factory overheads complete and correctly confined to factory items: factory rent 180 + factory power 95 + indirect wages 130 + depreciation of plant 140 + loose tools 35 + repairs to plant 55 = 635 **(3)**
- Gross cost of production 2,450 **(1)**
- Work in progress adjustment: opening WIP 85 added, closing WIP 95 deducted; cost of production transferred to the trading account 2,440 **(2)**
- (b) Office salaries 380 identified as non-manufacturing and charged to profit and loss (administration) **(3)**
- (b) Carriage outwards 70 identified as non-manufacturing and charged to profit and loss (selling and distribution) **(3)**

Question 3 (20 marks)

Transfer of finished goods at a mark-up: manufacturing profit, the provision for unrealised profit in closing stock, and the manufacturer's income statement

Athi Packaging Ltd transfers finished goods from its factory to its warehouse at cost plus 25%. For the year ended 31 December 2025: cost of production Sh.1,240,000; opening stock of finished goods (at transfer price) Sh.325,000; closing stock of finished goods (at transfer price) Sh.375,000; provision for unrealised profit at 1 January 2025 Sh. 30,000; sales Sh.2,350,000; returns inwards Sh.50,000; other expenses Sh.420,000.

Required:
(a) Prepare the income statement of Athi Packaging Ltd for the year ended 31 December 2025. (12 marks)
(b) Show workings for the transfer price, the manufacturing profit, and the unrealised profit in the closing stock. (5 marks)
(c) Explain why the provision for unrealised profit is deducted from finished goods in the statement of financial position instead of being shown as a liability. (3 marks)

Model answer (SokoCPA)

(b) Workings

- **Transfer price** = cost of production × 1.25 = 1,240,000 × 1.25 = **Sh.1,550,000**.
- **Manufacturing profit** = transfer price − cost of production = 1,550,000 − 1,240,000 = **Sh.310,000**.
- **Unrealised profit in closing stock:** the closing stock of 375,000 is stated at transfer price, of which 25/125 is profit: 375,000 × 25/125 = **Sh.75,000**. The provision must therefore rise from 30,000 to 75,000 — an **increase of Sh.45,000** charged to profit and loss.

(a) Income statement

```
                        Athi Packaging Ltd
            Income statement for the year ended 31 December 2025
                                                  Sh.            Sh.
Sales                                          2,350,000
Less: Returns inwards                             (50,000)
Net sales                                                    2,300,000
```

```
Less: Cost of sales
  Opening stock of finished goods
    (at transfer price)                          325,000
  Add: Cost of production transferred
    (at transfer price)                        1,550,000
                                               1,875,000
  Less: Closing stock of finished goods
    (at transfer price)                         (375,000)    (1,500,000)
Gross profit                                                     800,000
Add: Manufacturing profit                                        310,000
                                                               1,110,000
Less: Increase in provision for
  unrealised profit (75,000 − 30,000)                             (45,000)
                                                               1,065,000
Less: Other expenses                                             (420,000)
Net profit                                                         645,000
```

Self-check at cost: true cost of sales = opening stock at cost (325,000 − 30,000) + cost of production 1,240,000 − closing stock at cost (375,000 − 75,000) = 295,000 + 1,240,000 − 300,000 = 1,235,000; gross profit at cost = 2,300,000 − 1,235,000 = 1,065,000; less expenses 420,000 = **645,000** ✓ — the add-back of manufacturing profit corrects the mark-up on goods **sold**, and the provision removes the mark-up on goods **unsold**; together they leave exactly the earned profit.

In the statement of financial position, finished goods are shown at **cost**: 375,000 − 75,000 provision = **Sh.300,000**.

(c) Why the provision is deducted from stock, not shown as a liability

The provision is a **valuation adjustment**, not an obligation: the company owes the Sh.75,000 to nobody. It exists because of the **prudence concept** — stock must not be carried above cost, and profit must not be recognised before the goods are sold. Deducting it from finished goods on the face of the statement states the stock at its true cost of Sh. 300,000; presenting it among liabilities would overstate both stock and liabilities.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (b) Transfer price = 1,240,000 × 1.25 = 1,550,000 (mark-up applied to cost of production, after the WIP adjustment) **(1)**
- (b) Manufacturing profit = 1,550,000 − 1,240,000 = 310,000 **(1)**
- (b) Unrealised profit in closing stock = 375,000 × 25/125 = 75,000 (profit fraction of transfer price, not 25% of cost) **(2)**
- (b) Increase in the provision charged: 75,000 − 30,000 = 45,000 **(1)**
- (a) Net sales 2,300,000 (2,350,000 − 50,000 returns inwards) **(1)**
- (a) Cost of sales built at transfer prices: 325,000 + 1,550,000 − 375,000 = 1,500,000 **(3)**
- (a) Gross profit 800,000 **(1)**
- (a) Manufacturing profit of 310,000 added back AFTER gross profit (not inside cost of sales) **(2)**
- (a) Increase in the unrealised profit provision (45,000) charged below the manufacturing profit **(2)**
- (a) Other expenses 420,000 deducted; net profit Sh.645,000 **(2)**
- (a) Finished goods in the statement of financial position shown at cost: 375,000 − 75,000 = 300,000 **(1)**
- (c) Explanation: the provision is a prudence valuation adjustment (stock stated at cost), not an amount owed — so it is a deduction from the asset, never a liability **(3)**

Question 4 (20 marks)

Complete manufacturing final accounts: manufacturing account, income statement with an allowance for doubtful debts, and a statement of financial position showing three inventories

Naivasha Timber Products Ltd manufactures wooden crates. The following information relates to the year ended 31 December 2025 (Sh.000):

Stocks at 1 January 2025: raw materials 210; work in progress 140; finished goods 520.
During the year: purchases of raw materials 1,480; carriage inwards 75; returns outwards (raw materials) 35; direct labour 840; direct expenses 50; factory rent 210; factory power 120; indirect labour 165; depreciation of plant 150; loose tools consumed 45; repairs to plant 60; sales 4,600; returns inwards 90; office salaries 510; selling and distribution expenses 330; carriage outwards 55; depreciation of office equipment 40; bank charges 25.
Stocks at 31 December 2025: raw materials 185; work in progress 160; finished goods 610.
Further balances at 31 December 2025: land and buildings at cost 2,000; plant at cost 2,200 (accumulated depreciation at 1 January 2025: 500); office equipment at cost 400 (accumulated depreciation at 1 January 2025: 110); trade receivables 720; bank 345; share capital 3,000; retained earnings at 1 January 2025: 690; bank loan 1,200; trade payables 455.

Additional information: an allowance for doubtful debts of 5% of trade receivables is to be created.

Required:
(a) The manufacturing account for the year ended 31 December 2025. (8 marks)
(b) The income statement for the year ended 31 December 2025. (6 marks)
(c) The statement of financial position as at 31 December 2025. (6 marks)

Model answer (SokoCPA)

All figures in Sh.000.

(a) Manufacturing account

Naivasha Timber Products Ltd		
Manufacturing account for the year ended 31 December 2025		
Direct materials		
Opening stock of raw materials	210	
Add: Purchases of raw materials	1,480	
Carriage inwards	75	
	1,765	
Less: Returns outwards	(35)	
Less: Closing stock of raw materials	(185)	
Cost of raw materials used		1,545
Add: Direct labour		840
Direct expenses		50
PRIME COST		2,435
Add: Indirect manufacturing costs		
Factory rent	210	
Factory power	120	
Indirect labour	165	
Depreciation of plant	150	
Loose tools consumed	45	
Repairs to plant	60	750
GROSS COST OF PRODUCTION		3,185
Add: Opening work in progress		140
Less: Closing work in progress		(160)
COST OF PRODUCTION — transferred to the trading account		3,165

(b) Income statement

Sales		4,600
Less: Returns inwards		(90)
Net sales		4,510
Less: Cost of sales		
Opening stock of finished goods	520	
Add: Cost of production (from (a))	3,165	
	3,685	
Less: Closing stock of finished goods	(610)	(3,075)
Gross profit		1,435
Less: Expenses		
Office salaries	510	
Selling and distribution expenses	330	
Carriage outwards	55	
Depreciation of office equipment	40	
Bank charges	25	
Allowance for doubtful debts (5% × 720)	36	(996)
Net profit		439

Note: the depreciation of **plant** (150) was charged in the manufacturing account; only the depreciation of **office equipment** (40) appears here. The allowance for doubtful debts is created in full (36) because there was no opening allowance.

(c) Statement of financial position

Naivasha Timber Products Ltd
Statement of financial position as at 31 December 2025

	Cost	Acc. dep.	NBV	
Non-current assets				
Land and buildings	2,000	—	2,000	
Plant and machinery	2,200	650	1,550	
Office equipment	400	150	250	
			3,800	
Current assets				
Inventory:				
Raw materials	185			
Work in progress	160			
Finished goods	610		955	
Trade receivables	720			
Less: Allowance for doubtful debts	(36)		684	
Bank			345	1,984
Total assets				5,784
EQUITY				
Share capital			3,000	
Retained earnings (690 + 439)			1,129	4,129
Non-current liabilities				
Bank loan			1,200	
Current liabilities				
Trade payables			455	
Total equity and liabilities				5,784

Checks: accumulated depreciation — plant 500 + 150 = 650; office equipment 110 + 40 = 150 ✓. The three inventories are shown separately, the signature of a manufacturer's statement of financial position. Balance check: 4,129 + 1,200 + 455 = 5,784 = total assets ✓.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Cost of raw materials used 1,545 (210 + 1,480 + 75 − 35 − 185) **(2)**
- Prime cost 2,435 (materials used + direct labour 840 + direct expenses 50) **(1)**
- Factory overheads confined to factory items and totalling 750 (rent 210, power 120, indirect labour 165, plant depreciation 150, loose tools 45, repairs 60) **(2)**
- WIP adjustment (+140 − 160) giving cost of production 3,165 **(2)**
- Manufacturing account presented in the standard format with labelled subtotals (prime cost, gross cost of production, cost of production transferred) **(1)**
- (b) Net sales 4,510 and cost of sales 3,075 (finished goods 520 + cost of production 3,165 − 610) **(2)**
- (b) Gross profit 1,435 **(1)**
- (b) Expenses confined to non-manufacturing items and including the new allowance for doubtful debts of 36 (5% × 720); total expenses 996 **(2)**
- (b) Net profit 439 **(1)**
- (c) Non-current assets at NBV: land and buildings 2,000; plant 1,550 (accumulated depreciation 500 + 150 = 650); office equipment 250 (110 + 40 = 150); total 3,800 **(2)**
- (c) All three inventories shown separately (raw materials 185; WIP 160; finished goods 610); receivables net of the allowance (684); bank 345; current assets 1,984 **(2)**
- (c) Equity: share capital 3,000 and retained earnings 1,129 (690 + net profit 439); bank loan 1,200 non-current; payables 455; statement balances at 5,784 **(2)**

Question 5 (20 marks)

The purpose of the manufacturing account; prime cost and production cost; borderline direct/indirect classification; treatments of returns outwards and discount received; articulation of the three statements

Required:

(a) Explain TWO reasons why a manufacturing business prepares a manufacturing account in addition to a trading account, and define "prime cost" and "production cost". (6 marks)

(b) Classify each of the following as a direct cost, an indirect manufacturing cost (factory overhead) or a non-manufacturing cost, giving a reason in each case: (i) the factory manager's salary; (ii) a quality inspector paid per unit inspected; (iii) the night watchman guarding the factory; (iv) a designer paid per garment pattern produced. (6 marks)

(c) Explain the treatment in the manufacturing account of: (i) returns outwards of raw materials; and (ii) discount received on purchases of raw materials. (4 marks)

(d) State FOUR checks that link the manufacturing account, the income statement and the statement of financial position to each other. (4 marks)

Model answer (SokoCPA)

(a) Why a manufacturing account, and two definitions

Reasons (any two, fully explained): 1. A trading account deals only with stocks of **finished goods**. A manufacturer also holds **raw materials** and **work in progress**, and must compute the cost of the goods it *made*, not goods it bought — a separate manufacturing account handles the three inventories. 2. Factory costs such as depreciation and repairs of **plant and machinery** are costs of production. If they were left in profit and loss, the cost of manufacture could never be isolated — the manufacturing account separates production costs from administration, selling and finance costs so management (and the examiner) can see the true cost of goods completed.

Prime cost = direct materials + direct labour + direct expenses — all costs traceable to the units produced. **Production cost** = prime cost + indirect manufacturing costs (factory overheads), adjusted for work in progress (add opening WIP, deduct closing WIP) — the cost of goods completed in the period.

(b) Borderline classification — the test is traceability to units produced

(i) **Factory manager's salary — indirect manufacturing cost (factory overhead).** The manager supervises the whole factory; the cost cannot be traced to specific units. It is never direct labour, because direct labour means hands on the product. (ii) **Quality inspector paid per unit inspected — direct cost (direct labour/expense).** Because payment is made **per unit**, the cost is traceable to each unit produced, which makes it direct despite the inspection role. (iii) **Night watchman guarding the factory — indirect manufacturing cost (factory overhead).** Security of the production premises benefits all output generally and cannot be traced to units. (iv) **Designer paid per garment pattern — direct expense.** Payment per pattern is traceable to specific units/jobs, so it is a direct cost of those units.

(c) Two material adjustments

(i) **Returns outwards of raw materials** are **deducted** from purchases of raw materials in the manufacturing account (on the credit side, with closing stock): materials returned to the supplier are no longer available for production, so they cannot form part of the cost of materials used. (ii) **Discount received** on material purchases is **not** deducted from the cost of materials. Cash discount is a finance gain for paying promptly, so it is **credited to profit and loss as other income**. (Only *trade* discount reduces the purchase figure — and trade discount never enters the books at all.) Netting discount received against purchases would understate material cost and overstate gross profit.

(d) Articulation checks (any four)

1. The **cost of production** transferred out of the manufacturing account appears, unchanged, as the "cost of production" line in the trading section of the income statement.
2. The **closing stock of finished goods** in the income statement equals finished goods in the statement of financial position (after deducting any provision for unrealised profit).
3. The **net profit** in the income statement equals the addition to **retained earnings** in the statement of financial position.
4. Every **depreciation charge** (in the manufacturing account or profit and loss) is reflected in the **accumulated depreciation** deducted from the asset's cost in the statement of financial position.
5. The movement in the **allowance for doubtful debts** equals the profit and loss charge, and the statement of financial position shows receivables net of the **closing** allowance.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Reason 1: the trading account handles finished goods only; a manufacturer must also account for raw materials and work in progress and compute the cost of goods made **(1)**
- Reason 2: production costs (plant depreciation, factory repairs) must be separated from profit and loss expenses to isolate the true cost of manufacture **(1)**
- Prime cost defined: direct materials + direct labour + direct expenses **(2)**
- Production cost defined: prime cost + factory overheads, adjusted for opening and closing work in progress **(2)**
- (b)(i) Factory manager's salary — indirect (factory overhead): supervises generally, not traceable to units **(1)**
- (b)(ii) Inspector paid per unit — direct: payment per unit makes the cost traceable to units **(1)**
- (b)(iii) Factory night watchman — indirect (factory overhead) **(1)**

- (b)(iv) Designer paid per pattern — direct expense: traceable to specific units/jobs **(1)**
- (b) Traceability test articulated: a cost is direct only if it can be traced to specific units produced **(2)**
- (c)(i) Returns outwards of materials deducted from material purchases in the manufacturing account **(2)**
- (c)(ii) Discount received NOT netted against materials — it is a finance gain credited to profit and loss as other income (only trade discount reduces purchases) **(2)**
- (d) Four valid articulation checks (1 mark each): transfer figure agrees between manufacturing account and income statement; closing finished goods agrees with the SFP; net profit agrees with the retained earnings movement; depreciation charges agree with accumulated depreciation; allowance movement agrees with the P&L charge and net receivables **(4)**

MODULE 9 OF 12

Accounts from Incomplete Records

Single Entry and the Capital Comparison Method · The Statement of Affairs · Techniques for Completing Incomplete Records

MODULE 9 · ACCOUNTS FROM INCOMPLETE RECORDS — LESSON 1

Single Entry and the Capital Comparison Method

Learning Objectives

By the end of this lesson you should be able to:

1. Explain why small businesses keep incomplete records and describe the features of the "single entry" approach.
2. Distinguish pure, simple and quasi single entry.
3. Ascertain profit by the capital comparison (net worth) method, adjusting for drawings and fresh capital introduced.
4. Identify drawings and fresh capital hidden in cash records.

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1. Why Incomplete Records Exist

Very often, small sole proprietorships and partnerships in Kenya — the kiosk, the salon, the small agrovet — do **not** maintain a full double-entry system. They may record only cash transactions and personal (debtors/creditors) accounts, or keep no records of many transactions at all. Yet at year-end the owner wants to know: *did I make a profit, and what is my business worth?*

The term **"single entry system"** is popular but misleading — **there is no such system**. What exists is a family of **incomplete records**: hybrid methods where some transactions get double entries, some get one entry, and some get none. The accountant's task is to establish linkages among the fragments and finalise the accounts.

Features of incomplete records

- Inaccurate, unscientific and unsystematic recording.
- Generally **no record of real and nominal accounts**; usually only cash and personal accounts are kept.
- The cash book **mixes business and personal** transactions of the owner.
- No uniformity — the "system" differs from firm to firm.
- Profit is only an **estimate**; no dependable balance sheet can be drawn directly.

Three types of incomplete records

1. **Pure single entry** — only *personal* accounts are maintained. No information on cash, sales or purchases. Exists only on paper; no practical use.
2. **Simple single entry** — personal accounts **plus a cash book** are kept (on double-entry principles), but cash-book postings go *only* to personal accounts; no nominal or real accounts exist in the ledger.
3. **Quasi single entry** — personal accounts, cash book **and some subsidiary books** (sales book, purchases book, bills books). Discounts are entered only in personal accounts. Some scattered expense information (wages, rent) is also available. **This is the type actually used** as a substitute for double entry — and the type KASNEB examines.

---

2. Ascertaining Profit by Capital Comparison

When revenue and expense detail is unavailable, a profit and loss account cannot be built. Instead, compare **capital (net worth)** at two dates:

```
Closing capital − Opening capital = Profit (before adjustments)
```

Capital grows with profit and fresh investment, and shrinks with losses and drawings. So the full computation is:

```
Capital at the end                                          xxx
Add: Drawings (withdrawals reduce capital, so add back)     xxx
Less: Fresh capital introduced (increases capital)          (xxx)
                                                            xxx
Less: Capital at the beginning                             (xxx)
PROFIT FOR THE PERIOD                                       xxx
```

Logic to memorise: Drawings *reduced* the closing capital, so add them back to reveal the true profit. Fresh capital *inflated* the closing capital, so strip it out.

Capital itself = **Assets − Liabilities**, found by preparing a **statement of affairs** at each date (Lesson 2).

Worked example — Capital comparison

Wanjiru runs a boutique in Nakuru. Her statement of affairs shows:

- Capital at 1 January 2025: Sh.340,000 (assets 520,000 − liabilities 180,000)
- Capital at 31 December 2025: Sh.560,000 (assets 780,000 − liabilities 220,000)

During the year she withdrew Sh.5,000 per month for household expenses and, in June, injected Sh.100,000 from her savings into the business.

Required: Profit for the year ended 31 December 2025.

Solution:

```
Capital at 31 December 2025                    560,000
Add: Drawings (5,000 × 12)                      60,000
                                               620,000
Less: Fresh capital introduced                (100,000)
                                               520,000
Less: Capital at 1 January 2025               (340,000)
Profit for the year                            180,000
```

Check the logic: without drawings or fresh capital, profit would be 560,000 − 340,000 = 220,000. She took out 60,000 (which depressed closing capital) and put in 100,000 (which inflated it): 220,000 + 60,000 − 100,000 = **180,000** ✓.

> **Exam trap:** The two classic errors are (a) *deducting* drawings instead of adding them back, and (b) *adding* fresh capital instead of deducting it. Write the pro-forma above and fill it in — do not improvise the signs.

---

3. Spotting Drawings and Fresh Capital

Because the cash book mixes business and personal items, scan it for:

Drawings (debit the capital account):

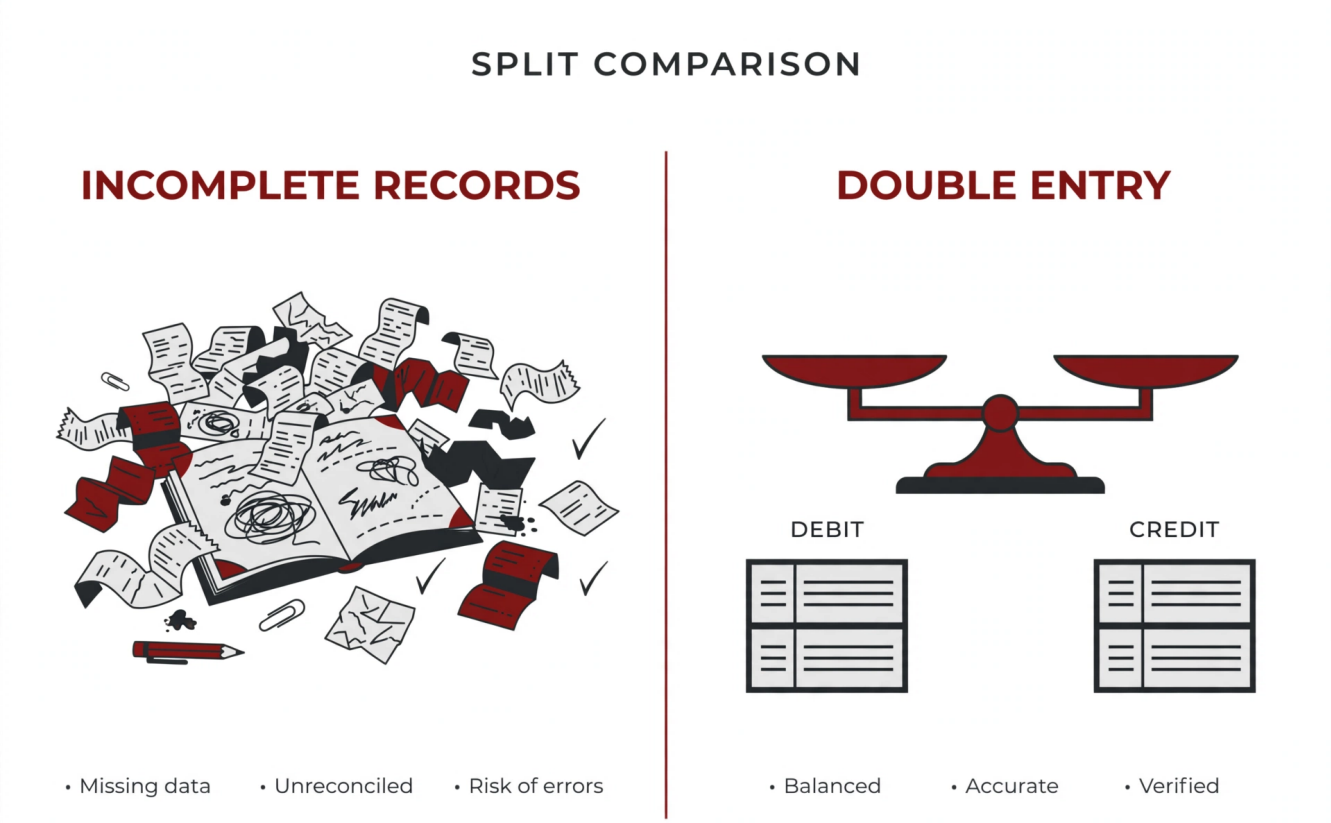
- Rent/electricity/telephone for premises shared with the owner's residence (apportion on a fair basis, e.g. floor area)
- Life insurance premiums of the proprietor paid from business cash
- Household expenses, school fees, personal gifts met from business cash
- Private loans to friends/relatives from business cash

- Goods taken from the business for personal consumption

Fresh capital introduced (credit the capital account):

- Cash injected directly by the proprietor/partners
- Matured **life insurance policy** proceeds retained in the business
- Interest/dividends on the proprietor's *private* investments banked into the business
- Income from non-business property put into the business

Unless these are identified and segregated, business income is misstated and the statement of affairs will not articulate.



4. When Capital Comparison Gives a Loss

The method works symmetrically for losses — a negative answer is a *loss*, not an error. **Mini-example:** Baraka's capital was Sh.900,000 at 1 January and Sh.750,000 at 31 December. He withdrew Sh.120,000 during the year and introduced no fresh capital.

Profit = 750,000 + 120,000 − 0 − 900,000 = **(30,000)** — a loss of Sh.30,000. The brackets (or the word "loss") must be shown; presenting "profit (30,000)" without labelling it a loss loses the mark. Sanity check: capital fell by 150,000 despite no fresh investment, but 120,000 of that fall is explained by drawings — the remaining 30,000 is the trading loss.

5. Capital Comparison vs Full Final Accounts

The capital comparison method is a **shortcut**, used when revenue and expense detail is unobtainable. Its profit is an *estimate* — it cannot show *how* the profit arose (gross profit, expense breakdown). Where the records permit — cash

book plus day books, i.e. quasi single entry — the fuller technique of **Lesson 3** is better: complete the double entry, then prepare a proper trading and profit and loss account and balance sheet.

Think of the two approaches as a ladder:

1. **Pure/simple single entry** → only capital comparison is possible.
2. **Quasi single entry** → complete the records (Lesson 3) → full final accounts; capital comparison remains a useful *check* on the computed profit.

Indeed, a shrewd exam technique: after preparing final accounts from completed records, run a quick capital comparison — if the two profits disagree, an error hides in the adjustments.

A final caution: the capital comparison profit and the *change in the bank balance* are different things. Drawings, fresh capital, loan repayments and asset purchases all move cash without touching profit. Never present "closing bank minus opening bank" as profit — it is the commonest zero-mark answer in this topic.

6. Worked Mini-Example: Mixed Adjustments

Otieno's statements of affairs show capital of Sh.200,000 at 1 January and Sh.260,000 at 31 December. During the year: cash drawings 25,000; goods taken for personal use 5,000; a matured life policy of 15,000 retained in the business; cash introduced 25,000.

- Drawings = 25,000 + 5,000 = **30,000** (goods taken are drawings too).
- Fresh capital = 15,000 + 25,000 = **40,000**.
- Profit = 260,000 + 30,000 − 40,000 − 200,000 = **50,000** ✓.

Check the logic: raw growth is 60,000; drawings explain 30,000 of apparent growth that was really withdrawals (add back → 90,000); fresh capital explains 40,000 of growth that was not earned (deduct → 50,000).

Note the goods taken (5,000) are valued at *cost* — drawings in kind are never valued at selling price. Had Otieno taken goods worth 5,000 at cost that would have sold for 8,000, drawings are still 5,000: the business lost cost, not the foregone profit.

Key Terms

- **Incomplete records ("single entry")** — partial books kept without full double entry; no true system.
- **Pure / simple / quasi single entry** — personal accounts only; plus cash book; plus subsidiary books (the examined type).
- **Capital comparison (net worth) method** — profit = (closing capital + drawings − fresh capital) − opening capital.
- **Statement of affairs** — assets-and-liabilities statement used to find capital when ledgers are incomplete.

Module Summary

- Small businesses often keep incomplete records; "single entry" is not a real system but a label for the resulting gaps.
- Quasi single entry (personal accounts + cash book + day books) is the practical and examined form.
- Profit can be found without a P&L account: compare opening and closing capital, adding back drawings and deducting fresh capital introduced.
- Drawings and fresh capital are often disguised in the cash book — learn the checklists above.

Exam Day Tips

1. Always start a capital-comparison answer by computing opening and closing capital (assets − liabilities) — show both.
2. Convert monthly drawings to annual figures (× 12) before adding back.
3. If the question gives a life-insurance maturity retained in the business, treat it as fresh capital, not income.
4. When profit seems implausibly large, recheck the signs: drawings added, fresh capital deducted.
5. State the method's name ("capital comparison / net worth method") — it earns the knowledge mark.

Slide deck at a glance

Why incomplete records exist

- Kiosk, salon, agrovet: cash + personal accounts only — no full double entry
- Cash book mixes business and personal transactions of the owner
- Features: inaccurate, no nominal/real accounts, no uniformity
- Profit is only an ESTIMATE; no dependable balance sheet directly
- "Single entry" is a label for the gaps — there is no such system

Three types of incomplete records

- Pure single entry: personal accounts only — no practical use
- Simple single entry: personal accounts + cash book; no nominal accounts
- Quasi single entry: + day books, bills books; some expense information
- KASNEB examines QUASI single entry — a substitute for double entry
- Cash-book postings go only to personal accounts in the simpler forms

The capital comparison method

- No P&L possible → compare capital (net worth) at two dates
- Capital = assets − liabilities (from statement of affairs, Lesson 2)
- Profit = closing capital + drawings − fresh capital − opening capital
- Drawings reduced closing capital → ADD back
- Fresh capital inflated closing capital → DEDUCT it

Worked example — Wanjiru's boutique

- Wanjiru boutique: capital 340,000 → 560,000
- Drawings 5,000 × 12 = 60,000 added back
- Fresh capital 100,000 deducted
- Profit = 560,000 + 60,000 − 100,000 − 340,000 = 180,000
- Write the pro-forma; never improvise the signs

Spotting drawings and fresh capital

- Drawings: shared rent/electricity, life premiums, school fees, goods taken
- Goods taken for personal use = drawings at COST, not selling price
- Fresh capital: cash injected, matured life policy retained in business
- Private investment income banked into the business = fresh capital
- Unidentified items misstate income and break the statement of affairs

Losses and cross-checks

- Method is symmetric: negative answer = a LOSS — show brackets
- Baraka: 750,000 + 120,000 − 900,000 = (30,000) → loss of 30,000
- Monthly drawings × 12 before adding back

- Capital comparison also works as a CHECK on full final accounts
- "Closing bank minus opening bank" is NEVER profit — zero-mark answer

Key takeaways / exam tips

- Compute opening and closing capital first — show both
- Convert monthly drawings to annual figures (× 12)
- Life-insurance maturity retained = fresh capital, not income
- Recheck signs: drawings added, fresh capital deducted
- State the method's name ("capital comparison / net worth") — knowledge mark

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2023-08-Q1 · August 2023 · 20 marks KASNEB authored

Incomplete records — sole trader (Feraj Traders)

(a) Feisal Rajab runs a business as a sole trader under the name Feraj Traders. Balances of assets and liabilities as at 31 March 2022 (Sh.): Bank loan 450,000 (Cr); Equipment (NBV) 5,580,000; Cash balance 830,700; Inventory 1,750,500; Building (NBV) 15,000,000; Bank loan interest payable 22,500 (Cr); Trade receivables 2,635,200; Prepaid insurance 85,500; Interest due on customers' accounts 40,500; Other payables 153,000 (Cr); Trade payables 2,137,500 (Cr).

Cash book for the year ended 31 March 2023 (Sh.): Receipts — Balance b/f 830,700; Receipts from trade receivables 5,720,700; Bank loan 800,000; Cash sales 2,619,000; Interest on overdue accounts 23,850; Rent from building 540,000. Payments — Trade payables 6,769,500; Bank loan repayment (including interest of Sh. 100,000) 234,000; Transport for purchases 194,000; Withdrawals for personal use 200,000; Insurance premium 14,700; Purchase of equipment 500,000; Operating expenses 714,150; Other payables 60,000; Balance c/f 1,847,900. Total 10,534,250.

Additional information: (1) Inventory at 31 March 2023 was Sh.3,500,000. (2) Returns inwards Sh.100,000; returns outwards Sh.80,000 (credit transactions). (3) Discounts allowed Sh.75,000; discounts received Sh. 112,000. (4) Depreciation: building 5% on reducing balance; equipment 25% on reducing balance. (5) Trade payables at 31 March 2023 Sh.850,000; trade receivables Sh.1,100,000 excluding interest on overdue accounts. All purchases were on credit. (6) Trade receivables of Sh.42,000 were written off during the year; Sh.43,400 of the receivables at 31 March 2023 may be uncollectible and an allowance is required. (7) Prepaid insurance at 31 March 2023 was Sh.25,000.

Required: (a) Statement of profit or loss for the year ended 31 March 2023. (10 marks) (b) Statement of financial position as at 31 March 2023. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh.

Workings

W1 — Opening capital (statement of affairs at 31 March 2022): Assets: equipment 5,580,000 + cash 830,700 + inventory 1,750,500 + building 15,000,000 + receivables 2,635,200 + prepaid insurance 85,500 + interest due 40,500 = 25,922,400. Liabilities: bank loan 450,000 + interest payable 22,500 + other payables 153,000 + trade payables 2,137,500 = 2,763,000. Capital = **23,159,400**. **W2 — Credit sales (receivables control):** receipts 5,720,700 + returns inwards 100,000 + discounts allowed 75,000 + bad debts written off

42,000 + closing balance 1,100,000 − opening balance 2,635,200 = **4,402,500**. Total sales = 4,402,500 + cash sales 2,619,000 = 7,021,500. **W3 — Credit purchases (payables control):** payments 6,769,500 + returns outwards 80,000 + discounts received 112,000 + closing balance 850,000 − opening balance 2,137,500 = **5,674,000** (all purchases on credit).

(a) Statement of profit or loss for the year ended 31 March 2023

```
Sales (7,021,500 − returns inwards 100,000)                    6,921,500
Cost of sales: opening inventory 1,750,500 + purchases 5,674,000
  + transport for purchases 194,000 − returns outwards 80,000
  − closing inventory 3,500,000                              (4,038,500)
Gross profit                                                   2,883,000
Add: Discounts received 112,000; Rent from building 540,000;
  Interest on overdue accounts 23,850                            675,850
Less expenses:
  Operating expenses                    714,150
  Insurance (14,700 + 85,500 − 25,000)   75,200
  Discounts allowed                      75,000
  Bad debts written off                  42,000
  Allowance for doubtful debts           43,400
  Depreciation — building (5% × 15,000,000)   750,000
  Depreciation — equipment (25% × 6,080,000) 1,520,000
  Bank loan interest                    100,000          (3,319,750)
Net profit                                                     239,100
```

(b) Statement of financial position as at 31 March 2023

```
Non-current assets:
  Building (15,000,000 − 750,000)                    14,250,000
  Equipment (6,080,000 − 1,520,000)                   4,560,000   18,810,000
Current assets:
  Inventory                                           3,500,000
  Trade receivables (1,100,000 − 43,400)              1,056,600
  Interest due on customers' accounts                    40,500
  Prepaid insurance                                      25,000
  Cash balance                                        1,847,900    6,470,000
Total assets                                                      25,280,000
Capital: opening 23,159,400 + net profit 239,100 − drawings 200,000  23,198,500
Non-current liability: Bank loan (450,000 + 800,000 − 134,000)        1,116,000
Current liabilities:
  Bank loan interest payable                             22,500
  Trade payables                                        850,000
  Other payables (153,000 − 60,000)                      93,000      965,500
Total capital and liabilities                                     25,280,000
```

Note: of the Sh.234,000 repaid on the bank loan, Sh.100,000 was interest (charged to profit or loss) and Sh. 134,000 reduced the loan principal; the opening interest payable of Sh.22,500 remains outstanding as no payment of it is recorded.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Workings: opening capital 23,159,400 via statement of affairs **(2)**
- Workings: credit sales 4,402,500 and credit purchases 5,674,000 via control accounts (returns, discounts, write-offs included) **(3)**

- (a) Gross profit 2,883,000 (transport inwards in cost of sales; returns outwards deducted) **(2)**
- (a) Other income: discounts received 112,000; rent 540,000; interest on overdue accounts 23,850 **(1)**
- (a) Expenses: insurance charge 75,200 (prepayments adjusted); depreciation building 750,000 and equipment 1,520,000 on reducing balances (equipment incl. 500,000 addition) **(3)**
- (a) Bad debts 42,000 and allowance 43,400 charged; loan interest 100,000 charged; net profit 239,100 **(2)**
- (b) Non-current assets 18,810,000 and current assets incl. receivables net 1,056,600, closing cash 1,847,900 **(3)**
- (b) Capital closing 23,198,500; bank loan 1,116,000 (only 134,000 capital repaid); SOFP balances at 25,280,000 **(4)**

KASNEB-2022-04-Q1 · April 2022 · 20 marks KASNEB authored

Elements of financial statements; incomplete records (Fatuma Ali, retail chemist)

(a) Highlight FIVE elements of financial statements. (5 marks)
(b) Fatuma Ali commenced business as a retail chemist on 1 January 2021 with initial capital of Sh.30,000,000 paid into her business bank account. She hired a shop manager at an annual salary of Sh.2,000,000 plus a commission of 10% of the gross profit. During the year ended 31 December 2021 she did not maintain proper books. Bank statement for the year ended 31 December 2021 (Sh."000"): Receipts — Capital 30,000; Sales 123,720; Bank loan 20,000. Payments — Leasehold premises 20,000; Shop fittings and equipment 8,800; Motor vehicle 2,740; Payments to suppliers 112,360; Interest on bank loan 1,000; General expenses 8,335; Rent 3,750; Balance carried forward 16,735. Total 173,720 (printed as 1,173,720 in the paper).
Additional information: (1) All sales were for cash, banked daily subject to retention of a cash float of Sh. 100,000. Payments made out of cash sales: manager's salary Sh.1,980,000; drawings Sh.4,000,000; payments to suppliers Sh.1,390,000; general expenses Sh.840,000. (2) As at 31 December 2021, cheques sent to suppliers amounting to Sh.2,500,000 had not been presented for payment. (3) Invoices from suppliers amounting to Sh. 8,600,000 had not been paid. (4) Inventory at 31 December 2021 was Sh.36,500,000. (5) Depreciation: motor vehicle 25% on cost; shop fittings and equipment 10% on cost. (6) Fatuma Ali took goods costing Sh.100,000 for personal use.
Required: (i) Statement of profit or loss for the year ended 31 December 2021. (8 marks) (ii) Statement of financial position as at 31 December 2021. (7 marks) (Total: 20 marks)

SokoCPA worked solution

(a) FIVE elements of financial statements

1. **Assets:** resources controlled by the entity as a result of past events from which future economic benefits are expected to flow.
2. **Liabilities:** present obligations arising from past events, the settlement of which is expected to result in an outflow of economic benefits.
3. **Equity:** the residual interest in the assets of the entity after deducting all its liabilities.
4. **Income:** increases in economic benefits during the period (inflows/enhancements of assets or decreases of liabilities) that increase equity, other than contributions from owners.
5. **Expenses:** decreases in economic benefits during the period (outflows/depletions of assets or increases of liabilities) that decrease equity, other than distributions to owners.

(b) Fatuma Ali (Sh."000")

Workings

- **Total sales:** banked 123,720 + payments made from cash sales (1,980 + 4,000 + 1,390 + 840 = 8,210) + cash float retained 100 = **132,030**.
- **Total purchases:** bank payments to suppliers 112,360 + cash payments 1,390 + unpaid supplier invoices 8,600 = **122,350**. The unpresented cheques of 2,500 are already inside the 112,360 recorded payments; they explain why the bank statement balance (16,735 − 2,500 = 14,235) is lower than the cash book balance of 16,735 used in the statement of financial position.
- **Manager's commission** = 10% × gross profit.

(i) Statement of profit or loss for the year ended 31 December 2021

Sales (all cash)		132,030
Cost of sales: purchases 122,350 − goods for personal use 100		
− closing inventory 36,500		(85,750)
Gross profit		46,280
Less expenses:		
Manager's salary (annual entitlement)	2,000	
Manager's commission (10% × 46,280)	4,628	
Interest on bank loan	1,000	
General expenses (8,335 + 840)	9,175	
Rent	3,750	
Depreciation — motor vehicle (25% × 2,740)	685	
Depreciation — fittings and equipment (10% × 8,800)	880	(22,118)
Net profit		24,162

(ii) Statement of financial position as at 31 December 2021

Leasehold premises	20,000	
Shop fittings and equipment (8,800 − 880)	7,920	
Motor vehicle (2,740 − 685)	2,055	
Inventory	36,500	
Cash float	100	
Bank balance (per cash book)	16,735	
Total assets	83,310	
Capital: introduced 30,000 + net profit 24,162		
− drawings (4,000 + goods 100)		50,062
Bank loan	20,000	
Accounts payable (unpaid invoices)	8,600	
Accruals: manager's salary (2,000 − 1,980) 20; commission 4,628		4,648
Total capital and liabilities	83,310	

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Five elements named and/or briefly described (assets, liabilities, equity, income, expenses), 1 mark each **(5)**
- (b) Total sales 132,030 reconstructed (banked sales + payments from cash + float) **(2)**
- (b) Purchases 122,350 (bank + cash + unpaid invoices); gross profit 46,280 (goods taken 100 removed) **(2)**

- (b) Manager's commission 4,628 = 10% of gross profit; salary charged at full entitlement 2,000 (20 accrued) **(2)**
- (b) Depreciation 685 and 880; general expenses 9,175 (incl. cash-paid 840); net profit 24,162 **(2)**
- (b) SOFP balances at 83,310: bank at cash book balance 16,735; payables 8,600; accruals 4,648; capital 50,062 **(7)**

KASNEB-2021-12-Q1 · December 2021 · 20 marks KASNEB authored

IPSAS adoption; uses of control accounts; single entry (Ruth Sifa)

(a) Outline two benefits and two challenges of adopting International Public Sector Accounting Standards (IPSASs). (4 marks)
(b) Explain five uses of control accounts in an organisation. (5 marks)
(c) The following balances were extracted from the books of Ruth Sifa, who runs a car wash business. She has no knowledge of double entry book-keeping but records everything correctly. The following balances relate to the year ended 30 September 2021 (Sh."000"): Accounts payable 200; Cleaning income 35,288; Cash balance 70; Own salary 21,200; Equipment 1,500; Repair to customers' cars due to damage 460; Miscellaneous expenses 220; Owed by customers 440; Insurance 700; License fees paid 1,050; Stationery 100; Bank balance 4,690; Cleaning materials inventory (30 September 2021) 6,800; Opening capital balance 1,332.
Ruth Sifa has not included the following items in her records: 1. As at 30 September 2021, bank charges amounted to Sh.90,000. 2. As at 30 September 2021, insurance amounting to Sh.100,000 was pre-paid. 3. Amounts owed by customers might not easily be recovered. Ruth Sifa would like to make an allowance for doubtful debts of 50% of the amount owing as at 30 September 2021. 4. License fees paid amounting to Sh. 500,000 relates to the year ended 30 September 2020. 5. Equipment is to be depreciated over two years with no residual value.
Required: (i) Statement of profit or loss for the year ended 30 September 2021. (6 marks) (ii) Statement of financial position as at 30 September 2021. (5 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Adopting IPSASs

Benefits (any two): (i) Improved transparency and accountability in the management of public resources, since public entities report on a consistent, accrual-based framework. (ii) Comparability of financial reports between public entities and across countries, aiding consolidation and benchmarking. (iii) Better decision-making and resource allocation, because the full cost of services and the assets and liabilities of the entity are recognised. (iv) Increased credibility with donors, lenders and development partners, easing access to funding. **Challenges (any two):** (i) High implementation cost — new systems, asset registers and opening balances must be established. (ii) Shortage of personnel with the skills to apply accrual IPSAS, requiring extensive training. (iii) Difficulty in identifying and valuing public assets such as infrastructure and heritage assets. (iv) The need for legal and institutional reforms and resistance to change within entities.

(b) Uses of control accounts

1. **Arithmetical check / location of errors:** the control account total is compared with the list of individual ledger balances; a difference localises errors to a particular ledger. 2. **Speedy totals for final accounts:** total receivables and payables are available immediately for the trial balance and statement of financial position without extracting every personal balance. 3. **Fraud deterrence and detection:** where the

control account is maintained by a different person from the ledger clerk, manipulation of individual accounts is exposed. 4. **Division of work:** the sales, purchases and general ledgers can be kept by different staff while the control accounts provide overall check. 5. **Management information:** movements such as credit sales, credit purchases, discounts and receipts can be derived from the control accounts for credit control.

(c) Ruth Sifa — all figures Sh."000"

Workings: Insurance expense = 700 − 100 prepaid = 600. Licence fees expense = 1,050 − 500 (relates to the year ended 30 Sep 2020 — a prior-year item, excluded) = 550. Depreciation on equipment = 1,500 ÷ 2 years = 750. Allowance for doubtful debts = 50% × 440 = 220. Ruth's "own salary" is not a business expense — a sole trader's salary is **drawings**.

(i) Statement of profit or loss for the year ended 30 September 2021

Cleaning income		35,288
Less expenses:		
Insurance (700 − 100)	600	
Licence fees (1,050 − 500)	550	
Repair to customers' cars (damage)	460	
Miscellaneous expenses	220	
Stationery	100	
Depreciation — equipment	750	
Bank charges	90	
Allowance for doubtful debts	220	(2,990)
Net profit		32,298

(ii) Statement of financial position as at 30 September 2021

Non-current assets: Equipment (1,500 − 750)		750
Current assets:		
Cleaning materials inventory	6,800	
Owed by customers 440 − allowance 220	220	
Prepaid insurance	100	
Cash balance	70	
Bank balance	4,690	11,880
Total assets		12,630
Capital: Opening balance	1,332	
Add: Net profit	32,298	
Less: Drawings (own salary)	(21,200)	12,430
Current liabilities: Accounts payable		200
Total capital and liabilities		12,630

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Two benefits of adopting IPSASs (1 each) **(2)**
- (a) Two challenges of adopting IPSASs (1 each) **(2)**
- (b) Five uses of control accounts explained (1 each) **(5)**
- (c)(i) Cleaning income 35,288 as the starting point **(1)**
- (c)(i) Expense adjustments: insurance 600, licence 550 (500 prior year excluded), repairs 460, depreciation 750, bank charges 90, allowance 220 **(3)**
- (c)(i) Net profit Sh.32,298,000 **(2)**

- (c)(ii) Asset values: equipment NBV 750, receivables net 220, prepaid insurance 100, inventory 6,800, cash 70, bank 4,690 **(2)**
- (c)(ii) Capital roll-forward: 1,332 + 32,298 − own salary as drawings 21,200 = 12,430 **(2)**
- (c)(ii) Statement of financial position balances at Sh.12,630,000 **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M09-Q001 – CA11-M09-Q022. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 9 · ACCOUNTS FROM INCOMPLETE RECORDS — LESSON 2

The Statement of Affairs

Learning Objectives

By the end of this lesson you should be able to:

1. Prepare a statement of affairs at two dates from incomplete records.
2. Derive opening and closing capital as the balancing figure.
3. Adjust assets for depreciation and deal with part-disposals in the statement of affairs.
4. Compute profit by combining the statement of affairs with the capital comparison method.
5. Distinguish a statement of affairs from a balance sheet on the standard five bases.

---

1. What a Statement of Affairs Is

A **statement of affairs** lists the assets and liabilities of a business at a given date, in balance-sheet layout, with **capital as the balancing figure** (assets − liabilities). It is prepared from whatever fragments exist:

Information source	Gives
Cash book	Cash balance
Bank pass book / statements	Bank balance
Personal ledgers	Debtors and creditors
Physical count and valuation	Inventory
Owner's list of fixed assets less reasonable depreciation	Written-down values of non-current assets

Because much of it rests on estimates, memory and valuations rather than on a complete double-entry trail, a statement of affairs is **not dependable** in the way a double-entry balance sheet is — but it is the only route to capital when books are incomplete.

Format

```
                Statement of affairs as at ............
Liabilities                    Sh.        Assets                    Sh.
Capital (balancing figure)     xxx        Premises                  xxx
Loan, bank overdraft           xxx        Equipment                 xxx
Sundry creditors               xxx        Furniture                 xxx
Bills payable                  xxx        Inventory                 xxx
Outstanding expenses           xxx        Sundry debtors            xxx
                                          Bills receivable          xxx
                                          Cash and bank             xxx
                                          Prepaid expenses          xxx
                               xxx                                  xxx
```

---

2. Comprehensive Worked Example — Kamau Traders

Kamau runs a hardware shop in Thika. His records are incomplete. The following information is available:

At 1 January 2025: Premises Sh.800,000; equipment Sh.240,000; inventory Sh.150,000; debtors Sh.95,000; bank Sh. 60,000; cash Sh.12,000; loan Sh.200,000; creditors Sh.110,000.

At 31 December 2025: Inventory Sh.210,000; debtors Sh.130,000; bank Sh.85,000; cash Sh.18,000; loan Sh.150,000; creditors Sh.140,000. Premises and equipment as at 1 January, before depreciation.

During 2025: Kamau withdrew Sh.15,000 per month for family expenses. A life insurance policy matured and Sh. 120,000 was retained in the business. Depreciate premises at 2.5% and equipment at 10% per annum.

Required: (a) Statements of affairs at both dates. (b) Profit for the year.

Solution (a) — Statements of affairs

```
              Kamau Traders — Statement of affairs
              as at 1 January 2025 and 31 December 2025
Liabilities        1 Jan      31 Dec      Assets             1 Jan      31 Dec
                     Sh.        Sh.                           Sh.        Sh.
Capital (bal.   1,047,000   1,149,000   Premises            800,000   780,000
  figure)                                        (less 2.5% dep.)       (20,000)
Loan              200,000     150,000   Equipment           240,000   216,000
Creditors         110,000     140,000     (less 10% dep.)               (24,000)
                                              Inventory      150,000   210,000
                                              Debtors         95,000   130,000
                                              Bank            60,000    85,000
                                              Cash            12,000    18,000
                1,357,000   1,439,000                       1,357,000 1,439,000
```

Capital workings:

- 1 Jan: assets 1,357,000 − liabilities 310,000 = **1,047,000**
- 31 Dec: assets 1,439,000 − liabilities 290,000 = **1,149,000**

Both sides agree at each date ✓ (1,047,000 + 200,000 + 110,000 = 1,357,000; 1,149,000 + 150,000 + 140,000 = 1,439,000).

Solution (b) — Profit by capital comparison

```
Capital at 31 December 2025                          1,149,000
Add: Drawings (15,000 × 12)                            180,000
                                                     1,329,000
Less: Fresh capital introduced (insurance maturity)   (120,000)
                                                     1,209,000
Less: Capital at 1 January 2025                     (1,047,000)
Profit for the year                                    162,000
```

> **Exam trap:** Depreciation must be deducted *before* capital is struck — the written-down value goes into the statement of affairs. Students who list premises at 800,000 at both dates overstate closing capital and therefore overstate profit. Also note the insurance maturity is **fresh capital**, not business income.

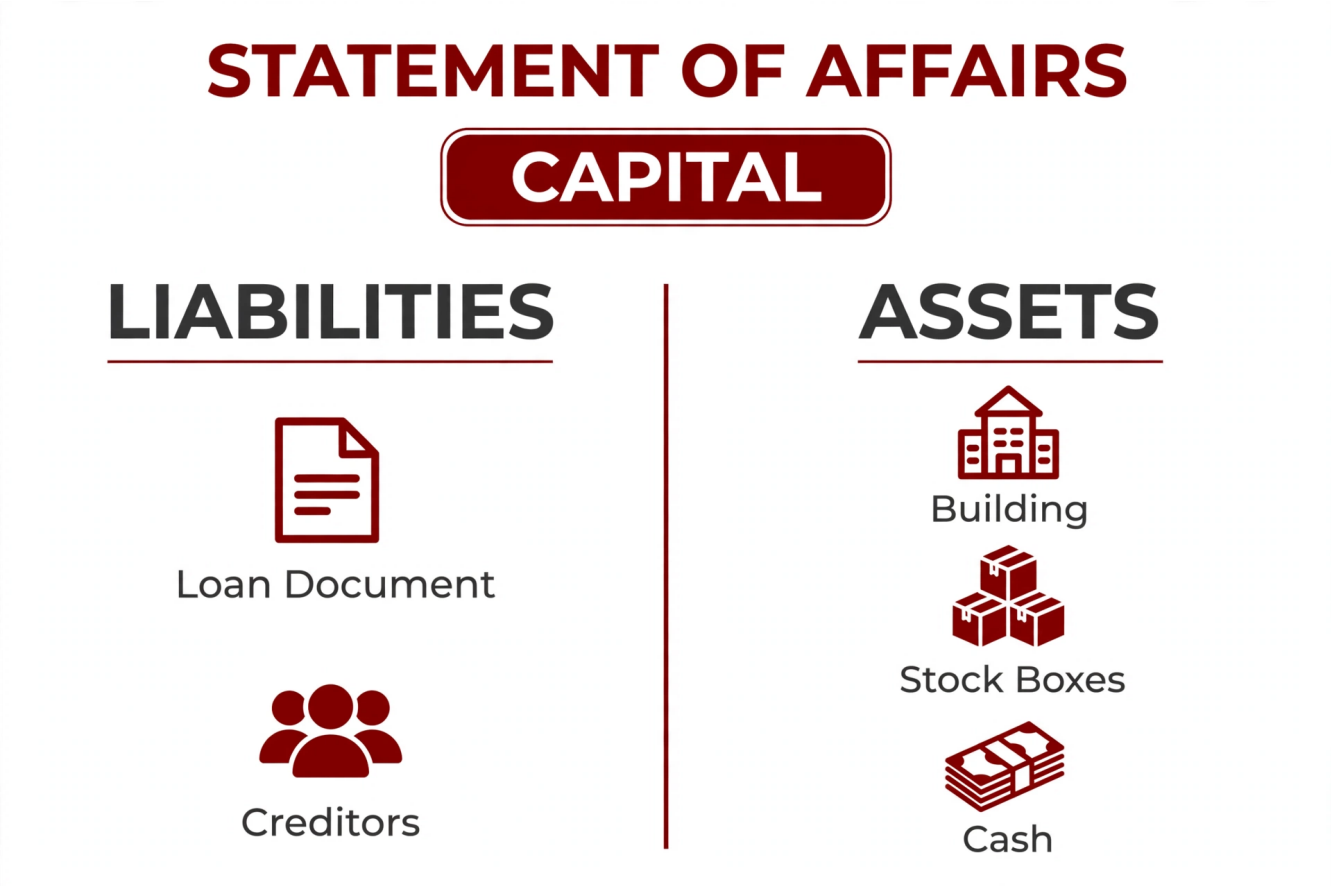
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3. Statement of Affairs vs Balance Sheet

A guaranteed 4–6 mark theory question. Learn the five bases:

Basis	Statement of affairs	Balance sheet
Reliability	Based partly on estimates, assumptions and memory — not fully reliable	Based strictly on double-entry records — verifiable and dependable

Basis	Statement of affairs	Balance sheet
Capital	A **balancing figure** (assets − liabilities)	Derived from the **capital account** in the ledger; both sides must agree
Omission	Omitted assets/liabilities are hard to detect	Omissions are revealed because the balance sheet will not balance
Valuation	Arbitrary; no disclosed basis	Scientific — cost less depreciation; changes in basis disclosed
Object	To **find capital** at two dates (for profit computation)	To show the **financial position** at a date



4. Adjusting Fixed Assets: Depreciation and Part-Disposals

Fixed assets enter the statement of affairs at **written-down value** — cost less reasonable accumulated depreciation. Two complications arise:

Depreciation for the year must be charged *before* capital is struck (Lesson 2, Kamau: premises 800,000 less 2.5% = 780,000). The rate is given; apply it to cost (or to the given valuation) and deduct.

Part-disposals during the year: if an asset was sold, it must not appear in the closing statement at all. Instead:

- Remove the asset's written-down value from the closing list.
- The *proceeds* appear as a cash/bank receipt (and any profit or loss on disposal is captured indirectly through the cash balance in the capital comparison).

Mini-example: Equipment stood at Sh.240,000 (1 Jan). During the year equipment with written-down value Sh. 40,000 was sold for Sh.45,000 cash; depreciate the remainder at 10%.

- Closing equipment = (240,000 − 40,000) × 90% = **180,000**.
- Bank includes the 45,000 proceeds. The 5,000 profit on disposal is embedded in closing capital — the capital comparison captures it automatically.

5. A Second Mini-Example: Statement of Affairs with Accruals

Incomplete records still contain accruals and prepayments — include them like any balance-sheet item. **Mini-example (one date):** Assets: equipment (WDV) 300,000; inventory 80,000; debtors 60,000; bank 40,000; prepaid rent 12,000. Liabilities: creditors 70,000; outstanding wages 8,000; loan 100,000.

Capital = (300,000 + 80,000 + 60,000 + 40,000 + 12,000) − (70,000 + 8,000 + 100,000) = 492,000 − 178,000 = **314,000**.

Prepayments are assets; outstanding expenses are liabilities — the same definitions as in double entry. Forgetting the 8,000 accrual would overstate capital by 8,000 and overstate profit by the same amount.

6. Errors That Destroy the Capital Figure

1. **Listing fixed assets at cost** at both dates — depreciation ignored, closing capital overstated, profit overstated.
2. **Including the owner's private assets** (e.g. personal car, residence) in business assets — capital overstated.
3. **Omitting liabilities** the owner "forgot" — especially outstanding expenses and private loans used in the business; capital overstated.
4. **Double-counting drawings** — deducting them in the statement *and* adding them back in the comparison.
5. **Using the bank balance as cash** without reconciling — unpresented cheques distort both statements.

Run this five-point check before computing profit; each error flows straight into the profit figure.

7. Proving Each Statement Balances

Before computing profit, prove each statement of affairs: the total of the liabilities side (including the capital balancing figure) must equal total assets. Kamau's 1 January statement: 1,047,000 + 200,000 + 110,000 = 1,357,000 = assets ✓. This is not busywork — if the two sides disagree, an asset or liability is missing or a depreciation working is wrong, and the capital (hence profit) is wrong. In the exam, write the check as one line; markers award it as a method mark, and it is the fastest way to catch a transposition before it poisons the profit computation.

8. Quick Self-Test

1. A statement of affairs lists assets of 600,000 and liabilities of 220,000. Capital is… *(380,000 — the balancing figure.)*
2. Equipment cost 100,000; the question says "depreciate at 20%". It enters the statement of affairs at… *(80,000 — depreciate first, then strike capital.)*
3. True or false: a statement of affairs can detect an omitted liability because it will not balance. *(False — that is the balance sheet's advantage; in a statement of affairs the omission is absorbed into the capital balancing figure, which is exactly why it is less reliable.)*

If any answer surprised you, re-read sections 1–3 before attempting Lesson 3.

Key Terms

- **Statement of affairs** — assets and liabilities statement with capital as the balancing figure, built from incomplete records.
- **Balancing figure** — capital = total assets − total liabilities.
- **Written-down value** — cost less accumulated (reasonable) depreciation, used for fixed assets in the statement.
- **Net worth method** — another name for the capital comparison method.

Module Summary

- The statement of affairs reconstructs assets and liabilities at two dates; capital is the plug figure.
- Fixed assets enter at written-down value after charging reasonable depreciation.
- The two capitals feed the capital comparison computation: + drawings, − fresh capital, − opening capital = profit.
- It resembles a balance sheet but differs in reliability, the nature of capital, omission detection, valuation basis and objective.

Exam Day Tips

1. Rule two columns (both dates) on one statement — it halves your writing and markers love it.
2. Depreciate first, then strike capital. Show the depreciation working.
3. Prove each statement balances (liabilities side = assets side) before computing profit.
4. In the theory comparison, use the exact five headings: reliability, capital, omission, valuation, object.
5. Never call it a balance sheet — the name "statement of affairs" itself carries a mark.

Slide deck at a glance

What a statement of affairs is

- Lists assets and liabilities in balance-sheet layout; capital = balancing figure
- Sources: cash book, bank statements, personal ledgers, physical counts
- Fixed assets at written-down value; inventory by physical count
- Built partly on estimates and memory — not fully dependable
- Purpose: to find capital at two dates so profit can be computed

Worked example — Kamau Traders

- Kamau Traders: statements at 1 Jan and 31 Dec on one two-column statement
- Depreciate BEFORE striking capital: premises 800,000 − 2.5% = 780,000
- Equipment 240,000 − 10% = 216,000
- Opening capital = 1,357,000 − 310,000 = 1,047,000
- Closing capital = 1,439,000 − 290,000 = 1,149,000

Kamau profit computation

- Profit = 1,149,000 + 180,000 − 120,000 − 1,047,000 = 162,000
- Drawings 15,000 × 12 = 180,000 added back
- Insurance maturity 120,000 = fresh capital (NOT income)
- Depreciation at both dates stops capital being overstated
- Prove each statement balances: liabilities side = assets side

Statement of affairs vs balance sheet

- Reliability: estimates/memory vs double-entry records — verifiable
- Capital: balancing figure vs derived from the ledger's capital account
- Omission: absorbed into the plug capital vs balance sheet won't balance
- Valuation: arbitrary vs cost less depreciation with disclosed basis
- Object: find capital at two dates vs show financial position at a date

Depreciation, disposals and accruals

- Fixed assets enter at written-down value — depreciate first, then strike capital
- Part-disposal: remove asset's WDV from closing statement entirely
- Proceeds appear as a cash/bank receipt (capital comparison captures the gain)
- Prepayments = assets; outstanding expenses = liabilities — as in double entry
- Forgetting an accrual overstates capital and profit by the same amount

Errors that destroy the capital figure

- Listing fixed assets at cost (depreciation ignored) → profit overstated
- Including the owner's private assets (car, residence) → capital overstated
- Omitting liabilities — especially outstanding expenses and private loans
- Double-counting drawings (deduct in statement AND add back in comparison)
- Using the bank balance as cash without reconciling unpresented cheques

Key takeaways / exam tips

- Rule two columns (both dates) on one statement — markers love it
- Depreciate first, then strike capital; show the depreciation working
- Prove each statement balances before computing profit
- Theory comparison: use the five headings — reliability, capital, omission…
- Never call it a balance sheet — the name itself carries a mark

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2023-04-Q3 · April 2023 · 20 marks KASNEB authored

Incomplete records (Riziki Ali)

The statement of financial position of Riziki Ali, a sole trader, as at 1 January 2022 (Sh."000"): Non-current assets: building 4,650; equipment 2,150; motor vehicles 1,540 (total 8,340). Current assets: inventory 1,260; accounts receivable 885; cash in hand 73; cash at bank 387 (total 2,605). Total assets 10,945. Capital 6,015; bank loan 1,500; accounts payable 1,480; short-term loan from Paul Sila 600; accrued general expenses 1,350 (total 3,430).

Additional information: (1) During the year ended 31 December 2022, only a cash book was maintained. Cash summary (Sh."000"): Receipts — balance b/f 460; receipts from debtors 8,950; additional capital 4,800; cash sales 4,250; rent income 220. Payments — bank loan repayment 1,000; Sila's loan repayment 500; payments to creditors 6,750; general expenses 3,000; drawings 1,700; rates 160; wages 1,190. (2) Accounts receivable and payable at 31 December 2022 were Sh.1,320,000 and Sh.1,820,000. (3) Cash sales proceeds of Sh.1,650,000 were not recorded but were used as follows: purchase of goods for sale 1,000; loan repayment – Paul Sila 100; office stationery 150; family use 400. (4) Accrued general expenses at 31 December 2022 were Sh.400,000. (5) Inventory at 31 December 2022 was Sh.1,480,000. (6) Depreciation on book values: buildings 10%; equipment

15%; motor vehicles 20%. (7) House furniture valued at Sh.250,000 was converted to business use; depreciation at 12½% per annum on this amount.

Required: (a) Statement of profit or loss for the year ended 31 December 2022. (10 marks) (b) Statement of financial position as at 31 December 2022. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Credit sales:** receipts from debtors 8,950 + closing receivables 1,320 − opening receivables 885 = **9,385**. Total sales = 9,385 + cash sales (4,250 + 1,650 unrecorded) = 15,285.
- **Credit purchases:** payments to creditors 6,750 + closing payables 1,820 − opening payables 1,480 = **7,090**. Total purchases = 7,090 + 1,000 (bought from unrecorded cash sales) = 8,090.
- **Closing cash:** 460 + (8,950 + 4,800 + 4,250 + 220 + 1,650) − (1,000 + 500 + 100 + 6,750 + 3,000 + 1,700 + 160 + 1,190 + 150) = **4,380**.

(a) Statement of profit or loss for the year ended 31 December 2022

Sales (credit 9,385 + cash 5,900)	15,285
Cost of sales: opening inventory 1,260 + purchases 8,090	
− closing inventory 1,480	(7,870)
Gross profit	7,415
Add: Rent income	220
Less expenses:	
General expenses (3,000 + 400 accrued − 1,350 opening accrual)	2,050
Rates	160
Wages	1,190
Office stationery (from unrecorded sales)	150
Depreciation: building (10% × 4,650) 465; equipment (15% × 2,150) 322.5; motor vehicles (20% × 1,540) 308; furniture (12½% × 250) 31.25	1,126.75
	(4,676.75)
Net profit	2,958.25

(b) Statement of financial position as at 31 December 2022

Non-current assets:			
Building (4,650 − 465)	4,185		
Equipment (2,150 − 322.5)	1,827.50		
Motor vehicles (1,540 − 308)	1,232		
Furniture (250 − 31.25)	218.75	7,463.25	
Current assets:			
Inventory	1,480		
Accounts receivable	1,320		
Cash (in hand and at bank)	4,380	7,180	
Total assets		14,643.25	
Capital: opening 6,015 + additional capital 4,800 + furniture introduced 250 + net profit 2,958.25 − drawings (1,700 + 400)			11,923.25
Bank loan (1,500 − 1,000)		500	
Sila loan (600 − 500 − 100)		–	
Current liabilities: Accounts payable 1,820; Accrued general expenses 400			2,220
Total capital and liabilities		14,643.25	

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Workings: credit sales 9,385 and credit purchases 7,090 via control accounts; unrecorded cash sales 1,650 brought into sales and purchases/stationery/drawings/loan **(3)**
- (a) Gross profit 7,415 (total sales 15,285; cost of sales 7,870) **(2)**
- (a) General expenses charge 2,050 (accruals adjusted both years); rates 160; wages 1,190; stationery 150 **(2)**
- (a) Depreciation correctly computed on book values: 465 + 322.5 + 308 + 31.25 = 1,126.75 (furniture included) **(2)**
- (a) Net profit Sh.2,958,250 and rent income 220 credited **(1)**
- (b) Non-current assets 7,463.25 and closing cash 4,380 derived from the full cash summary **(3)**
- (b) Capital 11,923.25 (additional capital 4,800 and furniture 250 added; drawings 2,100 incl. family use 400) **(3)**
- (b) Loans correctly stated (bank loan 500; Sila loan fully repaid) and SOFP balances at 14,643.25 **(4)**

KASNEB-2019-11-Q2 · November 2019 · 20 marks KASNEB authored

Incomplete records (Regina Rai)

The following balances were extracted from the books of Regina Rai as at 31 March 2019 (Sh."000"): Equipment at cost 21,000; Accumulated depreciation on equipment 4,200; Fixtures and fittings at cost 15,000; Accumulated depreciation on fixtures and fittings 3,000; Inventory 162,000; Bank balance (Debit) 3,600; Accounts receivable 16,062; Accounts payable 21,840; Capital 171,972. Transactions during the year ended 31 March 2020: 1. All sales were on credit, amounting to Sh.486,000,000. 2. Credit purchases were three quarters (3/4) of the total credit sales. 3. Regina Rai operates on a gross profit of 3/7 of cost of sales. 4. Cash sales were banked after taking out the following expenses, Sh."000": Rent 13,500; Rates 1,200; Insurance 1,320; General expenses 3,600; Drawings 56,550. 5. Cheque payments were made during the year as follows (Sh."000"): Payments to accounts payable 340,000; Purchase of equipment 9,600; Purchase of fixtures and fittings 4,500; Rent 1,500; Rates 300; Insurance 480; General expenses 2,460. 6. Discounts received from accounts payable amounted to Sh.7,740,000. 7. Operating overheads of Sh.78,000,000 were incurred but not settled as at 31 March 2020. 8. Accounts receivable as at 31 March 2020 increased by 1/3 of opening balances. 9. Accounts payable as at 31 March 2020 increased by 1/8 of opening balances. 10. Inventory as at 31 March 2020 was Sh. 171,750,000. 11. Depreciation rate per annum on equipment and fixtures and fittings is 10% and 20% on cost respectively. Required: (a) Income statement for the year ended 31 March 2020. (12 marks) (b) Statement of financial position as at 31 March 2020. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Closing balances from the stated increases:** accounts receivable 16,062 × 4/3 = **21,416**; accounts payable 21,840 × 9/8 = **24,570**.
- **W2 — Receipts from receivables (receivables control):** 16,062 + credit sales 486,000 − closing 21,416 = **480,646**. (The takings — receipts from debtors together with any cash sales — were banked after deducting the item 4 payments.)

- **W3 — Credit purchases (payables control, balancing figure):** closing 24,570 + payments 340,000 + discounts received 7,740 − opening 21,840 = **350,470**.
- **W4 — Bank:** opening 3,600 + amounts banked (480,646 − 76,170 item 4 deductions) − cheque payments (340,000 + 9,600 + 4,500 + 1,500 + 300 + 480 + 2,460 = 358,840) = **49,236 Dr**.
- **W5 — Depreciation:** equipment 10% × (21,000 + 9,600) = 3,060; fixtures and fittings 20% × (15,000 + 4,500) = 3,900.

(a) Income statement for the year ended 31 March 2020 (Sh."000")

	Sh."000"
Sales (all on credit)	486,000
Cost of sales: Opening inventory 162,000 + purchases 350,470 − closing inventory 171,750	(340,720)
Gross profit	**145,280**
Discounts received	7,740
	153,020
Expenses:	
Rent (13,500 + 1,500)	15,000
Rates (1,200 + 300)	1,500
Insurance (1,320 + 480)	1,800
General expenses (3,600 + 2,460)	6,060
Operating overheads (accrued, unpaid)	78,000
Depreciation — equipment 3,060; fixtures and fittings 3,900	6,960
	(109,320)
Net profit	**43,700**

(The derived gross profit of 145,280 on cost of sales of 340,720 is a margin of about 3/7 on cost, consistent with the trader's stated basis, subject to the small source difference noted below.)

(b) Statement of financial position as at 31 March 2020 (Sh."000")

	Sh."000"
Non-current assets	
Equipment (30,600 − 7,260)	23,340
Fixtures and fittings (19,500 − 6,900)	12,600
	35,940
Current assets	
Inventory	171,750
Accounts receivable	21,416

	Sh."000"
Bank	49,236
	242,402
Total assets	**278,342**
Capital (171,972 + net profit 43,700 − drawings 56,550)	159,122
Current liabilities	
Accounts payable	24,570
Accrued operating overheads	78,000
Suspense — difference on opening balances (see note)	16,650
	119,220
Total capital and liabilities	**278,342**

*Note: the opening balances as transcribed do not balance — opening assets of 210,462 exceed opening capital and payables of 193,812 by **16,650**, an item evidently omitted from the scanned list of opening balances. The same difference is carried as a suspense item above so that the closing statement balances; it does not affect the income statement.*

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Closing receivables 21,416 and closing payables 24,570 correctly derived from the stated increases (4/3 and 9/8) **(2)**
- Receipts from receivables derived via control account = 480,646; bankings net of the item 4 deductions (76,170) **(2)**
- Credit purchases derived as the payables-control balancing figure = 350,470 (payments 340,000 + discounts 7,740 + closing 24,570 − opening 21,840) **(2)**
- Cost of sales 340,720 and gross profit 145,280 **(2)**
- Expenses correctly combined (rent 15,000; rates 1,500; insurance 1,800; general 6,060) and accrued overheads 78,000 charged **(2)**
- Depreciation on cost incl. additions: equipment 3,060; fixtures 3,900; discounts received 7,740 credited; net profit 43,700 **(2)**
- SOFP: non-current assets 35,940 (equipment 23,340; fixtures 12,600); closing bank 49,236 correctly derived **(3)**
- SOFP: capital 159,122 after drawings 56,550; payables 24,570 and accruals 78,000; statement balances at 278,342 (opening difference disclosed) **(5)**

KASNEB-2019-05-Q5 · May 2019 · 20 marks KASNEB authored

Incomplete records — first-year restaurant (Moses Rono)

Moses Rono is a trader operating a restaurant. The restaurant started on 1 April 2018 and he does not maintain a full set of double-entry records. He recorded the following transactions in his diary for the year ended 31 March 2019: 1. He started the business with Sh.800,000 in cash and Sh.1,200,000 in bank. 2. He paid Sh.200,000 for cash purchases and took Sh.10,000 for personal use. 3. He bought goods on credit from suppliers for Sh.

1,680,000. He returned some goods costing Sh.80,000 to suppliers. 4. He paid suppliers Sh.1,200,000 by cheque, Sh.100,000 in cash and received Sh.60,000 cash discount. 5. He sold goods on credit for Sh.1,025,000 less Sh.25,000 discounts allowed. [Diary continues in the paper.] 6. During the year, he took Sh.320,000 from the business for personal use to pay his children's school fees. 7. He paid insurance of Sh.250,000 by cheque and accrued general expenses of Sh.30,000 on 31 March 2019.

Additional information: Cash in hand as at 31 March 2019 Sh.80,000; Bank balance as at 31 March 2019 Sh. 390,000; Accounts receivable as at 31 March 2019 Sh.600,000; Accounts payable as at 31 March 2019 Sh. 340,000; Inventory as at 31 March 2019 Sh.280,000; Equipment as at 31 March 2019 Sh.140,000. No depreciation is to be charged on equipment.

Required: (a) Income statement for the year ended 31 March 2019. (12 marks) (b) Statement of financial position as at 31 March 2019. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh.

Workings

W1 — Trade receivables control: Credit sales 1,025,000 − returns inwards 75,000 − discounts allowed 25,000 − closing receivables 600,000 → **receipts from debtors = 325,000**. **W2 — Trade payables control:** Credit purchases per diary 1,680,000 − returns outwards 80,000 − paid to suppliers (1,200,000 + 100,000) 1,300,000 − discounts received 60,000 = 240,000; the closing payables balance given of 340,000 implies **further credit purchases of 100,000** recorded in the diary (see source note). Total purchases = cash purchases 200,000 + credit purchases 1,780,000 − returns outwards 80,000 = **1,900,000**. **W3 — Cash sales (balancing figure):** Cash and bank combined: opening 2,000,000; payments: cash purchases 200,000 + suppliers 1,300,000 + insurance 250,000 + drawings (10,000 + 320,000) 330,000 + equipment purchased 140,000 = 2,220,000; closing (80,000 + 390,000) 470,000. Total receipts = 2,220,000 + 470,000 − 2,000,000 = 690,000 → cash sales = 690,000 − receipts from debtors 325,000 = **365,000**.

(a) Income statement for the year ended 31 March 2019

```
Sales: Cash sales (W3)            365,000
       Credit sales             1,025,000
       Less returns inwards        (75,000)                1,315,000
Cost of sales: Purchases (W2) 1,900,000 − closing inventory (280,000)   (1,620,000)
Gross loss                                                    (305,000)
Add: Discounts received                                        60,000
Less: Insurance                     250,000
      General expenses (accrued)     30,000
      Discounts allowed              25,000                   (305,000)
Net loss                                                      (550,000)
```

(b) Statement of financial position as at 31 March 2019

```
Non-current assets: Equipment                                   140,000
Current assets: Inventory 280,000; Accounts receivable 600,000; Bank 390,000; Cash
in hand 80,000   1,350,000
Total assets                                                  1,490,000
Capital introduced                                            2,000,000
Less: Net loss (550,000); Drawings (330,000)                  (880,000)
Capital at 31 March 2019                                      1,120,000
Current liabilities: Accounts payable 340,000; Accrued general expenses
```

```
30,000                          370,000
Total capital and liabilities                                    1,490,000
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) W1 receipts from debtors 325,000 via receivables control (returns inwards and discounts allowed deducted) (2) **(2)**
- (a) W2 total purchases 1,900,000 via payables control (cash 200,000 + credit 1,780,000 − returns 80,000) (2) **(2)**
- (a) W3 cash sales 365,000 as the cash/bank balancing figure (2) **(2)**
- (a) Net sales 1,315,000; cost of sales 1,620,000; gross loss (305,000) (2) **(2)**
- (a) Discounts received 60,000 added; insurance 250,000, accrued general expenses 30,000, discounts allowed 25,000 charged → net loss (550,000) (4) **(4)**
- (b) Assets: equipment 140,000 (no depreciation), inventory 280,000, receivables 600,000, bank 390,000, cash 80,000 → 1,490,000 (3) **(3)**
- (b) Capital: 2,000,000 − loss 550,000 − drawings 330,000 = 1,120,000 (3) **(3)**
- (b) Liabilities: payables 340,000 + accrued expenses 30,000 = 370,000; statement balances (2) **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M09-Q006 – CA11-M09-Q029. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 9 · ACCOUNTS FROM INCOMPLETE RECORDS — LESSON 3

Techniques for Completing Incomplete Records

Learning Objectives

By the end of this lesson you should be able to:

1. Build a cash and bank summary and use its balancing figure to find cash sales or cash purchases.
2. Prepare total debtors and total creditors accounts to find credit sales and credit purchases as balancing figures.
3. Adjust nominal accounts for prepayments, accruals and private (non-business) items.
4. Apply mark-up and margin relationships to derive missing sales, purchases or gross profit figures.
5. Outline the general procedure for converting incomplete records to double entry and extracting a trial balance.

---

1. The General Approach

Rather than estimating profit by capital comparison, the fuller technique is to **complete the double entry first**, then prepare proper final accounts:

1. Open ledger accounts with the **opening balances** of assets, liabilities and capital.
2. Take each book of original entry in turn (cash book, sales day book, purchases day book, returns books, bills books) and post whatever was never posted — nominal and real accounts as well as personal ones.
3. Post discount-column totals to **discounts allowed** and **discounts received**.
4. Sift the cash book for **private items**: the proprietor's personal receipts credited to capital; personal payments debited to capital (drawings); shared expenses (e.g. rent of shared premises) apportioned on a fair basis.
5. Total the debtors' and creditors' schedules; eliminate any revenue/expense items hiding in them; post the totals to total debtors/total creditors accounts.
6. Extract a **trial balance** — it will disclose mistakes made in the adjustments.

Two workhorse techniques supply the missing figures: the **cash/bank summary** and **control (total) accounts**.

---

2. Derivation of Information from the Cash Book

Analyse all cash and bank receipts and payments under significant heads in a **Cash and Bank Summary**. If a figure is missing (often cash sales or cash purchases), it emerges as the **balancing figure**.

Worked example — Cash and bank summary (adapted from the study text)

Particulars for a firm for 2025 (Sh.):

Cash balance 1 Jan 250; bank overdraft 1 Jan 5,400; cash purchases 3,000; collections from debtors 45,600; sale of old furniture 750; purchase of machinery 12,000; payments to creditors 26,370; expenses 8,450; fresh capital brought in 5,000; drawings 3,230; cash balance 31 Dec 310; bank balance 31 Dec 1,180.

Cash and Bank Summary

Dr (receipts)	Sh.	Cr (payments)	Sh.
Cash balance 1-1-2025	250	Bank overdraft 1-1-2025	5,400
Collections from debtors	45,600	Cash purchases	3,000
Sale of old furniture	750	Purchase of machinery	12,000
Fresh capital brought in	5,000	Payments to creditors	26,370
Cash sales (balancing figure)	8,340	Expenses	8,450
		Drawings	3,230

		Cash balance 31-12-2025	310
		Bank balance 31-12-2025	1,180
	59,940		59,940

The debit side is short by **Sh.8,340** — the only plausible source of unrecorded cash inflow is **cash sales**. Post the analysed totals to the ledger; the summary must reconcile to the cash and bank books.

> **Exam trap:** The balancing figure is not automatically "cash sales" — reason it out. If receipts are short, it is an unrecorded *inflow* (cash sales, fresh capital); if payments are short, an unrecorded *outflow* (cash purchases, drawings). Say which, and why, in one line.

---

3. Total Debtors and Total Creditors Accounts

Where only personal ledgers exist, the **total debtors account** finds credit sales and the **total creditors account** finds credit purchases — each as a balancing figure.

Worked example (continuing the firm above)

Additional information: opening debtors 15,000; closing debtors 25,600; discount allowed 1,870; opening creditors 12,300; closing creditors 13,800; discount received 1,130.

Sundry Creditors Account

Dr		Cr	
Cash (paid to creditors)	26,370	Balance b/d (opening)	12,300
Discount received	1,130	Purchases — credit (bal. figure)	29,000
Balance c/d (closing)	13,800		
	41,300		41,300

Credit purchases = **Sh.29,000**; total purchases = 29,000 + cash purchases 3,000 = **Sh.32,000**.

Sundry Debtors Account

Dr		Cr	
Balance b/d (opening)	15,000	Cash (from debtors)	45,600
Sales — credit (bal. figure)	58,070	Discount allowed	1,870
		Balance c/d (closing)	25,600
	73,070		73,070

Credit sales = **Sh.58,070**; total sales = 58,070 + cash sales 8,340 = **Sh.66,410**.

> **Exam trap:** Discounts go on the *opposite* side from cash: discount **received** is a debit in the creditors account; discount **allowed** is a credit in the debtors account. Bills receivable received from debtors are credited to debtors; bills payable issued to creditors are debited to creditors.

---

4. Mark-Up and Margin

Where sales or purchases are still missing, the **gross profit relationship** unlocks them:

- **Mark-up** = Gross profit ÷ Cost of sales (profit expressed on cost)
- **Margin** = Gross profit ÷ Sales (profit expressed on selling price)

Conversions (with m = mark-up, g = margin as decimals):

```
Margin  = m ÷ (1 + m)          Mark-up = g ÷ (1 − g)
Cost of sales = Sales ÷ (1 + m) = Sales × (1 − g)
```

Worked example

Using the firm above: opening stock 20,000; purchases 32,000; closing stock 15,000; sales 66,410.

- Cost of sales = 20,000 + 32,000 − 15,000 = **37,000**
- Gross profit = 66,410 − 37,000 = **29,410**
- Mark-up = 29,410 ÷ 37,000 = **79.5%**; margin = 29,410 ÷ 66,410 = **44.3%**
- Check: 79.5% ÷ 1.795 = 44.3% ✓

Using the relationship in reverse (the examined skill): a trader maintains a steady gross margin of 25% on sales and sold goods for Sh.200,000. Then cost of sales = 200,000 × (1 − 0.25) = **Sh.150,000** and gross profit = **Sh.50,000**. If instead the mark-up is given as 25% on cost: cost of sales = 200,000 ÷ 1.25 = **Sh.160,000**, gross profit **Sh.40,000**.

> **Exam trap:** The single most common error is applying a mark-up percentage to *sales* or a margin to *cost*. Read the words: "mark-up **on cost**" divides sales; "margin **on sales**" multiplies sales. When in doubt, test with 25%: mark-up 25% on cost 100 → price 125; margin 25% on price 125 → cost 93.75 — different answers, so the base matters.

---

5. Putting It All Together

A typical KASNEB question chains the techniques: cash summary → cash sales; total debtors → credit sales; total creditors → credit purchases; stock account → cost of sales; margin → gross profit check; then the trading and profit and loss account and balance sheet as normal. Practise the chain in that order and each balancing figure becomes the next step's input.

6. Nominal Account Adjustments: Prepayments, Accruals and Private Items

When completing the records, the nominal (expense/income) accounts need the same adjustments as in full double entry:

- **Accruals:** expenses incurred but unpaid at year-end (e.g. outstanding wages 8,000) are *added* to the cash paid to give the P&L charge, and appear as current liabilities.
- **Prepayments:** expenses paid in advance (e.g. prepaid rent 12,000) are *deducted* from cash paid; the prepayment is a current asset.
- **Private items** in the cash book are stripped out: personal payments → drawings (debit capital); personal receipts banked in → fresh capital (credit capital); shared expenses (rent of shared premises) → apportioned on a fair basis, the private portion to drawings.

Mini-example: Cash paid for rent 120,000; prepaid rent at year-end 12,000; one-third of the premises is the owner's residence. Business rent = (120,000 − 12,000) × 2/3 = **72,000**; drawings = 108,000 × 1/3 = **36,000**; prepayment asset = 12,000 × 2/3 = **8,000** (the private third of the prepayment, 4,000, is also drawings).

7. The Trial Balance as Error Check

After posting all completions, **extract a trial balance**. Its agreement proves the double entry is arithmetically complete — the single most powerful error check in this topic. If it does not agree:

1. Re-check each balancing figure (cash sales, credit sales, credit purchases) — a sign error here unbalances everything downstream.
2. Confirm every private-item adjustment hit *both* sides (drawings ↔ cash; fresh capital ↔ cash).
3. Confirm discounts were posted to the right accounts (discount allowed/received).
4. Only then consider a suspense account — but at CA11, finding the error scores more than opening one.

A trial balance that agrees does not prove every figure is *correct* — errors of principle (e.g. treating drawings as an expense) still balance — so keep the classification rules of Lessons 1–2 in mind throughout.

Key Terms

- **Cash and bank summary** — analysed receipts and payments; the balancing figure reveals cash sales/purchases.
- **Total debtors account** — control account yielding credit sales as the balancing figure.
- **Total creditors account** — control account yielding credit purchases as the balancing figure.
- **Mark-up** — gross profit as a percentage of cost of sales. **Margin** — gross profit as a percentage of sales.
- **Balancing figure** — the unknown found by making both sides of an account/summary agree.

Module Summary

- Complete the double entry first: post unposted items from each book, sift out private transactions, apportion shared expenses.
- The cash/bank summary's balancing figure identifies missing cash sales or purchases.
- Total debtors/creditors accounts identify missing credit sales/purchases; discounts sit on the opposite side from cash.
- Mark-up (on cost) and margin (on sales) interconvert and derive missing sales, cost of sales or gross profit.

Exam Day Tips

1. Draw the T-account and label the balancing figure explicitly ("credit sales (balancing figure)") — the label earns marks.
2. Keep a consistent Sh. column; control accounts must balance to the shilling.
3. Before using a margin, confirm its base (cost or sales) — underline the words in the question.
4. After finding each figure, ask "what does this unlock next?" — chain the techniques forward.
5. Always extract (or at least attempt) a trial balance after completing the entries; agreement is your error check.

Slide deck at a glance

The general approach

- Complete the double entry FIRST, then prepare proper final accounts
- Open ledger with opening balances; post each unposted book in turn
- Sift cash book for private items: personal payments → drawings
- Post discount-column totals to discounts allowed/received

- Workhorse techniques: cash/bank summary and total (control) accounts

Cash and bank summary

- Analyse receipts and payments under significant heads
- Short debit side = unrecorded INFLOW → cash sales (balancing figure)
- Short credit side = unrecorded OUTFLOW → cash purchases or drawings
- Example: receipts short by 8,340 → cash sales = Sh.8,340
- Reason which it is — never assume automatically

Total debtors and creditors accounts

- Total debtors account → credit sales as the balancing figure
- Total creditors account → credit purchases as the balancing figure
- Discount received = debit in creditors account (opposite side from cash)
- Discount allowed = credit in debtors account
- Example: credit purchases 29,000; credit sales 58,070 — both balance ✓

Mark-up and margin

- Mark-up = gross profit ÷ cost of sales (profit on cost)
- Margin = gross profit ÷ sales (profit on selling price)
- Conversions: margin = m ÷ (1 + m); mark-up = g ÷ (1 − g)
- Cost of sales = sales ÷ (1 + m) = sales × (1 − g)
- Margin 25% on sales 200,000 → cost 150,000, GP 50,000

Chaining the techniques

- Chain order: cash summary → cash sales; debtors → credit sales
- Creditors → credit purchases; stock account → cost of sales
- Margin relationship → gross profit check
- Each balancing figure unlocks the next step
- Then trading & P&L account and balance sheet as normal

Nominal adjustments and the trial balance

- Accruals (e.g. outstanding wages 8,000): added to cash paid = P&L charge
- Prepayments (e.g. prepaid rent 12,000): deducted from cash paid = asset
- Shared premises: apportion fairly; private portion → drawings
- Mini-example: business rent = (120,000 − 12,000) × 2/3 = 72,000
- Trial balance that agrees proves arithmetic completeness — the error check

Key takeaways / exam tips

- Label every balancing figure ("credit sales (balancing figure)") — it earns marks
- Discounts: received = debit in creditors; allowed = credit in debtors
- Underline the margin's base — "on cost" vs "on sales" changes the answer
- Mark-up applied to sales (or margin to cost) is the commonest error
- Extract the trial balance; a balanced TB still needs classification sense

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-08-Q1 · August 2022 · 20 marks KASNEB authored

Ratio analysis (Wali Traders); incomplete records (Grace Solo)

(a) The finance manager of Wali Traders has provided the following information (Sh."000"): Cost of sales 22,000; Gross profit 9,500; Interest expense 3,000; Tax expense 1,116; Net profit after tax 4,464.
Required: (i) Interest coverage ratio. (3 marks) (ii) Gross profit margin ratio. (2 marks)
(b) Grace Solo is a sole trader running a commercial bakery. She does not maintain proper records. Balances (Sh."000") at 31 December 2020 / 31 December 2021: Factory building at cost 425,000 / 425,000; Motor vehicles at cost 93,000 / ?; Furniture and fittings at cost 13,500 / 13,500; Inventories 13,700 / 14,930; Accounts receivable 11,450 / 11,570; Accounts payable 15,460 / 16,800; Loan 19,500 / ?; Salaries and wages due 8,420 / 8,250; Prepaid rates 7,750 / 7,860; Rent received in advance 7,900 / 8,180; Capital 502,320 / ?; Accumulated depreciation: factory building 8,500 / 17,000; motor vehicles 2,580 / 5,422; furniture and fittings 1,600 / 3,200.
Cash summary for the year ended 31 December 2021 (Sh."000"): Receipts — Balance b/f 1,880; Accounts receivable 98,810; Cash sales 28,860; Rent 13,700; Capital introduced 72,250. Payments — Accounts payable 57,760; Cash purchases 15,640; Salaries and wages 15,820; Rates 9,140; Motor vehicle expenses 10,320; Bank charges 7,650; General expenses 4,770; Loan interest 800; Loan repayment 17,500; Motor vehicle 10,500; Drawings 11,100; Balance c/f 54,500. Total 215,500.
Additional information: (1) Discounts allowed Sh.873,000; discounts received Sh.886,000. (2) Grace Solo took goods valued at Sh.800,000 for personal use.
Required: (i) Statement of profit or loss for the year ended 31 December 2021. (10 marks) (ii) Statement of financial position as at 31 December 2021. (5 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Wali Traders

Sales = cost of sales 22,000 + gross profit 9,500 = 31,500. PBT = 4,464 + 1,116 = 5,580. EBIT = 5,580 + interest 3,000 = 8,580. (i) **Interest cover** = EBIT ÷ interest expense = 8,580 ÷ 3,000 = **2.86 times**. (ii) **Gross profit margin** = 9,500 ÷ 31,500 × 100 = **30.16%**.

(b) Grace Solo (Sh."000")

Workings

- **Credit sales** = receipts from debtors 98,810 + discounts allowed 873 + closing receivables 11,570 − opening receivables 11,450 = **99,803**. Total sales = 99,803 + cash sales 28,860 = 128,663.
- **Credit purchases** = payments to payables 57,760 + discounts received 886 + closing payables 16,800 − opening payables 15,460 = **59,986**. Total purchases = 59,986 + cash purchases 15,640 = 75,626.
- **Depreciation charges** (movements in accumulated depreciation): building 17,000 − 8,500 = 8,500; motor vehicles 5,422 − 2,580 = 2,842; furniture 3,200 − 1,600 = 1,600; total 12,942.
- Motor vehicles at cost 31 Dec 2021 = 93,000 + 10,500 purchased = 103,500; NBV = 103,500 − 5,422 = 98,078.
- Salaries expense = 15,820 + 8,250 due − 8,420 due = 15,650. Rates = 9,140 + 7,750 prepaid − 7,860 prepaid = 9,030. Rent income = 13,700 + 7,900 advance b/f − 8,180 advance c/f = 13,420.

(i) Statement of profit or loss for the year ended 31 December 2021

```
Sales (credit 99,803 + cash 28,860)                      128,663
Cost of sales: opening inventories 13,700 + purchases 75,626
```

```
  − goods for personal use 800 − closing inventories 14,930   (73,596)
Gross profit                                                  55,067
Add: Discounts received 886; Rent income 13,420               14,306
Less expenses:
  Salaries and wages              15,650
  Rates                            9,030
  Motor vehicle expenses          10,320
  Bank charges                     7,650
  General expenses                 4,770
  Loan interest                      800
  Discounts allowed                  873
  Depreciation (8,500 + 2,842 + 1,600)  12,942        (62,035)
Net profit                                                     7,338
```

(ii) Statement of financial position as at 31 December 2021

```
Non-current assets:
  Factory building (425,000 − 17,000)        408,000
  Motor vehicles (103,500 − 5,422)            98,078
  Furniture and fittings (13,500 − 3,200)     10,300    516,378
Current assets:
  Inventories                                 14,930
  Accounts receivable                         11,570
  Prepaid rates                                7,860
  Cash balance                                54,500     88,860
Total assets                                            605,238
Capital: opening 502,320 + introduced 72,250 + net profit 7,338
  − drawings (11,100 + goods 800)                                 569,962
Loan (19,500 − 17,500 repaid)                               2,000
Current liabilities: Accounts payable 16,800; Salaries due 8,250;
  Rent received in advance 8,180                           33,230
Total capital and liabilities                             605,238
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Interest cover 2.86 times (EBIT 8,580 derived: PAT + tax + interest) **(3)**
- (a)(ii) Gross profit margin 30.16% (sales derived as 31,500) **(2)**
- (b) Workings: credit sales 99,803 and credit purchases 59,986 via control accounts incl. discounts **(3)**
- (b)(i) Gross profit 55,067 (goods for personal use 800 removed from cost of sales) **(2)**
- (b)(i) Expense adjustments: salaries 15,650; rates 9,030; rent income 13,420 (advances adjusted) **(2)**
- (b)(i) Depreciation 12,942 from accumulated depreciation movements (8,500/2,842/1,600); net profit 7,338 **(3)**
- (b)(ii) SOFP balances at 605,238: MV cost completed at 103,500 (NBV 98,078); capital 569,962; loan 2,000 **(5)**

KASNEB-2021-08-Q2 · August 2021 · 20 marks KASNEB authored

Single entry / incomplete records (Alpha Omega)

Alpha Omega operates a retail business. He has not employed a qualified accountant, and therefore has not maintained proper accounting records. The following information was extracted from his books for the year ended 31 March 2020 (Sh."000"): Accounts receivable 2,000; Bank overdraft 240; Accounts payable 1,520;

Electricity expenses accrued 60; 10% bank loan 2,400; Allowance for doubtful debts 100; Freehold property (cost) 2,400; Motor vehicles (net book value) 3,000; Furniture and fixtures (net book value) 960; Inventory 1,560.

The following transactions took place during the year ended 31 March 2021: 1. Sales and purchases on credit amounted to Sh.8,320,000 and Sh.7,600,000 respectively. 2. The following transactions were carried out through the bank account (Sh."000"): Electricity expenses 260; General expenses 140; Interest on loan 120; Drawings 240; Loan repayment on 30 September 2020 400; Collections from accounts receivable 7,560; Proceeds from sale of motor vehicle 480; Salaries and wages 640; Purchases of furniture 800; Payments to accounts payable 7,760; Sales – cash 2,880; Purchases – cash 960. 3. The business operates at a gross profit margin of 25%. 4. Accrued electricity as at 31 March 2021 amounted to Sh.76,000. 5. Bad debts of Sh.80,000 were written off during the year ended 31 March 2021. The allowance for doubtful debts is to be maintained at 5% of the outstanding accounts receivable at the end of year. 6. During the year ended 31 March 2021, the business received discounts of Sh.160,000 and allowed discounts of Sh.280,000. 7. Loan interest paid was for half a year up to 30 September 2020. 8. The business depreciates motor vehicles at 20% per annum on a reducing balance basis. A full year's depreciation is provided on a motor vehicle acquired in the course of the year and no depreciation is provided on a motor vehicle disposed of in the course of the year. 9. The motor vehicle disposed during the year ended 31 March 2021 had been purchased at Sh.1,000,000 and had accumulated depreciation of Sh.488,000 at the time of disposal. 10. Furniture is depreciated at a rate of 10% per annum on cost and is pro-rated to the period used in the year. The additional furniture was purchased on 1 October 2020, while the cost of furniture held on 31 March 2020 was Sh.1,600,000.

Required: (a) Statement of profit or loss for the year ended 31 March 2021. (12 marks) (b) Statement of financial position as at 31 March 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings: - Opening capital (statement of affairs at 31 March 2020): assets 2,000 + 2,400 + 3,000 + 960 + 1,560 = 9,920; liabilities 240 + 1,520 + 60 + 2,400 + 100 = 4,320; capital = **5,600**. - Receivables control: 2,000 + 8,320 − 7,560 − 280 (discounts allowed) − 80 (bad debts) = closing receivables **2,400**. Allowance required 5% × 2,400 = 120 (charge: bad debts 80 + increase 20 = 100 via the profit or loss). - Payables control: 1,520 + 7,600 − 7,760 − 160 (discounts received) = closing payables **1,200**. (Cash purchases of 960 are paid immediately and do not pass through this account.) - Sales = 8,320 + 2,880 = 11,200. Cost of sales at a 25% margin = 75% × 11,200 = 8,400; closing inventory = 1,560 + (7,600 + 960) − 8,400 = **1,720**. - Loan: 2,400 − 400 repaid = 2,000. Interest paid (120) covered the half-year to 30 September 2020 on the opening loan; the second half-year's interest on the reduced loan = 10% × 2,000 × 6/12 = 100 accrued. Total interest charge 220. - Motor vehicles: vehicle sold had NBV 1,000 − 488 = 512; proceeds 480 → loss on disposal 32. Depreciation = 20% × (3,000 − 512) = 497.6; closing NBV = 2,488 × 80% = 1,990.4. - Furniture: depreciation = 10% × 1,600 + 10% × 800 × 6/12 = 160 + 40 = 200; closing NBV = 960 + 800 − 200 = 1,560. - Electricity expense = 260 + 76 − 60 = 276. Bank: −240 + 7,560 + 480 + 2,880 − (260 + 140 + 120 + 240 + 400 + 640 + 800 + 7,760 + 960) = overdraft **640**.

(a) Statement of profit or loss for the year ended 31 March 2021

```
Sales (8,320 + 2,880)                                  11,200.0
Cost of sales (75% × 11,200)                           (8,400.0)
Gross profit                                             2,800.0
Add: Discounts received                                    160.0
Less expenses:
```

```
  Electricity (260 + 76 − 60)              276.0
  General expenses                         140.0
  Salaries and wages                       640.0
  Loan interest (120 + 100 accrued)        220.0
  Discounts allowed                        280.0
  Bad debts 80 + increase in allowance 20  100.0
  Loss on sale of motor vehicle             32.0
  Depreciation: Motor vehicles             497.6
                Furniture and fixtures       200.0       (2,385.6)
Net profit                                                   574.4
```

(b) Statement of financial position as at 31 March 2021

```
Non-current assets:
  Freehold property (cost)                                2,400.0
  Motor vehicles (NBV)                                    1,990.4
  Furniture and fixtures (NBV)                            1,560.0   5,950.4
Current assets:
  Inventory                                               1,720.0
  Accounts receivable 2,400 − allowance 120               2,280.0   4,000.0
Total assets                                                9,950.4
Capital: Opening 5,600.0 + net profit 574.4
  − drawings 240.0                                        5,934.4
Non-current liabilities: 10% Bank loan                     2,000.0
Current liabilities:
  Accounts payable                                        1,200.0
  Accrued loan interest                                     100.0
  Accrued electricity                                        76.0
  Bank overdraft                                            640.0   2,016.0
Total capital and liabilities                               9,950.4
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Opening capital 5,600 derived from a statement of affairs **(1)**
- (a) Receivables control giving closing receivables 2,400 and payables control giving closing payables 1,200 **(2)**
- (a) Sales 11,200, cost of sales 8,400 from the 25% margin and closing inventory 1,720 **(2)**
- (a) Gross profit 2,800 and discounts received 160 **(1)**
- (a) Expense adjustments: electricity 276, loan interest 220 (100 accrued), discounts allowed 280, bad debts and allowance charge 100, loss on disposal 32 **(3)**
- (a) Depreciation: motor vehicles 497.6 (none on the vehicle disposed of) and furniture 200 (pro-rated on the addition) **(2)**
- (a) Net profit Sh.574,400 **(1)**
- (b) Non-current assets: property 2,400, motor vehicles 1,990.4, furniture 1,560 **(2)**
- (b) Current assets: inventory 1,720 and receivables net of allowance 2,280 **(2)**
- (b) Capital roll-forward: 5,600 + 574.4 − drawings 240 = 5,934.4 **(1)**
- (b) Liabilities: loan 2,000, payables 1,200, accrued interest 100, accrued electricity 76, overdraft 640 **(2)**
- (b) Statement of financial position balances at Sh.9,950,400 **(1)**

KASNEB-2017-11-Q5 · November 2017 · 20 marks KASNEB authored

Incomplete records: income statement and statement of financial position from a receipts and payments summary

David Kweya commenced a new business on 1 July 2016. He did not maintain proper accounting records. An examination of his cash book and other records revealed the following: 1. A bank account was opened on 1 July 2016 with cash of Sh.3,750,000. 2. Personal assets: A house valued at Sh.9,180,000 mortgaged with a bank at Sh.3,600,000; Inventory of Sh.4,500,000 bought with a personal cheque of Sh.1,800,000 and personal overdraft of Sh.2,700,000. 3. A friend advanced a loan of Sh.1,500,000 which is interest-free.

The following summary of receipts and payments was prepared from the books as at 30 June 2017 (Sh."000): Receipts: Capital introduced 3,750; Sales 39,600; Loan from friend 1,500; Receipts from accounts receivable 9,000; Total 53,850. Payments: Purchases 18,000; Payments to suppliers (accounts payable) 10,500; Loan repayment 750; Operating expenses 10,500; Purchase of motor vehicle 1,500; Drawings 3,600; Balance c/d 9,000; Total 53,850.

Additional information:
1. As at 30 June 2017, the following information was extracted from the books (Sh."000): Inventory 9,900; Accounts payable 22,500; Accounts receivable 15,000.
2. Equipment includes: Motor vehicle Sh.1,500,000; Furniture and fittings Sh.3,000,000.
3. Depreciation charges on the equipment for the year are as follows: Motor vehicle 25%; Furniture and fittings 10%.
4. Personal payments made from business account include drawings of Sh.36,000 per month for family maintenance except for the months of October 2016 and January 2017 when drawings were Sh.42,000 and Sh. 52,000 respectively.
5. After proper examination, it was discovered that business payments included Sh.700,000 spent on goods for personal use.

Required: (a) Income statement for the year ended 30 June 2017. (10 marks) (b) Statement of financial position as at 30 June 2017. (10 marks) (Total: 20 marks)

SokoCPA worked solution

DAVID KWEYA — INCOMPLETE RECORDS (all figures Sh."000)

Key workings: W1. Total sales: cash sales per receipts and payments summary 39,600 + credit sales. Credit sales = receipts from receivables 9,000 + closing receivables 15,000 − opening receivables (nil — new business) = 24,000. Total sales = 63,600. W2. Total purchases: cash purchases 18,000 + credit purchases. Credit purchases = payments to suppliers 10,500 + closing payables 22,500 − opening payables (nil) = 33,000. Total purchases = 51,000, less goods taken for personal use 700 (additional information 5 — these are drawings in kind, not business purchases) = 50,300. W3. Capital introduced: cash banked on opening the account 3,750 + opening inventory of 4,500 paid for personally (personal cheque 1,800 and personal overdraft 2,700 — the business acquired the stock and the owner is credited with capital introduced in kind) + furniture and fittings of 3,000 introduced into the business (no payment for them appears in the receipts and payments summary) = 11,250. W4. Drawings: cash drawings per the summary 3,600 (the monthly family-maintenance amounts in additional information 4 — 36,000 × 10 + 42,000 + 52,000 = Sh.454,000 — are part of, not additional to, this figure) + goods for personal use 700 = 4,300. W5. The house (Sh.9,180,000) and its mortgage (Sh.3,600,000) are the proprietor's personal assets and liabilities and are excluded entirely (business entity concept).

(a) INCOME STATEMENT FOR THE YEAR ENDED 30 JUNE 2017 (Sh."000)

Revenue (W1) 63,600 Cost of sales: Opening inventory (introduced at commencement) 4,500 Purchases (W2) 50,300 Less: Closing inventory (9,900) Cost of sales (44,900) Gross profit 18,700 Expenses: Operating

expenses 10,500 Depreciation: motor vehicle (25% × 1,500) 375; furniture and fittings (10% × 3,000) 300 675 Total expenses (11,175) Net profit 7,525

(b) STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2017 (Sh."000)

Non-current assets: Motor vehicle: cost 1,500 less depreciation (375) → 1,125 Furniture and fittings: cost 3,000 less depreciation (300) → 2,700 3,825 Current assets: Inventory 9,900 Accounts receivable 15,000 Bank balance (per receipts and payments summary) 9,000 33,900 Total assets 37,725

Capital and liabilities: Capital introduced (W3) 11,250 Add: Net profit 7,525 Less: Drawings (W4) (4,300) Capital at 30 June 2017 14,475 Current liabilities: Accounts payable 22,500 Loan from friend (1,500 − 750 repaid) 750 23,250 Total capital and liabilities 37,725

The statement of financial position balances exactly, which confirms the treatment adopted for the opening inventory and furniture introduced by the proprietor and for drawings.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Credit sales derived from the receivables control (9,000 + 15,000 = 24,000) and total revenue Sh. 63,600,000 **(2)**
- (a) Credit purchases derived from the payables control (10,500 + 22,500 = 33,000); total purchases 51,000 less goods for personal use 700 = 50,300 **(2)**
- (a) Cost of sales 44,900 (opening inventory introduced 4,500 + purchases − closing inventory 9,900) and gross profit 18,700 **(2)**
- (a) Operating expenses 10,500 and depreciation (motor vehicle 375; furniture and fittings 300) charged; net profit Sh.7,525,000 **(2)**
- (a) Personal items correctly excluded from the business accounts (house and mortgage) and the opening inventory recognised as a business asset financed by the proprietor **(2)**
- (b) Non-current assets at carrying amounts (motor vehicle 1,125; furniture and fittings 2,700) and current assets (inventory 9,900; receivables 15,000; bank 9,000) **(4)**
- (b) Capital account correctly built up: introduced 11,250 (cash 3,750 + inventory 4,500 + furniture 3,000) + net profit 7,525 − drawings 4,300 (cash 3,600 + goods 700) = 14,475 **(4)**
- (b) Liabilities: accounts payable 22,500 and friend's loan balance 750; statement of financial position balances at Sh.37,725,000 **(2)**

KASNEB-2016-05-Q3 · May 2016 · 20 marks KASNEB authored

Incomplete records (Samson Kimwatu)

Samson Kimwatu has been in business as a sole trader for some years. The following is a summary of the information provided by Samson Kimwatu for the year ended 31 March 2016 (Sh."000"): Assets and liabilities: (1 April 2015 / 31 March 2016): Premises 10,000 / 10,000; Furniture 6,000 / 5,400; Inventory 11,000 / 13,300; Accounts receivable 2,600 / 2,900; Accounts payable 3,000 / 2,600; Cash in hand 200 / 250; Bank 1,680 / –; Bank overdraft – / 560. Expenses for the year ended 31 March 2016 (Sh."000"): Rent 1,600; Salaries and wages 5,000; Electricity 340; Insurance 450; General expenses 300. During the year ended 31 March 2016, Samson withdrew Sh.4,000,000 cash from the business for personal use, and goods worth Sh.500,000.

Additional information:
1. Gross profit is 3/7 of cost of sales.
2. A bad debt of Sh.120,000 was written off during the year.

3. An allowance for doubtful debts of 10% of accounts receivable is to be maintained.
4. Insurance paid in advance amounted to Sh.60,000.
5. Furniture is depreciated at 10% per annum on cost.
6. Discounts allowed amounted to Sh.180,000 and discounts received amounted to Sh.100,000.

Required: (a) Income statement for the year ended 31 March 2016. (12 marks) (b) Statement of financial position as at 31 March 2016. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 Opening capital (statement of affairs, 1 April 2015):** assets 10,000 + 6,000 + 11,000 + 2,600 + 200 + 1,680 = 31,480 − accounts payable 3,000 = **28,480**.
- **W2 Cash and bank summary:** opening cash and bank 200 + 1,680 = 1,880; closing position 250 cash − 560 overdraft = (310). Payments during the year: expenses 7,690 (rent 1,600 + salaries 5,000 + electricity 340 + insurance 450 + general 300) + cash drawings 4,000. Therefore receipts from receivables − payments to payables = (310) − 1,880 + 7,690 + 4,000 = **9,500**.
- **W3 Receivables control:** 2,600 + credit sales − receipts − bad debt 120 − discounts allowed 180 = 2,900 → credit sales = receipts + 600.
- **W4 Payables control:** 3,000 + credit purchases − payments − discounts received 100 = 2,600 → credit purchases = payments − 300.
- **W5 Trading derivation:** gross profit = sales − cost of sales = (receipts + 600) − [11,000 + (payments − 300) − 500 (drawings of goods credited to purchases) − 13,300] = 9,500 + 3,700 = **13,200**. Since gross profit = 3/7 of cost of sales, cost of sales = 13,200 x 7/3 = **30,800**; hence purchases = 30,800 − 11,000 + 500 + 13,300 = **33,600** and sales = 30,800 + 13,200 = **44,000**.
- **W6 Other charges:** depreciation on furniture 10% x 6,000 = 600 (agrees with the fall in book value 6,000 → 5,400); allowance for doubtful debts 10% x 2,900 = 290; insurance expense 450 − 60 prepaid = 390.

(a) Income statement for the year ended 31 March 2016

Sales revenue (W5)		44,000
Less: Cost of sales (W5)		(30,800)
Gross profit		13,200
Add: Discounts received		100
Less expenses:		
Rent	1,600	
Salaries and wages	5,000	
Electricity	340	
Insurance (450 - 60 prepaid)	390	
General expenses	300	
Bad debt written off	120	
Allowance for doubtful debts	290	
Depreciation - furniture	600	
Discounts allowed	180	8,820
Net profit		4,480

(b) Statement of financial position as at 31 March 2016

Non-current assets: Premises	10,000	
Furniture (6,000 - 600 depreciation)	5,400	15,400
Current assets: Inventory	13,300	
Accounts receivable (2,900 - allowance 290)	2,610	
Prepaid insurance	60	
Cash in hand	250	16,220
Total assets	31,620	
Capital: Balance b/f (W1)	28,480	
Add: Net profit	4,480	
Less: Drawings (4,000 cash + 500 goods)	(4,500)	28,460
Current liabilities: Accounts payable	2,600	
Bank overdraft	560	3,160
Total equity and liabilities	31,620	

The statement agrees exactly, confirming the derived sales and purchases.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Opening capital correctly computed from the statement of affairs: 31,480 − 3,000 = 28,480 **(2)**
- (a) Receivables control correctly used (bad debt 120, discounts allowed 180, balances 2,600/2,900) leading to the sales derivation **(3)**
- (a) Payables control correctly used (discounts received 100, balances 3,000/2,600) leading to the purchases derivation **(2)**
- (a) Cash/bank summary and trading relationship resolved: sales 44,000, cost of sales 30,800, gross profit 13,200 = 3/7 of cost of sales (drawings of goods 500 credited) **(2)**
- (a) Expenses correctly charged, including insurance adjusted for the 60 prepayment, allowance for doubtful debts 290 (10% x 2,900), depreciation on furniture 600, bad debt 120, discounts allowed 180 **(2)**
- (a) Net profit 4,480 correctly arrived at (with discounts received 100 credited) **(1)**
- (b) Non-current assets: premises 10,000 and furniture at 5,400 after depreciation **(2)**
- (b) Current assets: inventory 13,300, receivables net of allowance 2,610, prepaid insurance 60, cash 250 **(2)**
- (b) Current liabilities: accounts payable 2,600 and bank overdraft 560 **(1)**
- (b) Capital roll-forward 28,480 + 4,480 − drawings 4,500 (cash 4,000 + goods 500) = 28,460, agreeing with net assets **(3)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M09-Q007 – CA11-M09-Q033. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Single Entry and the Capital Comparison Method

- The Statement of Affairs
- Techniques for Completing Incomplete Records

It brought together **10 KASNEB past-paper worked examples** and **30 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 9 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Statement of affairs at two dates and profit by capital comparison

M. Nyambura operates a hardware business, Nyambura Hardware, in Kericho. She does not keep a full set of double-entry records. The following information has been extracted from her limited records:

Assets and liabilities at 1 January 2026: premises Sh.1,200,000; furniture and fittings Sh.180,000; inventory Sh. 260,000; trade receivables Sh.140,000; bank balance Sh.95,000; cash Sh.15,000; SACCO loan Sh.300,000; trade payables Sh.185,000; outstanding wages Sh.12,000.

Assets and liabilities at 31 December 2026: inventory Sh.320,000; trade receivables Sh.175,000; bank balance Sh.210,000; cash Sh.22,000; prepaid rent Sh.18,000; SACCO loan Sh.240,000; trade payables Sh.205,000. The premises and furniture are to be taken at their 1 January 2026 values, subject to the adjustments below.

Additional information:
1. During the year, furniture with a written-down value of Sh.30,000 was sold for Sh.34,000 cash; the proceeds are included in the bank balance at 31 December 2026.
2. Depreciation is to be provided at 2% per annum on premises and 10% per annum on the furniture and fittings remaining at the year end.
3. Nyambura withdrew Sh.12,000 cash per month for personal use and also took goods costing Sh.36,000 for her own consumption.
4. In September 2026 she paid Sh.150,000 into the business bank account, being a bonus received from her former employment, as additional capital.

Required:
(a) Statements of affairs as at 1 January 2026 and 31 December 2026. (12 marks)
(b) A statement showing the profit for the year ended 31 December 2026 using the capital comparison method. (5 marks)
(c) Explain TWO reasons why the profit computed in (b) above is regarded as an estimate only. (3 marks)

Model answer (SokoCPA)

Workings

- Depreciation — premises: 2% × 1,200,000 = **Sh.24,000** → closing value 1,200,000 − 24,000 = **Sh.1,176,000**.
- Furniture: remove the written-down value of the item sold (30,000), then depreciate the remainder: (180,000 − 30,000) × 10% = **Sh.15,000** → closing value 150,000 − 15,000 = **Sh.135,000**. The Sh.34,000 proceeds are already in the closing bank balance; the profit on disposal of Sh.4,000 is captured automatically in closing capital.

(a) Statements of affairs

```
                    Nyambura Hardware — Statements of affairs
Liabilities                  1 Jan 2026   31 Dec 2026      Assets                  1 Jan 2026   31 Dec 2026
                                    Sh.           Sh.
Sh.           Sh.
```

Capital (bal. figure)	1,393,000	1,611,000	Premises	1,200,000	1,176,000
SACCO loan	300,000	240,000	Furniture and fittings	180,000	135,000
Trade payables	185,000	205,000	Inventory	260,000	320,000
Outstanding wages	12,000	–	Trade receivables	140,000	175,000
			Bank	95,000	210,000
			Cash	15,000	22,000
			Prepaid rent	–	18,000
	1,890,000	2,056,000		1,890,000	2,056,000

Capital workings: 1 Jan — assets 1,890,000 − liabilities (300,000 + 185,000 + 12,000) 497,000 = **Sh.1,393,000**. 31 Dec — assets 2,056,000 − liabilities (240,000 + 205,000) 445,000 = **Sh.1,611,000**. Both statements agree on each side ✓.

(b) Profit by capital comparison

Capital at 31 December 2026		1,611,000
Add: Drawings — cash (12,000 × 12)	144,000	
goods taken at cost	36,000	180,000
		1,791,000
Less: Fresh capital introduced (bonus)		(150,000)
		1,641,000
Less: Capital at 1 January 2026		(1,393,000)
Profit for the year		248,000

(c) Why the profit is only an estimate

1. **It rests on estimates, valuations and memory, not on double entry.** The statements of affairs are built from physical counts, valuations and the owner's recollection; any asset omitted or wrongly valued, or any liability forgotten, passes straight into the capital balancing figure and therefore into "profit".
2. **It shows only the net movement in capital, not how the result arose.** There is no trading account analysis — no gross profit, no expense breakdown — so errors, theft or unrecorded items cannot be detected or investigated; the method proves nothing about the composition of the Sh.248,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Opening statement of affairs: all assets listed and totalled at Sh.1,890,000 **(2)**
- Opening liabilities Sh.497,000 (loan, payables, outstanding wages) and opening capital derived as the balancing figure Sh.1,393,000 **(2)**
- Premises at 31 December: 2% depreciation (Sh.24,000) deducted before striking capital — value Sh.1,176,000 **(1)**
- Furniture at 31 December: written-down value of the disposal (Sh.30,000) removed and 10% depreciation charged on the remainder — value Sh.135,000 **(2)**
- Other closing assets, including prepaid rent, correctly listed and totalled at Sh.2,056,000 **(2)**
- Closing liabilities Sh.445,000 and closing capital Sh.1,611,000 **(2)**

- Both statements proven to agree (assets = capital + liabilities) at both dates **(1)**
- Profit statement starts from closing capital Sh.1,611,000 **(1)**
- Drawings added back: cash Sh.144,000 (12,000 × 12) plus goods taken at cost Sh.36,000 = Sh.180,000 **(2)**
- Fresh capital introduced (the Sh.150,000 bonus) deducted **(1)**
- Profit for the year correctly computed at Sh.248,000 **(1)**
- Two valid reasons the figure is an estimate, explained (estimates/valuations and omissions absorbed into capital; capital a balancing figure; no analysis of how the profit arose; errors or theft undetectable) **(3)**

Question 2 (20 marks)

Completing records: cash and bank summary, control accounts and the trading account

J. Kiprop, who trades as Kiprop General Store in Kitale, keeps incomplete records on a quasi single-entry basis. The following information relates to the year ended 31 December 2026:

Cash and bank balances at 1 January 2026: cash in hand Sh.8,500; bank overdraft Sh.24,000.

Receipts during the year: received from trade receivables Sh.684,000; additional capital introduced Sh.60,000; proceeds from the sale of old fixtures Sh.12,000. Cash sales were not recorded.

Payments during the year: paid to trade payables Sh.512,000; cash purchases Sh.48,000; business expenses Sh. 96,000; purchase of new equipment Sh.150,000; drawings Sh.64,000.

Cash and bank balances at 31 December 2026: cash in hand Sh.12,300; bank balance Sh.38,200.

Additional information:
1. Trade receivables: 1 January 2026 Sh.96,000; 31 December 2026 Sh.125,000. Discount allowed during the year Sh. 9,600; returns inwards Sh.7,400.
2. Trade payables: 1 January 2026 Sh.88,000; 31 December 2026 Sh.99,000. Discount received during the year Sh. 7,200; returns outwards Sh.5,800.
3. Inventory: 1 January 2026 Sh.118,000; 31 December 2026 Sh.132,000.

Required:
(a) A cash and bank summary for the year ended 31 December 2026, clearly showing cash sales as the balancing figure. (6 marks)
(b) Total trade receivables and total trade payables accounts to determine credit sales and credit purchases. (8 marks)
(c) A trading account for the year ended 31 December 2026. (4 marks)
(d) The gross profit margin and the mark-up achieved for the year. (2 marks)

Model answer (SokoCPA)

(a) Cash and bank summary for the year ended 31 December 2026

Dr (receipts)	Sh.	Cr (payments)	Sh.
Cash balance b/d (1 Jan)	8,500	Bank overdraft b/d (1 Jan)	24,000
Received from trade receivables	684,000	Paid to trade payables	512,000
Additional capital introduced	60,000	Cash purchases	48,000
Sale of old fixtures	12,000	Business expenses	96,000
Cash sales (balancing figure)	180,000	Purchase of new	

```
equipment          150,000

Drawings                              64,000
                                                          Cash balance c/d (31
Dec)           12,300
                                                          Bank balance c/d (31
Dec)           38,200
                                                 944,500
944,500
```

The payments side totals Sh.944,500; recorded receipts total only Sh.764,500. The shortfall of **Sh.180,000** must be an unrecorded cash inflow — the only plausible source is **cash sales**.

(b) Total trade receivables and total trade payables accounts

```
                        Total trade receivables account
Dr                                                  Sh.
Cr                                          Sh.
Balance b/d (1 Jan)                                  96,000        Cash
received                      684,000
Credit sales (balancing figure)                     730,000        Discount
allowed                     9,600
                                                                     Returns
inwards                      7,400
                                                                     Balance c/d (31
Dec)             125,000

826,000                                          826,000

                        Total trade payables account
Dr                                                     Sh.
Cr                                          Sh.
Cash paid                                             512,000        Balance b/d (1
Jan)                88,000
Discount received                                       7,200        Credit purchases (bal.
figure)   536,000
Returns outwards                                   5,800
Balance c/d (31 Dec)                                  99,000

624,000                                          624,000
```

Credit sales = **Sh.730,000**; total sales = 730,000 + cash sales 180,000 = **Sh.910,000**. Credit purchases = **Sh.536,000**; total purchases = 536,000 + cash purchases 48,000 = **Sh.584,000**.

(c) Trading account for the year ended 31 December 2026

```
                                                          Sh.            Sh.
Sales (credit 730,000 + cash 180,000)                                   910,000
Opening inventory                                      118,000
Add: Purchases (credit 536,000 + cash 48,000)          584,000
                                                       702,000
Less: Closing inventory                                (132,000)
Cost of sales                                                           (570,000)
Gross profit                                                            340,000
```

(d) Margin and mark-up

- Gross profit margin = 340,000 ÷ 910,000 × 100 = **37.4%** (profit expressed on sales).
- Mark-up = 340,000 ÷ 570,000 × 100 = **59.6%** (profit expressed on cost).
- Check: 59.6% ÷ 1.596 ≈ 37.4% ✓

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Cash and bank summary: payments side completely listed (including opening overdraft and both closing balances) and totalled at Sh.944,500 **(2)**
- Receipts side: opening cash, receipts from receivables, capital introduced and fixtures proceeds correctly entered **(2)**
- Cash sales identified as the balancing figure Sh.180,000, with the reasoning stated (an unrecorded cash inflow) **(2)**
- Receivables account: cash 684,000, discount allowed 9,600, returns inwards 7,400 and opening/closing balances correctly placed **(2)**
- Credit sales derived as balancing figure Sh.730,000 and total sales Sh.910,000 **(2)**
- Payables account: cash 512,000, discount received 7,200, returns outwards 5,800 and opening/closing balances correctly placed **(2)**
- Credit purchases derived as balancing figure Sh.536,000 and total purchases Sh.584,000 **(2)**
- Trading account: opening inventory and total purchases Sh.584,000 correctly assembled **(2)**
- Cost of sales Sh.570,000 and gross profit Sh.340,000 correctly computed **(2)**
- Gross profit margin 37.4% (on sales) **(1)**
- Mark-up 59.6% (on cost) **(1)**

Question 3 (20 marks)

Nature of incomplete records: types, features, drawings and capital introduced

Required:

(a) Explain the term "incomplete records" and why accountants say there is strictly no such thing as a "single entry system". (4 marks)

(b) Distinguish between pure single entry, simple single entry and quasi single entry. (6 marks)

(c) State FIVE features of incomplete records. (5 marks)

(d) A proprietor's cash book contains several personal items. Identify THREE items that would be treated as drawings and TWO items that would be treated as additional capital introduced. (5 marks)

Model answer (SokoCPA)

(a) Incomplete records and the "single entry" label

Incomplete records are accounting records that have not been maintained under the full double-entry system: some transactions receive two entries, some one entry and some none at all, so no complete ledger of real and nominal accounts exists and final accounts cannot be prepared directly.

Strictly, there is **no "single entry system"**: a system implies a complete, consistent set of rules, whereas what exists in practice is a family of *incomplete* records — hybrid, unsystematic methods that differ from firm to firm. "Single entry" is merely a popular label for the gaps left where double entry was not applied.

(b) Pure, simple and quasi single entry

- **Pure single entry** — only *personal* accounts (debtors and creditors) are maintained. There is no record of cash, sales or purchases. It exists only in theory and has no practical use.
- **Simple single entry** — personal accounts **plus a cash book** are kept on double-entry principles, but the cash book is posted only to the personal accounts; no real or nominal accounts exist in the ledger, so no profit and loss account can be prepared.
- **Quasi single entry** — personal accounts, a cash book **and some subsidiary books** (sales book, purchases book, bills books) are kept, with scattered expense information available. This is the form actually used in practice as a substitute for double entry, and the form from which records can be completed (the type examined by KASNEB).

(c) Features of incomplete records (any five)

1. Recording is inaccurate, unscientific and unsystematic.
2. Generally no record of real and nominal accounts is kept — usually only cash and personal accounts.
3. The cash book mixes the business transactions and the personal transactions of the owner.
4. There is no uniformity — the method differs from firm to firm.
5. Profit can only be estimated; no dependable balance sheet can be prepared directly from the records.
6. No trial balance can be extracted to check arithmetical accuracy.

(d) Personal items in the cash book

Treated as drawings (any three): rent, electricity or telephone paid for premises shared with the owner's residence (the personal share); the proprietor's life insurance premiums paid from business cash; household expenses, school fees or personal gifts met from business cash; private loans to friends or relatives from business cash; goods taken from the business for personal consumption (valued at cost).

Treated as additional capital introduced (any two): cash injected directly by the proprietor; proceeds of a matured life insurance policy retained in the business; interest or dividends on the proprietor's private investments banked into the business; income from non-business property paid into the business.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Incomplete records correctly explained: partial records where some transactions have two entries, some one and some none, with no complete ledger of real and nominal accounts **(2)**
- Explains why there is no true 'single entry system': no complete consistent set of rules — merely a label for the gaps in incomplete (hybrid) records **(2)**
- Pure single entry correctly distinguished: personal accounts only, no cash/sales/purchases record, theoretical only **(2)**
- Simple single entry correctly distinguished: personal accounts plus a cash book posted only to personal accounts; no real or nominal accounts **(2)**
- Quasi single entry correctly distinguished: personal accounts, cash book and subsidiary books (day books) — the practical, examinable form **(2)**
- Five features of incomplete records stated (unsystematic recording; no real/nominal accounts; mixed business and personal cash book; no uniformity; profit only an estimate; no trial balance possible) **(5)**
- Three valid drawings items identified (e.g. personal share of shared-premises costs, proprietor's life premiums, household expenses/school fees, private loans, goods taken at cost) **(3)**

- Two valid additional-capital items identified (e.g. cash injected, matured life policy retained in the business, private investment income banked in) **(2)**

Question 4 (20 marks)

Margin relationships and nominal account adjustments: prepayments, accruals and private items

W. Achieng carries on business in Kisumu with incomplete records. For the year ended 31 December 2026, her total sales have been established at Sh.1,250,000. She consistently earns a gross profit margin of 20% on sales. Credit purchases for the year amounted to Sh.860,000. Inventory was Sh.180,000 at 1 January 2026 and Sh.220,000 at 31 December 2026.

Other information:
1. Rent paid during the year was Sh.240,000. One-quarter of the premises is used as Achieng's residence. At 31 December 2026, rent of Sh.24,000 had been prepaid, relating to the premises as a whole.
2. Wages paid during the year were Sh.318,000. Wages outstanding were Sh.14,000 at 1 January 2026 and Sh.22,000 at 31 December 2026.

Required:
(a) Determine total purchases and cash purchases for the year using the gross profit margin. (6 marks)
(b) Compute the rent charge to the profit or loss account, the total amount to be treated as drawings in respect of rent, and the prepaid rent to be shown in the statement of financial position. (6 marks)
(c) Compute the wages charge to the profit or loss account. (3 marks)
(d) Outline FIVE steps in the general procedure for converting incomplete records into a complete double-entry system. (5 marks)

Model answer (SokoCPA)

(a) Purchases from the margin relationship

Margin is expressed **on sales**: gross profit = 20% × 1,250,000 = **Sh.250,000**. Cost of sales = 1,250,000 − 250,000 = **Sh.1,000,000**.

Purchases = cost of sales − opening inventory + closing inventory = 1,000,000 − 180,000 + 220,000 = **Sh.1,040,000** (total purchases).

Cash purchases = total purchases − credit purchases = 1,040,000 − 860,000 = **Sh.180,000**.

(b) Rent

Rent consumed in the year = rent paid − prepaid at year end = 240,000 − 24,000 = **Sh.216,000**. The business occupies three-quarters of the premises:

- Charge to profit or loss = 216,000 × 3/4 = **Sh.162,000**.
- Drawings (residential share of rent consumed) = 216,000 × 1/4 = Sh.54,000. In addition, the residential share of the prepayment (24,000 × 1/4 = Sh.6,000) has been paid out of business funds for the owner's benefit and is also drawings. **Total drawings in respect of rent = 54,000 + 6,000 = Sh.60,000**.
- Prepaid rent shown as a current asset = business share of the prepayment = 24,000 × 3/4 = **Sh.18,000**.

Check: 162,000 (charge) + 60,000 (drawings) + 18,000 (prepaid asset) = Sh.240,000 paid ✓.

(c) Wages

Charge = wages paid − outstanding at start + outstanding at end = 318,000 − 14,000 + 22,000 = **Sh.326,000**.

(d) General procedure for converting incomplete records to double entry (any five)

1. Open ledger accounts with the **opening balances** of assets, liabilities and capital (capital from an opening statement of affairs if not given).
2. Take each **book of original entry** in turn (cash book, sales and purchases day books, returns and bills books) and post every item that was never posted, to nominal and real accounts as well as personal accounts.
3. Post the **discount column totals** to the discounts allowed and discounts received accounts.
4. **Sift the cash book for private items**: personal receipts are credited to capital (fresh capital), personal payments debited to capital (drawings), and shared expenses apportioned on a fair basis between the business and the owner.
5. Total the debtors' and creditors' schedules and post the totals to **total debtors and total creditors accounts**, eliminating any revenue or expense items hidden in them.
6. **Extract a trial balance** to check the arithmetical completeness of the completed double entry.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Gross profit computed from the margin on sales: 20% × 1,250,000 = Sh.250,000 **(1)**
- Cost of sales derived as Sh.1,000,000 using the margin relationship (margin applied to sales, not cost) **(2)**
- Total purchases Sh.1,040,000 (cost of sales − opening inventory + closing inventory) **(2)**
- Cash purchases Sh.180,000 (total purchases less credit purchases) **(1)**
- Rent consumed computed as Sh.216,000 (paid 240,000 less prepaid 24,000) **(1)**
- Rent charge to profit or loss Sh.162,000 (three-quarters business share) **(2)**
- Drawings in respect of rent Sh.60,000 (residential share consumed 54,000 plus residential share of the prepayment 6,000) **(2)**
- Prepaid rent shown as a current asset at the business share, Sh.18,000 **(1)**
- Wages adjustment logic correctly applied (deduct opening accrual, add closing accrual) **(2)**
- Wages charge Sh.326,000 **(1)**
- Five valid steps of the conversion procedure outlined (opening balances; post all books fully; post discount totals; sift private items and apportion shared expenses; total personal accounts; extract a trial balance) **(5)**

Question 5 (20 marks)

Statement of affairs versus balance sheet; capital comparison producing a loss

Required:

(a) Distinguish between a statement of affairs and a balance sheet on the following FIVE bases: reliability; capital; omission; valuation; and object. (10 marks)

(b) K. Maina's statements of affairs show capital of Sh.2,150,000 at 1 January 2026 and Sh.1,980,000 at 31 December 2026. During the year ended 31 December 2026, he withdrew Sh.18,000 cash per month, took goods costing Sh. 45,000 for family use, and paid the proceeds of a matured personal life insurance policy, Sh.200,000, into the business bank account. He introduced no other capital. Compute the profit or loss for the year and comment briefly on the

result. (6 marks)
(c) Explain TWO limitations of the capital comparison method of ascertaining profit. (4 marks)

Model answer (SokoCPA)

(a) Statement of affairs vs balance sheet

Basis	Statement of affairs	Balance sheet
Reliability	Based partly on estimates, assumptions and the owner's memory — not fully reliable	Based strictly on double-entry records — verifiable and dependable
Capital	Capital is a **balancing figure** (total assets − total liabilities)	Capital is derived from the **capital account** maintained in the ledger, and both sides must agree
Omission	An omitted asset or liability is hard to detect — it is silently absorbed into the capital figure	Omissions are revealed because the balance sheet will **not balance**
Valuation	Valuations are arbitrary, with no disclosed basis	Valuation is scientific (e.g. cost less depreciation) and changes of basis are disclosed
Object	To **find capital** at two dates so that profit can be computed	To show the **financial position** of the business at a date

(b) Profit or loss by capital comparison

```
Capital at 31 December 2026                                  1,980,000
Add: Drawings – cash (18,000 × 12)          216,000
                goods taken at cost          45,000            261,000
                                                             2,241,000
Less: Fresh capital introduced (life policy maturity)         (200,000)
                                                             2,041,000
Less: Capital at 1 January 2026                              (2,150,000)
LOSS for the year                                              (109,000)
```

The matured life policy proceeds are the owner's personal receipt paid into the business — **fresh capital, not business income** — and goods taken are drawings at **cost**. **Comment:** although capital fell by only Sh.170,000 during the year, once the Sh.200,000 of fresh capital is stripped out and drawings of Sh.261,000 are added back, the business actually made a **loss of Sh.109,000**; the injections and the modest fall in capital masked a loss-making year.

(c) Limitations of the capital comparison method (any two)

1. **The result is only as good as the valuations.** Capital at each date depends on estimates and physical counts; overvalued assets or omitted liabilities distort both capitals and therefore the "profit", with no double-entry trail to expose the error.
2. **It gives no analysis of performance.** The method yields a single net figure — it cannot show gross profit, expenses or the causes of the result, so management cannot tell which part of the business performed well or badly.
3. **Errors and defalcations are undetectable.** Because everything passes through the capital balancing figure, theft of cash or stock, and plain mistakes, are all buried in the one number.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Reliability basis correctly distinguished (estimates and memory vs strict double-entry records) **(2)**
- Capital basis correctly distinguished (balancing figure vs balance from the capital account) **(2)**
- Omission basis correctly distinguished (absorbed silently into capital vs revealed by non-agreement) **(2)**
- Valuation basis correctly distinguished (arbitrary, undisclosed vs scientific and disclosed) **(2)**
- Object basis correctly distinguished (to find capital for profit computation vs to show financial position) **(2)**
- Drawings correctly computed: cash 216,000 (18,000 × 12) plus goods at cost 45,000 = Sh.261,000, added back **(2)**
- Matured life policy proceeds Sh.200,000 treated as fresh capital introduced (not income) and deducted **(1)**
- Computation correctly performed on the pro-forma **(2)**
- Result correctly identified and labelled as a LOSS of Sh.109,000, with a sensible comment **(1)**
- Two limitations of the capital comparison method explained (valuation dependence; no performance analysis; errors/ theft undetectable) **(4)**

MODULE 10 OF 12

Financial Statements of a Not-for-Profit Organisation

Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account · Lesson 2: The Income and Expenditure Account · Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation

MODULE 10 · FINANCIAL STATEMENTS OF A NOT-FOR-PROFIT ORGANISATION — LESSON 1

Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account

Learning objectives

By the end of this lesson you should be able to:

1. Distinguish a not-for-profit organisation from a profit-making organisation across at least six bases of comparison.
2. State the three financial statements prepared by a not-for-profit organisation and the purpose of each.
3. Define a receipts and payments account and list its characteristics, advantages and the method of preparing it.
4. Prepare a receipts and payments account from a given cash book, with correctly classified headings and a balancing closing balance.
5. Explain the correct accounting treatment of special receipts — subscriptions, donations, grants, legacies, endowment funds, entrance fees, life membership fees, sale of old assets and special purpose funds — distinguishing capital from revenue treatment.

---

1. What is a not-for-profit organisation?

A **not-for-profit organisation** (also called a non-trading organisation or non-trading concern) is an entity established **not to earn profits for owners** but to promote art, culture, sports, education, health or some other social cause. Medical institutions, charitable trusts, welfare societies, educational institutions, sports clubs and professional associations are all examples.

A common myth is that not-for-profit organisations never make a profit. In reality they frequently generate surpluses from activities such as bars, restaurants, tournaments or letting out halls — but the **way the profit is handled is different**: it is not distributed to owners as dividends but is reinvested to further the organisation's objectives. Any surplus is transferred to the **capital fund** (the NPO equivalent of capital), not to a capital account for distribution.

NPO vs profit-making organisation — comparison

Basis of comparison	Profit organisation	Not-for-profit organisation
Meaning	A legal entity operating to earn profit for the owner	A legal entity operating to serve society as a whole
Motive	Profit motive	Service motive
Form	Sole proprietorship, partnership firm or company	Club, trust, public hospital, society, etc.
Management	Sole proprietor, partners or directors	Trustees, committees or governing bodies
Source of revenue	Sale of goods and services	Donations, subscriptions, membership fees, etc.
Commenced through	Capital contributed by the owners	Funds from donations, subscriptions, government grants, etc.
Financial statements	Income statement, statement of financial position and cash flow statement	Receipts & payments account, income & expenditure account, statement of financial position
	Profit transferred to capital account	Surplus transferred to capital fund

Basis of comparison	Profit organisation	Not-for-profit organisation
Money earned over and above		

Exam trap: KASNEB loves asking why NPOs prepare financial statements at all, since they have no profit motive. Answer: (i) to know whether current incomes are sufficient to meet current expenses; (ii) to know the financial position at the end of each period.

2. The final accounts of a not-for-profit organisation

The final accounts comprise three statements:

1. **Receipts and payments account** — a summary of cash transactions for the period (this lesson).
2. **Income and expenditure account** — the NPO equivalent of the profit and loss account; it discloses the **surplus or deficit** for the period (Lesson 2).
3. **Statement of financial position** — shows assets, liabilities and the capital fund at a point in time (Lesson 3).

3. Receipts and payments account — nature and definition

> "A receipts and payments account is a **summarised cash book** (cash and bank) for a given period."

It is simply a summary of the cash transactions as they appear in the cash book, analysed and classified under suitable headings, including the opening and closing balances. With the help of this account, plus additional information (accruals, prepayments, depreciation), an **income and expenditure account** is prepared to disclose the true results. Note this carefully: **a receipts and payments account on its own cannot disclose the true surplus or deficit** of the organisation — it records cash only, with no regard for whether receipts or payments relate to the current period, and it includes capital items.

All the information needed to prepare it comes from the cash book. Its closing balance indicates **cash in hand and cash at bank** at the year end.

Characteristics

1. It is an abridged summary of the cash book.
2. All cash receipts during the year are recorded on the **left-hand (debit) side**; all cash payments on the **right-hand (credit) side**, in classified form.
3. Cash receipts and payments of **both capital and revenue nature** are recorded here.
4. **Only cash transactions** are recorded — no accruals, no depreciation, no outstanding items.
5. It generally shows a **debit balance**. With a bank overdraft, the net balance may be credit; a nil balance is rare.
6. Its closing balance shows closing cash in hand and cash at bank.
7. **It is NOT an account within the double-entry system — it is a statement only.** You cannot post journal entries to it.
8. It is prepared on the last day of the accounting year.

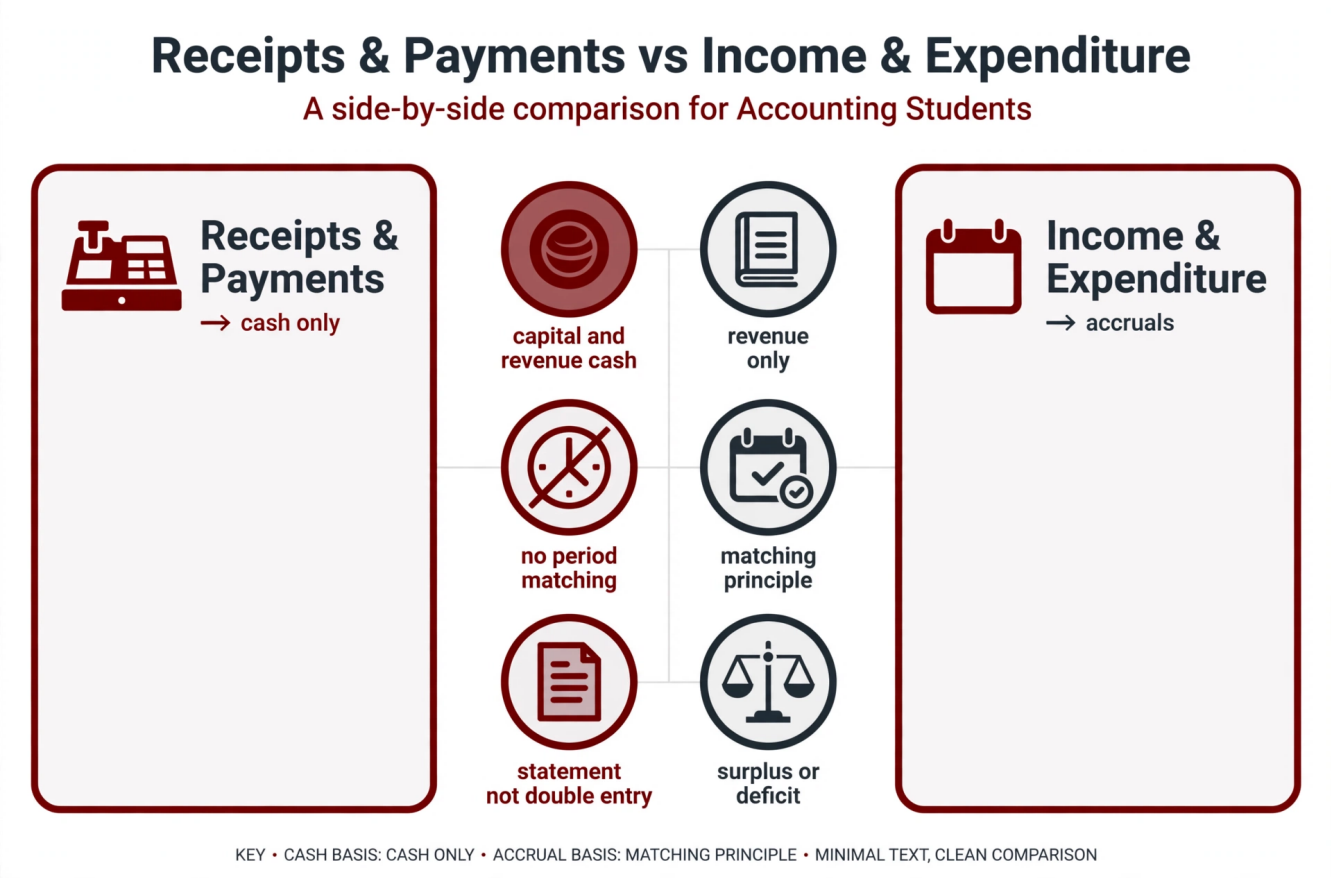
Advantages

1. Total receipts and total payments under various heads are available **at a glance**.
2. The cash in hand at the year end can be ascertained.

3. It verifies the cash book: total of the debit side of the cash book agrees with total receipts; total of the credit side agrees with total payments.

Method of preparation

- Heading: *Receipts and Payments Account for the year ended 31 December 20XX*.
- Left side = "Receipts"; right side = "Payments".
- It **starts** with last year's closing cash in hand and cash at bank (opening balance) and **closes** with the current year's closing cash in hand and cash at bank.



4. Worked example — preparing the receipts and payments account

From the following cash book of the **Jabari Sports Club**, prepare the receipts and payments account for the year ended 31 December 2025.

Receipts	Sh.	Payments	Sh.
Balance b/d: Cash in hand	48,000	Rent	104,000
Balance b/d: Bank	120,000	Salaries	240,000
Subscriptions	560,000	Electricity	36,000
Hall hire (rent received)	60,000	Stationery	18,000
Donations	75,000	Repairs	22,000
Sale of old newspapers	12,000	Purchase of equipment	85,000
Sale of old equipment	25,000	Honorarium	15,000

(This is the same Jabari Sports Club whose income and expenditure account and statement of financial position we prepare in Lessons 2 and 3 — the figures carry through the whole module.)

Solution — Jabari Sports Club, Receipts and Payments Account for the year ended 31 December 2025

Dr			Cr	
Receipts		Sh.		Sh.
Payments	Sh.			
Balance b/d (1 Jan 2025):				
Cash in hand				48,000
Rent		104,000		
Bank				120,000
Salaries		240,000		
Subscriptions				560,000
Electricity		36,000		
Hall hire (rent received)				60,000
Stationery		18,000		
Donations				75,000
Repairs		22,000		
Sale of old newspapers				12,000
Purchase of equipment	85,000			
Sale of old equipment				25,000
Honorarium		15,000		
				Balance c/d (31 Dec 2025):
Cash in hand and bank	380,000			
	900,000			900,000
Balance b/d (1 Jan 2026)				380,000

Check the arithmetic:

- Total receipts = 48,000 + 120,000 + 560,000 + 60,000 + 75,000 + 12,000 + 25,000 = **900,000** ✓
- Total payments (excluding balance) = 104,000 + 240,000 + 36,000 + 18,000 + 22,000 + 85,000 + 15,000 = **520,000** ✓
- Balance c/d = 900,000 − 520,000 = **380,000** ✓

Exam trap: Do not exclude capital receipts (donations for building, sale of old equipment) or capital payments (purchase of equipment) — the receipts and payments account records **all** cash, capital and revenue alike. And never put accruals, depreciation or outstanding subscriptions here — cash only.

5. Special receipts and their accounting treatment

This is the most heavily examined theory in the topic. The central question for every special receipt is: **capital receipt or revenue receipt?**

Capital receipts go to the **liability side of the statement of financial position** (added to the relevant fund or capital fund). **Revenue receipts** go to the **credit side of the income and expenditure account**.

(a) Subscriptions

A **recurring** income and one of the main sources of revenue — credited to the income and expenditure account **after adjusting** for subscriptions in arrears (accrued) and subscriptions received in advance (prepaid), so that only the current year's subscriptions appear. **Exception:** subscriptions received for a specific purpose (e.g. tournament fund, construction of a pavilion) are **capitalised** — shown on the liability side of the statement of financial position.

(b) Donations

A gift from a person, firm or company: - **Specific donations** (for a building, library, furniture) → **capital receipts**, liability side; expenditure on that purpose is deducted and the balance shown until used up. - **General donations** → treatment depends on **amount**: a comparatively **small** amount is treated as **income**; a **big** amount is treated as **capital** (liability side).

(c) Grants

Grants from central, state or local bodies **for routine expenses** → treated as **income**. Grants for a **specific purpose** (construction of buildings, purchase of X-ray equipment) → **capitalised**.

(d) Legacy

Amount received under the will of a deceased person → a **capital receipt** (liability side). If the amount is **small** it may be treated as income. In the absence of specific information, **capitalise it**.

(e) Endowment fund

A fund meant as a **permanent** means of support → **capital receipt**, always.

(f) Entrance fees

Accountants differ: some say capitalise (it is paid only once per member — non-recurring); others say treat as income (the club receives entrance fees regularly each year as new members join). **In the absence of specific instruction in the question, you may treat it either way — but you must append a note justifying your choice.** (This note earns the mark.)

(g) Sale of old assets

The amount realised is a **capital receipt** credited to the asset account. But the **profit or loss on sale is revenue** and goes to the income and expenditure account.

(h) Sale of newspapers and periodicals

Treated as **income** — credited to the income and expenditure account.

(i) Expenditure stock items

Items like stationery and sports materials (bats, balls): the **unused closing stock is deducted** from total spent, so only the amount actually used up is debited to the income and expenditure account:

```
Stock of stationery (opening)           xxx
Add: purchases during the year          xxx
                                        xxx
Less: stock of stationery (closing)    (xxx)   → asset in statement of financial
position
Stationery used during the year         xxx    → debited to income and expenditure
account
```

(j) Sale of scraps, grass, etc.

Revenue receipts — shown on the income side.

(k) Life membership fees

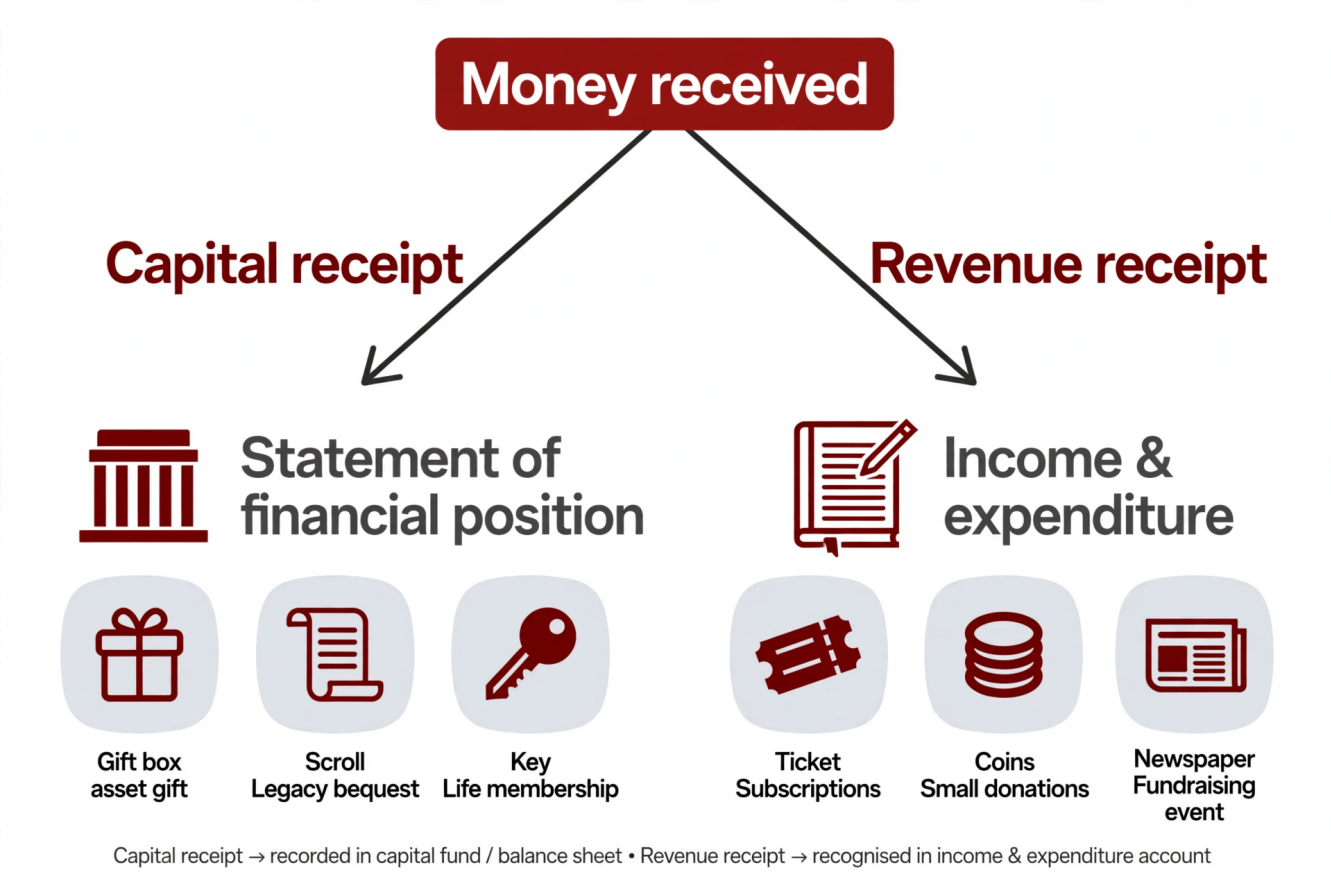
A lump sum paid in lieu of annual subscriptions for life. Since service must be rendered for a long time without further payment → **capital receipt, capitalised**.

(l) Payment of honorarium

Amount paid for a specific service rendered (singers, dancers) → shown on the **expenditure side** of the income and expenditure account.

(m) Special purpose funds

Where a fund exists for a specific purpose (tournament fund, charity fund, prize fund, endowment fund), **do not** show its income and expenses in the income and expenditure account. Instead, **add income to the fund and deduct expenses from the fund** on the liability side of the statement of financial position.



Key terms

- **Not-for-profit organisation** — an entity established to promote a social cause rather than to earn profit for owners; surpluses are reinvested, not distributed.
- **Capital fund** — the NPO equivalent of capital; accumulated fund to which surpluses are added.
- **Receipts and payments account** — a summarised cash book for the period; a statement, not part of double entry; records all cash receipts and payments, capital and revenue.

- **Capital receipt** — a non-recurring receipt (donations for specific purposes, legacies, life membership) shown on the liability side of the statement of financial position.
- **Revenue receipt** — a recurring receipt (subscriptions, general small donations, sale of newspapers) credited to the income and expenditure account.
- **Specific donation/grant** — a donation or grant earmarked for a particular purpose; capitalised.
- **Legacy** — amount received under a deceased person's will; capitalised unless the amount is small.
- **Endowment fund** — a fund providing permanent means of support; a capital receipt.
- **Entrance fees** — fee on admission of members; capital or revenue — state your assumption with a justifying note.
- **Special purpose fund** — a fund for a defined purpose (tournament, prize, charity); its income and expenses bypass the income and expenditure account and adjust the fund directly.

Module summary (so far)

- NPOs serve society; profit organisations serve owners — this drives different statements and different treatment of surpluses.
- The receipts and payments account is a **cash-only summary statement** (not double entry) covering capital and revenue cash flows, opening with last year's closing cash and closing with this year's.
- Special receipts must be classified as **capital** (statement of financial position, liability side) or **revenue** (income and expenditure account): specific donations, grants for specific purposes, legacies, endowment funds and life membership fees are capital; ordinary subscriptions, small general donations and sale of newspapers are revenue; entrance fees are either, with a justifying note.

Exam day tips

1. When asked to distinguish NPOs from profit organisations, give the comparison in **table form** — markers award per valid basis.
2. Never put non-cash items (depreciation, accruals, outstanding subscriptions) in the receipts and payments account — it is **cash only**.
3. "State with reasons" the treatment of a special receipt: always link the reason to **capital vs revenue** and where it appears.
4. For entrance fees, the note justifying your choice is what earns the mark — never leave it out.
5. If the question is silent on a legacy's size, **capitalise it** — that is the book's default rule.

Slide deck at a glance

NPO vs profit organisation

- NPO: serves society (clubs, trusts, schools). Profit org: earns for owners
- Motive: service vs profit. Management: trustees vs directors
- Revenue: subscriptions & donations vs sales of goods and services
- Statements: R&P + I&E + SFP vs income statement + SFP + cash flows
- Surplus → capital fund (reinvested), never distributed as dividends

The three NPO statements

- Receipts & payments account: cash summary for the period
- Income & expenditure account: accrual-based; shows surplus or deficit
- Statement of financial position: assets, liabilities and capital fund

- Why statements at all? (i) Are incomes enough? (ii) What is the position?

Receipts and payments account — nature

- A summarised cash book: all cash in/out under classified headings
- Records capital AND revenue cash — but cash ONLY, no accruals
- Starts with opening cash/bank; ends with closing cash/bank
- Generally a debit balance; NOT part of double entry — a statement only
- On its own it CANNOT disclose the true surplus or deficit

Worked example — Jabari Sports Club (Sh.)

- Total receipts 900,000 (incl. subscriptions 560k, donations 75k)
- Total payments 520,000 (salaries 240k, rent 104k, equipment 85k)
- Balance c/d = 900,000 − 520,000 = 380,000 closing cash
- Exam trap: NEVER exclude capital cash — record all cash, cash only

Special receipts: capital or revenue? (1)

- Subscriptions (ordinary): revenue → income & expenditure account
- Specific donations & specific grants: CAPITAL → liability side
- General donations: small = income; big = capitalised
- Legacy (will): capitalise — default rule when question is silent

Special receipts: capital or revenue? (2)

- Endowment fund & life membership fees: always CAPITAL
- Sale of old asset: proceeds are capital; profit/loss is revenue
- Entrance fees: either — but you MUST add a justifying note
- Special purpose funds: income added, expenses deducted — bypass I&E

Key takeaways / exam tips

- Compare NPOs vs profit orgs in a table — markers award per valid basis
- Receipts & payments = cash only: no accruals, depreciation or debtors
- Capital receipts → SFP liability side; revenue receipts → I&E credit
- Entrance-fee note earns the mark; silent legacy = capitalise

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-04-Q3 · April 2022 · 20 marks KASNEB authored

Not-for-profit accounts (Kite Golf Club)

The treasurer of Kite Golf Club has provided the following receipts and payments for the year ended 31 October 2021 (Sh."000"): Receipts — Balance b/f 20,000; Subscriptions 83,000; Bar receipts 42,000; Donations 36,000; Tournament receipts 11,000; Competition fees 5,900; Disposal of course equipment 2,500. Total 200,400. Payments — Bar purchases 27,000; Salaries – bar 10,000; Salaries – clubhouse 36,000; Course repairs 19,000; Insurance expenses 9,000; Electricity expenses 6,000; Telephone expenses 2,500; Tournament expenses 6,000; Sundry expenses 1,900; Competition expenses 1,600; Balance c/f 81,400. Total 200,400.

Assets and liabilities as at 31 October (2020 / 2021) (Sh."000"): Bar payables 9,000 / 7,000; Bar inventory 7,000 / 5,000; Subscriptions in arrears 2,000 / 3,500; Subscriptions in advance 7,000 / 4,500; Telephone expenses due 500 / 750; Competition expenses due 400 / 500; Course equipment (book value) 154,400 / ?

Additional information: (1) As at 1 November 2020, assets at cost: clubhouse and course Sh.400,000,000;

fixtures and fittings Sh.70,000,000; course equipment Sh.160,000,000. (2) Depreciation: fixtures and fittings 10% on cost; course equipment 20% on cost. (3) Course equipment was disposed of during the year for Sh. 2,500,000; the equipment had cost Sh.7,000,000 with accumulated depreciation of Sh.5,600,000 at 1 November 2020. No depreciation is charged in the year of disposal. (4) Insurance prepaid at 1 November 2020 was Sh. 4,500,000. (5) The insurance paid covers the period to 31 July 2022; insurance for the period to 31 July 2021 amounted to Sh.6,000,000 per annum (the premium increased thereafter).

Required: (a) Bar income statement for the year ended 31 October 2021. (4 marks) (b) Income and expenditure statement for the year ended 31 October 2021. (8 marks) (c) Statement of financial position as at 31 October 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Opening accumulated fund (balancing figure):** assets at 1 Nov 2020: clubhouse & course 400,000 + fixtures 70,000 + course equipment 154,400 + bar inventory 7,000 + subscriptions in arrears 2,000 + bank 20,000 + insurance prepaid 4,500 = 657,900; liabilities: bar payables 9,000 + subscriptions in advance 7,000 + telephone due 500 + competition expenses due 400 = 16,900 → accumulated fund = **641,000**.
- **Subscriptions income:** 7,000 (advance b/f) + 83,000 (received) + 3,500 (arrears c/f) − 2,000 (arrears b/f) − 4,500 (advance c/f) = **87,000**.
- **Insurance:** premium paid 9,000 covers 12 months to 31 July 2022. Old rate Sh.6,000,000 p.a. (500/month): Nov 2020–Jul 2021 = 9 months × 500 = 4,500 — exactly the opening prepayment consumed. New premium = 9,000 p.a. (750/month): Aug–Oct 2021 = 3 months × 750 = 2,250. Expense for the year = 4,500 + 2,250 = **6,750**; closing prepaid (Nov 2021–Jul 2022, 9 months × 750) = **6,750**.
- **Course equipment:** disposal NBV = 7,000 − 5,600 = 1,400; profit on disposal = 2,500 − 1,400 = 1,100. Depreciation = 20% × (160,000 − 7,000) = 30,600 (no depreciation on the disposed asset). Closing NBV = 154,400 − 1,400 − 30,600 = **122,400**.
- **Fixtures:** depreciation 10% × 70,000 = 7,000; opening accumulated depreciation derived as nil (book value at cost 70,000 at 1 Nov 2020 per the club's records) → closing NBV 63,000.

(a) Bar income statement

```
Bar receipts (sales)                                                  42,000
Cost of sales: opening inventory 7,000 + purchases
  (paid 27,000 + closing payables 7,000 − opening payables 9,000 = 25,000)
  − closing inventory 5,000                                          (27,000)
Gross profit                                                          15,000
Less: bar salaries                                                    (10,000)
Bar profit                                                             5,000
```

(b) Income and expenditure statement for the year ended 31 October 2021

```
Income:
  Subscriptions                                  87,000
  Donations                                      36,000
  Tournament receipts                            11,000
  Competition fees                                5,900
```

```
  Bar profit                                          5,000
  Profit on disposal of course equipment              1,100
                                                    146,000
Expenditure:
  Salaries – clubhouse                              36,000
  Course repairs                                    19,000
  Insurance                                          6,750
  Electricity                                        6,000
  Telephone (2,500 + 750 − 500)                      2,750
  Tournament expenses                               6,000
  Sundry expenses                                   1,900
  Competition expenses (1,600 + 500 − 400)           1,700
  Depreciation — fixtures and fittings               7,000
  Depreciation — course equipment                   30,600
                                                    117,700
Surplus of income over expenditure                    28,300
```

(c) Statement of financial position as at 31 October 2021

```
Clubhouse and course (at cost)                    400,000
Fixtures and fittings (70,000 − 7,000)             63,000
Course equipment (NBV)                            122,400
Bar inventory                                       5,000
Subscriptions in arrears                            3,500
Insurance prepaid                                   6,750
Bank balance                                       81,400
Total assets                                      682,050
Accumulated fund (641,000 + 28,300)               669,300
Bar payables                                        7,000
Subscriptions in advance                            4,500
Telephone expenses due                                750
Competition expenses due                              500
Total funds and liabilities                       682,050
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar purchases 25,000 (payables adjusted); cost of sales 27,000; gross profit 15,000; bar salaries 10,000 → bar profit 5,000 **(4)**
- (b) Subscriptions income 87,000 via subscriptions account **(2)**
- (b) Insurance expense 6,750 (9 months at old rate 4,500 + 3 months at new rate 2,250) and prepaid 6,750 **(2)**
- (b) Accrual-based expense adjustments (telephone 2,750; competition 1,700); profit on disposal 1,100; depreciation fixtures 7,000 and course equipment 30,600 (excluding disposed asset) **(2)**
- (b) Surplus 28,300 **(2)**
- (c) Opening accumulated fund 641,000 derived as balancing figure; closing 669,300 **(3)**
- (c) Course equipment closing NBV 122,400; fixtures NBV 63,000; SOFP balances at 682,050 **(5)**

KASNEB-2021-08-Q4 · August 2021 · 20 marks KASNEB authored

Club accounts from a receipts and payments account (Afya Youth Club)

The following balances were extracted from the books of Afya Youth Club for the year ended 30 June 2020 (Sh."000"): Land at cost 90,000; Equipment (cost Sh.25,000,000) 20,000; Furniture and fittings (cost Sh.

80,000,000) 46,000; Bar inventory 18,400; Subscriptions in arrears 5,000; Bank balance 4,500; Long-term bank deposits 12,000; Long-term loan 96,000; Bar creditors 16,800; Subscription in advance 1,600; Accrued bar wages 2,300.

The club's receipts and payments account for the year ended 30 June 2021 was as follows (Sh."000"): Receipts: Balance brought forward 4,500; Subscriptions received 136,000; Competition entries 29,600; Bar sales 332,000. Total 502,100. Payments: Bar wages 151,200; Rates 20,000; Loan repayments 39,200; Bar expenses 58,400; Competition ticket cost 20,800; Bar purchases 149,400; Equipment purchase 14,000; Transfer to long-term deposit account 20,000; Balance carried forward 29,100. Total 502,100.

Additional information: 1. As at 30 June 2021 (Sh."000"): Subscriptions in arrears 4,000; Bar creditors 16,000; Bar inventory 19,800; Subscriptions in advance 2,400; Bar wages due 3,200. 2. Interest receivable on long-term deposits amounted to Sh.2,200,000. 3. The long-term loan is repaid in annual instalments of Sh.30,000,000 excluding interest. The interest for the year ended 30 June 2021 was Sh.9,200,000. 4. Depreciation: Equipment 10% straight line; Furniture and fittings 15% reducing balance. A full year's depreciation is charged on assets in the year of purchase and none in the year of disposal.

Required: (a) Bar statement of profit or loss for the year ended 30 June 2021. (4 marks) (b) Statement of income and expenditure for the year ended 30 June 2021. (8 marks) (c) Statement of financial position as at 30 June 2021. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings: Bar purchases = 149,400 paid + closing creditors 16,000 − opening creditors 16,800 = 148,600. Bar wages = 151,200 + closing due 3,200 − opening accrued 2,300 = 152,100. Subscriptions income = 136,000 + opening advance 1,600 − closing advance 2,400 + closing arrears 4,000 − opening arrears 5,000 = 134,200. Loan repayments 39,200 = interest 9,200 + capital instalment 30,000 → closing loan 96,000 − 30,000 = 66,000. Depreciation: equipment 10% × closing cost (25,000 + 14,000) = 3,900 (full year on the purchase, per policy); furniture 15% × 46,000 = 6,900. Opening accumulated fund: assets 90,000 + 20,000 + 46,000 + 18,400 + 5,000 + 4,500 + 12,000 = 195,900; liabilities 96,000 + 16,800 + 1,600 + 2,300 = 116,700; fund = **79,200**.

(a) Bar statement of profit or loss for the year ended 30 June 2021

Bar sales		332,000
Cost of sales: Opening inventory 18,400 + purchases 148,600 − closing inventory 19,800		(147,200)
Bar gross profit		184,800
Less: Bar wages	152,100	
Bar expenses	58,400	(210,500)
Bar loss		(25,700)

(b) Statement of income and expenditure for the year ended 30 June 2021

Income:		
Subscriptions	134,200	
Competition entries	29,600	
Interest receivable on long-term deposits	2,200	166,000
Expenditure:		
Bar loss	25,700	
Rates	20,000	
Competition ticket cost	20,800	
Loan interest	9,200	

```
  Depreciation: Equipment 3,900; Furniture 6,900  10,800    (86,500)
Surplus for the year                               79,500
```

(c) Statement of financial position as at 30 June 2021

```
Assets:
  Land at cost                                      90,000
  Equipment (39,000 − 8,900)                        30,100
  Furniture and fittings (46,000 − 6,900)           39,100
  Long-term bank deposits (12,000 + 20,000)         32,000
Current assets:
  Interest receivable                 2,200
  Bar inventory                      19,800
  Subscriptions in arrears            4,000
  Bank balance                       29,100          55,100
Total assets                                       246,300
Funds and liabilities:
  Accumulated fund: 79,200 + surplus 79,500        158,700
  Long-term loan                                    66,000
Current liabilities:
  Bar creditors                      16,000
  Subscriptions in advance            2,400
  Bar wages due                       3,200          21,600
Total funds and liabilities                        246,300
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar purchases adjusted to 148,600 and cost of sales 147,200 **(2)**
- (a) Bar wages adjusted to 152,100; bar loss 25,700 **(2)**
- (b) Subscription income 134,200 (advances and arrears adjusted) **(2)**
- (b) Other income: competition entries 29,600 and interest receivable 2,200 **(2)**
- (b) Expenditure: rates, competition ticket cost 20,800, loan interest 9,200 and depreciation 10,800 **(2)**
- (b) Surplus for the year 79,500 **(2)**
- (c) Opening accumulated fund 79,200 and closing fund 158,700 **(2)**
- (c) Closing loan 66,000 after the 30,000 capital instalment **(1)**
- (c) Asset values: land 90,000, equipment 30,100, furniture 39,100, deposits 32,000 **(3)**
- (c) Current items and the statement balances at Sh.246,300,000 **(2)**

KASNEB-2017-05-Q5 · May 2017 · 20 marks KASNEB authored

Public vs private sector objectives; cash flow disadvantages; NPO income; ethics

(a) Distinguish between "public sector accounting" and "private sector accounting" based on objectives. (4 marks)
(b) Highlight two disadvantages of a statement of cash flows. (4 marks)
(c) Discuss three sources of income for not-for-profit organisations. (6 marks)
(d) Highlight three ethical principles that guide professional accountants in the performance of their duties. (6 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) Public sector vs private sector accounting — by objectives (4 marks)

1. **Purpose of reporting:** public sector accounting exists to demonstrate accountability and stewardship over public funds — that money raised through taxes and grants was spent lawfully, for the purposes voted, and in compliance with the budget. Private sector accounting exists to report profit performance and financial position so that owners and investors can make economic decisions.
2. **Primary objective of the entity:** public sector entities are service-delivery oriented (health, education, infrastructure) and measure success by outputs and value for money, not profit; private sector entities exist to maximise profit/wealth for shareholders, and the accounting system is built around measuring that profit.
3. **Users and decisions:** public sector reports serve Parliament, oversight bodies (Auditor-General, PAC) and citizens checking legality and probity; private sector reports serve investors, lenders and managers assessing returns and risk.
4. **Basis of control:** public sector accounting is dominated by budgetary compliance — expenditure must not exceed appropriations; private sector accounting has no budget-compliance objective, only faithful measurement under IFRS.

(b) Two disadvantages of a statement of cash flows (4 marks)

1. **It is historical and ignores non-cash transactions.** The statement reports cash movements of a past period and omits significant non-cash investing and financing transactions (e.g. acquiring an asset under a finance lease or issuing shares for a business), so it gives an incomplete picture of the entity's investing and financing activities.
2. **Cash is not profit, and the statement can mislead / be manipulated.** A profitable business can show negative operating cash flow (and a loss-making one positive flow); management can also window-dress the year-end position by delaying payments to suppliers or accelerating receipts, distorting the reported operating cash flow.

(c) Three sources of income for not-for-profit organisations (6 marks)

1. **Subscriptions and membership fees** — the core recurring income of clubs and societies: members pay periodic (usually annual) subscriptions, recognised in the income and expenditure account on an accruals basis for the period to which they relate, with arrears and amounts received in advance adjusted.
2. **Donations and grants** — voluntary gifts from members, well-wishers and sponsors, and grants from government or donor agencies. General donations are income of the year; donations for a specific purpose (e.g. a building fund) are capitalised to that fund and not treated as ordinary income.
3. **Fundraising and trading activities** — income from events (dinners, raffles, harambees, competitions) and from trading operations run for members (bar, canteen, hall hire, sale of publications); the surplus from each activity is brought into the income and expenditure account, usually via a separate trading account. (Also acceptable: entrance/joining fees, investment income — dividends and interest on the organisation's investments, legacies/bequests.)

(d) Three ethical principles for professional accountants (6 marks)

1. **Integrity** — the accountant must be straightforward and honest in all professional and business relationships, and must not be associated with information that is materially false or misleading.
2. **Objectivity** — the accountant must not allow bias, conflict of interest or undue influence of others to override professional or business judgment; e.g. an auditor must remain independent of the client whose statements are audited.
3. **Professional competence and due care** — the accountant must attain and maintain professional knowledge and skill at the level required, keep up to date with current practice and standards, and act diligently in accordance with applicable technical and professional standards. (Also acceptable: confidentiality — not disclosing client information without authority; professional behaviour — complying with laws and avoiding conduct that discredits the profession.)

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Accountability/stewardship over public funds vs profit reporting for investors (1); service-delivery objective vs profit maximisation (1) **(2)**
- (a) Users/oversight (Parliament, Auditor-General, citizens) vs investors/lenders (1); budgetary compliance objective absent in private sector (1) **(2)**
- (b) Disadvantage 1 developed: historical basis and omission of non-cash investing/financing transactions **(2)**
- (b) Disadvantage 2 developed: cash is not profit / scope for window dressing by timing payments and receipts **(2)**
- (c) Source 1 discussed (e.g. subscriptions/membership fees, accruals treatment) — 2; Source 2 discussed (donations and grants, specific-purpose funds capitalised) — 2 **(4)**
- (c) Source 3 discussed (fundraising events and/or trading activities such as a bar, surpluses to income and expenditure) **(2)**
- (d) Principle 1 correctly explained (integrity, objectivity or competence) — 2; Principle 2 explained — 2 **(4)**
- (d) Principle 3 correctly explained (confidentiality / professional behaviour / remaining fundamental principle) **(2)**

KASNEB-2016-11-Q4 · November 2016 · 20 marks KASNEB authored

Not-for-profit accounts (Tegemeo Club)

The following is the receipts and payments account of Tegemeo Club for the year ended 31 December 2015 (Sh."000"): Receipts: Balance b/d 1,250; Subscriptions 15,550; Bar sales 25,400; Investment income 800; Competition receipts 3,600; Donations 2,500; Sale of investments 6,400; Total 55,500. Payments: Rent 3,200; Bar purchases 16,700; General expenses 4,900; Repairs and maintenance 1,500; Bar wages 3,800; Purchase of sports equipment 9,300; Purchase of investments 8,000; Furniture purchased 5,100; Balance c/d 3,000; Total 55,500.

Additional information:
1. Balances as at 1 January 2015 (Sh."000"): Sports equipment 22,000; Furniture and fittings 19,600; Investments 10,000; Bar wages due 200; Subscriptions in arrears 600; Subscriptions in advance 700; Bar purchases payable 550; Bar inventory 2,400.
2. Balances as at 31 December 2015 (Sh."000"): Subscriptions in arrears 380; Subscriptions in advance 810; Bar purchases payable 600; Sports equipment 27,000; Furniture and fittings 22,000; Bar inventory 1,800;

Investments 5,600.
3. Investments costing Sh.5,000,000 were sold at a loss of Sh.1,000,000 during the year ended 31 December 2015. [As printed — see solution note.]
4. Depreciation for the year ended 31 December 2015 was provided as follows: Sports equipment 10% on cost; Furniture and fittings 10% on reducing balance.

Required: (a) Bar income statement for the year ended 31 December 2015. (4 marks) (b) Income and expenditure statement for the year ended 31 December 2015. (8 marks) (c) Statement of financial position as at 31 December 2015. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **Subscriptions income:** received 15,550 + closing arrears 380 − opening arrears 600 + opening advance 700 − closing advance 810 = **15,220**.
- **Bar purchases:** paid 16,700 + closing payable 600 − opening payable 550 = **16,750**. **Bar wages:** paid 3,800 − opening wages due 200 = **3,600**.
- **Investments sold:** opening 10,000 + purchased 8,000 − closing 5,600 = cost of investments sold 12,400; proceeds per receipts and payments account 6,400 → **loss on sale of investments 6,000** (see note).
- **Depreciation (to agree opening cost + additions to the closing balances given):** sports equipment (22,000 + 9,300) − 27,000 = **4,300**; furniture and fittings (19,600 + 5,100) − 22,000 = **2,700**.
- **Accumulated (capital) fund at 1 January 2015:** assets 22,000 + 19,600 + 10,000 + 2,400 + 600 + 1,250 (bank) = 55,850, less liabilities 200 + 700 + 550 = 1,450 → **54,400**.

(a) Bar income statement for the year ended 31 December 2015

Bar sales	25,400	
Less cost of sales:		
Opening bar inventory	2,400	
Add: Bar purchases (adjusted)	16,750	
Less: Closing bar inventory	(1,800)	17,350
Gross profit	8,050	
Less: Bar wages (adjusted)	3,600	
Bar profit	4,450	

(b) Income and expenditure statement for the year ended 31 December 2015

Income:		
Subscriptions (adjusted)	15,220	
Bar profit	4,450	
Investment income	800	
Competition receipts	3,600	
Donations	2,500	
	26,570	
Expenditure:		
Rent	3,200	
General expenses	4,900	
Repairs and maintenance	1,500	
Depreciation — sports equipment	4,300	

```
  Depreciation – furniture and fittings                2,700
  Loss on sale of investments                          6,000    22,600
Surplus of income over expenditure                     3,970
```

(c) Statement of financial position as at 31 December 2015

```
Assets:
  Sports equipment                                    27,000
  Furniture and fittings                              22,000
  Investments                                          5,600
  Bar inventory                                        1,800
  Subscriptions in arrears                               380
  Bank balance (per receipts and payments account)     3,000
                                                      59,780
Accumulated fund and liabilities:
  Accumulated fund b/f                                54,400
  Add: Surplus for the year                            3,970    58,370
  Subscriptions in advance                               810
  Bar purchases payable                                  600
                                                      59,780
```

The statement agrees in full. **Note:** additional information 3 as printed in the scanned paper (investments costing Sh.5,000,000 sold at a loss of Sh.1,000,000) is inconsistent with the receipts and payments account and the balance lists, which cast exactly; the solution therefore derives the cost of investments sold (12,400) and the loss on sale (6,000) from those casting figures, and derives the depreciation charges from the opening balances, additions and the closing balances given.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar purchases adjusted for payables movement: 16,700 + 600 − 550 = 16,750 **(1)**
- (a) Bar cost of sales: 2,400 + 16,750 − 1,800 = 17,350 **(1)**
- (a) Bar wages adjusted for opening amount due: 3,800 − 200 = 3,600 **(1)**
- (a) Bar profit 4,450 (sales 25,400 − cost of sales 17,350 − wages 3,600) **(1)**
- (b) Subscriptions income 15,220 (15,550 + 380 − 600 + 700 − 810) **(2)**
- (b) Other income complete: bar profit 4,450, investment income 800, competition receipts 3,600, donations 2,500 (total income 26,570) **(2)**
- (b) Revenue expenditure correctly included: rent 3,200, general expenses 4,900, repairs and maintenance 1,500 (capital items excluded) **(1)**
- (b) Depreciation charged: sports equipment 4,300 and furniture and fittings 2,700 (agreeing cost + additions to closing balances) **(2)**
- (b) Loss on sale of investments 6,000 charged (cost sold 12,400 − proceeds 6,400), giving surplus 3,970 **(1)**
- (c) Opening accumulated fund correctly computed at 54,400 (opening assets 55,850 − opening liabilities 1,450) **(2)**
- (c) Closing assets correctly stated: sports equipment 27,000, furniture 22,000, investments 5,600, bar inventory 1,800, subscriptions in arrears 380, bank 3,000 **(3)**
- (c) Closing liabilities: subscriptions in advance 810 and bar purchases payable 600 **(1)**
- (c) Accumulated fund rolled forward (54,400 + surplus 3,970 = 58,370) and the statement agreeing with net assets **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 6 · Medium 3 · Hard 1), serials CA11-M10-Q001 – CA11-M10-Q023. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 10 · FINANCIAL STATEMENTS OF A NOT-FOR-PROFIT ORGANISATION — LESSON 2

Lesson 2: The Income and Expenditure Account

Learning objectives

By the end of this lesson you should be able to:

1. Define the income and expenditure account and explain the matching principle as applied to it.
2. Prepare a subscription account (T-account) incorporating arrears, advances, bad debts written off and cash received.
3. Convert receipts and payments information into accrual-based income and expenditure using adjustments for outstanding items, prepayments, stock of consumables, depreciation and profit/loss on disposal.
4. Prepare an income and expenditure account that balances to the correct surplus or deficit.
5. Treat special items correctly: prizes in hand, bar/restaurant trading profits, leave allowances and bonuses, and special purpose fund income/expenses.

---

1. Nature of the income and expenditure account

The **income and expenditure account** is a **revenue (nominal) account** prepared by a non-profit organisation to ascertain the **surplus or deficit** for a particular period. Only **revenue receipts and revenue expenses** are recorded: all revenue expenses of the current year on the **debit side**, all revenue incomes of the current year on the **credit side**. The difference is the surplus (credit balance) or deficit (debit balance), which is transferred to the **capital fund** in the statement of financial position.

The comparison of the two sides shows whether current expenses are being met out of current income. The principles are exactly the same as for a trading and profit and loss account — above all, the **matching principle**:

- (a) **No item of capital nature** is included — but **all revenue items** are entered.
- (b) Income and expenses must **relate only to the year concerned** — items relating to past or future years are excluded.
- (c) The **whole** of the income or expense for the year is included, **even if some amounts are outstanding** (accrued) or paid in advance.

So preparing this account is essentially a conversion exercise: take the cash figures from the receipts and payments account and **adjust them for accruals and prepayments**.

2. The subscription account — the examiner's favourite working

Subscriptions are the main income of most clubs, and the computation is almost always tested. Build the T-account like this (using our worked data):

Jabari Sports Club — data for year ended 31 December 2025

- Subscriptions received in cash during the year: **Sh.560,000**
- Of this, Sh.40,000 related to 2024 and Sh.55,000 related to 2026 (received in advance)
- Subscriptions in arrears at 31 December 2025 (still unpaid): **Sh.35,000**

```
                          Subscription Account
                      Sh.                                   Sh.
Balance b/d (arrears, 1 Jan)      40,000   Cash (received)              560,000
Income and expenditure           500,000   Balance c/d (arrears, 31 Dec) 35,000
```

Balance c/d (advance, 31 Dec)	55,000		
	595,000		595,000
Balance b/d (1 Jan 2026):			
Arrears	35,000		
Advance	55,000		

Derivation: subscriptions for 2025 = 560,000 − 40,000 (past year) − 55,000 (next year, advance) + 35,000 (current year, accrued) = **Sh.500,000** ✓. Both sides total 595,000 and balance.

Logic to memorise: Debit side — opening arrears (owed to us at start) + income for the year + closing advance (we owe the members service). Credit side — cash received + closing arrears (still owed to us). The balancing figure is the income and expenditure transfer.

Exam traps:

- If 10% of opening arrears were never received and written off (as in the book's Jenga Afya question), debit the income and expenditure account with the **bad debt written off** and credit the subscription account.
- Subscriptions received **for a specific purpose** (tournament fund, pavilion) never enter this account — they are capitalised to the fund.

3. Converting other cash figures to accrual figures

The same "opening balance + cash ± closing balance" logic applies to every expense and income line. For each item, draw the small T-account:

Salaries account (example): salaries paid Sh.240,000; Sh.20,000 of this was owed at 1 January 2025; Sh.30,000 outstanding at 31 December 2025; plus the secretary's **leave allowance of 5% of basic salary** — a classic book adjustment.

Salaries Account			
	Sh.		Sh.
Cash (paid)	240,000	Balance b/d (owed 1 Jan)	20,000
Balance c/d (owed 31 Dec)	30,000	Income and expenditure	250,000
	270,000		270,000

Charge to income and expenditure = 240,000 − 20,000 + 30,000 = **Sh.250,000** ✓. (In the book's Mbedodo illustration, the leave allowance of 5% × 18,000,000 = 900,000 was added as a separate outstanding expense line — same idea.)

Rent account (example): rent paid Sh.104,000; Sh.8,000 of this covers January 2026 (prepaid):

```
Cash 104,000 = Income and expenditure 96,000 + Balance c/d (prepaid) 8,000
```

Charge = 104,000 − 8,000 = **Sh.96,000** ✓.

Electricity account (example): paid Sh.36,000; outstanding at year end Sh.6,000:

Charge = 36,000 + 6,000 = **Sh.42,000** ✓.

Stationery (expenditure stock item): purchased Sh.18,000; opening stock Sh.4,000; closing stock Sh.5,000:

Used = 4,000 + 18,000 − 5,000 = **Sh.17,000** debited to income and expenditure; closing stock Sh.5,000 is a current asset in the statement of financial position.

Depreciation on buildings and equipment and the **loss on sale of old equipment** (proceeds Sh.25,000 vs net book value Sh.30,000 → loss Sh.5,000) are debited to the income and expenditure account. Remember: the **cash proceeds** were a capital receipt in the receipts and payments account, but the **loss** is revenue.

Bar/restaurant trading profit: where a club runs a bar or restaurant, prepare a small **trading account** first and transfer only the **profit** to the income and expenditure account (as in the book's Mbedodo bar trading profit of Sh. 10,000,000 and Jenga Afya restaurant profit of Sh.1,211,000). Staff consumption of restaurant goods (Jenga Afya: Sh. 75,000) is added to purchases as well as treated as staff cost — in the book's solution it was deducted from the accumulated fund as drawings; follow the question's instruction.

Prizes in hand (competition prizes not yet awarded) are treated like stock: opening prizes + purchases − prizes awarded = closing prizes in hand (an asset); the prizes awarded are the expense. In the Mbedodo illustration: opening 4,800,000 + competition prizes paid 14,400,000 − closing 2,400,000 = prizes given expense 16,800,000... (the book's own workings are inconsistent here, so in your exam always do the clean stock computation: expense = opening + purchases − closing.)

Special purpose fund items (tournament, prize, charity funds) never touch this account — income is added to the fund and expenses deducted from it on the liability side.

4. Fully worked income and expenditure account

Jabari Sports Club — additional information for the year ended 31 December 2025:

- Subscriptions: cash received Sh.560,000 (includes Sh.40,000 for 2024 and Sh.55,000 for 2026); arrears at 31 Dec 2025: Sh.35,000.
- Hall hire (rent received): Sh.60,000; donations (general, small): Sh.75,000; sale of old newspapers: Sh.12,000.
- Old equipment sold for Sh.25,000 (net book value Sh.30,000).
- Rent paid Sh.104,000 (includes Sh.8,000 for January 2026).
- Salaries paid Sh.240,000 (includes Sh.20,000 owed at 1 Jan 2025); salaries outstanding at 31 Dec 2025: Sh. 30,000.
- Electricity paid Sh.36,000; outstanding at year end Sh.6,000.
- Stationery purchased Sh.18,000; opening stock Sh.4,000; closing stock Sh.5,000.
- Repairs Sh.22,000; honorarium Sh.15,000.
- Depreciation: buildings Sh.30,000; equipment Sh.20,000.

Solution — Jabari Sports Club, Income and Expenditure Account for the year ended 31 December 2025

Incomes	Sh.	Sh.
Subscriptions (W1)		500,000
Hall hire (rent received)		60,000
Donations (general)		75,000
Sale of old newspapers		12,000
		647,000
Expenses		
Rent (104,000 − 8,000 prepaid)	96,000	
Salaries (240,000 − 20,000 + 30,000)	250,000	
Electricity (36,000 + 6,000)	42,000	
Stationery used (4,000 + 18,000 − 5,000)	17,000	
Repairs	22,000	

```
Honorarium                                              15,000
Depreciation: buildings                                 30,000
Depreciation: equipment                                 20,000
Loss on sale of equipment (30,000 − 25,000)              5,000
Total expenses                                                    (497,000)
Surplus for the year                                               150,000
```

Verification: total income 500,000 + 60,000 + 75,000 + 12,000 = **647,000** ✓. Total expenses: 96,000 + 250,000 + 42,000 + 17,000 + 22,000 + 15,000 + 30,000 + 20,000 + 5,000 = **497,000** ✓. Surplus = 647,000 − 497,000 = **150,000** ✓.

W1 — Subscription computation: 560,000 − 40,000 − 55,000 + 35,000 = 500,000 (see T-account in section 2).

Exam trap: the purchase of equipment (Sh.85,000) and the cash proceeds of the equipment sale (Sh.25,000) do **not** appear here — they are capital items. Only the **loss on sale** (Sh.5,000) appears, as an expense.

5. Income and expenditure account vs receipts and payments account

KASNEB frequently asks for the distinction — learn it as a pair:

Receipts and payments account	Income and expenditure account
Summary of **cash** transactions	Accrual-based revenue account
Records capital **and** revenue cash flows	Records **revenue items only**
Not part of double entry — a statement	A **nominal account** within double entry
Ignores period to which items relate	Applies the **matching principle** (current year only)
Shows cash/bank balance; cannot show surplus	Shows **surplus or deficit** for the period
Includes opening and closing cash balances	No opening/closing cash balances

Key terms

- **Income and expenditure account** — the NPO's revenue account (nominal account) showing surplus or deficit; revenue items only, on an accruals basis.
- **Surplus / deficit** — excess of income over expenditure (or vice versa); transferred to the capital fund, not distributed.
- **Matching principle** — recognise income and expenses in the period to which they relate, including outstanding and prepaid amounts.
- **Subscriptions in arrears** — amounts owed by members at the year end; a current asset (accrued income).
- **Subscriptions in advance** — amounts received for the next period; a current liability (deferred income).
- **Expenditure stock items** — consumables (stationery, sports materials); only the amount used is expensed, the unused balance is a current asset.
- **Prizes in hand** — competition prizes purchased but not yet awarded; treated like stock.
- **Trading profit (bar/restaurant)** — computed in a separate trading account; only the net profit is transferred to the income and expenditure account.

Module summary (so far)

- The income and expenditure account is the NPO equivalent of the profit and loss account: **revenue items only, accruals basis**, with the surplus/deficit transferred to the capital fund.
- Master the **subscription T-account** (opening arrears + income + closing advance = cash + closing arrears) — it is the single most examined working in this topic.
- Every cash figure converts to an accrual figure via: *expense/income = cash paid/received − opening balance + closing balance*, with stock items adjusted for opening and closing stocks.
- Capital items (asset purchases, sale proceeds, specific-purpose receipts) never enter this account — only revenue consequences (depreciation, profit/loss on disposal) do.

Exam day tips

1. Always do the **subscription working first** — it is usually worth 3–4 marks on its own and its figure flows into the main account.
2. Draw a mini T-account for every adjusted item (rent, salaries, electricity); it prevents the classic sign error of adding a prepayment instead of deducting it.
3. Show **workings labelled W1, W2…** — KASNEB awards method marks even if the final figure slips.
4. Double-check that no capital receipt or payment has crept into the account — scan each line and ask "revenue or capital?".
5. A bar or restaurant means a **separate trading account first**; transfer only the profit across.

Slide deck at a glance

Nature and the matching principle

- Revenue account showing surplus (credit) or deficit (debit)
- Revenue items ONLY — no capital receipts or payments
- Current year only: past and future items excluded
- Include outstanding and prepaid amounts — the FULL year's figure
- Surplus/deficit transfers to the CAPITAL FUND in the SFP

The subscription account — examiner's favourite

- Debit: opening arrears + income for the year + closing advance
- Credit: cash received + closing arrears
- Jabari: 560,000 − 40,000 − 55,000 + 35,000 = Sh.500,000 for 2025
- Bad debts written off: debit I&E, credit subscription account
- Subscriptions for a specific purpose: capitalised, never here

Converting cash to accrual figures

- Salaries: 240,000 − 20,000 opening owed + 30,000 outstanding = 250,000
- Rent: 104,000 − 8,000 prepaid = 96,000
- Electricity: 36,000 + 6,000 outstanding = 42,000
- Rule: charge = cash − opening balance + closing balance

Stocks, depreciation and disposal

- Stationery used = 4,000 + 18,000 − 5,000 = 17,000 (closing stock = asset)
- Depreciation: buildings 30,000; equipment 20,000 — debited to I&E
- Loss on equipment sale (30,000 NBV − 25,000) = 5,000 debited to I&E

- Capital proceeds do NOT enter — only the revenue profit or loss

Bar trading, prizes and special funds

- Bar/restaurant: separate trading account first; transfer PROFIT only
- Prizes in hand: opening + purchases − awarded = expense (stock logic)
- Special purpose fund income/expenses: adjust the fund, never the I&E
- Jabari totals: income 647,000 − expenses 497,000 = surplus 150,000

R&P account vs I&E account

- R&P: cash summary; I&E: accrual-based revenue account
- R&P: capital + revenue cash; I&E: revenue items only
- R&P: statement outside double entry; I&E: nominal account within it
- R&P: shows cash balance; I&E: shows surplus or deficit

Key takeaways / exam tips

- Do the subscription working FIRST — 3–4 marks on its own
- Draw mini T-accounts for every adjusted item to avoid sign errors
- Label workings W1, W2… — KASNEB awards method marks
- Scan each line: 'revenue or capital?' before including it

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-12-Q4 · December 2022 · 20 marks KASNEB authored

Not-for-profit accounts (Blaze Sports Club)

Blaze Sports Club is a members-only club generating income from subscriptions, bar sales and sale of sports shoes.

Statement of affairs as at 1 October 2021 (Sh."000"): Building at cost 15,000; Sports equipment (NBV) 10,500; Cash at bank 18,150; Sports shoes inventory 9,000; Bar inventory 12,000; Prepaid rent (2 months) 3,000; Accrued subscriptions 900. Total assets 68,550. Life membership fund 21,000; Subscriptions in advance 1,800; Accrued insurance (3 months) 2,250; Accumulated fund 43,500.

Receipts and payments account for the year ended 30 September 2022 (Sh."000"): Receipts — Balance b/f 18,150; Subscriptions received: for 2021 600, for 2022 16,500, for 2023 1,200; Life membership 3,000; Sale of sports shoes 13,500; Sale of sports equipment 210; Bar sales 69,900. Payments — Rent (for 12 months) 18,000; Bar manager's wages 30,000; Bar supplies 28,500; Building repairs 6,750; Purchases of sports equipment 7,500; 18 months insurance 13,500; Purchase of sports shoes 7,500; Balance c/f 11,310. Total 123,060.

Additional information: (1) The building was completed on 30 September 2021, commissioned on 1 October 2021, with an estimated useful life of 40 years. (2) Life membership subscriptions are brought into income equally over 10 years under a scheme begun a few years ago; the subscription has been constant at Sh.3,000,000 per person; prior to the year ended 30 September 2022, eleven life membership subscriptions had been received. (3) At 30 September 2022, closing bar inventory was Sh.12,750,000 and Sh.1,200,000 was due to bar suppliers. (4) Four annual subscriptions of Sh.300,000 each had been promised for the year ended 30 September 2021 but not received; promised-but-unpaid annual subscriptions are carried forward for a maximum of 12 months and written off thereafter. (5) At 30 September 2022, sports shoes inventory was Sh.13,500,000 and sports equipment had a net book value of Sh.10,500,000; during the year, sports equipment with NBV of Sh.200,000 was sold.

Required: (a) Bar statement of profit or loss for the year ended 30 September 2022. (4 marks) (b) Income and

expenditure statement for the year ended 30 September 2022. (8 marks) (c) Statement of financial position as at 30 September 2022. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Bar statement of profit or loss

```
Bar sales                                                          69,900
Cost of sales: opening inventory 12,000 + bar purchases
  (paid 28,500 + closing bar creditors 1,200 = 29,700)
  − closing inventory 12,750                                      (28,950)
Gross profit                                                       40,950
Less: bar manager's wages                                          (30,000)
Bar profit                                                         10,950
```

Workings

- **Subscriptions income:** opening arrears (accrued subscriptions) 900 + income for 2022 + subscriptions received in advance b/f 1,800 = receipts 18,300 (600 + 16,500 + 1,200) + closing advance 1,200 + closing arrears 300 → income = **18,300** (the 16,500 received for 2022 plus the 1,800 advance brought forward). The four promised 2021 subscriptions (1,200) were never recorded as income or assets; under the 12-month rule they lapse and are not recognised.
- **Life membership income:** members = 11 prior + 1 new = 12; annual release = 12 × (3,000 ÷ 10) = **3,600**. Life fund: 21,000 + 3,000 − 3,600 = 20,400.
- **Sports shoes trading:** sales 13,500 − (opening 9,000 + purchases 7,500 − closing 13,500 = 3,000) = profit **10,500**.
- **Sports equipment:** depreciation = opening NBV 10,500 + purchases 7,500 − disposal NBV 200 − closing NBV 10,500 = **7,300**; profit on sale = 210 − 200 = 10.
- **Rent:** rent paid 18,000 covers 12 months → expense 18,000; closing prepaid rent 3,000 (the opening prepayment was 2 months at the same monthly rate of 1,500).
- **Insurance account:** Dr — bank 13,500; Cr — opening accrual 2,250; expense for the year (12 months) 9,000; balance carried forward (prepaid) = 13,500 − 2,250 − 9,000 = **2,250**.

(b) Income and expenditure statement for the year ended 30 September 2022

```
Income:
  Subscriptions                                          18,300
  Life membership income                                  3,600
  Bar profit                                             10,950
  Sports shoes trading profit                           10,500
  Profit on sale of sports equipment                        10
                                                         43,360
Expenditure:
  Rent                                                   18,000
  Insurance                                               9,000
  Building repairs                                        6,750
  Depreciation — sports equipment                         7,300
  Depreciation — building (15,000 ÷ 40)                     375
```

	41,425
Surplus of income over expenditure	1,935

(c) Statement of financial position as at 30 September 2022

Building (15,000 − 375)	14,625
Sports equipment (NBV)	10,500
Bar inventory	12,750
Sports shoes inventory	13,500
Accrued subscriptions	300
Prepaid rent	3,000
Prepaid insurance	2,250
Cash at bank	11,310
Total assets	68,235
Accumulated fund (43,500 + surplus 1,935)	45,435
Life membership fund	20,400
Subscriptions in advance	1,200
Bar creditors	1,200
Total funds and liabilities	68,235

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar purchases 29,700 (closing creditors added); cost of sales 28,950; gross profit 40,950 **(2)**
- (a) Bar manager's wages 30,000 charged → bar profit 10,950 **(2)**
- (b) Subscriptions income 18,300 via subscriptions account (advance b/f released; promised 2021 subscriptions not recognised) **(2)**
- (b) Life membership income 3,600 (12 members × 300) and fund closing 20,400 **(2)**
- (b) Sports shoes profit 10,500; profit on equipment sale 10; expenses incl. rent 18,000, insurance 9,000, equipment depreciation 7,300 (derived), building depreciation 375; surplus 1,935 **(4)**
- (c) SOFP balances at 68,235: accumulated fund 45,435; prepaid rent 3,000 and prepaid insurance 2,250; accrued subscriptions 300; advance 1,200; bar creditors 1,200 **(8)**

KASNEB-2019-11-Q4 · November 2019 · 20 marks KASNEB authored

Not-for-profit accounts (Furahi Sana Social Club)

The following balances were extracted from the books of Furahi Sana Social Club as at 1 July 2018 (Sh."000"): Furniture and fittings 7,200; Club equipment at valuation 136,000; Shares in privately held companies — at cost 1,215; Inventory (canteen) 1,870; Games equipment at valuation 5,250; Subscriptions in advance 640; Subscriptions in arrears [value partly obscured in scan]; Accumulated fund 15[obscured]; Bar/Canteen payables 720 Cr. The receipts and payments account for the year ended 30 June 2019 was as follows (Sh."000"): Receipts: Balance b/d 9,879; Subscriptions 17,640; Canteen sales 14,314; Competitions receipts 4,907; Sundry receipts 392; Dividend on investments 36. Total 47,168. Payments: Canteen purchases 5,202; Canteen expenses 8,518; Competition prizes 2,594; Club expenses 11,401; Salaries 4,937; Purchase of furniture (1 July 2018) 4,010; Balance c/d 10,506. Total 47,168. Additional information: 1. As at 30 June 2019 the following balances were extracted (Sh."000"): Canteen payables 598; Inventory 1,085. 2. As at 30 June 2019, subscriptions in arrears were Sh.800,000 and subscriptions paid in advance were Sh.960,000. 3. As at 30 June 2019, accrued salaries amounted to Sh.516,000. 4. Depreciation is provided as follows: Club equipment 10% Reducing balance; Games equipment 10% Reducing balance; Furniture and fittings 10% Cost. Required: (a) Canteen

income statement for the year ended 30 June 2019. (4 marks) (b) Income and expenditure statement for the year ended 30 June 2019. (8 marks) (c) Statement of financial position as at 30 June 2019. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- **W1 — Opening accumulated fund (opening statement of financial position):** assets at 1 July 2018: furniture and fittings 7,200 + club equipment 136,000 + games equipment 5,250 + shares 1,215 + canteen inventory 1,870 + subscriptions in arrears 800* + bank and cash (balance b/d) 9,879 = 162,214; less subscriptions in advance 640 and canteen payables 720 → **accumulated fund = 160,854**. (*The opening subscriptions in arrears figure is obscured in the source scan; Sh.800,000 — the same as the closing figure — is adopted. Any other reading changes the opening accumulated fund and subscription income by the same amount and leaves the closing position unchanged.)
- **W2 — Subscriptions income:** received 17,640 + arrears at 30 June 2019 800 + advance at 1 July 2018 640 − advance at 30 June 2019 960 − arrears at 1 July 2018 800 = **17,320**.
- **W3 — Canteen purchases:** paid 5,202 + closing payables 598 − opening payables 720 = **5,080**.
- **W4 — Depreciation:** club equipment 10% × 136,000 = 13,600; games equipment 10% × 5,250 = 525; furniture and fittings 10% × cost (7,200 + 4,010 purchased on 1 July 2018) = 1,121. Total 15,246.

(a) Canteen income statement for the year ended 30 June 2019 (Sh."000")

	Sh."000"
Canteen sales	14,314
Cost of sales: Opening inventory 1,870 + purchases 5,080 − closing inventory 1,085	(5,865)
Gross profit	8,449
Canteen expenses	(8,518)
Canteen loss (to income and expenditure account)	**(69)**

(b) Income and expenditure statement for the year ended 30 June 2019 (Sh."000")

Income	Sh."000"
Subscriptions (W2)	17,320
Competitions receipts	4,907
Sundry receipts	392
Dividend on investments	36
	22,655
Less: Canteen loss	(69)
	22,586

Income	Sh."000"
Expenditure	
Club expenses	11,401
Salaries (4,937 + accrued 516)	5,453
Competition prizes	2,594
Depreciation (W4)	15,246
	(34,694)
Deficit of income over expenditure	**(12,108)**

(c) Statement of financial position as at 30 June 2019 (Sh."000")

	Sh."000"
Non-current assets	
Club equipment (136,000 − 13,600)	122,400
Furniture and fittings (11,210 − 1,121)	10,089
Games equipment (5,250 − 525)	4,725
Shares in privately held companies (at cost)	1,215
	138,429
Current assets	
Inventory (canteen)	1,085
Subscriptions in arrears	800
Bank and cash (balance c/d)	10,506
	12,391
Total assets	**150,820**
Accumulated fund: Balance at 1 July 2018 (W1) 160,854 − deficit 12,108	148,746
Current liabilities	
Subscriptions in advance	960
Canteen payables	598
Accrued salaries	516
	2,074
Total fund and liabilities	**150,820**

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Canteen purchases correctly derived at 5,080 (5,202 + 598 − 720) and cost of sales 5,865 (with inventories 1,870 / 1,085) **(2)**

- Canteen result correctly computed: gross profit 8,449 less expenses 8,518 = loss 69 **(2)**
- Subscriptions income correctly adjusted to 17,320 (arrears and advances at both dates) **(2)**
- Other income correctly stated (competitions 4,907; sundry 392; dividends 36) and canteen loss brought in **(1)**
- Expenditure: club expenses 11,401; salaries 5,453 (incl. accrued 516); competition prizes 2,594 **(2)**
- Depreciation correctly computed: club equipment 13,600; games equipment 525; furniture 1,121 (10% on cost 11,210 incl. the 1 July 2018 purchase); total 15,246 **(2)**
- Deficit of 12,108 correctly struck **(1)**
- SOFP: non-current assets 138,429; current assets 12,391 (incl. arrears 800 and bank 10,506); accumulated fund 148,746 (opening fund derived 160,854 less deficit); current liabilities 2,074; statement balances at 150,820 **(8)**

KASNEB-2018-11-Q2 · November 2018 · 20 marks KASNEB authored

IPSASB objectives; not-for-profit accounts (Mapozi Social Club)

(a) Highlight four objectives of the International Public Sector Accounting Standards Board (IPSASB). (4 marks)

(b) Mapozi Social Club balances as at 1 October 2017 (Sh."000"): Clubhouse and land at cost 45,000; Accumulated depreciation: Clubhouse 7,200 Cr; Fixtures and fittings at cost 26,000; Accumulated depreciation: Fixtures and fittings 10,400 Cr; Bar payables 2,100 Cr; Bar inventory 1,800; Subscriptions in arrears 1,200; Subscriptions in advance 900 Cr; Accumulated fund 73,200 Cr; Bank balance 9,500.

Receipts and payments for the year ended 30 September 2018 (Sh."000"): Receipts: Subscriptions 8,400; Competition fees 3,200; Dance fees 1,800; Bar takings 8,600; Receipts from investments 300. Total 22,300. Payments: Bar purchases 5,900; Insurance 1,800; Lighting and heating 700; Wages 3,400; Repairs and maintenance 1,900; Purchases of fixtures 2,800; General expenses 900; Bar wages and expenses 2,100; Dance expenses 700; Competition prizes 1,500. Total 21,700.

Additional information: 1. Subscriptions as at 30 September 2018: in arrears Sh.1,500,000; in advance Sh. 600,000. 2. As at 30 September 2018, bar inventory was Sh.2,400,000 and bar payables were Sh.900,000. 3. The clubhouse cost of Sh.45,000,000 comprised: land Sh.27,000,000; buildings Sh.18,000,000. Depreciation: Buildings 2½% per annum on cost; Fixtures and fittings 10% per annum on diminishing value.

Required: (a) Bar income statement for the year ended 30 September 2018. (4 marks) (b) Income and expenditure account for the year ended 30 September 2018. (6 marks) (c) Statement of financial position as at 30 September 2018. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Objectives of the IPSASB

1. To develop and issue high-quality International Public Sector Accounting Standards (IPSASs) for use by public sector entities worldwide in preparing general purpose financial statements.
2. To promote the acceptance of, and international convergence with, IPSASs, improving the quality and consistency of public sector financial reporting across jurisdictions.
3. To improve accountability, transparency and decision-making in the public sector by providing standards that meet the information needs of users of public sector financial reports.
4. To facilitate the exchange of information and expertise among standard setters, preparers and users, and to sponsor research and guidance on public sector accounting issues.

Workings

W1 — Subscriptions income: received 8,400 + in advance b/d 900 + in arrears c/d 1,500 − in arrears b/d 1,200 − in advance c/d 600 = **9,000**. **W2 — Depreciation:** Buildings 18,000 × 2½% = **450**. Fixtures and fittings: NBV b/d (26,000 − 10,400) 15,600 + purchases 2,800 = 18,400 × 10% = **1,840**. **W3 — Bank balance:** 9,500 + receipts 22,300 − payments 21,700 = **10,100**.

Bar income statement for the year ended 30 September 2018

```
Bar takings                                                          8,600
Cost of sales: Opening inventory 1,800 + Purchases (5,900 + 900 − 2,100) 4,700 −
Closing inventory (2,400)   (4,100)
Gross profit                                                         4,500
Less: Bar wages and expenses                                        (2,100)
Bar profit                                                           2,400
```

Income and expenditure account for the year ended 30 September 2018

```
Income: Subscriptions (W1)            9,000
        Competition fees              3,200
        Dance fees                    1,800
        Receipts from investments       300
        Bar profit                    2,400                 16,700
Expenditure: Insurance 1,800; Lighting and heating 700; Wages 3,400; Repairs and
maintenance 1,900;
        General expenses 900; Dance expenses 700; Competition prizes 1,500;
        Depreciation: buildings 450; fixtures and fittings 1,840   (13,190)
Surplus for the year                                              3,510
```

Statement of financial position as at 30 September 2018

```
Clubhouse and land: cost 45,000 − accumulated depreciation (7,200 + 450)    37,350
Fixtures and fittings: cost 28,800 − accumulated depreciation (10,400 + 1,840)
16,560
Current assets: Bar inventory 2,400; Subscriptions in arrears 1,500; Bank (W3)
10,100   14,000
Total assets                                                                67,910
Accumulated fund (see note)                                                 66,410
Current liabilities: Subscriptions in advance 600; Bar payables 900           1,500
Total fund and liabilities                                                  67,910
```

Note: the accumulated fund is shown at Sh.66,410,000 — the opening net assets supported by the opening balances (Sh.62,900,000) plus the surplus for the year (Sh.3,510,000). The opening accumulated fund printed in the paper (Sh.73,200,000) exceeds the net assets per the opening balances by Sh.10,300,000 (see source note).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Four IPSASB objectives (develop IPSASs; promote convergence/acceptance; accountability and transparency; research/guidance), 1 mark each **(4)**
- (b) Bar: purchases 4,700 (payments adjusted for payables), cost of sales 4,100, gross profit 4,500, bar profit 2,400 after bar wages (4) **(4)**
- (b) W1 subscriptions income 9,000 (accruals adjustments at both dates) (2) **(2)**

- (b) I&E: income 16,700; expenditure 13,190 incl. depreciation 450 + 1,840; surplus 3,510 (4) **(4)**
- (c) Non-current assets: clubhouse 37,350, fixtures and fittings 16,560 (3) **(3)**
- (c) Current assets 14,000 (bank derived 10,100); fund 66,410; current liabilities 1,500; statement balances at 67,910 (3) **(3)**

KASNEB-2015-11-Q3 · November 2015 · 20 marks KASNEB authored

Not-for-profit accounts - bar income statement, income and expenditure account and statement of financial position (Uwezo Football Club)

The following is the receipts and payments account of Uwezo Football Club for the year ended 30 September 2015 (Sh."000"): Receipts: Balance brought forward - Bank 5,096; Cash 130; Subscriptions 12,000; Entrance fees 1,160; Donations 8,024; Bar receipts 57,610; Total 84,020. Payments: Bar purchases 43,628; Rent and rates 3,304; Telephone expenses 308; Water and electricity 734; Stationery expenses 364; Salaries and wages 11,170; Coach's fee 3,000; Field expenses 2,244; General expenses 724; Lawn mower 4,400; Balance carried forward - Bank 14,082; Cash 62; Total 84,020.

Additional information: 1. The following balances were available: 30 September 2014 / 30 September 2015 (Sh."000"): Subscriptions in arrears 300 / 350; Rent due 240 / 280; Rates prepaid 320 / 360; Bar payables 500 / 820. 2. The bar inventory was valued at Sh.828,000 as at 30 September 2014 and Sh.710,000 as at 30 September 2015. 3. On 30 September 2014, the values of non-current assets were as follows (Sh."000"): Club house 60,000; Fixtures 15,000; Equipment 11,200. 4. The new lawn mower was purchased during the year ended 30 September 2015 at a cost of Sh.5,000,000. The difference between the actual cost and the amount reflected in the receipts and payments account is a trade-in allowance of Sh.600,000. 5. The old lawn mower which was traded-in in exchange for the new lawn mower had been included in the cost of equipment at 30 September 2014 at a value of Sh.400,000. 6. Depreciation is charged for a full year irrespective of date of purchase. No depreciation is charged in the year of disposal. 7. Depreciation is to be provided as follows: Club house 2% on cost; Fixtures 10% on cost; Equipment 20% on reducing balance.

Required: (a) Bar income statement for the year ended 30 September 2015. (4 marks) (b) Income and expenditure account for the year ended 30 September 2015. (8 marks) (c) Statement of financial position as at 30 September 2015. (8 marks) (Total: 20 marks)

SokoCPA worked solution

Workings (Sh."000")

W1 - Bar purchases: paid 43,628 + bar payables at 30 Sep 2015 820 - bar payables at 30 Sep 2014 500 = **43,948**. **W2 - Subscriptions income:** received 12,000 + in arrears at 30 Sep 2015 350 - in arrears at 30 Sep 2014 300 = **12,050**. **W3 - Rent and rates expense:** paid 3,304 + rent due at 30 Sep 2015 280 - rent due at 30 Sep 2014 240 + rates prepaid at 30 Sep 2014 320 - rates prepaid at 30 Sep 2015 360 = **3,304**. **W4 - Equipment and the lawn mower:** Trade-in allowance = cost of new mower 5,000 - cash reflected in receipts and payments 4,400 = 600. Carrying value of the old mower traded in = 400, so profit on trade-in = 600 - 400 = **200**. Equipment depreciation base (no depreciation in the year of disposal; a full year on the new mower): (11,200 - 400 + 5,000) = 15,800 x 20% = **3,160**. Club house depreciation 2% x 60,000 = 1,200; fixtures 10% x 15,000 = 1,500. **W5 - Accumulated fund at 1 October 2014 (statement of affairs):** Assets - club house 60,000, fixtures 15,000, equipment 11,200, bar inventory 828, subscriptions in arrears 300, rates prepaid 320, bank 5,096, cash 130 = 92,874. Less liabilities - rent due 240, bar payables 500 = 740. **Accumulated fund = 92,134**.

(a) Bar income statement for the year ended 30 September 2015 (Sh."000")

Bar sales (receipts) 57,610 Less cost of sales: Opening inventory 828 + purchases (W1) 43,948 - closing inventory (710) = (44,066) **Bar profit 13,544**

(b) Income and expenditure account for the year ended 30 September 2015 (Sh."000")

Income: Subscriptions (W2) 12,050; Entrance fees 1,160; Donations 8,024; Bar profit 13,544; Profit on trade-in of lawn mower (W4) 200. Total income 34,978. **Expenditure:** Rent and rates (W3) 3,304; Telephone expenses 308; Water and electricity 734; Stationery expenses 364; Salaries and wages 11,170; Coach's fee 3,000; Field expenses 2,244; General expenses 724; Depreciation - club house 1,200, fixtures 1,500, equipment 3,160 = 5,860. Total expenditure 27,708. **Surplus of income over expenditure 7,270.**

(c) Statement of financial position as at 30 September 2015 (Sh."000")

Non-current assets: Club house 60,000 - depreciation 1,200 = 58,800; Fixtures 15,000 - 1,500 = 13,500; Equipment (11,200 - 400 + 5,000 - 3,160) = 12,640. Total 84,940. **Current assets:** Bar inventory 710; Subscriptions in arrears 350; Rates prepaid 360; Bank 14,082; Cash 62. Total 15,564. **Total assets 100,504. Accumulated fund:** Balance at 1 October 2014 (W5) 92,134 + surplus for the year 7,270 = 99,404. **Current liabilities:** Rent due 280; Bar payables 820. Total 1,100. **Total funds and liabilities 100,504** — the statement balances.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar sales 57,610 (1) **(1)**
- (a) Bar purchases adjusted for payables: 43,628 + 820 - 500 = 43,948 (1) **(1)**
- (a) Cost of sales using inventories 828 and 710 = 44,066 (1) **(1)**
- (a) Bar profit Sh.13,544,000 (1) **(1)**
- (b) Subscriptions income 12,000 + 350 - 300 = 12,050 (1) **(1)**
- (b) Entrance fees 1,160 and donations 8,024 treated as income (1) **(1)**
- (b) Bar profit 13,544 brought in (1) **(1)**
- (b) Profit on trade-in of mower: allowance 600 - carrying value 400 = 200 (1) **(1)**
- (b) Rent and rates expense 3,304 after rent due (240/280) and rates prepaid (320/360) adjustments (1) **(1)**
- (b) Remaining expenses correctly included: telephone 308, water and electricity 734, stationery 364, salaries and wages 11,170, coach's fee 3,000, field expenses 2,244, general expenses 724 (1) **(1)**
- (b) Depreciation: club house 1,200, fixtures 1,500, equipment 3,160 (20% on 15,800 after removing the traded-in mower and adding the new mower) (1) **(1)**
- (b) Surplus of income over expenditure Sh.7,270,000 (1) **(1)**
- (c) Opening accumulated fund derived from a statement of affairs: assets 92,874 - liabilities 740 = 92,134 (2) **(2)**
- (c) Non-current assets: club house 58,800, fixtures 13,500, equipment 12,640 (2) **(2)**
- (c) Current assets: bar inventory 710, subscriptions in arrears 350, rates prepaid 360, bank 14,082, cash 62 (2) **(2)**
- (c) Accumulated fund 92,134 + surplus 7,270 = 99,404, and current liabilities rent due 280 and bar payables 820 (1) **(1)**
- (c) Both sides agreeing at Sh.100,504,000 (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M10-Q012 – CA11-M10-Q031. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 10 · FINANCIAL STATEMENTS OF A NOT-FOR-PROFIT ORGANISATION — LESSON 3

Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation

Learning objectives

By the end of this lesson you should be able to:

1. Describe the layout of a not-for-profit organisation's statement of financial position and explain the capital fund.
2. Compute the opening capital (accumulated) fund from a statement of affairs when it is not given.
3. Correctly place special items — capital receipts, special purpose funds, subscriptions in arrears/advance, outstanding and prepaid expenses, consumable stocks, prizes in hand — in the statement of financial position.
4. Prepare a complete statement of financial position that balances, incorporating the surplus or deficit from the income and expenditure account.
5. Account for the disposal of non-current assets (cost, accumulated depreciation, proceeds, profit/loss) within the NPO framework.

---

1. Layout and the capital fund

The statement of financial position of an NPO contains **assets and liabilities** in the same way as a profit-making entity, but there is no share capital and no retained earnings. Instead:

- **Assets side:** non-current assets (at cost less accumulated depreciation), outstanding incomes (subscriptions in arrears, accrued interest), prepaid expenses, consumable stocks, prizes in hand, cash in hand and at bank.
- **Liabilities side:** the **capital fund** (accumulated fund), special purpose funds and capital receipts not yet utilised, outstanding expenses, incomes received in advance (subscriptions in advance).
- The **surplus** for the year is **added to the capital fund** (a deficit is deducted).

Think of the capital fund as the NPO's "equity": it represents the net assets accumulated over the organisation's life, built up from entrance fees capitalised, life membership fees, legacies, specific donations and the accumulated surpluses of past years.

2. Computing the opening capital fund — the statement of affairs

Exam questions often do not give the opening capital fund. You must compute it with a **statement of affairs** (assets minus liabilities at the opening date):

Jabari Sports Club — statement of affairs as at 1 January 2025

	Sh.	Sh.
Assets		
Buildings at cost	1,500,000	
Equipment at cost	200,000	
Less: accumulated depreciation — equipment	(60,000)	
Stationery stock	4,000	
Subscriptions in arrears	40,000	

	Sh.	Sh.
Cash in hand and at bank	168,000	
Total assets		1,852,000
Liabilities		
Salaries outstanding		(20,000)
Capital fund (accumulated fund) at 1 Jan 2025 (balancing figure)		**1,832,000**

Check: 1,500,000 + 200,000 − 60,000 + 4,000 + 40,000 + 168,000 = **1,852,000**; less 20,000 = **1,832,000** ✓. The two sides balance by construction.

Exam trap: every asset and liability must be included at the opening date — especially subscriptions in arrears (asset), subscriptions in advance (liability), outstanding expenses (liability), prepayments (asset) and consumable stocks (asset). Missing one unbalances everything downstream.

3. Where special items go in the statement of financial position

Item	Treatment
Specific donations / grants for a purpose	Liability side, as a **fund**; expenditure on the purpose is **deducted from the fund**, balance carried forward until used up
General donations (large), legacies, endowment fund, life membership fees	Added to **capital fund** (or shown as separate capital receipts under liabilities)
Special purpose funds (tournament, prize, charity)	Liability side; fund income **added**, fund expenses **deducted** — never through the income and expenditure account
Subscriptions in arrears	**Current asset** (accrued income)
Subscriptions in advance	**Current liability** (deferred income)
Outstanding expenses (salaries, electricity)	**Current liabilities**
Prepaid expenses (rent paid in advance)	**Current assets**
Stationery / consumable stocks, prizes in hand	**Current assets**
Surplus for the year	**Added to** the capital fund (deficit deducted)
Interest receivable (e.g. on SACCO deposits)	**Current asset**

4. Non-current asset movements — the disposal working

Continuing the Jabari example, during 2025 the club:

- Purchased new equipment for **Sh.85,000** cash.
- Sold old equipment for **Sh.25,000**; the equipment sold had cost **Sh.50,000** with accumulated depreciation of **Sh.20,000** (net book value Sh.30,000 → **loss on sale Sh.5,000**, already charged in Lesson 2).
- Depreciation for the year: buildings Sh.30,000; equipment Sh.20,000.

```
                          Equipment Account
                    Sh.                                   Sh.
Balance b/d (cost)          200,000   Disposal (cost)           50,000
```

Cash (additions)	85,000	Balance c/d (cost)	235,000
	285,000		285,000

Accumulated Depreciation — Equipment

	Sh.		Sh.
Disposal (dep'n on sold)	20,000	Balance b/d	60,000
Balance c/d	60,000	Depreciation for the year	20,000
	80,000		80,000

Net book value of equipment at 31 December 2025 = 235,000 − 60,000 = **Sh.175,000** ✓.

Disposal Account

	Sh.		Sh.
Equipment (cost)	50,000	Accumulated depreciation	20,000
		Cash (proceeds)	25,000
		Loss on sale (to I&E)	5,000
	50,000		50,000

Buildings: 1,500,000 − 30,000 depreciation = **Sh.1,470,000** net book value.

5. Fully worked statement of financial position

Jabari Sports Club — closing balances at 31 December 2025 (from Lessons 1 and 2):

- Cash in hand and at bank: opening 168,000 + total receipts 732,000 − total payments 520,000 = **Sh.380,000**. (Receipts: 560,000 + 60,000 + 75,000 + 12,000 + 25,000 = 732,000. Payments: 104,000 + 240,000 + 36,000 + 18,000 + 22,000 + 15,000 + 85,000 = 520,000.)
- Stationery stock Sh.5,000; subscriptions in arrears Sh.35,000; prepaid rent Sh.8,000.
- Salaries outstanding Sh.30,000; electricity outstanding Sh.6,000; subscriptions in advance Sh.55,000.
- Surplus for the year Sh.150,000 (Lesson 2).

Solution — Jabari Sports Club, Statement of Financial Position as at 31 December 2025

	Cost Sh.	Acc. dep'n Sh.	NBV Sh.
Non-current assets			
Buildings	1,500,000	30,000	1,470,000
Equipment	235,000	60,000	175,000
			1,645,000
Current assets			Sh.
Stationery stock			5,000
Subscriptions in arrears			35,000
Prepaid rent			8,000
Cash in hand and at bank			380,000
			428,000

	Cost Sh.	Acc. dep'n Sh.	NBV Sh.
Total assets			**2,073,000**
Financed by:			
Capital fund at 1 Jan 2025			1,832,000
Add: surplus for the year			150,000
			1,982,000
Current liabilities			
Salaries outstanding			30,000
Electricity outstanding			6,000
Subscriptions in advance			55,000
			91,000
Total capital and liabilities			**2,073,000**

Verification: total assets = 1,645,000 + 5,000 + 35,000 + 8,000 + 380,000 = **2,073,000** ✓. Capital and liabilities = 1,982,000 + 30,000 + 6,000 + 55,000 = **2,073,000** ✓. The statement balances.

6. Common exam traps in this statement

1. **Putting the surplus anywhere except the capital fund.** The surplus is not a liability to members and not a current asset — it increases the capital fund.
2. **Forgetting to deduct the cost AND accumulated depreciation of a disposed asset.** Both must be removed from their accounts; the difference between NBV and proceeds is the profit/loss.
3. **Showing specific donations or special purpose funds as income.** They sit on the liability side until used for their purpose.
4. **Omitting subscriptions in advance from liabilities** or **in arrears from assets** — the two most commonly missed lines.
5. **Treating entrance fees inconsistently** with your Lesson 1 note — if you capitalised them, they appear in (or added to) the capital fund.
6. **Mixing up the cash figure:** the closing cash in the statement of financial position must equal the balance c/d of the receipts and payments account (Sh.380,000 here).

Key terms

- **Capital (accumulated) fund** — the NPO's equity: opening net assets plus capitalised receipts plus accumulated surpluses.
- **Statement of affairs** — a listing of assets and liabilities at a date used to compute the opening capital fund as the balancing figure.
- **Special purpose fund** — a fund earmarked for a defined purpose; shown under liabilities, adjusted directly for its own income and expenses.
- **Net book value** — cost less accumulated depreciation; the carrying amount of a non-current asset.
- **Accrued income / deferred income** — income earned but not received (asset) vs income received but not earned (liability), e.g. subscriptions in arrears vs in advance.

Module summary (m10 complete)

- NPO final accounts = **receipts and payments account** (cash summary, not double entry) + **income and expenditure account** (accruals, revenue only, surplus/deficit to capital fund) + **statement of financial position** (assets, liabilities, capital fund).
- The golden thread through all three statements is **capital vs revenue**: capital receipts/payments bypass the income and expenditure account; revenue items never appear in the statement of financial position except as accruals/prepayments.
- The **subscription account** and the **opening statement of affairs** are the two workings that unlock almost every exam question in this topic.
- Every statement must balance: receipts and payments (receipts = payments + closing cash), income and expenditure (income = expenses + surplus), statement of financial position (assets = capital fund + liabilities).

Exam day tips

1. When the capital fund is not given, compute it **first** via a statement of affairs — label it clearly as a working.
2. Tick every special receipt against the Lesson 1 list and decide **capital or revenue before** you start writing the statements.
3. For asset disposals, always open three accounts mentally: asset (cost), accumulated depreciation, disposal — then carry only NBV and proceeds forward.
4. Your closing cash must appear **identically** in the receipts and payments account and the statement of financial position — use it as a self-check.
5. If the statement of financial position does not balance, the error is almost always a missing accrual/prepayment or a capital item wrongly expensed — re-scan the additional information line by line.

Slide deck at a glance

Layout and the capital fund

- No share capital, no retained earnings — instead: the CAPITAL FUND
- Assets: NCA at NBV, arrears (asset), prepayments, stocks, cash
- Liabilities: capital fund, special funds, outstanding expenses, advances
- Surplus is ADDED to the capital fund; a deficit is deducted
- Capital fund = accumulated net assets built from surpluses and gifts

Computing the opening capital fund

- Use a STATEMENT OF AFFAIRS: assets minus liabilities at opening date
- Jabari 1 Jan 2025: assets 1,852,000 − salaries owed 20,000 = 1,832,000
- Include EVERYTHING: arrears, advance subs, stocks, outstandings
- The capital fund is the balancing figure — then everything balances
- Missing one opening item unbalances all downstream statements

Where special items go

- Specific donations/grants: liability side as a FUND; deduct usage from it
- Legacies, large donations, life fees: added to the capital fund
- Subscriptions in arrears → current asset; in advance → current liability
- Outstanding expenses → liabilities; prepaid expenses → assets
- Special purpose funds: adjust the fund directly — never via I&E

Asset disposal working — Jabari

- Equipment cost: 200,000 + 85,000 additions − 50,000 sold = 235,000
- Accumulated depreciation: 60,000 − 20,000 on sold + 20,000 = 60,000
- Equipment NBV = 235,000 − 60,000 = Sh.175,000
- Buildings: 1,500,000 − 30,000 depreciation = 1,470,000 NBV

Worked statement — balances at Sh.2,073,000

- Non-current assets 1,645,000 + current assets 428,000 = 2,073,000
- Capital fund: 1,832,000 + surplus 150,000 = 1,982,000
- Current liabilities: salaries 30,000 + electricity 6,000 + advance 55,000
- Both sides total 2,073,000 ✓ — closing cash 380,000 appears here too

Common exam traps

- Surplus goes ONLY to the capital fund — nowhere else
- On disposal remove BOTH cost and accumulated depreciation
- Specific donations are NOT income — liability side until used
- Closing cash must match the R&P balance c/d exactly (380,000)

Key takeaways / exam tips

- Capital fund not given? Compute it FIRST via a statement of affairs
- Decide capital vs revenue for every special receipt BEFORE writing
- Self-check: closing cash identical in R&P account and SFP
- If it doesn't balance: re-scan for a missing accrual or capital item

KASNEB past-paper worked examples

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KASNEB-2023-12-Q4 · December 2023 · 20 marks KASNEB authored

Not-for-profit accounts (Sagana Golf Club)

The following balances were extracted from the books of Sagana Golf Club as at 1 September 2022 (Sh."000"): Golf course at cost 80,000; Club house at cost 20,000; Investments representing the building fund: ordinary shares 7,400, deposit with Jamii Building Society 12,000 (total 19,400); Subscriptions received in advance 400 (Cr); Creditors for bar supplies 350 (Cr); Life membership fund 5,000 (Cr); Subscriptions in arrears 600; Bar inventory 4,850; Club house equipment at cost 3,400; Cash in hand 100; Bank balance 950.

Bank receipts during the year ended 31 August 2023: Subscriptions 26,000; Life membership fees 2,000; Tournament fees 1,000; Bar sales 28,600; Dividend from ordinary shares 800. Bank payments: Maintenance of golf course 17,150; General club house expenses 12,150; Utilities 1,528; Bar supplies 23,500; Purchase of club house equipment 700; Deposit into Jamii Building Society 800; Repainting of club house 1,260.

Additional information: (1) The club maintains a building fund separate from the accumulated fund and life membership fund, invested in ordinary shares and deposited with Jamii Building Society. (2) Interest on the Jamii deposit for the year ended 31 August 2023 amounted to Sh.840,000, credited by the society to the club's deposit account; dividends on the ordinary shares are also paid into the building society account. (3) There were five life members at 1 September 2022, one of whom died before the end of the year; two other life members joined during the year. Life membership fee is Sh.1,000,000 per member; when a life member dies, his contribution is transferred to the accumulated fund. (4) General club house expenses included bar wages of Sh. 4,200,000. (5) Balances as at 31 August 2023: creditors for bar supplies 1,600; subscriptions in advance 900;

subscriptions in arrears 300; bar debtors 650. (6) Bar inventory at 31 August 2023 was Sh.4,350,000. (7) An insurance premium of Sh.480,000 included in general club house expenses was for the year ended 30 November 2023.

Required: (a) Bar statement of profit or loss for the year ended 31 August 2023. (4 marks) (b) Statement of income and expenditure for the year ended 31 August 2023. (8 marks) (c) Statement of financial position as at 31 August 2023. (8 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Bar statement of profit or loss

```
Bar sales: banked 28,600 + closing bar debtors 650                          29,250
Cost of sales: opening inventory 4,850 + bar purchases
  (paid 23,500 + closing creditors 1,600 − opening creditors 350 = 24,750)
  − closing inventory 4,350                                                (25,250)
Gross profit                                                                 4,000
Less: bar wages (included in general club house expenses)                   (4,200)
Bar loss                                                                       (200)
```

Workings

- **Subscriptions account:** Cr — advance b/f 400 + bank 26,000 = 26,400. Dr — arrears b/f 600 + income and expenditure account (balancing figure) 25,200 + advance c/d 900; with arrears c/d 300 on the Cr side the account balances at 26,700. Subscription income = **25,200**.
- **Life membership fund:** 5,000 − 1,000 (deceased member's fee transferred to accumulated fund) + 2,000 (two new members × 1,000) = **6,000**.
- **Building fund:** 19,400 + 800 (deposit paid in) + 800 (dividends paid into the society account) + 840 (interest credited) = **21,840**, represented by ordinary shares 7,400 + Jamii deposit (12,000 + 800 + 800 + 840) 14,440.
- **General club house expenses charged:** 12,150 − bar wages 4,200 − prepaid insurance (480 × 3/12 to 30 Nov 2023 = 120) = **7,830**.
- **Accumulated fund at 1 September 2022 (balancing figure):** opening assets 129,300 (80,000 + 20,000 + 19,400 + 600 + 4,850 + 3,400 + 100 + 950) − building fund 19,400 − life fund 5,000 − advance 400 − bar creditors 350 = **104,150**.
- **Closing bank:** 950 + receipts 58,400 − payments 57,088 = **2,262**.

(b) Statement of income and expenditure for the year ended 31 August 2023

```
Income:
  Subscriptions                                                  25,200
  Tournament fees                                                 1,000
                                                                 26,200
Expenditure:
  Maintenance of golf course                                     17,150
  General club house expenses                                     7,830
  Utilities                                                       1,528
  Repainting of club house                                        1,260
  Bar loss                                                          200
```

	27,968
Deficit of expenditure over income	(1,768)

(c) Statement of financial position as at 31 August 2023

Golf course at cost	80,000
Club house at cost	20,000
Club house equipment (3,400 + 700)	4,100
Investments – building fund (shares 7,400; Jamii deposit 14,440)	21,840
Bar inventory	4,350
Subscriptions in arrears	300
Bar debtors	650
Prepaid insurance	120
Cash in hand	100
Cash at bank	2,262
Total assets	133,722
Accumulated fund (104,150 + 1,000 transfer − 1,768 deficit)	103,382
Life membership fund	6,000
Building fund	21,840
Subscriptions received in advance	900
Creditors for bar supplies	1,600
Total funds and liabilities	133,722

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Bar sales 29,250 (banked + closing bar debtors 650) and bar purchases 24,750 (creditors adjusted) **(1)**
- (a) Bar cost of sales 25,250 and gross profit 4,000 **(1)**
- (a) Bar wages 4,200 charged → bar loss 200 **(2)**
- (b) Subscription income 25,200 correctly derived via subscriptions account (arrears b/f 600, advance b/f 400, arrears c/d 300, advance c/d 900) **(2)**
- (b) General club house expenses charge 7,830 (bar wages removed; prepaid insurance 120 = 3/12 × 480) **(2)**
- (b) Other expenditure complete (maintenance 17,150; utilities 1,528; repainting 1,260; bar loss 200) and tournament fees 1,000 as income **(2)**
- (b) Deficit of Sh.1,768,000 **(2)**
- (c) Accumulated fund: opening balancing figure 104,150; +1,000 deceased member transfer; closing 103,382 **(2)**
- (c) Life membership fund 6,000 and building fund 21,840 matched by investments 21,840 (shares 7,400 + Jamii deposit 14,440 incl. interest 840 and dividends 800) **(3)**
- (c) Closing bank 2,262 derived from receipts/payments analysis; SOFP balances at Sh.133,722,000 **(3)**

KASNEB-2021-12-PILOT-Q4 · December 2021 Pilot Paper · 20 marks KASNEB authored

Correction of a club's draft accounts; welfare fund (Wageni Olympic Sports Club)

Wageni Olympic Sports Club is an amateur baseball club which has been in existence for several years. The following draft accounts have been prepared by the treasurer of the club. The treasurer had little accounting knowledge and some figures appearing in the draft accounts were incorrect.

Income and expenditure account (extract) for the year ended 31 December 2020 (Sh."000"): Sundry income 96,508 Cr. Expenditure: Use of premises 19,248; Printing, postage and stationery 3,132; Overdue members subscriptions written off 480; Members welfare 2,080; Bar purchases 30,880; Wages 8,320; Reference books

purchased 9,324; Total expenditure (73,464). Surplus for the year 23,044.

Statement of financial position (extract) as at 31 December 2020 (Sh."000"): Assets: Minibus (cost: 1 January 2018) 24,000; Library and furniture 5,520; Members subscriptions due 21,600; Cash in hand 480; Bank: Fixed deposit account 6,000; Current account 11,240; 10% Treasury bond (Sh.10 million nominal value) 40,000; Total 108,840; Less: Owing for bar purchases 7,468; Club funds as at 31 December 2020 101,372.

Additional information: 1. The club's policy on outstanding subscriptions was to write off amounts outstanding for a period exceeding five years. As at 1 January 2020, subscriptions outstanding from members were Sh. 12,480,000. 2. The club's premises were purchased on 1 October 2020 for Sh.16 million. This amount was posted to the use of premises account in the draft accounts. 3. The Treasury bond was purchased for Sh.37.2 million on 1 January 2016 by utilising donations earmarked for a member's welfare fund. Up to 31 December 2019, the income received from this investment had been distributed to members. The income for the year ended 31 December 2020 was included under sundry income as resolved at the annual general meeting held on 10 April 2020. 4. The club runs a bar for the benefit of members. This bar sells stock at a mark-up of 30%. The income from bar sales amounting to Sh.39,708,000 was included under sundry income. There was no opening inventory as at 1 January 2020 and the club owed suppliers Sh.6,500,000 as at 1 January 2020. Bar closing inventory as at 31 December 2020 was not ascertained. 5. The balance of the fixed deposit account as at 1 January 2020 amounted to Sh.6,000,000. No account was taken of interest amounting to Sh.400,000 which had been credited to the fixed deposit during the year. 6. As at 1 January 2020, cash in hand was Sh.400,000 and the bank current account was overdrawn by Sh.3,572,000. 7. The reference e-books purchased during the year are to be capitalised as part of the library. Library and furniture are to be revalued to Sh.20,000,000. 8. Depreciation is to be provided based on the cost of the assets as follows: Club premises 2% per annum; Minibus 20% per annum.

Required: (a) Income and expenditure account for the year ended 31 December 2020. (10 marks) (b) Statement of financial position as at 31 December 2020. (10 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings: - Sundry income 96,508 splits into: bar sales 39,708; Treasury bond interest (10% × 10,000 nominal) 1,000; subscriptions received = 96,508 − 39,708 − 1,000 = **55,800**. Subscription income = 55,800 + closing arrears 21,600 − opening arrears 12,480 + written off 480 = **65,400**. - Bar account: cost of sales = 39,708 × 100/130 = 30,545; closing inventory = purchases 30,880 − 30,545 = **335**; bar gross profit = 39,708 − 30,545 = **9,163**. - Premises: the Sh.16,000,000 purchase is capitalised out of "use of premises", leaving an expense of 19,248 − 16,000 = 3,248; depreciation = 2% × 16,000 × 3/12 = 80. - Minibus: no depreciation had ever been provided in the draft accounts (the asset is shown at cost). The accumulated depreciation for 2018–2020 (20% × 24,000 × 3 years = **14,400**) is provided in the corrected income and expenditure account, bringing the minibus to its carrying amount of 9,600. - Fixed deposit: 6,000 + interest credited 400 = closing 6,400. - Reference books 9,324 are capitalised into the library: library and furniture 5,520 + 9,324 = 14,844, revalued to 20,000 → revaluation surplus **5,156**. - Treasury bond is carried at its cost of 37,200, not the draft's 40,000. The bond was bought with welfare-fund donations, so the opening members' welfare fund equals 37,200; welfare payments of 2,080 are charged to that fund, not to the income and expenditure account. - Opening accumulated fund (statement of affairs at 1 January 2020): assets — minibus NBV (24,000 − 9,600) 14,400; library and furniture 5,520; subscriptions due 12,480; cash in hand 400; fixed deposit 6,000; Treasury bond 37,200 = 76,000; less bar creditors 6,500 and bank overdraft 3,572 → net assets 65,928; less welfare fund 37,200 → **accumulated fund 28,728**.

(a) Income and expenditure account for the year ended 31 December 2020

```
Income:
  Subscriptions                                  65,400
  Bar gross profit                                9,163
  Treasury bond interest                          1,000
  Interest on fixed deposit                         400     75,963
Expenditure:
  Use of premises (19,248 − 16,000 capitalised)   3,248
  Printing, postage and stationery                3,132
  Subscriptions written off                         480
  Wages                                           8,320
  Depreciation: Club premises                        80
                Minibus (accumulated 2018–2020)  14,400    (29,660)
Surplus for the year                               46,303
```

(b) Statement of financial position as at 31 December 2020

```
Assets:
  Club premises (16,000 − 80)                     15,920
  Minibus (24,000 − 14,400)                        9,600
  Library and furniture (revalued)                20,000
  10% Treasury bond (at cost)                     37,200
  Fixed deposit account                            6,400
  Members subscriptions due                       21,600
  Bar inventory                                      335
  Cash in hand                                       480
  Bank current account                            11,240    122,775
Funds and liabilities:
  Accumulated fund: Opening 28,728 + surplus 46,303
    + revaluation surplus 5,156                   80,187
  Members' welfare fund: 37,200 − welfare
    payments 2,080                                35,120    115,307
  Owing for bar purchases                          7,468
Total funds and liabilities                      122,775
```

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Sundry income decomposed: subscriptions received 55,800 and subscription income 65,400 (arrears and write-off adjusted) **(2)**
- (a) Bar account completed: cost of sales 30,545 (30% mark-up), closing inventory 335, bar gross profit 9,163 **(2)**
- (a) Capitalisations: premises 16,000 removed from use of premises (expense 3,248); reference books 9,324 capitalised **(2)**
- (a) Bond interest 1,000 and fixed deposit interest 400 recognised; fixed deposit closing 6,400 **(1)**
- (a) Depreciation: premises 80 and minibus accumulated provision 14,400 **(1)**
- (a) Expenditure total 29,660 and surplus for the year 46,303 **(2)**
- (b) Opening accumulated fund 28,728 derived from a statement of affairs (net assets 65,928 less welfare fund 37,200) **(2)**
- (b) Welfare fund 37,200 reduced by welfare payments 2,080 to 35,120 (charged to the fund, not income and expenditure) **(2)**
- (b) Revaluation surplus 5,156 credited to the accumulated fund; closing accumulated fund 80,187 **(2)**

- (b) Asset values: premises 15,920, minibus 9,600, library and furniture 20,000, bond at cost 37,200, subscriptions due 21,600, inventory 335, cash and bank **(3)**
- (b) Statement balances: total funds 115,307 plus bar creditors 7,468 = 122,775 **(1)**

KASNEB-2017-11-Q2 · November 2017 · 20 marks KASNEB authored

Not-for-profit organisations: club accounts

The following trial balance was extracted from the books of Cheka Kidogo Sports Club as at 30 September 2017 (Sh."000"): Accumulated fund 3,100 Cr; Long-term loan 1,200 Cr; Restaurant payables 80 Cr; Subscription in arrears 120; Subscription in advance 60 Cr; Entrance fees 260 Cr; Club premises at cost 2,600; Games equipment at cost 800; Accumulated depreciation on games equipment 300 Cr; Furnishings at cost 300; Accumulated depreciation on furnishings 100 Cr; Canteen inventory 130; Bank 1,930; Cash 90; Receipts: Subscriptions 2,290 Cr; Canteen sales 1,660 Cr; Competition fees 1,050 Cr; Payments: Canteen purchases 800; Wages and salaries 2,100; Repairs to equipment 240; Rent and rates 600; Insurance 400; Heat and light 300; General expenses 200. Totals 8,050 / 8,050.

Additional information:
1. Games equipment bought on 1 October 2016 had cost of Sh.300,000, accumulated depreciation of Sh.90,000. This equipment was traded-in (part exchanged) for new equipment costing Sh.500,000. The trade-in allowance given was Sh.150,000. The balance of the cost of the new games equipment is yet to be paid.
2. Subscription in arrears was Sh.200,000 and subscription in advance was Sh.40,000 as at 30 September 2017.
3. Canteen inventory was valued at Sh.150,000 as at 30 September 2017. Canteen payables were Sh.110,000.
4. Wages and salaries accrued were Sh.240,000 as at 30 September 2017.
5. Rates amounting to Sh.100,000 were prepaid as at 30 September 2017.
6. Depreciation is provided as follows: Furnishings 10% p.a. on cost; Games equipment 20% p.a. on reducing balance. Full year's depreciation is charged in the year of purchase but none in the year of disposal.

Required: (a) Canteen income statement for the year ended 30 September 2017. (3 marks) (b) Income and expenditure statement for the year ended 30 September 2017. (10 marks) (c) Statement of financial position as at 30 September 2017. (7 marks) (Total: 20 marks)

SokoCPA worked solution

(a) CHEKA KIDOGO SPORTS CLUB — CANTEEN INCOME STATEMENT FOR THE YEAR ENDED 30 SEPTEMBER 2017 (Sh."000)

Canteen sales 1,660 Cost of sales: Opening inventory 130 Purchases (W1) 830 Less: Closing inventory (150) Cost of sales (810) Canteen gross profit 850

W1. Purchases for the year = payments per books 800 + closing canteen payables 110 − opening restaurant payables 80 = 830.

(b) INCOME AND EXPENDITURE STATEMENT FOR THE YEAR ENDED 30 SEPTEMBER 2017 (Sh."000)

Income: Subscriptions (W2) 2,390 Entrance fees 260 Competition fees 1,050 Canteen gross profit 850 Total income 4,550 Expenditure: Wages and salaries (2,100 + 240 accrued) 2,340 Repairs to equipment 240 Rent and rates (600 − 100 prepaid) 500 Insurance 400 Heat and light 300 General expenses 200 Depreciation: furnishings (10% × 300) 30 Depreciation: games equipment (W3) 158 Loss on disposal of games equipment (W3) 60 Total expenditure (4,228) Surplus of income over expenditure 322

W2. Subscriptions income = received 2,290 + opening subscriptions in advance 60 + closing subscriptions in arrears 200 − opening subscriptions in arrears 120 − closing subscriptions in advance 40 = 2,390. W3. Games equipment: opening NBV 800 − 300 = 500. Equipment traded in: cost 300, accumulated depreciation 90, book value 210; trade-in allowance 150 → loss on disposal 60. Depreciation at 20% on reducing balance, none on the asset disposed of and a full year on the new asset: 20% × [(500 − 210) + 500] = 20% × 790 = 158. Closing accumulated depreciation = 300 − 90 + 158 = 368; closing cost = 800 − 300 + 500 = 1,000; NBV = 632. The unpaid balance on the new equipment is 500 − 150 = 350, shown as a payable in the statement of financial position.

(c) STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2017 (Sh."000)

Non-current assets: Club premises at cost 2,600 Games equipment: cost 1,000; accumulated depreciation (368) → 632 Furnishings: cost 300; accumulated depreciation (100 + 30) (130) → 170 3,402 Current assets: Canteen inventory 150 Subscriptions in arrears 200 Prepaid rates 100 Bank 1,930 Cash 90 2,470 Total assets 5,872

Accumulated fund and liabilities: Accumulated fund: balance b/d 3,100 + surplus for the year 322 → 3,422 Long-term loan 1,200 Current liabilities: Canteen payables 110 Payable for games equipment purchased 350 Subscriptions in advance 40 Accrued wages and salaries 240 740 Total accumulated fund and liabilities 5,362 Unreconciled difference (see note) 510

Note: the trial balance as extracted in the question does not agree — the listed debit balances exceed the listed credit balances by exactly Sh.510,000 (although totals of 8,050/8,050 are printed) — and the statement of financial position difference above is the same Sh.510,000. It is disclosed rather than concealed; every balance that can be derived from the data has been included.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Canteen purchases adjusted for payables (800 + 110 − 80 = 830), cost of sales 810 and canteen gross profit Sh.850,000 **(3)**
- (b) Subscriptions income correctly computed at 2,390 (2,290 + 60 + 200 − 120 − 40) using both arrears and advance balances **(2)**
- (b) Other income complete: entrance fees 260, competition fees 1,050, canteen gross profit 850; total income 4,550 **(2)**
- (b) Expenses adjusted: wages 2,340 (accrual 240), rent and rates 500 (prepaid rates 100), insurance 400, heat and light 300, repairs 240, general expenses 200 **(3)**
- (b) Depreciation: furnishings 30 (10% on cost); games equipment 158 (20% reducing balance on 790, full year on the new asset, none on the disposal); loss on disposal of games equipment 60; surplus Sh.322,000 **(3)**
- (c) Non-current assets: premises 2,600; games equipment NBV 632 (cost 1,000, accumulated depreciation 368); furnishings NBV 170 **(3)**
- (c) Current assets (inventory 150, arrears 200, prepaid rates 100, bank 1,930, cash 90) and liabilities (loan 1,200; canteen payables 110; equipment payable 350; subscriptions in advance 40; accrued wages 240); accumulated fund rolled forward to 3,422, with the Sh.510,000 trial balance difference disclosed **(4)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M10-Q032 – CA11-M10-Q041. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account
- Lesson 2: The Income and Expenditure Account
- Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation

It brought together **11 KASNEB past-paper worked examples** and **30 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 10 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

The receipts and payments account: preparation, characteristics and limitations

The cash book of Mavuno Sports Club for the year ended 31 December 2026 shows the following receipts and payments:

Receipts	Sh.	Payments	Sh.
Balance b/d — cash in hand	22,000	Salaries	420,000
Balance b/d — bank	178,000	Electricity and water	68,000
Subscriptions	840,000	Insurance	36,000
Entrance fees	96,000	Stationery	24,000
Donations (general)	60,000	Sports materials	46,000
Donation for children's holiday camp fund	400,000	Repairs and maintenance	38,000
Life membership fees	150,000	Honorarium	24,000
Hall hire	84,000	Purchase of sports equipment	210,000
Sale of old newspapers	9,000	Children's holiday camp expenses	265,000
Sale of old sports equipment	38,000	Tournament expenses	95,000
Tournament fund — gate receipts	120,000		

Required: (a) A receipts and payments account for the year ended 31 December 2026. (12 marks) (b) State FOUR characteristics of a receipts and payments account. (4 marks) (c) Explain TWO reasons why a receipts and payments account cannot disclose the true surplus or deficit of the club. (4 marks)

Model answer (SokoCPA)

(a) Mavuno Sports Club — Receipts and Payments Account for the year ended 31 December 2026

```
Dr                                                          Cr
Receipts                                              Sh.
Payments                                  Sh.
Balance b/d (1 Jan 2026):
  Cash in hand                                        22,000
Salaries                                  420,000
  Bank                                               178,000
Electricity and water                      68,000
Subscriptions                                        840,000
Insurance                                  36,000
Entrance fees                                         96,000
Stationery                                 24,000
Donations (general)                                   60,000       Sports
materials                                 46,000
```

Donation — children's holiday camp fund			400,000	Repairs and maintenance
	38,000			
Life membership fees			150,000	
Honorarium		24,000		
Hall hire			84,000	Purchase of sports equipment
	210,000			
Sale of old newspapers			9,000	Children's holiday camp expenses
	265,000			
Sale of old sports equipment			38,000	Tournament expenses
	95,000			
Tournament fund — gate receipts			120,000	Balance c/d (31 Dec 2026):
				Cash in hand and at bank
	771,000			
1,997,000			1,997,000	
Balance b/d (1 Jan 2027)			771,000	

Check: total receipts = **Sh.1,997,000**; total payments before balance = **Sh.1,226,000**; balance c/d = 1,997,000 − 1,226,000 = **Sh.771,000** ✓. Note that capital receipts (the camp fund donation, life membership fees, sale of equipment) and capital payments (equipment purchased, camp and tournament expenses) are all included — the account records **all** cash.

(b) Characteristics of a receipts and payments account (any four)

1. It is an abridged **summary of the cash book** (cash and bank) for the period.
2. All cash receipts are recorded on the debit (left) side and all cash payments on the credit (right) side, in classified form.
3. It records receipts and payments of **both capital and revenue nature**.
4. It records **cash transactions only** — no accruals, prepayments, depreciation or outstanding items.
5. It is **not an account within the double-entry system** — it is a statement only.
6. It opens with the opening cash and bank balances and its closing balance shows cash in hand and at bank at the year end; it generally shows a debit balance.

(c) Why it cannot disclose the true surplus or deficit (any two)

1. **It ignores the period to which items relate.** It includes cash received or paid for past and future years (e.g. subscriptions in arrears and in advance) and excludes amounts earned or incurred but not yet settled in cash, so it does not apply the matching principle.
2. **It mixes capital and revenue items.** Capital receipts such as life membership fees and the camp fund donation, and capital payments such as the purchase of equipment, are recorded alongside revenue items, so the balance is merely a cash balance — not a measure of performance.
3. **It ignores non-cash items.** Depreciation and accruals never appear, so expenses are understated relative to the true cost of the club's activities for the year.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Receipts side: opening balances (cash 22,000 and bank 178,000) shown and all receipts entered, correctly classified **(4)**

- Payments side: all payments entered, correctly classified, including capital payments and fund payments **(4)**
- Balance c/d Sh.771,000 computed and both sides agreeing at Sh.1,997,000 **(4)**
- Four characteristics of a receipts and payments account correctly stated **(4)**
- Two reasons it cannot show the true surplus/deficit, explained (period ignored/matching not applied; capital and revenue items mixed; non-cash items ignored) **(4)**

Question 2 (20 marks)

The subscription account and the income and expenditure account

The following information relates to Mavuno Sports Club for the year ended 31 December 2026:

1. Subscriptions received in cash during the year amounted to Sh.840,000. Of this amount, Sh.48,000 related to the year 2025 and Sh.66,000 related to the year 2027. Subscriptions in arrears at 31 December 2026 were Sh.54,000, and subscriptions in advance at 1 January 2026 were Sh.30,000.
2. Hall hire received was Sh.84,000; general donations Sh.60,000; sale of old newspapers Sh.9,000.
3. Entrance fees of Sh.96,000 and life membership fees of Sh.150,000 were received during the year. Both are to be capitalised.
4. Salaries paid were Sh.420,000. Salaries outstanding were Sh.25,000 at 1 January 2026 and Sh.32,000 at 31 December 2026.
5. Electricity and water paid was Sh.68,000, with Sh.9,000 outstanding at 31 December 2026. Insurance paid was Sh. 36,000, of which Sh.6,000 was prepaid at 31 December 2026.
6. Stationery: opening stock Sh.6,000; purchases Sh.24,000; closing stock Sh.7,500. Sports materials: opening stock Sh.14,000; purchases Sh.46,000; closing stock Sh.11,000.
7. Repairs and maintenance Sh.38,000; honorarium Sh.24,000.
8. Old sports equipment was sold for Sh.38,000. It had cost Sh.70,000 and had accumulated depreciation of Sh. 28,000.
9. Depreciation for the year: buildings Sh.48,000; sports equipment Sh.55,000.
10. Receipts and payments relating to the children's holiday camp fund and the tournament fund are dealt with within those funds and do not pass through the income and expenditure account.

Required:
(a) The subscription account for the year ended 31 December 2026. (5 marks)
(b) The income and expenditure account for the year ended 31 December 2026. (15 marks)

Model answer (SokoCPA)

(a) Subscription account

Subscription Account

	Sh.		Sh.
Balance b/d (arrears, 1 Jan)	48,000	Balance b/d (advance, 1 Jan)	30,000
Income and expenditure	810,000	Cash (received)	840,000
Balance c/d (advance, 31 Dec)	66,000	Balance c/d (arrears, 31 Dec)	54,000
	924,000		924,000

Balance b/d (1 Jan 2027): arrears 54,000 (Dr); advance 66,000 (Cr)

Subscriptions for 2026 = 840,000 − 48,000 (2025) − 66,000 (2027 advance) + 30,000 (advance b/d now earned) + 54,000 (2026 arrears) = **Sh.810,000** ✓.

(b) Income and expenditure account for the year ended 31 December 2026

	Sh.	Sh.
Income		
Subscriptions (per subscription account)		810,000
Hall hire		84,000
Donations (general)		60,000
Sale of old newspapers		9,000
		963,000
Expenditure		
Salaries (420,000 − 25,000 + 32,000)	427,000	
Electricity and water (68,000 + 9,000)	77,000	
Insurance (36,000 − 6,000 prepaid)	30,000	
Stationery used (6,000 + 24,000 − 7,500)	22,500	
Sports materials used (14,000 + 46,000 − 11,000)	49,000	
Repairs and maintenance	38,000	
Honorarium	24,000	
Depreciation — buildings	48,000	
Depreciation — sports equipment	55,000	
Loss on sale of equipment (70,000 − 28,000 − 38,000)	4,000	
Total expenditure		(774,500)
Surplus for the year		188,500

Verification: income 810,000 + 84,000 + 60,000 + 9,000 = **963,000** ✓. Expenditure: 427,000 + 77,000 + 30,000 + 22,500 + 49,000 + 38,000 + 24,000 + 48,000 + 55,000 + 4,000 = **774,500** ✓. Surplus = 963,000 − 774,500 = **Sh. 188,500** ✓, transferred to the capital fund.

Note the capital items correctly **excluded**: entrance fees and life membership fees (capitalised), the purchase of equipment, the Sh.38,000 sale proceeds (only the Sh.4,000 loss is charged) and all camp fund and tournament fund flows.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Subscription account: opening arrears (Dr) Sh.48,000 and opening advance (Cr) Sh.30,000 correctly placed **(2)**
- Subscription account: cash Sh.840,000, closing arrears Sh.54,000 and closing advance Sh.66,000 correctly placed and the account balances **(1)**
- Subscription income for the year derived as Sh.810,000 **(2)**
- Income side: donations 60,000, hall hire 84,000 and sale of newspapers 9,000 correctly included (with subscriptions per the working) **(3)**
- Salaries charge Sh.427,000 (paid adjusted for opening and closing outstanding amounts) **(2)**
- Electricity and water Sh.77,000 (accrual added) and insurance Sh.30,000 (prepayment deducted) **(2)**
- Stationery used Sh.22,500 and sports materials used Sh.49,000 (opening stock + purchases − closing stock) **(2)**
- Repairs 38,000 and honorarium 24,000 charged as paid **(1)**
- Depreciation charged: buildings 48,000 and equipment 55,000 (Sh.103,000 in total) **(2)**
- Loss on sale of equipment Sh.4,000 (cost 70,000 − accumulated depreciation 28,000 − proceeds 38,000); proceeds themselves excluded as a capital item **(2)**

• Surplus for the year correctly computed at Sh.188,500 and identified as transferred to the capital fund **(1)**

Question 3 (20 marks)

Opening capital fund by statement of affairs and the NPO statement of financial position

The following balances relate to Mavuno Sports Club:

At 1 January 2026: buildings at cost Sh.2,400,000; sports equipment at cost Sh.480,000 with accumulated depreciation of Sh.120,000; stationery stock Sh.6,000; sports materials stock Sh.14,000; subscriptions in arrears Sh. 48,000; cash in hand and at bank Sh.200,000; subscriptions in advance Sh.30,000; salaries outstanding Sh.25,000; tournament fund Sh.45,000.

At 31 December 2026: cash in hand and at bank Sh.771,000 (per the receipts and payments account); subscriptions in arrears Sh.54,000; prepaid insurance Sh.6,000; stationery stock Sh.7,500; sports materials stock Sh. 11,000; salaries outstanding Sh.32,000; electricity outstanding Sh.9,000; subscriptions in advance Sh.66,000.

Movements during the year: sports equipment costing Sh.210,000 was purchased; equipment costing Sh.70,000 with accumulated depreciation of Sh.28,000 was sold; depreciation for the year was Sh.48,000 on buildings and Sh. 55,000 on equipment; a donation of Sh.400,000 was received for the children's holiday camp fund, of which Sh. 265,000 was spent during the year; the tournament fund received Sh.120,000 and incurred expenses of Sh.95,000; entrance fees of Sh.96,000 and life membership fees of Sh.150,000 were capitalised; the surplus for the year was Sh. 188,500.

Required:
(a) A statement of affairs as at 1 January 2026, showing the opening capital fund. (6 marks)
(b) A statement of financial position as at 31 December 2026. (14 marks)

Model answer (SokoCPA)

(a) Statement of affairs as at 1 January 2026

Assets	Sh.
Buildings at cost	2,400,000
Sports equipment at cost 480,000 less accumulated depreciation (120,000)	360,000
Stationery stock	6,000
Sports materials stock	14,000
Subscriptions in arrears	48,000
Cash in hand and at bank	200,000
Total assets	**3,028,000**
Less liabilities: subscriptions in advance 30,000; salaries outstanding 25,000; tournament fund 45,000	(100,000)
Capital fund (accumulated fund) at 1 January 2026 (balancing figure)	**2,928,000**

(b) Statement of financial position as at 31 December 2026

	Cost Sh.	Acc. dep'n Sh.	NBV Sh.
Non-current assets			

	Cost Sh.	Acc. dep'n Sh.	NBV Sh.
Buildings	2,400,000	48,000	2,352,000
Sports equipment (W1)	620,000	147,000	473,000
			2,825,000
Current assets			Sh.
Stationery stock			7,500
Sports materials stock			11,000
Subscriptions in arrears			54,000
Prepaid insurance			6,000
Cash in hand and at bank			771,000
			849,500
Total assets			**3,674,500**
Financed by:			
Capital fund at 1 January 2026			2,928,000
Add: entrance fees capitalised			96,000
Add: life membership fees			150,000
Add: surplus for the year			188,500
			3,362,500
Children's holiday camp fund (400,000 − 265,000)			135,000
Tournament fund (45,000 + 120,000 − 95,000)			70,000
Current liabilities			
Salaries outstanding			32,000
Electricity outstanding			9,000
Subscriptions in advance			66,000
			107,000
Total capital fund, funds and liabilities			**3,674,500**

W1 — Equipment: cost: 480,000 + additions 210,000 − disposal 70,000 = **620,000**. Accumulated depreciation: 120,000 − 28,000 (on disposal) + 55,000 (year's charge) = **147,000**. NBV = 620,000 − 147,000 = **473,000** ✓.

Verification: total assets 2,825,000 + 849,500 = **3,674,500**; financing 3,362,500 + 135,000 + 70,000 + 107,000 = **3,674,500** ✓ — the statement balances, and the cash figure agrees with the receipts and payments account.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Opening statement of affairs: all assets listed, equipment shown net (360,000), and totalled at Sh.3,028,000 **(3)**
- Opening liabilities (subscriptions in advance, salaries outstanding, tournament fund) Sh.100,000 and opening capital fund derived as Sh.2,928,000 **(3)**

- Buildings shown at NBV Sh.2,352,000 (cost 2,400,000 less depreciation 48,000) **(2)**
- Equipment: closing cost Sh.620,000 and accumulated depreciation Sh.147,000 (disposal removed from both), NBV Sh.473,000 **(3)**
- Current assets complete: stocks 18,500, subscriptions in arrears 54,000, prepaid insurance 6,000 and cash Sh.771,000 agreeing with the receipts and payments account **(3)**
- Capital fund built up correctly: opening 2,928,000 + entrance fees 96,000 + life membership 150,000 + surplus 188,500 = Sh.3,362,500 **(3)**
- Special funds correctly stated: children's holiday camp fund Sh.135,000 and tournament fund Sh.70,000, adjusted within the funds (not through income and expenditure) **(2)**
- Current liabilities Sh.107,000 complete and the statement balances at Sh.3,674,500 on both sides **(1)**

Question 4 (20 marks)

Bar trading account and the treatment of special receipts

Zawadi Social Club runs a bar for its members. For the year ended 31 December 2026, the following information is available: bar sales Sh.486,000; bar purchases paid Sh.268,000; bar creditors were Sh.24,000 at 1 January 2026 and Sh.31,000 at 31 December 2026; bar stock was Sh.36,000 at 1 January 2026 and Sh.42,000 at 31 December 2026; bar staff wages Sh.78,000.

Required:
(a) A bar trading account for the year ended 31 December 2026. (10 marks)

During the same year, the club also received: (i) a legacy of Sh.500,000 under the will of a deceased member; (ii) entrance fees of Sh.85,000 — the club's constitution requires entrance fees to be capitalised; (iii) a government grant of Sh.300,000 towards the purchase of gym equipment; and (iv) a government grant of Sh.45,000 towards coaching expenses.

(b) For EACH of items (i) to (iv) above, state how it should be treated in the club's final accounts, giving a reason in each case. (10 marks)

Model answer (SokoCPA)

(a) Bar trading account for the year ended 31 December 2026

	Sh.	Sh.
Sales		486,000
Opening bar stock	36,000	
Add: Purchases (W1)	275,000	
	311,000	
Less: Closing bar stock	(42,000)	
Cost of sales		
(269,000)		
Gross profit		
217,000		
Less: Bar staff wages		
(78,000)		
Bar trading profit (transferred to income and expenditure)		
139,000		

W1 — Bar purchases: purchases = cash paid + closing creditors − opening creditors = 268,000 + 31,000 − 24,000 = **Sh.275,000** (the club bought on credit as well as for cash, so the amount paid is not the amount purchased).

Check: 486,000 − 269,000 − 78,000 = **Sh.139,000** ✓. Only this net bar profit is credited to the income and expenditure account — the bar's sales, purchases and wages are **not** shown there line by line.

(b) Treatment of the special receipts

(i) Legacy Sh.500,000 — capital receipt. A legacy is a non-recurring amount received under the will of a deceased person. It is **capitalised**: credited to the capital fund (shown on the liability side of the statement of financial position) and **not** taken to the income and expenditure account.

(ii) Entrance fees Sh.85,000 — capitalised. Entrance fees are paid once only when a member joins. Accountants differ on the treatment, but this club's constitution requires capitalisation, so the fees are **added to the capital fund** and excluded from the income and expenditure account.

(iii) Government grant for gym equipment Sh.300,000 — capital receipt. The grant is for a **specific purpose** (purchase of equipment), so it is **capitalised**: shown on the liability side of the statement of financial position as a fund (or deducted from/added against the asset as the equipment is acquired), and **not** treated as income of the year.

(iv) Government grant for coaching expenses Sh.45,000 — revenue receipt. This grant supports **routine, day-to-day expenses**, so it is treated as **income** and credited to the income and expenditure account for the year.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Bar purchases correctly computed at Sh.275,000 by adjusting cash paid for the movement in bar creditors **(3)**
- Bar cost of sales Sh.269,000 (opening stock + purchases − closing stock) **(3)**
- Bar staff wages charged in arriving at the bar profit **(1)**
- Bar trading profit Sh.139,000 computed and identified as transferred to the income and expenditure account **(3)**
- Legacy: capitalised to the capital fund / liability side, with reason (non-recurring receipt under a will) **(3)**
- Entrance fees: capitalised to the capital fund, with reason (one-off payment on joining; required by the club's constitution) **(2)**
- Grant for gym equipment: capitalised (specific-purpose grant shown as a fund on the liability side), with reason **(3)**
- Grant for coaching expenses: treated as income in the income and expenditure account, with reason (grant towards routine revenue expenses) **(2)**

Question 5 (20 marks)

NPOs versus profit-making organisations; treatment of special receipts and funds

Required:

(a) Distinguish between a not-for-profit organisation and a profit-making organisation on FIVE bases of comparison. (10 marks)

(b) Explain the accounting treatment of each of the following in the final accounts of a sports club:

(i) Life membership fees. (2 marks)

(ii) Income received and expenses incurred in respect of a tournament fund. (3 marks)

(iii) The sale of old furniture — distinguishing the treatment of the proceeds from that of the profit or loss on sale. (3 marks)

(iv) An endowment fund. (2 marks)

Model answer (SokoCPA)

(a) Not-for-profit vs profit-making organisations

Basis	Profit-making organisation	Not-for-profit organisation
Meaning/motive	Operates to earn profit for its owners	Operates to **serve society** — promoting sport, culture, education, health or welfare; no profit motive
Form	Sole proprietorship, partnership or company	Club, trust, society, public hospital, professional association
Management	Proprietor, partners or directors	Trustees, committees or governing bodies
Source of revenue	Sale of goods and services	Donations, subscriptions, membership fees, grants
Financial statements	Income statement, statement of financial position and cash flow statement	Receipts and payments account, income and expenditure account and statement of financial position
Excess of income over expenditure	Profit, transferred to the owners' capital account and available for distribution	**Surplus**, transferred to the **capital fund** and reinvested in the organisation's objectives — never distributed

(Any five bases.) Note that an NPO may still earn surpluses from activities such as a bar or hall hire; the difference lies in what happens to the surplus — it is retained for the organisation's purposes, not shared out to owners. NPOs prepare financial statements to show whether current incomes are sufficient to meet current expenses and to disclose their financial position.

(b) Treatment of special items

(i) Life membership fees are a **capital receipt**. They are a single lump sum paid in place of annual subscriptions, while the club must serve the member for life without further payment. They are therefore **capitalised** — added to the capital fund (liability side of the statement of financial position) — and not credited to the income and expenditure account.

(ii) Tournament fund. A special purpose fund is kept **outside** the income and expenditure account. Income of the fund (e.g. gate receipts, donations for the tournament) is **added to the fund** and tournament expenses are **deducted from the fund**, both on the liability side of the statement of financial position; only the net fund balance is carried forward.

(iii) Sale of old furniture. The **proceeds** are a **capital receipt**: they appear in the receipts and payments account and are credited to the furniture (asset) account — they are **not** income. However, the **profit or loss on the sale** (proceeds compared with net book value) is a **revenue** item: a profit is credited, and a loss debited, to the income and expenditure account.

(iv) Endowment fund. An endowment fund is a fund created to provide a **permanent** means of support for the organisation. It is always a **capital receipt**, shown on the liability side of the statement of financial position; it is never treated as income of the year.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Five valid bases of distinction correctly drawn (motive; form; management; source of revenue; financial statements prepared; treatment of profit vs surplus) **(10)**
- Life membership fees: capital receipt, capitalised to the capital fund, with the reason (lump sum for lifetime service) **(2)**

- Tournament fund: income added to and expenses deducted from the fund on the liability side; bypasses the income and expenditure account **(3)**
- Sale of old furniture: proceeds treated as a capital receipt credited to the asset account, while profit/loss on sale is a revenue item in the income and expenditure account **(3)**
- Endowment fund: always a capital receipt (permanent support), shown on the liability side **(2)**

MODULE 11 OF 12

Analysing Financial Statements

Lesson 1: The Statement of Cash Flows (IAS 7) · Lesson 2: Profitability and Liquidity Ratios · Lesson 3: Efficiency and Investor Ratios · Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations

MODULE 11 · ANALYSING FINANCIAL STATEMENTS — LESSON 1

Lesson 1: The Statement of Cash Flows (IAS 7)

Learning objectives

By the end of this lesson you should be able to:

1. Define a statement of cash flows and classify cash flows into operating, investing and financing activities per IAS 7.
2. Prepare a statement of cash flows using the **indirect method** from two statements of financial position and an income statement.
3. Apply the **direct method** workings (cash from customers, cash paid to suppliers/employees, tax and interest paid).
4. Treat correctly: profit/loss on disposal of non-current assets, dividends paid vs proposed, tax paid, interest paid, and non-cash transactions.
5. Explain the importance and limitations of the cash flow statement, including why it guards against creative accounting.

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1. Definition and the three categories (IAS 7)

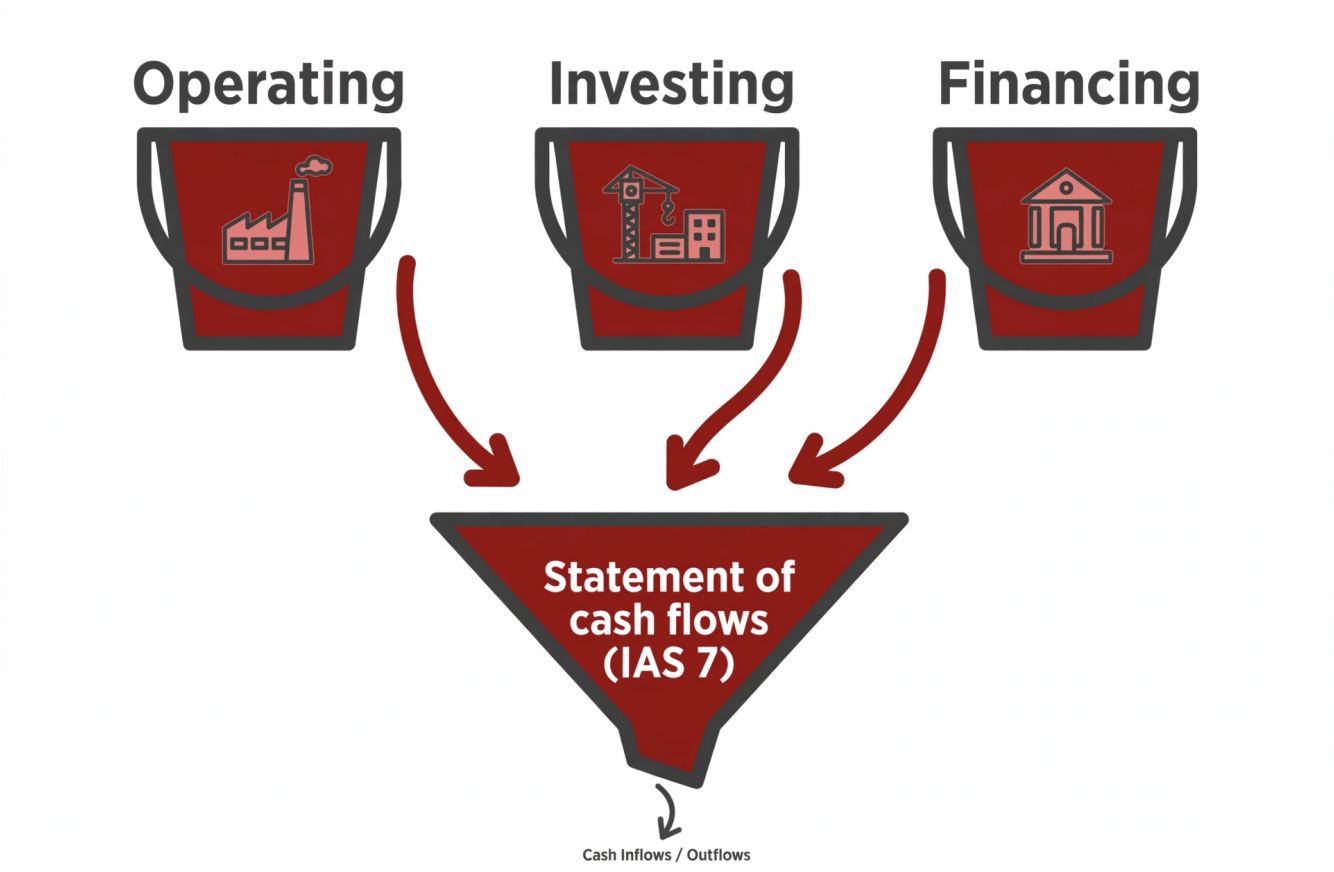
> "A statement of changes in the financial position of a firm on **cash basis** is called a cash flow statement."

It describes the **inflows (sources)** and **outflows (uses)** of cash and summarises the causes of changes in the cash position between two statements of financial position.

Cash flows from operating activities — the basic revenue-producing activities of the enterprise. They indicate the firm's ability to generate enough cash to meet operating needs, pay dividends and repay loans **without depending on external finance**. Examples: cash receipts from sale of goods and services; royalties, fees, commissions received; cash paid to suppliers; cash paid to and on behalf of employees; insurance premiums/claims; income tax payments relating to operations; receipts/payments on dealing/trading contracts.

Cash flows from investing activities — the **acquisition and disposal of long-term assets and investments**. Separate disclosure matters because it shows the extent of expenditure on resources that will generate **future** income. Examples: payments to acquire fixed assets (including intangibles); receipts from disposal of fixed assets; receipts from disposal of shares, warrants, debt instruments; loans made to third parties and repayments received.

Cash flows from financing activities — activities that change the **size and composition of owners' capital and borrowings**. Examples: proceeds from issuing shares; proceeds from issuing debentures, loans and bonds; repayments of borrowings (redemption of debentures, bonds, preference shares); dividends paid.



2. Methods of preparation

IAS 7 permits two methods for **operating** activities (investing and financing are always shown as gross receipts/payments):

- **Direct method** — disclose major classes of **gross** cash receipts and payments (cash from customers, cash paid to suppliers, etc.). IAS 7 **encourages** this method. The information comes from the accounting records or by adjusting sales, cost of sales and other income-statement items for (i) changes in inventories and operating receivables/payables, (ii) non-cash items, (iii) items whose cash effects are investing/financing.
- **Indirect method** — start with **net profit or loss** and adjust for: (a) changes in inventories and operating receivables/payables, (b) **non-cash items** (depreciation, provisions, deferred tax), (c) items whose cash effects are investing or financing flows.

Impairment losses — the non-cash add-back students forget

You met impairment in Module 3 (IAS 36): when an asset's **carrying amount exceeds its recoverable amount**, the excess is written off as an **impairment loss in profit or loss** (Dr P&L / Cr Asset). Goodwill is **never amortised** — it is only reduced by impairment (and additions/disposals).

For the cash flow statement the rule is identical to depreciation: **an impairment loss is a non-cash charge, so under the indirect method it is added back to profit** in arriving at cash generated from operations. No cash left the business when the asset was written down — the cash left in an earlier year when the asset was bought (an investing flow of that year). The same applies to impairment of plant, intangibles and other assets, and to **write-downs and provisions** generally.

How to spot the amount: compare the asset's opening and closing carrying amounts. If goodwill (which has no amortisation) falls and there were no additions or disposals, **the whole fall is the impairment loss**.

Mini worked extract — Chui Ltd (November 2020, Sh.'000). Goodwill stood at 224,900 at 31 December 2018 and 161,200 at 31 December 2019, with no additions or disposals. Impairment loss = 224,900 − 161,200 = **63,700**. The operating section of the indirect-method statement therefore begins:

```
Cash flows from operating activities                    Sh.'000
Net income (profit after tax)                            24,700
Adjustments for non-cash items:
  Depreciation                                           55,900
  Impairment loss on goodwill                            63,700
  ... (then working-capital movements, gains/losses on disposals)
```

Omit the 63,700 add-back and the whole statement fails to reconcile — in the Chui question that single line is worth marks in the operating section **and** is the difference between a balancing and a non-balancing statement.

Exam traps: 1. **Do not** show the impairment anywhere in investing activities — nothing was bought or sold. 2. **Do not** confuse impairment with a disposal: a fall in goodwill with no disposal note is impairment; a fall in plant may be depreciation, impairment, disposal, or a mix — work it out from the additional information. 3. Movements in **other comprehensive income / revaluation reserves** (watch for an OCI line in the equity section, as in Chui Ltd) do not pass through profit or loss; trace them through the equity and asset workings rather than adding them to the operating section.

Key term (add to flashcards): - **Impairment loss (cash flow treatment)** – A non-cash write-down of an asset (IAS 36) charged to profit or loss; added back under the indirect method, exactly like depreciation.

IAS 7 rules you must quote in theory questions

- **Interest and dividends:** cash flows from interest/dividends received and paid are disclosed **separately** and classified **consistently** period to period as operating, investing or financing. Interest paid may be operating (it enters into profit determination) or financing (cost of obtaining resources); interest/dividends received may be operating or investing; dividends paid may be financing or operating.
- **Taxes on income:** disclosed separately, normally classified as **operating** unless specifically identifiable with investing/financing activities.
- **Non-cash transactions** (asset acquired via finance lease, acquisition by equity issue, debt-for-equity conversion) are **excluded** from the statement and disclosed elsewhere.
- **Components of cash and cash equivalents** must be disclosed with a reconciliation to the statement of financial position.
- Certain flows may be reported **net**: customer-related flows (bank deposits), and items with quick turnover, large amounts and short maturities (credit-card principal, purchase/sale of investments, short-term borrowings of ≤ 3 months).
- Remember the direction rules: **increase in liability = cash inflow** (notional); **decrease in liability = outflow**; **increase in asset = outflow**; **decrease in asset = inflow**.

3. Fully worked example — indirect method

Mawingu Ltd — financial information for the year ended 31 December 2025 (Sh.'000)

Statements of financial position:

	2025	2024
Non-current assets	900	760

	2025	2024
Inventory	130	100
Trade receivables	170	140
Cash and bank	50	40
Total assets	**1,250**	**1,040**
Share capital	520	420
Share premium	120	80
Retained profits	100	105
10% debentures	220	200
Trade payables	140	120
Tax payable	70	55
Proposed dividends	80	60
Total equity and liabilities	**1,250**	**1,040**

Income statement extract: profit before tax **120**; interest expense **20**; tax expense **45**; profit after tax **55**; proposed dividend **60**.

Additional information: 1. Equipment with net book value **30** was sold for **40** cash (profit on disposal **10**). 2. Depreciation charged for the year: **110**. 3. All additions to non-current assets were purchased for cash. 4. New shares were issued for cash during the year.

Workings (all Sh.'000):

W1 — Additions to non-current assets: 760 − 110 (depreciation) − 30 (NBV of disposal) + additions = 900 → **additions = 280**.

W2 — Tax paid: 55 (b/d) + 45 (expense) − 70 (c/d) = **30**.

W3 — Dividends paid: 60 (proposed b/d) + 60 (proposed for the year) − 80 (proposed c/d) = **40**.

W4 — Shares issued for cash: (520 − 420) + (120 − 80) = **140**. Debentures issued: 220 − 200 = **20**.

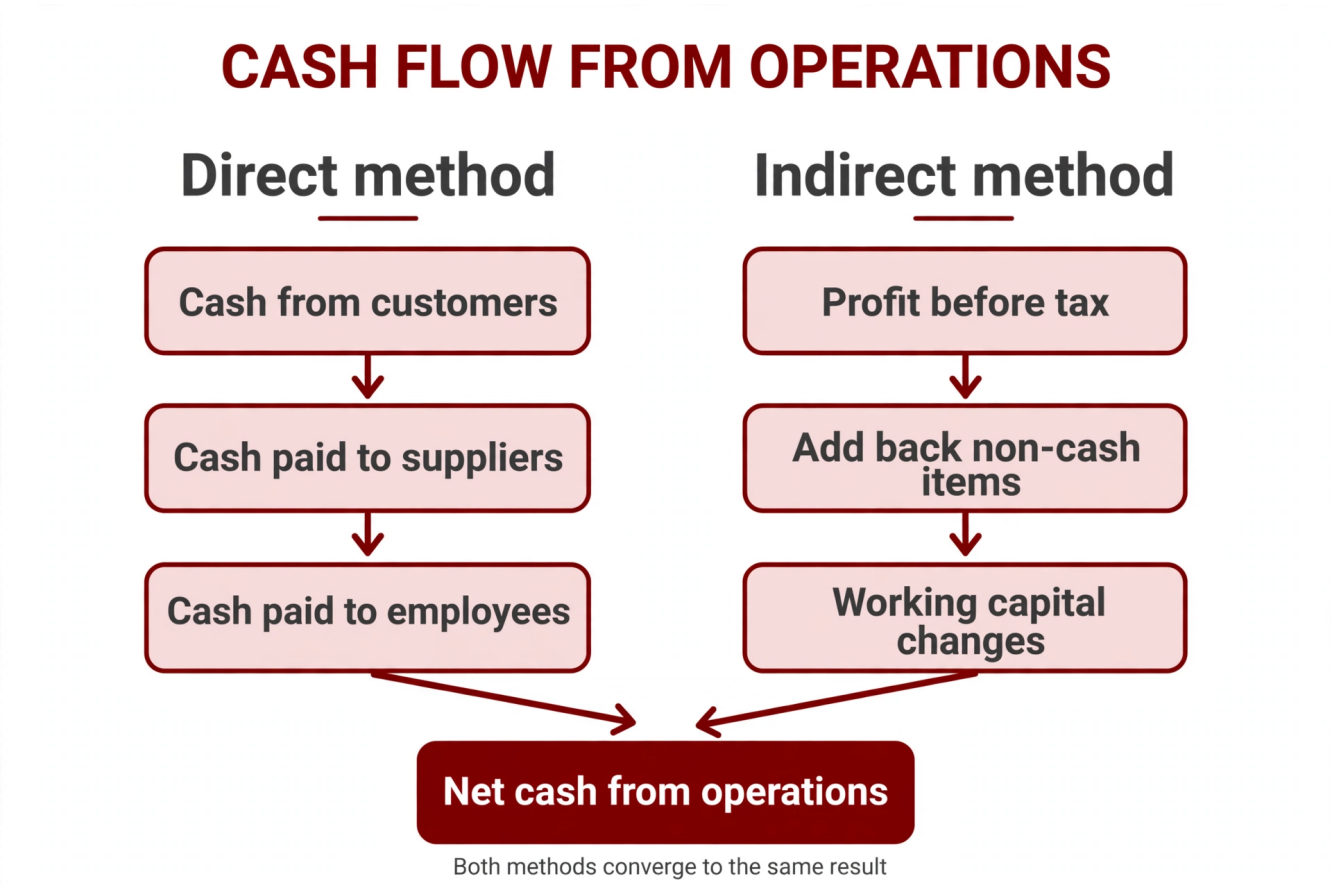
Solution — Mawingu Ltd, Statement of Cash Flows for the year ended 31 December 2025

```
                                                Sh.'000   Sh.'000
Cash flows from operating activities
Profit before tax                                            120
Adjustments for:
  Depreciation                                    110
  Profit on disposal of equipment                 (10)
  Interest expense                                 20         120
Operating profit before working capital changes                 240
Increase in inventory                             (30)
Increase in trade receivables                     (30)
Increase in trade payables                         20         (40)
Cash generated from operations                                  200
Interest paid                                     (20)
Income tax paid (W2)                              (30)        (50)
Net cash from operating activities                             150
Cash flows from investing activities
```

Purchase of non-current assets (W1)	(280)	
Proceeds from sale of equipment	40	
Net cash used in investing activities		(240)
Cash flows from financing activities		
Proceeds from issue of shares (W4)	140	
Proceeds from issue of debentures	20	
Dividends paid (W3)	(40)	
Net cash from financing activities		120
Net increase in cash and cash equivalents		30
Cash and cash equivalents at 1 Jan 2025		40
Cash and cash equivalents at 31 Dec 2025		50

Self-check: 150 − 240 + 120 = **30**; 40 + 30 = **50** ✓ — always reconcile to the cash balances.

4. The direct method — key workings



Using the same logic as the book's Gucci Ltd illustration, the direct method replaces the "profit before tax + adjustments" block with gross flows:

- **Cash receipts from customers** = sales + receivables b/d − receivables c/d (adjust also for bad debts written off).
- **Cash paid to suppliers** = cost of sales (or purchases) + payables b/d − payables c/d + inventory c/d − inventory b/d. (Purchases = cost of sales + closing inventory − opening inventory.)
- **Cash paid to employees** = wages expense + accrued wages b/d − accrued wages c/d.
- **Interest paid** = interest expense + accrued interest b/d − accrued interest c/d.
- **Tax paid** = tax expense + tax payable b/d − tax payable c/d.

Below the operating section, the **investing and financing sections are identical** under both methods.

Exam trap: under the direct method, interest paid and tax paid are still shown as **separate lines** after "cash generated from operations" — do not net them into supplier/employee payments.

5. Importance and limitations

Importance (why it matters):

1. Prepared on a cash basis, it evaluates the **cash position** of the enterprise.
2. A projected cash flow statement enables planning and co-ordination of financial operations.
3. Comparing historical vs projected cash flows reveals variances for corrective action.
4. Multi-year statements show whether short-term paying capacity is **improving or deteriorating**.
5. Helps plan **loan repayments and asset replacements**; significant for capital budgeting.
6. Explains **why cash is poor despite substantial profits** — it throws light on the applications of cash.
7. Classifies all activities into operating, investing and financing.

Limitations:

1. Based on the **cash basis**, it ignores the accruals concept.
2. **Not suitable for judging profitability** — non-cash charges are ignored.
3. A funds flow statement presents a more complete picture.
4. The term "cash" is hard to define precisely (cheques, stamps, postal orders — are they cash?).

Why it is more reliable than the income statement (classic 6-mark discussion): the cash flow statement shows explicitly how funds are sourced and used; it **guards against creative accounting** (revenues can be overstated in the income statement, e.g. by misclassifying gains on disposal as revenue, but cash cannot be fabricated); it highlights **working capital movements** that the income statement ignores — many firms fail from poor working capital management despite reporting profits; and it strips out non-cash items like depreciation that have no bearing on future cash planning.

Key terms

- **Statement of cash flows (IAS 7)** — a statement of changes in financial position on a cash basis, explaining movements between two statements of financial position.
- **Operating activities** — principal revenue-producing activities; cash effects of transactions entering profit determination.
- **Investing activities** — acquisition/disposal of long-term assets and investments.
- **Financing activities** — changes in the size/composition of equity capital and borrowings.
- **Direct method** — report gross cash receipts and payments from operations (encouraged by IAS 7).
- **Indirect method** — adjust profit/loss for non-cash items, working capital changes, and investing/financing items.
- **Cash equivalents** — short-term, highly liquid investments readily convertible to known cash amounts (maturity ≤ 3 months).
- **Non-cash transactions** — investing/financing transactions with no cash effect (finance leases, equity-for-asset acquisitions); excluded from the statement, disclosed elsewhere.

Module summary (so far)

- IAS 7 classifies every cash flow as **operating, investing or financing**; interest, dividends and tax have specific disclosure and classification rules.
- The **indirect method** starts from profit before tax and adjusts for non-cash items (add back depreciation, deduct profit on disposal, add back interest), working capital movements (the increase/decrease rules), then deducts interest and tax paid.
- The **direct method** shows gross operating receipts and payments; investing and financing sections are the same under both methods.
- The statement must always **reconcile**: net increase + opening cash = closing cash.
- Theory questions reward the creative-accounting argument: cash flows are harder to manipulate than accrual profits.

Exam day tips

1. Start every cash flow answer by computing **tax paid, dividends paid and asset additions/disposals** as labelled workings — they are the most error-prone lines.
2. **Deduct** the profit on disposal (or add back the loss) in the operating section — the full proceeds appear under investing.
3. Proposed dividends are a **liability movement**, not automatically the cash paid — use the dividends-payable T-account.
4. Never include non-cash transactions (bonus issues, assets acquired on credit/lease) — mention them in a note instead.
5. Finish with the reconciliation to the statement of financial position cash balances — it is your built-in error check and earns the final mark.

1. **Add back impairment losses** (e.g. a goodwill impairment) in the operating section of the indirect-method statement — like depreciation, they are non-cash charges; see the impairment note in §2 above.

Slide deck at a glance

The three IAS 7 categories

- Operating: principal revenue-producing activities (customers, suppliers)
- Investing: acquisition and disposal of LONG-TERM assets and investments
- Financing: changes in equity capital and borrowings
- Interest/dividends: disclosed separately, classified consistently
- Income tax: disclosed separately; normally OPERATING

Direction rules and IAS 7 must-quotes

- Increase in liability = cash inflow; decrease in liability = outflow
- Increase in asset = outflow; decrease in asset = inflow
- Non-cash transactions (finance leases, equity issues) are EXCLUDED
- Disclose cash equivalents and reconcile to the SFP cash balance
- Direct method is ENCOURAGED by IAS 7 — know why

Direct vs indirect method

- Direct: gross cash receipts and payments from operations
- Indirect: profit before tax ± non-cash items ± working capital changes

- Investing and financing sections are IDENTICAL under both methods
- Indirect adjustments: + depreciation, − profit on disposal, + interest

Mawingu Ltd — key workings (Sh.'000)

- Tax paid: 55 + 45 − 70 = 30. Dividends paid: 60 + 60 − 80 = 40
- Asset additions: 900 − (760 − 110 − 30) = 280
- Shares issued: (520−420)+(120−80) = 140; debentures issued = 20
- Always label these workings — they are the most error-prone lines

Mawingu — statement of cash flows (Sh.'000)

- Operating: PBT 120 + 120 adjustments − 40 working capital − 50 = 150
- Investing: (280) additions + 40 proceeds = net (240)
- Financing: 140 + 20 − 40 dividends = 120
- Net increase 30 + opening 40 = closing 50 ✓ — always reconcile

Direct method key workings

- Cash from customers = sales + receivables b/d − receivables c/d
- Cash paid to suppliers = cost of sales ± payables and inventory moves
- Cash paid to employees = wages ± accrued wages balances
- Interest and tax paid stay as SEPARATE lines — never net them in

Importance and limitations

- Explains why cash is poor despite profits — applications of cash
- Guards against creative accounting: cash cannot be fabricated
- Shows whether short-term paying capacity is improving or declining
- Limitation: cash basis ignores accruals — not a profitability measure

Key takeaways / exam tips

- Deduct profit on disposal in operating — proceeds sit under investing
- Proposed dividends: use the payable T-account, not the given figure
- Exclude non-cash items (bonus issues, credit acquisitions) — note them
- Finish with the SFP reconciliation — your built-in error check

KASNEB past-paper worked examples

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Statement of cash flows — IAS 7 (HMK Ltd)

The following are the financial statements of HMK Limited as at 31 December (Sh."000"):
Equity: Ordinary share capital 2023: 900,000 / 2022: 600,000; Share premium 210,000 / 90,000; Revenue reserves 246,000 / 84,000. Total equity and reserves 1,356,000 / 774,000. Non-current liabilities: Debentures 180,000 / 300,000; Bank loan – / 120,000. Current liabilities: Trade payables 288,000 / 204,000; Proposed dividends 90,000 / 45,000; Corporate tax 198,000 / 129,000; Bank overdraft – / 84,000. Total equity and liabilities 2,112,000 / 1,656,000.
Non-current assets (NBV): Freehold land 780,000 / 660,000; Plant and machinery 582,000 / 450,000; Furniture and fittings 84,000 / 66,000. Current assets: Inventory 306,000 / 222,000; Trade receivables 264,000 / 256,800; Short term investments 27,600 / –; Cash in hand 68,400 / 1,200. Total assets 2,112,000 / 1,656,000.
Additional information: (1) A machinery with NBV Sh.12,000,000 (original cost Sh.48,000,000) was sold for

Sh.18,000,000. Furniture with NBV Sh.18,000,000 (original cost Sh.30,000,000) was sold for Sh.13,000,000. Profits and losses on these transactions had been reported in the statement of profit or loss. (2) Corporate tax for the year ended 31 December 2023 was Sh.80,000,000. (3) The proposed dividends for the year ended 31 December 2022 were paid during the year ended 31 December 2023. (4) There was no disposal or revaluation of freehold property in the year ended 31 December 2023. (5) Interest expense charged to the statement of profit or loss for the year ended 31 December 2023 was Sh.38,400,000. Accrued interest of Sh.26,400,000 is included in the trade payables as at 31 December 2023. (6) Depreciation charged to the statement of profit or loss: furniture and fixtures Sh.34,000,000; plant and machinery Sh.58,000,000.

Required: Statement of cash flows for the year ended 31 December 2023 in accordance with IAS 7 "Statement of Cash Flows". (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

W1 — Profit before tax: Movement in revenue reserves: 246,000 − 84,000 = 162,000 = PAT − proposed dividends 90,000 → PAT = 252,000. PBT = 252,000 + tax charge 80,000 = **332,000**. **W2 — Purchases of PPE:** Land: 780,000 − 660,000 = 120,000 (no disposal/revaluation). Plant & machinery: 582,000 − 450,000 + depreciation 58,000 + NBV disposed 12,000 = 202,000. Furniture: 84,000 − 66,000 + depreciation 34,000 + NBV disposed 18,000 = 70,000. Total purchases **392,000**. **W3 — Disposal results:** Machinery: profit 18,000 − 12,000 = 6,000. Furniture: loss 18,000 − 13,000 = 5,000. **W4 — Trade payables for working capital:** 288,000 − accrued interest 26,400 = 261,600; increase = 261,600 − 204,000 = 57,600. **W5 — Interest paid:** expense 38,400 − accrued at year end 26,400 = 12,000 (no opening accrual given). **Tax paid:** 129,000 + 80,000 − 198,000 = 11,000.

Statement of cash flows for the year ended 31 December 2023

Cash flows from operating activities:	
Profit before tax	332,000
Adjustments: Depreciation (58,000 + 34,000)	92,000
Interest expense	38,400
Profit on disposal of machinery	(6,000)
Loss on disposal of furniture	5,000
Operating profit before working capital changes	461,400
Increase in inventory	(84,000)
Increase in trade receivables	(7,200)
Increase in trade payables	57,600
Cash generated from operations	427,800
Interest paid	(12,000)
Income tax paid	(11,000)
Net cash from operating activities	404,800
Cash flows from investing activities:	
Proceeds from disposal of machinery	18,000
Proceeds from disposal of furniture	13,000
Purchase of property, plant and equipment	(392,000)
Purchase of short-term investments	(27,600)
Net cash used in investing activities	(388,600)
Cash flows from financing activities:	
Proceeds from share issue (300,000 + 120,000)	420,000
Repayment of debentures	(120,000)
Repayment of bank loan	(120,000)

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  Dividends paid (2022 proposed)                                (45,000)
Net cash from financing activities                              135,000
Net increase in cash and cash equivalents                       151,200
Cash and cash equivalents at 1 January 2023 (1,200 – 84,000)    (82,800)
Cash and cash equivalents at 31 December 2023                    68,400
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Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Profit before tax correctly derived at Sh.332,000,000 via reserves movement (PAT 252,000 + tax 80,000) **(3)**
- Non-cash adjustments: depreciation 92,000; interest expense 38,400; profit on machinery disposal (6,000) deducted; loss on furniture disposal 5,000 added **(3)**
- Working capital: inventory (84,000); receivables (7,200); payables +57,600 using payables excluding accrued interest 26,400 **(3)**
- Interest paid 12,000 and tax paid 11,000 correctly computed **(2)**
- Net cash from operating activities Sh.404,800,000 **(1)**
- Investing: disposal proceeds 18,000 and 13,000; PPE purchases 392,000 via NBV workings; short-term investments 27,600 **(3)**
- Financing: share issue proceeds 420,000 (capital + premium); debentures repaid 120,000; bank loan repaid 120,000; dividends paid 45,000 **(3)**
- Net movement 151,200 reconciling opening cash and equivalents (82,800) (overdraft netted) to closing 68,400 **(2)**

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Statement of cash flows with commentary (Biashara Ltd)

Biashara Ltd. — extracts from the financial statements for the year ended 30 June 2023 (Sh."000"):
Statement of profit or loss: Revenue 134,400; Cost of sales (105,000); Gross profit 29,400; Investment income 1,500; Operating expenses (14,000); Finance cost (2,500); Profit before tax 14,400; Corporation tax (5,400); Profit after tax 9,000.
Statement of financial position as at 30 June (2023 / 2022): Freehold land 100,800 / 72,000; Plant and machinery 51,960 / 55,500; Investments at cost 21,600 / 22,500; Inventory 40,300 / 32,200; Accounts receivable 36,840 / 46,800; Short-term investments 10,260 / 5,040; Cash in hand 1,200 / 2,580; Total assets 262,960 / 236,620. Ordinary share capital 108,000 / 90,000; Share premium 9,000 / 4,500; Revaluation reserve 27,000 / –; Retained earnings 36,900 / 31,500; 10% loan 25,000 / 34,000; Accounts payable 35,100 / 31,500; Bank overdraft 14,340 / 39,240; Proposed dividends 2,700 / 2,280; Taxation 4,920 / 3,600.
Additional information: (1) The revaluation reserve relates to freehold land. (2) Depreciation on plant and machinery of Sh.6,900,000 was charged in the year. (3) Part of the long-term investments were sold during the year at a profit of Sh.960,000. (4) Plant with NBV Sh.4,500,000 (original cost Sh.18,000,000) was sold for Sh. 8,820,000. (5) Statement of changes in equity (retained earnings): balance 1 July 2022 31,500; profit after tax 9,000; interim dividend paid (900); final dividend proposed (2,700); balance 30 June 2023 36,900.
Required: (a) Statement of cash flows for the year ended 30 June 2023 in accordance with IAS 7. (14 marks) (b) Comment on the cash flow performance of Biashara Ltd. for the year ended 30 June 2023. (6 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

Workings

- Cost of investments sold = 22,500 − 21,600 = 900; proceeds = 900 + profit 960 = **1,860**.
- Profit on plant disposal = 8,820 − 4,500 = **4,320**.
- Plant purchases = 51,960 − 55,500 + depreciation 6,900 + NBV disposed 4,500 = **7,860**.
- Land purchases = (100,800 − 72,000) − revaluation 27,000 = **1,800**.
- Tax paid = 3,600 + 5,400 − 4,920 = **4,080**. Dividends paid = interim 900 + 2022 proposed 2,280 = **3,180**.

(a) Statement of cash flows for the year ended 30 June 2023

Cash flows from operating activities:	
Profit before tax	14,400
Adjustments: Depreciation	6,900
Finance cost	2,500
Investment income	(1,500)
Profit on sale of long-term investments	(960)
Profit on disposal of plant	(4,320)
Operating profit before working capital changes	17,020
Increase in inventory	(8,100)
Decrease in accounts receivable	9,960
Increase in accounts payable	3,600
Cash generated from operations	22,480
Finance cost paid	(2,500)
Income tax paid	(4,080)
Net cash from operating activities	15,900
Cash flows from investing activities:	
Proceeds from disposal of plant	8,820
Proceeds from sale of long-term investments	1,860
Investment income received	1,500
Purchase of plant and machinery	(7,860)
Purchase of freehold land	(1,800)
Purchase of short-term investments	(5,220)
Net cash used in investing activities	(2,700)
Cash flows from financing activities:	
Proceeds from share issue (18,000 + 4,500)	22,500
Repayment of 10% loan	(9,000)
Dividends paid	(3,180)
Net cash from financing activities	10,320
Net increase in cash and cash equivalents	23,520
Cash and cash equivalents at 1 July 2022 (2,580 − 39,240)	(36,660)
Cash and cash equivalents at 30 June 2023 (1,200 − 14,340)	(13,140)

(b) Commentary on cash flow performance

- **Strong operating cash generation:** the company generated Sh.22,480,000 from operations before interest and tax and Sh.15,900,000 net operating cash flow — comfortably more than its profit after tax of Sh.9,000,000, indicating good-quality earnings backed by cash. Working capital helped: receivables were collected down by Sh.9,960,000 and payables stretched by Sh.3,600,000, partly offset by an Sh. 8,100,000 inventory build-up.
- **The overdraft was sharply reduced:** cash and cash equivalents improved from a net overdraft position of Sh.36,660,000 to Sh.13,140,000 — the bank overdraft fell from Sh.39,240,000 to Sh.14,340,000. Liquidity therefore improved markedly, although the company still ends the year dependent on overdraft finance.

- **Investment was largely self-funded:** disposal proceeds (plant 8,820 and investments 1,860) plus investment income covered most of the capital expenditure on plant (7,860) and land (1,800); however Sh.5,220,000 was placed into short-term investments while the company still carries an overdraft costing 10% — a questionable use of funds since the overdraft interest likely exceeds the return on those investments.
- **Financing mix shifted toward equity:** a share issue raised Sh.22,500,000, enabling repayment of Sh. 9,000,000 of the 10% loan and dividends of Sh.3,180,000. Gearing fell (loan down, equity up by Sh. 54,900,000 including the revaluation), reducing future finance costs.
- **Caution:** the improvement leans on non-recurring items — asset disposals and a large receivables reduction cannot repeat every year — and the inventory increase should be watched. Overall, however, the year shows healthy cash conversion, deleveraging and improved liquidity.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) PBT 14,400 adjusted for depreciation 6,900 and finance cost 2,500 **(2)**
- (a) Investment income (1,500), profit on investments sold (960) and profit on plant disposal (4,320) correctly eliminated **(2)**
- (a) Working capital: inventories (8,100); receivables +9,960; payables +3,600; cash generated 22,480 **(2)**
- (a) Interest paid 2,500 and tax paid 4,080 (via tax account) → net operating cash flow 15,900 **(2)**
- (a) Investing: proceeds 8,820 and 1,860; investment income 1,500; plant purchases 7,860 (derived); land purchases 1,800 (after revaluation 27,000); short-term investments 5,220 → net (2,700) **(3)**
- (a) Financing: share issue 22,500 (capital + premium); loan repaid 9,000; dividends paid 3,180 (interim 900 + prior-year proposed 2,280) → net 10,320 **(2)**
- (a) Net movement 23,520 reconciling opening (36,660) to closing (13,140) cash and cash equivalents (overdraft netted) **(1)**
- (b) Commentary: operating cash generation vs profit; working-capital drivers (any two points) **(2)**
- (b) Commentary: overdraft/liquidity improvement and investing funded by disposals (any two points) **(2)**
- (b) Commentary: financing shift to equity, lower gearing, and a caution (non-recurring items/inventory build) (any two points) **(2)**

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Company terms; statement of cash flows (Viki Ltd)

(a) Explain the following terms as used in company accounts: (i) Discount on shares. (2 marks) (ii) Allotment of shares. (2 marks) (iii) Share premium. (2 marks)

(b) Information extracted from the books of Viki Ltd. (Sh."000"): Statement of financial position as at 30 September (2022 / 2021): Land and buildings 540,000 / 240,000; Motor vehicles 120,000 / 144,000; Furniture and fittings 96,000 / 168,000; Inventory 96,000 / 84,000; Accounts receivable 144,000 / 108,000; Cash and bank 24,000 / 36,000; Total assets 1,020,000 / 780,000. Ordinary share capital 480,000 / 360,000; Share premium 180,000 / 60,000; Retained earnings 156,000 / 96,000; Long-term loan 120,000 / 180,000; Accounts payable 62,400 / 48,000; Accruals 12,000 / 24,000; Proposed dividends 9,600 / 12,000.

Additional information: (1) Profit after tax for the year ended 30 September 2022 was Sh.84,000,000. (2) Interest expense charged to profit or loss was Sh.12,000,000. (3) All taxes and interest for the year were paid; total tax for the year was Sh.48,000,000. (4) Proposed dividends for the year ended 30 September 2022 amounted to Sh.24,000,000. (5) Land and buildings were acquired during the year at a cost of Sh.360,000,000.

(6) Motor vehicles with NBV Sh.60,000,000 were disposed of for Sh.72,000,000. (7) Motor vehicles are depreciated at 10% on reducing balance.
Required: Statement of cash flows in accordance with IAS 7 for the year ended 30 September 2022. (14 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Company accounts terms

(i) Discount on shares: the excess of the nominal (par) value of shares over the amount paid for them when shares are issued at a price below par — historically restricted by company law; the discount is effectively a capital loss written off over time and shown as a deduction within equity. **(ii) Allotment of shares:** the process by which the directors of a company allocate newly issued shares to applicants — after applications and application money are received, the board resolves to allot shares, letters of allotment are issued and the applicants become shareholders, whereupon the amounts due on allotment are called up. **(iii) Share premium:** the excess of the issue price of shares over their nominal (par) value. It is credited to a share premium account within equity; it is not distributable as dividend and may only be used for purposes permitted by law (e.g. issuing bonus shares, writing off preliminary expenses or issue costs).

(b) Statement of cash flows — Viki Ltd., year ended 30 September 2022 (Sh."000")

Workings

- PBT = PAT 84,000 + tax 48,000 = **132,000**.
- Depreciation: buildings = 240,000 + acquisitions 360,000 − 540,000 = 60,000. Motor vehicles = 10% × opening NBV 144,000 = 14,400. Furniture (no additions/disposals given) = 168,000 − 96,000 = 72,000. Total **146,400**.
- Motor vehicle purchases = 120,000 − 144,000 + depreciation 14,400 + NBV disposed 60,000 = **50,400**.
- Profit on MV disposal = 72,000 − 60,000 = 12,000.
- Dividends appropriated in the year = 24,000 (note 4), of which final proposed = 9,600 (per SOFP) → interim paid = 14,400. Dividends PAID in the year = 2021 proposed 12,000 + interim 14,400 = **26,400**. (Proof: retained earnings 96,000 + PAT 84,000 − 24,000 = 156,000 ✓.)

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Cash flows from operating activities:
Profit before tax                                          132,000
Adjustments: Depreciation                                  146,400
  Interest expense                                          12,000
  Profit on disposal of motor vehicles                     (12,000)
Operating profit before working capital changes            278,400
  Increase in inventory                                    (12,000)
  Increase in accounts receivable                          (36,000)
  Increase in accounts payable                              14,400
  Decrease in accruals                                     (12,000)
Cash generated from operations                             232,800
  Interest paid                                            (12,000)
  Income tax paid                                          (48,000)
Net cash from operating activities                         172,800
Cash flows from investing activities:
  Proceeds from disposal of motor vehicles                  72,000
  Purchase of land and buildings                           (360,000)
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  Purchase of motor vehicles                                (50,400)
Net cash used in investing activities                       (338,400)
Cash flows from financing activities:
  Proceeds from share issue (120,000 + 120,000)             240,000
  Repayment of long-term loan                               (60,000)
  Dividends paid                                            (26,400)
Net cash from financing activities                          153,600
Net decrease in cash and cash equivalents                   (12,000)
Cash and cash equivalents at 1 October 2021                  36,000
Cash and cash equivalents at 30 September 2022               24,000
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Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Discount on shares explained (issue below par value) (2) **(2)**
- (a)(ii) Allotment of shares explained (board allocation of new shares to applicants) (2) **(2)**
- (a)(iii) Share premium explained (excess over par; restricted uses) (2) **(2)**
- (b) PBT derived 132,000 (PAT 84,000 + tax 48,000) **(1)**
- (b) Depreciation total 146,400 derived (buildings 60,000; MV 14,400 at 10% RB; furniture 72,000) and interest 12,000 added back; profit on disposal (12,000) deducted **(3)**
- (b) Working capital (12,000) − (36,000) + 14,400 − 12,000 accruals; interest and tax paid in full; net operating 172,800 **(3)**
- (b) Investing: proceeds 72,000; buildings acquired 360,000; MV purchases 50,400 derived → net (338,400) **(3)**
- (b) Financing: share issue 240,000 (capital + premium); loan repaid 60,000; dividends paid 26,400 (prior-year proposed 12,000 + interim 14,400) → net 153,600 **(3)**
- (b) Net movement (12,000) reconciling cash 36,000 to 24,000 **(1)**

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Regulatory bodies; statement of cash flows (Sabuni Ltd)

(a) Outline FOUR objectives of accounting regulatory bodies. (4 marks)
(b) The statements of financial position of Sabuni Ltd., a soap manufacturing company, as at 30 June (Sh."000") 2022 / 2021: Property, plant and equipment 48,080 / 37,460; Inventories 13,420 / 11,980; Accounts receivable 6,020 / 5,120; Cash and cash equivalents 450 / 1,008; Total assets 67,970 / 55,568. Share capital 4,160 / 3,800; Share premium 540 / 450; Retained earnings 34,182 / 21,618; Revaluation reserve 1,080 / 720; Long-term loan 13,500 / 14,400; Accounts payable 12,448 / 12,700; Accrued expenses 800 / 800; Bank overdraft 360 / 540; Current tax 900 / 540; Total equity and liabilities 67,970 / 55,568.
Additional information: (1) The cost of property, plant and equipment was Sh.45,740,000 on 1 July 2021. (2) The company disposed of a plant with a carrying value of Sh.3,120,000 on 1 April 2022; the original cost of this plant was Sh.4,800,000 and the company made a loss of Sh.120,000 on the disposal. (3) It is the policy of the company to depreciate all assets at 10% per annum on cost from date of purchase to date of sale. (4) The finance cost incurred and paid in the year ended 30 June 2022 was Sh.288,000, while a dividend of Sh.516,000 was paid for the same period. (5) Sabuni Ltd. made a profit before tax of Sh.13,458,000 during the year. (6) The income tax expense for the year was Sh.378,000.
Required: Statement of cash flows for the year ended 30 June 2022 in accordance with IAS 7. (16 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Objectives of accounting regulatory bodies

1. **Standard setting:** develop and issue accounting and reporting standards (e.g. IFRS/IPSAS adoption) so financial statements are prepared on a consistent, comparable basis.
2. **Investor/public protection:** promote transparent, reliable financial reporting that protects investors, creditors and the public from misleading information and fraud.
3. **Regulation and enforcement:** register, license and discipline accountants and auditors, monitor compliance with standards and take enforcement action against malpractice.
4. **Market confidence and development:** enhance the credibility of capital markets and the profession through education requirements, ethics codes and continuous professional development.

(b) Statement of cash flows — Sabuni Ltd., year ended 30 June 2022 (Sh."000")

Workings

- PBT = PAT 13,080 + tax expense 378 = **13,458**.
- Depreciation: cost at 1 July 2021 = 45,740. Charge = 10% × (45,740 − 4,800 disposed cost) + 10% × 4,800 × 9/12 (to 1 April 2022 disposal) = 4,094 + 360 = **4,454**. Loss on disposal = 3,120 − 3,000 = 120.
- PPE purchases: closing 48,080 = opening 37,460 + revaluation uplift (1,080 − 720 = 360) + purchases − depreciation 4,454 − disposal NBV 3,120 → purchases = **17,834**.
- Tax paid = 540 + 378 − 900 = **18**. Dividends paid = 516 (retained earnings proof: 21,618 + 13,080 − 516 = 34,182 ✓).

Cash flows from operating activities:	
Profit before tax	13,458
Adjustments: Depreciation	4,454
Loss on disposal of plant	120
Finance cost	288
Operating profit before working capital changes	18,320
Increase in inventories	(1,440)
Increase in accounts receivable	(900)
Decrease in accounts payable	(252)
Cash generated from operations	15,728
Finance cost paid	(288)
Income tax paid	(18)
Net cash from operating activities	15,422
Cash flows from investing activities:	
Proceeds from disposal of plant	3,000
Purchase of property, plant and equipment	(17,834)
Net cash used in investing activities	(14,834)
Cash flows from financing activities:	
Proceeds from share issue (360 + 90)	450
Repayment of long-term loan	(900)
Dividends paid	(516)
Net cash used in financing activities	(966)
Net decrease in cash and cash equivalents	(378)
Cash and cash equivalents at 1 July 2021 (1,008 − 540)	468
Cash and cash equivalents at 30 June 2022 (450 − 360)	90

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four objectives of accounting regulatory bodies, 1 mark each (standard setting, investor protection, enforcement/discipline, market confidence/professional development) **(4)**
- (b) PBT 13,458 derived (PAT 13,080 + tax 378) **(1)**
- (b) Depreciation 4,454 (10% on cost with 9 months on the disposed plant) and loss on disposal 120 added back; finance cost 288 added **(3)**
- (b) Working capital (1,440) − (900) − (252); interest paid 288; tax paid 18 (540 + 378 − 900); net operating 15,422 **(4)**
- (b) PPE purchases 17,834 derived allowing for the 360 revaluation uplift; proceeds 3,000 → net investing (14,834) **(4)**
- (b) Financing: share issue 450; loan repaid 900; dividends paid 516 → net (966) **(2)**
- (b) Net movement (378) reconciling cash and equivalents 468 to 90 (overdraft netted) **(2)**

KASNEB-2021-12-Q3 · December 2021 · 20 marks KASNEB authored

Books of original entry; statement of cash flows (Eneza Ltd)

(a) Identify four books of original entry used in accounting. (4 marks)
(b) The following are the summarised financial statements of Eneza Limited as at 31 October 2020 and 31 October 2021:
Statement of profit or loss for the year ended 31 October 2021 (Sh."000"): Sales 51,060; Cost of sales (36,280); Gross profit 14,780; Distribution costs (2,500); Administrative expenses (5,280); 7,000; Interest received 500; Interest paid (1,500); Profit before tax 6,000; Taxation (2,800); Profit for the year 3,200.
Statements of financial position as at 31 October (Sh."000"): Property, plant and equipment 2021: 7,600 / 2020: 6,100; Intangible assets 5,000 / 4,000; Investments – / 500; Total non-current assets 12,600 / 10,600; Inventory 3,000 / 2,040; Accounts receivable 7,800 / 6,300; Short-term investments 1,000 / –; Cash in hand 40 / 20; Total assets 24,440 / 18,960; Share capital (Sh.100 ordinary shares) 4,000 / 3,000; Share premium 3,200 / 3,000; Revaluation reserve on property, plant and equipment 2,000 / 1,820; Retained earnings 5,200 / 3,600; Total equity 14,400 / 11,420; Long-term loan 3,400 / 1,000; Accounts payables 2,540 / 2,380; Bank overdraft 1,700 / 1,960; Taxation 2,400 / 2,200; Total equity and liabilities 24,440 / 18,960.
Additional information: 1. The proceeds of the sale of non-current investments amounted to Sh.600,000. 2. Equipment with an original cost of Sh.1,700,000 and a net book value of Sh.900,000 was sold for Sh.640,000 during the year ended 31 October 2021. 3. The following information relate to property, plant and equipment: Cost 31 October 2021 Sh.14,400,000 (31 October 2020: Sh.11,900,000); Accumulated depreciation (6,800) (2020: (5,800)); Net book value 7,600 (2020: 6,100). 4. Dividends totalling Sh.1,600,000 were paid during the year.
Required: Statement of cash flows in accordance with requirements of International Accounting Standard (IAS) 7, "Statement of Cash Flows" for the year ended 31 October 2021. (16 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Books of original entry (any four)

Sales day book (sales journal); purchases day book (purchases journal); returns inwards journal; returns outwards journal; cash book; general journal.

(b) Eneza Limited — Statement of cash flows for the year ended 31 October 2021 (Sh."000")

Workings: - Depreciation charge = closing accumulated depreciation 6,800 − opening 5,800 + accumulated depreciation on the equipment sold (cost 1,700 − NBV 900 = 800) = **1,800**. - Loss on disposal of equipment = NBV 900 − proceeds 640 = **260**. Profit on sale of investments = proceeds 600 − carrying amount 500 = **100**. - PPE purchases = closing cost 14,400 − opening cost 11,900 + cost of disposal 1,700 − revaluation uplift (2,000 − 1,820 = 180) = **4,020**. - Tax paid = opening liability 2,200 + charge 2,800 − closing liability 2,400 = **2,600**. - Share issue proceeds = (4,000 − 3,000) + (3,200 − 3,000) = **1,200**. Loan raised = 3,400 − 1,000 = **2,400**. (Retained earnings check: 3,600 + 3,200 − 1,600 dividends = 5,200 ✓.)

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Cash flows from operating activities:
  Profit before tax                                    6,000
  Adjustments: Depreciation            1,800
               Loss on sale of PPE       260
               Profit on sale of investments (100)
               Interest received        (500)
               Interest paid           1,500
  Operating profit before working capital changes      8,960
  Increase in inventory                (960)
  Increase in accounts receivable    (1,500)
  Increase in accounts payables        160
  Cash generated from operations                       6,660
  Interest paid                     (1,500)
  Tax paid                          (2,600)
  Net cash from operating activities                   2,560
Cash flows from investing activities:
  Proceeds from sale of investments     600
  Proceeds from sale of equipment       640
  Purchase of property, plant and equipment (4,020)
  Purchase of intangible assets       (1,000)
  Purchase of short-term investments  (1,000)
  Interest received                     500
  Net cash used in investing activities             (4,280)
Cash flows from financing activities:
  Proceeds from share issue           1,200
  Proceeds from long-term loan        2,400
  Dividends paid                     (1,600)
  Net cash from financing activities                2,000
Net increase in cash and cash equivalents               280
Cash and cash equivalents at 1 Nov 2020 (20 − 1,960) (1,940)
Cash and cash equivalents at 31 Oct 2021 (40 − 1,700)(1,660)
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Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Four books of original entry identified (1 each) **(4)**
- (b) Adjustments to profit before tax: depreciation 1,800, loss on disposal 260, profit on investments (100), interest received (500), interest paid 1,500 **(3)**
- (b) Working capital movements: inventory (960), receivables (1,500), payables 160 **(2)**
- (b) Interest paid 1,500 and tax paid 2,600 (opening 2,200 + charge 2,800 − closing 2,400); net operating cash 2,560 **(2)**
- (b) Investing: proceeds 600 and 640, PPE purchases 4,020, intangibles 1,000, short-term investments 1,000, interest received 500; net (4,280) **(5)**

- (b) Financing: share issue 1,200, loan 2,400, dividends (1,600); net 2,000 **(3)**
- (b) Net movement 280 reconciles cash and cash equivalents (1,940) to (1,660) including overdraft **(1)**

KASNEB-2020-11-Q2 · November 2020 · 20 marks KASNEB authored

Statement of cash flows (Chui Ltd) — with goodwill impairment

(a) Distinguish between the "direct" and "indirect" methods of preparing a statement of cash flows. (4 marks)
(b) The following are the comparative statements of financial position for Chui Ltd. as at 31 December 2018 and 31 December 2019 (Sh."000"): Land: 2019 — 84,500; 2018 — 133,900. Plant: 507,000; 560,000. Accumulated depreciation on plant: (152,100); (111,800). Goodwill: 161,200; 224,900. Total non-current assets: 600,600; 807,000. Inventory: 302,900; 235,300. Accounts receivable: 113,100; 76,700. Cash: 166,400; 146,900. Total current assets: 582,400; 458,900. Total assets: 1,183,000; 1,265,900. Ordinary share capital: 322,500; 162,500. Retained earnings: 374,400; 370,200. Other comprehensive income: 12,500; 59,800. Total equity: 709,400; 592,500. Notes payable: 416,000; 565,500. Dividends payable: 19,500; 41,600. Accounts payable: 38,100; 66,300. Total current liabilities: 473,600; 673,400. Total equity and liabilities: 1,183,000; 1,265,900. Additional information: 1. Net income for the year ended 31 December 2019 was Sh.24,700,000. 2. Depreciation expense for the year ended 31 December 2019 was Sh.55,900,000. 3. During the year ended 31 December 2019, land was purchased for Sh.62,400,000 for expansion purposes. During the same period, another parcel of land with a carrying value of Sh.111,800,000 was sold for Sh.150,000,000 cash. 4. On 15 June 2019, notes payable of Sh.160,000,000 were retired in exchange for ordinary shares. 5. On 2 December 2019, notes payable worth Sh.10,500,000 were issued. 6. On 17 December 2019, a plant originally costing Sh. 53,000,000 was sold for Sh.27,300,000, since it was no longer contributing to profits. At the date of sale, the accumulated depreciation on the plant was Sh.15,600,000. 7. Dividends were declared for the year ended 31 December 2018. A portion of those dividends were paid in the year ended 31 December 2019. 8. Goodwill impairment loss was recorded in the year ended 31 December 2019 to reflect a decrease in the recoverable amount of goodwill. Required: Statement of cash flows in accordance with IAS 7 "Statement of Cash Flows", for the year ended 31 December 2019. (16 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Direct vs indirect method

Both methods present cash flows from operating, investing and financing activities; they differ only in the **operating activities** section. Under the **direct method**, the major classes of gross cash receipts and payments are listed (cash received from customers, cash paid to suppliers and employees, etc.), giving the net cash from operations directly. Under the **indirect method**, the net profit before tax is adjusted for non-cash items (depreciation, impairment, profits/losses on disposals), for items whose cash effects are investing or financing flows, and for changes in working capital, to arrive at the same net operating cash flow. The indirect method is the one most commonly used in practice; IAS 7 encourages, but does not require, the direct method.

(b) Chui Ltd — Statement of cash flows for the year ended 31 December 2019 (Sh."000")

Workings

- **W1 — Goodwill impairment:** 224,900 − 161,200 = **63,700** (non-cash charge included in net income — add back).

- **W2 — Plant disposal:** carrying value 53,000 − 15,600 = 37,400; proceeds 27,300 → **loss on disposal 10,100** (add back). Plant account: 560,000 − 53,000 = 507,000 — no plant was purchased. Depreciation check: 111,800 + 55,900 − 15,600 = 152,100 ✓.
- **W3 — Land:** 133,900 + purchases 62,400 − carrying value sold 111,800 = 84,500 ✓. Gain on sale = 150,000 − 111,800 = **38,200** (deduct).
- **W4 — Dividends declared and paid:** the decrease in other comprehensive income of 47,300 (59,800 − 12,500) is the revaluation surplus on the land sold, transferred to retained earnings on disposal. Dividends declared = net income 24,700 + transfer 47,300 − increase in retained earnings (374,400 − 370,200 = 4,200) = **67,800**. Dividends paid = opening payable 41,600 + declared 67,800 − closing payable 19,500 = **89,900**.
- **W5 — Notes payable:** 565,500 − 160,000 (retired for shares, non-cash) + 10,500 (new issue for cash) = 416,000 ✓ — no cash repayment.

Statement of cash flows (indirect method)

	Sh."000"
Cash flows from operating activities	
Net income	24,700
Adjustments for: Depreciation	55,900
Goodwill impairment loss	63,700
Loss on disposal of plant	10,100
Gain on disposal of land	(38,200)
Increase in inventory (302,900 − 235,300)	(67,600)
Increase in accounts receivable (113,100 − 76,700)	(36,400)
Decrease in accounts payable (66,300 − 38,100)	(28,200)
Net cash used in operating activities	**(16,000)**
Cash flows from investing activities	
Purchase of land	(62,400)
Proceeds from sale of land	150,000
Proceeds from sale of plant	27,300
Net cash from investing activities	**114,900**
Cash flows from financing activities	
Issue of notes payable	10,500
Dividends paid	(89,900)
Net cash used in financing activities	**(79,400)**
Net increase in cash	**19,500**
Cash at 1 January 2019	146,900
Cash at 31 December 2019	**166,400**

Non-cash investing and financing transaction (disclosed as required by IAS 7): notes payable of Sh.160,000,000 were retired during the year in exchange for ordinary shares — this is exactly the increase in ordinary share capital (322,500 − 162,500 = 160,000).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Direct method explained (gross cash receipts/payments listed) and indirect method explained (profit adjusted for non-cash items and working capital); difference confined to the operating section **(4)**
- Operating: starts with net income 24,700; adds back depreciation 55,900 and goodwill impairment 63,700 **(3)**
- Operating: loss on plant disposal 10,100 added back; gain on land disposal 38,200 deducted **(2)**
- Operating: working capital — inventory increase 67,600, receivables increase 36,400, payables decrease 28,200 all deducted; net cash used in operations (16,000) **(3)**
- Investing: land purchased (62,400); land sold 150,000; plant sold 27,300; net 114,900 **(3)**
- Financing: notes issued for cash 10,500; dividends paid 89,900 correctly derived (declared 67,800 after the 47,300 revaluation-surplus transfer); net (79,400) **(3)**
- Non-cash disclosure of the Sh.160,000,000 debt-for-equity swap, and the statement reconciles to the actual cash increase of 19,500 (146,900 → 166,400) **(2)**

KASNEB-2019-05-Q2 · May 2019 · 20 marks KASNEB authored

Duality and prudence concepts; statement of cash flows (Pwani Ltd)

(a) Highlight the following concepts as applied in accounting: (i) The duality concept. (2 marks) (ii) The prudence concept. (2 marks)
(b) The following are the summaries of the statements of financial position of Pwani Ltd. as at 31 December 2017 and 31 December 2018 (Sh."000"): Goodwill 60,000 / 52,000; Land 50,000 / 64,000; Plant and machinery 186,000 / 162,000; Accumulated depreciation: plant and machinery (63,000) / (54,000); Motor vehicles 70,000 / 105,000; Accumulated depreciation: motor vehicles (42,000) / (49,000); Inventory 34,000 / 56,000; Trade receivables 66,000 / 60,000; Trade payables 46,000 / 53,000; Bank 84,000 / 72,000; Cash 9,000 / 8,000; 15% Debentures 125,000 / 95,000; Loan 40,000 / nil; Share capital 91,000 / 121,000; Share premium 35,000 / 53,000; Retained earnings 117,000 / 154,000. Totals 559,000 / 579,000.
Additional information: 1. Profit for the year ended 31 December 2018 was Sh.61,000,000, after charging depreciation on plant and machinery Sh.15,000,000 and motor vehicles Sh.21,000,000. 2. An item of plant originally costing Sh.24,000,000 was sold for Sh.18,000,000; the accumulated depreciation on this plant was Sh.24,000,000. 3. A motor vehicle originally costing Sh.35,000,000 with a net book value of Sh.21,000,000 was sold for Sh.17,000,000. 4. Pwani Ltd issued 600,000 new ordinary shares of Sh.50 each at a premium of Sh.30 per share. 5. A tax rebate of Sh.4,000,000 was claimed and received during the year.
Required: Statement of cash flows for the year ended 31 December 2018 in accordance with IAS 7. (16 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Concepts

(i) Duality concept: Every business transaction has a two-fold (dual) effect — for every debit entry there is an equal and corresponding credit entry. The accounting equation (assets = capital + liabilities) always remains in

balance, and this dual aspect is the basis of the double entry system. **(ii) Prudence concept:** Caution is exercised in making estimates under uncertainty: profits and assets are not anticipated/overstated, while all known liabilities and losses are recognised as soon as they are foreseen. Revenue and profits are recognised only when reasonably certain, but provision is made for all foreseeable losses.

(b) Statement of cash flows — Workings

W1 — Plant and machinery (cost): 186,000 − cost of plant sold 24,000 = 162,000 → **no plant was purchased** during the year. Accumulated depreciation: 63,000 + charge 15,000 − on disposal 24,000 = 54,000 ✓. **W2 — Motor vehicles:** Cost: 70,000 − 35,000 (disposed) + purchases = 105,000 → **purchases = 70,000**. Accumulated depreciation on the vehicle sold: 42,000 + 21,000 − 49,000 = 14,000 → NBV sold = 35,000 − 14,000 = 21,000 ✓ (as given). **W3 — Disposal results:** Plant: NBV = 24,000 − 24,000 = nil; proceeds 18,000 → **profit on disposal 18,000**. Motor vehicle: NBV 21,000; proceeds 17,000 → **loss on disposal 4,000**. **W4 — Dividends paid:** Retained earnings: 117,000 + profit 61,000 − dividends = 154,000 → **dividends paid = 24,000**. **W5 — Goodwill:** 60,000 − 52,000 = **8,000 written off** (non-cash charge in arriving at profit). Land: 64,000 − 50,000 = **14,000 purchased** for cash. The Sh.4,000 tax rebate was received in cash during the year and is reflected in the profit for the year; no separate tax payment arises.

Statement of cash flows for the year ended 31 December 2018

Cash flows from operating activities:	
Profit for the year (after tax)	61,000
Adjustments for:	
Depreciation — plant and machinery	15,000
Depreciation — motor vehicles	21,000
Goodwill written off	8,000
Loss on disposal of motor vehicle	4,000
Profit on disposal of plant	(18,000)
Operating profit before working capital changes	91,000
Increase in inventory	(22,000)
Decrease in trade receivables	6,000
Increase in trade payables	7,000
Net cash from operating activities	82,000
Cash flows from investing activities:	
Proceeds from sale of plant	18,000
Proceeds from sale of motor vehicle	17,000
Purchase of land	(14,000)
Purchase of motor vehicles	(70,000)
Net cash used in investing activities	(49,000)
Cash flows from financing activities:	
Proceeds from issue of shares (600,000 × Sh.80)	48,000
Redemption of 15% debentures	(30,000)
Repayment of loan	(40,000)
Dividends paid	(24,000)
Net cash used in financing activities	(46,000)
Net decrease in cash and cash equivalents	(13,000)
Cash and cash equivalents at 1 January 2018 (84,000 + 9,000)	93,000
Cash and cash equivalents at 31 December 2018 (72,000 + 8,000)	80,000

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i) Duality concept: dual effect of every transaction; accounting equation stays balanced (2) **(2)**

- (a)(ii) Prudence concept: do not anticipate profits; provide for all foreseeable losses (2) **(2)**
- (b) Workings: no plant purchases; motor vehicle purchases 70,000 and acc. depreciation on disposal 14,000; dividends paid 24,000; goodwill written off 8,000 (4) **(4)**
- (b) Operating: profit 61,000 adjusted for depreciation 36,000, goodwill 8,000, loss on MV disposal 4,000, profit on plant disposal (18,000) → 91,000 (3) **(3)**
- (b) Working capital movements (22,000) / 6,000 / 7,000 → net cash from operating 82,000 (2) **(2)**
- (b) Investing: proceeds 18,000 + 17,000, land (14,000), vehicles (70,000) → (49,000) (3) **(3)**
- (b) Financing: share issue 48,000, debentures (30,000), loan (40,000), dividends (24,000) → (46,000) (3) **(3)**
- (b) Net decrease (13,000) reconciled: opening 93,000 to closing 80,000 (1) **(1)**

KASNEB-2018-05-Q4 · May 2018 · 20 marks KASNEB authored

IAS 7 statement of cash flows

(a) In times of rapid change, some people argue that a statement of cash flows is more useful and reliable than a statement of comprehensive income.

Required:
Explain why a cash flow statement may be more useful and reliable than an income statement. (6 marks)

(b) The following are summarised statements of financial position of Ole Kina Ltd as at 31 December:

2017 Sh."000 | 2016 Sh."000
Non-current assets:
Freehold land 14,500 | 10,000
Buildings (cost) 20,000 | 18,000
Accumulated depreciation - Buildings (7,000) | (6,000)
Plant and equipment (cost) 35,000 | 29,000
Accumulated depreciation - Plant and equipment (18,000) | (13,000)
Motor vehicles (cost) 12,300 | 8,100
Accumulated depreciation - Motor vehicles (5,500) | (3,600)
Total non-current assets 51,300 | 42,500
Current assets:
Inventory 11,600 | 12,000
Accounts receivable 18,900 | 15,300
Short-term investments 5,700 | 8,300
Bank balance 9,400 | 6,000
Total current assets 45,600 | 41,600
Total assets 96,900 | 84,100

Equity and liabilities:
Ordinary share capital (Shares of Sh.10 each) 31,400 | 22,060
Share premium account 4,500 | 3,500
Revaluation reserve 3,000 | 1,500
Retained earnings 12,000 | 10,200
Total equity 50,900 | 37,260
8% debentures 26,000 | 12,000
Bank loan 3,000 | 5,000
Total non-current liabilities 29,000 | 17,000

Current liabilities:
Accounts payable 8,200 | 6,100
Taxation payable 1,600 | 12,000
Proposed dividends 7,200 | 11,800
Total current liabilities 17,000 | 29,900
Total equity and liabilities 96,900 | 84,100

Additional information:
1. During the year ended 31 December 2017, plant with a written down value of Sh.4,500,000 was sold for Sh. 3,100,000.
2. The proposed dividends for the year ended 31 December 2016 were fully paid during the year ended 31 December 2017.
3. Freehold land was revalued during the year ended 31 December 2017.
4. Additional ordinary shares were issued at a premium during the year ended 31 December 2017.
5. The profit before taxation for the year ended 31 December 2017 was Sh.3,600,000.
6. Included in the retained earnings was a transfer of Sh.1,000,000 from the general reserve.
7. Depreciation charged for the year was as follows: Buildings Sh.1,000,000; Equipment Sh.6,500,000; Motor vehicles Sh.800,000.

Required:
Prepare, in accordance with IAS 7, a statement of cash flows for Ole Kina Ltd for the year ended 31 December 2017. (14 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) WHY A STATEMENT OF CASH FLOWS MAY BE MORE USEFUL AND RELIABLE THAN AN INCOME STATEMENT 1. Objectivity and verifiability: cash receipts and payments are factual, verifiable events; profit, by contrast, depends on judgement and estimates (depreciation methods, provisions, inventory valuation, accruals), so two companies can report different profits on identical facts. 2. Resistance to manipulation: profit can be dressed up by changing accounting policies or estimates and by recognising accrued income; cash flow cannot be created by a policy choice — the bank balance either moved or it did not. 3. Liquidity and solvency: businesses fail for lack of cash, not lack of profit. The cash flow statement shows whether the business generates cash from operations to pay wages, suppliers, tax and lenders as they fall due — information the accrual-based income statement conceals. 4. Comparability: because it is largely free of policy differences, cash flow information is more comparable between companies and between periods than reported profit. 5. Decision usefulness: lenders and investors assessing debt service, dividend capacity and the need for external finance need cash generation by category (operating, investing, financing), which the income statement does not provide. 6. Profit quality: comparing operating cash flow with operating profit reveals the quality of earnings — a growing profit with falling operating cash flow (e.g. ballooning receivables) is an early warning of trouble.

(b) OLE KINA LTD — STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2017 (IAS 7, INDIRECT METHOD) (Sh."000)

Cash flows from operating activities: Profit before taxation 3,600 Adjustments for: Depreciation — buildings 1,000; plant and equipment 6,500; motor vehicles 800 8,300 Loss on disposal of plant (W1) 1,400 Operating profit before working capital changes 13,300 Decrease in inventory 400 Increase in accounts receivable (3,600) Increase in accounts payable 2,100 Cash generated from operations 12,200 Interest paid (W2) (2,080) Income tax paid (W3) (1,760) Net cash from operating activities 8,360

Cash flows from investing activities: Purchase of freehold land (W4) (3,000) Purchase of buildings (2,000) Purchase of plant and equipment (W5) (12,000) Purchase of motor vehicles (4,200) Proceeds from sale of plant 3,100 Proceeds from sale/maturity of short-term investments (8,300 − 5,700) 2,600 Net cash used in investing activities (15,500)

Cash flows from financing activities: Proceeds from issue of ordinary shares (W6) 10,340 Proceeds from issue of 8% debentures (26,000 − 12,000) 14,000 Repayment of bank loan (2,000) Dividends paid (2016 proposed dividends) (11,800) Net cash from financing activities 10,540

Net increase in cash and cash equivalents 3,400 Cash and cash equivalents at 1 January 2017 6,000 Cash and cash equivalents at 31 December 2017 9,400

Workings: W1. Loss on disposal: WDV 4,500 − proceeds 3,100 = 1,400. Cost of plant sold: accumulated depreciation on it = 13,000 + 6,500 − 18,000 = 1,500, so cost = 4,500 + 1,500 = 6,000. W2. Interest paid on the 8% debentures is taken at 8% × 26,000 = 2,080. W3. Income tax paid is the balancing figure required by the taxation-payable movement on the figures as printed (see note). W4. Land: 10,000 + revaluation surplus (3,000 − 1,500 = 1,500) + purchases = 14,500 → purchases 3,000. W5. Plant and equipment purchases: 29,000 + purchases − cost of plant sold 6,000 = 35,000 → purchases 12,000. Buildings purchases: 20,000 − 18,000 = 2,000. Motor vehicle purchases: 12,300 − 8,100 = 4,200. W6. Share issue proceeds: share capital increase (31,400 − 22,060) 9,340 + share premium increase (4,500 − 3,500) 1,000 = 10,340.

Note: the retained-earnings movement implied by the printed figures (10,200 + profit after tax + 1,000 transfer from general reserve − 7,200 proposed dividend = 12,000) gives a profit after tax of Sh.8,000,000, which exceeds the stated profit before tax of Sh.3,600,000; the printed taxation and dividend figures are therefore not mutually consistent. The statement above is prepared from the stated profit before tax and the balance-sheet movements, with tax paid shown as the balancing figure so that the statement reconciles exactly to the actual movement in the bank balance (6,000 → 9,400).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Objectivity/verifiability of cash versus judgement-based profit, and resistance to manipulation through policy or estimate changes **(2)**
- (a) Liquidity/solvency information (businesses fail for lack of cash) and comparability across companies/periods, free of policy differences **(2)**
- (a) Decision usefulness for lenders/investors (debt service, dividend capacity, financing needs) and assessment of the quality of earnings **(2)**
- (b) Operating activities opened from profit before tax 3,600 with depreciation added back (8,300) and loss on disposal 1,400 **(3)**
- (b) Working capital movements correctly signed: inventory +400, receivables (3,600), payables +2,100; cash generated from operations 12,200 **(2)**
- (b) Interest paid and income tax paid deducted, giving net cash from operating activities that reconciles within the statement (8,360 on the printed figures) **(2)**
- (b) Investing: purchases derived from cost movements (land 3,000 after the 1,500 revaluation; buildings 2,000; plant and equipment 12,000 using cost of plant sold 6,000; motor vehicles 4,200), proceeds of plant sale 3,100 and short-term investments realised 2,600; net (15,500) **(4)**
- (b) Financing: share issue proceeds 10,340 (capital 9,340 + premium 1,000), debentures issued 14,000, bank loan repaid (2,000), dividends paid (11,800); net 10,540 **(2)**
- (b) Net increase in cash 3,400 reconciled from opening bank balance 6,000 to closing 9,400, in IAS 7 format **(1)**

KASNEB-2017-11-Q3 · November 2017 · 20 marks KASNEB authored

Public sector accounting standards adoption and IAS 7 statement of cash flows

(a) Highlight three ways in which the government could ensure successful adoption of public sector accounting standards. (6 marks)

(b) The following statements of financial position and statement of profit or loss have been extracted from the financial records of Happy Time Ltd.:

Statement of profit or loss for the year ended 30 June 2017 (Sh."000): Sales 78,000; Cost of sales (38,000); Gross profit 40,000; Operating expenses (24,000); Profit from operations 16,000; Investment income 1,600; Finance costs (3,600); Profit before tax 14,000; Income tax expense (4,000); Profit for the year 10,000.

Statements of financial position as at 30 June (Sh."000):
Non-current assets: Property, plant and equipment 2017: 55,000, 2016: 40,000; Investment property 4,000, 4,000; Goodwill and intangible assets 2,000, 1,000; Total non-current assets 61,000, 45,000. Current assets: Inventory 12,000, 9,000; Accounts receivable 13,000, 6,000; Short-term investments 6,000, 4,000; Cash and cash equivalents 1,000, 1,000; Total current assets 32,000, 20,000. Total assets 93,000, 85,000 [as printed; 2016 components sum to 65,000].
Equity: Ordinary share capital 25,000, 20,000; Share premium 4,000, 3,000; Revaluation reserve 6,000, 4,000; Retained earnings 7,000, 3,000; Total equity 42,000, 40,000. Non-current liabilities: Long-term borrowings 26,000, 24,000; Deferred tax 6,000, 3,000; Total non-current liabilities 32,000, 27,000. Current liabilities: Accounts payable 14,000, 11,000; Short-term borrowings 3,000, 3,000; Current tax payable 2,000, 4,000; Total current liabilities 19,000, 18,000. Total equity and liabilities 93,000, 85,000.

Additional information:
1. Proceeds from the sale of equipment were Sh.700,000. The cost and accumulated depreciation of the equipment disposed of were Sh.1,400,000 and Sh.1,000,000 respectively.
2. Property, plant and equipment was purchased during the year ended 30 June 2017. In addition, non-current assets with a cost of Sh.2,000,000 were revalued upwards.
3. During the year ended 30 June 2017, a total dividend of Sh.6,000,000 was paid.
4. As at 30 June 2017, the goodwill and the intangible assets had carrying amounts of Sh.1,000,000 and Sh. 1,000,000 respectively. Goodwill impaired by Sh.200,000 during the year.
5. Finance costs had been paid by 30 June 2016.
6. During the year ended 30 June 2017, an equipment was obtained under a finance lease.

Required: Statement of cash flows in accordance with International Accounting Standard (IAS) 7, "Statement of Cash Flows" for the year ended 30 June 2017. (14 marks)
(Total: 20 marks)

SokoCPA worked solution

(a) THREE WAYS THE GOVERNMENT COULD ENSURE SUCCESSFUL ADOPTION OF PUBLIC SECTOR ACCOUNTING STANDARDS 1. Legal and institutional backing: give the standards a firm legal basis (e.g. through the Public Finance Management Act and directives of the National Treasury and the Public Sector Accounting Standards Board), with a clear, phased implementation roadmap and mandatory adoption dates for all government entities, so that adoption is a compliance obligation rather than an option. 2. Capacity building: train and certify public sector accountants and auditors in accrual-basis IPSAS, recruit qualified staff, and provide implementation manuals and technical support, since the move from cash to accrual accounting demands new skills in recognising assets, liabilities and provisions. 3. Systems, funding and enforcement: invest

in integrated financial management information systems (IFMIS) capable of accrual accounting, fund the transition adequately, open and verify opening balances (asset registers and valuation of government assets and liabilities), and enforce compliance through the Auditor-General's audits, sanctions for non-compliance and public reporting of progress.

(b) HAPPY TIME LTD — STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2017 (IAS 7, INDIRECT METHOD) (Sh."000)

Cash flows from operating activities: Profit before taxation 14,000 Adjustments for: Finance costs 3,600 Impairment of goodwill 200 Profit on disposal of equipment (W1) (300) Investment income (1,600) Operating profit before working capital changes 15,900 Increase in inventory (3,000) Increase in accounts receivable (7,000) Increase in accounts payable 3,000 Cash generated from operations 8,900 Interest paid (3,600) Income tax paid (W2) (3,000) Net cash from operating activities 2,300

Cash flows from investing activities: Purchase of property, plant and equipment, net of depreciation charged in the year (W3) (3,400) Additions to goodwill and intangible assets (W4) (1,200) Purchase of short-term investments (2,000) Proceeds from sale of equipment 700 Investment income received 1,600 Net cash used in investing activities (4,300)

Cash flows from financing activities: Proceeds from issue of shares (W5) 6,000 Increase in long-term borrowings 2,000 Dividends paid (6,000) Net cash from financing activities 2,000

Net movement in cash and cash equivalents 0 Cash and cash equivalents at 1 July 2016 1,000 Cash and cash equivalents at 30 June 2017 1,000

Workings: W1. Disposal: NBV = 1,400 − 1,000 = 400; proceeds 700 → profit on disposal 300. W2. Tax paid: the income tax expense of 4,000 includes the increase in deferred tax of 3,000 (6,000 − 3,000), so the current tax charge is 1,000; tax paid = opening tax payable 4,000 + 1,000 − closing tax payable 2,000 = 3,000. W3. PPE account: opening 50,000 (see note) + additions + revaluation uplift 2,000 (revaluation reserve 4,000 → 6,000) − depreciation − NBV of disposal 400 = closing 55,000, so additions net of the depreciation charged in the year = 3,400. The depreciation charge for the year is not separately disclosed in the question; it is therefore netted against purchases of PPE in this line, and correspondingly is not added back in operating activities — the section totals and the net cash flow are unaffected. The equipment obtained under a finance lease (note 6) is a non-cash investing and financing transaction and is disclosed as such in accordance with IAS 7.43; it is excluded from the cash flows. W4. Goodwill and intangibles: additions = closing carrying amount 2,000 − opening 1,000 + impairment written back 200 = 1,200. W5. Share issue proceeds: share capital (25,000 − 20,000) 5,000 + share premium (4,000 − 3,000) 1,000 = 6,000. Retained earnings check: 3,000 + profit 10,000 − dividends 6,000 = 7,000 ✓.

Note: the 2016 column of the statement of financial position as printed is internally inconsistent — its asset components total Sh.65,000,000 (not 85,000 as printed) and its equity components total Sh.30,000,000 (not 40,000 as printed). The statement above is prepared on the only reconstruction under which the 2016 statement balances and the 2017 cash flows reconcile: property, plant and equipment at 30 June 2016 of Sh.50,000,000 (total assets Sh.75,000,000 = equity Sh.30,000,000 + liabilities Sh.45,000,000).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Legal/institutional backing with a phased roadmap and mandatory adoption dates (e.g. through the PFM Act, National Treasury and PSASB) **(2)**
- (a) Capacity building: training/certification of public sector accountants and auditors in accrual IPSAS, manuals and technical support **(2)**

- (a) Systems, funding and enforcement: IFMIS and asset registers/opening balances, adequate transition funding, audit by the Auditor-General and sanctions for non-compliance **(2)**
- (b) Operating activities opened from profit before tax 14,000 with correct adjustments: finance costs 3,600, goodwill impairment 200, profit on disposal (300), investment income (1,600) **(3)**
- (b) Working capital movements: inventory (3,000), receivables (7,000), payables 3,000; cash generated from operations 8,900 **(2)**
- (b) Interest paid 3,600 and tax paid 3,000 (derived after separating the deferred tax increase of 3,000 from the tax charge); net cash from operating activities 2,300 (before any depreciation grossing, which is not disclosed in the question) **(3)**
- (b) Investing: PPE additions net of depreciation 3,400 (after the 2,000 revaluation uplift and the disposal NBV of 400), goodwill/intangible additions 1,200, short-term investments (2,000), disposal proceeds 700, investment income received 1,600; net (4,300) **(3)**
- (b) Financing: share issue proceeds 6,000, borrowings increase 2,000, dividends paid (6,000); net 2,000; net cash movement nil reconciled to cash of 1,000 at both dates, with the finance lease treated as a non-cash transaction **(3)**

KASNEB-2016-11-Q3 · November 2016 · 20 marks KASNEB authored

Roles of the Accountant General; statement of cash flows (Tahidi Ltd)

(a) Highlight five roles of the Accountant General in a public sector entity. (5 marks)
(b) The following are the summarised statements of financial position of Tahidi Ltd. as at 30 September 2015 and 30 September 2016 (Sh."000"): Non-current assets: Freehold land and buildings 2016: 7,200, 2015: 5,760; Plant and equipment (at net book value) 9,360, 6,240; Total non-current assets 16,560, 12,000. Current assets: Inventory 3,480, 3,600; Accounts receivable 3,955, 3,960; Cash at bank 4,680, 1,560; Total current assets 12,115, 9,120. Total assets 28,675, 21,120. Equity: Ordinary share capital (Sh.20) 10,800, 5,400; Share premium 1,680, 840; Revaluation reserve 720, -; Retained earnings 3,600, 3,360; Total equity 16,800, 9,600. Long-term loan 6,000, 4,800. Trade payables 3,200, 2,880; Tax payable 1,875, 2,400; Proposed dividend 800, 1,440; Total current liabilities 5,875, 6,720. Total equity and liabilities 28,675, 21,120.

Additional information:
1. During the year, plant and equipment costing Sh.740,000 was sold for Sh.240,000. The plant and equipment had a net book value of Sh.360,000.
2. The profit before tax for the year ended 30 September 2016 was Sh.2,400,000.
3. The depreciation charge for the year ended 30 September 2016 was Sh.1,440,000.

Required: Statement of cash flows for the year ended 30 September 2016 in accordance with IAS 7 (Statement of Cash Flows). (15 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Five roles of the Accountant General in a public sector entity (any five)

1. **Custodian of the Consolidated Fund and public accounts** — receives all government revenue and authorises withdrawals/payments from the Consolidated Fund in accordance with the Constitution and the PFM Act.
2. **Preparation of government financial statements** — prepares and submits the annual financial statements of the national government (and consolidated accounts) to the Auditor-General for audit.

3. **Setting accounting standards and systems** — prescribes accounting procedures, charts of accounts and financial reporting formats (in line with IPSAS/PSASB requirements) for all public sector entities.
4. **Operation of the government payment and accounting system** — runs the centralised accounting/payment platform (IFMIS) and maintains the books of account of government ministries, departments and agencies.
5. **Internal financial oversight and advice** — issues treasury circulars, advises the Cabinet Secretary/National Treasury on accounting matters, and ensures accounting officers comply with financial regulations (including follow-up of audit queries).

(b) Statement of cash flows for the year ended 30 September 2016 (IAS 7, indirect method)

Workings

- Loss on disposal of plant: NBV 360 − proceeds 240 = **120** (added back).
- Tax paid: profit after tax = movement in retained earnings 240 + proposed dividend for the year 800 = 1,040; tax charge = 2,400 − 1,040 = 1,360; tax paid = opening payable 2,400 + charge 1,360 − closing payable 1,875 = **1,885**.
- Plant purchases: 6,240 + purchases − depreciation 1,440 − NBV disposed 360 = 9,360 → purchases = **4,920**.
- Land and buildings: increase 7,200 − 5,760 = 1,440, of which 720 is the revaluation surplus (non-cash) → cash purchases = **720**.
- Dividends paid: the 2015 proposed dividend of 1,440 was paid during the year. Share issue proceeds: (10,800 − 5,400) + (1,680 − 840) = **6,240**.

```
Cash flows from operating activities:
  Profit before tax                                  2,400
  Adjustments: Depreciation                          1,440
               Loss on disposal of plant               120
  Working capital changes:
    Decrease in inventory                              120
    Decrease in accounts receivable                      5
    Increase in trade payables                         320
  Cash generated from operations                     4,405
  Tax paid                                          (1,885)
Net cash from operating activities                   2,520

Cash flows from investing activities:
  Purchase of plant and equipment                   (4,920)
  Purchase of land and buildings                       (720)
  Proceeds from disposal of plant                      240
Net cash used in investing activities               (5,400)

Cash flows from financing activities:
  Proceeds from share issue                          6,240
  Proceeds from long-term loan                       1,200
  Dividends paid                                    (1,440)
Net cash from financing activities                   6,000

Net increase in cash and cash equivalents            3,120
```

```
Cash and cash equivalents at 1 October 2015              1,560
Cash and cash equivalents at 30 September 2016           4,680
```

The statement reconciles exactly with the movement in the cash at bank balance (1,560 → 4,680).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any five roles of the Accountant General correctly highlighted (Consolidated Fund custody, government financial statements, accounting standards/systems, IFMIS payments and books, oversight/advice) — 1 each **(5)**
- (b) Operating section started correctly: profit before tax 2,400 + depreciation 1,440 + loss on disposal 120 added back **(3)**
- (b) Working capital movements correctly signed: inventory +120, receivables +5, payables +320 (cash generated 4,405) **(2)**
- (b) Tax paid 1,885 correctly derived (opening payable 2,400 + charge 1,360 − closing payable 1,875; charge from PAT 1,040) **(3)**
- (b) Investing: plant purchases 4,920 derived from the NBV reconciliation and land/buildings purchases 720 (increase net of the 720 revaluation) **(3)**
- (b) Disposal proceeds 240 shown in investing activities **(1)**
- (b) Financing: share issue proceeds 6,240 (capital + premium), loan proceeds 1,200, dividends paid 1,440 **(2)**
- (b) Net increase in cash 3,120 reconciling opening 1,560 to closing 4,680 **(1)**

KASNEB-2015-11-Q4 · November 2015 · 20 marks KASNEB authored

Contents of a partnership deed; IAS 7 statement of cash flows (Embe Ltd)

(a) Outline five contents of a partnership deed. (5 marks)
(b) The following are the statements of financial position of Embe Ltd. as at 30 June 2014 and 30 June 2015 (Sh."000"): Property, plant and equipment 2014: 152,720, 2015: 230,448. Current assets: Inventory 33,120 / 41,400; Trade receivables 16,560 / 20,152; Bank balance and cash in hand 6,800 / (2,760). Total current assets 56,480 / 58,792. Total assets 209,200 / 289,240. Current liabilities: Trade payables 11,040 / 16,560; Taxation 13,800 / 16,560; Dividends 8,280 / 8,280. Total current liabilities (33,120) / (41,400). Net assets 176,080 / 247,840. Financed by: Ordinary share capital 126,400 / 181,600; Share premium 11,040 / 22,080; Revenue reserve 27,600 / 44,160; 12% debentures 11,040 / -. Total 176,080 / 247,840.
Additional information: 1. The 12% debenture was redeemed at a premium of 10% during the year ended 30 June 2015. 2. The extract from the property, plant and equipment schedule indicated the following (Sh."000"): Building - cost 2014: 88,320, 2015: 110,400; depreciation 16,560 / 19,320; net book value 71,760 / 91,080. Plant and equipment - cost 110,400 / 187,680; depreciation 49,680 / 69,000; net book value 60,720 / 118,680. Motor vehicle - cost 36,800 / 44,144; depreciation 16,560 / 23,456; net book value 20,240 / 20,688. 3. An equipment which had cost Sh.16,560,000 and had a net book value of Sh.11,040,000 was sold at a loss of Sh. 2,760,000 during the year ended 30 June 2015. 4. The income statement for the year ended 30 June 2015 was as shown below (Sh."000"): Revenue 281,050; Cost of sales (87,620); Gross profit 193,430; Operating expenses (143,750); Profit before tax 49,680; Tax expenses (19,320); Profit after tax 30,360; Dividend - interim paid 5,520, final proposed 8,280, total (13,800); Retained profit for the year 16,560.
Required: Statement of cash flow in accordance with International Accounting Standard (IAS) 7 "Statement of Cash Flows" for the year ended 30 June 2015. (15 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Five contents of a partnership deed

1. **Names and details** - the name of the firm, the names and addresses of the partners, and the nature and place of the business to be carried on.
2. **Capital contributions** - the amount of capital each partner is to contribute (and whether it is fixed or fluctuating) and the ratio in which capital is held.
3. **Profit and loss sharing ratio** - the ratio in which profits and losses are to be shared between the partners.
4. **Interest and salaries** - the rate of interest, if any, payable on partners' capital and on partners' loans/ advances, any partners' salaries or commissions, and whether interest is charged on drawings.
5. **Drawings and management** - limits on drawings, the duties, powers and obligations of each partner in managing the business, and the rules for admitting a new partner, retirement or death of a partner and the settlement of accounts on dissolution. *(Any five valid contents earn the marks.)*

(b) Embe Ltd - Workings (Sh."000")

W1 - Depreciation charge for the year: Total accumulated depreciation rose from 82,800 (16,560 + 49,680 + 16,560) to 111,776 (19,320 + 69,000 + 23,456), an increase of 28,976. Add back accumulated depreciation on the equipment sold (cost 16,560 - net book value 11,040 = 5,520): charge for the year = **34,496** (building 2,760; plant and equipment 24,840; motor vehicles 6,896). **W2 - Purchases of property, plant and equipment:** Total cost rose from 235,520 to 342,224, an increase of 106,704. Add back the cost of the equipment sold 16,560: purchases = **123,264**. Proceeds on the sale = net book value 11,040 - loss 2,760 = **8,280**. **W3 - Debenture interest and redemption:** Interest at 12% on 11,040 = **1,324.8**. Redemption at a 10% premium: cash paid = 11,040 x 1.10 = **12,144**, the premium of 1,104 being a finance cost already charged in arriving at profit before tax. **W4 - Tax paid:** 13,800 (opening) + 19,320 (charge for the year) - 16,560 (closing) = **16,560**. **W5 - Dividends paid:** opening dividends payable 8,280 (the 2014 final dividend) + interim dividend paid 5,520 = **13,800**. The final dividend proposed for 2015 of 8,280 remains payable at the year end, agreeing with the dividends balance in the statement of financial position. **W6 - Share issue:** Ordinary share capital increased by 55,200 (181,600 - 126,400) and share premium by 11,040 (22,080 - 11,040): proceeds = **66,240**. (Revenue reserve check: 27,600 + retained profit for the year 16,560 = 44,160, agreeing with the statement of financial position.)

Statement of cash flows for the year ended 30 June 2015 (Sh."000")

Cash flows from operating activities: Profit before tax 49,680; add depreciation (W1) 34,496; add loss on disposal of equipment 2,760; add debenture interest (W3) 1,324.8; add premium on redemption of debentures 1,104. Operating profit before working capital changes 89,364.8. Increase in inventory (8,280); increase in trade receivables (3,592); increase in trade payables 5,520. Cash generated from operations 83,012.8; less tax paid (W4) (16,560). **Net cash from operating activities 66,452.8. Cash flows from investing activities:** Purchases of property, plant and equipment (W2) (123,264); proceeds on disposal of equipment 8,280. **Net cash used in investing activities (114,984). Cash flows from financing activities:** Proceeds from issue of ordinary shares (W6) 66,240; redemption of 12% debentures (12,144); debenture interest paid (1,324.8); dividends paid (W5) (13,800). **Net cash from financing activities 38,971.2. Net decrease in cash and cash equivalents (9,560); cash and cash equivalents at 1 July 2014 6,800; cash and cash equivalents at 30 June 2015 (2,760) - bank**

overdraft. The statement reconciles exactly with the movement from a positive bank balance of Sh.6,800,000 to an overdraft of Sh.2,760,000.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any five valid contents of a partnership deed, e.g. names/nature of business, capital contributions, profit-sharing ratio, interest on capital and loans, salaries, drawings rules, admission/retirement/dissolution provisions (1 each) (5) **(5)**
- (b) Starts with profit before tax 49,680 (1) **(1)**
- (b) Depreciation charge computed as 34,496, including adding back 5,520 accumulated depreciation on the equipment sold (2) **(2)**
- (b) Loss on disposal of equipment added back 2,760 (1) **(1)**
- (b) Debenture interest 1,324.8 and premium on redemption 1,104 added back as finance costs (1) **(1)**
- (b) Working capital: inventory increase (8,280), receivables increase (3,592), payables increase 5,520 (2) **(2)**
- (b) Tax paid computed as 16,560 (13,800 + 19,320 - 16,560) (1) **(1)**
- (b) Purchases of property, plant and equipment computed as 123,264, including adding back the cost of the asset sold (2) **(2)**
- (b) Proceeds on disposal 8,280 (net book value 11,040 - loss 2,760) (1) **(1)**
- (b) Share issue proceeds 66,240 (capital 55,200 + premium 11,040) (1) **(1)**
- (b) Debenture redemption payment 12,144 including the 10% premium (1) **(1)**
- (b) Interest paid 1,324.8 and dividends paid 13,800 (8,280 opening payable + 5,520 interim) in financing (1) **(1)**
- (b) Net decrease of 9,560 reconciling cash of 6,800 to the overdraft of (2,760) (1) **(1)**

Check your understanding

In the SokoCPA app, this lesson has **13 practice questions** (Easy 11 · Medium 1 · Hard 1), serials CA11-M11-Q001 – CA11-M11-Q021. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 11 · ANALYSING FINANCIAL STATEMENTS — LESSON 2

Lesson 2: Profitability and Liquidity Ratios

Learning objectives

By the end of this lesson you should be able to:

1. State the five categories of financial ratios and identify the interested parties for each.
2. Define, compute and interpret all **profitability ratios**: ROCE, gross profit margin, net profit margin, operating profit margin, operating expenses ratio, return on investment, return on equity and net assets turnover.
3. Define, compute and interpret all **liquidity ratios**: current ratio, acid test (quick) ratio, cash ratio and net working capital to total assets.
4. Apply the ratios to a full set of financial statements and comment on what each result reveals about performance.
5. Avoid the classic exam errors: wrong profit figure in the numerator, mixing pre- and post-tax profits, and including inventory in the quick ratio.

---

1. Why ratios? Who uses them?

Financial ratios are relationships determined from a firm's financial information and used for **comparison** — against prior years, budgets, and competitors. There is no single list useful to everyone, because stakeholders want different things:

Ratio category	Interested parties
Profitability	Shareholders, management, employees, creditors, potential investors
Liquidity	Shareholders, suppliers, creditors, competitors
Efficiency	Shareholders, potential purchasers, competitors
Shareholder (investment)	Shareholders, potential investors
Capital structure (gearing)	Shareholders, lenders, creditors, potential investors

This lesson covers **profitability** and **liquidity**; efficiency and investor ratios follow in Lesson 3; gearing is covered alongside interpretation in Lesson 4.

2. Running example — Tumaini Traders Ltd

We will use one consistent company through Lessons 2–4 so you can see how the ratios knit together.

Tumaini Traders Ltd — Income statement for the year ended 31 December 2025 (Sh.'000)

	Sh.'000
Sales (all on credit)	2,400
Cost of sales	(1,440)
Gross profit	960
Operating expenses (including depreciation 120)	(480)
Operating profit (EBIT)	480

	Sh.'000
Interest expense	(60)
Profit before tax	420
Tax (30%)	(126)
Profit after tax	**294**
Dividends	(100)
Retained for the year	194

Statement of financial position as at 31 December 2025 (Sh.'000)

Non-current assets	1,600
Inventory	300
Trade receivables	400
Cash	60
Total assets	**2,360**
Share capital (200,000 ordinary shares of Sh.5)	1,000
Retained earnings	660
Total equity	**1,660**
10% loan (non-current)	400
Trade payables	240
Tax payable	60
Total equity and liabilities	**2,360**

Opening balances: inventory 260; trade receivables 340; trade payables 210. Market price per share: Sh.32.

Balance check: 1,660 + 400 + 240 + 60 = **2,360** ✓.

3. Profitability ratios

Profitability ratios measure management's effectiveness as shown by returns generated on sales and investment.

Return on capital employed (ROCE)

```
ROCE = Profit before interest and tax (operating profit) ÷ Capital employed × 100
```

Capital employed = shareholders' funds + long-term debt = total assets − current liabilities. For Tumaini: 2,360 − 300 = **2,060**. ROCE = 480 ÷ 2,060 × 100 = **23.3%**. This is the **primary** profitability ratio: it measures how efficiently long-term funds generate operating returns. Use **operating profit (before interest and tax)** because interest relates to the financing decision, not operating efficiency.

Gross profit margin

```
Gross profit margin = Gross profit ÷ Sales × 100 = 960 ÷ 2,400 × 100 = 40.0%
```

Shows how well **production costs** have been controlled relative to sales. A falling margin suggests rising cost of sales or price pressure.

Net profit margin

```
Net profit margin = Net profit (after tax) ÷ Sales × 100 = 294 ÷ 2,400 × 100 = 12.25%
```

Measures the firm's ability to control **production, operating and financing costs** — the "bottom line" per shilling of sales.

Operating profit margin

```
Operating profit margin = Operating profit (EBIT) ÷ Sales × 100 = 480 ÷ 2,400 × 100 =
20.0%
```

Indicates efficiency in controlling costs to generate profit from sales, **before** financing costs and tax — the cleanest measure of trading performance.

Operating expenses ratio

```
Operating expenses ratio = Operating expenses ÷ Sales × 100 = 480 ÷ 2,400 × 100 = 20.0%
```

A firm's ability to control production and operating costs for a given level of sales. Rising ratio = cost control slipping.

Return on equity (ROE)

```
ROE = Earnings attributable to equity shareholders ÷ Equity × 100 = 294 ÷ 1,660 × 100 =
17.7%
```

Measures efficiency in generating returns **to shareholders** on their funds. Equity = ordinary share capital + share premium + reserves.

Return on investment

```
Return on investment = Net profit after tax ÷ Capital employed × 100 = 294 ÷ 2,060 × 100
= 14.3%
```

Like ROCE but on an after-tax basis — efficiency of total long-term funds in generating owners' returns.

Net assets turnover

```
Net assets turnover = Sales ÷ Capital employed = 2,400 ÷ 2,060 = 1.16 times
```

Guides **productive efficiency**: how well assets generate sales. Note the neat relationship: **ROCE = operating margin × net assets turnover** (20.0% × 1.16 ≈ 23.3%) — the DuPont decomposition. It tells you whether a high ROCE comes from margins or from asset sweat.

Exam trap: the three "profit" numerators are different on purpose — gross profit for gross margin, operating profit (EBIT) for ROCE/operating margin, net profit after tax for net margin/ROE. Mixing them up is the single most common ratio error.

4. Liquidity ratios

Liquidity ratios measure the firm's ability to meet **short-term maturing obligations** as they fall due. The lower the ratio, the higher the liquidity risk. Failure here leads to poor creditworthiness, litigation by creditors and insolvency.

Current ratio

```
Current ratio = Current assets ÷ Current liabilities = 760 ÷ 300 = 2.53 times
```

More than one means current assets exceed current liabilities. Tumaini's 2.53:1 looks comfortable — but an excessively high ratio can signal **inefficient** use of assets (e.g. bloated inventory).

Acid test (quick) ratio

```
Acid test ratio = (Current assets − inventory) ÷ Current liabilities = (760 − 300) ÷ 300
= 1.53 times
```

A firm with a satisfactory current ratio may actually be illiquid when inventory dominates current assets — inventory is the **least liquid** current asset. Tumaini's 1.53:1 is healthy (above the 1:1 rule of thumb).

Cash ratio

```
Cash ratio = Cash ÷ Current liabilities = 60 ÷ 300 = 0.20 times
```

The strictest test — of interest to a very short-term creditor. Only 20% of current liabilities could be met from cash immediately.

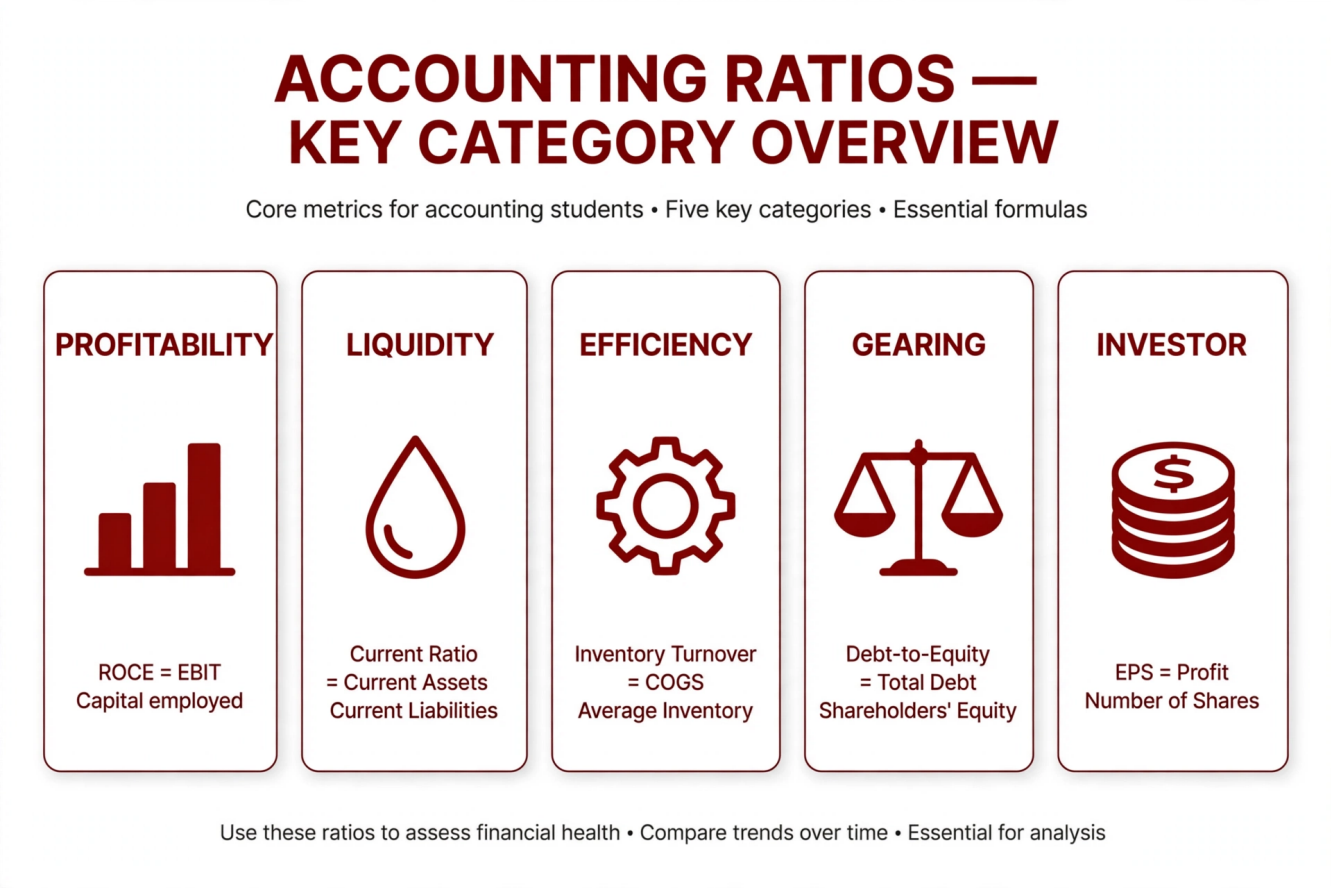
Net working capital to total assets

```
= Net working capital ÷ Total assets × 100 = (760 − 300) ÷ 2,360 × 100 = 19.5%
```

Net working capital viewed relative to total assets; a relatively low value may indicate low liquidity levels.

5. Interpretation pointers

- **Profitability:** Tumaini earns Sh.40 gross and Sh.12.25 net per Sh.100 of sales; ROCE of 23.3% comfortably exceeds its 10% borrowing cost — **positive gearing**, borrowing creates shareholder value.
- **Liquidity:** 2.53:1 current and 1.53:1 quick ratios indicate strong short-term solvency; but note the gap between the two — **inventory (Sh.300,000) is heavy**, so monitor stock turnover (Lesson 3).
- Always interpret **in context**: compare with prior years, industry averages and the firm's own targets. A ratio in isolation is a number; a ratio in comparison is information.



Key terms

- **ROCE** — operating profit ÷ capital employed; the primary measure of long-term operating efficiency.
- **Gross profit margin** — gross profit ÷ sales; control of production costs.
- **Net profit margin** — net profit after tax ÷ sales; overall cost control per shilling of sales.
- **Operating profit margin** — EBIT ÷ sales; trading performance before financing and tax.
- **ROE** — earnings to equity shareholders ÷ equity; return on shareholders' funds.
- **Current ratio** — current assets ÷ current liabilities; basic short-term solvency.
- **Acid test (quick) ratio** — (current assets − inventory) ÷ current liabilities; liquidity excluding the least liquid asset.
- **DuPont decomposition** — ROCE = operating margin × net assets turnover.

Module summary (so far)

- Ratios exist for **comparison**; different stakeholders care about different categories.
- Profitability ratios use three distinct numerators (gross, operating, net) — match the numerator to the question asked.
- ROCE (23.3% for Tumaini) is the headline profitability measure; compare it with the cost of borrowing to judge gearing benefits.
- Liquidity ratios (current 2.53, quick 1.53, cash 0.20) test short-term survival; always look behind the current ratio at the quick ratio.

Exam day tips

1. Write the **formula first**, then substitute figures — formula marks are awarded even with wrong numbers.
2. State whether each ratio is a **%, times, or days** — "2.53" without "times" loses the presentation mark.
3. Never include inventory in the quick ratio numerator — the examiner deliberately gives a large inventory to catch this.
4. When asked to "comment", give **two things per ratio**: what the number means, and whether it is good/bad and why.
5. Cross-check: operating margin × asset turnover should approximately equal ROCE — use it to catch arithmetic slips.

Slide deck at a glance

Why ratios? Who uses them?

- Ratios enable COMPARISON: prior years, budgets, competitors
- Profitability → shareholders, management, investors
- Liquidity → suppliers, creditors. Efficiency → purchasers, rivals
- Gearing → lenders. Shareholder ratios → investors
- This lesson: profitability + liquidity (Tumaini Traders Ltd)

Running example — Tumaini Traders (Sh.'000)

- Sales 2,400; gross profit 960; EBIT 480; PAT 294
- Capital employed = 2,360 − 300 = 2,060; equity = 1,660
- Current assets 760; inventory 300; current liabilities 300
- Balance check: 1,660 + 400 + 240 + 60 = 2,360 ✓

ROCE — the primary profitability ratio

- ROCE = operating profit ÷ capital employed × 100
- 480 ÷ 2,060 × 100 = 23.3%
- Use EBIT: interest is a financing decision, not operating efficiency
- DuPont: ROCE = operating margin × net assets turnover

Margin ratios — Tumaini results

- Gross profit margin = 960 ÷ 2,400 × 100 = 40.0%
- Operating profit margin = 480 ÷ 2,400 × 100 = 20.0%
- Net profit margin = 294 ÷ 2,400 × 100 = 12.25%
- ROE = 294 ÷ 1,660 × 100 = 17.7%; net assets turnover = 1.16 times
- Exam trap: gross/operating/net numerators are different on purpose

Liquidity ratios — Tumaini results

- Current ratio = 760 ÷ 300 = 2.53 times — comfortable
- Quick ratio = (760 − 300) ÷ 300 = 1.53 times — healthy (≥1:1)
- Cash ratio = 60 ÷ 300 = 0.20 times — strictest test
- Working capital to assets = (760−300) ÷ 2,360 × 100 = 19.5%

Interpretation pointers

- ROCE 23.3% > 10% borrowing cost → POSITIVE gearing for shareholders
- Current 2.53× vs quick 1.53×: gap = heavy inventory (Sh.300,000)
- High current ratio can also mean INEFFICIENT assets — bloated stock

- Always compare: prior year, industry, target — a ratio alone is just a number

Key takeaways / exam tips

- Write the FORMULA first — formula marks even with wrong numbers
- State units: %, times, or days — '2.53' alone loses the mark
- Never include inventory in the quick ratio numerator
- Margin × turnover ≈ ROCE — use it to catch arithmetic slips

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2022-04-Q4 · April 2022 · 20 marks KASNEB authored

Comparative ratio analysis (Green Traders vs Gold Traders)

Green Traders and Gold Traders sell household furniture. Financial statements for the year ended 31 December 2021 (Sh."000"):

Statement of profit or loss — Sales (all credit): Green 3,000, Gold 1,800. Opening inventory: 348 / 750. Purchases (all credit): 2,304 / 1,620. Closing inventory: (252) / (1,170). Cost of sales: (2,400) / (1,200). Gross profit: 600 / 600. Distribution cost: 324 / 120. Administrative cost: 30 / 108. Finance cost: 6 / 72. Total expenses: (360) / (300). Net profit before tax: 240 / 300. Tax: (120) / (150). Net profit for the year: 120 / 150.

Statement of financial position — Property, plant and equipment: 558 / 2,070. Inventory: 252 / 1,170. Accounts receivable: 150 / 600. Bank: 6 / 360. Total current assets: 408 / 2,130. Total assets: 966 / 4,200. Ordinary shares: 450 / 2,100. Retained profits: 150 / 900. Capital and reserves: 600 / 3,000. 10% debentures: 60 / 720. Accounts payable: 186 / 330. Current tax: 120 / 150. Total current liabilities: 306 / 480. Total equity and liabilities: 966 / 4,200.

NB: Assume a 365-day year.

Required: (a) Compute for each company: (i) Gross profit margin. (ii) Net profit margin. (iii) Return on capital employed. (iv) Return on assets. (v) Current ratio. (vi) Assets turnover. (vii) Inventory turnover. (viii) Trade receivable days. (ix) Trade payable days. (18 marks) (b) Comment on the profitability of each company. (2 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Ratios (Sh."000"; PBIT = PBT + finance cost: Green 240 + 6 = 246; Gold 300 + 72 = 372)

Ratio	Green Traders	Gold Traders
(i) Gross profit margin = GP ÷ sales	600/3,000 = **20.00%**	600/1,800 = **33.33%**
(ii) Net profit margin = PAT ÷ sales	120/3,000 = **4.00%**	150/1,800 = **8.33%**
(iii) ROCE = PBIT ÷ (equity + debentures)	246/660 = **37.27%**	372/3,720 = **10.00%**
(iv) Return on assets = PBIT ÷ total assets	246/966 = **25.47%**	372/4,200 = **8.86%**
(v) Current ratio = CA ÷ CL	408/306 = **1.33 : 1**	2,130/480 = **4.44 : 1**
(vi) Asset turnover = sales ÷ total assets	3,000/966 = **3.11 times**	1,800/4,200 = **0.43 times**
(vii) Inventory turnover = COS ÷ average inventory	2,400/300 = **8.00 times**	1,200/960 = **1.25 times**

Ratio	Green Traders	Gold Traders
(viii) Receivable days = receivables ÷ credit sales × 365	150/3,000 × 365 = **18.25 days**	600/1,800 × 365 = **121.67 days**
(ix) Payable days = payables ÷ credit purchases × 365	186/2,304 × 365 = **29.47 days**	330/1,620 × 365 = **74.35 days**

(b) Comment on profitability

Gold Traders earns the better margins — a gross margin of 33.33% against Green's 20.00% and a net margin of 8.33% against 4.00% — suggesting stronger pricing power or a higher-value product mix, and it converts each shilling of sales into twice as much bottom-line profit. However, **Green Traders** is far more profitable relative to the resources employed: its ROCE of 37.27% dwarfs Gold's 10.00% because Green sweats its assets much harder — asset turnover of 3.11 times versus 0.43, inventory turning 8 times a year against 1.25, and receivables collected in 18 days against 122 days. Gold's profitability is diluted by a bloated asset base (heavy PPE, inventory and receivables) and a much larger capital base including Sh.720,000 of debentures whose interest absorbs its margin advantage. In short: Gold wins on margins per sale; Green wins decisively on returns per shilling invested.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a)(i)-(ii) Margins: Green GP 20.00%, NP 4.00%; Gold GP 33.33%, NP 8.33% (2 marks per ratio pair, 9 ratios × 2 = 18 in total as itemised below) **(4)**
- (a)(iii)-(iv) ROCE Green 37.27% / Gold 10.00%; return on assets 25.47% / 8.86% (PBIT = PBT + finance cost) **(4)**
- (a)(v)-(vi) Current ratio 1.33 / 4.44; asset turnover 3.11× / 0.43× **(4)**
- (a)(vii) Inventory turnover 8.00× / 1.25× using average inventory **(2)**
- (a)(viii)-(ix) Receivable days 18.25 / 121.67; payable days 29.47 / 74.35 (365-day year) **(4)**
- (b) Profitability comment: Gold's superior margins vs Green's superior returns on capital/assets driven by asset utilisation and working-capital discipline **(2)**

KASNEB-2016-05-Q4 · May 2016 · 20 marks KASNEB authored

Cash vs profit explanation; ratio analysis (Pata Pata Ltd)

(a) Explain why the cash generated from operations may differ from the operating profit. (6 marks)
(b) The following financial statements relate to Pata Pata Ltd.:

Income statement for the year ended 31 December 2015 (Sh."000"): Sales 6,090; Cost of sales (3,740); Gross profit 2,350; Expenses (1,700); Net profit 650.

Income statement for the year ended 31 December 2016 (Sh."000"): Sales 8,140; Cost of sales (5,830); Gross profit 2,310; Expenses (1,870); Net profit 440.

Statement of financial position extracts (Sh."000"): 2015 / 2016: Current assets: Inventory 608 / 522; Accounts receivable 602 / 877; Bank 852 / 1,388. Total current assets 2,062 / 2,787. Current liabilities: Accounts payable 302 / 434; Bank overdraft 20 / 30. Total current liabilities 322 / 464. Capital employed 1,740 / 2,323. Net profit 650 / 440. Interest payable 95 / 128.

Required: Compute the following ratios for the years ended 31 December 2015 and 31 December 2016: (i) Gross profit margin. (2 marks) (ii) Return on capital employed (ROCE). (2 marks) (iii) Current ratio. (2 marks)

(iv) Acid test ratio. (2 marks) (v) Inventory turnover (use average inventory). (3 marks) (vi) Accounts receivables collection period. (3 marks) (Total: 20 marks)

SokoCPA worked solution

All figures Sh."000".

(a) Why cash generated from operations differs from operating profit (any three, developed)

1. **Non-cash expenses:** operating profit is reduced by charges that involve no cash outflow — depreciation, amortisation, provisions and losses on disposal — so cash generated is higher than profit by those amounts (they are added back).
2. **Working capital movements:** profit recognises sales and purchases when made, not when cash moves. Cash is absorbed when inventory and receivables increase, and released when payables increase; hence a profitable, growing business can generate little operating cash (exactly the pattern visible in part (b): receivables rose from 602 to 877 in 2016).
3. **Accruals, prepayments and non-operating items:** expenses are matched to the period (accrued/prepaid amounts differ from cash paid), and the income statement may include items whose cash belongs elsewhere or nowhere in operations — e.g. profit on disposal of assets (the cash proceeds are investing flows; only the gain is in profit), investment income and interest/tax, which are presented separately in the cash flow statement.

(b) Ratios

```
(i) Gross profit margin = Gross profit / Sales
    2015: 2,350 / 6,090 = 38.59%
    2016: 2,310 / 8,140 = 28.38%

(ii) ROCE = (Net profit + Interest) / Capital employed
    2015: (650 + 95) / 1,740 = 42.82%
    2016: (440 + 128) / 2,323 = 24.45%

(iii) Current ratio = Current assets / Current liabilities
    2015: 2,062 / 322 = 6.40 : 1
    2016: 2,787 / 464 = 6.01 : 1

(iv) Acid test ratio = (Current assets - Inventory) / Current liabilities
    2015: (2,062 - 608) / 322 = 4.52 : 1
    2016: (2,787 - 522) / 464 = 4.88 : 1

(v) Inventory turnover = Cost of sales / Average inventory
    2015: 3,740 / 608 = 6.15 times (closing inventory used;
          the 2014 closing inventory needed for an average is not given)
    2016: 5,830 / ((608 + 522) / 2) = 5,830 / 565 = 10.32 times

(vi) Receivables collection period = Receivables / Sales x 365
    2015: 602 / 6,090 x 365 = 36.1 days (say 36 days)
    2016: 877 / 8,140 x 365 = 39.3 days (say 39 days)
```

Brief reading: profitability fell sharply in 2016 (gross margin down 10.2 percentage points and ROCE almost halved) even though sales grew by a third — cost of sales grew much faster than sales. Liquidity remains very

strong (current ratio around 6:1) and inventory turns over faster, but customers are taking about 3 days longer to pay.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Reason 1 developed: non-cash charges (depreciation, provisions) reduce profit but not cash **(2)**
- (a) Reason 2 developed: working capital movements — cash tied up in/released from inventory, receivables and payables **(2)**
- (a) Reason 3 developed: accruals/prepayments timing and/or non-operating items in profit (disposal gains, interest, tax) **(2)**
- (b)(i) Gross profit margin: 38.59% (2015) and 28.38% (2016) **(2)**
- (b)(ii) ROCE: 42.82% (2015) and 24.45% (2016) — profit before interest over capital employed (a consistently applied NP/CE basis, 37.36% / 18.94%, also acceptable) **(2)**
- (b)(iii) Current ratio: 6.40:1 (2015) and 6.01:1 (2016) **(2)**
- (b)(iv) Acid test ratio: 4.52:1 (2015) and 4.88:1 (2016) **(2)**
- (b)(v) Inventory turnover: 6.15 times (2015, closing inventory) and 10.32 times (2016, average inventory 565) **(3)**
- (b)(vi) Receivables collection period: 36.1 days (2015) and 39.3 days (2016) **(3)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M11-Q015 – CA11-M11-Q030. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 11 · ANALYSING FINANCIAL STATEMENTS — LESSON 3

Lesson 3: Efficiency and Investor Ratios

Learning objectives

By the end of this lesson you should be able to:

1. Compute and interpret **efficiency (activity/turnover) ratios**: debtors turnover and collection period, creditors turnover and deferral period, inventory turnover and conversion period, the working capital (operating) cycle, and asset turnovers.
2. Compute the length of the **operating cash cycle** for a manufacturing firm, including raw material, work-in-progress and finished goods conversion periods.
3. Compute and interpret **investor (investment/equity) ratios**: EPS, DPS, dividend payout and retention ratios, dividend cover, earnings yield, dividend yield and the price-earnings ratio.
4. Explain how efficiency ratios link to liquidity and how investor ratios guide dividend policy and valuation judgments.
5. Avoid the classic errors: using sales instead of cost of sales for inventory turnover, using year-end instead of average balances, and confusing dividend cover with the payout ratio.

---

1. Efficiency (activity) ratios — how hard do the assets work?

These measure the efficiency with which a firm uses its assets to generate sales — also called **turnover ratios**, since they show the rate at which assets convert into sales. We continue with **Tumaini Traders Ltd** (data in Lesson 2). Use **365 days** and, where available, **average** balances: average receivables (340+400)/2 = **370**; average payables (210+240)/2 = **225**; average inventory (260+300)/2 = **280** (all Sh.'000).

Debtors turnover and average collection period

```
Debtors turnover = Credit sales ÷ Average debtors = 2,400 ÷ 370 = 6.49 times
Debtors days (average collection period) = Average debtors ÷ Credit sales × 365 = 370 ÷
2,400 × 365 = 56.3 days
(also = 365 ÷ debtors turnover)
```

The higher the turnover, the more efficient the credit management. Tumaini collects in ~56 days — compare this with the firm's allowed credit period: if terms are 30 days, collection is dangerously slow.

Creditors turnover and average deferral period

```
Creditors turnover = Credit purchases ÷ Average creditors = 1,440 ÷ 225 = 6.40 times
Creditors days (average deferral period) = Average creditors ÷ Credit purchases × 365 =
225 ÷ 1,440 × 365 = 57.0 days
```

Exam trap: use **credit purchases** (here approximated by cost of sales, 1,440 — state the assumption), not sales. The deferral period shows how long suppliers finance the firm; stretching it too far damages supplier relations.

Inventory turnover and conversion period

```
Inventory turnover = Cost of sales ÷ Average inventory = 1,440 ÷ 280 = 5.14 times
Inventory days (conversion period) = Average inventory ÷ Cost of sales × 365 = 280 ÷
1,440 × 365 = 71.0 days
```

Exam trap: inventory turnover uses **cost of sales**, not sales. Tumaini's stock sits 71 days before sale — this explains the gap between its current ratio (2.53) and quick ratio (1.53) in Lesson 2.

Working capital (operating/cash) cycle

The period for which working capital financing is needed — cash is tied up from paying for stock until collecting from customers:

```
Average collection period        56.3 days
Add: inventory conversion period 71.0 days
Less: average deferral period   (57.0 days)
Working capital cycle            70.3 days
```

The higher the cycle, the higher the investment in working capital. **Cash (operating) turnover** = 365 ÷ 70.3 = **5.19 times** — the number of times working capital must be replenished in a year.

Asset turnovers

```
Fixed assets turnover = Sales ÷ Total fixed assets = 2,400 ÷ 1,600 = 1.50 times
Total assets turnover = Sales ÷ Total assets = 2,400 ÷ 2,360 = 1.02 times
Net assets turnover   = Sales ÷ Capital employed = 2,400 ÷ 2,060 = 1.16 times  (Lesson 2)
```

For every shilling of fixed assets, Tumaini generates Sh.1.50 of sales. Compare across years: a falling turnover with rising assets suggests over-investment or idle capacity.

2. Manufacturing operating cycle — the book's Mutongoi illustration

For a manufacturer, the inventory conversion period splits into three stages. Using the book's Mutongoi Limited data (Sh.'000): raw material purchases 6,700; raw material usage 6,500; credit sales 25,000; cost of sales 18,000; average creditors 1,400; average raw materials 1,200; average WIP 1,000; average finished goods 2,100; average debtors 4,700.

```
Raw material conversion period   = 1,200 ÷ 6,500 × 365   =  67 days
WIP conversion period            = 1,000 ÷ 18,000 × 365  =  20 days
Finished goods conversion period = 2,100 ÷ 18,000 × 365  =  43 days
Inventory conversion period (total)                        = 130 days
Debtors conversion period        = 4,700 ÷ 25,000 × 365  =  69 days
Gross working capital cycle                                = 199 days
Less: creditors deferral period = 1,400 ÷ 6,700 × 365   = (76 days)
Net cash operating cycle                                   = 123 days
```

Note the denominators carefully: raw material usage for the raw material stage, **cost of production/cost of sales** for WIP and finished goods, **credit sales** for debtors, **credit purchases** for creditors. Mixing these denominators is the examiner's favourite trap in this computation.

3. Investor (investment/equity) ratios

These evaluate overall performance for shareholders — dividend policy, theoretical share value, and the effect of issues. Tumaini data: 200,000 ordinary shares, PAT 294,000, dividends 100,000, MPS Sh.32.

Earnings per share (EPS)

```
EPS = Earnings attributable to equity shareholders ÷ Number of ordinary shares
    = 294,000 ÷ 200,000 = Sh.1.47
```

Profitability per share — the single most watched investor ratio.

Dividend per share (DPS)

```
DPS = Total ordinary dividends ÷ Number of ordinary shares = 100,000 ÷ 200,000 = Sh.0.50
```

Dividend payout ratio

```
Payout = Total ordinary dividends ÷ Earnings attributable to equity × 100 = 100 ÷ 294 × 100 = 34.0%
(also = DPS ÷ EPS × 100)
```

The proportion of earnings paid out — key to analysing dividend policy.

Dividend retention (plough-back) ratio

```
Retention = 1 − payout ratio = 1 − 0.34 = 0.66 (66%)
```

Everything not paid out is retained for growth.

Dividend cover

```
Dividend cover = EPS ÷ DPS = 1.47 ÷ 0.50 = 2.94 times
```

Earnings cover the dividend nearly three times — a comfortable, sustainable dividend.

Earnings yield

```
Earnings yield = EPS ÷ MPS × 100 = 1.47 ÷ 32 × 100 = 4.6%
```

Potential return per share relative to market price.

Dividend yield

```
Dividend yield = DPS ÷ MPS × 100 = 0.50 ÷ 32 × 100 = 1.56%
```

Cash dividend return per shilling invested at the current price — compare with interest rates and rival shares.

Price-earnings (P/E) ratio

```
P/E = MPS ÷ EPS = 32 ÷ 1.47 = 21.8 times
```

Investors pay Sh.21.80 for every Sh.1 of earnings — the higher the P/E, the more confident investors are about future performance. Tumaini's 21.8 suggests high growth expectations (set against earnings yield of only 4.6%).

Market-to-book ratio (bonus)

```
Book value per share = Total equity ÷ shares = 1,660,000 ÷ 200,000 = Sh.8.30
Market-to-book = 32 ÷ 8.30 = 3.86 times
```

Above one means the market values the share well above its book value — the share is "doing well" in the market.

4. How the pieces connect

- **Efficiency → liquidity:** Tumaini's 71-day inventory holding and 56-day collection explain why its quick ratio trails its current ratio. Speed up either and liquidity improves without raising a shilling of finance.
- **Efficiency → profitability:** the DuPont link from Lesson 2 (ROCE = margin × asset turnover) shows asset sweat directly drives returns.
- **Investor ratios → dividend policy:** a 34% payout with 2.94× cover signals a growth company retaining two-thirds of earnings; a mature utility might pay out 70%+.

Key terms

- **Debtors turnover / collection period** — credit sales ÷ average debtors; efficiency of credit control.
- **Creditors turnover / deferral period** — credit purchases ÷ average creditors; supplier financing period.
- **Inventory turnover / conversion period** — cost of sales ÷ average inventory; speed of stock conversion.
- **Working capital (operating) cycle** — collection period + inventory period − deferral period; the cash tie-up period.
- **EPS** — earnings per ordinary share; **DPS** — dividend per ordinary share.
- **Payout ratio** — dividends ÷ earnings; **retention ratio** — 1 − payout.
- **Dividend cover** — EPS ÷ DPS; **P/E ratio** — MPS ÷ EPS.
- **Earnings yield / dividend yield** — EPS or DPS ÷ market price; shareholder return vs market value.

Module summary (so far)

- Efficiency ratios track the **cash conversion chain**: buy → hold → sell → collect → pay. Tumaini's cycle is 70.3 days.
- Always use the **right denominator** (cost of sales for inventory, credit purchases for creditors, credit sales for debtors) and **average balances** where given.
- Investor ratios translate accounting profit into **per-share reality**: EPS Sh.1.47, DPS Sh.0.50, P/E 21.8×, dividend cover 2.94×.
- Ratios interlock: efficiency drives liquidity (Lesson 2's quick ratio gap) and profitability (DuPont), and investor ratios reveal the dividend policy behind the numbers.

Exam day tips

1. If the question gives opening and closing balances, use **averages** — examiners deduct for year-end-only figures when averages are available.
2. For inventory turnover the numerator is **cost of sales**; for debtors it is **credit sales** — write the formula before substituting.
3. In the manufacturing cycle, match each stage to its denominator: usage → raw materials; cost of production/sales → WIP and finished goods; purchases → creditors.

4. Dividend cover (times) and payout ratio (%) are reciprocals in spirit — do not confuse them.
5. Comment on investor ratios against **market context** (interest rates, growth expectations), not just the arithmetic.

Practice drill

Using Tumaini's figures, verify the working capital cycle yourself: debtors 56.3 days plus inventory 71 days minus creditors 57 days equals 70.3 days. Now ask what happens if management cuts the collection period to 40 days — the cycle falls to 54 days, freeing roughly 16 days of cost of sales as cash. That single improvement could fund the next quarter's purchases without new borrowing. Efficiency ratios are not abstract: each day saved is cash released, and cash released is interest saved or growth funded.

Slide deck at a glance

Efficiency ratios — Tumaini (365 days, averages)

- Debtors turnover = 2,400 ÷ 370 = 6.49×; collection period = 56.3 days
- Creditors: 1,440 ÷ 225 = 6.40×; deferral period = 57.0 days
- Inventory: 1,440 ÷ 280 = 5.14×; holding period = 71.0 days
- Right numerators: debtors → credit sales; inventory → COST OF SALES

Working capital cycle — Tumaini

- Collection 56.3 + inventory 71.0 − deferral 57.0 = 70.3 days
- Cash tied up over two months per cycle — needs financing
- Cash turnover = 365 ÷ 70.3 = 5.19 times per year
- Fewer days = cash released = interest saved

Manufacturing cycle — Mutongoi Ltd (Sh.'000)

- Raw material: 1,200 ÷ 6,500 × 365 = 67 days
- WIP: 1,000 ÷ 18,000 × 365 = 20 days; finished goods = 43 days
- Inventory 130 + debtors 69 − creditors 76 = 123-day net cycle
- Denominators: usage → raw mat; cost of sales → WIP & finished goods

EPS, DPS, payout and cover — Tumaini

- EPS = 294,000 ÷ 200,000 shares = Sh.1.47
- DPS = 100,000 ÷ 200,000 = Sh.0.50
- Payout = 100 ÷ 294 × 100 = 34.0%; retention = 66%
- Dividend cover = 1.47 ÷ 0.50 = 2.94 times — sustainable

Yields, P/E and market-to-book

- Earnings yield = 1.47 ÷ 32 × 100 = 4.6%
- Dividend yield = 0.50 ÷ 32 × 100 = 1.56%
- P/E = 32 ÷ 1.47 = 21.8 times — growth expectations priced in
- Market-to-book = 32 ÷ 8.30 = 3.86 times — market values it well

How the pieces connect

- Efficiency → liquidity: 71-day stock explains the quick-ratio gap
- Efficiency → profitability: DuPont — asset sweat drives ROCE
- Investor ratios → policy: 34% payout, 2.94× cover = growth company
- Use AVERAGES when opening and closing balances are given

Key takeaways / exam tips

- Inventory numerator = cost of sales; creditors = credit purchases
- Dividend cover (times) vs payout ratio (%): don't confuse them
- Comment against market context, not just the arithmetic
- Each day saved in the cycle is real cash released

KASNEB past-paper worked examples

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KASNEB-2021-08-Q5 · August 2021 · 20 marks KASNEB authored

Roles of accounting officers in the public sector; ratio analysis (Karamu Traders)

(a) Explain three roles played by accounting officers in public sector accounting. (6 marks)
(b) The following are financial statement extracts from the books of Karamu Traders. Statement of profit or loss for the year ended 31 December (Sh."000"): Sales (all on credit) 2020: 400,000; 2019: 240,000. Cost of sales (300,000); (160,000). Gross profit 100,000; 80,000. Expenses (30,000); (20,000). Net profit 70,000; 60,000. Statement of financial position as at 31 December (Sh."000"): Non-current assets 2020: 24,000; 2019: 30,000. Inventory 36,000; 14,000. Trade receivables 72,000; 24,000. Cash at bank –; 2,000. Total current assets 108,000; 40,000. Total assets 132,000; 70,000. Capital balance 1 January 58,000; 24,000. Net profit 70,000; 60,000. Less: Drawings (46,000); (26,000). Capital 82,000; 58,000. Trade payables 30,000; 12,000. Bank overdraft 20,000; –. Total current liabilities 50,000; 12,000. Total equity and liabilities 132,000; 70,000.
Additional information: 1. There were no purchases or disposals of non-current assets during 2019 and 2020. 2. During 2020, Karamu Traders reduced their selling prices in order to stimulate sales. 3. Assume price levels were stable. 4. Assume a 365-day year.
Required: For the years ended 31 December 2019 and 31 December 2020, compute: (i) Gross profit mark-up. (2 marks) (ii) Gross profit margin. (2 marks) (iii) Net profit margin. (2 marks) (iv) Return on capital employed (ROCE). (2 marks) (v) Current ratio. (2 marks) (vi) Acid test ratio. (2 marks) (vii) Accounts receivable collection period. (2 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Roles of accounting officers in public sector accounting (any three)

1. **Custody and proper use of public resources:** an accounting officer is responsible for ensuring that the resources of the entity are used lawfully, effectively, efficiently, economically and transparently, in line with the approved budget and the Public Finance Management Act. 2. **Maintaining proper books and internal controls:** the officer must ensure proper accounting records are kept, sound internal control and risk management systems are in place, and public assets are safeguarded against loss. 3. **Preparation and submission of financial statements:** the officer prepares the entity's financial statements and submits them to the Auditor-General within the statutory period after year-end, and responds to audit queries and management letters. 4. The officer also ensures revenue is collected and banked promptly and that payments are properly authorised and supported.

(b) Karamu Traders — ratios (capital employed = total assets − current liabilities: 2020: 132,000 − 50,000 = 82,000; 2019: 70,000 − 12,000 = 58,000)

Ratio	2020	2019
(i) GP mark-up (GP ÷ cost of sales)	100/300 = 33.3%	80/160 = 50.0%
(ii) GP margin (GP ÷ sales)	100/400 = 25.0%	80/240 = 33.3%
(iii) NP margin (NP ÷ sales)	70/400 = 17.5%	60/240 = 25.0%
(iv) ROCE (NP ÷ capital employed)	70/82 = 85.4%	60/58 = 103.4%
(v) Current ratio (CA ÷ CL)	108/50 = 2.16:1	40/12 = 3.33:1
(vi) Acid test ((CA − inventory) ÷ CL)	72/50 = 1.44:1	26/12 = 2.17:1
(vii) Receivables collection period (receivables ÷ credit sales × 365)	72/400 × 365 = 65.7 days	24/240 × 365 = 36.5 days

The fall in mark-up, margin and ROCE in 2020 is consistent with the reduction in selling prices used to stimulate sales (which raised sales revenue from 240,000 to 400,000); liquidity tightened (current and acid test ratios down, and an overdraft appeared) and customers took nearly twice as long to pay.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Three roles of accounting officers in the public sector explained (2 each) **(6)**
- (b)(i) Gross profit mark-up: 2020 33.3%; 2019 50.0% **(2)**
- (b)(ii) Gross profit margin: 2020 25.0%; 2019 33.3% **(2)**
- (b)(iii) Net profit margin: 2020 17.5%; 2019 25.0% **(2)**
- (b)(iv) ROCE: 2020 85.4%; 2019 103.4% (on closing capital employed of 82,000 and 58,000) **(2)**
- (b)(v) Current ratio: 2020 2.16:1; 2019 3.33:1 **(2)**
- (b)(vi) Acid test ratio: 2020 1.44:1; 2019 2.17:1 **(2)**
- (b)(vii) Receivables collection period: 2020 65.7 days; 2019 36.5 days **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M11-Q017 – CA11-M11-Q038. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 11 · ANALYSING FINANCIAL STATEMENTS — LESSON 4

Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations

Learning objectives

By the end of this lesson you should be able to:

1. Compute and interpret **gearing (leverage) ratios**: debt ratio, debt-equity ratio, equity multiplier, long-term debt ratio, times interest earned and cash coverage.
2. Structure a full exam answer: **calculate, interpret, compare and conclude** — using prior-year, budget and industry benchmarks.
3. Identify the limitations of ratio analysis (accounting policies, inflation, different year-ends, one-off events, statement inaccuracies) and explain how each distorts comparisons.
4. Advise different stakeholders (lender, investor, supplier, management) using the appropriate ratio set.
5. Recognise and avoid window dressing and the common presentation errors that lose marks.

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1. Gearing (leverage) ratios — the missing category

Gearing measures the extent to which a company uses **assets financed by non-owner funds** — the financial risk of the company. The higher the ratio, the higher the financial risk. Gearing = debt finance relative to equity finance. Continuing **Tumaini Traders Ltd** (equity 1,660; 10% loan 400; total assets 2,360; current liabilities 300; EBIT 480; interest 60; depreciation 120 — all Sh.'000):

Debt ratio (capital gearing)

```
Debt ratio = Total long-term debt ÷ Capital employed × 100 = 400 ÷ 2,060 × 100 = 19.4%
```

A company is **highly geared** if this exceeds 50%. Tumaini at 19.4% is low-geared — conservative financing.

Debt-equity ratio

```
Debt-equity ratio = Long-term debt ÷ Equity = 400 ÷ 1,660 = 0.24 times (24%)
```

Highly geared if above 100%. Tumaini's 24% confirms modest reliance on debt.

Total debt ratio

```
Total debt ratio = (Total assets − Total equity) ÷ Total assets = (2,360 − 1,660) ÷ 2,360
= 0.30 times
```

Takes **all** debt of all maturities into account: 30% of assets are debt-financed.

Equity multiplier

```
Equity multiplier = Total assets ÷ Total equity = 2,360 ÷ 1,660 = 1.42 times
```

Long-term debt ratio

```
Long-term debt ratio = Long-term debt ÷ (Long-term debt + Equity) = 400 ÷ 2,060 = 0.19 times
```

Long-term debt + equity is sometimes called the firm's **capitalisation**.

Times interest earned (interest cover)

```
Times interest earned = EBIT ÷ Interest expense = 480 ÷ 60 = 8.0 times
```

The higher the cover, the **lower** the financial risk. Tumaini's operating profit covers interest eight times — lenders are comfortable.

Cash coverage ratio

```
Cash coverage = (EBIT + Depreciation) ÷ Interest expense = (480 + 120) ÷ 60 = 10.0 times
```

Depreciation involves no cash movement, so it is added back to show the **cash** available for interest. The book's formula adds depreciation to "earnings before interest and tax" — follow it exactly.

The gearing story for Tumaini: low debt ratios plus 8× interest cover plus ROCE (23.3%) well above the 10% cost of debt = **safe, positive gearing**. The firm could prudently borrow more to fund growth.

2. Structuring the exam answer — calculate, interpret, compare, conclude

KASNEB ratio questions are never "calculate only" — the interpretation carries the bulk of the marks. Use this four-step frame for **every** ratio:

1. **Calculate** — formula, substitution, result with correct unit (% / times / days).
2. **Interpret** — what does the number mean in plain words? ("For every Sh.100 of sales, Sh.12.25 remains as net profit.")
3. **Compare** — against last year, the budget, or an industry average given in the question. Direction of movement matters more than the absolute number.
4. **Conclude/advise** — so what? What should management, the lender or the investor do?

Model paragraph (profitability): "Tumaini's net profit margin is 12.25% (294 ÷ 2,400). This means Sh.12.25 of every Sh.100 of sales survives all costs including interest and tax. ROCE of 23.3% exceeds the 10% cost of borrowing, so debt is enhancing shareholder returns. If the industry average ROCE is 18%, Tumaini is outperforming — but the examiner should check whether the 40% gross margin is sustainable against rising costs."

Model paragraph (liquidity): "The current ratio of 2.53:1 and quick ratio of 1.53:1 indicate comfortable short-term solvency — current assets cover current liabilities more than twice. However, the 1.0-point gap between the ratios reflects heavy inventory (71 days' holding), so liquidity depends on selling stock. A supplier can extend short-term credit with reasonable confidence."

Model paragraph (efficiency): "Debtors take 56.3 days against (say) 30-day terms — collection is weak and ties up cash. Combined with 71 days of inventory less 57 days of supplier credit, the 70.3-day working capital cycle means the firm needs over two months of financing for each cycle; tightening credit control would release cash directly."

Model paragraph (investor): "EPS of Sh.1.47 on a Sh.32 share price gives a P/E of 21.8× — investors expect strong growth. The 34% payout with 2.94× dividend cover is sustainable and leaves 66% ploughed back for expansion, consistent with a growth stock rather than an income stock."

3. Advising different stakeholders

- **Lender (bank):** gearing ratios (debt-equity 24%, interest cover 8×), liquidity (quick ratio 1.53), cash coverage 10× — Tumaini is a safe lending proposition.
- **Potential investor:** profitability (ROE 17.7%, EPS Sh.1.47), investor ratios (P/E 21.8×, yield 1.56%) — growth-priced; check whether growth justifies the rating.
- **Supplier:** liquidity (current 2.53, quick 1.53) and creditors days (57) — the firm pays in ~57 days; set credit limits accordingly.
- **Management:** efficiency ratios — the 56-day collection and 71-day stockholding are the actionable weaknesses.

4. Limitations of ratio analysis — the guaranteed theory marks

1. **Different accounting policies** — companies use different depreciation methods, inventory valuation (FIFO vs weighted average) and revaluation policies, making comparisons unrealistic.
2. **Inflation ignored** — ratios are based on historical cost; in inflationary times asset values and profits are distorted.
3. **Different financial year-ends** — seasonal businesses compared at different points in their cycle give misleading contrasts.
4. **One-off/unusual events** — a one-time profit on asset disposal flatters performance and misleads trend analysis; normalise before comparing.
5. **Inaccuracies in the financial statements** flow straight into the ratios — creative accounting (Lesson 1) contaminates every ratio computed from manipulated figures.
6. **Window dressing** — management can manipulate year-end positions (e.g. delaying purchases to flatter the current ratio, or aggressive year-end collection drives); ratios capture a single point in time, not the year's reality.
7. **Ratios do not explain causes** — they flag symptoms (falling margin) but not the disease (pricing? costs? mix?); further investigation is always needed.

Exam trap: when asked for limitations, never just list — **explain the effect** ("different depreciation policies mean two identical firms report different ROCEs, so the comparison is meaningless"). One explained limitation beats three listed ones.

5. Presentation errors that lose marks

- Omitting units (% / times / days).
- Computing ratios from **unadjusted** figures when the question gives additional information (e.g. forgetting to adjust profit for the profit on disposal).
- Using **sales** where **cost of sales** or **credit purchases** belongs.
- Commenting without comparing — "the current ratio is 2.53" with no verdict earns little.
- Treating a **symptom as a conclusion** — "inventory days rose to 71" is observation; "the firm should review its purchasing and discount slow-moving lines" is advice.

Key terms

- **Gearing (leverage)** — the proportion of debt finance relative to equity; measures financial risk.
- **Debt ratio / debt-equity ratio** — long-term debt ÷ capital employed (or equity); highly geared above 50% / 100% respectively.
- **Times interest earned (interest cover)** — EBIT ÷ interest; the safety margin for lenders.
- **Cash coverage** — (EBIT + depreciation) ÷ interest; the cash-based cover.
- **Window dressing** — manipulating year-end figures to flatter ratios.
- **Benchmarking** — comparing ratios against prior periods, budgets and industry averages; the step that turns calculation into analysis.

Module summary (m11 complete)

- **Cash flows (IAS 7):** operating/investing/financing classification; direct vs indirect methods; interest, dividend and tax rules; the reconciliation self-check.
- **Profitability:** ROCE 23.3%, gross margin 40%, net margin 12.25%, operating margin 20%, ROE 17.7% — match each numerator to its ratio.
- **Liquidity:** current 2.53×, quick 1.53×, cash 0.20× — always look behind the current ratio.
- **Efficiency:** debtors 56.3 days, inventory 71 days, creditors 57 days, working capital cycle 70.3 days; manufacturers split the inventory stage three ways.
- **Investor:** EPS Sh.1.47, DPS Sh.0.50, payout 34%, cover 2.94×, P/E 21.8×, dividend yield 1.56%.
- **Gearing:** debt ratio 19.4%, debt-equity 24%, interest cover 8× — low risk, positive gearing.
- **Method:** calculate → interpret → compare → conclude; and always state the limitations.

Exam day tips

1. In a 14-mark ratio question, spend roughly half your time on **interpretation and advice** — that is where the marks cluster.
2. Learn the **five categories and their users** as a table — it answers the "who is interested and why" question directly.
3. If industry averages are given, **use every one** — each comparison is a marking point.
4. Limitations questions are free marks if you **explain the distortion**, not just name it.
5. End with an overall verdict (e.g. "profitable and liquid but inefficient in working capital; a safe lend, a growth-priced share") — examiners reward synthesis.

Worked mini-case: putting it all together

A KASNEB-style question gives you two years of ratios and asks for a report to the board. Start with the headline: "Profitability improved but liquidity deteriorated." Then evidence it: ROCE rose from 18% to 23.3% while the quick ratio fell from 1.8× to 1.53× and the working capital cycle lengthened from 58 to 70.3 days. Diagnose: growth funded by suppliers and stockpiling. Recommend: tighten credit control, review inventory policy, and consider a short-term facility before the overdraft becomes structural. That five-sentence shape — verdict, evidence, diagnosis, recommendation — is the skeleton of every high-scoring interpretation answer.

Slide deck at a glance

Gearing ratios — Tumaini (Sh.'000)

- Debt ratio = 400 ÷ 2,060 × 100 = 19.4% — low-geared (high is >50%)
- Debt-equity = 400 ÷ 1,660 = 0.24 times (24%)
- Interest cover = 480 ÷ 60 = 8.0 times — lenders comfortable
- Cash coverage = (480 + 120) ÷ 60 = 10.0 times — depreciation added back

The gearing story

- Low debt + 8× interest cover + ROCE 23.3% > 10% cost of debt
- = SAFE, positive gearing — borrowing builds shareholder value
- The firm could prudently borrow more to fund growth
- Higher gearing = higher financial risk — lenders' core concern

Structure every exam answer

- 1. CALCULATE — formula, substitution, result with unit (% / times / days)
- 1. INTERPRET — plain words: 'Sh.12.25 per Sh.100 of sales remains'
- 1. COMPARE — last year, budget, industry average; direction matters
- 1. CONCLUDE — so what? Advise management, lender or investor

Model answer skeletons

- Profitability: margin + ROCE vs borrowing cost + industry average
- Liquidity: current 2.53×, quick 1.53× — but stock-heavy, watch selling
- Efficiency: 56-day collection vs 30-day terms; 70.3-day cycle needs funding
- Investor: P/E 21.8× = growth-priced; 34% payout, 2.94× cover sustainable

Advising different stakeholders

- Lender: gearing 24%, cover 8×, cash cover 10× → safe proposition
- Investor: ROE 17.7%, EPS Sh.1.47, P/E 21.8× → growth, check the rating
- Supplier: quick ratio 1.53, pays in ~57 days → set limits accordingly
- Management: fix 56-day collection and 71-day stockholding

Limitations — explain the effect

- Different policies (depreciation, FIFO) → comparisons meaningless
- Inflation: historical cost distorts assets and profits
- One-off gains flatter performance — normalise before comparing
- Window dressing: year-end games (delayed purchases) flatter ratios
- Ratios flag SYMPTOMS (falling margin), not causes — investigate

Presentation errors that lose marks

- Omitting units: %, times, days — every single time
- Using unadjusted figures when the question gives extra information
- Sales where cost of sales or credit purchases belongs
- Commenting without comparing — 'current ratio is 2.53' earns little

Key takeaways / exam tips

- Spend half your time on interpretation — that's where the marks are
- Use EVERY industry average given — each comparison is a marking point
- End with an overall verdict: profitable, liquid, but weak on working capital

- Five-sentence shape: verdict → evidence → diagnosis → recommendation

KASNEB past-paper worked examples

Questions are KASNEB authored, reproduced for study. Solutions are SokoCPA worked solutions.

KASNEB-2023-12-Q5 · December 2023 · 20 marks KASNEB authored

Year-end adjustments; ratio analysis (Utajiri Ltd)

(a) Highlight SIX reasons why it is necessary to make adjustments to accounts at the end of the accounting year. (6 marks)
(b) The financial statements of Utajiri Ltd. for the years ended 30 September 2022 and 2023 (Sh."million"):
Statement of profit or loss — Net sales (80% credit sales) 4,400 / 5,100; Cost of sales (2,200) / (2,850); Gross profit 2,200 / 2,250; Operating expenses (640) / (910); Net profit before interest and taxes 1,560 / 1,340; Interest expense (45) / (60); Profit before tax 1,515 / 1,280; Corporate tax (400) / (240); Net profit after tax 1,115 / 1,040; Dividends: interim (50) / (65), final (150) / (105); Retained profit 915 / 870.
Statement of financial position — Property, plant and equipment (NBV) 1,400 / 1,800; Current assets: inventory 800 / 1,200, trade receivables 490 / 600, cash in hand 420 / 395 (total current assets 1,710 / 2,195); Total assets 3,110 / 3,995. Ordinary share capital (Sh.10 par) 1,000 / 1,000; Revenue reserves 915 / 1,785 (equity 1,915 / 2,785); 10% debentures 450 / 600; Current liabilities: tax payable 400 / 240, trade payables 145 / 200, other current liabilities making total current liabilities 745 / 610.
Required: Compute the following ratios for 2022 and 2023: (i) Current ratio. (ii) Quick ratio. (iii) Receivables collection period (in days). (iv) Gross profit margin. (v) Interest cover. (vi) Return on capital employed. (vii) Earnings per share. (14 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Reasons for year-end adjustments

1. **Accruals:** expenses incurred but not yet paid (accrued wages, electricity, interest) must be recorded so the year's profit is complete — the accruals/matching concept.
2. **Prepayments:** amounts paid in advance (insurance, rent, rates) benefit the next period; they are excluded from this year's expense and shown as assets.
3. **Depreciation:** the cost of non-current assets is spread over their useful lives, matching the cost to the periods benefiting from their use.
4. **Closing inventory:** unsold stock is valued and carried forward so that cost of sales (opening inventory + purchases − closing inventory) is correctly stated.
5. **Doubtful debts:** irrecoverable amounts are written off and an allowance provided so receivables are shown at the amount expected to be collected.
6. **Accrued income and provisions:** income earned but not received is recognised, and provisions are made for known liabilities of uncertain amount, so the statements give a true and fair view.

(b) Ratios — Utajiri Ltd (Sh."million")

Capital employed = equity + debentures: 2022: 1,915 + 450 = 2,365; 2023: 2,785 + 600 = 3,385. Credit sales = 80% × sales: 3,520 (2022); 4,080 (2023). Shares in issue = 1,000 ÷ Sh.10 = 100 million.

Ratio	2022	2023
(i) Current ratio = CA ÷ CL	1,710 ÷ 745 = **2.30 : 1**	2,195 ÷ 610 = **3.60 : 1**
(ii) Quick ratio = (CA − inventory) ÷ CL	910 ÷ 745 = **1.22 : 1**	995 ÷ 610 = **1.63 : 1**
(iii) Receivables collection period = Receivables ÷ credit sales × 365	490 ÷ 3,520 × 365 = **50.8 days**	600 ÷ 4,080 × 365 = **53.7 days**
(iv) Gross profit margin = GP ÷ sales	2,200 ÷ 4,400 = **50.00%**	2,250 ÷ 5,100 = **44.12%**
(v) Interest cover = PBIT ÷ interest	1,560 ÷ 45 = **34.67 times**	1,340 ÷ 60 = **22.33 times**
(vi) ROCE = PBIT ÷ capital employed	1,560 ÷ 2,365 = **65.96%**	1,340 ÷ 3,385 = **39.59%**
(vii) EPS = PAT ÷ shares in issue	1,115 ÷ 100 = **Sh.11.15**	1,040 ÷ 100 = **Sh.10.40**

Comment: liquidity strengthened (both ratios up as current liabilities fell), but profitability weakened — the gross margin fell from 50% to 44.12%, ROCE dropped sharply as profits fell and the capital base grew, interest cover declined, EPS fell, and customers took slightly longer to pay (50.8 → 53.7 days).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any six valid reasons for year-end adjustments, 1 mark each (accruals, prepayments, depreciation, closing inventory, doubtful debts/allowances, accrued income/provisions) **(6)**
- (b)(i) Current ratio 2.30 (2022) and 3.60 (2023) **(2)**
- (b)(ii) Quick ratio 1.22 and 1.63 (inventory excluded) **(2)**
- (b)(iii) Collection period 50.8 days and 53.7 days using credit sales = 80% of sales and a 365-day year **(2)**
- (b)(iv) Gross profit margin 50.00% and 44.12% **(2)**
- (b)(v) Interest cover 34.67 times and 22.33 times **(2)**
- (b)(vi) ROCE 65.96% and 39.59% with capital employed = equity + debentures (2,365; 3,385) **(2)**
- (b)(vii) EPS Sh.11.15 and Sh.10.40 (100 million shares) **(2)**

KASNEB-2023-04-Q5 · April 2023 · 20 marks KASNEB authored

Ratio analysis theory; public sector terms; benefits of IFRS

(a) Analyse FOUR advantages of ratio analysis as a tool for assessing financial performance. (8 marks)
(b) Explain the importance of the following ratios to investors: (i) Price-to-earnings (P/E) ratio. (2 marks) (ii) Debt-to-equity ratio. (2 marks)
(c) Explain the following terms as used in public sector accounting: (i) Appropriations-in-Aid. (2 marks) (ii) Consolidated Fund. (2 marks)
(d) Describe FOUR benefits of adopting International Financial Reporting Standards (IFRSs). (4 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Advantages of ratio analysis

1. **Simplifies and summarises:** ratios reduce complex financial statements into a few meaningful indicators (profitability, liquidity, efficiency, gearing), making performance easier to grasp and communicate.

2. **Enables comparison:** ratios allow comparison over time (trend analysis) and against competitors/ industry averages (benchmarking), because they remove the effect of business size.
3. **Highlights strengths and weaknesses:** ratios pinpoint areas needing attention — e.g. lengthening receivable days or falling margins — guiding management action and control.
4. **Aids decision-making and forecasting:** lenders, investors and managers use ratios to assess creditworthiness, investment merit and likely future performance, and to set targets and budgets.

(b) Importance to investors

(i) P/E ratio (market price per share ÷ EPS): shows how much investors pay for each shilling of current earnings. A high P/E signals expected earnings growth or strong confidence; a low P/E may indicate undervaluation or poor prospects. Investors use it to compare shares on a like-for-like basis and judge whether a share is cheap or expensive. **(ii) Debt-to-equity ratio** (non-current liabilities ÷ equity): measures financial risk/ gearing. High gearing means greater risk — interest must be paid before dividends, and earnings available to shareholders are more volatile — but also potential for higher returns in good years. Investors use it to judge the safety of their income and capital.

(c) Public sector accounting terms

(i) Appropriations-in-Aid: revenue collected by a government ministry/department (e.g. fees, charges, sale of services) which, with Parliament's approval, is retained and used to finance that entity's expenditure instead of being paid into the Consolidated Fund; it supplements the amounts appropriated by Parliament. **(ii) Consolidated Fund:** the main government fund into which all revenues raised or received by the national government (taxes, loans and other receipts) are paid, and from which money may only be withdrawn under the authority of an Appropriation Act or the Constitution (e.g. for debt service and constitutional office holders).

(d) Benefits of adopting IFRS

1. **Comparability:** one global set of standards lets investors compare companies across countries.
2. **Access to capital:** credible, transparent reporting lowers the cost of capital and helps companies list and borrow internationally.
3. **Quality and transparency:** IFRS requires fuller disclosure and reflects economic substance, improving accountability and reducing manipulation.
4. **Efficiency:** multinational groups prepare one set of accounts on a single basis, cutting compliance cost and easing consolidation, staff mobility and audit.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four advantages analysed, 2 marks each (simplification, comparability/benchmarking, highlighting strengths/weaknesses, decision-making/forecasting, communication) **(8)**
- (b)(i) P/E ratio: price per unit of earnings; growth expectations and relative cheapness for investors (2) **(2)**
- (b)(ii) Debt-to-equity: gearing/financial risk borne by shareholders; safety of returns (2) **(2)**
- (c)(i) Appropriations-in-Aid: departmental revenue retained with approval to fund expenditure (2) **(2)**
- (c)(ii) Consolidated Fund: main government fund receiving all revenues; withdrawals only under legal authority (2) **(2)**
- (d) Any four benefits of IFRS, 1 mark each (comparability, access to capital, transparency/quality, efficiency) **(4)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M11-Q039 – CA11-M11-Q048. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Lesson 1: The Statement of Cash Flows (IAS 7)
- Lesson 2: Profitability and Liquidity Ratios
- Lesson 3: Efficiency and Investor Ratios
- Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations

It brought together **16 KASNEB past-paper worked examples** and **43 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 11 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Statement of cash flows (IAS 7): indirect method with disposal, tax and dividend workings

Tekeleza Ltd prepares its financial statements to 31 December each year. The following information relates to the year ended 31 December 2026 (all figures in Sh.'000):

Statements of financial position

	2026	2025
Non-current assets	1,480	1,250
Inventory	210	175
Trade receivables	265	220
Cash and bank	85	60
Total assets	**2,040**	**1,705**
Share capital	800	650
Share premium	190	120
Retained profits	240	255
12% debentures	350	300
Trade payables	225	190
Tax payable	95	80
Proposed dividends	140	110
Total equity and liabilities	**2,040**	**1,705**

Income statement extract for the year ended 31 December 2026: profit before tax Sh.180,000; interest expense Sh. 36,000; tax expense Sh.60,000; profit after tax Sh.120,000; proposed dividend for the year Sh.135,000.

Additional information: 1. Equipment with a net book value of Sh.45,000 was sold for Sh.60,000 cash during the year. 2. Depreciation charged for the year was Sh.160,000. 3. All additions to non-current assets were purchased for cash. 4. New shares and debentures were issued for cash during the year.

Required: (a) Workings to determine: (i) additions to non-current assets; (ii) tax paid; and (iii) dividends paid during the year. (6 marks) (b) A statement of cash flows for the year ended 31 December 2026, using the indirect method, in accordance with IAS 7. (14 marks)

Model answer (SokoCPA)

(a) Workings (Sh.'000)

W1 — Additions to non-current assets: 1,250 (b/d) − 160 (depreciation) − 45 (NBV of disposal) + additions = 1,480 (c/d) → **additions = 435**.

W2 — Tax paid: tax payable b/d 80 + tax expense 60 − tax payable c/d 95 = **45**.

W3 — Dividends paid: proposed dividends b/d 110 + proposed for the year 135 − proposed dividends c/d 140 = **105**.

Check on retained profits: 255 + profit after tax 120 − proposed dividend 135 = 240 ✓ agrees with the closing statement of financial position.

(b) Tekeleza Ltd — Statement of Cash Flows for the year ended 31 December 2026

	Sh.'000	Sh.'000
Cash flows from operating activities		
Profit before tax		180
Adjustments for:		
Depreciation	160	
Profit on disposal of equipment	(15)	
Interest expense	36	181
Operating profit before working capital changes		361
Increase in inventory	(35)	
Increase in trade receivables	(45)	
Increase in trade payables	35	(45)
Cash generated from operations		316
Interest paid	(36)	
Income tax paid (W2)	(45)	(81)
Net cash from operating activities		235
Cash flows from investing activities		
Purchase of non-current assets (W1)	(435)	
Proceeds from sale of equipment	60	
Net cash used in investing activities		(375)
Cash flows from financing activities		
Proceeds from issue of shares (150 + 70)	220	
Proceeds from issue of debentures	50	
Dividends paid (W3)	(105)	
Net cash from financing activities		165
Net increase in cash and cash equivalents		25
Cash and cash equivalents at 1 January 2026		60
Cash and cash equivalents at 31 December 2026		85

Self-check: 235 − 375 + 165 = **25**; 60 + 25 = **85** ✓ — the statement reconciles to the cash balances in the statements of financial position. Note that the profit on disposal (Sh.15,000) is deducted in the operating section because the **full proceeds** of Sh.60,000 are reported under investing activities.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Additions to non-current assets correctly derived at Sh.435,000 (closing − opening + depreciation + NBV of disposal) **(2)**
- Tax paid correctly derived at Sh.45,000 (payable b/d + expense − payable c/d) **(2)**
- Dividends paid correctly derived at Sh.105,000 (proposed b/d + proposed for the year − proposed c/d), NOT the proposed dividend itself **(2)**
- Operating section starts with profit before tax and adjusts correctly: depreciation added back 160, profit on disposal deducted (15), interest expense added back 36 — subtotal Sh.361,000 **(3)**
- Working capital movements correctly applied: inventory (35), receivables (45), payables +35 — net (45) **(3)**
- Interest paid (36) and tax paid (45) deducted as separate lines, giving net cash from operating activities Sh.235,000 **(2)**

- Investing activities: additions (435) and disposal proceeds 60 — net cash used Sh.375,000 **(2)**
- Financing activities: share issue 220 (share capital 150 + share premium 70), debentures 50, dividends paid (105) — net Sh.165,000 **(2)**
- Net increase in cash Sh.25,000 and reconciliation from opening cash 60 to closing cash Sh.85,000, agreeing with the statement of financial position **(2)**

Question 2 (20 marks)

Profitability and liquidity ratios with interpretation

Rift Feeds Ltd manufactures animal feeds in Nakuru. Its financial statements for the year ended 31 December 2026 are summarised below (Sh.'000):

Income statement: sales (all on credit) 4,800; cost of sales (2,880); gross profit 1,920; operating expenses (including depreciation Sh.180,000) (960); operating profit 960; interest expense (120); profit before tax 840; tax (252); profit after tax 588; dividends (240); retained for the year 348.

Statement of financial position as at 31 December 2026: non-current assets 3,200; inventory 620; trade receivables 780; cash 90; **total assets 4,690**. Share capital 2,000; retained earnings 1,090; **total equity 3,090**; 12% loan 1,000; trade payables 430; tax payable 110; proposed dividends 60; **total equity and liabilities 4,690**.

Opening balances at 1 January 2026: inventory Sh.540,000; trade receivables Sh.690,000; trade payables Sh. 390,000. The company has 200,000 ordinary shares of Sh.10 each in issue; the market price per share at 31 December 2026 was Sh.28. Industry averages: ROCE 21%; current ratio 2.2; quick ratio 1.4.

Required:
(a) Compute the following profitability ratios for Rift Feeds Ltd for the year ended 31 December 2026: (i) return on capital employed; (ii) gross profit margin; (iii) operating profit margin; (iv) net profit margin; and (v) return on equity. (8 marks)
(b) Compute the following liquidity ratios: (i) current ratio; (ii) acid test (quick) ratio; and (iii) cash ratio. (6 marks)
(c) Comment on the company's profitability and liquidity, making use of the industry averages provided and the relationship between the operating profit margin, net assets turnover and return on capital employed. (6 marks)

Model answer (SokoCPA)

Capital employed = total assets − current liabilities = 4,690 − (430 + 110 + 60) = **Sh.4,090,000** (= equity 3,090 + long-term loan 1,000 ✓).

(a) Profitability ratios

- **ROCE** = operating profit ÷ capital employed = 960 ÷ 4,090 × 100 = **23.5%** (operating profit is used because interest reflects financing, not operating efficiency).
- **Gross profit margin** = 1,920 ÷ 4,800 × 100 = **40.0%**.
- **Operating profit margin** = 960 ÷ 4,800 × 100 = **20.0%**.
- **Net profit margin** = 588 ÷ 4,800 × 100 = **12.25%**.
- **Return on equity** = 588 ÷ 3,090 × 100 = **19.0%**.

(b) Liquidity ratios

Current assets = 620 + 780 + 90 = Sh.1,490,000; current liabilities = Sh.600,000.

- **Current ratio** = 1,490 ÷ 600 = **2.48 times**.

- **Acid test ratio** = (1,490 − 620) ÷ 600 = **1.45 times** (inventory is excluded as the least liquid current asset).
- **Cash ratio** = 90 ÷ 600 = **0.15 times**.

(c) Comment

Profitability. ROCE of 23.5% is above the industry average of 21% and comfortably exceeds the 12% cost of the company's loan, so borrowing is enhancing shareholders' returns (positive gearing) and ROE of 19.0% exceeds ROCE's after-tax equivalent. The DuPont relationship explains the ROCE: operating margin 20.0% × net assets turnover (4,800 ÷ 4,090 = 1.17 times) ≈ 23.5% — the return is driven more by margin than by asset turnover. Sh.40 of every Sh.100 of sales survives production costs and Sh.12.25 survives all costs including interest and tax; cost control between gross and net level (27.75 points consumed by operating expenses, interest and tax) is where management should focus.

Liquidity. The current ratio of 2.48 and quick ratio of 1.45 both exceed the industry averages (2.2 and 1.4), indicating comfortable short-term solvency. However, the wide gap between the two ratios shows that inventory of Sh.620,000 dominates current assets; liquidity therefore depends on selling stock, and the cash ratio of only 0.15 means just 15% of current liabilities could be met from cash immediately. Overall: profitable and liquid, but with working capital heavily tied up in inventory.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Capital employed correctly determined at Sh.4,090,000 (total assets less current liabilities, or equity plus long-term debt) **(2)**
- Gross profit margin 40.0% and operating profit margin 20.0% correctly computed (correct numerators) **(2)**
- Net profit margin 12.25% correctly computed using profit after tax **(1)**
- Return on equity 19.0% correctly computed (profit after tax ÷ equity) **(1)**
- ROCE 23.5% correctly computed using operating profit (before interest and tax) **(2)**
- Current ratio 2.48 times (current assets 1,490 ÷ current liabilities 600) **(2)**
- Acid test ratio 1.45 times, with inventory excluded from the numerator **(2)**
- Cash ratio 0.15 times **(2)**
- Profitability comment: ROCE compared with the industry 21% and the 12% cost of debt (positive gearing), and/or the DuPont split (margin 20.0% × turnover 1.17) explained **(3)**
- Liquidity comment: both ratios above industry averages, but the gap between them attributed to heavy inventory, with the low cash ratio noted **(3)**

Question 3 (20 marks)

Efficiency ratios, the operating cycle and investor ratios

Rift Feeds Ltd manufactures animal feeds in Nakuru. Its financial statements for the year ended 31 December 2026 are summarised below (Sh.'000):

Income statement: sales (all on credit) 4,800; cost of sales (2,880); gross profit 1,920; operating expenses (including depreciation Sh.180,000) (960); operating profit 960; interest expense (120); profit before tax 840; tax (252); profit after tax 588; dividends (240); retained for the year 348.

Statement of financial position as at 31 December 2026: non-current assets 3,200; inventory 620; trade receivables 780; cash 90; **total assets 4,690**. Share capital 2,000; retained earnings 1,090; **total equity 3,090**; 12% loan 1,000; trade payables 430; tax payable 110; proposed dividends 60; **total equity and liabilities 4,690**.

Opening balances at 1 January 2026: inventory Sh.540,000; trade receivables Sh.690,000; trade payables Sh. 390,000. The company has 200,000 ordinary shares of Sh.10 each in issue; the market price per share at 31 December 2026 was Sh.28. Industry averages: ROCE 21%; current ratio 2.2; quick ratio 1.4.

Required:
(a) Compute the following efficiency measures for the year ended 31 December 2026: (i) average collection period; (ii) inventory conversion period; (iii) average deferral (payment) period; and (iv) the working capital (operating) cycle. Use average balances where available and assume credit purchases approximate to cost of sales. (8 marks)
(b) Compute the following investor ratios: (i) earnings per share; (ii) dividend per share; (iii) dividend payout ratio; (iv) dividend cover; and (v) price-earnings ratio. (8 marks)
(c) Comment on the company's efficiency in managing working capital and on what the investor ratios indicate to a shareholder. (4 marks)

Model answer (SokoCPA)

Average balances (Sh.'000): receivables (690 + 780) ÷ 2 = **735**; inventory (540 + 620) ÷ 2 = **580**; payables (390 + 430) ÷ 2 = **410**.

(a) Efficiency measures

- **Average collection period** = 735 ÷ 4,800 × 365 = **55.9 days** (debtors turnover = 4,800 ÷ 735 = 6.53 times).
- **Inventory conversion period** = 580 ÷ 2,880 × 365 = **73.5 days** (inventory turnover = 2,880 ÷ 580 = 4.97 times — cost of sales, not sales, is the numerator).
- **Average deferral period** = 410 ÷ 2,880 × 365 = **52.0 days** (creditors turnover = 2,880 ÷ 410 = 7.02 times, using credit purchases ≈ cost of sales as instructed).
- **Working capital cycle** = 55.9 + 73.5 − 52.0 = **77.4 days**.

(b) Investor ratios

- **EPS** = 588,000 ÷ 200,000 shares = **Sh.2.94**.
- **DPS** = 240,000 ÷ 200,000 = **Sh.1.20**.
- **Payout ratio** = 240 ÷ 588 × 100 = **40.8%** (retention ratio 59.2%).
- **Dividend cover** = 2.94 ÷ 1.20 = **2.45 times**.
- **P/E ratio** = 28 ÷ 2.94 = **9.5 times**. (For reference: earnings yield = 2.94 ÷ 28 = 10.5%; dividend yield = 1.20 ÷ 28 = 4.29%.)

(c) Comment

Efficiency. Cash is tied up for 77.4 days in each operating cycle. Inventory is held for 73.5 days — the largest single blockage, consistent with the heavy inventory behind the current/quick ratio gap — and customers take 55.9 days to pay while suppliers are paid in 52.0 days, so the company pays its suppliers **before** it collects from its customers. Tightening credit control and reducing stockholding would release cash directly and shorten the cycle.

Investor view. EPS of Sh.2.94 with a dividend cover of 2.45 times shows a well-covered, sustainable dividend; a 40.8% payout balances a Sh.1.20 dividend (a 4.29% yield at the current price) against retaining 59.2% for growth. The P/E of 9.5 times is moderate — the market is not pricing in exceptional growth, so the share may offer value if the strong ROCE is maintained.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Average balances correctly computed (receivables 735, inventory 580, payables 410) and used **(2)**
- Average collection period 55.9 days (credit sales as denominator) **(2)**
- Inventory conversion period 73.5 days (cost of sales as denominator, not sales) **(2)**
- Average deferral period 52.0 days and working capital cycle 77.4 days (collection + inventory − deferral) **(2)**
- EPS Sh.2.94 and DPS Sh.1.20 correctly computed **(3)**
- Dividend payout ratio 40.8% **(2)**
- Dividend cover 2.45 times (EPS ÷ DPS — not confused with the payout ratio) **(2)**
- Price-earnings ratio 9.5 times **(1)**
- Efficiency comment: identifies inventory holding and collection exceeding the payment period as the cash tie-up, with a sensible remedy **(2)**
- Investor comment: interprets cover/payout sustainability and the P/E rating for a shareholder **(2)**

Question 4 (20 marks)

Gearing ratios and advising lenders, investors and suppliers

Using the Rift Feeds Ltd data in Question 2 (operating profit Sh.960,000; interest expense Sh.120,000; depreciation included in operating expenses Sh.180,000; total equity Sh.3,090,000; 12% loan Sh.1,000,000; total assets Sh. 4,690,000; capital employed Sh.4,090,000; ROCE 23.5%; quick ratio 1.45 times; average payment period to suppliers 52 days):

Required:
(a) Compute the following gearing measures: (i) debt ratio; (ii) debt-equity ratio; (iii) times interest earned (interest cover); and (iv) cash coverage ratio. (8 marks)
(b) Advise, with reasons drawn from the ratios, each of the following:
(i) The company's bank manager, who is considering an application for a further loan. (4 marks)
(ii) A potential investor considering buying the company's shares at Sh.28. (4 marks)
(iii) A supplier who has been asked to extend 90 days' credit to the company. (4 marks)

Model answer (SokoCPA)

(a) Gearing measures

- **Debt ratio** = long-term debt ÷ capital employed = 1,000 ÷ 4,090 × 100 = **24.4%** — well below the 50% level at which a company is regarded as highly geared.
- **Debt-equity ratio** = 1,000 ÷ 3,090 = **0.32 times (32.4%)** — for every Sh.100 of equity there is only Sh.32 of long-term debt.
- **Times interest earned** = EBIT ÷ interest = 960 ÷ 120 = **8.0 times**.
- **Cash coverage** = (EBIT + depreciation) ÷ interest = (960 + 180) ÷ 120 = **9.5 times** (depreciation is added back because it involves no cash outflow).

(b) Advice to stakeholders

(i) Bank manager — lend, on normal terms. The company is low-geared (debt ratio 24.4%, debt-equity 0.32 times), so existing lenders' claims are well covered by equity. Operating profit covers interest 8.0 times (9.5 times on a cash

basis), and ROCE of 23.5% comfortably exceeds the 12% cost of debt, meaning borrowed funds are being used profitably. There is clear capacity to service additional borrowing.

(ii) Potential investor — a sound, moderately priced share. ROE is 19.0% and EPS Sh.2.94; the dividend of Sh. 1.20 is covered 2.45 times, so it is sustainable, and the 40.8% payout leaves funds for growth. At a P/E of 9.5 times the shares are not expensively rated for a company earning 23.5% on capital employed — attractive, provided the investor is comfortable with the working capital tied up in inventory.

(iii) Supplier — extend only with caution and a limit. Short-term liquidity is respectable (quick ratio 1.45), so payment is likely; however, the company currently takes about 52 days to pay suppliers, and 90 days is well beyond its present practice — its own customers pay it in about 56 days and its cash ratio is only 0.15. The supplier should agree a credit limit, monitor the account, and consider shorter terms or settlement discounts rather than granting an open 90 days.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Debt ratio 24.4% (long-term debt ÷ capital employed) **(2)**
- Debt-equity ratio 0.32 times **(2)**
- Times interest earned 8.0 times (EBIT ÷ interest) **(2)**
- Cash coverage 9.5 times, with depreciation added back to EBIT **(2)**
- Bank manager: verdict supported by low gearing and strong interest/cash cover relative to the cost of debt **(4)**
- Potential investor: verdict supported by ROE/EPS, dividend cover and payout, and the P/E rating **(4)**
- Supplier: verdict supported by the quick ratio and the 52-day payment record against the 90 days requested (caution/limit advised) **(4)**

Question 5 (20 marks)

Ratio categories, users, limitations of ratio analysis and window dressing

Required:
(a) State the FIVE categories of financial ratios and identify ONE party interested in each category. (5 marks)
(b) Explain FIVE limitations of ratio analysis, in each case explaining how the limitation distorts comparisons between companies. (10 marks)
(c) Explain the term "window dressing" and give ONE example of how it may be used to flatter a company's current ratio. (5 marks)

Model answer (SokoCPA)

(a) Categories of ratios and interested parties (any valid party per category)

Category	Interested party (examples)
Profitability ratios	Shareholders, management, potential investors
Liquidity ratios	Suppliers, short-term creditors, lenders
Efficiency (activity) ratios	Management, shareholders, potential purchasers
Investor (shareholder) ratios	Shareholders and potential investors
Capital structure (gearing) ratios	Lenders, shareholders, creditors

(b) Limitations of ratio analysis (any five, explained)

1. **Different accounting policies.** Companies choose different depreciation methods, inventory valuation bases (FIFO vs weighted average) and revaluation policies. Two identical businesses can therefore report different profits and asset values, so a ROCE comparison between them is meaningless.
2. **Inflation is ignored.** Ratios are built on historical cost; in inflationary times assets are understated and profits overstated, so ratios of a company with old assets are flattered relative to one with newly acquired assets.
3. **Different financial year-ends.** Seasonal businesses measured at different points in their trading cycle (peak vs trough stock levels) produce ratios that are not comparable.
4. **One-off and unusual events.** A single profit on disposal of an asset or a restructuring charge distorts one year's ratios and misleads trend analysis unless the figures are normalised first.
5. **Inaccuracies and creative accounting.** Ratios inherit every flaw in the underlying statements: if revenue is overstated or liabilities hidden, every computed ratio is contaminated.
6. **Window dressing.** Year-end positions can be manipulated (see (c)), so ratios describe one possibly unrepresentative day rather than the year as a whole.
7. **Ratios do not explain causes.** A falling gross margin flags a symptom — pricing, costs or product mix — but cannot identify which; further investigation is always required.

(c) Window dressing

Window dressing is the manipulation of the financial position at the reporting date so that the published ratios look better than the position during most of the year. **Example:** a company delays placing its normal inventory purchases until just after the year end (and/or launches an aggressive debt-collection drive in the final week). Inventory and payables at the reporting date are lower and cash temporarily higher, so the **current ratio (and quick ratio) is flattered**; within weeks the position reverts to normal. Because ratios are computed from a single point in time, they capture the dressed position, not the year's typical liquidity.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Five ratio categories correctly stated (profitability, liquidity, efficiency, investor, gearing/capital structure) **(3)**
- A sensible interested party identified for each category **(2)**
- Five limitations explained WITH their distorting effect on comparison (policies; inflation/historical cost; different year-ends; one-off events; statement inaccuracies/creative accounting; point-in-time nature; symptoms not causes) **(10)**
- Window dressing correctly defined as manipulation of the reporting-date position **(2)**
- A valid example given (e.g. delaying purchases, year-end collection drive, delaying payments) and its flattering effect on the current ratio explained **(3)**

MODULE 12 OF 12

Introduction to Public Sector Accounting

Lesson 1: Public Sector Features and Structure · Lesson 2: Regulatory Oversight and Accounting Techniques in the Public Sector

MODULE 12 · INTRODUCTION TO PUBLIC SECTOR ACCOUNTING — LESSON 1

Lesson 1: Public Sector Features and Structure

Learning objectives

By the end of this lesson you should be able to:

1. Define the public sector and give examples of public sector entities per the Public Finance Management Act.
2. Distinguish public sector from private sector accounting across goals, accountability, budgeting and reporting objectives.
3. Explain the two main objectives of government accounting: accountability and decision-making.
4. Describe the structure of the public sector: national government, county governments and state corporations/ county corporations.
5. State the objectives of public sector financial statements.

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1. What is the public sector?

The **public sector** comprises the government and all entities it controls or funds to deliver public services. Per the Public Finance Management Act, public sector entities include:

- (a) the Government or any department of the Government;
- (b) the courts;
- (c) the commissions established under the Constitution;
- (d) a local authority under the Local Government Act;
- (e) a **state corporation** within the meaning of the State Corporations Act;
- (f) the Central Bank of Kenya;
- (g) a co-operative society established under the Co-operative Societies Act;
- (h) a public school; (i) a public university; (j) a college or other educational institution maintained or assisted out of public funds.

Two key definitions from the book:

- **State corporation** — an entity incorporated under the Companies Act, **solely or partly owned by the national government for commercial purposes** (e.g. Kenya Power, Kenya Railways).
- **State agency** — an entity howsoever incorporated to undertake a specific strategic government objective in delivering public service, including executive agencies, independent regulatory agencies, and research institutions, public universities and tertiary institutions.
- **County corporation** — an entity solely or partly owned by a **county** government for commercial purposes.
- **Commercial purpose** — a function governed by competitive, profit-making, market dynamics, **or** one that could be performed commercially but serves a strategic socio-economic objective.

2. Public sector vs private sector — features

Government accounting is the field of accounting applied in the public sector. It is special because (a) the objectives of its reports differ significantly from those for which generally accepted practice was developed in the private sector, and (b) the **use** of the accounting results differs significantly too.

Feature	Private sector	Public sector
Primary goal	Earning profit for owners	Service delivery; differing goals, not profit
Responsibility	Financial planning tool	**Fiscal accountability** — demonstrating compliance in the use of resources in a budgetary context
Budget	A planning tool; compliance not mandatory	**Mandatory** — spending must stay within parliamentary appropriations
Funding	Capital, sales revenue, borrowings	Taxes, grants, appropriations from the Consolidated Fund
Success measure	Net income/profit	Economy, efficiency and effectiveness of service delivery; **value for money**
Ownership	Shareholders who chose to invest	The public, who **have no choice but to delegate** — hence deeper accountability demands

The book notes an important debate: public utility businesses (e.g. electricity services) may be intended to produce net income — but should they? If profit is the objective, the argument runs, the entity should be fully private rather than enjoying public funds and monopolies.

The unique objectives of government accounting **do not preclude double entry** — but there are significant differences from private practice, especially anything aimed at arriving at a net income figure.

The two objectives of government accounting

(a) Accountability: representatives of the public and appointed officials must be **accountable to the public** for powers and tasks delegated. The public, unlike shareholders, cannot sell their "shares" — so they need financial information that is applicable and relevant to **their** purposes: was money used lawfully, as authorised, and to good effect?

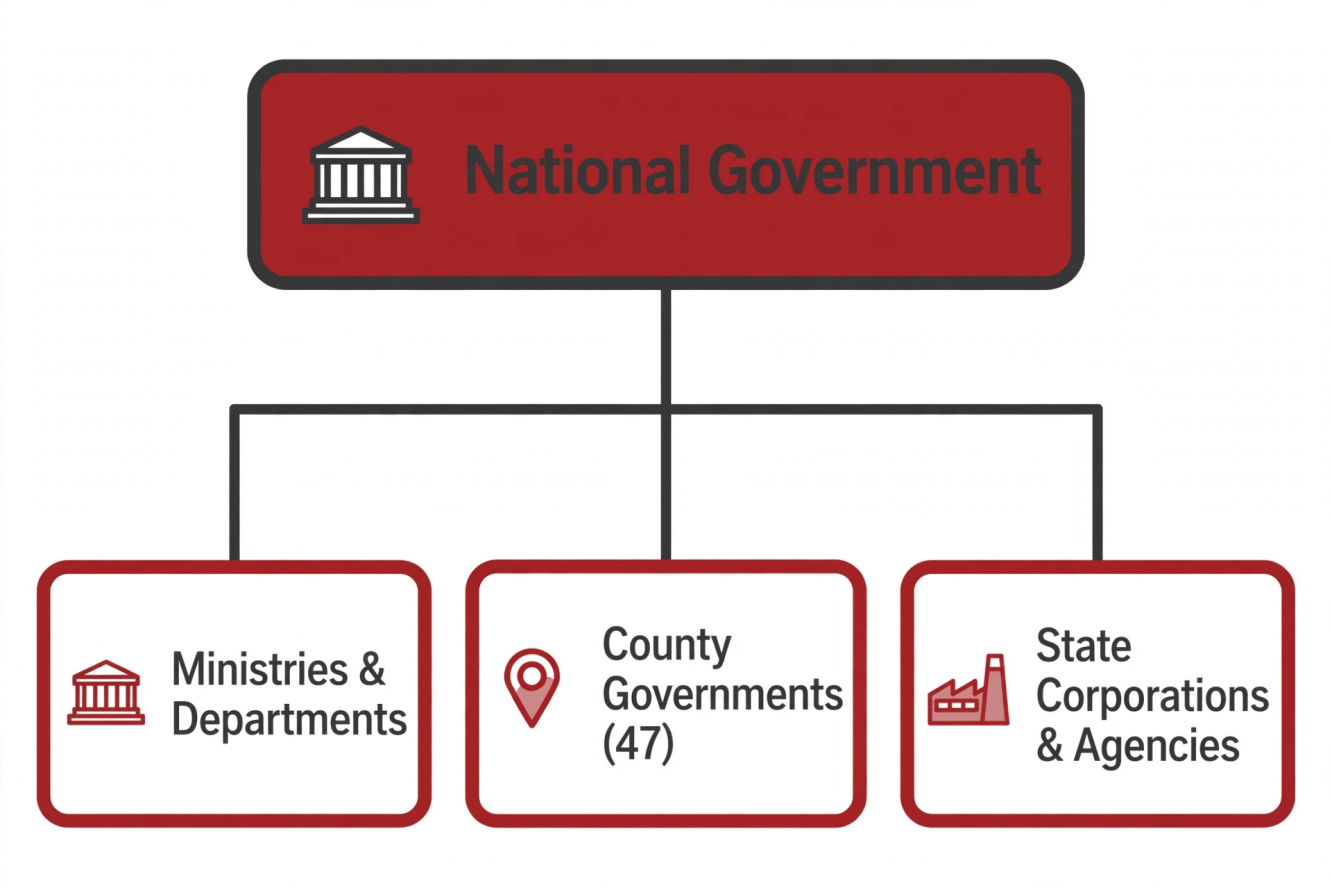
(b) Decision-making: officials and representatives need financial information organised and presented for **their** decisions — which in most cases concern **service delivery and efficiency**, not net income. The taxpayer simply wants to pay as little tax as possible for the essential services the law compels the government to provide.

3. Structure of the public sector

Most government organisations are classic **vertical structures**: few people at the top, increasing numbers through middle management to lower levels — a few make policy and decisions, many carry them out. Governments lean toward vertical structures because they create clearly defined job scopes and powers; it is the classic bureaucracy, originating in military command.

In Kenya's constitutional structure:

- **National government** — ministries, departments, commissions; sets policy, manages the Consolidated Fund, and oversees the whole public finance system through the National Treasury.
- **County governments** — 47 counties with their own executives and assemblies; receive equitable revenue shares (Division of Revenue / County Allocation of Revenue Bills) and manage county corporations.
- **State corporations and agencies** — commercial and strategic entities owned wholly or partly by government (national or county), delivering services from power distribution to regulation to university education.



4. Objectives of public sector financial statements

Government financial statements must go far beyond reporting surpluses and deficits. They must provide information describing liabilities and financial assets, **non-financial assets available for future services**, the **cost of using economic resources** in service delivery, investing and financing activities, and potential assets and liabilities — highlighting measures (e.g. **net debt**, net economic resources) that show whether the government's financial position has improved or deteriorated.

Specifically, financial statements should:

1. Provide an accounting of the **full nature and extent** of the financial affairs and resources the government controls, including agencies and enterprises.
2. Describe the government's **financial position** at period end — useful for evaluating (a) its ability to finance activities and meet liabilities and contractual obligations, and (b) its ability to provide **future services**.
3. Describe **changes** in financial position — useful for evaluating (a) the sources, allocation and consumption of economic resources; (b) how activities affected **net debt**; (c) how the government financed its activities and met cash requirements.
4. Demonstrate **accountability** — useful for (a) evaluating the financial results of management's stewardship of resources, and (b) assessing whether resources were administered **within the limits set by the legislature**.

5. Sources of government revenue and expenditure (context)

- **Sources of revenue:** internal sources (taxes, fees, charges) and external sources (loans, grants).
- **Government expenditure: recurrent expenditure** (revenue expenditure on normal activities — general public administration, defence, education, health, social welfare, economic services) and **development**

expenditure (new agricultural/industrial projects, plant and machinery, construction — shown in the capital budget, financed mainly from external loans and grants, plus internal loans).

Exam trap: KASNEB often asks for the *purposes* of public sector accounting. The book's model answer: (i) create a standard expectation of ethics and accountability for a nation's financial information; (ii) assist in public sector budgeting; (iii) help establish a public governance system enhancing disciplined decision-making by those in charge of state affairs; (iv) enable the public to assess whether there is **value for money** for taxes paid.

Key terms

- **Public sector** — government and its departments, agencies, corporations and funded institutions delivering public services.
- **State corporation** — entity incorporated under the Companies Act, wholly/partly owned by national government for commercial purposes.
- **State agency** — entity created to undertake a specific strategic government objective in public service delivery.
- **County corporation** — entity wholly/partly owned by a county government for commercial purposes.
- **Fiscal accountability** — demonstrating compliance in the use of resources within a budgetary context.
- **Consolidated Fund** — the single fund into which all government revenues are paid; no withdrawal without parliamentary approval.
- **Recurrent expenditure** — spending on normal government activities; **development expenditure** — spending on new projects and capital formation.
- **Value for money** — economy, efficiency and effectiveness in the use of public resources.

Module summary (so far)

- The public sector exists to **deliver services**, not to earn profit — and its accounting exists for **accountability and decision-making**, not net income measurement.
- The budget is **mandatory** in government: spending beyond appropriations without parliamentary approval is unlawful.
- Kenya's public sector spans the national government, 47 county governments, and state corporations/agencies/county corporations, organised in vertical bureaucratic structures.
- Public sector financial statements must show the full financial position, changes in it (including net debt), and demonstrate that resources were used within legislated limits.

Exam day tips

1. For "distinguish public from private sector accounting", lead with **goal (service vs profit)** and **budget (mandatory vs planning tool)** — then add accountability and funding.
2. Memorise the **four purposes of public sector accounting** — a ready-made 4-mark answer.
3. Quote the **two objectives** (accountability; decision-making) using the book's language about the public having "no other choice but to delegate".
4. When listing public sector entities, cite the PFMA categories — markers look for state corporations, the Central Bank, courts, commissions and public universities.

Why the budget dominates everything

In a company, a budget overrun is a management problem. In government, it is a legal breach. Because appropriations are Acts of Parliament, an Accounting Officer who spends beyond the vote has broken the law, not merely missed a target. This is why public sector accounting is built around budgetary control: vote books, commitment accounting, exchequer releases and quarterly reports all exist to keep spending inside the legal fence. When answering "why is public sector accounting different", always return to this point — the mandatory budget is the single feature from which most other differences flow.

Slide deck at a glance

What is the public sector? (PFMA)

- Government, departments, courts, constitutional commissions
- State corporations: owned by national government for commercial ends
- Central Bank of Kenya; public schools, universities, colleges
- State agency: strategic government objective, not commercial
- County corporation: owned by a COUNTY government, commercial purpose

Public vs private sector accounting

- Goal: service delivery vs profit for owners
- Budget: MANDATORY (appropriations law) vs planning tool
- Responsibility: fiscal accountability vs financial planning
- Funding: taxes, grants, Consolidated Fund vs sales and capital
- Success: value for money vs net income

The two objectives of government accounting

- (a) ACCOUNTABILITY — the public cannot sell its 'shares', so officials
- must show money was used lawfully, as authorised, to good effect
- (b) DECISION-MAKING — information for service-delivery decisions
- The taxpayer wants minimum tax for legally-required services
- Government accounting does NOT preclude double entry

Structure of the public sector

- National government: ministries, Treasury, Consolidated Fund oversight
- 47 county governments: equitable revenue shares, county corporations
- State corporations and agencies: power, regulation, universities
- Classic vertical bureaucracy: few decide, many carry out
- Accounting Officers guard the legal fence around each vote

Objectives of public sector financial statements

- Show the full financial affairs and resources controlled
- Financial position — incl. net debt and future-service capacity
- Changes in position: sources, allocation and consumption of resources
- Demonstrate accountability: resources used within legislature's limits

Revenue, expenditure and the budget

- Revenue: internal (taxes, fees) and external (loans, grants)
- Recurrent expenditure: day-to-day (health, education, defence)
- Development expenditure: new projects — capital budget, external loans
- Budget overrun in government = LEGAL breach, not a management miss

Key takeaways / exam tips

- Lead with goal (service vs profit) + budget (mandatory vs planning)
- Memorise the 4 purposes of public sector accounting — a 4-mark answer
- Cite PFMA entities: state corps, CBK, courts, commissions, universities
- The mandatory budget is the root of every other difference

KASNEB past-paper worked examples

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KASNEB-2021-05-Q5 · May 2021 · 20 marks KASNEB authored

General journal; manufacturing terms; public sector terms; NPO terms

(a) Highlight four uses of the general journal. (4 marks) (b) Distinguish between the terms "prime cost" and "factory overheads" as applied in manufacturing accounts. (4 marks) (c) In the context of public sector accounting, explain the following terms: (i) Social benefits. (2 marks) (ii) Contingent asset. (2 marks) (iii) Contingent liability. (2 marks) (d) Explain the following terms as used in not-for-profit organisations: (i) Crowdfunding. (2 marks) (ii) Life membership. (2 marks) (iii) Grants. (2 marks) (Total: 20 marks)

SokoCPA worked solution

(a) Uses of the general journal

1. **Opening entries** — to open a new set of books by recording the assets, liabilities and capital of a business at the start of a period.
2. **Correction of errors** — to rectify errors that cannot be corrected through the books of prime entry, e.g. errors of principle, complete reversals and omissions.
3. **Adjusting entries** — to record period-end adjustments such as accruals, prepayments, depreciation and allowances for doubtful debts.
4. **Closing/transfer entries** — to transfer balances to the trading and profit or loss accounts and close off accounts at the end of a period. (Other valid uses: recording purchases/disposals of non-current assets on credit, writing off bad debts, and recording infrequent transactions that have no dedicated book of prime entry.)

(b) Prime cost vs factory overheads

Prime cost is the total of all *direct* costs of production — direct materials consumed, direct labour and direct expenses (e.g. royalties, hire of special equipment) — costs that can be traced directly to a unit of output. **Factory overheads** are all *indirect* manufacturing costs that cannot be traced to specific units — indirect materials, indirect labour, factory rent, factory power, depreciation of plant and factory insurance. Prime cost plus factory overheads gives the total factory (production) cost; prime cost varies directly with output, while many factory overheads are fixed or semi-variable.

(c) Public sector accounting terms

(i) Social benefits: Cash transfers or benefits in kind provided by government to individuals or households to mitigate the effects of social risks — e.g. cash transfers to orphans and vulnerable children, older persons' pensions and disability support. They are non-exchange transactions: the recipients do not give approximately

equal value in return. **(ii) Contingent asset:** A possible asset arising from past events whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events not wholly within the entity's control — e.g. a pending court award in the entity's favour. It is disclosed, not recognised, until the inflow of benefits is virtually certain. **(iii) Contingent liability:** A possible obligation arising from past events whose existence will be confirmed only by uncertain future events, or a present obligation that is not recognised because an outflow of resources is not probable or its amount cannot be measured reliably — e.g. pending litigation against a ministry. It is disclosed in the notes, not recognised in the statement of financial position.

(d) Terms used in not-for-profit organisations

(i) Crowdfunding: Raising funds from a large number of people, typically small contributions mobilised through online platforms or social media appeals, to finance a project or cause of the organisation. **(ii) Life membership:** A membership arrangement under which a member pays a single lump-sum fee entitling them to membership for life, with no annual subscription. Because the benefit spans many years, life membership fees are credited to a life membership fund (capitalised) and an annual portion is transferred to income, rather than being treated wholly as income of the year of receipt. **(iii) Grants:** Non-repayable financial assistance received from government, donors or other organisations for a stated purpose. Grants restricted to capital projects or specific purposes are credited to a capital/deferred income fund and released to income as the related costs are incurred; unrestricted grants are recognised as income of the period.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- (a) Any four uses of the general journal correctly highlighted (opening entries; error correction; adjustments; closing/transfer entries; credit purchases/disposals of assets; bad-debt write-offs) **(4)**
- (b) Prime cost correctly defined as total direct costs (direct materials, direct labour, direct expenses) **(2)**
- (b) Factory overheads correctly defined as indirect production costs, with the distinction from prime cost made clear **(2)**
- (c)(i) Social benefits explained (non-exchange transfers mitigating social risk, with example) **(2)**
- (c)(ii) Contingent asset explained (possible asset, uncertain future events, disclosed not recognised) **(2)**
- (c)(iii) Contingent liability explained (possible/present obligation not recognised, disclosed in notes) **(2)**
- (d)(i) Crowdfunding explained **(2)**
- (d)(ii) Life membership explained (lump sum for life; capitalised to a fund, portion released to income) **(2)**
- (d)(iii) Grants explained (non-repayable assistance; restricted grants deferred/capital, unrestricted to income) **(2)**

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 4 · Medium 4 · Hard 2), serials CA11-M12-Q001 – CA11-M12-Q023. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

MODULE 12 · INTRODUCTION TO PUBLIC SECTOR ACCOUNTING — LESSON 2

Lesson 2: Regulatory Oversight and Accounting Techniques in the Public Sector

Learning objectives

By the end of this lesson you should be able to:

1. Explain the role of the **IPSASB** and the development of International Public Sector Accounting Standards (IPSAS).
2. Describe the **PSASB** (Kenya's Public Sector Accounting Standards Board) — establishment, mandate and functions.
3. Outline the roles of the **Director of Accounting Services, the National Treasury, Parliamentary Committees, Accounting Officers, the Auditor-General and the Controller of Budget**.
4. List and explain the responsibilities of **Accounting Officers** under the Government Financial Management Act.
5. Distinguish the five public sector accounting techniques: **budgetary, cash, accrual, commitment and fund accounting** — with advantages and challenges of each.
6. Explain the case for moving from cash to accrual accounting in government.

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1. International oversight — the IPSASB

The **International Public Sector Accounting Standards Board (IPSASB)** — formerly the Public Sector Committee of the **International Federation of Accountants (IFAC)** — focuses on the accounting, auditing and financial reporting needs of national, regional and local governments, related agencies and the constituencies they serve. It serves them by issuing and promoting benchmark guidance, running educational and research programmes, and facilitating information exchange among public sector accountants.

Its flagship work is the **Standards Project** (established late 1996): developing **International Public Sector Accounting Standards (IPSAS)** for financial reporting by governments and public entities. The initial objectives (targeted by end of November 2001) were:

- a background paper on current practices and issues in public sector financial reporting;
- a **core set of IPSAS** based, where appropriate, on the International Accounting Standards in place as at August 1997;
- an IPSAS on the **cash basis** of accounting; and
- guidance on **transitioning from cash to accrual**.

Note the book's important caveat: IFRSs are designed for **profit-oriented** entities. Government Business Enterprises (GBEs) — which are profit-oriented — must therefore comply with **IFRS**, while pure government entities follow **IPSAS**.

2. National standard-setting — the PSASB (Kenya)

Kenya's **Public Sector Accounting Standards Board (PSASB)** was established under the **Public Finance Management Act, 2012**. Its mandate is to **prescribe the accounting standards** for the Kenyan public sector and to provide guidance on their application. Its core functions:

- Set and issue public sector accounting standards (cash-basis IPSAS for national/county governments; accrual IPSAS/IFRS for state corporations as applicable).
- Prescribe the **formats** of financial statements and reporting templates for public entities.
- Advise the National Treasury and the Accounting Standards Board framework on public financial reporting.
- Promote compliance through guidance, training frameworks and monitoring of reporting quality.

In short: **IPSASB sets the international benchmarks; PSASB domesticates them into binding Kenyan standards.**

2A. Adopting IPSAS – benefits, challenges, and making it succeed

Kenya's public entities report under standards prescribed by the PSASB, which are based on **IPSAS**. Examiners test adoption from both sides — learn the benefits, the challenges, and the success factors as three separate lists.

Benefits of adopting IPSAS: 1. **Accountability and transparency** – accrual IPSAS shows the **full cost of services**, all assets and all liabilities (including pensions and arrears), so Parliament and the public can hold officials to account. 2. **Comparability** – one benchmark lets users compare entities within Kenya and across countries, and compare one period with another. 3. **Better decision-making** – complete information on resources and obligations improves budgeting, asset management and debt decisions. 4. **Credibility with lenders and development partners** – IPSAS-based reports are trusted internationally, supporting creditworthiness and donor confidence.

Challenges of adopting IPSAS: 1. **Capacity** – shortage of accountants trained in accrual accounting and IPSAS in the public service; extensive training is needed. 2. **Cost** – new systems (e.g. IFMIS upgrades), consultants, training and asset valuation are expensive. 3. **Opening balances** – many entities lack complete **asset registers** and records of liabilities, so a reliable opening statement of financial position is hard to build (heritage and infrastructure assets are especially difficult to value). 4. **Change resistance and systems integration** – moving from cash to accrual is a change of philosophy (see §4(c)); purchasing, asset management and accounting systems must be integrated, and staff may resist new procedures.

Ensuring successful adoption (model answer — any three, explained): 1. **Political and top-management commitment** – sustained support from the National Treasury and entity leadership, with the reform anchored in law (the PFMA) and in PSASB standards and timelines. 2. **Phased (gradual) implementation** – move in stages (e.g. cash-basis IPSAS first, then accrual), piloting with a few entities before rolling out, rather than a single "big bang". 3. **Capacity building** – train and recruit accountants, and support professional development so entities can actually operate the new basis. 4. **Adequate funding and systems** – budget for the reform itself: reliable IT (IFMIS), opening asset registers and liability records. 5. **Stakeholder involvement and communication** – involve Accounting Officers, auditors and Parliament early so the new reports are understood and used.

Model phrasing: *"Successful adoption requires commitment from the highest level of government, a phased approach, investment in training and systems, and the preparation of reliable opening balances through complete asset and liability registers."*

3. The oversight architecture

Director of Accounting Services

Heads the accounting function across government — responsible for the integrity of government accounting systems, the chart of accounts, and the consolidation of public accounts. Works hand-in-glove with the National Treasury.

The Accountant General

The **Accountant General** is the head of government accounting services, an office within the **National Treasury** (exercised through the Directorate of Accounting Services — see the Director of Accounting Services above). Where the Accounting Officer is responsible for **one** ministry's vote, the Accountant General is responsible for the **government accounting system as a whole**. The roles examiners expect:

1. **Head of the government accounting service** – the professional head of accountants serving in ministries, departments and agencies; responsible for their deployment, discipline standards and professional development. [VERIFY: the extent of the office's direct authority over postings of individual accountants.]
2. **Designs and maintains the government accounting system** – prescribes the **chart of accounts**, accounting procedures, books and forms used across government, and oversees the integrated financial management system (**IFMIS**) through which government transactions are processed.
3. **Prepares the public accounts** – compiles the **consolidated annual financial statements (public accounts) of the national government** from the accounts submitted by Accounting Officers and submits them for audit by the Auditor-General within the statutory timelines.
4. **Issues accounting instructions** – issues Treasury circulars and guidance on accounting matters and, working with the PSASB, ensures uniform application of the prescribed accounting standards and reporting formats.
5. **Custodian of government accounting records and the Consolidated Fund accounts** – maintains the central accounts of the Consolidated Fund and ensures all government receipts and payments are completely and accurately recorded, so that issues from the Fund can be traced to exchequer releases. [VERIFY: the precise division between the Accountant General's record-keeping role and the Controller of Budget's authorisation role — authorisation of withdrawals belongs to the Controller of Budget under the 2010 Constitution, as §3 below states; do not credit it to the Accountant General without checking the current PFMA text.]
6. **Advises the National Treasury** – advises the Cabinet Secretary/National Treasury on accounting policy, financial reporting and the state of government accounts.

Model phrasing (1 mark each, November 2016 style): *"The Accountant General: (i) heads the government accounting service; (ii) designs and maintains the government accounting system, including the chart of accounts and IFMIS; (iii) compiles the consolidated public accounts of the national government for audit; (iv) issues accounting instructions and circulars to Accounting Officers; (v) maintains the central records of the Consolidated Fund and government receipts and payments."*

Exam trap: three offices are easily confused — the **Accountant General** (keeps the government's accounts and runs the accounting system), the **Auditor-General** (audits and reports — Lesson 2 §3), and the **Controller of Budget** (authorises withdrawals from public funds). A "roles of the Accountant General" answer that lists auditing or withdrawal-authorisation duties mixes up the three and loses marks.

Key term (add to flashcards): - Accountant General – Head of government accounting services within the National Treasury: owns the government accounting system (chart of accounts, IFMIS), compiles the consolidated public accounts, and issues accounting instructions to Accounting Officers.

The National Treasury

Formulates public finance policy; prepares the **Budget Estimates**; manages the **Consolidated Fund** and the **Exchequer**; issues warrants for withdrawals; and appoints **Accounting Officers** for ministries, departments and commissions.

Parliamentary Committees

- **Public Accounts Committee (PAC)** — members of Parliament who examine the **audited reports** of government accounts presented by the Auditor-General; the apex accountability forum.
- The Senate committee on county finances: proposes the basis for **allocating revenue among counties**, introduces the County Allocation of Revenue Bill and Division of Revenue Bill, examines financial statements submitted under the PFMA, and monitors adherence to constitutional principles of public finance and fiscal responsibility.

Accounting Officers

Under Section 17 of the Government Financial Management Act, the Treasury appoints Accounting Officers to be responsible for accounting for the services voted by Parliament — all services of a ministry/department/commission fall under the same officer. An Accounting Officer must ensure resources are used in a way that is **lawful, authorised, effective, efficient, economical and transparent**, and specifically must:

- (a) ensure no expenditure is made unless lawful, authorised, effective, efficient and economical;
- (b) keep proper financial and accounting records (including backing up and virus-protecting electronic records);
- (c) prepare and submit annual accounts for audit by the Auditor-General (styled "Controller and Auditor-General" in the study text);
- (d) ensure adequate arrangements for management of liabilities;
- (e) ensure all contracts are complied with;
- (f) follow all applicable procedures in acquiring/disposing of property and safeguard it;
- (g) escalate concerns that a proposed decision may lead to unlawful/inefficient use of resources — first to the responsible Minister, then to the Treasury if unaddressed;
- (h) perform other duties as directed by the Treasury.

The Auditor-General

*(Historical note: the study text styles this office "Controller and Auditor-General" and assigns it the review and approval of proposed Consolidated Fund withdrawals. That was the pre-2010 position, when a single office combined the audit function with control over issues from the Consolidated Fund. Under the 2010 Constitution the two roles are split — the withdrawal-authority role now belongs to the **Controller of Budget** below. Do not confuse them in the exam.)*

Appointed by the President; charged with **auditing and reporting** on public accounts:

- (i) examining disbursements of monies appropriated by Parliament — were they applied to the purposes appropriated and do they conform to the governing authorities?;
- (ii) **auditing and reporting** on the public accounts of the Government of Kenya, all government officers and authorities, all courts and commissions, and the Clerk of the National Assembly (and, under the Exchequer and Audit Act, all local authorities);
- (iii) approving the estimates of the Kenya National Audit Office; (iv) determining staff remuneration and terms.

The Controller of Budget

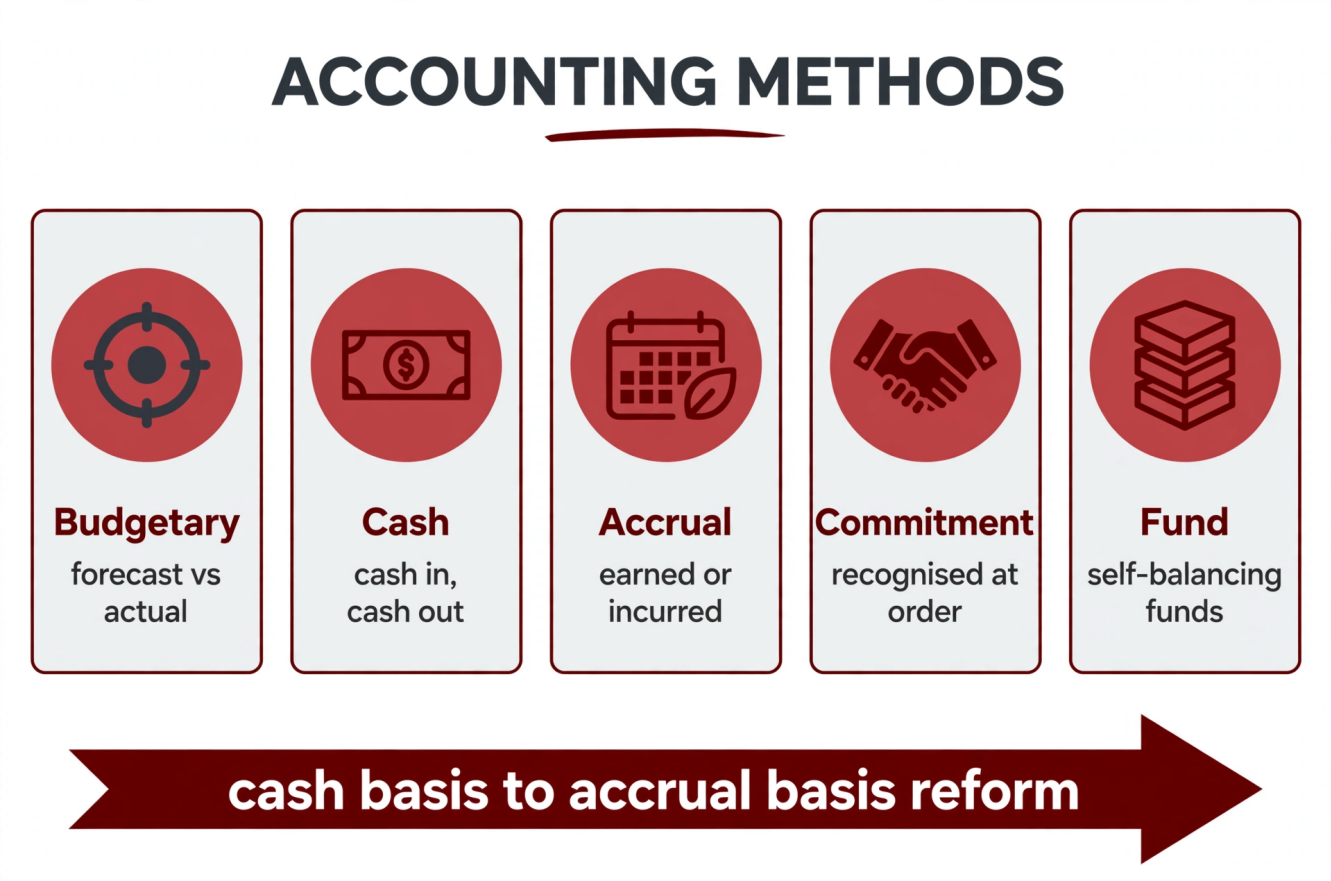
Nominated by the President and appointed with National Assembly approval; must have extensive public finance knowledge or at least **ten years' experience** in auditing public finance management. Holds office for **eight years, non-renewable**. Authorises withdrawals from public funds (Articles 204, 206, 207 of the Constitution) — **no withdrawal unless satisfied it is authorised by law** — and reports to each House of Parliament **every four months** on budget implementation by national and county governments.

Internal audit

Every national government entity must maintain internal audit arrangements per Accounting Standards Board guidelines: reviewing governance and transparency mechanisms; conducting risk-based, value-for-money and systems audits; verifying existence and safeguarding of assets; assuring policies and good practice are followed; and evaluating the reliability of management information — all per international best practice, overseen by an **audit committee**.

4. Accounting techniques in the public sector

(Note: per the syllabus, preparation of public sector financial statements — vote books, GAV, Exchequer and PMG accounts — is excluded. What is examined is the conceptual understanding below.)



(a) Budgetary accounting

Preparing the operating accounts in **budget format** — the focus is on forecasted cash flows and operations, limited to budget estimates. Aims: ensure manager efficiency; communicate entity goals; provide **control**; and give a **benchmark for measuring performance**.

(b) Cash accounting

Only **cash inflows and outflows** are recognised and recorded — revenue/expenditure not yet received/paid is ignored. Final accounts are essentially summarised cash books; non-current assets are not recognised (all expenditure is written off in the year incurred).

Advantages: widely used and traditionally accepted measure of government's short-term economic impact; tangible, easily prepared and tracked; for many government transactions (grants, salaries) cash and accrual barely differ.

Shortcomings (the exam list): fails to recognise **future costs** of current activities; does not align costs with service provision; does not ensure **sustainability** — more concerned with the current year than the long term, no asset/liability picture, impossible to gauge total performance; the budgetary process focuses on **inputs not outputs/outcomes** — encouraging lavish year-end spending to avoid surrendering unspent balances, with no incentive to justify allocations beyond "last year plus a bit".

(c) Accrual accounting

Revenues and costs are recognised **as earned or incurred**, regardless of cash movement. Working capital items are adjusted at period end. Crucially, **capital assets are capitalised and depreciated** over useful lives — only annual depreciation hits operating cost — so assets no longer look like "free goods" after purchase.

Advantages: enhances **accountability**; encourages **performance-based (accrual output-based) budgeting** — funding departments for **outputs** (services) rather than inputs, improving resource allocation and performance information; ensures **fairer distribution** of funds among competing interests through full information on assets, liabilities and non-cash flows.

Challenges in implementation: collecting and properly identifying **capital asset** information; building capacity through extensive **training**; integrating purchasing, asset management and accounting systems; and managing the cultural change — it is a change of **philosophy**, not just technique.

(d) Commitment accounting

Transactions are recognised **when the entity is committed** — when orders are issued or received — earlier than invoicing or cash movement. Its main purpose is **budgetary control** rather than financial reporting: it continuously tracks commitments so spending never exceeds appropriations unnoticed.

Encumbrance (obligations). An **encumbrance** is a **commitment of budgeted funds** that arises when a purchase order or contract is placed but the goods or services have **not yet been received and no invoice has been issued** — for example, an LPO issued to a supplier. The amount of the order is **reserved (encumbered)** against the vote/appropriation so that the same funds cannot be committed twice; when the goods are delivered and invoiced, the encumbrance is liquidated and replaced by an actual expenditure/liability. Encumbrances are the working tool of commitment accounting: at any moment, **appropriation − actual expenditure − encumbrances = funds still available to commit**.

Model phrasing (2 marks): *"An encumbrance is an obligation/commitment entered into when an order is placed or a contract signed, reserving part of an appropriation for a future payment so that expenditure does not exceed the amount voted."*

Mini example: A ministry has a vote of Sh. 10,000,000 for stationery, has spent Sh. 6,000,000, and has issued LPOs worth Sh. 3,000,000 for goods not yet delivered. The Sh. 3,000,000 is encumbered — only **Sh. 1,000,000** remains available for new commitments, even though the cash has not yet left the bank.

Key term (add to flashcards): - **Encumbrance** – A commitment (e.g. an LPO issued) that reserves part of an appropriation for a future payment; liquidated when the goods/services are received and invoiced.

(e) Fund accounting

A **fund** is a fiscal and accounting entity with a **self-balancing set of accounts** recording cash and other financial resources, related liabilities and residual balances, segregated to carry on specific activities or attain objectives under special regulations or restrictions. Unlike a business (one entity, one set of accounts), a government uses **each fund** to account for only a **subset** of its activities.

Types of funds: - **Governmental funds** (expendable general-government resources): General Fund (all resources not in another fund); Special Revenue Funds (legally restricted specific revenues); Capital Projects Funds (major capital acquisition/construction); Debt Service/Sinking Funds (long-term debt principal and interest); Revolving Funds (initial Consolidated Fund appropriation, receipts reused per statute). - **Proprietary funds** (business-like): Enterprise Funds (operations financed like private business, costs recovered through user charges); Internal Service Funds (goods/services provided to other departments on cost-reimbursement basis). - **Fiduciary funds** (trustee/agent capacity): expendable and non-expendable trust funds, pension trust funds, agency funds.

Exam trap: fund accounting measures **financial position and changes in fund financial resources — not net income**. Governmental funds are essentially segregations of working capital by purpose.

5. The accountability chain — putting it together

Annual estimates (ministries → Treasury) → Budget (debated and approved by Parliament) → Appropriations (ministries cannot exceed them) → Spending with internal controls and the **vote book** → Audit by the **Auditor-General** → Scrutiny by the **Public Accounts Committee**. The **Consolidated Fund** is the single pot: all revenues in, nothing out without parliamentary approval via the Appropriation Act; **Appropriations-in-Aid** let accounting officers retain specified revenues to meet expenditure; the **Paymaster General** acts as the government's banker, paying ministries from Exchequer withdrawals.

Key terms

- **IPSASB** — IFAC board issuing International Public Sector Accounting Standards (IPSAS).
- **PSASB** — Kenya's Public Sector Accounting Standards Board (PFMA 2012); prescribes public sector accounting standards and reporting formats.
- **Accounting Officer** — Treasury appointee responsible for lawful, authorised, effective, efficient, economical and transparent use of a ministry's/department's resources.
- **Auditor-General** — audits and reports on all public accounts. (The study text's "Controller and Auditor-General" title, with Consolidated Fund withdrawal-approval powers, is the pre-2010 position; under the 2010 Constitution withdrawal authority belongs to the Controller of Budget.)
- **Controller of Budget** — authorises withdrawals from public funds; 8-year non-renewable term; reports to Parliament every four months.
- **Public Accounts Committee** — parliamentary committee scrutinising audited government accounts.
- **Budgetary / cash / accrual / commitment / fund accounting** — the five public sector techniques; fund accounting uses self-balancing fund entities.
- **Appropriations-in-Aid** — specified revenues the Treasury authorises an accounting officer to retain and spend.

Module summary (m12 complete)

- Oversight is layered: **IPSASB** (international standards) → **PSASB** (Kenyan standards) → **National Treasury** (policy, Consolidated Fund) → **Accounting Officers** (spending control) → **Auditor-General** (audit) → **Parliamentary Committees** (scrutiny) → **Controller of Budget** (withdrawal authority).
- Accounting Officers carry personal responsibility for lawful, effective, efficient, economical and transparent resource use.
- The five techniques serve different masters: budgetary (control), cash (simplicity, traditional), accrual (true cost and accountability), commitment (pre-spending control), fund (segregation by purpose/restriction).
- The direction of travel is **cash → accrual**: fuller cost information, output-based budgeting and fairer resource allocation — but asset registers, training and systems integration make it a philosophical as well as technical challenge.

Exam day tips

1. "Discuss the roles of..." questions want **one crisp sentence per body** — learn the chain as a story: who sets standards, who spends, who audits, who scrutinises, who releases the money.
2. The Accounting Officers' responsibilities are a **ready-made 8-mark list** — memorise at least six with the "lawful, authorised, effective, efficient, economical and transparent" mantra.
3. For cash vs accrual, always give **both** advantages of accrual **and** its implementation challenges — one-sided answers lose the evaluation marks.
4. Remember the syllabus exclusion: **do not** prepare vote books/GAV/Exchequer/PMG accounts — but you **must** be able to define the Consolidated Fund, Appropriations-in-Aid, vote book and Paymaster General.
5. Fund types (governmental / proprietary / fiduciary) with one example each is a classic 6-marker — learn the table.

Slide deck at a glance

IPSASB and IPSAS

- IPSASB: IFAC board for public sector reporting standards
- Issues IPSAS — benchmark guidance for governments worldwide
- 1996 Standards Project: core IPSAS, cash-basis IPSAS, transition guide
- Pure governments → IPSAS; profit-oriented GBEs → IFRS
- Also runs education, research and information exchange

Kenya's PSASB

- Established under the Public Finance Management Act, 2012
- Mandate: prescribe accounting standards for the Kenyan public sector
- Sets reporting formats and templates for public entities
- Promotes compliance via guidance, training and monitoring
- IPSASB sets benchmarks; PSASB domesticates them into Kenyan law

The oversight architecture

- National Treasury: policy, Budget Estimates, Consolidated Fund, warrants
- Director of Accounting Services: chart of accounts, consolidation
- Accounting Officer: Treasury appointee, personally responsible per vote
- PAC (Parliament): examines AUDITED accounts via the Auditor-General

- Internal audit: risk-based, value-for-money, per international practice

Accounting Officer duties — the 8-mark list

- Mantra: lawful, authorised, effective, efficient, economical, transparent
- Proper records (with backups); annual accounts for audit
- Manage liabilities; ensure contracts complied with
- Safeguard property; escalate unlawful-use concerns to the Treasury

Auditor-General vs Controller of Budget

- Auditor-General: AUDITS and REPORTS on all public accounts
- 'Controller and Auditor-General' in the text is the PRE-2010 title
- Controller of Budget: AUTHORISES withdrawals from public funds
- Controller: 8-year NON-renewable term; 10 yrs experience required
- Controller reports to each House of Parliament every FOUR months

The five techniques — budgetary, cash, accrual

- Budgetary: accounts in budget format — control and performance benchmark
- Cash: records cash only; simple, traditional — but no asset/liability picture
- Cash flaws: no future costs; inputs not outputs; year-end spending sprees
- Accrual: earned/incurred; capitalise and depreciate assets
- Accrual enables OUTPUT-based budgeting — pay for services, not inputs

Commitment and fund accounting

- Commitment: recognise when ORDERED — pre-spending budgetary control
- Fund: self-balancing set of accounts per purpose/restriction
- Governmental funds: General, Special Revenue, Capital Projects, Debt Service
- Proprietary: Enterprise, Internal Service. Fiduciary: trusts, pensions, agency
- Fund accounting measures fund resources — NOT net income

The accountability chain

- Estimates → Budget (Parliament) → Appropriations → Spending (vote book)
- Audit by Auditor-General → scrutiny by the Public Accounts Committee
- Consolidated Fund: single pot; nothing out without Parliament's approval
- Appropriations-in-Aid: specified revenues retained to meet expenditure
- Paymaster General: the government's banker

Key takeaways / exam tips

- Learn the chain as a story: standards → spend → audit → scrutinise
- Cash → accrual is the exam debate: give BOTH sides, not one
- Fund types with one example each = a classic 6-marker
- Syllabus excludes vote-book preparation — but DEFINE its terms

Check your understanding

In the SokoCPA app, this lesson has **10 practice questions** (Easy 10), serials CA11-M12-Q004 – CA11-M12-Q015. Work through them after reading this lesson; the worked examples in this chapter show the standard of answer expected.

Module summary

This module covered:

- Lesson 1: Public Sector Features and Structure
- Lesson 2: Regulatory Oversight and Accounting Techniques in the Public Sector

It brought together **1 KASNEB past-paper worked examples** and **20 app practice questions**. Re-read any lesson whose worked examples you could not follow, then attempt the module mock paper that follows before moving on.

Module 12 Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Features of the public sector, PFMA entities and the objectives of government accounting

Required:
(a) Define the term "public sector" and list SIX categories of public sector entities as identified in the Public Finance Management Act. (8 marks)
(b) Distinguish between public sector accounting and private sector accounting on the following bases: primary goal; the budget; sources of funding; and measure of success. (8 marks)
(c) State the TWO main objectives of government accounting. (4 marks)

Model answer (SokoCPA)

(a) The public sector

The **public sector** comprises the government and all entities that it controls or funds to deliver public services to the public. Per the Public Finance Management Act, public sector entities include (any six):

1. The Government or any department of the Government.
2. The courts.
3. The commissions established under the Constitution.
4. A local authority under the Local Government Act.
5. A **state corporation** within the meaning of the State Corporations Act.
6. The Central Bank of Kenya.
7. A co-operative society established under the Co-operative Societies Act.
8. A public school, a public university, or a college or other educational institution maintained or assisted out of public funds.

(b) Public sector vs private sector accounting

Basis	Private sector	Public sector
Primary goal	Earning profit for the owners	**Service delivery** — differing public goals, not profit
The budget	A planning tool; compliance with it is not mandatory	**Mandatory** — spending must stay within the appropriations approved by Parliament/legislature
Sources of funding	Owners' capital, sales revenue and borrowings	Taxes, grants and appropriations from the Consolidated Fund
Measure of success	Net income/profit earned	Economy, efficiency and effectiveness of service delivery — **value for money**

A further underlying difference is responsibility: private sector accounting serves financial planning, whereas public sector accounting must demonstrate **fiscal accountability** — compliance in the use of resources within a budgetary context — because the public, unlike shareholders, have no choice but to delegate the management of their resources.

(c) The two objectives of government accounting

1. **Accountability** — representatives of the public and appointed officials must be accountable to the public for the powers and tasks delegated to them, demonstrating that resources were used lawfully, as authorised, and to good effect.
2. **Decision-making** — officials and representatives need financial information organised for their decisions, which mostly concern **service delivery and efficiency** rather than the measurement of net income.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Public sector correctly defined (government and entities it controls or funds to deliver public services) **(2)**
- Six PFMA categories of public sector entities correctly listed **(6)**
- Primary goal distinguished (profit for owners vs service delivery) **(2)**
- Budget distinguished (planning tool vs mandatory appropriations) **(2)**
- Funding distinguished (capital/sales/borrowings vs taxes, grants, Consolidated Fund appropriations) **(2)**
- Measure of success distinguished (net income vs economy, efficiency, effectiveness — value for money) **(2)**
- Accountability objective correctly stated **(2)**
- Decision-making objective correctly stated (information for service-delivery and efficiency decisions) **(2)**

Question 2 (20 marks)

Structure of the Kenyan public sector and objectives of government financial statements

Required:
(a) Describe the structure of the public sector in Kenya, explaining the place of: the national government; county governments; and state corporations and agencies. Your answer should include the definitions of a state corporation, a state agency and a county corporation. (10 marks)
(b) State FIVE objectives of the financial statements of a government. (10 marks)

Model answer (SokoCPA)

(a) Structure of the public sector in Kenya

Government organisations are typically **vertical structures** — few people at the top making policy, increasing numbers through middle management to the operatives below — because clearly defined job scopes and powers suit public accountability. In Kenya the structure has three main tiers:

National government — ministries, departments and constitutional commissions. It sets national policy, manages the Consolidated Fund and the Exchequer, and oversees the whole public finance system through the National Treasury.

County governments — the 47 counties, each with its own executive and county assembly. They receive an equitable share of national revenue (through the Division of Revenue and County Allocation of Revenue legislation), raise some own revenue, and deliver devolved services; they may also own county corporations.

State corporations and agencies — entities owned wholly or partly by government to deliver commercial or strategic services: - A **state corporation** is an entity incorporated under the Companies Act, solely or partly owned by the **national government for commercial purposes** (e.g. Kenya Power, Kenya Railways). - A **state agency** is an entity, howsoever incorporated, created to undertake a **specific strategic government objective** in delivering public services — including executive agencies, independent regulatory agencies, research institutions and public

universities. - A **county corporation** is an entity solely or partly owned by a **county government** for commercial purposes.

("Commercial purpose" means a function governed by competitive, profit-making market dynamics, or one that could be performed commercially but serves a strategic socio-economic objective.)

(b) Objectives of government financial statements (any five)

1. To provide an accounting of the **full nature and extent** of the financial affairs and resources the government controls, including those of its agencies and enterprises.
2. To describe the government's **financial position** at the end of the period, so users can evaluate its ability to finance its activities, meet its liabilities and contractual obligations, and provide **future services** — including information on non-financial assets available for future services.
3. To describe **changes in financial position** — the sources, allocation and consumption of economic resources and how the government's activities affected its **net debt**.
4. To show how the government **financed its activities** and met its cash requirements (its investing and financing activities, and the cost of using economic resources in service delivery).
5. To demonstrate **accountability** — enabling evaluation of management's stewardship of resources and whether resources were administered **within the limits set by the legislature**.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- National government described (ministries/departments/commissions; policy; Consolidated Fund; National Treasury oversight) **(3)**
- County governments described (47 counties; own executives and assemblies; equitable revenue share) **(3)**
- State corporation correctly defined (Companies Act; owned by national government for commercial purposes) **(2)**
- State agency and county corporation correctly defined (strategic objective entity; county-owned commercial entity) **(2)**
- Five objectives of government financial statements correctly stated (full extent of affairs; financial position and future service ability; changes in position/net debt; financing of activities; accountability within legislative limits) **(10)**

Question 3 (20 marks)

Regulatory oversight: IPSASB, PSASB, Auditor-General, Controller of Budget, Treasury and PAC

Required:
(a) Explain the respective roles of the International Public Sector Accounting Standards Board (IPSASB) and Kenya's Public Sector Accounting Standards Board (PSASB) in public sector financial reporting. (8 marks)
(b) Distinguish between the roles of the Auditor-General and the Controller of Budget. (6 marks)
(c) Explain the roles of the National Treasury and the Public Accounts Committee in ensuring public accountability. (6 marks)

Model answer (SokoCPA)

(a) IPSASB and PSASB

IPSASB is the International Public Sector Accounting Standards Board of the International Federation of Accountants (IFAC) — formerly IFAC's Public Sector Committee. It addresses the accounting, auditing and financial reporting

needs of national, regional and local governments by issuing and promoting benchmark guidance. Its flagship Standards Project developed the **International Public Sector Accounting Standards (IPSAS)**, based where appropriate on the international accounting standards, including an IPSAS on the **cash basis** of accounting and guidance on **transitioning from cash to accrual** accounting. (Profit-oriented Government Business Enterprises follow IFRS; pure government entities follow IPSAS.)

PSASB is Kenya's Public Sector Accounting Standards Board, established under the **Public Finance Management Act, 2012**. Its mandate is to **prescribe the accounting standards for the Kenyan public sector** and provide guidance on their application: it sets and issues the applicable standards (cash-basis IPSAS for national and county governments; accrual IPSAS/IFRS for state corporations as applicable), prescribes the **formats** of financial statements and reporting templates, advises the National Treasury, and promotes compliance through guidance, training and monitoring.

In short: **IPSASB sets the international benchmarks; PSASB domesticates them into binding Kenyan standards.**

(b) Auditor-General vs Controller of Budget

The **Auditor-General** (appointed by the President) **audits and reports**: he examines disbursements of monies appropriated by Parliament to confirm they were applied to the purposes appropriated and conform to the governing authorities, and audits and reports on the public accounts of the Government of Kenya, all government officers and authorities, the courts and commissions. His role is exercised **after** the money is spent.

The **Controller of Budget** (nominated by the President and appointed with National Assembly approval; holds office for **eight years, non-renewable**) exercises control **before** money leaves public funds: he **authorises withdrawals** from public funds (under Articles 204, 206 and 207 of the Constitution) and must not authorise any withdrawal unless satisfied it is authorised by law. He reports to each House of Parliament **every four months** on budget implementation by national and county governments.

(Under the pre-2010 dispensation a single "Controller and Auditor-General" combined both roles; the 2010 Constitution split them — withdrawal authority now rests with the Controller of Budget, audit with the Auditor-General.)

(c) The National Treasury and the Public Accounts Committee

The National Treasury formulates public finance policy, prepares the **Budget Estimates**, manages the **Consolidated Fund** and the **Exchequer**, issues warrants for withdrawals from the Consolidated Fund, and **appoints the Accounting Officers** responsible for the services voted by Parliament. It is the manager at the centre of the public finance system.

The Public Accounts Committee (PAC) is the parliamentary committee of Members of Parliament that examines the **audited reports** of government accounts presented by the Auditor-General. It is the apex accountability forum: Accounting Officers are called before it to answer for audit findings, closing the accountability chain from spending to scrutiny.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- IPSASB role explained (IFAC board; issues IPSAS, including the cash-basis standard and cash-to-accrual transition guidance; benchmark guidance for governments) **(4)**
- PSASB role explained (established under PFMA 2012; prescribes Kenyan public sector standards and financial statement formats; guidance, training and compliance monitoring) **(4)**

- Auditor-General's role correctly stated (audits and reports on public accounts; examines whether disbursements matched appropriations and authorities) **(3)**
- Controller of Budget's role correctly stated (authorises withdrawals from public funds only if lawful; eight-year non-renewable term; four-monthly reports to Parliament) **(3)**
- National Treasury's role explained (finance policy; Budget Estimates; Consolidated Fund and Exchequer; warrants; appoints Accounting Officers) **(3)**
- Public Accounts Committee's role explained (examines the Auditor-General's audited reports; apex accountability forum) **(3)**

Question 4 (20 marks)

Accounting Officers' responsibilities and the public accountability chain

Required:

(a) An Accounting Officer is responsible for the resources of a government ministry. List and explain SIX responsibilities of an Accounting Officer in ensuring the lawful and effective use of public resources. (12 marks)

(b) Describe the public accountability chain from the preparation of annual estimates to parliamentary scrutiny. In your answer, define: the Consolidated Fund; Appropriations-in-Aid; the Paymaster General; and a vote book. (8 marks)

Model answer (SokoCPA)

(a) Responsibilities of an Accounting Officer (any six)

Under the Government Financial Management Act, the Treasury appoints Accounting Officers, who must ensure that resources are used in a way that is **lawful, authorised, effective, efficient, economical and transparent**. Specifically, an Accounting Officer must:

1. **Ensure lawful and economical spending** — see that no expenditure is made unless it is lawful, authorised, effective, efficient and economical.
2. **Keep proper records** — maintain proper financial and accounting records for the ministry or department, including backing up and virus-protecting electronic records.
3. **Prepare accounts for audit** — prepare and submit the annual accounts for audit by the Auditor-General.
4. **Manage liabilities** — ensure adequate arrangements are made for the management of the entity's liabilities.
5. **Ensure contract compliance** — see that all contracts entered into are complied with.
6. **Safeguard public property** — follow all applicable procedures in acquiring and disposing of property and ensure that property is safeguarded.
7. **Escalate concerns** — where a proposed decision may lead to unlawful or inefficient use of resources, raise the concern first with the responsible Minister and, if unaddressed, with the Treasury.

(b) The accountability chain

Estimates → Budget → Appropriation → Spending → Audit → Scrutiny. Ministries and departments prepare **annual estimates**, which the National Treasury consolidates into the Budget; the Budget is debated and **approved by Parliament** through the Appropriation Act — a ministry may not spend beyond its appropriation. Spending is then controlled through internal controls, exchequer releases and the **vote book**, so commitments never silently exceed the vote. After the year end, the **Auditor-General** audits the accounts, and the **Public Accounts Committee** scrutinises the audited reports, calling Accounting Officers to account.

Key definitions:

- **Consolidated Fund** — the single fund into which **all government revenues are paid**; no money may be withdrawn from it without parliamentary approval through the Appropriation Act.
- **Appropriations-in-Aid** — specified revenues which the Treasury authorises an Accounting Officer to **retain and apply** towards meeting expenditure, instead of paying them into the Consolidated Fund.
- **Paymaster General** — the government's **banker**, through whom ministries are paid out of Exchequer withdrawals.
- **Vote book** — the expenditure control record maintained for each vote, recording appropriations, exchequer issues, commitments and actual expenditure so that the balance still available on the vote is always known.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Six Accounting Officer responsibilities correctly listed AND explained (lawful/economical spending; proper records; accounts submitted for audit; liabilities managed; contract compliance; property acquisition/disposal procedures and safeguarding; escalation of concerns) **(12)**
- Accountability chain described in sequence (estimates → Treasury budget → parliamentary approval/Appropriation Act → controlled spending → Auditor-General's audit → PAC scrutiny) **(4)**
- Consolidated Fund correctly defined (single fund for all revenues; withdrawal only with parliamentary approval) **(1)**
- Appropriations-in-Aid correctly defined (specified revenues retained and applied to expenditure with Treasury authority) **(1)**
- Paymaster General correctly defined (the government's banker paying ministries from Exchequer withdrawals) **(1)**
- Vote book correctly defined (expenditure control record for each vote: appropriation, issues, commitments, balance available) **(1)**

Question 5 (20 marks)

Commitment and fund accounting; the case for accrual accounting in government

Required:

(a) Explain commitment accounting and state its main purpose. (4 marks)

(b) Explain fund accounting, and classify public sector funds into governmental, proprietary and fiduciary funds, giving ONE example of each type. (6 marks)

(c) The national government is considering moving from the cash basis to the accrual basis of accounting. Discuss: THREE shortcomings of the cash basis; TWO advantages of the accrual basis; and at least TWO implementation challenges to be expected. (10 marks)

Model answer (SokoCPA)

(a) Commitment accounting

Under commitment accounting, transactions are recognised **when the entity becomes committed** — when orders are issued or received — which is **earlier** than invoicing, delivery or cash movement. Its main purpose is **budgetary control** rather than financial reporting: by continuously recording commitments against each vote, management can see at any moment how much of an appropriation is already spoken for, so that spending never exceeds the approved appropriation unnoticed.

(b) Fund accounting

A **fund** is a fiscal and accounting entity with a **self-balancing set of accounts** recording cash and other financial resources, related liabilities and residual balances, segregated to carry on specific activities or attain objectives under special regulations or restrictions. Unlike a business, which keeps one set of accounts for the whole entity, a government uses each fund to account for only a **subset** of its activities. Fund accounting therefore measures financial position and changes in fund financial resources — **not net income**.

Type	Nature	Example
Governmental funds	Expendable resources for general government activities	General Fund; Special Revenue Funds; Capital Projects Funds; Debt Service (Sinking) Funds; Revolving Funds
Proprietary funds	Business-like activities, costs recovered through charges	Enterprise Funds; Internal Service Funds (services to other departments on a cost-reimbursement basis)
Fiduciary funds	Resources held as trustee or agent for others	Pension trust funds; expendable and non-expendable trust funds; agency funds

(c) From cash to accrual accounting

Shortcomings of the cash basis (any three): 1. It **fails to recognise future costs** of current activities — obligations such as pensions and unpaid bills simply do not appear. 2. It **does not align costs with service provision**: capital expenditure is written off entirely in the year of purchase, so assets look like "free goods" afterwards and the true cost of services is misstated. 3. It provides **no picture of assets and liabilities**, so it cannot show whether the government's position is sustainable or whether total performance is improving or deteriorating — it is concerned only with the current year. 4. The budgetary process focuses on **inputs, not outputs or outcomes**, encouraging lavish year-end spending to avoid surrendering unspent balances.

Advantages of the accrual basis (any two): 1. It **enhances accountability**: assets are capitalised and depreciated, liabilities are recognised, and the full cost of services is reported. 2. It supports **performance-based (output-based) budgeting** — departments are funded for the outputs (services) they deliver rather than the inputs they consume, improving resource allocation and performance information. 3. It ensures a **fairer distribution of funds** among competing interests, because decision-makers have full information on assets, liabilities and non-cash flows.

Implementation challenges (any two): 1. **Capital asset information** — collecting and properly identifying capital assets and building reliable asset registers. 2. **Capacity** — extensive **training** of staff across government in a fundamentally different way of accounting. 3. **Systems integration** — integrating purchasing, asset management and accounting systems; and managing the **cultural change**, since the move is a change of philosophy, not merely of technique.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Commitment accounting explained: recognition when orders are placed/commitments made, before invoice or cash **(2)**
- Its main purpose stated: budgetary control — tracking commitments against appropriations **(2)**
- Fund accounting explained: self-balancing fiscal/accounting entity, resources segregated for specific activities/objectives under restrictions; measures fund resources, not net income **(3)**
- Governmental, proprietary and fiduciary funds classified with one valid example of each **(3)**
- Three shortcomings of the cash basis identified (future costs ignored; costs not aligned with services/capital written off; no asset-liability or sustainability picture; input-focused budgeting and year-end spending) **(3)**

- Two advantages of accrual accounting explained (accountability with full cost and asset/liability information; output-based budgeting and better allocation) **(4)**
- At least two implementation challenges identified (asset registers/information; training and capacity; systems integration; cultural/philosophical change) **(3)**

Full-Course Final Mock Paper — with model answers

SokoCPA authored practice paper · 180 minutes · 100 marks · Answer all questions. Show all workings.

Question 1 (20 marks)

Company income statement and statement of financial position from a trial balance (IAS 1); profitability, liquidity and gearing ratios

Savannah Mills Ltd is a food-processing company based in Nakuru. The following trial balance was extracted from its books as at 31 December 2026:

	Dr Sh.'000	Cr Sh.'000
Ordinary share capital (shares of Sh.10)		10,000
8% preference share capital		2,000
Share premium		1,500
General reserve		800
Retained earnings (1 January 2026)		1,940
10% debentures		4,000
Land and buildings at cost	12,000	
Plant and machinery at cost	6,400	
Motor vehicles at cost	3,000	
Furniture and fittings at cost	1,200	
Accumulated depreciation: buildings		1,200
Accumulated depreciation: plant and machinery		2,560
Accumulated depreciation: motor vehicles		1,500
Accumulated depreciation: furniture and fittings		480
Inventory (1 January 2026)	2,150	
Purchases	19,990	
Carriage inwards	340	
Sales		32,400
Wages and salaries	3,850	
Rent and rates	960	
Insurance	420	
General expenses	615	
Electricity and water	288	
Bad debts written off	95	
Discount allowed	130	

	Dr Sh.'000	Cr Sh.'000
Discount received		85
Debenture interest paid	200	
Trade receivables	2,840	
Trade payables		2,165
Provision for doubtful debts		110
Interim ordinary dividend paid	300	
Bank	5,962	
Total	**60,740**	**60,740**

Additional information: 1. Inventory at 31 December 2026 was valued at Sh.2,480,000. 2. Depreciation is to be provided as follows: buildings at 2% per annum on cost; plant and machinery at 20% per annum on the reducing balance; motor vehicles at 25% per annum on the reducing balance; furniture and fittings at 10% per annum on cost. 3. Wages and salaries accrued at 31 December 2026 amounted to Sh.150,000 and insurance prepaid at that date was Sh.90,000. 4. The provision for doubtful debts is to be adjusted to 5% of trade receivables. 5. Debenture interest for the second half of the year has not been paid or recorded. 6. Corporation tax for the year is estimated at Sh.980,000. The tax charge for the previous year was under-provided by Sh.60,000, which remains unpaid. 7. The directors propose: a transfer of Sh.400,000 to the general reserve; a final ordinary dividend of Sh.500,000; and payment of the preference dividend for the year, which is still unpaid.

Required: (a) An income statement for Savannah Mills Ltd for the year ended 31 December 2026, showing the appropriation of profit after tax. (10 marks) (b) A statement of financial position as at 31 December 2026. (7 marks) (c) Calculate the return on capital employed, the current ratio and the gearing ratio (long-term debt as a percentage of capital employed), and comment briefly on the company's performance and financial position. (3 marks)

Model answer (SokoCPA)

(a) Savannah Mills Ltd — Income statement for the year ended 31 December 2026 (Sh.'000)

```
Revenue                                                        32,400
Cost of sales: opening inventory 2,150 + purchases 19,990
  + carriage inwards 340 − closing inventory 2,480             20,000
Gross profit                                                   12,400
Discount received                                                  85
Less expenses:
  Wages and salaries (3,850 + 150 accrued)                4,000
  Rent and rates                                            960
  Insurance (420 − 90 prepaid)                              330
  General expenses                                          615
  Electricity and water                                     288
  Bad debts written off                                      95
  Discount allowed                                          130
  Depreciation (W1)                                       1,503
  Increase in provision for doubtful debts (142 − 110)       32
  Debenture interest (200 paid + 200 accrued)               400     8,353
Profit before tax                                            4,132
Corporation tax (980 estimate + 60 under-provision)          1,040
```

Profit after tax		3,092
Retained earnings brought forward		1,940
		5,032
Less appropriations:		
Interim ordinary dividend paid	300	
Preference dividend for the year (8% × 2,000)	160	
Proposed final ordinary dividend	500	
Transfer to general reserve	400	1,360
Retained earnings carried forward		3,672

W1 — Depreciation: buildings 2% × 12,000 = 240; plant (6,400 − 2,560) × 20% = 768; motor vehicles (3,000 − 1,500) × 25% = 375; furniture 10% × 1,200 = 120. Total = **1,503**.

(b) Savannah Mills Ltd — Statement of financial position as at 31 December 2026 (Sh.'000)

	Cost	Acc. dep.	NBV		
Non-current assets					
Land and buildings	12,000	1,440	10,560		
Plant and machinery	6,400	3,328	3,072		
Motor vehicles	3,000	1,875	1,125		
Furniture and fittings	1,200	600	600		
			15,357		
Current assets					
Inventory			2,480		
Trade receivables		2,840			
Less: provision for doubtful debts		(142)	2,698		
Prepayment (insurance)			90		
Bank			5,962	11,230	
Total assets				26,587	
EQUITY					
Ordinary share capital			10,000		
8% preference share capital			2,000		
Share premium			1,500		
General reserve (800 + 400)			1,200		
Retained earnings			3,672	18,372	
Non-current liabilities					
10% debentures			4,000		
Current liabilities					
Trade payables			2,165		
Accrued wages and salaries			150		
Debenture interest accrued			200		
Corporation tax payable (980 + 60)			1,040		
Dividends payable (160 + 500)			660	4,215	
Total equity and liabilities				26,587	

Balance check: 18,372 + 4,000 + 4,215 = **26,587** = total assets ✓. **Dividends payable** contains only dividends still owed at the year end (preference 160 and proposed final ordinary 500); the interim dividend of 300 was **paid** during the year and appears only as an appropriation. **Corporation tax payable** is 1,040 because the Sh.60,000 under-provision from the previous year remains unpaid in addition to the current estimate of 980.

(c) Ratios

- **Return on capital employed** = profit before interest and tax ÷ capital employed = 4,532 ÷ (18,372 + 4,000) = 4,532 ÷ 22,372 = **20.26%**.

- **Current ratio** = current assets ÷ current liabilities = 11,230 ÷ 4,215 = **2.66 : 1**.
- **Gearing** = long-term debt ÷ capital employed = 4,000 ÷ 22,372 = **17.88%**.

Comment: A return on capital employed of 20.26% is strong for a company financed mainly by equity. Liquidity is comfortable at 2.66 : 1, well above the conventional 2 : 1 benchmark, and gearing of 17.88% is low, so financial risk is modest and the company has capacity to borrow further if profitable expansion opportunities arise.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Revenue 32,400 and cost of sales correctly built: opening inventory 2,150 + purchases 19,990 + carriage inwards 340 − closing inventory 2,480 = 20,000 **(2)**
- Gross profit Sh.12,400,000 correctly derived **(1)**
- Expenses adjusted correctly: wages and salaries 4,000 (including the 150 accrual); insurance 330 (after the 90 prepayment); rent and rates 960; general expenses 615; electricity and water 288 **(2)**
- Depreciation charge 1,503 with all four workings: buildings 240 (2% on cost); plant 768 (20% reducing balance on 3,840); motor vehicles 375 (25% reducing balance on 1,500); furniture 120 (10% on cost) **(2)**
- Bad debts 95 and discount allowed 130 charged; discount received 85 credited; increase in provision for doubtful debts 32 (5% × 2,840 = 142, less existing 110) **(1)**
- Debenture interest charged at 400 (200 paid + 200 accrued for the second half-year) giving profit before tax of 4,132 **(1)**
- Tax charge 1,040 (current estimate 980 + prior-year under-provision 60); profit after tax 3,092; appropriations deducted (interim dividend paid 300, preference dividend 160, proposed final dividend 500, general reserve transfer 400) leaving retained earnings carried forward of 3,672 **(1)**
- Non-current assets at net book value: buildings 10,560 (accumulated depreciation 1,440); plant 3,072 (3,328); motor vehicles 1,125 (1,875); furniture 600 (600) — total 15,357 **(2)**
- Current assets: inventory 2,480; trade receivables net of provision 2,698 (2,840 − 142); prepayment 90; bank 5,962 — total 11,230 **(2)**
- Equity: ordinary share capital 10,000; preference share capital 2,000; share premium 1,500; general reserve 1,200 (800 + 400 transfer); retained earnings 3,672 — total equity 18,372 **(1)**
- 10% debentures 4,000 shown as a non-current liability **(1)**
- Current liabilities: trade payables 2,165; accrued wages 150; debenture interest accrued 200; corporation tax payable 1,040; dividends payable 660 (preference 160 + proposed final 500 only — interim paid excluded); statement balances at 26,587 **(1)**
- ROCE = 4,532 ÷ 22,372 = 20.26% (profit before interest and tax over equity plus debentures) **(1)**
- Current ratio = 11,230 ÷ 4,215 = 2.66 : 1 **(1)**
- Gearing = 4,000 ÷ 22,372 = 17.88%, with a sound brief comment (strong return, comfortable liquidity, low gearing/ financial risk) **(1)**

Question 2 (20 marks)

Partnership profit from incomplete records by capital comparison; appropriation account where appropriations exceed profit; partners' current accounts

Wanjiru and Otieno trade as Tumaini General Stores, a partnership that does not keep complete double-entry records. They share profits and losses in the ratio 3 : 2. The partnership agreement provides for: interest on capital at 10% per annum (time-apportioned for capital introduced during the year); a salary of Sh.240,000 per annum to Otieno; and interest on drawings at a flat rate of 5% of total drawings for the year. Capitals are fixed.

Position at 1 January 2026: premises Sh.1,800,000; equipment Sh.640,000; inventory Sh.385,000; trade receivables Sh.296,000; bank Sh.148,000; cash Sh.26,000; trade payables Sh.212,000; bank loan Sh.500,000. On that date the partners' capitals were: Wanjiru Sh.1,500,000 and Otieno Sh.1,083,000.

During the year ended 31 December 2026: Otieno introduced additional capital of Sh.200,000 on 1 July 2026. Drawings were: Wanjiru — cash Sh.180,000 and goods Sh.24,000; Otieno — cash Sh.150,000. Sh.100,000 of the bank loan was repaid.

Position at 31 December 2026 (established by inspection and valuation): premises Sh.1,800,000; equipment Sh. 576,000; inventory Sh.428,000; trade receivables Sh.342,000; bank Sh.236,000; cash Sh.34,000; trade payables Sh. 268,000; bank loan Sh.400,000. The fall in the equipment value is depreciation for the year and is already reflected in the closing position.

Required:
(a) Statements of affairs at 1 January 2026 and 31 December 2026, and a statement showing the net profit for the year ended 31 December 2026. (8 marks)
(b) The appropriation account for the year ended 31 December 2026. (6 marks)
(c) The partners' current accounts for the year ended 31 December 2026 (current accounts were nil at 1 January 2026). (6 marks)

Model answer (SokoCPA)

(a) Statements of affairs and profit for the year

Statement of affairs as at 1 January 2026		Sh.	Sh.
Premises		1,800,000	
Equipment		640,000	
Inventory		385,000	
Trade receivables		296,000	
Bank		148,000	
Cash		26,000	
Total assets			3,295,000
Less: trade payables	212,000		
bank loan	500,000	712,000	
Capital at 1 January 2026 (Wanjiru 1,500,000 + Otieno 1,083,000)			2,583,000

Statement of affairs as at 31 December 2026			
Premises		1,800,000	
Equipment		576,000	
Inventory		428,000	
Trade receivables		342,000	
Bank		236,000	
Cash		34,000	
Total assets			3,416,000
Less: trade payables	268,000		
bank loan	400,000	668,000	
Capital at 31 December 2026			2,748,000

Net profit for the year ended 31 December 2026			
Capital at 31 December 2026		2,748,000	
Add: drawings — Wanjiru (180,000 + 24,000 goods)		204,000	
Otieno		150,000	354,000
			3,102,000
Less: additional capital introduced (Otieno)		200,000	

```
      capital at 1 January 2026                    2,583,000
Net profit for the year                                          319,000
```

Because the equipment's depreciation is already reflected in the closing statement of affairs, the Sh.319,000 is the profit **after** charging depreciation.

(b) Appropriation account for the year ended 31 December 2026

```
                                                          Sh.          Sh.
Net profit                                                          319,000
Add: interest on drawings – Wanjiru (5% × 204,000)   10,200
                            Otieno  (5% × 150,000)    7,500         17,700
                                                                    336,700
Less: interest on capital – Wanjiru (10% × 1,500,000)          150,000
                            Otieno (10% × 1,083,000
                              + 10% × 200,000 × 6/12)          118,300
      Salary – Otieno                                           240,000   508,300
Residual LOSS shared 3 : 2:                                     (171,600)
  Wanjiru (3/5)      102,960
  Otieno  (2/5)       68,640
```

The appropriations (interest on capital and salary) **exceed** the profit available, so the residual is a **loss** of Sh.171,600 borne by the partners in their profit-sharing ratio — the partners are not entitled to the full salary and interest in cash terms; the entitlements are simply credited and the shortfall falls on them through the loss share.

(c) Partners' current accounts for the year ended 31 December 2026

```
Dr                                              Wanjiru      Otieno   Cr
                                               Sh.          Sh.
Drawings                                        204,000     150,000   Interest on
capital   150,000     118,300
Interest on drawings                             10,200       7,500   Salary –
Otieno                       240,000
Share of residual loss                          102,960      68,640   Balance c/d
(Otieno)                 132,160
Balance c/d (Wanjiru)                           167,160
                                                317,160     358,300
Totals              317,160     358,300
```

- **Wanjiru** has a **debit** balance of Sh.167,160 — she has withdrawn more (in cash, goods and her share of the residual loss) than her entitlements, so she effectively owes the firm.
- **Otieno** has a **credit** balance of Sh.132,160 — his salary and interest on capital exceed his drawings and loss share.

Agreement check: fixed capitals at 31 December 2026 = 1,500,000 + (1,083,000 + 200,000 introduced) = 2,783,000; net current accounts = 132,160 − 167,160 = (35,000); total = 2,783,000 − 35,000 = **2,748,000** ✓ agrees with the closing statement of affairs.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Opening statement of affairs: total assets 3,295,000 less liabilities 712,000 (payables 212,000 + loan 500,000) giving total capital 2,583,000, consistent with the partners' capitals given **(3)**

- Closing statement of affairs: total assets 3,416,000 less liabilities 668,000 (payables 268,000 + loan 400,000) giving closing capital 2,748,000 **(3)**
- Net profit correctly computed by capital comparison: 2,748,000 + total drawings 354,000 − capital introduced 200,000 − opening capital 2,583,000 = Sh.319,000 **(2)**
- Interest on drawings added back: total 17,700 (Wanjiru 5% × 204,000 = 10,200; Otieno 5% × 150,000 = 7,500), with Wanjiru's drawings correctly including goods of 24,000 **(1)**
- Interest on capital 268,300: Wanjiru 150,000; Otieno 118,300 including time-apportionment of the additional capital (10% × 200,000 × 6/12 = 10,000) **(2)**
- Otieno's salary of 240,000 charged as an appropriation **(1)**
- Residual correctly identified as a LOSS of 171,600 (appropriations exceed profit) and shared 3 : 2 — Wanjiru 102,960, Otieno 68,640 **(2)**
- Wanjiru's current account: debits of drawings 204,000, interest on drawings 10,200 and loss share 102,960 against interest on capital 150,000, giving a DEBIT balance of 167,160 **(2)**
- Otieno's current account: credits of interest on capital 118,300 and salary 240,000 against drawings 150,000, interest on drawings 7,500 and loss share 68,640, giving a CREDIT balance of 132,160 **(2)**
- Agreement check or equivalent articulation: fixed capitals 2,783,000 plus net current accounts (35,000) = 2,748,000, agreeing with the closing statement of affairs **(2)**

Question 3 (20 marks)

Not-for-profit income and expenditure account and statement of financial position with a special (grant) fund; fund accounting, commitment accounting and IPSAS in the public sector

Juhudi Community Sports Club keeps its records on a receipts and payments basis. The following is a summary of its receipts and payments account for the year ended 31 December 2026:

	Sh.
Balance brought forward — bank	186,000
Balance brought forward — cash	14,000
Subscriptions received	842,000
Bar takings	396,000
Entrance fees received	45,000
County government grant for a new pavilion	500,000
Sale of old sports equipment	30,000
Donations (general purposes)	60,000
Bar purchases paid	248,000
Wages paid	310,000
Grounds maintenance paid	96,000
Pavilion construction paid	420,000
New sports equipment purchased	150,000
Insurance paid	38,000
Printing and stationery paid	22,000

	Sh.
Tournament expenses paid	74,000

Additional information: 1. Subscriptions: owing at 1 January 2026 Sh.18,000; received in advance at 1 January 2026 Sh.12,000; owing at 31 December 2026 Sh.26,000; received in advance at 31 December 2026 Sh.9,000. 2. Bar inventories: Sh.34,000 at 1 January 2026 and Sh.41,000 at 31 December 2026. Bar suppliers were owed Sh.16,000 at 1 January 2026 and Sh.21,000 at 31 December 2026. 3. Sports equipment had a net book value of Sh.210,000 at 1 January 2026. The equipment sold during the year had a net book value of Sh.22,000. Depreciation on equipment for the year is Sh.48,000. 4. Wages of Sh.15,000 were accrued at 31 December 2026 and insurance of Sh.6,000 was prepaid at that date. 5. Entrance fees are to be capitalised. The county government grant is a special fund for the pavilion and is to be shown separately from the capital (accumulated) fund.

Required: (a) An income and expenditure account for Juhudi Community Sports Club for the year ended 31 December 2026, with workings for subscriptions and the bar. (10 marks) (b) A statement of financial position as at 31 December 2026 (extracts showing the funds and the assets and liabilities are sufficient). (5 marks) (c) The grant in this question was paid by a county government. Explain: (i) fund accounting; and (ii) commitment accounting, as applied by the county government, and state ONE difference between the basis of accounting used by the county government under IPSAS and the basis used by the club in parts (a) and (b). (5 marks)

Model answer (SokoCPA)

Workings

W1 — Subscriptions income: received 842,000 + owing at 31 Dec 26,000 + received in advance at 1 Jan 12,000 − owing at 1 Jan 18,000 − received in advance at 31 Dec 9,000 = **853,000**.

W2 — Bar: purchases = paid 248,000 + owed at 31 Dec 21,000 − owed at 1 Jan 16,000 = 253,000. Cost of bar sales = opening inventory 34,000 + purchases 253,000 − closing inventory 41,000 = 246,000. Bar gross profit = takings 396,000 − 246,000 = **150,000**.

W3 — Bank and cash at 31 December 2026 (from the receipts and payments account): opening 200,000 + total receipts 1,873,000 − total payments 1,358,000 = **715,000**.

W4 — Equipment: 210,000 (b/f) − 22,000 (disposal at NBV) + 150,000 (purchases) − 48,000 (depreciation) = **290,000**.

(a) Income and expenditure account for the year ended 31 December 2026

Income	Sh.	Sh.
Subscriptions (W1)		853,000
Bar gross profit (W2)		150,000
Donations (general)		60,000
Profit on disposal of equipment (30,000 − 22,000)		8,000
		1,071,000
Expenditure		
Wages (310,000 + 15,000 accrued)	325,000	
Grounds maintenance	96,000	
Insurance (38,000 − 6,000 prepaid)	32,000	
Printing and stationery	22,000	
Tournament expenses	74,000	
Depreciation — equipment	48,000	597,000
Surplus of income over expenditure		474,000

The county grant, the pavilion construction and the entrance fees do **not** pass through this account: the grant is a special fund receipt, the pavilion is a capital asset of that fund, and entrance fees are capitalised as instructed.

(b) Statement of financial position as at 31 December 2026 (extract)

Capital (accumulated) fund:		
Balance at 1 January 2026 (W5)	434,000	
Add: surplus for the year	474,000	
Add: entrance fees capitalised	45,000	953,000
Pavilion fund (county grant)		500,000
		1,453,000
Represented by:		
Sports equipment (W4)	290,000	
Pavilion	420,000	
Bar inventory	41,000	
Subscriptions owing	26,000	
Insurance prepaid	6,000	
Bank and cash (W3)	715,000	1,498,000
Less current liabilities:		
Bar payables	21,000	
Subscriptions received in advance	9,000	
Wages accrued	15,000	45,000
		1,453,000

W5 — Capital fund at 1 January 2026: assets (bank and cash 200,000 + equipment 210,000 + bar inventory 34,000 + subscriptions owing 18,000 = 462,000) less liabilities (bar payables 16,000 + subscriptions in advance 12,000 = 28,000) = **434,000**. Balance check: 953,000 + 500,000 = 1,453,000 = net assets ✓. Note the pavilion fund is 500,000 while the pavilion asset is 420,000 — the unspent Sh.80,000 of the grant is held within the bank balance and remains restricted to the pavilion project.

(c) Public sector accounting

(i) Fund accounting: public money is accounted for in separate, self-balancing funds, each established for a specific purpose or source of finance (for example the Consolidated Fund, a county development fund, or a donor-funded project fund). Receipts are credited to the fund that provided them and expenditure may only be charged to that fund for its authorised purpose, so that unspent restricted balances — such as the unspent Sh.80,000 of the pavilion grant — are carried forward in that fund instead of being absorbed into general resources.

(ii) Commitment accounting: expenditure is recorded when a commitment is made (for example when a local purchase order is issued or a contract signed), not only when payment falls due. Commitments are set against the approved budget line, which prevents a department from committing more than its voted provision and gives management up-to-date information on funds still available to spend.

Difference in basis: the club prepares its income and expenditure account on the **accrual basis** (income earned and expenses incurred, whenever cash moves), whereas a county government reporting on the **cash basis of IPSAS** recognises transactions only when cash is received or paid — the county would record the whole Sh.500,000 grant as a payment in the year of payment, with no pavilion asset or depreciation recognised in the statement of financial position.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Subscriptions income correctly computed at 853,000 (842,000 + 26,000 closing owing + 12,000 opening advance − 18,000 opening owing − 9,000 closing advance) **(2)**
- Bar trading worked correctly: purchases adjusted for payables to 253,000; cost of bar sales 246,000; bar gross profit 150,000 **(2)**
- Other income complete: general donations 60,000 and profit on disposal of equipment 8,000 (proceeds 30,000 − NBV 22,000) **(1)**
- Expenses on the accrual basis: wages 325,000 (including 15,000 accrued); insurance 32,000 (after 6,000 prepaid); grounds maintenance 96,000; printing 22,000; tournament expenses 74,000; depreciation 48,000 — total 597,000 **(3)**
- Surplus of income over expenditure correctly derived at Sh.474,000, with grant, pavilion construction and entrance fees properly EXCLUDED from the income and expenditure account **(2)**
- Capital fund articulated: opening 434,000 (opening net assets 462,000 − 28,000) + surplus 474,000 + capitalised entrance fees 45,000 = 953,000 **(2)**
- Pavilion fund of 500,000 shown separately from the capital fund, with the pavilion asset at 420,000 (unspent grant retained in bank) **(1)**
- Assets correctly stated: equipment 290,000; pavilion 420,000; bar inventory 41,000; subscriptions owing 26,000; prepaid insurance 6,000; bank and cash 715,000 derived from the receipts and payments account **(1)**
- Current liabilities complete (bar payables 21,000; subscriptions in advance 9,000; accrued wages 15,000) and the statement of financial position balances at 1,453,000 net funds **(1)**
- Fund accounting explained: separate self-balancing funds for restricted purposes; expenditure chargeable only to the authorised fund; unspent balances carried forward in that fund **(2)**
- Commitment accounting explained: expenditure recorded when the commitment/order is made and set against the budget provision, preventing over-commitment of voted funds **(2)**
- One valid basis difference: accrual basis (club) versus cash basis IPSAS (county recognises only cash movements; no asset/depreciation for the pavilion) **(1)**

Question 4 (20 marks)

Manufacturing account with finished goods transferred at a mark-up; provision for unrealised profit; inventory write-down to net realisable value under IAS 2

Kijani Wood Products Ltd manufactures wooden furniture in Thika. The following information relates to the year ended 31 December 2026 (all figures in Sh.'000):

	Sh.'000
Inventories at 1 January 2026: raw materials	420
Work in progress	260
Finished goods (at transfer price)	610
Purchases of raw materials	3,840
Returns outwards (raw materials)	140
Carriage inwards on raw materials	96
Direct wages	1,950
Royalties on production	120

	Sh.'000
Indirect factory wages	640
Factory rent	480
Factory power	326
Factory insurance	96
Depreciation: factory plant and machinery	350
Depreciation: factory buildings	100
Sales	12,400
Administrative salaries	890
Selling and distribution expenses	410
Depreciation: office equipment	90

Additional information: 1. Loose tools: Sh.48,000 at 1 January 2026; purchases during the year Sh.30,000; Sh. 36,000 at 31 December 2026. 2. Inventories at 31 December 2026: raw materials Sh.505,000; work in progress Sh. 310,000; finished goods at transfer price Sh.780,000. 3. Included in the closing raw materials are obsolete timber stocks that cost Sh.60,000 and have a net realisable value of Sh.25,000. 4. Finished goods are transferred to the trading account at cost of production plus a mark-up of 25%.

Required: (a) A manufacturing account for Kijani Wood Products Ltd for the year ended 31 December 2026, showing clearly the cost of raw materials used, prime cost, total factory overheads and the cost of production. (12 marks) (b) An income statement (trading section and below) for the year ended 31 December 2026, incorporating the manufacturing profit and the provision for unrealised profit in finished goods. (6 marks) (c) State the value at which the closing finished goods will be shown in the statement of financial position and justify that value by reference to IAS 2. (2 marks)

Model answer (SokoCPA)

(a) Manufacturing account for the year ended 31 December 2026 (Sh.'000)

```
Opening inventory of raw materials                          420
Add: purchases of raw materials                           3,840
Less: returns outwards                                     (140)
Add: carriage inwards                                        96
                                                          4,216
Less: closing inventory of raw materials
      (505 − 35 write-down of obsolete stocks, W1)         (470)
Cost of raw materials used                                3,746
Add: direct wages                                         1,950
     royalties on production                                120
PRIME COST                                                5,816
Factory overheads:
  Indirect factory wages                    640
  Factory rent                              480
  Factory power                             326
  Factory insurance                          96
  Depreciation: plant and machinery         350
  Depreciation: factory buildings           100
  Loose tools consumed (48 + 30 − 36)        42          2,034
```

		7,850
Add: opening work in progress		260
Less: closing work in progress		(310)
COST OF PRODUCTION		7,800
Transfer price (7,800 × 125%)		9,750
Manufacturing profit (transfer price − cost)		1,950

W1 — Obsolete raw materials (IAS 2): inventories are measured at the lower of cost and net realisable value, so the obsolete timber is written down from 60 to its NRV of 25. The write-down of **35** reduces the closing raw materials figure (505 − 35 = 470) and is therefore charged within the cost of raw materials used. Administrative salaries, selling expenses and office depreciation are **not** manufacturing costs and are excluded from this account.

(b) Income statement for the year ended 31 December 2026 (Sh.'000)

Sales			12,400
Cost of sales at transfer price:			
Opening finished goods	610		
Add: transfers from factory	9,750		
Less: closing finished goods	(780)		9,580
Trading gross profit			2,820
Add: manufacturing profit (part (a))			1,950
Less: increase in provision for unrealised profit (W2)			(34)
Gross profit per income statement			4,736
Less: administrative salaries		890	
selling and distribution expenses		410	
depreciation: office equipment		90	1,390
Net profit for the year			3,346

W2 — Provision for unrealised profit: the profit element in goods transferred at cost + 25% is 25/125 = 20% of the transfer price. Closing provision = 20% × 780 = 156; opening provision = 20% × 610 = 122; increase charged = 156 − 122 = **34**.

(c) Finished goods in the statement of financial position

The closing finished goods will be shown at **Sh.624,000** (780,000 at transfer price − 156,000 provision for unrealised profit), i.e. at their **cost of production**. IAS 2 requires inventories to be measured at the **lower of cost and net realisable value**, where cost comprises the costs of purchase, conversion and other costs of bringing the inventories to their present location and condition. The transfer price is an internal figure containing Sh.156,000 of profit the company has not yet earned from an outside sale; recognising it would overstate inventory and anticipate unrealised profit, so it is eliminated through the provision, leaving the goods at cost (which is below NRV, since they are expected to sell above the marked-up transfer price).

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Cost of raw materials used 3,746: opening 420 + purchases 3,840 − returns outwards 140 + carriage inwards 96 − closing inventory 470, the closing figure being after the IAS 2 write-down of 35 (obsolete stock cost 60 written down to NRV 25) **(3)**
- Prime cost 5,816 (raw materials used 3,746 + direct wages 1,950 + royalties 120) **(2)**
- Factory overheads total 2,034, including loose tools consumed of 42 (48 + 30 − 36) and both factory depreciation charges (350 + 100); non-manufacturing items (administrative salaries, selling expenses, office depreciation) correctly excluded **(3)**

- Work in progress adjustment applied (opening +260, closing −310) to give cost of production of Sh.7,800,000 **(2)**
- Transfer price 9,750 (cost × 125%) and manufacturing profit of 1,950 identified **(2)**
- Cost of sales at transfer price 9,580 (opening finished goods 610 + transfers 9,750 − closing finished goods 780) **(2)**
- Trading gross profit 2,820 on sales of 12,400 **(1)**
- Provision for unrealised profit: profit element 20% of transfer price (25/125); closing provision 156, opening provision 122, net increase of 34 charged **(2)**
- Gross profit per income statement 4,736 (2,820 + 1,950 − 34) and net profit 3,346 after administrative salaries 890, selling expenses 410 and office depreciation 90 **(1)**
- Closing finished goods stated at Sh.624,000 (780,000 − 156,000) for the statement of financial position **(1)**
- IAS 2 justification: inventories at the lower of cost and NRV; cost excludes internally generated unrealised profit, which must be eliminated **(1)**

Question 5 (20 marks)

Accruals and prudence concepts; sales ledger control account; correction of errors, the suspense account and corrected net profit

This question has four independent parts.

(a) D. Kamau, a sole trader, has done the following:
(i) In December 2026 he paid Sh.36,000 for insurance covering the year to 30 November 2027 and charged the whole amount as an expense in the income statement for the year ended 31 December 2026.
(ii) A customer owing Sh.52,000 is in serious financial difficulty. Kamau refuses to make any provision for the debt because "nothing is certain yet".

Explain the accounting concept relevant to EACH case and state how the item should be treated. (4 marks)

(b) M. Omondi, a wholesaler in Kisumu, keeps a sales ledger control account. The following information relates to the year ended 31 December 2026: balances owed by customers at 1 January 2026 Sh.486,000; receipts from customers Sh.1,845,000; discounts allowed Sh.36,000; returns inwards Sh.28,500; bad debts written off Sh.12,000; bills receivable received from customers Sh.90,000; balances owed by customers at 31 December 2026 Sh.512,500. All sales were on credit.

Prepare the sales ledger control account and derive the credit sales for the year. (4 marks)

(c) When Kamau's trial balance for the year ended 31 December 2026 was extracted, it failed to agree and the difference was placed in a suspense account, which had a credit balance of Sh.13,000. The following errors were subsequently discovered:
1. The purchase of equipment for Sh.120,000 had been debited to the purchases account.
2. Rent paid of Sh.45,000 had been debited to the rent account as Sh.54,000. The bank account was correctly credited.
3. Sales returns of Sh.18,000 had been completely omitted from the books.
4. A credit purchase from M. Njoroge of Sh.36,000 had been entered in the purchases book as Sh.63,000, and posted accordingly to both accounts.
5. Discount received of Sh.7,500 had been credited to the discount allowed account.
6. Cash sales of Sh.15,000 had been entered in the cash book only; no other entry was made.
7. The purchases account had been undercast by Sh.11,000.

Show the journal entries needed to correct these errors (narratives are not required) and prepare the suspense account. (8 marks)

(d) Kamau's net profit for the year, before correction of the errors in part (c), was Sh.684,000. Prepare a statement showing the corrected net profit. (4 marks)

Model answer (SokoCPA)

(a) Accounting concepts

(i) Accruals (matching) concept. Financial statements are prepared on the accrual basis: expenses are recognised in the period in which they are **incurred** (matched against the revenue they help to earn), not when cash is paid. Only one month of the insurance (December 2026, Sh.3,000) relates to the year ended 31 December 2026; the remaining Sh.33,000 is a **prepayment** — an asset in the statement of financial position — and must not be charged to the 2026 income statement.

(ii) Prudence concept. Where outcomes are uncertain, assets and income must not be overstated and liabilities and expenses must not be understated: losses are recognised as soon as they are anticipated, but profits only when realised. Kamau must therefore make a **provision for the doubtful debt of Sh.52,000** (or provide for the portion not expected to be recovered) in the 2026 financial statements, even though the loss is not yet certain.

(b) Sales ledger control account for the year ended 31 December 2026

Dr	Sh.	Cr	Sh.
Balance b/d	486,000	Bank (receipts)	1,845,000
Credit sales (balancing figure)	2,038,000	Discount allowed	36,000
		Returns inwards	28,500
		Bad debts written off	12,000
		Bills receivable	90,000
		Balance c/d	512,500
	2,524,000		2,524,000

Credit sales for the year = Sh.2,038,000 (512,500 + 1,845,000 + 36,000 + 28,500 + 12,000 + 90,000 − 486,000).

(c) Journal entries and suspense account

1.	Dr Equipment account	120,000		
	Cr Purchases account		120,000	
	(Capital expenditure wrongly debited to purchases)			
2.	Dr Suspense account	9,000		
	Cr Rent account		9,000	
	(Rent over-debited: 54,000 recorded instead of 45,000)			
3.	Dr Returns inwards account	18,000		
	Cr Trade receivables account		18,000	
	(Sales returns omitted from the books)			
4.	Dr M. Njoroge (trade payables) account	27,000		
	Cr Purchases account		27,000	
	(Credit purchase entered as 63,000 instead of 36,000)			
5.	Dr Discount allowed account	7,500		
	Cr Discount received account		7,500	
	(Discount received credited to the wrong account)			
6.	Dr Suspense account	15,000		

```
        Cr  Sales account                                    15,000
    (Cash sales recorded in the cash book only)

7.  Dr  Purchases account                          11,000
        Cr  Suspense account                                 11,000
    (Purchases account undercast)
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```
Suspense account
Dr                                    Sh.          Cr                          Sh.
Rent account (error 2)                9,000        Balance b/d                 13,000
Sales account (error 6)              15,000        Purchases account
                                                   (error 7)                   11,000
                                     24,000                                   24,000
```

The suspense account is fully cleared by the corrections, confirming that all one-sided errors have been found. Errors 1, 3, 4 and 5 were complete or two-sided errors and never passed through the suspense account.

(d) Statement of corrected net profit

```
Net profit as originally calculated                              684,000
Add: equipment wrongly charged to purchases          120,000
     rent over-debited (54,000 – 45,000)               9,000
     purchases overstated – Njoroge (63,000 – 36,000)  27,000
     cash sales omitted from sales                     15,000      171,000
                                                                  855,000
Less: sales returns omitted                            18,000
      purchases undercast                              11,000       29,000
Corrected net profit                                               826,000
```

Error 5 (discount received credited to discount allowed) has **no effect** on net profit: correcting it increases discount received (income) by Sh.7,500 and increases discount allowed (expense) by Sh.7,500, which cancel out.

Examiner marking points ***(SokoCPA analysis of the model answer — not an official KASNEB marking scheme)***

- Accruals/matching concept explained (expenses recognised when incurred and matched to the period, regardless of payment) and applied: only Sh.3,000 of the insurance falls in 2026; Sh.33,000 is a prepayment **(2)**
- Prudence concept explained (do not overstate assets/income; provide for anticipated losses, recognise profits only when realised) and applied: a provision must be made for the Sh.52,000 doubtful debt despite the uncertainty **(2)**
- Sales ledger control account correctly built with all items: opening balance 486,000; receipts 1,845,000; discount allowed 36,000; returns inwards 28,500; bad debts 12,000; bills receivable 90,000; closing balance 512,500 **(2)**
- Credit sales correctly derived as the balancing figure: Sh.2,038,000 **(2)**
- Error 1: Dr Equipment 120,000 / Cr Purchases 120,000 (capital item expensed) **(1)**
- Error 2: Dr Suspense 9,000 / Cr Rent 9,000 (over-debit of 54,000 against the correct 45,000) **(1)**
- Error 3: Dr Returns inwards 18,000 / Cr Trade receivables 18,000 (complete omission) **(1)**
- Error 4: Dr M. Njoroge/payables 27,000 / Cr Purchases 27,000 (63,000 entered instead of 36,000 in both accounts) **(1)**
- Error 5: Dr Discount allowed 7,500 / Cr Discount received 7,500 (wrong account, same side) **(1)**
- Suspense account: opens with the credit balance of 13,000; debited with rent 9,000 and sales 15,000; credited with purchases undercast 11,000; closes to nil (24,000 = 24,000), incorporating the journals for errors 6 and 7 **(3)**

- Corrected profit — additions correctly identified: equipment 120,000; rent 9,000; Njoroge purchases overstatement 27,000; omitted cash sales 15,000 (total additions 171,000) **(2)**
- Corrected profit — deductions correctly identified: omitted sales returns 18,000; purchases undercast 11,000; discount error recognised as having nil net effect **(1)**
- Corrected net profit correctly stated at Sh.826,000 **(1)**

Index of KASNEB past-paper questions

Every past-paper question used in this book, with the lesson at which its worked solution appears. Questions are KASNEB authored; solutions are SokoCPA worked solutions.

Serial	Sitting	Topic	Taught at
KASNEB-2015-09-PILOT-Q1	September 2015 Pilot Paper	Features of public sector accounting; partnership admission with revaluation and goodwill, profit split at admission date (Abai Enterprises)	Admission, Retirement and Ratio Changes
KASNEB-2015-09-PILOT-Q2	September 2015 Pilot Paper	Liquidity ratios; company income statement and statement of financial position (Vixen Ltd)	The Company Statement of Financial Position
KASNEB-2015-09-PILOT-Q3	September 2015 Pilot Paper	Fundamental qualitative characteristics; errors not detected by a trial balance; IAS 16 property, plant and equipment movement schedule (Kazantan Ltd)	PPE Recognition and Measurement
KASNEB-2015-09-PILOT-Q4	September 2015 Pilot Paper	Income and expenditure account vs receipts and payments account; manufacturing account and income statement (Jotan Manufacturers)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2015-09-PILOT-Q5	September 2015 Pilot Paper	Financial asset categories (IAS 39 era); sales and purchases ledger control accounts (Ally Ltd)	Ledgers and Trial Balance
KASNEB-2015-11-Q1	November 2015	Sole trader income statement and statement of financial position with uncorrected errors (Mike Moit)	Adjustments and Worked Examples
KASNEB-2015-11-Q2	November 2015	Bank reconciliation (KK Ltd); journal corrections of errors and suspense account (Mutua Traders)	Cash, Bank and Reconciliations
KASNEB-2015-11-Q3	November 2015	Not-for-profit accounts - bar income statement, income and expenditure account and statement of financial position (Uwezo Football Club)	Lesson 2: The Income and Expenditure Account
KASNEB-2015-11-Q4	November 2015	Contents of a partnership deed; IAS 7 statement of cash flows (Embe Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2015-11-Q5	November 2015	Prime and indirect costs; rights of preference shareholders and uses of share premium; accounting concepts	Share Capital and Share Issues
KASNEB-2016-05-Q1	May 2016	Manufacturing company accounts (Bidii Ltd, gas cylinders)	The Manufacturing Account
KASNEB-2016-05-Q2	May 2016	Partnership accounts (Maria & Bakari)	The Appropriation Account
KASNEB-2016-05-Q3	May 2016	Incomplete records (Samson Kimwatu)	

			Techniques for Completing Incomplete Records
KASNEB-2016-05-Q4	May 2016	Cash vs profit explanation; ratio analysis (Pata Pata Ltd)	Lesson 2: Profitability and Liquidity Ratios
KASNEB-2016-05-Q5	May 2016	IPSASB objectives; qualities of useful information; depreciation; errors not affecting TB	Regulatory Framework, Ethics and Concepts
KASNEB-2016-11-Q1	November 2016	Company accounts with inventory estimated by mark-up (Furaha Ltd)	The Company Statement of Financial Position
KASNEB-2016-11-Q2	November 2016	Manufacturing profit rationale; bank reconciliation with bank errors (NDI Ltd)	Cash, Bank and Reconciliations
KASNEB-2016-11-Q3	November 2016	Roles of the Accountant General; statement of cash flows (Tahidi Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2016-11-Q4	November 2016	Not-for-profit accounts (Tegemeo Club)	Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account
KASNEB-2016-11-Q5	November 2016	Capital vs current accounts; IPSAS accrual principles; manufacturing cost elements; computerised systems advantages	Computerised Accounting Systems
KASNEB-2017-05-Q1	May 2017	Correction of errors — intern's unbalanced SFP (Mwenda Pole Ltd)	Suspense Accounts and Corrections
KASNEB-2017-05-Q2	May 2017	IFRS adoption challenges; manufacturing company accounts (Matumizi Ltd)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2017-05-Q3	May 2017	Partnership change of agreement with incomplete records (Xavier, Yvonne & Zari)	Admission, Retirement and Ratio Changes
KASNEB-2017-05-Q4	May 2017	Sole trader financial statements from statement of affairs (Joyce Mello)	Statement of Financial Position
KASNEB-2017-05-Q5	May 2017	Public vs private sector objectives; cash flow disadvantages; NPO income; ethics	Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account
KASNEB-2017-11-Q1	November 2017	Accounting policies and standards, IFRS Foundation and PPE movement schedules	PPE Recognition and Measurement
KASNEB-2017-11-Q2	November 2017	Not-for-profit organisations: club accounts	Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation
KASNEB-2017-11-Q3	November 2017	Public sector accounting standards adoption and IAS 7 statement of cash flows	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2017-11-Q4	November 2017	Company income statement and statement of financial position	The Company Income Statement

KASNEB-2017-11-Q5	November 2017	Incomplete records: income statement and statement of financial position from a receipts and payments summary	Techniques for Completing Incomplete Records
KASNEB-2018-05-Q1	May 2018	Sole trader final accounts, errors and suspense accounts	Adjustments and Worked Examples
KASNEB-2018-05-Q2	May 2018	General journal and sales ledger control accounts	Books of Original Entry
KASNEB-2018-05-Q3	May 2018	Manufacturing accounts and company income statement	The Manufacturing Account
KASNEB-2018-05-Q4	May 2018	IAS 7 statement of cash flows	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2018-05-Q5	May 2018	Faithful representation, public sector accounting and correction of errors in a club	Suspense Accounts and Corrections
KASNEB-2018-11-Q1	November 2018	Elements of financial statements; manufacturing terms; cash flow methods	Regulatory Framework, Ethics and Concepts
KASNEB-2018-11-Q2	November 2018	IPSASB objectives; not-for-profit accounts (Mapozi Social Club)	Lesson 2: The Income and Expenditure Account
KASNEB-2018-11-Q3	November 2018	Partnership change of terms mid-year (Mercy, Nelly & Onyango)	Admission, Retirement and Ratio Changes
KASNEB-2018-11-Q4	November 2018	Company accounts incl. statement of changes in equity (Zam Zam Ltd)	Reserves and Income Tax
KASNEB-2018-11-Q5	November 2018	Bank reconciliation importance; errors with adjusted cash book (United Trading Enterprises)	Cash, Bank and Reconciliations
KASNEB-2019-05-Q1	May 2019	Error pairs; receipts and payments vs income and expenditure; commitment basis advantages	Types of Errors
KASNEB-2019-05-Q2	May 2019	Duality and prudence concepts; statement of cash flows (Pwani Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2019-05-Q3	May 2019	New partnership from incomplete information (Kamau, Johana & Lelei)	The Appropriation Account
KASNEB-2019-05-Q4	May 2019	Sole trader manufacturing accounts (AM Manufacturing Enterprise)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2019-05-Q5	May 2019	Incomplete records — first-year restaurant (Moses Rono)	The Statement of Affairs
KASNEB-2019-11-Q1	November 2019	Ratio limitations; overhead apportionment; ethics; errors affecting TB	Regulatory Framework, Ethics and Concepts
KASNEB-2019-11-Q2	November 2019	Incomplete records (Regina Rai)	The Statement of Affairs
KASNEB-2019-11-Q3			

	November 2019	Partnership salaries vs directors' fees; company accounts (Meza Ltd)	The Company Statement of Financial Position
KASNEB-2019-11-Q4	November 2019	Not-for-profit accounts (Furahi Sana Social Club)	Lesson 2: The Income and Expenditure Account
KASNEB-2019-11-Q5	November 2019	Accounting software sourcing factors; public sector features; sales ledger control account (Joy Jibu)	Computerised Accounting Systems
KASNEB-2020-11-Q1	November 2020	Incomplete records reasons; correction of errors (Grace Nene)	Suspense Accounts and Corrections
KASNEB-2020-11-Q2	November 2020	Statement of cash flows (Chui Ltd) — with goodwill impairment	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2020-11-Q3	November 2020	Partnership retirement (Lydia, Mercy & Prisca)	Admission, Retirement and Ratio Changes
KASNEB-2020-11-Q4	November 2020	Manufacturing company accounts (Tamu Ltd, biscuits)	The Manufacturing Account
KASNEB-2020-11-Q5	November 2020	Concepts; reliability characteristics; computerised systems challenges; NPO income sources	Regulatory Framework, Ethics and Concepts
KASNEB-2021-05-Q1	May 2021	Working capital ratios derivation (Newa Enterprises); bank reconciliation (Rhyme Enterprises)	Cash, Bank and Reconciliations
KASNEB-2021-05-Q2	May 2021	Errors and suspense (Alice Kibibi); PPE depreciation schedule (Ujenzi Contractors)	Suspense Accounts and Corrections
KASNEB-2021-05-Q3	May 2021	Partnership admission — columnar accounts (Andrew, Benta & Chris)	Admission, Retirement and Ratio Changes
KASNEB-2021-05-Q4	May 2021	Company financial statements with share issue in suspense (Almond Ltd)	The Company Statement of Financial Position
KASNEB-2021-05-Q5	May 2021	General journal; manufacturing terms; public sector terms; NPO terms	Lesson 1: Public Sector Features and Structure
KASNEB-2021-08-Q1	August 2021	Types of errors; functions of the IASB; purchases ledger control account (Dada Traders)	Ledgers and Trial Balance
KASNEB-2021-08-Q2	August 2021	Single entry / incomplete records (Alpha Omega)	Techniques for Completing Incomplete Records
KASNEB-2021-08-Q3	August 2021	Manufacturing account and company profit or loss (Alfajiri Manufacturers Ltd)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2021-08-Q4	August 2021	Club accounts from a receipts and payments account (Afya Youth Club)	Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account
KASNEB-2021-08-Q5	August 2021		

		Roles of accounting officers in the public sector; ratio analysis (Karamu Traders)	Lesson 3: Efficiency and Investor Ratios
KASNEB-2021-12-PILOT-Q1	December 2021 Pilot Paper	Qualities of financial information; users of financial information	Nature and Purpose of Accounting
KASNEB-2021-12-PILOT-Q2	December 2021 Pilot Paper	Admission of a partner: revaluation, goodwill and guaranteed profit share (Peter, John & James)	Admission, Retirement and Ratio Changes
KASNEB-2021-12-PILOT-Q3	December 2021 Pilot Paper	Accounting concepts; company income statement and balance sheet (Simba Ltd)	The Company Income Statement
KASNEB-2021-12-PILOT-Q4	December 2021 Pilot Paper	Correction of a club's draft accounts; welfare fund (Wageni Olympic Sports Club)	Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation
KASNEB-2021-12-PILOT-Q5	December 2021 Pilot Paper	Suspense account and correction of errors; government accounting concepts	Suspense Accounts and Corrections
KASNEB-2021-12-Q1	December 2021	IPSAS adoption; uses of control accounts; single entry (Ruth Sifa)	Single Entry and the Capital Comparison Method
KASNEB-2021-12-Q2	December 2021	Company financial statements with revaluation-funded rights issue (Zamu Ltd)	Share Capital and Share Issues
KASNEB-2021-12-Q3	December 2021	Books of original entry; statement of cash flows (Eneza Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2021-12-Q4	December 2021	Manufacturing partnership accounts (Timothy & Lisa)	The Manufacturing Account
KASNEB-2021-12-Q5	December 2021	Errors not affecting TB; NPO revenue sources; qualities of useful information	Regulatory Framework, Ethics and Concepts
KASNEB-2022-04-Q1	April 2022	Elements of financial statements; incomplete records (Fatuma Ali, retail chemist)	Single Entry and the Capital Comparison Method
KASNEB-2022-04-Q2	April 2022	Partnership admission with goodwill written off (Jack, Nina & Maria)	Admission, Retirement and Ratio Changes
KASNEB-2022-04-Q3	April 2022	Not-for-profit accounts (Kite Golf Club)	Lesson 1: Not-for-Profit Organisations — Features and the Receipts and Payments Account
KASNEB-2022-04-Q4	April 2022	Comparative ratio analysis (Green Traders vs Gold Traders)	Lesson 2: Profitability and Liquidity Ratios
KASNEB-2022-04-Q5	April 2022	Public sector terms; preference share types; bank reconciliation (Legume Traders)	Cash, Bank and Reconciliations
KASNEB-2022-08-Q1	August 2022	Ratio analysis (Wali Traders); incomplete records (Grace Solo)	Techniques for Completing Incomplete Records

KASNEB-2022-08-Q2	August 2022	Regulatory bodies; statement of cash flows (Sabuni Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2022-08-Q3	August 2022	Manufacturing company accounts with transfer pricing mark-up (Maji Matamu Ltd)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2022-08-Q4	August 2022	Company financial statements with share issue in suspense and bonus issue (MLO Ltd)	Share Capital and Share Issues
KASNEB-2022-08-Q5	August 2022	Users of accounting information; double entry; IPSASB objectives	Nature and Purpose of Accounting
KASNEB-2022-12-Q1	December 2022	Control accounts (Jiwe Traders); correction of errors (Ujenzi Enterprises)	Ledgers and Trial Balance
KASNEB-2022-12-Q2	December 2022	Company terms; statement of cash flows (Viki Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2022-12-Q3	December 2022	Partnership admission (Komon Partnership — admission of Oliver)	Admission, Retirement and Ratio Changes
KASNEB-2022-12-Q4	December 2022	Not-for-profit accounts (Blaze Sports Club)	Lesson 2: The Income and Expenditure Account
KASNEB-2022-12-Q5	December 2022	Concepts; unrealised profit; public sector funds; objectives of financial statements	Regulatory Framework, Ethics and Concepts
KASNEB-2023-04-Q1	April 2023	Correction of errors and suspense account (Eric Barasa)	Suspense Accounts and Corrections
KASNEB-2023-04-Q2	April 2023	Partnership manufacturing accounts (Pengo Manufacturers)	The Manufacturing Account
KASNEB-2023-04-Q3	April 2023	Incomplete records (Riziki Ali)	The Statement of Affairs
KASNEB-2023-04-Q4	April 2023	Company financial statements with margin-derived closing inventory (Bahati Ltd)	The Company Income Statement
KASNEB-2023-04-Q5	April 2023	Ratio analysis theory; public sector terms; benefits of IFRS	Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations
KASNEB-2023-08-Q1	August 2023	Incomplete records — sole trader (Feraj Traders)	Single Entry and the Capital Comparison Method
KASNEB-2023-08-Q2	August 2023	Bank reconciliation (Maji Marefu); control accounts (Juhudi Traders)	Cash, Bank and Reconciliations
KASNEB-2023-08-Q3	August 2023	Manufacturing company accounts (Faida Ltd)	Manufacturing Income Statement and Statement of Financial Position
KASNEB-2023-08-Q4	August 2023	Statement of cash flows with commentary (Biashara Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2023-08-Q5	August 2023	Accounting equation; books of prime entry; correction of errors (Utamaduni Ltd)	Suspense Accounts and Corrections

KASNEB-2023-12-Q1	December 2023	Qualitative characteristics, public sector oversight, reserves vs provisions, share issues	Regulatory Framework, Ethics and Concepts
KASNEB-2023-12-Q2	December 2023	Partnership accounts with guaranteed minimum share (Dadu, Elegwa & Fondo)	The Appropriation Account
KASNEB-2023-12-Q3	December 2023	Correction of errors and suspense account (Bidii Traders)	Suspense Accounts and Corrections
KASNEB-2023-12-Q4	December 2023	Not-for-profit accounts (Sagana Golf Club)	Lesson 3: Statement of Financial Position of a Not-for-Profit Organisation
KASNEB-2023-12-Q5	December 2023	Year-end adjustments; ratio analysis (Utajiri Ltd)	Lesson 4: Ratio Analysis in Practice — Interpretation, Gearing and Limitations
KASNEB-2024-04-Q1	April 2024	Accounting concepts, financial assets, errors, public sector accounting	Regulatory Framework, Ethics and Concepts
KASNEB-2024-04-Q2	April 2024	Partnership accounts from incomplete records (Melody & Olivia)	The Appropriation Account
KASNEB-2024-04-Q3	April 2024	Company manufacturing accounts (Kwanza Ltd)	The Manufacturing Account
KASNEB-2024-04-Q4	April 2024	Statement of cash flows — IAS 7 (HMK Ltd)	Lesson 1: The Statement of Cash Flows (IAS 7)
KASNEB-2024-04-Q5	April 2024	Profit retention in companies; not-for-profit accounts (Rahisi Social Club)	Reserves and Income Tax